Intellect Design Arena Ltd. (INTELLECT)

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Praveen Malik

Greetings and Welcome everyone. Thank you for joining us today to discuss Intellect Design Arena Limited Financial Results for the 1st Quarter of the Fiscal Year 2022 -23 ending June 30th 2022.

The Investor Presentation and Press release has been sent to you and is also available on our website. Our leadership team is present on this call to discuss the results. We have with us today :

Mr. Arun Jain, Chairman & Managing Director;
Mr. Prabal Basu Roy, Advisor to the Chairman and Director on the Corporate Board.
Mr. Manish Makkan CEO iGTB,
Mr. Rajesh Saxena CEO iGCB,
Mr. T V Sinha CEO iRTM
Mr. Venkat Saranu, CFO ;
Mr. Andrew England , Non - Executive Director

Besides, some other Senior members of the Intellect Management Team are also present in the call.

Mr. Arun Jain would brief you on the results. This would be followed by Q &A which would be replied by the senior members of our management team. Once the Q&A starts, You can ask a question by clicking on 'raise your hand' and we would unmute you so that everyone is able to listen to you.

One Safe Harbor: I would like to remind you that anything which we say which refers to our outlook for the future is a forward -looking statement, which m ust be read in conjunction with the risk that the company faces

With this I request Arun to give his briefing

Over to you Arun
Arun Jain
Good evening, everyone.
Thank you for joining the Intellect platform for Investors where we are interacting with you on a quarterly basis. Every 90 days, we're regularly participating in building the institution called Intellect.

Let me take you through the entire journey. What changed in this quarter? Some of you would have been the new participant over here, so for whom I would like to share, somewhat is quick overview of the company.
As you know, company has a depth and edge being the 2 key words in our journey which build as next generation open finance composable solution.
So that's where the story is there, which is especially important story to work on. We won 6 awards - number one in retail banking, number one in transaction banking, insurtech, lending, Global leader of product breadth and regional leader.
This itself is a starting point.

In this quarter, we looked at it and we spent a lot of time in our design for digital which was our by line and when we are talking to the customer and helping them in digital transformation and employees and everyone and the common thread came out that we're helping to li ve their dream in the journey, helping them to make more profit helping them having more customer satisfaction and then, we can see a purpose. So we picked up our old live your dream as a by -line from

design for
digital
My purpose as an organisation and du ring the technology day we said we provide large enterprise grade, composable and contextual solutions driving higher business growth, reducing costs and risk on a sustainable basis. This is the purpose of organisation. The difference, Intellect versus any fintech is that we are in large enterprise grade extremely high volume, make it composable, contextual, driving higher business growth for our customers and reducing cost and risk using AI & machine learning on a sustainable basis.
We ranked number one in 6 categories, 25 years of experience, 97 countries served 10 products. So instead of 12 products needed to move the 2 products to the platforms, 6 platforms are becoming richer and 4 technologies.
Very good board of directors. Good Strategic Advisory Bo ard from all over the world. The good bankers came from Europe, America, from India and the Middle East.
This is our evolution from the technology stack. When we added a data model, we created products. Since data model products are based on Open API and m icroservices we bundled into the cloud, and it created platforms and then we started doing 3rd party participant and plus fintech, it becomes marketplace. So, this is the four vocabulary we are sharing here.
I'll be taking you to the platform and product because if you need to know more about our deck you should go to the December 7th Technology Day presentation which is available on the website to understand the whole technology story of the company and how quarter to quarter are moving from December 7 from product to platform.
Looking at quarter One Financial highlights.
This quarter we had grown healthily. 33% growth up against 20%, which we believe and calibrated in dollar terms. Also, it's 27% growth to $70Mn.
In just the last 4 quarters, then our E BITDA has moved 17%, despite the cost and full cost post COVID has come into system so it's in line with our journey because our travel cost itself has moved back,close to 12 to 13 Crs are just the travel cost increase beside the talent cost increase has b een reduced because of some other taxes which have gone up. As we advised last time, it's. A full tax. Regime we are getting into. It's around 26% of the tax which is being put on PBT but the advantage for us is we still have a MAT credit. Where tax outflo w cash outflow may not be there, so that will be cash outflow will be 10% not 26%. Gross margin stands at 55.6%. EBITDA stands at 20.6% and collection is 473 crs
Our DSO’s are 114 versus under 125 so good collection this time in this quarter we could be ab le to collect a lot of money from the Indian government also which was a concern last time for the investors. In GEM we collected close to 100 Crs

Then if I look at it, the revenue distribution platform I'm calling this, we used to call SaaS cloud revenue . We rebrand it as platform revenue. I'll share what it means on the platform and in my qualitative comments.
So as of now, platform revenue moved up by 47%, very healthy revenue. License is -3%, 10% is AMC growth, 18% is licensed LinkedIn Revenue growth a nd annual recurring revenue growth moved up by 28%.
10 wins and 5 platform wins. 11 new digital transformations completed. Now we started giving. This was a request made that the last 4 quarters made a lot of difference and then we looked at it last 12 mon ths LTM. Revenues, so we plotted LTM revenue for you to bill to highlight that quarterly

revenue for Intellect will be up and down in various buckets. But when you are looking at LTM revenue, that will give you the trend of movement.
So LTM revenue moved by 29% over the last 4 quarters where our growth is 29% against 20%.
At a dollar level, it's the 26% we moved to $ 267 Mn, from 212 Mn$. Gross margin stood growth at 31%. EBITDA grew at 26% on LTM basis PAT grew at 17 per cent.
Gross margin on LTM basis i s 57.3% and EBITD

A is 24.3%.
On LTM, my platform revenues grew at 90%, INR 220 Crs to INR 400 Crs, almost doubling our platform revenue on a sustained basis.
AMC grew by 11%. License link revenue crossed 1100 Crs, which is immensely powerful by our inves tment of close to 300 Crs. We were able to generate License link revenue of 1100 crs
Capex to sales ratio. It is now 15% on investments. Annual recurring revenue is 756 Crs, which has grown by 44%, which has a cloud plus AMC coming together. In the last 4 quarters, 35 wins. 18 platform Go lives which determine our referencing, which is decided by 54. digital transformation deal for the customer.
The sales pipeline is going extremely healthy now. I think we are now able to choose the deals which we want to take up. We crossed $805 Mn. That's the ability what we must handle as of now. If we need to increase the ability in our sales and pre sales. Several deals which we call Destiny deals are growing year on year and that's how the build -up is happening. So, we were running around $45,Mn to $60,Mn bucket.
Now that the number of Destiny deal is to be 30 -35, now it's 64 and that's what the capacity of the deal is getting created
Average deal size is also increasing so non average deal sizes compared to 6.2 Mn $ per average deal value compared to 5.6 mn $ last year. So, on both the dimensions, the quality of the deal and number of deals both are increasing over here.
That shows the number of deals more than 50 Crs or more than 10 Mn $ are moved by almost 60% from 9. Such deals have been in the pipeline. Which is moving to 15 such deals.
This is the currency mix, GBP, and euro. This quarter we suffered because of a higher 23% exposure of our revenues coming from the GBP and euro and those currencies have fallen b y 15%.

Rather 15 to 18% have fallen, so we suffered a loss of one and a half $1Mn because of the currency drop. You know the digital transformation 11 global financial institutions have transformed their digital journey on Intellect product stack.
These ar e the 5 platform deals which we have won during the quarter. In which we need to highlight a Private Sector Bank in Africa has chosen digital core for digital core, which is a second product in the top 3 products. If you remember liquidity, DTB and quantu m and then the next set of projects is digital -core, lending and payments. So now if you look at the first 2 deal wins is the acceleration in the core banking and lending.
So, if you look at the first 3, deals are in that area and the 4th deal is in the area of SEEC and AI / machine learning platform and again lending platform so 2 deals. Lending 2 deals core which is showing the momentum moving this lending and core is moving to a leading leadership quadrant.
We now have the 3rd Quadrant product was weal th, treasury , and trade, out of which now wealth is emerging which is moving from 3rd bucket to second bucket.
After signing SBI 2 quarters back now we got a second big deal out of the top 5 private bank has signed up with us for their wealth and we have a good pipeline within India for the wealth
Quantum is carrying the momentum by winning 2 large deals in the quarter, One is from large Bank of Saudi i.e. Central Bank of Saudi and then Central Bank in Africa which is driving that meaningful change in Afr ica. The quantum deals are becoming both full deals and we are getting a significant mindshare of the market.
Important deal is in the Canadian bank market in the North American market, so both these deals are interesting deals which i want to highlight.
I want to highlight that our North American I'll take the market story, but Canadian and American market is moving positively in the right direction.
The interesting digital transformation we have done, so one of the first element where we do top 5 bank in UAE when CBX retail.
This is a space which Back -base used to lead, and we can do a contextual ex

perience by bringing
lifestyle banking together Using AI data analytics, agile architecture, code agnostic, it is helping the bank to acquire customers at 3 tim es faster pace than any other bank.
Similarly, we have Second bank in Middle East, which has gone live with the CBX retail and I - turmeric to define how the branch banking and digital system will work. The 3rd element is in North America. This customer has gone live with liquidity.
One of the top 3 banks in India is now live with Wealth cube.

So and so forth, then we have one other large bank in off Spain. We went live in Argentina and Mexico, so that is a small entry into South America. This will get us so me knowledge in South America for next 2 -3 years, not immediately. Chile we have a footprint in South America. Similarly, a large financial institution announced IGCB mobile solution with state owned commercial banking. Sri Lanka went live with Capital A lpha, so these are the 11 -transformation deals.

These are the Results you must have seen, so I will skip this slide.
Let me run to the qualitative commentary now.
Because this is the presentation when we are looking at it.
Between last 2 years at the time of COVID and post covid now almost 2 years post COVID, this presentation is happening where we are making a significant shift.
So for the last 2 years we were working on a calibrated manner and some more changes are and then December we made a presentati on on Technology day 2.
We started looking at $15 Mn as their investment buckets so we are looking for each investment bucket. When we were in July 2020. We were $45 Mn in revenue and then we looked at it. How do we move to 60Mn in revenue? And it took us 5 quarters to reach $60 Mn revenue.
From then and we started in the second quarter when I was speaking to you, we said that we started investing for $75 Mn. Now we have a visibility of $75Mn. We have already crossed 70 Mn$ in this quarter and next. Next, 2 quarters, $75mn is visible to us.
Now at this point of time, we may have to move to the investment of next $15 Mn bucket of 90 Mn quarterly run rate so that's the preparation for the next year for the sustainable growth.
We mentioned on May 22, there are 3 added costs which are going to be there for this quarterly result. First was reinstatement of travel costs post COVID tax rate of around 26% and added costs of platform and R&D in line. So, their 3rd cost was added costs for platforms.
When we are movin g to platform, then R&D cost goes up during the early stage of the platform build -ups so when I come to platform, I'll explain what the platform means and how is that revenue. Model platform works. I mentioned about the sales pipeline earlier. In Technolog y Day 2, we said we have 4 Platform.
On that day we look at Xponent an underwriting platform in US we looked at it. Cash Cloud DTB platform. We looked at it. IKredit 360 and we looked at it.
Loan, sorry IDC code bank open finance banking platform with 300 API 's then we launch and platform for like iColumbus.ai in the first quarter. In the second quarter, we launched Magic Invoice as a platform there's become 6 platform.
Let me take you through what do you mean by platform and what do you mean by product?
So, there are 2 categories of platforms which Intellect has the ability to launch so the first type of platforms are subscription -based platforms. So, when we give a platform, we give it in a cloud. The complete infrastructure, complete technology, accoun tability of running the platform. Where the bank leased out the technology platform from us on a fixed sum, which can vary from $40,000 per month to 100000 $ per month or $200,000 per month. It can go up to $200,000 per month.
So, this platform leasing wil l be between $40,000 to $200,000 per month. This is the kind of a platform which is a subscription platform.

So, if we have a 3 category of business

es, if we say B1, B2 and B3 . B1 is my licensed business, B 2 is
Platform business, which is an annual sub scription model. And then there's a B 3 business which is based on which is also a platform where we offer the platform like GEM, and we charge on the transaction basis of percentage of the business basis. So that's based on the volume of the customer pape r use kind of a platform which is a B3 business.
So, B1 B 2 B 3 are the 3 possible revenue lines which we call license link revenue on the 3 B one plus B 2 plus B 3 become licensed links revenue while B one is not recurring in nature only AMC is recurring after that.
B2 plus B3 Plus AMC become my recurring revenues, so these are 2 points. We need to explain what license link revenue is and what is annual recurring revenue. When I mentioned in the beginning the annual recurring revenues are AMC plus B2 whic h is the annual subscription license plus Transaction license is the B2 plus B3 plus AMC is my 3 -revenue stream pool into call annual which is around 741 cr per quarter via did this quarter.
And license link revenue which INR 1100 Crs we did is which is di rect license plus B2 plus B3 joint from my license link revenue which is 1100 cr.
Now, after successful running of GEM platform, we are fully in a stage where it's growing quarter on quarter and last year it views much faster. It will not grow at the same pace as last year it grew

because that's the time when government sales moves from 30,000 Crs to one Lakh role in a single year and this will grow off 50% to 60% levels.
Now we have picked up Xponent platform which is Based on AI. That is not gaining tra ction. The revenue is not starting, start building it up. So, in a platform business I need to put up a constant team. So, when you set up a platform, it means you're setting up a constant investment. A typical platform investment for building a platform c lose to $5 Mn per year.
That's a typical model in US typical platform. When you look at the investment lot of fintech companies are coming with a platform each.
From the cost between $5 - $10 Mn per year on a constant basis on the platform. That's what whe n we are building GEM we are spending that kind of money on the platform. So that is the axis which is flat axis . If you look at the graph a first period when you are at only 2 customer or 3 Customer, your cost stays 5Mn while your expense will be.
Those 2 revenues will be 1Mn, one and a half million. It will grow step by step and to match it takes 3 to 4 years to match the revenue between investment and what the annual subscription revenue start coming in but when 5 customers because so typically 5 to 7 c ustomers at $1 Mn each will be good to suffice a subscription -based platform investment.
So, once we sign 5 to 7 customers, the platforms could be break even, but then 7 to 20 customers, my incremental investments in the platform are not more than 20%.
It's varied between 10 to 20%, so my RPR revenue per person who is deployed on the platform. Business moves up Multiple times in the platform, story and platform story is the recurring revenue which has got in next 10 -year lifecycle value which revolves aro und the platform.

So that is the 6 -platform story versus 10 product story. Now the next question comes to your mind is. Is platform cannibalizing license revenue?
Now for looking at it, we found that there are certain markets we can take certain products a nd certain markets are suitable for platform and certain markets are suitable for license and certain kind of customers are suitable for license. So, tier one customers are suitable for license while Tier 2 tier 3 customers are for platforms. Similarly, ce rtain markets behaviours are they want to buy license. So, if we intersect this, the platform will be country specific and focused customer specific. When I'm looking qualitative of the markets I visited, spend some time in U.S.

market. This was a
concern as the investor you are highlighting. When is the US market traction will be start moving in. Now this year we have visibility that US will move 50% growth in the US market.
U.S. market we have 2 platforms, one is Xponent which is underwriting platform. We are working with close to 22 prospects in the US market led by iSeec and similarly we have iGTB platform. Which we are having a close to 24 prospect we are working with IGTB on the second platform so U.S. market our strategy of platform is now starting getting cut traction and that is giving us a confidence that in U.S. market which was just going slow in first 5 years of a journey where we kept on making a lot of investments in AI machine learning data. Now I started paying off because the product that we have is there one of the unique products in the market and that platform gives magic submission, data and underwriting platform all integrated, and which can be implemented in less than 3 months' time or on board the customer 3 months' time using the A I machine learning cloud technology.
Similarly, Canadian Market we invested the full kit investment in Canadian market and that has started delivering results. Canadian market has got all the Intellect Suite products including treasury. Even for banking p roducts in the Canadian market, so Canada is becoming a wholesome market for Intellect.
In Europe, if I come to Europe, we discussed about Europe last time. What is selling in Europe? Europe is now looking at the new investments coming in Europe now. Firs t, the good news is that they are now looking for modernising their old systems, a legacy which is a 40 -year -old legacy. They are looking to upgrade that, and they are upgrading with an extraordinarily strong architectural mindset.
So, the difference in Eu rope and other parts of the world is Europe like German focus or French focus UK focus our focus architecture. And because we are focused, Intellect products are designed for open finance, composable and contextual platforms. And then we have the ability for micro services to be composed across core lending and credit card. These 2 combinations, one on domain combination of 4 lending and credit card and on other side, we have a data AI, machine learning, cloud, micro services, cloud compliance.
The number of prospects is increasing every day. Rajesh can take you through the journey, but his hands are full, his capabilities are full. There he needs to add the capacity very quickly in that area, and especially after we got a reference one another reference cl ient going live in Germany with the open finance platform first of its kind, which has gone live while my competitor may say that they have open finance, but we may not have a reference site for going live. This Funnel is moving better.

In UAE, 7 out of 9 Top banks are our customer. Now we are expanding. Saudi market is doing very well. We have 5 customers in Saudi. So, this year or so on Europe side, our focus will be Germany setting up a newer operation in Germany and France, in Middle East Saudi will be our expansion. Africa market is growing on the back of quantum. It is bringing leads from various unique country. Sometimes they are very fascinating country. We are some of it. I have some time I don't even know the name of those countries. Before gettin g RFP, so it means it's coming by the pool of the quantum. They are approaching us and then we are going to those markets because we don't have those connections like Mauritania or Madagascar. We didn't have any connection, it came from that side, so there 's a particularly good news that when products start getting the cooling effect.
Similarly, all the product lines are operating in Africa market.
APAC, we did an excellent job in last 5 years.
So, we have 9 banks in Vietnam as a customer, 9 banks in Philippines, our customer 7 banks Malaysia 4 in Indonesia.
Now

, this is a time when we need to start looking for deepening our relationship. So, we shifted our office in Vietnam as a centre that how we can do the business impact from the implementations w e are doing in Vietnam market and how we deepen the account, kind of a model in APAC.
In India, obviously, as you all know we are present. We manage the critical infrastructure, whether it's RBI, whether it's a GEM, LIC, or AMFI.
9 of the top 10 private b anks are using our technologies.
Sri lanka we have some presence not getting impacted with the turmoil in Sri Lanka. Bangladesh, we have a Sonali bank partnership. Now we are looking for more entry into Bangladesh.
So, this is about market analysis. Well, last time somebody wanted to know, what are the market footprints, so answering question individually I tried to put all the slides for all the markets in this time as a qualitative.
The other thing which is happening on the product side or data platform? Yes, in machine learning platform now we are start getting it in monetization phase of it, so last 3 years it took to build this platform. So, first platform which is there is DOC 2 API where we have a contextual using CDR graph technology. We can read lot s of value in document reading our accuracy across periods. If you had 10 pages of document and you must contextualise between first page and 7th page, our technologies can do it, which many other AI technologies are page by page technologies it can read any context from any doc, PDF, document.
Now we are using that technology to go to market. We use this technology from Magic Submission for underwriting platform. We are using the same platform for Magic invoice, and we are using the same technology for iCo lumbus.ai for LCS and guarantees document with their so Doc2API, 's underlying platforms. It is a one -time investment but we are building in multiple use cases for looking at.
Then our data platform now we started spending some time on that. Go to market o f data platform.

We found that or we are such multi question search is incredibly unique. Search combined with big data in Mongo DB and contextual algorithm.
So, for next quarter launch for complex risk requirement of large banks and insurance company in area underwriting and risk.
The 3rd platform or 3rd technology is what we are working with. Integrated banking platforms and PBCS is creating a demand In the market, especially in Europe.
Quantum, as you mentioned, it's a consistent winner. Xponent, the pl atform, is gaining momentum. I mentioned digital transaction banking is our core cash cow for us with Microsoft Azure Partnership. Now we have started doing prospecting name prospecting.
With the increased interest rate scenario, liquidity management syst em is now getting a lot of RFPS now, and Wealth Cube is moving from 3 buckets of the products P1 , P 2, P 3, But it's moving from P 3 bucket to P 2 bucket and IDC is moving from P 2 bucket to.P1 bucket.
So that's how that this transition is happening.
Othe r slides, you can go through how the analyst readings are there, which is each analyst is covering our product. So, Intellect is now in the top 3 players in core. Banking between thought machines, Temenos and intellect. Many RFP 's we are getting qualified in that area. We need to increase the ability for presales and partnerships. So, these are the 2 things which is our core agenda
Thank you very much
Praveen Malik
Thank you, Arun. Now the platform is open for the questions, please click on raise your hand to ask your question. The first question is coming up from Mr. Mohit Jain of Anand Rathi Securities. Mohit you can ask your question. Please unmute him.
One was this QnQ drop in SaaS revenues. So, what happened there? And if you could give us some split o n if it is pure SaaS license or is it SAS license plus Saas implementation?

Arun
Why did that drop in did not drop in Saas?
Mohit

Sir, in dollar terms, there is a drop on a sequential basis.
Arun
Quarter 4 to quarter one OK.
Mohit
Q4 to Q1.
While we were thinking sat through any seasonal fluctuations.
In some region.

Arun
No, no in transaction based. That's why I classify 2 platforms. One is a transaction -based platform. They'll be fluctuation in transaction -based platform while the.
Annual subscription -based platform, they will not be dip.So, direction is that.
Mohit
So, we are looking at this 1160, this is total, is it? That's why.
Mohit
119 that is right, that is correct. So that. Marginal dependence. GEM Quarter 4 we have a higher volume
Mohit.
OK, so that was one now. Second was on your margin outlook. Now what you have spoken about is there could be a 3% -point drop. It's in R&D and other things, while if you look at it from a YY perspective, they're already a 3% drop, so what we a re referring to is from Q one margins. We may decline. Or is it? The comment is more related to Q 1 23 Vs.Q 1 22.
Arun
Yeah Q 123 versus 22 so we have. We are reinvesting our margin for platform and learning, so our margins will be in the bracket of 22 to 25% bracket, not 25 to 30% bracket which we were earlier are targeting.
Mohit
22 to 25. Sir, that's the steep drop from 25 to 30.
Arun
25 to 30 to 20 -25 and with the 5% we are investing; we are investing margin investment. We are doing. They're not rais ing any capital for the platform learning.
Mohit
So that was like and 3rd I think you were used to giving us this capitalized amount, which is missing in this quarter's presentation.
Arun
Yes, capitalised amount is mentioned like 35 Crs mentioned in a I s tart there in presentation. We'll just look at 35 per user. It's around equals.
Mohit
So, your capitalized amount has also gone up by the same quantum in that proportion.

Arun
On the 3 investment I mentioned, the platform as a R&D investment so capitalize d investment, so we apply only. So, if we are 6 platform, our investments are close to between 25 to $30Mn Plus product investment
So total investment. We are only capitalizing less than $20,Mn investments. So total capitalization investment when we are s aying from the beginning is around $20Mn.
This was mentioned in an earlier call also, but not the exact number was not given because that time we didn't have the budget approved. Now the budget approval of the capitalization is through. So non 140 Crs whi ch is around at current currency rate it will be close.and 18 to $19mn $
Mohit
So, this amount is INR. Is that correct, or will it fluctuate depending on the exchange rate?
Arun
It also there are people in international product managers are sitting in UK o r in USA.
Mohit
OK, next was on the ARR. While I heard your comment, I was not sure what is included in the ARR which you have shown.
So, if you could just help me understand that part.
Arun

ARR is which is annual recurring revenue which consists of a platform. We say B 2 platform which is annual subscription revenue B 3 which is a transaction subscription plus AMC.
Mohit
So, platform subscription plus platform transaction plus AMC.
Arun
That's right
Mohit
implementation, these are not included in this. And you multiply that with 4 to give us a picture on. The annual basis.
Arun
That's right.
Mohit
Perfect Sir and last one.

Arun
When we are giving LTM.
We are giving LTM now. We're not even giving forecast number. We're not multiplying it, we are reverse. Now we are giving a more correct picture of LTM because LTM is available.
So, the number that you have given in on slide 11 is LTM number, not annualized, not quarterly analysed.
Let him.
And not a quarterly analysis because that time last year game we analysed and that was a question raised by one of the investors that why won't you give LTM?
That will give you the better picture.
Mohit

Right and so. Finally, US is looking up the from the currency record. Developed markets are finally coming through so you have given this growth target etc.
Any percentages split like how small or large are we in the US currently from where you expect this? 50% growth
Arun
Not, right now ?
Mohit
Approximation will do, Sir.
It is mild right now and I think it will go better, but the US is catching up and company entering US.
Last time you said last year you were looking for Europe so the story over here is calibration, curated, calibrated.
Growth country by country product by product country. Now getting last time you had multi order question on US.
What is happening on US?
S&I didn't have a risk on Friday.
There it is for last many quarters. I had that question. But yes, good to see. Finally, you guys are moving there.
If I didn't answer, I didn't want to tell you, so anything wrong on any hopes of that nature. I told you I didn't. We didn't have a time. We are working on it so now.
The results are. There now the visibility is clear. I can Speak to you.

Mohit
No perfect sir so FY23 hopefully. We'll see more growth in US . And last was our gross margin, which is a linked question. But when we improve our growth rates in the US, should we expect gross margins to improve during the year?
Arun
Not this year FY 24 you'll see significantly improved this year. I think platform i nvestments are higher. We must invest up front on that now we must invest up front on POC 's. So those investments go up in a cloud platform business.
Mohit
OK. Sir, I was referring to Gross adjusted for R&D excluding R&D investments.
But FY 24.
Arun
And b ut some improvement will be there in gross. But still Pocs investments.
Sometimes it goes into delivery investment. If you book the POC all into sales and marketing, then there will be gross margin improvement, so I'll just say.

Mohit
No, no, the current n orm is.
Fine, we are used to having this right.
Arun
OK.
Mohit
Alright, Sir, thank you very much and all the best.
Praveen
Thanks Mohit. Next, we have Mr Vivek Charoria for HNI.
Please unmute him, Vivek, please ask your question.
Vivek
Yes Sir, thank you for the opportunity. So, this quarter we saw a sharp jump in the pre EBITDA number 390 Crs INR to 425 Crs INR
Do you think the bulk of the jump is behind us, or should we expect a similar quantum testing as we move from 70 to, say, 80Mn or $85Mn ? How much would the cross?
Drop for every say 10% growth in revenue.

Arun
I've got the numbers , cost numbers in lumps $15mn brackets, so our cost with the opportunity available at costly woke up in Q 2 is not an end of the cost increase which y ou are seeing, it will be Q2 also will be the higher increase the new fresh intake is. Also, there at count. Also, we are planning for the $90Mn number. So, this quarter will have increase. Q 3& Q 4. for salary increases Travel increase but yes, traveling fees will not happen in this next quarter. Travel increases of pre COVID level now come to the almost 80% level in Q1.
20% differential will happen in Q 2, so these are 2 places the Q 2 pass fail increase, but new headcount cost in Q 2 will go up
Vivek
So, this new headphone cost? Is it in preparation for the 90Mn? What I'm trying to understand is so I'm guessing we'll be in the investment phase for another quarter or 2. Would that prepare us for a 90 Mn$ -run rate? Or I mean every quarter will? so say by Q 3 our cross structure should be aligned to 90,000,000. I'm just trying to understand when the operating leverage can play out.
Arun Jain
Now if you play last year Q2 costs, number went up by something I don't remember the number, but there was a when I had a call on October the number went up, so Q 2 & Q 3 number went up, 2 quarters number went up on the salary cost. That was the time when we were preparing from 55

$Mn to $75Mn , so that $15 Mn. Jump, as seen in this quarter, so in 3 quarter later you've seen the jump.
And that number got accommodated and, bottom margin is around 21.6%.
This time though, 3% is a drop compared to 25%, which is normally in industry which happened. Which is the talent cost increase and the travel cost increase. So now whatev er we do in Q1 Q 2 cost increase will service us for the next $90Mn Run rate.
Vivek
Sir, any colour on the top line growth? Or are we seeing any headwinds in Europe or other parts? And what is it 2 to 3 year outlook? I mean, are we still hoping to hit 100 million 100 in the next 8 to 10-12 quarters? I mean some colour and how confident are you of achieving that? Or is it only a case where we need to just Increase the capacity to service the demand.
Arun Jain
Demand is there. Healthy demand is there. A mark et is looking for privacy -built quarter the wave. We saw last quarter, 1 or 2 deals here and there, say Ukraine Deal 2 deals so. Because of Russia, we dropped on it. Otherwise, we have. We are seeing a positive traction right now in Europe and America, so now I've given the commentary country by country , so I'm not even given a general commentary of advance market. So based on that you can make it out that 100Mn$ quarter on quarter. I think all of us are looking for 8 to 12 quarters to get into 100 $ Mn pe r quarter. So that trajectory we are working on Management Manish, Rajesh, Banesh

3rd Business (iseec) of banesh has started delivering substantial results. So, after last quarter, if you look at it, in 2019 we spoke that GTB is now got 100mn$. Then we sa id GCB will now work for next 2 years. Now then GCB started giving significant result, now it's a time, then look for, which is a 3rd business started delivering results from this quarter onwards with Xponent underwriting, AI, machine learning strategy.
So, 3 orders of 4 businesses. We look at it and have started giving large throughput. Now we must

spend.
I mean iRTM, but it's going as per a very calibrated structure so.
Vivek
So just one last question, so just trying to understand this once again, So, wh ile we're in the investment phase, our margins will be depressed as you said in the 21 to 22 to 25% band.
But when we're at 100 million run rates in the next 2 to 3 years, I'm guessing the margin should be much higher than that? Or would that be wrong, pre sume?
Arun
At 100 $ Mn level they should come back to 30% 35%.
Attend another level.
So, so that still stands correct.
Right?
Arun
Yes.
Vivek
Thank you so much.
Praveen Malik
Thanks, Vivek. Next, we have Ankush Agrawal from Surge capital.
Ankush
Hi, thanks for taking my question. Congratulations on a great set of numbers. So firstly, what I want to understand over here is that when you say that you will be reinvesting 4 to 5% margin to support platform revenue growth.
So, can you talk a little bit mor e over here? Like where is this investment going? Is it going on the sales and marketing front or is it going in the product R&D and you know, for how long you expect this to continue?

Arun
Ankush you should just understand when any platform is created lik e Naukri.com gets created or you take the easy.com that gets created when you create a platform.
Initially you put up a full kit team. You look it up, put up a few architects for their few designers for it so, it's the first test. Then you put up a full go to market team.
Marketing team so the money goes in all the 6th dimension of a business from brand to end customer to leadership to IP to execution and finance capitals. All the 5 fixed capital which we call belief as a framework.
All the 6 areas the inve stment goes in so that and that investment in a platform. As I explained it's cost $5Mn typically for a platform on an annualised basis initially the revenue.
Half 1 Mn to 1 Mn in the first 2 year or 112 y

ears.
Right?
And when it crosses $5Mn with 7 -8 customers then we can.
Ankush
Oh, OK.
Yes, sure.
So, then you know if we are saying that we are not investing in these products and these are going to add to the top line so you know, would you be saying that you know our outlook for revenue growth which was you know earlier at high teens to about 20%? That would increase substantially since we are now investing in additional platforms.
Arun
If we can do any product company so one point is product company, 20% growth is equivalent to 30% growth of service s Company because
Ankush
Right?
Arun
Will tell revenue.
Right, that is fine. That is still 10 what I was asking is, you know, earlier we had a framework.
You know that high teens to 20% growth and then you had this margin outlook of growing to 30%.
But now since we're investing more into the added platform, so shouldn't that add more revenues and then increase?
Not applying outlook because you know now, you're investing more.

Arun
And wish I stayed there like in LTM. We have 29% growth in LTM, but I stil l calibrated the business at

20 percent.
So, we may get higher number, but you still say 20% is the calibration of the witness.
Ankush
Yes, OK, so with this 20% growth that kind of saying and with the added investments so profitability would at least grow.
You know at that rate, or it will be much lower than that, because earlier we are guiding, you know X growth in top line and then you know a higher growth on the bottom -line front because of the margin expansions and all that stuff. But now things are inv esting more. You know who you knew, the higher growth obviously is not going to come because now invest in 45%.
But would it be much lower? Would it be like at least still what the top line is growing?
Arun
Margin number will go higher than the top line in this quarter. It was a change of the quarter, so this quarter number should not be reference number because this is a 26% tax.
Ankush
No, I'm not talking about this quarter. I'm taking it from the comment that you're in one invest 45% of the revenue, so t hat would obviously, and that is going to be continued for a couple of quarters 80s.
So, since for example last year FY22, I think we did about 20 of them in the OneNote 4 -5% more so. That would put a lot of pressure, obviously right.
Arun
No, Ankush you'v e seen last year you look at the numbers. It moved from 20% EBITDA to 28%
So, there is running leverage. Play also happened. So, 4 to 5% when we are investing back right?
That operating leverage lever between the top line and bottom line as a product comp any will always have that advantage. Today is the talent cost, which has gone up in the industry.
But once it's cooling down, that impact will not be so much in 23 -24, so margin will improve.
Going forward, it will bring faster and higher than the top line growth.
Ankush
Yes, I got it. So, we're saying that you know, even though you are making this much investment, there is an element of operating level and that could push on some.
That's it.

Ankush
Yes, so lastly just on the use of cash. So now we have mor e than 500 cr and you know obviously we had distributed some 100crs to the AIF investment, but that is going to be in the future.
It will be more, you know, piece by piece. So, any thought on how we're going to use this scale, because historically we've m entioned that.
We are not so much interested in inorganic growth, and we are still going to generate a.Lots of cash.
This year as well. So, any thoughts on that?
Arun
It's still sufficient, or it's a one quarter cash. We have 531 cr currently, venue, 558 Crs cash. I think the product company need this many cash as a bucket to reserve. We'll talk about it when we cross 1000 Crs cash.
OK, so you want to keep some 5 -600 crs cash is what you're saying.
Arun
Yes,
Ankush
OK, OK, I'll g

et back in the paper for t he question. Thank you.
Praveen Malik
Thanks Ankush. Next, we have Mr Moez Chandani from Centrum broking.
Moez Chandani
Yes, hi good evening, Sir. So, my question was on the employee benefits and on employee attrition.
So, are you seeing a decline in the employee attrition both on the senior level as well as the junior level?
But that's one, and secondly, are you also, I think you mentioned that you're going to hire a lot more people this year.
So, can you just give us an idea of how much is the hiring exp ected to be this year as opposed to what it was last year
Arun jain
OK, so the 2 questions you asked rather. 3 questions you ask first is attrition level yes, we are seeing the pattern. It's dropping since May onwards. You know the start -ups issue started happening it's dropping now. Attrition is dropping. Attrition is second question.
You ask about, Senior level attrition for us is less than 10% from last year, even yes, last Year we didn't have a senior level attrition.

I think we have an extraordinarily strong culture to the team there. That's not a concern last year. Also, attrition was in the bucket of 2 to 5 years bucket that is because we may not supply them the global opportunity of going to send them to one body shopping assignment. So that's the ar ea where we are now refilling back with a strong module of fresh engineers and creating a Fintech engineer program for that, that's an attrition exact number for this year. How much we need to recruit. I think that plan is not fully worked out. It will be in between. Last year I thought we would have done 800 -900 so this year will be similar number may be there.
I think we need to work it out with the platform. Right now, that room study. So, I'll come back.
As of now we are not found. Will take some time to form that another one or 2 months from there.
Moez Chandani
Sure, thank you for that, Sir. And when are the salary increases being rolled out? If you can just remind us.
Arun
In our case it's the major load of salary is happening first quarter and secon d quarter and, but it says quarterly cycle, so we don't have a one single cycle. We have a rotation cycle.
Moez Chandani
Sure, and the salary increases that are being pulled out this year are in line with what was last year. Or are we doing better in terms of salary increases.
Arun
This year is higher than last year.
Moez Chandani
All right, thank you so much.
Praveen
Thanks, Moez
Next, we have Mr. Aman Thadani from Solidarity. Please unmute him.
Aman, ask your question.
Aman Thadani
Hello, can you hear me?
Thank you for taking my question . My first question is can you help us understand the target addressable market basis? The products that we have in each business division

Arun
Yes, so when I look at the market, I told you about each product, so I took you through the market presentation deck. And look at it. Which products are relevant in which markets? If you just go back to that presentation, I think yes, I don't repeat the same.
Aman
Size of each market or on each product that how much can we do for our transaction business or how much can we do for our core banking business?
It's the size.
That would be off at each market.
Arun
Yes, we are not announcing how much revenue per product per market, so that's what we don't announce its overall number. We cannot. We don't want to do that for our competition, so we don't.
Let's see.
Add all those numbers.
Aman Thadani
Yes, yes.
So, my second question is the products that we offer to banks so did banks replace the existing software with ours? Or did we make an add on software which they're using above the legacy software?
Arun
They do both those things some of the time when we have complete digital transformation, we replace the existing banking product.
And then we do a specific platform. They act as the

per iphery solution, and they coexist with the
existing solution. So, both those things are there.
Aman
Can you help us break this down? Like what proportion of our revenue would be? We are replacing someone and what proportion it would be that we are offering something completely new.
Arun
how will it help here?

I also don't track it.
How will it help you to forecast?
So, I think we don't.
Do over analysis of the numbers so.

Aman
OK, so that is it. My from my side. Oh, thank you Sir.
OK, thank you.
Praveen Malik
Thank you, Aman. Next, we have Mayank Babla from Dalal & Barocha.
Mayank Babla
Thank you for taking my question or Sir, I understand the early part of the call. I missed your commentary. You're going to, you know, spend this year for this product an d R&D.
So, what was the amount that will be routed through P&L and what would be capitalized? Could you just like elaborate on that?
Arun
Yes, typically if you look at 6 platforms, then $25 Mn - $30Mn between 25 -30Mn$. We expect the investment in all the b uckets. So, but we are capitalizing only small piece of it as our capitalization amount is staying in less than $20 Mn. It will be close to 18 and a half, will be the investment in the capitalized amount. Rest of amount is expenses out in sales and marketi ng or expense out in R&D or software development expenses. All the 3 heads we get expensed out.
So, almost 70% amount is expensed out for 30%. Amount is expensed out
Mayank
OK Sir, got it, that's all from my side.
And best of luck, Sir. Thank you.
Thank yo u, Sir.
Arun
Prabal would you like to summarise
Prabal
Yes, of course.
See there are couple of things you know. We have discussed lot of numbers and questions from investors, I think, there are just few points which I would like to leave you with. You kno w in a quarter like this, which is quite a pivotal quarter in many ways.

Remarkably like 2 years ago, in July 2020 when we started on a new journey and the results are something which are there for you to see. So, this is also pivotal in that sense, and I think Arun has spoken a lot about. The big crux of the crux of this quarter, which is Journey from product to platforms and that is fundamental in this entire journey of product stack to products, to platforms to ecosystems. You know in that entire journe y, this is which, we are highlighting today is very, very fundamental. The important thing for all of us to understand and appreciate is that you know the company as we have showed earlier is built on 4 fundamental pivots.
And we continue to remain. One on this on these guiding principles and foundational blocks, so to say, and I'll just highlight those 4 in a moment so that you know, we all have mutual understanding.
Before fundamental pivots are one that we are an IP led company And monetization of IP thr ough new and innovative business models is something which is the core DNA of this organization. And that is what creates value.
And being a young company, of course, our priority stays to populate the market with their IP 's so far it has been product. No w it should be products and platforms. So, this is the fundamental of an IP led business..
Important pivot is that we will continue a path of calibrated growth with predictable profitability. So, we will grow, but we will grow in a calibrated manner in sel ected markets ,in our chosen accounts and so on and so forth. And with a predictable profitability.
The 3rd one is that our growth with respect to competition will always be market leading.
So, we do not want to give numbers of 25%, 30%, 20% all of that. W e have said that the organization is geared up for 20% types of growth. But it will be market leading depending on where the markets are. The world is not in a good place as all of you know, so therefore, but we will be market leading with respect to our c ompetition.
Th

is growth will require continuous investment in the IP. And in the business to keep the technology contemporary and ahead of the curve, right. We talked about this in length in the technology day and I think this is the 3rd important pivot th at they'll be market leading growth.
And that growth will require continuous investment right. And 4th important pivot especially

important pivot is at this growth and investment. People will not be capital diluted. So efficient capital allocation will be the cornerstone of our growth strategy, which we have mentioned earlier, and we continue to do so. There will be no capital dilution.
But the moment you put all these 4 in a bucket in terms of a strategy, it becomes obvious that to secure a future in terms of the new opportunities which are coming in their marketplace in the current context it is platforms. Investment for that will necessarily have to come from the existing cash flows.
And that is the point which Arun was making that you know, the trajecto ry which we have talked of a Ebitda so far of 25 to 30% that trajectory
Will get compromised because we will use about 4 to 5% of that and put it into the bucket of investments. Now it will be 22 to 25% of their efforts. That is the the crux of this entire .

So, if we appreciate this fundamental precept, we will know that the company is going to create the institution which we have always talked about.
We are on a certain path which we have chosen for ourselves and it's all about the choices we've made. Now we see massive opportunities. In the platform player, which I think Arun mention that and which is really an extension of you know the solutions to ecosystem play, which we had outlined.
So before this current state what it does for us.
Just to give you a benchmark is what it did for I -Flex. In 2008 -2009. Since then, the I -FLEX has not grown significantly. If you have seen they've not grown at all in many, many years, but look at their cash flows, their margins.
It all is a result of that phase of IFLEX fro m 2007 to 2009.
I think, and I dare say, that you know, we are being a young company.
We are creating revenues and avenues for future flows from this platform.
And most importantly, it does not cannibalize the existing revenue streams because the large ban ks, as mentioned tier one banks will continue to the usual license route and all of that. So, we are creating new opportunities to avenues growth by monetizing.
I think this is a very fundamental shift and a fundamental or fundamental importance to underst and.
And so, therefore financials you have seen both why? Why only why? As well as we have been healthy on all parameters, the pipelines speak for themselves like 600 Mn to 800 $Mn in one year.
He's saying a lot. He's saying a lot.
And the average deal siz e of course has gone up, and all of that.
So therefore, I think we are on the chosen path within the choices we have made and sticking to the part of you know, making a sustainable business.
Which is the value creation being there?
Thank you.
Arun
Praveen any speaker.
Praveen
Yes we have few questions. Can we have ?
Mr Rohit Balakrishnan from I thought please ask your question

Rohit Balakrishnan
Yes, hello Sir, am I audible.
Yes, yes otherwise.
That's great.
Praveen
Please go ahead.
Rohit
Thank you for the incredibly detailed presentation, Mr Jain, I just had it was answered but just a couple of clarifications. One was the part that light's part that you explained towards the margins is it. So, to understand this, is it the right way that from H2 FY23 or probably Q 4 FY23. The margins will be back to what they were. Let's say I mean to the to the earlier guided range and from there. On that the margins will see an expanded part, as you explained that whatever platform that I mean, platform revenue that.
Is that the right way to think about it?
Prabal
Yes, ab

solutely. So, the thing about.
It is in in.
Still see the choice which we had. Now. let's just step back for a moment. The choice which we had

now is because of this emerging platform play, which is sh owing a lot of traction. If we did not invest properly in this area, we could have remained at 25 -26% margin very easily.
But that is not the wisest thing to do.
So therefore, we are creating avenues for future growth apart from product license. Product li cense stays. I mean that is something which will remain. But these are creating different avenues with the same IP and that is the beauty of an IP, lead model at the end of. But obviously there will be a glide path. And there will be a, you know, just that 's why I gave the example of I -Flex in the 2008 and look at it today. I mean Nope and yet cash flows, right so?
Being a young company like ourselves, our priority is obviously to populate the market with as many products and platforms as we can in the nex t few years.
So, the aim and the ultimate sort of goal at the end of all this would be when we reach a certain mature phase, we'll have enough populated Products and platforms in the market which will give those cash flows? Yes, absolutely. Whether it's yo u know one year or whether it's one and a half years or 2 years, that that's a moot point Depending on how? Because you see today we have faced with 2 things. The entire industry is faced with cost increases, we all know that.
Plus, we are opening after CO VID that also we know. Plus, we have this platform opportunity. So, all 3 are coming together and that is the reason you see this, you know this minor recalibration of the EBITDA path which we have talked about.

Rohit
No, no, no very well explained, Sir. A gain, thank you.
Much so the second question was so now the subscription. Or now we what we call this platform is about 116 Crs this quarter, so one question that I had was, so we don't show GEM how much it is. But I'm assuming that GEM will come from Cont ract renewal So just I mean just.
Qualitatively, can you share like a what? Is there any risk on that part for it to sort of? And I mean I don't know how much you can share in terms of how much quantity in terms of quantum it is there, but as an investor a nd I just wanted to get that part understood from you from a risk. But if you let's say somewhere in number 24 if my understanding is right that that revenue is going to come for the contract is coming for renewal.
Yes, he's asking about.
Unfortunately, bo th announce it and just not right in a confrontation with the government. So unfortunately, what questions are asking, we cannot answer right now.
So just if I can sort of, I understand, Sir, I mean. But if you can give you if you can give some qualitative commentary in the sense that my context of the question is that.
It's difficult to build it up anywhere.
Arun
This platform, so once you design the chances of extension are higher. Substantially higher that TCS has a passport office, so unfortunately, I c annot show it, so I'll leave it at that, right?
Rohit
OK, sure. All the absolute best, Sir. Thank you very much.
Praveen
Thanks, Rohit. Next, we have Mr Rahul Jain from Dolat
Rahul, please ask your question.
Rahul Jain
Yes, can you hear me?
Yes, thanks for the opportunity. Just wanted to understand and sorry to hop on the question which has been asked here.
The need for the investment on the platform side.
Is it also led by the volume demand in the market and where some of our past the power and the prog ress to win 4 of our existing products may not be as sharp as we may need to, and that's why there is this sudden need for investment?
All this you think is a logical investment which any R&D company has to do as part of the business equation.

Arun
Rahul, how many companies are entering to US market with a platform from India, even Europe. It's exce

edingly difficult. 20 years mark platform is coming from India. Europe companies also on a big organic basis, not inorganic and acquiring and bought the company.
These investments must have a big opportunity in Europe and America to leverage using platform and building a recurring revenue stream.
It's Such a big opportunity. your company has built up.

Rajesh has built up. Manish has built up. which is a n eed to be supported by that?
And this is getting supported from the margin redeployment, not by capital generation. A 4% margin redeployment is very normal for any business decision from board levels.
Rahul
Right, right, and, just to extend the thought in terms of, as you, as you said, the kind of product which is relevant for that market. So, if you could share your thoughts on how the current product would compete with the likes of. Have seen which product like mumbo or thought machine or.
You would say that., this kind of products
Arun
Rajesh, only take up the question . Yes, competition with the thought machine, and sure.
Rajesh
I think let me before answering that question.
I've been listening to this conversation. Let me give you a little bit of busin ess commentary. Spatially looked from a retail banking or a core banking perspective.
Yep, I think the way we are looking at the market is really if you look at our products right, we have 3 products quantum We talked about it right, so a very specialized product that we built for central banks on the on the back of our win on RBI, right? And in the last 4. Quarters we have 10 deals on Quantum.
Right, so that's the kind of momentum we are seeing, and that's the kind of momentum when we say that Arun talked about the pull being generated.
Today we have called for opportunities right where we don't have to go and sell, we are getting pulled in by that demand that we have created from a product perspective. So that's about Quantum. It's a leadership product. It 's going from strength to strength. We have made a lot of progress in in Africa, middle east we recently won. I think it's in the news the Saudi Crown Prince has talked about this new country. We have won the quantum banking deal for new So, it's.
So, we a re seeing a phenomenal momentum in quantum. We are now seeing some growth in quantum even in advanced markets.

So, in the in the coming quarters, hopefully we will be able to take quantum to even advanced markets, so that's on our first product, which is q uantum, the second product which Arun talked about which is moving from Phase 2 to phase 1 is our code banking product and you saw in the list of deals one we want 4 deals last quarter on the Core banking. As a product That's again, if you compare if you g o and look at what temenos is winning, or Oracle is winning we are in the same league from several wins perspective or we are also seeing momentum on lending.
You saw 4 more deals were announced where we won or lending so from a product perspective, we have a noticeably clear strategy.
We are focused on quantum. You want to take it all IDC is a on a hyper growth, trajectory now and lending we want to take now? Let's talk about platform so what we have done is we have from a retail banking perspective we ha ve 2 platforms. One is of course created 360 platform which is typically targeted towards Europe, and we have an open finance platform which is again targeted in Europe. This is a platform which Arun talked about which has the breadth of code lending and cards. We are in a unique position to offer that and what we are seeing in the market is that many European banks, regional banks as well as large banks are looking at modernizing their platform. So, we see we are in a helpful position in that and if we sp ecifically talk about Europe, we are in the large 5 deals we are in the last 3 and guess Who are our competitors in all these?
5 deals, right?
It is temenos, it's Intellect an

d it's Thought Machine
So, we are now in the same category as a temenos and a thought machine where Temenos brings the functional depth it brings the brand name.
It brings a lot of references, thought machine is building a cloud native architecture. What we are bringing is the width and the depth as well as the latest archi tecture. So, I think many of these deals we are seeing a lot of competition happening between us, temenos and thought machine. Some of the deals thought machine add some of the deals we are ahead, some other deals, seminars, add, but it's a net fight in ma ny of these deals in Europe that we are seeing.
So, I think that's what I would like to say. Yes, if you look, look back and see Temenos Capital Day presentation you will see that even Temenos has recognized us as the second is coming closer to them from a winning deals perspective. So, I think that's where this platform story.
The open finance platform story of Europe and the i cloud 360 platform is fitting.
Good momentum in the European market.
Is what we are seeing both in UK as well as continental Europ e.
Rahul
Right, OK? So yes, appreciated the colour and sorry if I can ask one more.
You know, just to some of the entire thought processes what, I found is that we are getting into

newer market. We are getting better acceptance in the market for that offe ring we are coming up with new offerings which also expand their market scope and positioning.

And then we are also getting a lot of proactive deals because of the kind of offering we have now when we have this kind of accelerated thought process.
In term s of the revenue potential and we are also investing more than.
More in the business somehow the margin comment is noticeably clear, which is getting aligned with this kind of thing I thought that you have, but somehow the growth comment is not reciprocati ng the same enthusiasm. I think somebody else also asked about this but is it somewhere like the real advantage of all this exercise will come much later than in the recent year, and that's why you are trying to not give that kind of review right now, or t his is more about being conservative in general.
Arun
Whatever you interpret is fine
That's OK, but we are seeing our LTM is 29%.
We, I think calibrated growth. We had designed the original 25% growth. We don't give a Guidance, so we told guidance we stop ped giving, but we're seeing how the business is designed and we are sharing.
9 principles with Prabal shared and I am sharing what interpretation you want to have it. It's your call as analyst. What you want to look at it.
Right, so, and then 29 per cent growth we have proved in last LTM so Community can be better. It will be good for the investor, but there there's no point of looking at it.
And my competitors are not doing more than 5% 7% single digit growth in my entire product journey. If I'm growing 20%. I'm incredibly happy and if you 25, 26, 27% happening.
Lucky to have everybody on the same page and we have many strategic deals on the table. We have 15 strategy deals on the table.
It is dealing more than $10Mn.
Deal it can change the colour of the growth differently, but there's no point of until the time we win. The 15 deals of the nature which are now getting us into 10 Mn$ to 100 Mn$ Range, so we are fighting in many deals which is more than $50Mn after RBI division. We are now getting to 50Mn, 100 $,Mn deal fights with temenos then with thought machine so.
We already until you choose, but specific number to put it. I think you don't want to put. We said what is, what is. What is my design principal design principle is 20%.
And the rest of it is interpretation. What we succeed.
Rahul
Thanks a lot, that that's quite interesting, thank you.
Thank you.
Yes, this is.

Praveen
Can we take couple of more questions?
Arun
This is already 630. Now you can just take the question

by writing.
OK.
So, one last question we can take at least.
Just last question
Praveen
Yes, the last question Ashish Das from Sharekhan, Ashish, can you quickly ask your question.
I said, am I audible?
Praveen
Yes, yes, please go ahead.
So, thanks for giving opportunity or 2 question s. Yeah, I understand you stopped giving the revenue growth guidance, but at the starting of FY23 you mentioned 20% but now you stop the guidance. OK, that what is that reason? And second, last quarter when you commentary you mentioned that you are enter ing into 3 new markets, and you want $10Mn per country in next 3 years. Now you entered the US. So, Is that outlook still remains Yes, that's right. It's the same outlook we can get now Saudi and France and now.
we're looking at Germany so that commentary stays, so the guidance we've never given in guidance. We always said designed the business for calibrated growth. But it's understood as guidance. So, which is, OK? Its understanding is there? That's what we design the business because.
Uh, there could be difficulties in license revenue. Sometimes we can win in an exceptionally large

deal and still is so other quarter we may not win.
A large deal, so it's not quarterly.
Then we are looking at them as a growth chart in Lt and we can ensure that it will be 2 0% design.
Ashis h
OK, that makes sense. Yeah Sir, yes OK.
Thank you.
Sir, thank you so much.
Praveen
Thanks Ashis h

So, since we have many questions, we request everybody to please do write to us any questions which we might not be able to take because of the shortage of time.
And thank you, all of you for attending the call. Thank you so much. Now we can close the call.
Thank you

Call: Aug 2022

Intellect/SEC/2022-23
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Exchange Plaza,5thFloor,PlotNo.Cll,GBlock,BandraKurla
Complex,
Bandra(El,Mumbai -400051.
2.BSEltd.
1"Floor,NewTradeRing,Rotunda Building, PlTowers,
Dalal5treet, Fort,Mumbai -400001.
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Sub:Transcript ofEarnings callheldonJuly28,2022forthe1"quarterofFY2022-23
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Registered Office:244AnnaSalai,Chennai-600006,IndiaIPh:+91-44-6615 5100IFax:+91-44-6615 5123
Corporate Headquarters: SIPCOTITParkSiruseri,Chennai-600130,IndiaIPh:+91-44-6700 8000IFax:+91-44-6700 8874
E-mail:contact@intellectdesign.com Iwww,intellectdesign.com
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Praveen Malik

Greetings and Welcome everyone. Thank you for joining us today to discuss Intellect Design Arena Limited Financial Results for the 1st Quarter of the Fiscal Year 2022 -23 ending June 30th 2022.

The Investor Presentation and Press release has been sent to you and is also available on our website. Our leadership team is present on this call to discuss the results. We have with us today :

Mr. Arun Jain, Chairman & Managing Director;
Mr. Prabal Basu Roy, Advisor to the Chairman and Director on the Corporate Board.
Mr. Manish Makkan CEO iGTB,
Mr. Rajesh Saxena CEO iGCB,
Mr. T V Sinha CEO iRTM
Mr. Venkat Saranu, CFO ;
Mr. Andrew England , Non - Executive Director

Besides, some other Senior members of the Intellect Management Team are also present in the call.

Mr. Arun Jain would brief you on the results. This would be followed by Q &A which would be replied by the senior members of our management team. Once the Q&A starts, You can ask a question by clicking on 'raise your hand' and we would unmute you so that everyone is able to listen to you.

One Safe Harbor: I would like to remind you that anything which we say which refers to our outlook for the future is a forward -looking statement, which m ust be read in conjunction with the risk that the company faces

With this I request Arun to give his briefing

Over to you Arun
Arun Jain
Good evening, everyone.
Thank you for joining the Intellect platform for Investors where we are interacting with you on a quarterly basis. Every 90 days, we're regularly participating in building the institution called Intellect.

Let me take you through the entire journey. What changed in this quarter? Some of you would have been the new participant over here, so for whom I would like to share, somewhat is quick overview of the company.
As you know, company has a depth and edge being the 2 key words in our journey which build as next generation open finance composable solution.
So that's where the story is there, which is especially important story to work on. We won 6 awards - number one in retail banking, number one in transaction banking, insurtech, lending, Global leader of product breadth and regional leader.
This itself is a starting point.

In this quarter, we looked at it and we spent a lot of time in our design for digital which was our by line and when we are talking to the customer and helping them in digital transformation and employees and everyone and the common thread came out that we're helping to li ve their dream in the journey, helping them to make more profit helping them having more customer satisfaction and then, we can see a purpose. So we picked up our old live your dream as a by -line from

design for
digital
My purpose as an organisation and du ring the technology day we said we provide large enterprise grade, composable and contextual solutions driving higher business growth, reducing costs and risk on a sustainable basis. This is the purpose of organisation. The difference, Intellect versus any fintech is that we are in large enterprise grade extremely high volume, make it composable, contextual, driving higher business growth for our customers and reducing cost and risk using AI & machine learning on a sustainable basis.
We ranked number one in 6 categories, 25 years of experience, 97 countries served 10 products. So instead of 12 products needed to move the 2 products to the platforms, 6 platforms are becoming richer and 4 technologies.
Very good board of directors. Good Strategic Advisory Bo ard from all over the world. The good bankers came from Europe, America, from India and the Middle East.
This is our evolution from the technology stack. When we added a data model, we created products. Since data model products are based on Open API and m icroservices we bundled into the cloud, and it created platforms and then we started doing 3rd party participant and plus fintech, it becomes marketplace. So, this is the four vocabulary we are sharing here.
I'll be taking you to the platform and product because if you need to know more about our deck you should go to the December 7th Technology Day presentation which is available on the website to understand the whole technology story of the company and how quarter to quarter are moving from December 7 from product to platform.
Looking at quarter One Financial highlights.
This quarter we had grown healthily. 33% growth up against 20%, which we believe and calibrated in dollar terms. Also, it's 27% growth to $70Mn.
In just the last 4 quarters, then our E BITDA has moved 17%, despite the cost and full cost post COVID has come into system so it's in line with our journey because our travel cost itself has moved back,close to 12 to 13 Crs are just the travel cost increase beside the talent cost increase has b een reduced because of some other taxes which have gone up. As we advised last time, it's. A full tax. Regime we are getting into. It's around 26% of the tax which is being put on PBT but the advantage for us is we still have a MAT credit. Where tax outflo w cash outflow may not be there, so that will be cash outflow will be 10% not 26%. Gross margin stands at 55.6%. EBITDA stands at 20.6% and collection is 473 crs
Our DSO’s are 114 versus under 125 so good collection this time in this quarter we could be ab le to collect a lot of money from the Indian government also which was a concern last time for the investors. In GEM we collected close to 100 Crs

Then if I look at it, the revenue distribution platform I'm calling this, we used to call SaaS cloud revenue . We rebrand it as platform revenue. I'll share what it means on the platform and in my qualitative comments.
So as of now, platform revenue moved up by 47%, very healthy revenue. License is -3%, 10% is AMC growth, 18% is licensed LinkedIn Revenue growth a nd annual recurring revenue growth moved up by 28%.
10 wins and 5 platform wins. 11 new digital transformations completed. Now we started giving. This was a request made that the last 4 quarters made a lot of difference and then we looked at it last 12 mon ths LTM. Revenues, so we plotted LTM revenue for you to bill to highlight that quarterly

revenue for Intellect will be up and down in various buckets. But when you are looking at LTM revenue, that will give you the trend of movement.
So LTM revenue moved by 29% over the last 4 quarters where our growth is 29% against 20%.
At a dollar level, it's the 26% we moved to $ 267 Mn, from 212 Mn$. Gross margin stood growth at 31%. EBITDA grew at 26% on LTM basis PAT grew at 17 per cent.
Gross margin on LTM basis i s 57.3% and EBITD

A is 24.3%.
On LTM, my platform revenues grew at 90%, INR 220 Crs to INR 400 Crs, almost doubling our platform revenue on a sustained basis.
AMC grew by 11%. License link revenue crossed 1100 Crs, which is immensely powerful by our inves tment of close to 300 Crs. We were able to generate License link revenue of 1100 crs
Capex to sales ratio. It is now 15% on investments. Annual recurring revenue is 756 Crs, which has grown by 44%, which has a cloud plus AMC coming together. In the last 4 quarters, 35 wins. 18 platform Go lives which determine our referencing, which is decided by 54. digital transformation deal for the customer.
The sales pipeline is going extremely healthy now. I think we are now able to choose the deals which we want to take up. We crossed $805 Mn. That's the ability what we must handle as of now. If we need to increase the ability in our sales and pre sales. Several deals which we call Destiny deals are growing year on year and that's how the build -up is happening. So, we were running around $45,Mn to $60,Mn bucket.
Now that the number of Destiny deal is to be 30 -35, now it's 64 and that's what the capacity of the deal is getting created
Average deal size is also increasing so non average deal sizes compared to 6.2 Mn $ per average deal value compared to 5.6 mn $ last year. So, on both the dimensions, the quality of the deal and number of deals both are increasing over here.
That shows the number of deals more than 50 Crs or more than 10 Mn $ are moved by almost 60% from 9. Such deals have been in the pipeline. Which is moving to 15 such deals.
This is the currency mix, GBP, and euro. This quarter we suffered because of a higher 23% exposure of our revenues coming from the GBP and euro and those currencies have fallen b y 15%.

Rather 15 to 18% have fallen, so we suffered a loss of one and a half $1Mn because of the currency drop. You know the digital transformation 11 global financial institutions have transformed their digital journey on Intellect product stack.
These ar e the 5 platform deals which we have won during the quarter. In which we need to highlight a Private Sector Bank in Africa has chosen digital core for digital core, which is a second product in the top 3 products. If you remember liquidity, DTB and quantu m and then the next set of projects is digital -core, lending and payments. So now if you look at the first 2 deal wins is the acceleration in the core banking and lending.
So, if you look at the first 3, deals are in that area and the 4th deal is in the area of SEEC and AI / machine learning platform and again lending platform so 2 deals. Lending 2 deals core which is showing the momentum moving this lending and core is moving to a leading leadership quadrant.
We now have the 3rd Quadrant product was weal th, treasury , and trade, out of which now wealth is emerging which is moving from 3rd bucket to second bucket.
After signing SBI 2 quarters back now we got a second big deal out of the top 5 private bank has signed up with us for their wealth and we have a good pipeline within India for the wealth
Quantum is carrying the momentum by winning 2 large deals in the quarter, One is from large Bank of Saudi i.e. Central Bank of Saudi and then Central Bank in Africa which is driving that meaningful change in Afr ica. The quantum deals are becoming both full deals and we are getting a significant mindshare of the market.
Important deal is in the Canadian bank market in the North American market, so both these deals are interesting deals which i want to highlight.
I want to highlight that our North American I'll take the market story, but Canadian and American market is moving positively in the right direction.
The interesting digital transformation we have done, so one of the first element where we do top 5 bank in UAE when CBX retail.
This is a space which Back -base used to lead, and we can do a contextual ex

perience by bringing
lifestyle banking together Using AI data analytics, agile architecture, code agnostic, it is helping the bank to acquire customers at 3 tim es faster pace than any other bank.
Similarly, we have Second bank in Middle East, which has gone live with the CBX retail and I - turmeric to define how the branch banking and digital system will work. The 3rd element is in North America. This customer has gone live with liquidity.
One of the top 3 banks in India is now live with Wealth cube.

So and so forth, then we have one other large bank in off Spain. We went live in Argentina and Mexico, so that is a small entry into South America. This will get us so me knowledge in South America for next 2 -3 years, not immediately. Chile we have a footprint in South America.
Similarly, a large financial institution announced IGCB mobile solution with state owned commercial banking. Sri Lanka went live with Capital A lpha, so these are the 11 -transformation deals.

These are the Results you must have seen, so I will skip this slide.
Let me run to the qualitative commentary now.
Because this is the presentation when we are looking at it.
Between last 2 years at the time of COVID and post covid now almost 2 years post COVID, this presentation is happening where we are making a significant shift.
So for the last 2 years we were working on a calibrated manner and some more changes are and then December we made a presentati on on Technology day 2.
We started looking at $15 Mn as their investment buckets so we are looking for each investment bucket. When we were in July 2020. We were $45 Mn in revenue and then we looked at it. How do we move to 60Mn in revenue? And it took us 5 quarters to reach $60 Mn revenue.
From then and we started in the second quarter when I was speaking to you, we said that we started investing for $75 Mn. Now we have a visibility of $75Mn. We have already crossed 70 Mn$ in this quarter and next. Next, 2 quarters, $75mn is visible to us.
Now at this point of time, we may have to move to the investment of next $15 Mn bucket of 90 Mn quarterly run rate so that's the preparation for the next year for the sustainable growth.
We mentioned on May 22, there are 3 added costs which are going to be there for this quarterly result. First was reinstatement of travel costs post COVID tax rate of around 26% and added costs of platform and R&D in line. So, their 3rd cost was added costs for platforms.
When we are movin g to platform, then R&D cost goes up during the early stage of the platform build -ups so when I come to platform, I'll explain what the platform means and how is that revenue.
Model platform works. I mentioned about the sales pipeline earlier. In Technolog y Day 2, we said we have 4 Platform.
On that day we look at Xponent an underwriting platform in US we looked at it. Cash Cloud DTB platform. We looked at it. IKredit 360 and we looked at it.
Loan, sorry IDC code bank open finance banking platform with 300 API 's then we launch and platform for like iColumbus.ai in the first quarter. In the second quarter, we launched Magic Invoice as a platform there's become 6 platform.
Let me take you through what do you mean by platform and what do you mean by product?
So, there are 2 categories of platforms which Intellect has the ability to launch so the first type of platforms are subscription -based platforms. So, when we give a platform, we give it in a cloud. The complete infrastructure, complete technology, accoun tability of running the platform. Where the bank leased out the technology platform from us on a fixed sum, which can vary from $40,000 per month to 100000 $ per month or $200,000 per month. It can go up to $200,000 per month.
So, this platform leasing wil l be between $40,000 to $200,000 per month. This is the kind of a platform which is a subscription platform.

So, if we have a 3 category of business

es, if we say B1, B2 and B3 . B1 is my licensed business, B 2 is
Platform business, which is an annual sub scription model. And then there's a B 3 business which is based on which is also a platform where we offer the platform like GEM, and we charge on the transaction basis of percentage of the business basis. So that's based on the volume of the customer pape r use kind of a platform which is a B3 business.
So, B1 B 2 B 3 are the 3 possible revenue lines which we call license link revenue on the 3 B one plus B 2 plus B 3 become licensed links revenue while B one is not recurring in nature only AMC is recurring after that.
B2 plus B3 Plus AMC become my recurring revenues, so these are 2 points. We need to explain what license link revenue is and what is annual recurring revenue. When I mentioned in the beginning the annual recurring revenues are AMC plus B2 whic h is the annual subscription license plus Transaction license is the B2 plus B3 plus AMC is my 3 -revenue stream pool into call annual which is around 741 cr per quarter via did this quarter.
And license link revenue which INR 1100 Crs we did is which is di rect license plus B2 plus B3 joint from my license link revenue which is 1100 cr.
Now, after successful running of GEM platform, we are fully in a stage where it's growing quarter on quarter and last year it views much faster. It will not grow at the same pace as last year it grew

because that's the time when government sales moves from 30,000 Crs to one Lakh role in a single year and this will grow off 50% to 60% levels.
Now we have picked up Xponent platform which is Based on AI. That is not gaining tra ction. The revenue is not starting, start building it up. So, in a platform business I need to put up a constant team. So, when you set up a platform, it means you're setting up a constant investment. A typical platform investment for building a platform c lose to $5 Mn per year.
That's a typical model in US typical platform. When you look at the investment lot of fintech companies are coming with a platform each.
From the cost between $5 - $10 Mn per year on a constant basis on the platform. That's what whe n we are building GEM we are spending that kind of money on the platform. So that is the axis which is flat axis . If you look at the graph a first period when you are at only 2 customer or 3 Customer, your cost stays 5Mn while your expense will be.
Those 2 revenues will be 1Mn, one and a half million. It will grow step by step and to match it takes 3 to 4 years to match the revenue between investment and what the annual subscription revenue start coming in but when 5 customers because so typically 5 to 7 c ustomers at $1 Mn each will be good to suffice a subscription -based platform investment.
So, once we sign 5 to 7 customers, the platforms could be break even, but then 7 to 20 customers, my incremental investments in the platform are not more than 20%.
It's varied between 10 to 20%, so my RPR revenue per person who is deployed on the platform. Business moves up Multiple times in the platform, story and platform story is the recurring revenue which has got in next 10 -year lifecycle value which revolves aro und the platform.

So that is the 6 -platform story versus 10 product story. Now the next question comes to your mind is. Is platform cannibalizing license revenue?
Now for looking at it, we found that there are certain markets we can take certain products a nd certain markets are suitable for platform and certain markets are suitable for license and certain kind of customers are suitable for license. So, tier one customers are suitable for license while Tier 2 tier 3 customers are for platforms. Similarly, ce rtain markets behaviours are they want to buy license. So, if we intersect this, the platform will be country specific and focused customer specific. When I'm looking qualitative of the markets I visited, spend some time in U.S.

market. This was a
concern as the investor you are highlighting. When is the US market traction will be start moving in. Now this year we have visibility that US will move 50% growth in the US market.
U.S. market we have 2 platforms, one is Xponent which is underwriting platform. We are working with close to 22 prospects in the US market led by iSeec and similarly we have iGTB platform. Which we are having a close to 24 prospect we are working with IGTB on the second platform so U.S. market our strategy of platform is now starting getting cut traction and that is giving us a confidence that in U.S. market which was just going slow in first 5 years of a journey where we kept on making a lot of investments in AI machine learning data. Now I started paying off because the product that we have is there one of the unique products in the market and that platform gives magic submission, data and underwriting platform all integrated, and which can be implemented in less than 3 months' time or on board the customer 3 months' time using the A I machine learning cloud technology.
Similarly, Canadian Market we invested the full kit investment in Canadian market and that has started delivering results. Canadian market has got all the Intellect Suite products including treasury. Even for banking p roducts in the Canadian market, so Canada is becoming a wholesome market for Intellect.
In Europe, if I come to Europe, we discussed about Europe last time. What is selling in Europe? Europe is now looking at the new investments coming in Europe now. Firs t, the good news is that they are now looking for modernising their old systems, a legacy which is a 40 -year -old legacy. They are looking to upgrade that, and they are upgrading with an extraordinarily strong architectural mindset.
So, the difference in Eu rope and other parts of the world is Europe like German focus or French focus UK focus our focus architecture. And because we are focused, Intellect products are designed for open finance, composable and contextual platforms. And then we have the ability for micro services to be composed across core lending and credit card. These 2 combinations, one on domain combination of 4 lending and credit card and on other side, we have a data AI, machine learning, cloud, micro services, cloud compliance.
The number of prospects is increasing every day. Rajesh can take you through the journey, but his hands are full, his capabilities are full. There he needs to add the capacity very quickly in that area, and especially after we got a reference one another reference cl ient going live in Germany with the open finance platform first of its kind, which has gone live while my competitor may say that they have open finance, but we may not have a reference site for going live. This Funnel is moving better.

In UAE, 7 out of 9 Top banks are our customer. Now we are expanding. Saudi market is doing very well. We have 5 customers in Saudi. So, this year or so on Europe side, our focus will be Germany setting up a newer operation in Germany and France, in Middle East Saudi will be our expansion. Africa market is growing on the back of quantum. It is bringing leads from various unique country. Sometimes they are very fascinating country. We are some of it. I have some time I don't even know the name of those countries. Before gettin g RFP, so it means it's coming by the pool of the quantum. They are approaching us and then we are going to those markets because we don't have those connections like Mauritania or Madagascar. We didn't have any connection, it came from that side, so there 's a particularly good news that when products start getting the cooling effect.
Similarly, all the product lines are operating in Africa market.
APAC, we did an excellent job in last 5 years.
So, we have 9 banks in Vietnam as a customer, 9 banks in Philippines, our customer 7 banks Malaysia 4 in Indonesia.
Now

, this is a time when we need to start looking for deepening our relationship. So, we shifted our office in Vietnam as a centre that how we can do the business impact from the implementations w e are doing in Vietnam market and how we deepen the account, kind of a model in APAC.
In India, obviously, as you all know we are present. We manage the critical infrastructure, whether it's RBI, whether it's a GEM, LIC, or AMFI.
9 of the top 10 private b anks are using our technologies.
Sri lanka we have some presence not getting impacted with the turmoil in Sri Lanka. Bangladesh, we have a Sonali bank partnership. Now we are looking for more entry into Bangladesh.
So, this is about market analysis. Well, last time somebody wanted to know, what are the market footprints, so answering question individually I tried to put all the slides for all the markets in this time as a qualitative.
The other thing which is happening on the product side or data platform? Yes, in machine learning platform now we are start getting it in monetization phase of it, so last 3 years it took to build this platform. So, first platform which is there is DOC 2 API where we have a contextual using CDR graph technology. We can read lot s of value in document reading our accuracy across periods. If you had 10 pages of document and you must contextualise between first page and 7th page, our technologies can do it, which many other AI technologies are page by page technologies it can read any context from any doc, PDF, document.
Now we are using that technology to go to market. We use this technology from Magic Submission for underwriting platform. We are using the same platform for Magic invoice, and we are using the same technology for iCo lumbus.ai for LCS and guarantees document with their so Doc2API, 's underlying platforms. It is a one -time investment but we are building in multiple use cases for looking at.
Then our data platform now we started spending some time on that. Go to market o f data platform.

We found that or we are such multi question search is incredibly unique. Search combined with big data in Mongo DB and contextual algorithm.
So, for next quarter launch for complex risk requirement of large banks and insurance company in area underwriting and risk.
The 3rd platform or 3rd technology is what we are working with. Integrated banking platforms and PBCS is creating a demand In the market, especially in Europe.
Quantum, as you mentioned, it's a consistent winner. Xponent, the pl atform, is gaining momentum. I mentioned digital transaction banking is our core cash cow for us with Microsoft Azure Partnership. Now we have started doing prospecting name prospecting.
With the increased interest rate scenario, liquidity management syst em is now getting a lot of RFPS now, and Wealth Cube is moving from 3 buckets of the products P1 , P 2, P 3, But it's moving from P 3 bucket to P 2 bucket and IDC is moving from P 2 bucket to.P1 bucket.
So that's how that this transition is happening.
Othe r slides, you can go through how the analyst readings are there, which is each analyst is covering our product. So, Intellect is now in the top 3 players in core. Banking between thought machines, Temenos and intellect. Many RFP 's we are getting qualified in that area. We need to increase the ability for presales and partnerships. So, these are the 2 things which is our core agenda
Thank you very much
Praveen Malik
Thank you, Arun. Now the platform is open for the questions, please click on raise your hand to ask your question. The first question is coming up from Mr. Mohit Jain of Anand Rathi Securities. Mohit you can ask your question. Please unmute him.
One was this QnQ drop in SaaS revenues. So, what happened there? And if you could give us some split o n if it is pure SaaS license or is it SAS license plus Saas implementation?

Arun
Why did that drop in did not drop in Saas?
Mohit

Sir, in dollar terms, there is a drop on a sequential basis.
Arun
Quarter 4 to quarter one OK.
Mohit
Q4 to Q1.
While we were thinking sat through any seasonal fluctuations.
In some region.

Arun
No, no in transaction based. That's why I classify 2 platforms. One is a transaction -based platform. They'll be fluctuation in transaction -based platform while the.
Annual subscription -based platform, they will not be dip.So, direction is that.
Mohit
So, we are looking at this 1160, this is total, is it? That's why.
Mohit
119 that is right, that is correct. So that. Marginal dependence. GEM Quarter 4 we have a higher volume
Mohit.
OK, so that was one now. Second was on your margin outlook. Now what you have spoken about is there could be a 3% -point drop. It's in R&D and other things, while if you look at it from a YY perspective, they're already a 3% drop, so what we a re referring to is from Q one margins. We may decline. Or is it? The comment is more related to Q 1 23 Vs.Q 1 22.
Arun
Yeah Q 123 versus 22 so we have. We are reinvesting our margin for platform and learning, so our margins will be in the bracket of 22 to 25% bracket, not 25 to 30% bracket which we were earlier are targeting.
Mohit
22 to 25. Sir, that's the steep drop from 25 to 30.
Arun
25 to 30 to 20 -25 and with the 5% we are investing; we are investing margin investment. We are doing. They're not rais ing any capital for the platform learning.
Mohit
So that was like and 3rd I think you were used to giving us this capitalized amount, which is missing in this quarter's presentation.
Arun
Yes, capitalised amount is mentioned like 35 Crs mentioned in a I s tart there in presentation. We'll just look at 35 per user. It's around equals.
Mohit
So, your capitalized amount has also gone up by the same quantum in that proportion.

Arun
On the 3 investment I mentioned, the platform as a R&D investment so capitalize d investment, so we apply only. So, if we are 6 platform, our investments are close to between 25 to $30Mn Plus product investment
So total investment. We are only capitalizing less than $20,Mn investments. So total capitalization investment when we are s aying from the beginning is around $20Mn.
This was mentioned in an earlier call also, but not the exact number was not given because that time we didn't have the budget approved. Now the budget approval of the capitalization is through. So non 140 Crs whi ch is around at current currency rate it will be close.and 18 to $19mn $
Mohit
So, this amount is INR. Is that correct, or will it fluctuate depending on the exchange rate?
Arun
It also there are people in international product managers are sitting in UK o r in USA.
Mohit
OK, next was on the ARR. While I heard your comment, I was not sure what is included in the ARR which you have shown.
So, if you could just help me understand that part.
Arun

ARR is which is annual recurring revenue which consists of a platform. We say B 2 platform which is annual subscription revenue B 3 which is a transaction subscription plus AMC.
Mohit
So, platform subscription plus platform transaction plus AMC.
Arun
That's right
Mohit
implementation, these are not included in this. And you multiply that with 4 to give us a picture on. The annual basis.
Arun
That's right.
Mohit
Perfect Sir and last one.

Arun
When we are giving LTM.
We are giving LTM now. We're not even giving forecast number. We're not multiplying it, we are reverse. Now we are giving a more correct picture of LTM because LTM is available.
So, the number that you have given in on slide 11 is LTM number, not annualized, not quarterly analysed.
Let him.
And not a quarterly analysis because that time last year game we analysed and that was a question raised by one of the investors that why won't you give LTM?
That will give you the better picture.
Mohit

Right and so. Finally, US is looking up the from the currency record. Developed markets are finally coming through so you have given this growth target etc.
Any percentages split like how small or large are we in the US currently from where you expect this? 50% growth
Arun
Not, right now ?
Mohit
Approximation will do, Sir.
It is mild right now and I think it will go better, but the US is catching up and company entering US.
Last time you said last year you were looking for Europe so the story over here is calibration, curated, calibrated.
Growth country by country product by product country. Now getting last time you had multi order question on US.
What is happening on US?
S&I didn't have a risk on Friday.
There it is for last many quarters. I had that question. But yes, good to see. Finally, you guys are moving there.
If I didn't answer, I didn't want to tell you, so anything wrong on any hopes of that nature. I told you I didn't. We didn't have a time. We are working on it so now.
The results are. There now the visibility is clear. I can Speak to you.

Mohit
No perfect sir so FY23 hopefully. We'll see more growth in US . And last was our gross margin, which is a linked question. But when we improve our growth rates in the US, should we expect gross margins to improve during the year?
Arun
Not this year FY 24 you'll see significantly improved this year. I think platform i nvestments are higher. We must invest up front on that now we must invest up front on POC 's. So those investments go up in a cloud platform business.
Mohit
OK. Sir, I was referring to Gross adjusted for R&D excluding R&D investments.
But FY 24.
Arun
And b ut some improvement will be there in gross. But still Pocs investments.
Sometimes it goes into delivery investment. If you book the POC all into sales and marketing, then there will be gross margin improvement, so I'll just say.

Mohit
No, no, the current n orm is.
Fine, we are used to having this right.
Arun
OK.
Mohit
Alright, Sir, thank you very much and all the best.
Praveen
Thanks Mohit. Next, we have Mr Vivek Charoria for HNI.
Please unmute him, Vivek, please ask your question.
Vivek
Yes Sir, thank you for the opportunity. So, this quarter we saw a sharp jump in the pre EBITDA number 390 Crs INR to 425 Crs INR
Do you think the bulk of the jump is behind us, or should we expect a similar quantum testing as we move from 70 to, say, 80Mn or $85Mn ? How much would the cross?
Drop for every say 10% growth in revenue.

Arun
I've got the numbers , cost numbers in lumps $15mn brackets, so our cost with the opportunity available at costly woke up in Q 2 is not an end of the cost increase which y ou are seeing, it will be Q2 also will be the higher increase the new fresh intake is. Also, there at count. Also, we are planning for the $90Mn number. So, this quarter will have increase. Q 3& Q 4. for salary increases Travel increase but yes, traveling fees will not happen in this next quarter. Travel increases of pre COVID level now come to the almost 80% level in Q1.
20% differential will happen in Q 2, so these are 2 places the Q 2 pass fail increase, but new headcount cost in Q 2 will go up
Vivek
So, this new headphone cost? Is it in preparation for the 90Mn? What I'm trying to understand is so I'm guessing we'll be in the investment phase for another quarter or 2. Would that prepare us for a 90 Mn$ -run rate? Or I mean every quarter will? so say by Q 3 our cross structure should be aligned to 90,000,000. I'm just trying to understand when the operating leverage can play out.
Arun Jain
Now if you play last year Q2 costs, number went up by something I don't remember the number, but there was a when I had a call on October the number went up, so Q 2 & Q 3 number went up, 2 quarters number went up on the salary cost. That was the time when we were preparing from 55

$Mn to $75Mn , so that $15 Mn. Jump, as seen in this quarter, so in 3 quarter later you've seen the jump.
And that number got accommodated and, bottom margin is around 21.6%.
This time though, 3% is a drop compared to 25%, which is normally in industry which happened. Which is the talent cost increase and the travel cost increase. So now whatev er we do in Q1 Q 2 cost increase will service us for the next $90Mn Run rate.
Vivek
Sir, any colour on the top line growth? Or are we seeing any headwinds in Europe or other parts? And what is it 2 to 3 year outlook? I mean, are we still hoping to hit 100 million 100 in the next 8 to 10-12 quarters? I mean some colour and how confident are you of achieving that? Or is it only a case where we need to just Increase the capacity to service the demand.
Arun Jain
Demand is there. Healthy demand is there. A mark et is looking for privacy -built quarter the wave. We saw last quarter, 1 or 2 deals here and there, say Ukraine Deal 2 deals so. Because of Russia, we dropped on it. Otherwise, we have. We are seeing a positive traction right now in Europe and America, so now I've given the commentary country by country , so I'm not even given a general commentary of advance market. So based on that you can make it out that 100Mn$ quarter on quarter. I think all of us are looking for 8 to 12 quarters to get into 100 $ Mn pe r quarter. So that trajectory we are working on Management Manish, Rajesh, Banesh

3rd Business (iseec) of banesh has started delivering substantial results. So, after last quarter, if you look at it, in 2019 we spoke that GTB is now got 100mn$. Then we sa id GCB will now work for next 2 years. Now then GCB started giving significant result, now it's a time, then look for, which is a 3rd business started delivering results from this quarter onwards with Xponent underwriting, AI, machine learning strategy.
So, 3 orders of 4 businesses. We look at it and have started giving large throughput. Now we must

spend.
I mean iRTM, but it's going as per a very calibrated structure so.
Vivek
So just one last question, so just trying to understand this once again, So, wh ile we're in the investment phase, our margins will be depressed as you said in the 21 to 22 to 25% band.
But when we're at 100 million run rates in the next 2 to 3 years, I'm guessing the margin should be much higher than that? Or would that be wrong, pre sume?
Arun
At 100 $ Mn level they should come back to 30% 35%.
Attend another level.
So, so that still stands correct.
Right?
Arun
Yes.
Vivek
Thank you so much.
Praveen Malik
Thanks, Vivek. Next, we have Ankush Agrawal from Surge capital.
Ankush
Hi, thanks for taking my question. Congratulations on a great set of numbers. So firstly, what I want to understand over here is that when you say that you will be reinvesting 4 to 5% margin to support platform revenue growth.
So, can you talk a little bit mor e over here? Like where is this investment going? Is it going on the sales and marketing front or is it going in the product R&D and you know, for how long you expect this to continue?

Arun
Ankush you should just understand when any platform is created lik e Naukri.com gets created or you take the easy.com that gets created when you create a platform.
Initially you put up a full kit team. You look it up, put up a few architects for their few designers for it so, it's the first test. Then you put up a full go to market team.
Marketing team so the money goes in all the 6th dimension of a business from brand to end customer to leadership to IP to execution and finance capitals. All the 5 fixed capital which we call belief as a framework.
All the 6 areas the inve stment goes in so that and that investment in a platform. As I explained it's cost $5Mn typically for a platform on an annualised basis initially the revenue.
Half 1 Mn to 1 Mn in the first 2 year or 112 y

ears.
Right?
And when it crosses $5Mn with 7 -8 customers then we can.
Ankush
Oh, OK.
Yes, sure.
So, then you know if we are saying that we are not investing in these products and these are going to add to the top line so you know, would you be saying that you know our outlook for revenue growth which was you know earlier at high teens to about 20%? That would increase substantially since we are now investing in additional platforms.
Arun
If we can do any product company so one point is product company, 20% growth is equivalent to 30% growth of service s Company because
Ankush
Right?
Arun
Will tell revenue.
Right, that is fine. That is still 10 what I was asking is, you know, earlier we had a framework.
You know that high teens to 20% growth and then you had this margin outlook of growing to 30%.
But now since we're investing more into the added platform, so shouldn't that add more revenues and then increase?
Not applying outlook because you know now, you're investing more.

Arun
And wish I stayed there like in LTM. We have 29% growth in LTM, but I stil l calibrated the business at

20 percent.
So, we may get higher number, but you still say 20% is the calibration of the witness.
Ankush
Yes, OK, so with this 20% growth that kind of saying and with the added investments so profitability would at least grow.
You know at that rate, or it will be much lower than that, because earlier we are guiding, you know X growth in top line and then you know a higher growth on the bottom -line front because of the margin expansions and all that stuff. But now things are inv esting more. You know who you knew, the higher growth obviously is not going to come because now invest in 45%.
But would it be much lower? Would it be like at least still what the top line is growing?
Arun
Margin number will go higher than the top line in this quarter. It was a change of the quarter, so this quarter number should not be reference number because this is a 26% tax.
Ankush
No, I'm not talking about this quarter. I'm taking it from the comment that you're in one invest 45% of the revenue, so t hat would obviously, and that is going to be continued for a couple of quarters 80s.
So, since for example last year FY22, I think we did about 20 of them in the OneNote 4 -5% more so. That would put a lot of pressure, obviously right.
Arun
No, Ankush you'v e seen last year you look at the numbers. It moved from 20% EBITDA to 28%
So, there is running leverage. Play also happened. So, 4 to 5% when we are investing back right?
That operating leverage lever between the top line and bottom line as a product comp any will always have that advantage. Today is the talent cost, which has gone up in the industry.
But once it's cooling down, that impact will not be so much in 23 -24, so margin will improve.
Going forward, it will bring faster and higher than the top line growth.
Ankush
Yes, I got it. So, we're saying that you know, even though you are making this much investment, there is an element of operating level and that could push on some.
That's it.

Ankush
Yes, so lastly just on the use of cash. So now we have mor e than 500 cr and you know obviously we had distributed some 100crs to the AIF investment, but that is going to be in the future.
It will be more, you know, piece by piece. So, any thought on how we're going to use this scale, because historically we've m entioned that.
We are not so much interested in inorganic growth, and we are still going to generate a.Lots of cash.
This year as well. So, any thoughts on that?
Arun
It's still sufficient, or it's a one quarter cash. We have 531 cr currently, venue, 558 Crs cash. I think the product company need this many cash as a bucket to reserve. We'll talk about it when we cross 1000 Crs cash.
OK, so you want to keep some 5 -600 crs cash is what you're saying.
Arun
Yes,
Ankush
OK, OK, I'll g

et back in the paper for t he question. Thank you.
Praveen Malik
Thanks Ankush. Next, we have Mr Moez Chandani from Centrum broking.
Moez Chandani
Yes, hi good evening, Sir. So, my question was on the employee benefits and on employee attrition.
So, are you seeing a decline in the employee attrition both on the senior level as well as the junior level?
But that's one, and secondly, are you also, I think you mentioned that you're going to hire a lot more people this year.
So, can you just give us an idea of how much is the hiring exp ected to be this year as opposed to what it was last year
Arun jain
OK, so the 2 questions you asked rather. 3 questions you ask first is attrition level yes, we are seeing the pattern. It's dropping since May onwards. You know the start -ups issue started happening it's dropping now. Attrition is dropping. Attrition is second question.
You ask about, Senior level attrition for us is less than 10% from last year, even yes, last Year we didn't have a senior level attrition.

I think we have an extraordinarily strong culture to the team there. That's not a concern last year. Also, attrition was in the bucket of 2 to 5 years bucket that is because we may not supply them the global opportunity of going to send them to one body shopping assignment. So that's the ar ea where we are now refilling back with a strong module of fresh engineers and creating a Fintech engineer program for that, that's an attrition exact number for this year. How much we need to recruit. I think that plan is not fully worked out. It will be in between. Last year I thought we would have done 800 -900 so this year will be similar number may be there.
I think we need to work it out with the platform. Right now, that room study. So, I'll come back.
As of now we are not found. Will take some time to form that another one or 2 months from there.
Moez Chandani
Sure, thank you for that, Sir. And when are the salary increases being rolled out? If you can just remind us.
Arun
In our case it's the major load of salary is happening first quarter and secon d quarter and, but it says quarterly cycle, so we don't have a one single cycle. We have a rotation cycle.
Moez Chandani
Sure, and the salary increases that are being pulled out this year are in line with what was last year. Or are we doing better in terms of salary increases.
Arun
This year is higher than last year.
Moez Chandani
All right, thank you so much.
Praveen
Thanks, Moez
Next, we have Mr. Aman Thadani from Solidarity. Please unmute him.
Aman, ask your question.
Aman Thadani
Hello, can you hear me?
Thank you for taking my question . My first question is can you help us understand the target addressable market basis? The products that we have in each business division

Arun
Yes, so when I look at the market, I told you about each product, so I took you through the market presentation deck. And look at it. Which products are relevant in which markets? If you just go back to that presentation, I think yes, I don't repeat the same.
Aman
Size of each market or on each product that how much can we do for our transaction business or how much can we do for our core banking business?
It's the size.
That would be off at each market.
Arun
Yes, we are not announcing how much revenue per product per market, so that's what we don't announce its overall number. We cannot. We don't want to do that for our competition, so we don't. Let's see.
Add all those numbers.
Aman Thadani
Yes, yes.
So, my second question is the products that we offer to banks so did banks replace the existing software with ours? Or did we make an add on software which they're using above the legacy software?
Arun
They do both those things some of the time when we have complete digital transformation, we replace the existing banking product.
And then we do a specific platform. They act as the

per iphery solution, and they coexist with the
existing solution. So, both those things are there.
Aman
Can you help us break this down? Like what proportion of our revenue would be? We are replacing someone and what proportion it would be that we are offering something completely new.
Arun
how will it help here?

I also don't track it.
How will it help you to forecast?
So, I think we don't.
Do over analysis of the numbers so.

Aman
OK, so that is it. My from my side. Oh, thank you Sir.
OK, thank you.
Praveen Malik
Thank you, Aman. Next, we have Mayank Babla from Dalal & Barocha.
Mayank Babla
Thank you for taking my question or Sir, I understand the early part of the call. I missed your commentary. You're going to, you know, spend this year for this product an d R&D.
So, what was the amount that will be routed through P&L and what would be capitalized? Could you just like elaborate on that?
Arun
Yes, typically if you look at 6 platforms, then $25 Mn - $30Mn between 25 -30Mn$. We expect the investment in all the b uckets. So, but we are capitalizing only small piece of it as our capitalization amount is staying in less than $20 Mn. It will be close to 18 and a half, will be the investment in the capitalized amount. Rest of amount is expenses out in sales and marketi ng or expense out in R&D or software development expenses. All the 3 heads we get expensed out.
So, almost 70% amount is expensed out for 30%. Amount is expensed out
Mayank
OK Sir, got it, that's all from my side.
And best of luck, Sir. Thank you.
Thank yo u, Sir.
Arun
Prabal would you like to summarise
Prabal
Yes, of course.
See there are couple of things you know. We have discussed lot of numbers and questions from investors, I think, there are just few points which I would like to leave you with. You kno w in a quarter like this, which is quite a pivotal quarter in many ways.

Remarkably like 2 years ago, in July 2020 when we started on a new journey and the results are something which are there for you to see. So, this is also pivotal in that sense, and I think Arun has spoken a lot about. The big crux of the crux of this quarter, which is Journey from product to platforms and that is fundamental in this entire journey of product stack to products, to platforms to ecosystems. You know in that entire journe y, this is which, we are highlighting today is very, very fundamental. The important thing for all of us to understand and appreciate is that you know the company as we have showed earlier is built on 4 fundamental pivots.
And we continue to remain. One on this on these guiding principles and foundational blocks, so to say, and I'll just highlight those 4 in a moment so that you know, we all have mutual understanding.
Before fundamental pivots are one that we are an IP led company And monetization of IP thr ough new and innovative business models is something which is the core DNA of this organization. And that is what creates value.
And being a young company, of course, our priority stays to populate the market with their IP 's so far it has been product. No w it should be products and platforms. So, this is the fundamental of an IP led business..
Important pivot is that we will continue a path of calibrated growth with predictable profitability. So, we will grow, but we will grow in a calibrated manner in sel ected markets ,in our chosen accounts and so on and so forth. And with a predictable profitability.
The 3rd one is that our growth with respect to competition will always be market leading.
So, we do not want to give numbers of 25%, 30%, 20% all of that. W e have said that the organization is geared up for 20% types of growth. But it will be market leading depending on where the markets are. The world is not in a good place as all of you know, so therefore, but we will be market leading with respect to our c ompetition.
Th

is growth will require continuous investment in the IP. And in the business to keep the technology contemporary and ahead of the curve, right. We talked about this in length in the technology day and I think this is the 3rd important pivot th at they'll be market leading growth.
And that growth will require continuous investment right. And 4th important pivot especially

important pivot is at this growth and investment. People will not be capital diluted. So efficient capital allocation will be the cornerstone of our growth strategy, which we have mentioned earlier, and we continue to do so. There will be no capital dilution.
But the moment you put all these 4 in a bucket in terms of a strategy, it becomes obvious that to secure a future in terms of the new opportunities which are coming in their marketplace in the current context it is platforms. Investment for that will necessarily have to come from the existing cash flows.
And that is the point which Arun was making that you know, the trajecto ry which we have talked of a Ebitda so far of 25 to 30% that trajectory
Will get compromised because we will use about 4 to 5% of that and put it into the bucket of investments. Now it will be 22 to 25% of their efforts. That is the the crux of this entire .

So, if we appreciate this fundamental precept, we will know that the company is going to create the institution which we have always talked about.
We are on a certain path which we have chosen for ourselves and it's all about the choices we've made. Now we see massive opportunities. In the platform player, which I think Arun mention that and which is really an extension of you know the solutions to ecosystem play, which we had outlined.
So before this current state what it does for us.
Just to give you a benchmark is what it did for I -Flex. In 2008 -2009. Since then, the I -FLEX has not grown significantly. If you have seen they've not grown at all in many, many years, but look at their cash flows, their margins.
It all is a result of that phase of IFLEX fro m 2007 to 2009.
I think, and I dare say, that you know, we are being a young company.
We are creating revenues and avenues for future flows from this platform.
And most importantly, it does not cannibalize the existing revenue streams because the large ban ks, as mentioned tier one banks will continue to the usual license route and all of that. So, we are creating new opportunities to avenues growth by monetizing.
I think this is a very fundamental shift and a fundamental or fundamental importance to underst and.
And so, therefore financials you have seen both why? Why only why? As well as we have been healthy on all parameters, the pipelines speak for themselves like 600 Mn to 800 $Mn in one year.
He's saying a lot. He's saying a lot.
And the average deal siz e of course has gone up, and all of that.
So therefore, I think we are on the chosen path within the choices we have made and sticking to the part of you know, making a sustainable business.
Which is the value creation being there?
Thank you.
Arun
Praveen any speaker.
Praveen
Yes we have few questions. Can we have ?
Mr Rohit Balakrishnan from I thought please ask your question

Rohit Balakrishnan
Yes, hello Sir, am I audible.
Yes, yes otherwise.
That's great.
Praveen
Please go ahead.
Rohit
Thank you for the incredibly detailed presentation, Mr Jain, I just had it was answered but just a couple of clarifications. One was the part that light's part that you explained towards the margins is it. So, to understand this, is it the right way that from H2 FY23 or probably Q 4 FY23. The margins will be back to what they were. Let's say I mean to the to the earlier guided range and from there. On that the margins will see an expanded part, as you explained that whatever platform that I mean, platform revenue that.
Is that the right way to think about it?
Prabal
Yes, ab

solutely. So, the thing about.
It is in in.
Still see the choice which we had. Now. let's just step back for a moment. The choice which we had

now is because of this emerging platform play, which is sh owing a lot of traction. If we did not invest properly in this area, we could have remained at 25 -26% margin very easily.
But that is not the wisest thing to do.
So therefore, we are creating avenues for future growth apart from product license. Product li cense stays. I mean that is something which will remain. But these are creating different avenues with the same IP and that is the beauty of an IP, lead model at the end of. But obviously there will be a glide path. And there will be a, you know, just that 's why I gave the example of I -Flex in the 2008 and look at it today. I mean Nope and yet cash flows, right so?
Being a young company like ourselves, our priority is obviously to populate the market with as many products and platforms as we can in the nex t few years.
So, the aim and the ultimate sort of goal at the end of all this would be when we reach a certain mature phase, we'll have enough populated Products and platforms in the market which will give those cash flows? Yes, absolutely. Whether it's yo u know one year or whether it's one and a half years or 2 years, that that's a moot point Depending on how? Because you see today we have faced with 2 things. The entire industry is faced with cost increases, we all know that.
Plus, we are opening after CO VID that also we know. Plus, we have this platform opportunity. So, all 3 are coming together and that is the reason you see this, you know this minor recalibration of the EBITDA path which we have talked about.

Rohit
No, no, no very well explained, Sir. A gain, thank you.
Much so the second question was so now the subscription. Or now we what we call this platform is about 116 Crs this quarter, so one question that I had was, so we don't show GEM how much it is. But I'm assuming that GEM will come from Cont ract renewal So just I mean just.
Qualitatively, can you share like a what? Is there any risk on that part for it to sort of? And I mean I don't know how much you can share in terms of how much quantity in terms of quantum it is there, but as an investor a nd I just wanted to get that part understood from you from a risk. But if you let's say somewhere in number 24 if my understanding is right that that revenue is going to come for the contract is coming for renewal.
Yes, he's asking about.
Unfortunately, bo th announce it and just not right in a confrontation with the government. So unfortunately, what questions are asking, we cannot answer right now.
So just if I can sort of, I understand, Sir, I mean. But if you can give you if you can give some qualitative commentary in the sense that my context of the question is that.
It's difficult to build it up anywhere.
Arun
This platform, so once you design the chances of extension are higher. Substantially higher that TCS has a passport office, so unfortunately, I c annot show it, so I'll leave it at that, right?
Rohit
OK, sure. All the absolute best, Sir. Thank you very much.
Praveen
Thanks, Rohit. Next, we have Mr Rahul Jain from Dolat
Rahul, please ask your question.
Rahul Jain
Yes, can you hear me?
Yes, thanks for the opportunity. Just wanted to understand and sorry to hop on the question which has been asked here.
The need for the investment on the platform side.
Is it also led by the volume demand in the market and where some of our past the power and the prog ress to win 4 of our existing products may not be as sharp as we may need to, and that's why there is this sudden need for investment?
All this you think is a logical investment which any R&D company has to do as part of the business equation.

Arun
Rahul, how many companies are entering to US market with a platform from India, even Europe. It's exce

edingly difficult. 20 years mark platform is coming from India. Europe companies also on a big organic basis, not inorganic and acquiring and bought the company.
These investments must have a big opportunity in Europe and America to leverage using platform and building a recurring revenue stream.
It's Such a big opportunity. your company has built up.

Rajesh has built up. Manish has built up. which is a n eed to be supported by that?
And this is getting supported from the margin redeployment, not by capital generation. A 4% margin redeployment is very normal for any business decision from board levels.
Rahul
Right, right, and, just to extend the thought in terms of, as you, as you said, the kind of product which is relevant for that market. So, if you could share your thoughts on how the current product would compete with the likes of. Have seen which product like mumbo or thought machine or.
You would say that., this kind of products
Arun
Rajesh, only take up the question . Yes, competition with the thought machine, and sure.
Rajesh
I think let me before answering that question.
I've been listening to this conversation. Let me give you a little bit of busin ess commentary. Spatially looked from a retail banking or a core banking perspective.
Yep, I think the way we are looking at the market is really if you look at our products right, we have 3 products quantum We talked about it right, so a very specialized product that we built for central banks on the on the back of our win on RBI, right? And in the last 4. Quarters we have 10 deals on Quantum.
Right, so that's the kind of momentum we are seeing, and that's the kind of momentum when we say that Arun talked about the pull being generated.
Today we have called for opportunities right where we don't have to go and sell, we are getting pulled in by that demand that we have created from a product perspective. So that's about Quantum. It's a leadership product. It 's going from strength to strength. We have made a lot of progress in in Africa, middle east we recently won. I think it's in the news the Saudi Crown Prince has talked about this new country. We have won the quantum banking deal for new So, it's.
So, we a re seeing a phenomenal momentum in quantum. We are now seeing some growth in quantum even in advanced markets.

So, in the in the coming quarters, hopefully we will be able to take quantum to even advanced markets, so that's on our first product, which is q uantum, the second product which Arun talked about which is moving from Phase 2 to phase 1 is our code banking product and you saw in the list of deals one we want 4 deals last quarter on the Core banking. As a product That's again, if you compare if you g o and look at what temenos is winning, or Oracle is winning we are in the same league from several wins perspective or we are also seeing momentum on lending.
You saw 4 more deals were announced where we won or lending so from a product perspective, we have a noticeably clear strategy.
We are focused on quantum. You want to take it all IDC is a on a hyper growth, trajectory now and lending we want to take now? Let's talk about platform so what we have done is we have from a retail banking perspective we ha ve 2 platforms. One is of course created 360 platform which is typically targeted towards Europe, and we have an open finance platform which is again targeted in Europe. This is a platform which Arun talked about which has the breadth of code lending and cards. We are in a unique position to offer that and what we are seeing in the market is that many European banks, regional banks as well as large banks are looking at modernizing their platform. So, we see we are in a helpful position in that and if we sp ecifically talk about Europe, we are in the large 5 deals we are in the last 3 and guess Who are our competitors in all these?
5 deals, right?
It is temenos, it's Intellect an

d it's Thought Machine
So, we are now in the same category as a temenos and a thought machine where Temenos brings the functional depth it brings the brand name.
It brings a lot of references, thought machine is building a cloud native architecture. What we are bringing is the width and the depth as well as the latest archi tecture. So, I think many of these deals we are seeing a lot of competition happening between us, temenos and thought machine. Some of the deals thought machine add some of the deals we are ahead, some other deals, seminars, add, but it's a net fight in ma ny of these deals in Europe that we are seeing.
So, I think that's what I would like to say. Yes, if you look, look back and see Temenos Capital Day presentation you will see that even Temenos has recognized us as the second is coming closer to them from a winning deals perspective. So, I think that's where this platform story.
The open finance platform story of Europe and the i cloud 360 platform is fitting.
Good momentum in the European market.
Is what we are seeing both in UK as well as continental Europ e.
Rahul
Right, OK? So yes, appreciated the colour and sorry if I can ask one more.
You know, just to some of the entire thought processes what, I found is that we are getting into

newer market. We are getting better acceptance in the market for that offe ring we are coming up with new offerings which also expand their market scope and positioning.

And then we are also getting a lot of proactive deals because of the kind of offering we have now when we have this kind of accelerated thought process.
In term s of the revenue potential and we are also investing more than.
More in the business somehow the margin comment is noticeably clear, which is getting aligned with this kind of thing I thought that you have, but somehow the growth comment is not reciprocati ng the same enthusiasm. I think somebody else also asked about this but is it somewhere like the real advantage of all this exercise will come much later than in the recent year, and that's why you are trying to not give that kind of review right now, or t his is more about being conservative in general.
Arun
Whatever you interpret is fine
That's OK, but we are seeing our LTM is 29%.
We, I think calibrated growth. We had designed the original 25% growth. We don't give a Guidance, so we told guidance we stop ped giving, but we're seeing how the business is designed and we are sharing.
9 principles with Prabal shared and I am sharing what interpretation you want to have it. It's your call as analyst. What you want to look at it.
Right, so, and then 29 per cent growth we have proved in last LTM so Community can be better. It will be good for the investor, but there there's no point of looking at it.
And my competitors are not doing more than 5% 7% single digit growth in my entire product journey. If I'm growing 20%. I'm incredibly happy and if you 25, 26, 27% happening.
Lucky to have everybody on the same page and we have many strategic deals on the table. We have 15 strategy deals on the table.
It is dealing more than $10Mn.
Deal it can change the colour of the growth differently, but there's no point of until the time we win.
The 15 deals of the nature which are now getting us into 10 Mn$ to 100 Mn$ Range, so we are fighting in many deals which is more than $50Mn after RBI division. We are now getting to 50Mn, 100 $,Mn deal fights with temenos then with thought machine so.
We already until you choose, but specific number to put it. I think you don't want to put. We said what is, what is. What is my design principal design principle is 20%.
And the rest of it is interpretation. What we succeed.
Rahul
Thanks a lot, that that's quite interesting, thank you.
Thank you.
Yes, this is.

Praveen
Can we take couple of more questions?
Arun
This is already 630. Now you can just take the question

by writing.
OK.
So, one last question we can take at least.
Just last question
Praveen
Yes, the last question Ashish Das from Sharekhan, Ashish, can you quickly ask your question.
I said, am I audible?
Praveen
Yes, yes, please go ahead.
So, thanks for giving opportunity or 2 question s. Yeah, I understand you stopped giving the revenue growth guidance, but at the starting of FY23 you mentioned 20% but now you stop the guidance. OK, that what is that reason? And second, last quarter when you commentary you mentioned that you are enter ing into 3 new markets, and you want $10Mn per country in next 3 years. Now you entered the US. So, Is that outlook still remains Yes, that's right. It's the same outlook we can get now Saudi and France and now.
we're looking at Germany so that commentary stays, so the guidance we've never given in guidance. We always said designed the business for calibrated growth. But it's understood as guidance. So, which is, OK? Its understanding is there? That's what we design the business because.
Uh, there could be difficulties in license revenue. Sometimes we can win in an exceptionally large

deal and still is so other quarter we may not win.
A large deal, so it's not quarterly.
Then we are looking at them as a growth chart in Lt and we can ensure that it will be 2 0% design.
Ashis h
OK, that makes sense. Yeah Sir, yes OK.
Thank you.
Sir, thank you so much.
Praveen
Thanks Ashis h

So, since we have many questions, we request everybody to please do write to us any questions which we might not be able to take because of the shortage of time.
And thank you, all of you for attending the call. Thank you so much. Now we can close the call.
Thank you

Call: Nov 2022

Intellect / SEC / 2022 - 23 November 04 , 2022

1. The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Code :
INTELLECT
2. The BSE Ltd.
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835

Dear Sirs,
Sub: Transcript of earning call held on October 28, 2022 for the 2nd quarter of FY 2022 -23

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , enclosed please find t ranscript of the earning call held on October 28, 2022 for the 2nd quarter of FY 2022 -23.

The Transcript of the earni ng call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,
for Intellect D esign Arena Limited

V V Naresh
Company Secretary and Compliance Officer
Encl: As above

Greetings and welcome everyone.
Thank you for joining us today to discuss Intellect Design Arena Limited Financial Results for the 2nd quarter of the Fiscal Year 2022-23 ending 30th September 2022.
The investor presentation in the press release has been sent to all of you, and is also a vailable on our website. Our leadership team is present on the call to discuss the result. We have with us today:
Mr. Arun Jain, Chairman & Managing Director;
Mr. Prabal Basu Roy, Advisor to the Chairman and Director on the Corporate Board.
Mr. Manish M akkan CEO iGTB,
Mr. Rajesh Saxena CEO iGCB,
Mr. Banesh Prabhu CEO iSEEC
Ms. Padmini Sharad Kumar CTO
Mr. Venkat Saranu, CFO;
Mr. Andrew England, Non - Executive Director

Besides, some other senior members of the Intellect Management Team are also present in the call.
Mr. Venkat T will present you the deck and then the commentary will be made by Mr. Arun Jain.
One Safe Harbor: I would like to remind you that anything which we say refers to our outlook for the future is a forward -looking statement, which must be read in conjunction with the risk that the company faces.

I hand over to Venkat
Thank you. Greetings,
I will very briefly walk you through the investor deck. I guess the investor deck and PR is already with all of you. It is also available on our w ebsite and stock exchanges. That's right.
As we have articulated several of the earlier investor conferences and calls as a product IT led product, and platform organisations. Our results are best viewed on an annualised basis. On that note, we will start with reviewing the performance for the last 12 months which ended on 30
th
September. This period our revenues grew 27% moving from 2040 crore last year to 2087 crore this year. So, on an annualised basis, if run rate we crossed the 2000 crore mark in this square when we close this quarter. The gross margins moved up by 25% against this revenue growth of 27%, after moving from 931 close to

1166 cross.
The EBITDA margin moved up by 9%, from 417 to 455 crore; while the profit after tax has remained flat almost from 311 to 314 crore. The gross margins as the slide shows are fairly constant and the EBITDA percentages are 22% against 25% last. Collections during the quarter have been healthy, so the last one month collection is around 1905 crore. Going into the gr anularity of the revenue, the Technology Day 1 and 2 sessions which were hosted in 2021. We spoke about our progression from a products organisation to our platform, organisation and perhaps eventually to a marketplace. So,
the most gratifying metric that we would like to share is the stupendous growth in platform revenue that fund revenues grew to 62%.
They were from 276 crores to 448 in this license the revenues have remained flat. The AMC revenues, which are driven by progressive go lives and installatio ns co

ming on board have grown by
11%. License link revenue is the other key metric that an IP led organisation like Intellect would like to benchmark itself that is again growing healthily 20% north of 20% to run by 22% from 929 close to 1132 groups. The o ther one is the annual recurring revenue metric that we've been presenting in. Most of the recent investor meets, which is an assurance of future revenue streams that's again grown well by 35% moving from 587 crore to 79 crore. Now in the full year, the la st 12 months we had 41 wins, of which 14 wins were specifically in the last quarter. Look at specifically in the last quarter our revenues were at 528 crore which is a 17% year on year growth compared to the second quarter of last. Gross margins against th e 17% growth of revenue moved up by 5%, moving from 262 to 276 crore. EBITDA is a drop of 29% moving from dropping to 84 crore to 118 crore. P -80 we closed at 46 crores against 70 crore last year. The gross margin percentage of revenues is at 52% against 58% last year and EBITDA is at 16% against 26%. As I mentioned, the collections remain healthy.
They were at 472 crore in this quarter. The resultant day sales outstanding has been at 128 days of which the DSO 's for India based customers is at 164 by for t he rest of the world 154. Again, looking

at the granular view of their revenues, the platform revenue growth continues to be robust. It grew by 33% from 90 to 119 crore. License revenues are at 68 crore to 86 crore in the corresponding period last year. Ri ght entries as I mentioned for the last 12 months has grown at 10% based on the go lives, and we had 14 go lives The digital transformations which went successfully live in the quarter, so the AMC mode went up from 81 to 90 crore. Licensing revenues grew b y 7% while the annual recurring revenues grew by 22.
As I mentioned a while back, we had 14 wins this quarter of its 9 or platform builds, which means more than half of the deal wins of this quarter are coming from the 6 platforms. That we launched
either two. As I mentioned, they've also been 14 new digital transformations. Our Mac compliant architecture, our accelerators, technologies such as iTurmeric and Canvas have delivered at least 25 to 40% faster go live cycles. The revenue mix in terms of the curr encies, as you all know, the rupee has significantly vacant. We have a significant Indian rupee early, which affected the conversion of that into dollars. Similarly, the weakening of the European based currencies such as euro and the pound, where we hold s ignificant revenue streams also has impacted our dollar denominated revenues this quarter.
Looking straight into the future the pipeline growth has been continuously strong. There is a 36% increase in pipeline corresponding to the corresponding quarter las t year moving from 4800 crore to 6500 crore. In the recent quarters the overall pipeline itself is growing. We continue to benchmark ourselves in the key deals above as it is above 20 crore of value, which we track as the entire leadership team focuses on them so that grows both in terms of the number of deals as well as the customers, the marquee logos, the cricket involved with and as well as the average deal size. So, as you can see compared to a year ago, the number of deals have grown from 54 to 66. Wi th more deals growing in the higher tier of deal size, which is over 50 crore. Obviously, we're not articulated in this slide, but in the later commentaries we would hear that some of the. Some of these deals are pursued with Marky Robert and we are at an advanced stage of evaluation or negotiation in several of these schemes. As I mentioned, there are 14 wins, this particular quarter of its 9 were with Intellect platforms.
As we have mentioned in the 2 technology sessions about our architecture, the 4 core technologies of Intellect, the accelerators and the rich repertoire that we have 300 plus of package busi

ness
components on user journeys, the open architecture with 900 Plus API which allows us to practically work with any ecosystem, integrate with any o ther technology partner that our customers, the
banks would be using and the speed with which we are able to complete this integration, which is traditionally a big pain point in all implementations. These proven capabilities and their reference abilities that they supply help us accelerate the deals. Like I mentioned, 9 of our platforms are win, 1 is off site which is a major insurance client in the US. As chosen, a filtrate of underwriting which combines magic ignition risk analysts and exponent you would have heard the entire data. A senior colleague Deepak presented the entire data cycle in the Technology Sessions. So, right from that stage of data uptake to data enrichment to triangulation to presenting decision grade information to

the underwriter for faster, and sharper codes so the entire cycle they attain. When you say underwriting it with an unparalleled accuracy is provided by this platform.

We so we mentioned as a focus on the upcoming promising geography in one of our earlier codes that is bolste red by one more win for the cache cloud. It was also recently announced platform where we also had signed a partnership with Microsoft Azure and that was our second deal in Saudi Arabia. We have a win in Egypt for our lifestyle banking where we had an awar d-winning lighthouse, kind of an implementation in the Middle East. So that is drawing more traction as we move along.

IESD ESD, as all this is obviously being the trendiest capture with a lot of investment bankers. A lot of financial institutions, investo rs, private investors, and P houses focus on the quality of the ESD assessment of their target investment.

One of the world largest sovereign wealth funds has chosen our IESD platform, which is again driven by data and AML technologie to implement this ESD assessment for all their investment evaluations.

We also have one more insurance company win now. Our magic submission, which uses our talk to API technology in conversion of structured and unstructured data that can be readily used by the person in the i nsurance organisation. Like I mentioned briefly about Saudi earlier. We have one more in Saudi for a micro service organisation for debt management. Platforms apart from our products in the transaction banking and the consumer banking business continued to fire so the core product lead deal wins. We had 5 such means, one in among the top 3 UK banks where we already have a relationship that signed up for payments.

Similarly, payments had its second because when with another Canadian bank where we have, it di d have a very strong relationship. That relationship has been further deepened by a win. UAE has always been one of the most successful markets, and we had one of the top 3 banks we one for a mobility upgrade, the consumer banking business also won a digit al code deal in in Africa last year you would recollect that we had mentioned about 3 large central banking deal wins in and around Africa, that winning streak is continuing with a digital core win during this part. And in India we did mention the 2 signif icant belt platform deal wins last year and in the earlier quarters that reference ability has helped us with one more win in this current quarter. These are some of their deals. And I mentioned the go -lives. So totally, we've had about 14 digital transfor mations going live during this quarter and in the next couple of slides we have given details of each of them. And so that sort of summarizes, very briefly, in terms of the numbers performance during this quarter.

More importantly, as we always measure our selves as an IP LED organisation, how we have performed over the last training parliaments, what is in store ahead? What has been the quality more importantly than the numbers that they've given to the top l

ine? What has been the quality of some of the win s? Why are they promising, you know, and what message they convey towards and what confidence they give us, and what has been our success story?

Over to you Arun

Arun Jain, Chairperson and Managing Director

Thank you, Venkat, for taking the whole present ation deck at a very fast pace. I am sure the smart investor would have picked up all the numbers which were thrown in the last 15 minutes. Looking at the quarterly numbers, and you look at it, I feel that a lot of investors on the street would be disappo inted. I acknowledge that disappointment based on the numbers which are there. From the perspective of the quarterly results, we consistently communicated that as a heavily focused license revenue company which is adding a portfolio of platforms.

It may result in too few quarters where we will not be sure of the final number and that was a kind of a perspective we always added to the communication. With each investor conversation, we can only design our business on an annualised basis. But Venkat put it at 27% LTM growth, that's the right metrics. Now this can get coloured from the perspective of saying this quarter is a trend which is coming from a few quarters like this, or this can be construed as a trend whether we can trust the company for the future re venue, or some analysts report on the street. That could be coloring the investor perspective. So let me just take you to the L one next level detail of the results. So, the next level detail says that we are shortfall by $6,000,000 in revenue numbers, so that's the underlying equation of revenue and cost. If you have $6,000,000 added revenue you would have been around 570 crore and our cost would have been 125 crore plus would have been the number from the $6,000,000. This $6,000,000 consists of 2 elements .

One element is when we move from a productive platform there's a like to like license revenue. So, like to like license revenue, we want 3 platform deals as announced by Venkat and these 3 platform deals resulted in 2 like to like license revenue of 2.9. $1,000,000 is a number which is coming to like.

So, we major internally 2 year ARR Of the platform, as I like to like license, deal to compare license deal versus platform deals and this 2 year ARR is what tent amounts to $9,000,000 and that's how we calculate our internal business plans and revenue streams based on that 2 year ARR as a part of MIS. Unfortunately, on accounting principle there is a zero accounting or less than $100,000 accounting in the last quarter of out of 2.9 $1,000,000 in this for win ning this deal while the winning that deal contracting everything has been done which is a celebrating movement. Banesh and his team has done a wonderful job in getting this 2.9 $1,000,000 of a deal this quarter. Second thing is $ 6,000,000 $3.1 $1,000,000 is at 2 deals which are closed but not contracted. And this 3.1 $1,000,000 is already in the bag but not contracted so it cannot be accounted for in the quarterly results. So that's a story of. The numbers from numbers perspective. Now if I look at it fr om a qualitative perspective, the team which is working in intellect.

We ourselves got surprised more than, uh, what market is expecting, or market is trusting intellect as. What surprises are coming? So, we are calling this as a wide window moment intern ally for this quarter in the last 6 months. Our journey, which happened. It's a wide window moment for us which is making us move from 2.03. One zero. What we spoke about in Technology Day 2 is all coming through within 9 months of our Technology Day 2. It very rarely happens when companies are able to present something in December 9220, 21 and what the market is looking for is what we presented that time. So let me take you through each story of the wide window moment we have.
First area is we planned 3 un its one by one we said GDP unit will go to the

market first and take a
product leadership where liquidity and DTP becomes a market leader and take. The market shares. Then we say in the next 2 years we look at GCP will take the major. I mean major is winn ing is pride last year you have seen the result. Whatever the investment we made in Gcor banking lending. And winning that deal in central banking in quantum all is driving towards the second wave. 3rd wave was intellect seec which we renamed it to intelle ct AI. The intellect I was. The unit where we looked at it as a Phase 3 of driving the revenue growth. And this year in the last 6 months, the platform deals with substantial growth being visible in intellect AI. We have merged wealth management unit also as a part of intellect AI unit. So that's a joint unit is under leadership of banishes, delivering the
results so first. Wave was Manish second wave with Rajesh. 3rd, Davis vanishes. Now when we look at it that are calibrated, strategy is panning out in th e same way as we projected in 2017. Again, that
is a validation of our strategy that the company is performing as per the strategy, not by chance or not by market tailwinds or market headwinds. During this period, we had a Brexit. We have a Trump.
We have everything. Happened during the period.
But nothing has affected the overall strategy and consistency. Consistency of this strategy. Now looking at. What we are seeing in the marketplace today. When we are winning the large deal from a
largest. In from Eur ope. On AI for USG. What it means for a company like us? As a technology company. They are highly invested company where each company has invested more than 150 to 2 $50,000,000 invested company in AI and data space. And against them we are winning a deal on a complex topic like ESC, which is just an emerging topic. And winning the deal against all American against all European competition that signifies. A wide window moment for us. It has not resulted into single revenue for this quarter. Is zero revenue for this quarter? But it's a lead indicator. Which
is like we crack the fabric data services AI algorithm of multi question search. The moment of truth in the life when Google was there, so we look at it. When Google was doing a good search engine, they didn't have revenues, but they had an algorithm which was great algorithm and that's a great algorithm. We call it the. The wide window moment. And that is. Not about SG or magic invoice or magic submission. There are 3 products we launch but they are buildi ng built on the same technology platform investments we made in last. 5 years of our journey. For each platform, the incremental investment is less than 3,000,000. Dollar per platform in last 6 months, this platform could able to compose as soon as we see the possibility of ESC within 6 months, we could able to pitch in for the largest fund

House of Europe and win the deal against all the competition. The second. Right moment is when we are looking for wide window movement is. When we are getting a large co re banking space now, core banking space we all know is the largest biggest market space you must have. Read the market space size of 16 billion dollar of a core banking space. This published by terminals in their results at how big is the market size? Til l then. Till last 2 years.
We were contender in that space. Now we are getting to leadership coordinate of that space. Now we are rubbing shoulder. With thought machine. Domino's and intellect are the 3 players which are rubbing shoulder. On architecture. On API 's on micro services on cloud. And on depth of the product
functionality, we are competing with the largest player. Now this pace of 60 billion dollar where the deal value multiplies the size of deal value in our pipeline are running into double dig it license numbers, double digit, $1,000,000 license numbers. And we are taking part in those deals which we never take part. In our 10-year journey, those a

re my. Those are our dream deals or for Dream Deal
for any company. When you're rubbing shoulders w ith this player, so we are in the backyard of the competition where in thought machine, which is led by Google. Google X, Google Player in 2014, you must do research on thought machine. The 5 $50,000,000 funding has happened on that particular company fo r building the core banking product and still we are. With had head -to-head in 4. Deals in Europe with thought machine and similarly on Temenos.
Beating Infosys, flex, Oracle PCs or Pfizer. They're turned 10 player market, so that's the second wide window movement for Rajesh, Rajesh and his team is extremely, extremely busy in bringing

postseason povs and a lot of presale investments are going. Almost more than 8 deals in Europe we are taking part over the period of time and that's giving us a confidence of saying we can on annualized basis. We can still do 20% of the growth numbers in rupee terms. The 3rd movement is. Creating a new opportunity window where we are saying consumerization of transport, corporate banking. We created this space called GDP in 20 14 when we. Started the business. We created a space called Global transaction banking space and that space.
Then we could be able to displace multiple player from 2014 onwards there was a player called my SIS. At that time there was a player called Fun Tech. At that point of time. This new space which we are creating called consumerization of corporate banking, just to understand from the perspective there. At least 15 startup in this space, which is called embedded finance. Largest of money which is coming i n corporate banking spaces? In the space of embedded finance, where corporate banking is embedded with the final. Uh, accounts where multi when the payment Recon can happen. Like say if Coca Cola is a corporate account of GTB then all the vendors suppli ers of Coca Cola will also be part of the virtual network of the bank. And how do they take part? Are there? That is, uh, consumerization, Uber when Uber is account and drivers of Uber drivers are a part of the virtual accounts that say embedded finance an d that is about consumerization because the drivers of Uber is their consumers while Uber is a corporate and that's the consumerization of corporate banking.

This is a. new space which we launched Inside Boss last 2 years. We were working in this space. We signed up 3 customers in this space before we are announcing consumerization of corporate banking, which is a 3rd wide window moment which we are experiencing the more than 25 Leeds got generated inside boss within a. small event of 3 days. And we are cha nging the narrative. In this we are changing the narrative, and this is based behind one of the largest European deals from a UK bank. Where payment space, which is crowded by a lot of European players, again, the payments, corporate banking, payment space i s the one of the largest invested fund in all the start -ups and fintech's we are able to win the deal for the largest one of the largest UK bank on the building. The payment system for them. So, all these 3-lead indicator one on. Consumerization corporate banking.
Second is intellect digital code which is built on completely micro services.
API cloud native, headless architecture where more than 300 APIs are working on it with more than 200 micro services which we are combining for banking lending and credit cards. And third is entire data space these are like three different large, funded entities within a single ecosystem called Intellect Arena equal into almost three companies. Each one has a potential to lead their own journey and fight the battles with the kind of culture we created at Intellect Design Arena, where all of these companies can go together in this space. All the new deals sign up during this period are the indication 14 deals. So are we are accelerating number of deals in coming q uart

ers, we are a well-
positioned to ensure that this license numbers can give us a good consistency going forward. And this is nothing new for us, that one quarter will go bad.
I will not say we are sure of it. But any part of journey we were expecting su ch moment where one quarter can go $6 million can go in one quarter where one $2.9 million goes from a perspective of moving to platform and $3.1 million goes where the deal is closed, boxed in customer is convinced about it and everything is there then wo n't be able to contract before 30th September because date of auditors is 30th September to get the contracting. So that's a story which I'm saying why we feel so excited as a management team over here. Now we are in window of opportunities, which has open ed up with this wide window moment that is phenomenally large.
The amount of time you're spending nowadays, more than 10 to 12 hours a day of our r&d teams or our sales teams, P sales team building POCs is a humongous amount of excitement in the behind the scenes. So if you look at behind the scene, if you get a posture to see the BTS of Intellect, you will feel the pulse of what is happening at Intellect and thank you for participating and attending in numbers for this call. So for us, it's a journey which we are very excited about in spite of a slowdown or high inflation rates in the industry, how big is this year slowing down some impact is there. So we have acknowledged that the slowdown impact because of high inflation in Europe and low growth indexes o ver there is creating our cost structures because of talent is going up more than what we anticipated or planned for and tax structure which is resulting into the our lower PAT margins since tax it is moving from 16% to 26%. So there are three factors we a cknowledge, which are the market realities, but in spite of those three realities, we are three windows of opportunities, which are led by our wide window moment. Thank you.

Speaker 1
I think we can start the q&a. Yeah, please. Now we are starting q&a In c ase you want to ask a question, please click on the raise hand. I request you to click on please raise hand. First we have Mr. Mukul Verma. Please ask your question.

Mukul Verma
So this presentation when we give that pipeline, so we give a pipeline comparing it to year on year

and can we put quarter on quarter as well as one more column so it gives us a clearer perspective where we are moving quarter on quarter as well. Although w e are looking at the company from a yearly perspective only to draw points, right? Quarter on quarter now how we are moving,

Speaker
We can give it

Speaker
if we can do that we can know, a quarter on quarter how many added just to give that perspective. And so when you say that $6 million is something which could have come into the quarter true, but could not come due to non contracting and the platform thing. So, we assume that this is a one off quarter where profits have come on a lower end and yearly matrix we will grow at 20%. As we have been looking at what I wanted to know.

Speaker
That's right. Exactly Mukul. This is a one of quarter.

Speaker
Okay. Great. So I wish you all the best. Thank you. Thank you.

Speaker
Thank you, Mukul. Next, we have

Speaker
Mr. Krishna Takka,

Speaker
sir, I have two questions. One, of course, is that 6 million follow up. So as I understand 3 million, you guys w ill possibly report in third quarter, because it has already been signed. So we'll get that extra revenue. But the balance 3 million is converted or is spread over two years or three years. And then you will book only a few 1000 A month or quarter? That's all it is. If that were to continue, do you think given our high license contribution, and I'm expecting as you migrate more towards platform, there will be more shifts coming ahead. So structurally, your revenue growth for one or two years could b

e a litt le slower in this transition phase?

Speaker
Yeah, that's true. I think that's exactly which will happen that whenever. But what we need to look at it, we need to publish a number for this is kind of a deal. So that's what we need to publish separate numb er that how many platform deals are getting signed? And what other kind of a error are we signing so but actual number, book number will be lower. So that's what we are now thinking about it. As of now, we have not made a decision, how do we communicate th is platform deals to the investor so that they make the right decision.

Speaker
Okay, and possibly 20% may not be the right number to look at from a growth perspective. While you may do it this year, but from a longer time horizon, maybe two or three years, we should be more conservative than that.

Speaker
Yeah, in dollar terms. Yea h, definitely.

Speaker
And the second thing, sir, in terms of cost structures now, I was hoping when we plug in your numbers most of the costs are probably inline it is only that revenue base, which is flowing through to EBITDA is too bad, is that cost h eavy built in all the costs? Or do you think this three, four Q because generally you plan ahead for the next year? So are there any incremental costs, which we should build for the rest of the year? Or do you think cost will remain steady, and therefore t hat additional 3 billion will not come with additional costs in the third quarter.

Speaker

Most costs are always built in on actual basis costs we can take through and forward like cost is all
built into this but the incremental cost of the salary increment, as you know, we do a quarterly
salary increment, not annual salary increments. So those cost of talent still will be there. But those
numbers will not be significantly
Speaker
What I mean to ask is generally like I've been following the company for fe w years. So typically, you
build in the second half for potentially fy 24. Sometimes you hire more sometimes we step up cost is
that something we should expect in Q3/Q4? Or do you think cost structure is currently perfectly
sized?
Speaker
Yeah, what I'm tr ying to say is the cost structures from this perspective as of now 443 crore is a total
cost structure created our cost is 443 crore, it may go up by some 2 million 3 million per quarter based on the new talent
requirement and new platform in DTM to those costs will be there or POC
cost. So these are the few cost numbers will go up but they're not in that significant number as what
we had experienced q1 numbers, we had travel costs and other costs, all of them went together. So

now travel costs are now stab ilized, infrastructure cost is stabilized. So it's only that these costs will
be the hit on us, q3 we have is marketing costs also like Sibos and other things will be there few
marketing costs up to three crore will be there. But those are not natural cost s, which is there in a
business so no extraordinary cost.
Speaker
Okay and last was therefore, I will consecrate creatively if my revenue growth is going to be 20%.
Earlier we used to have this outlook on margins of 23 -24%, wherever we end up, so should we
assume that it is only a quarterly slippage, and therefore 16 -17% is not the recurring budget. next
quarter, we should be back to a proper full perspective so when we project, we should look at 23 -
24% margin.
Speaker
It's difficult give me an exact number , but it will 20% Plus for the full year
Speaker
20% Plus.
Speaker
For the whole year basis.
Speaker
I think your last 12 months average including the bad quarter is 22%.
Speaker
Yeah. Don't commit to something here. 16 -17% should be the new base is what you're saying rather
than going back to 24?
Speaker

Yeah. So it can happen here. What we can't commit right now. 2020' s number 20% rupee growth
and 30% margin growth.
Speaker
Okay. Thank you, and all the best.

Speaker
Thanks Mohit. Next, we have Sugandhi Bose. So can you please ask your question?
Speaker
Yes. Hello, thank you for taking my question. I just had, you know, a similar question on the route, you know, on the growth
trajectory and look at just the license, AM C SAS revenue mix, you know
that there is a significant deceleration. Now, I do understand, you know, the extra color that you're given. But is there
something structural that you're seeing in the market? Maybe is on account of
the, you know, pressures you 're seeing in your end customers, or maybe just the natural, you know,
trajectory that the business was to fall? Because, you know, there was this sudden surge in implementation revenue. And you
know, that's bound to decelerate. So could you give us some
clarity?

Speaker
Yeah.
Speaker
I think there are two things which I mentioned, one is licensed revenue of 3.1. If you look at it, so some acceleration will be
less as far as typically $1311/12/13 million, isn't licensed revenue is
science. So you ask a structural question which is obvio usly because of the high inflation, the market
environment, there's some structural delays happening on closing the deal. Last minute, closures cycle times are getting
elongated. So that's a structural issue we are facing. And that's a issue, we
are now no t a different island than any other player in the marketplace. So we are passively sitting in
the same island of technology companies where some slowdown is happening on the technology

investments as we move forward. Second unit license AMC and implementat ion those numbers on a quarter on quarter basis doesn't mean much of it, look at it from the analyzer LTM basis, that will give us a good indication because the AMC is going 11% which we expected around 11%. So that is a

license number growth will be 10%/1 1%, that's a number we expect. Our core value as a company which we have changed our trajectory from Intellect 2.0 to 3.0 is around platform, platform is what is making a difference. And the three wide window moments, which I mentioned, are those three units in any business performing at the same time, is very rarely, as seen in my life that three out of three units are performing while, we put him back down. So that's what I can respond to your question.

Speaker
And in terms of implementation with iTurmeri c, I understand that your implementation cycles have shrunk? And does that have a role to play? Because we've seen a very strong growth in implementation over the last 12 months or let's say, you know, five quarters? And is that something that one should f actor in and you know, that implementation again, would have a linkage with the pace of new wins. So is that a correct interpretation? I mean, you know, organic growth of revenues versus the accrual of revenues over a shorter period because of the faster i mplementation.

Speaker
Yeah, and then I think very good point you picked up first of all, I must congratulate you that you are tracking the company so well, that you are even looking at that implementation lifecycle. So that becomes my competitive edge bec ause my implementation cost for winning, the deal will be lower because of turmeric I'm using for reducing the cycle time. And this may result into the lowering of the implementation revenue. What we're trying to do now is that we want to participate in a more cross selling propositions. So we identified 20 accounts, where we are looking at to help them be the accounts for digital transformation using our composable and contextual technology. And those revenue as of now, get booked under implementation revenue, we will be looking at it whether we create a line item called digital transformation line item, but yes, implementation revenue will come down because the cycle time is coming down. So if if I have a deal of million dollar, which I'm bidding $600,000, for license, so I'm so customer has a finite budget of

million dollar. Now I'm able to do 65 to 70% on license and 30% to implementation. Well, earlier, it used to be 50 -50, or it used to be a 45 for licensing and 55 for the implementation. So very well picked up by you.

Speaker
Sure, thank you for that color. And in terms of your deal, you know, if I look at the data that you give around Destiny deals, I can see that, you know, across all ticket sizes, your funnel has seen very healthy attrition. But if I look at the pace of wins, that has been, you know, more or less within the within the four to five, sort of, you know, one quarter excluding four to five range and while the number pipeline continues to grow. So, you know, what is going behind, are you t aking more time to close it because of the size of deals or the nature of deals. So, could you just, you know, join the dots

between the increasing number of deals in the funnel and the actual win rate? Considering that, you know, the commentary around, yo u're competing with a top tier is very encouraging.

Speaker
Yeah, I think what happened now is that the decision cycle has got two angles to it. One is their environment issue which is delaying some other decisions. But the second angle is, with cloud tech nology available, the way the client evaluates a vendor is changed substantially. Earlier, most of the deal we used to win based on the lot of presentations, a lot of dance and drama on the boardrooms, on the capability of the product. What is working in o ur favor is now on a cloud technology available, customer is asking for proof of concept where they're taking a real time scenario and they want to run on a system. So they have a longer cycle time. So when we first qualify under dance and drama session, s o first of all is the proposal session, then there is a dance and drama session on the boardrooms on the technology and the domain and now there is an actual real play which happens and takes another three to six months. And that is where these deals are getting delayed. Rajesh can speak about it, how much work he has to do for a single large deal. Rajesh, you want to share something?

Speaker
So I think from a deal perspective, if I can put a little bit of the GCB context to it. I think Arun very rightly sa id that a couple of quarters and a couple of years back the market, the deals that we were competing for were relatively smaller, and we were fighting with smaller players. Now, as you rightly pointed out, we moved into the big boy category, where now we a re looking at some very very large destiny deals and in these large destiny deals, which cuts across you know, maybe multiple countries, multiple product lines etc. The process of winning this deal, the timeline that is required is much longer and that is what is being reflected as you have seen in the data. A number of

opportunities are rising because we are now competing with let's say from a core banking perspective or temenos or a thought machine. So the deal values are very high that we are chasing, but it is also taking us longer as compared to four or five quarters back when he was still competing with Finestra and Finacle, etc. That game has changed little bit for us, especially in markets like Europe.

Speaker
That's helpful.
Speaker

If I may just o ne, add one more question on the cost structure side. So you did mention it, you know, call out the ESOP Number in your notes. But, you know, within the software development cost is there. Is that kind of a new base and we continue to grow? You know, are t here any other one offs? Are you including any, you know, the employee cost for r&d, how do you allocate that between the r&d costs and, and the software line item
Speaker
Looking at the last few years, our r&d budgets are $20 million which consists of 120 crore when it's 60 rupees, now 75 rupees translates into 150 crore. So we are on a similar budget, so we capitalize this quarter. I

think we can play around 35 crore which is the same number as close to $5 million, less than $5 million - $4.54 million. We capitalize on the r&d costs. So the cost which is for technology upgrades we put into part of the research and engineering group, and which is we take the actuals as in when it occurs. So this charges around 40 plus crore for this quarter. So that's a total r&d spend, one of the lowest in the industry from that perspective.
Speaker
Thanks, Sugandhi. Next, we have Mr. Vivek. Please ask your question. Hi.
Speaker
So thank you for the opportunity. Sir. On the cost structure, you mentioned that we should expect another $2 -3 million for the next two quarters. Will that be the new norm? Or should we expect, say after q4 for it to slow down a bit? And in terms of the headcount, are we now at a 90 million run rate? I mean, now that we are moving some revenue from product to platform, I'm guessing that will take more time. But in terms of the headcount, do you think we are at the 90 million capacity?
Speaker
So headcount i s almost there, we are still needing more headcount on sales and marketing side, because of the platform, we need to build up a capacity in the sales and marketing side. So that is not in headcount dump, but it will be in the qualitative, hard cost inputs will be there from the perspective of looking at it, $2 -3 million cost increase with a kind of talent, let's see how the market stabilized then we can comment on it. But as of now, for next two quarters, this number is visible to us, because of whatever th e reasons they get in first quarter and second quarter, third quarter, fourth quarter has to be in line with our raises of Q1 and Q2

Speaker
So in terms of we were expecting previously to hit $100 million in the next 8/10/12 quarters, do you want to now stretch that? And do we still hold on to the 30% margin target at $100 million? Or we need to scale that back by a few points?
Speaker
Let me not comment on it as of now, because the market is too volatile right now. And this, this fluctuations are too much right now. So this quarter will not be right time, maybe another new three to six months, we can come back on to that number of two to three years, but reaching 100 million dollar in 8 -12 quarters, I think that is we are quite concentrated about on the mar gin side means you just need to look at it the market volatility.

Speaker
sir, and you've mentioned that you're still confident about hitting a 20% growth for this year. Is that dependent on you on assigning a few big deals which are in the pipeline, as Ra jesh had mentioned? Because if those don't come through, the numbers might drop down significantly? Or are we reasonably confident that those will come through?

Speaker
We're not taking those into account in this 20% on the rupee.
Speaker
Okay, so we are f ocusing not taking those big deals when we talk about it when. So previously, we were talking about a 20% dollar road run rate. I mean, yes, there is some change in the market because
Speaker
There's some change in the market, I think we need to recognize that some slowdown is happening. So, this slowdown has resulted in $2 number. So we say we always mentioned to you is that we have designed our business

for 20%. Some last year we did 26% in dollar terms. But I constantly kept on
saying a lot of time inves tors saying why shouldn't you grow more than that? We say 20% plus minus

5% can happen because of market scenario. And that is what I exactly which will happen in this year.
So yeah, so if we win more deals, it can be much more closer to 20, it may be lowe r and closer to 15.
Speaker
So just one more
Speaker
coordinated Question. On the one hand, we keep talking about the fact there's a slowdown in the market. And then we are pressing ahead with so much of investment. Don't you think we might run
into a wall where we've bloated up the cost s

tructure, but the revenues aren't running? Or are you
reasonably confident that with the headcount entries, there's enough business to be had? Because I
mean, I can't square the two together, we're talking about increasing the pace of investment.

Speaker
I'll give you the indication. There's a company called Modern treasury.
Speaker
Yes. I mean, they signed a deal with Goldman Sachs.
Speaker
Okay, so there's a company called Modern Treasury they are getting a Manish can sha re the color on it. And there's a company called thought machine. So if you just study these two companies, what are they seeing the new investors which are coming at the valuation of top machine at $2.7 billion for a $50-60 million revenue company? What a re they seeing the market size in core banking space, what kind of inefficiencies are sitting on core banking side in Europe and America, which is leading to that? Similarly, what are the opportunities in modern treasuries in same space as consumerization.
Manish, would you like to put a color on it?
Speaker
Yeah

Speaker
they're also about 25 -27 million revenue, and between 2 -2.5 billion market cap, this is primarily because the TAM being very high and this is based on volume of transactions, the whole platform banking as a service, which we have launched, this is based on a transaction value, volume, multiple similar parameters, you're also competing in North America, the same market number of these individual fintechs are running, I think the difference between them and us would be there borrowing someone else's money and burning it out, we are organically funding and competing and winning against them. Our base assets were strong that tuning it for the right market segment, we could do it at a much lower cost like our own set, where we might look at is on a sales marketin g some of the costs but from a product readiness, the composable nature of our products is straight away we are able to get in a segment where there are more happening and the TAM on if you look at study the TAM on embedded finance in general, both on cons umer and corporate the numbers are in trillion dollars, this is a new segment which is happening and this is where growth is happening very significantly.

Speaker
Okay. So, thank you.
Speaker
Thank you, Vivek.
Speaker
Next, we have Mr Harsha Sethia for AUM advisors.
Speaker
So, I want ask, our operating cash flow for the first six months is at 45 crore. So it was 94 crores for the same time last year. So, what has happened in the first six months is that our operating cash flows have reduced, I see that our DSO days have increased by 13 days in the first six months.
Speaker

I think this operating cash flow coming down is basically on a bonus payout. So, the bonus payout is higher this year. So, dividend is not a part of operating cash flow. So, operating cash flow is a bonus payout for the last year we grew very well close to 27% we grew last year. So the bonus payout was higher than the previous year on that basis. Collection was 460 crore last quarter and 460 crore this quarter is in the same line of business and salary costs are higher in this year compared to the salary costs were there in the last year. So, yes, there is a marginal drop, but these are the two places salary cost increase and travel cost increase compared to last year. Travel was not there last year at the same time.

Speaker
And so, my question for the DSO days that it has increased which was x India 95 days, two quarters back has gone 215 days currently.

Speaker
This fluctuates from quarter to quarter. I think it will come back once we get an advanced payment we get some large deal payments and closures of projects. So 10 days here and there is fluctuating in a product business compared to the services business.
Speaker
Okay, so what would be our standard sustainable range of the essence
Speaker
if you try to look at

it between 115 to 125, which fluctuates on an overall basis, so it goes to 120 Plus it comes down to one plus 16 If you look at it last 16 quarters, you'll have this in the same range.

Speaker
Next, we have Mr. Ravi Mehta from The Financial.

Arun: Pravin, I want to clarify that some of the investor report which is floating around unbilled revenue that revenue is fake revenue. I think some analyst has looked at it as if unbilled revenue is fake revenue and that is projected in an investor report. We got very hurt by that kind of non -
knowledgeable people doing the analysis and sitting in the analyst community and saying that

unbilled revenues are not appropriate. Unbilled revenue is the nature of the business so if somebody has t o write a report he should talk to us that what is the nature of the business. The nature of a business means when we sign a contract we have some commitments of business outcomes -based deals we sign, based on that when we complete the outcome we billed th e bill to the customer. But whatever efforts you've put in during building the solutions for the customer when the customer is not achieving the milestone, it lies into unbilled revenue. Unbilled revenue is not a new phenomenon. It always happens in many civil contracts, when a building has to be constructed, huge amounts of unbilled revenue sitting in the books of the work-in -progress business. So that is one point since you have mentioned about the DSO days, so I just wanted to cover the point because I received some calls after the reports got published. That somebody is looking unbilled. Why won't you give a clarification? I said I don't need clarification for anybody when we are doing the right business in this area.
Ok, Next question

H: Thanks, Ar un. Next, we have Mr. Ravi Mehta.

Ravi: Yeah Hi!

H: Yes Ravi, Please go ahead.

Ravi: Just two questions, one was on the Pre-sale investment, because looking at the larger deals and also the POC involved in platforms deals; What kind of pre- sale investment, if you can share some numbers, what we used to do because I think the margins that w e see capture the pre -sale which wasn't that high earlier, so maybe some color around pre -sales investments.

Arun : So, if you look at SNM investment, which is close to now 150 crores for this quarter so it's around 600 crores, So presale is embedded into this particular cost of SNM and which has grown by 7 crores from last quarter to this quarter. So that is the kind of pre- sale investment which is booked. So they are not capitalized or anything, they are just expensed out.

Ravi: Also one more question, In this quarter we signed 9 platform deals out of the total 14. But the platform revenues, the subscription revenues are flat ____. So just wanted to understand the cycle as to when you book a deal, by when we see the revenue flowing into the subscript ion lined item.

Arun: Typically it takes between 3 -6 months to get flowing because when somebody starts consuming the platform the payment starts from the day he is consuming the platform, so the initial product business which used to call in implementa tion, so you used to have two revenue streams earlier. We used to have licences booked on the day looking, and if you have to make somebody live in 6 months' time, then 6 months was the implementation cycle time. So in the platform deal, we reduce the cycl e time of going live. Some situations are two months, some situations 3 months, and some situations 4 months, depending upon the various platforms when they become live, the platform revenue gets booked.

Ravi: And there won't be any implementation compo nent when the platform deal is going live maybe in two or three months?

Arun: In few cases it's there, few cases not there. So normally if its a standard platform, no changes are there and just onboarding other customer, so then there is no implementation charge,

but they
could be set up charge for certain large customers we may have a set of charge for them; when we are onboarding a customer and he has some specific requirement for using the platforms, like if the largest financial services company in Switzerland start using our platform then we obviously we need to integrate their platform with their security structures and their cyber security issues and we need to spend a lot of time with it so that time customer pays a setup fees.

Ravi: So that helps. So just one small follow -up to the clarification you just gave prior to my question regarding those unbilled revenues and DSO days. Just wanted to check that the unbilled portion was increasing pretty sharply in the last few years, so is th at the function of the cloud business, the platform business, is it a function of that?

Arun: Yes, I think there are two ends of functions. One function of this unbilled is related to the contextual payment in it, where we sign a 5 -year deal where we ha ve to book the revenue based on the accounting principle on the date of booking the deal; and then the contracted payments are annual basis. So some of the deals are in a cloud nature where we sold licenses. We have accounted for the deal on the date of bo oking the contract, that increases the unbilled component.
Second is that more and more customers are now looking for outcome based deliveries, so major milestones, payments are not equally proportioned every three months. They are linked at a time of UAT sign or when business is going live because of which the market situation is changing from that perspective. So there are two factors which are resulting into higher unbilled Revenue.

Ravi: Sure that answers, thanks, all the best.

Arun: Thank you

H: Thanks, Ravi. we have next Mr. Rahul Jain from Dollar capital

Rahul: hello, just two questions, firstly on the business side, is there a way that we should now look next 12 to 18 months a little different than what we were perceiving on the demand sce nario , and what aspect of the business in terms of the segments, multiple segments we operate should see a behavioral change in terms of the customer spend, any color on those front -end, a base case demand, thought process if you could share, assuming that macro is uncertain, I can understand it's very difficult to compute a number for next year sitting today, but any base case number one can go for from the next 12- month perspective that would be an additional color if we could give in any form that would be of help, thank you.

Arun: The three indicators when we say wide window movement for us, I'll ask ____ to look at the opportunity that what is he seeing in the data opportunity, data is such a big space emerging so fortunately a technology day was a path -breaking day. December 9th when we presented the technology Day to all of you, I think you should go back to those presentation decks. We were expecting that to be true in the next two years when we were represented on technology day two in December, within nine months we are seeing that those are becoming reality and those are from product to platform to Marketplace. The companies which are struggling are those who stayed in the product business, since we took a journey almost 18 months back we are able to see some Windows of opportunities but for many product companies will be in a struggling ph ase right now. So, _____can share the data opportunity that we see, because the underlying platform of fabric data services and ____ API,ability to create new platforms which can compete in new emerging scenarios in next two to three years, those capabilities are there, then Rajesh's composability is there. So the product we are selling in the market is not the standard product, with composable and contextual technology two
frames which you use composable frames to create new products and contextual frames for a data per

spective. Both the frames are panning out so beautifully for us. Over to you _____

V: yes. You know, just to add to what I think Arun was saying earlier, the data platform that I talked about at technology day along with another colleague of mine, Deepak. I think the data platform is being a big differentiator for us in the US where we've launched it from an insurance perspective. Now we've touched on the end -to-end life cycle of, you know just to take stock again, the insurance platform tha t we run for commercial lines insurance fully on AWS on the cloud,, it's a hundred percent subscription business; now within the subscription customers are clearly paying a licence component that is paid over a period of time and some of the subscription r evenues are actually sticking for a lot longer period, so what we're actually seeing is a significant number of customers and we've had some very good Traction in the last two quarters, both for the data platform that we use which is using a product that w e call risk analyst, along with a magic submission platform where people submit a lot of documents for different commercial lines insurance businesses. so talk to API which is the platform that actually is the core platform that extracts information from i nsurance companies' documents, and these are pretty large set of documents, quite complex, this is not just extraction of data, but we have a lot of AI technologies that pull information, so it's actually achieving operational efficiency for the client in such a way that it is almost a low -touch operations model, so it's quite efficient for a customer to take a submission from an email extracted and convert it to APIs, have a data platform that we have which is FTS which enhances the data quality on the sub missions, thus some validations of the submissions and passes it to the underwriter on the underwriter workbench which is exponent to fulfil underwriting.

Rahul: _____ I think we are addressing more than the technology aspect of it, my question was more from the sense of, that I think our use cases are pretty much proven in terms of the kind of customers we have got onto those kinds of products, where my question is more I mean, your Insight would be more of a help in terms of how we see some of these things become scalable because some of these products like the scan list we've been hearing for more than five -six years

now. so I know the market has evolved your use cases has evolved from insurance offering to a much different set of offering, we do unders tand those things, and I think you have as an organisation has delivered a much faster growth than most
of your peers in the space, so I think those parts are well addressed in your bigger events and all my simple question, right now is that some of these right positioning of the product, be it on the cloud or, be it on the otherwise, on-premise model also; with these offerings where we stand today in this current environment because this is probably as per the various analyst hot process and all probably the first down cycle in the potential down cycle of a banking sector that we may see ever since we came into public, right? So from that perspective should we see anything to look into from next 12 to 18 months perspective versus whatever we have delivered on the last five years CAGR basis is that the number we can still stay as from our thought process perspective or should we see in a different slide given the macros that we are facing right now?

V: Rahul, hold on for six months, I think this volatility is there today, so on 30 September_____ went down to 1.03 it came back to 1.16, so this volatility of 10% in the market we've never seen in the past. I think it will be better to comment when we are able to see at least up to March right now on the exact n umber that you are judging. we see we are on a Cutting Edge and these Technologies are required and we are seeing t

he momentum of the Investments come in spite of the downtown of
the startup investment but in this piece is what consumerization of corporate banking the core banking Investments are coming there so it means the market deposit is there how exactly how much much percentage wait for six months maybe we can able to communicate to you in during the annual cycle of the communication.

Rahul: got i t sir thank you and best of luck for the time.

H: Thanks Rahul Arun, its over 6 15. Can we take more questions?

A: just one more question here,

H: okay next we have TV Kumar from

H: Hello Mr. TV Kumar, you're there?

Kumar: So you told about th is digital core banking that we are competing with _______ and Thought Machine, have you won any deals or you're very sure; so what was the essence of what you are saying in that? are you sure that you will have a reasonable market share, because you are s aying this is a new thing that has opened up for us, so can you just throw more light on that

S4: Let me let me answer that for you, I think when we when we look at a large player,looking at a core banking transformation and this could be a large with mu ltiple countries, business; they start with a long list, and that long list could be 10 to 12 of our peers ____ competitors who are in that long list. And as we go through the process, we go through various stages and what we are seeing,

and that is what w e summarized for you, we're saying in a couple of… in four deals in Europe we are right now in the last three stages, and what are we seeing there right, and what is very interesting for us is that we see ______ there and we see Thought Machine and we see Intellect there; and that's where we are saying that we feel confident that a large tier bank and when you say large tier bank, if you understand they're buying a mechanism it goes through functional, it goes through technical, it goes through their Architects, it goes through their Cloud Architects, so I think it's a very thorough process and for us to make consistently from the long list to the shortlist and be in the last three for a couple of these very large deals gives us the confidence that our techn ology is the market -leading technology and I think what we have said earlier which is Mac right microservices API and event driven cloud and headless is what is resonating very well for us in the in markets like Europe. That's why we feel cautiously optimi stic that in these deals you may not have won any deal because if we win any deal this will have a significant impact on our revenues but we feel reasonably confident that our product is well matched to our competitors our peers, these two competitors that I talked about in this market.

Kumar: so, we will be announcing, when will we know whether

S4: we are all waiting for it here
S5: I wish we had the crystal ball

Kumar: yeah that was my question yeah do you have crystal ball.. okay got it. Thank you. All the best.

Host: Thank you Mr. Kumar

Host: So thank you everybody for participating in today's call. There might be a few questions which because of the positive of the time we were not able to take it. Thank you so much.

Call: Feb 2023

Q3 Results FY 2022 - 2023

Q3 FY 23
Investor Earnings Call Transcript

Greetings and welcome everyone.
Thank you for joining us today to discuss the Intellect Design Arena Ltd financial results for the 3rd quarter of the fiscal year 2022 -23 ending December 31st, 2022. The investor presentation and press release has been shared with you.

Arun Jain , Chairman and Managing Director
Let me continue the deck which has the Safe Harbor Statement included in this presentation, which speaks about it, that this certain statements in this rel ease concerning our future prospects are forward -looking statements. Forward -looking statements by their nature involve a number of risks and uncertainties that could cause actual results to differ materially from market expectations.

The full Safe Harbo ur statement is part of the deck which Praveen normally reads out for all of you. This time we will not go to the presentation deck. We want to look at it since our business is monitored on the last 12 month basis. It's annualised business, so our data whi ch shows for this quarter. We have last 12 months revenue of 2126 Crs revenue that 21% growth on 1751 Crs Our platform revenue has grown at 43% for 464 Crs from 324 Crs Our License revenue has a dip. There's a slowdown of license revenue decision making an d in Europe, which was the earlier point which made after the Ukraine war. There's a decisive slow down. It is -18%, so down from 360 Crs to 297 Crs AMC has held very close by 14% from 316 Crs to 361 Crs in the last 12 months. Our PAT has come down substantially from 334 Crs of last 12 months to 272 Crs. because of the investment which I mentioned for moving the business of platform which I will explain to you. Our EBITDA margin is -4% from 437 Crs to 419 Crs While the gross margin is up from 1000 Crs to 1161 Cr s Gross margin percentage has come down from 57% to 55%. EBITDA has come down from 25% to 20% and license linked revenue has grown by 12% from 1000 Crs to 1121 Crs so these are top line metrics number.

The improvement side is healthily growing at 21%. EBITDA is having a constraint of the higher cost investment which is planned investment. The rec eivable days have moved from to 139 days, it is the other point which we need to be explained in this result, what is the basis of these three different elements our quarterly numbers are 555 Crs Our quarterly number is 105 Crs EBITDA. So these are 2 major number and 139 days of the DSO.

The first number is moving EBITDA from 25% to 20% is 5% reinvestment back from moving the business from product to platform. During my April presentation we mentioned about moving the business from 25% to 20% that 5% will be reinvesting back for looking at a very positive number, what we are seeing in a platform based business. So, that's one important piece which we try to intact this last quarter number was much lower. This quarter we are close to 19% EBITDA. In this quar ter, 105 Crs and we are looking next quarter will be better than this number. And second point, I want to make our investment in people is not linear, it is always happens on step basis. So step base are \$45Mn to \$60Mn quarterly run rate and \$60Mn to \$75Mn run rate. Now we are close to constant currency, our revenue \$ 72Mn which we are close to \$75Mn which we were looking at it to be doing it, so this number of \$60Mn to \$75Mn we looked at it in last October, released in 5 quarters. We reached from close t o \$75Mn and we are expecting Q 4 we were able to cross \$75Mn on constant currency basis. On the DSO days we have something called contractually not due revenue when we sell a 5 year deal with the customer a long term deal with the customer the money gets d ue after certain milestones and those milestones are

contractually not due number, including GEM because GEM also pay us X percentage upfront and Y percent after the product

gets delivered when the payment is marked on the system. I shared with you
the num ber of contractually not due out of the total is 648 Crs .That number, which is contractually not due is over 250 Crs so that's a distort my figure of DSO is of 139 days if you take it away that number of it's close to 108 days of DSO and then we look at g eographically this number, in America DSO are 16 days, in Europe our DSO are 28 days, APAC is 189 days, India is 177 days then India is 131 days if you remove the contractually not due number from the whole DSO reporting.

So now let me come to the product versus platform strategy. The platform revenue are going healthily to 464 Crs., which is almost we started from 50 Crs. to 464 Crs. in last 3 years. We are able to move the platform revenue which is giving sustainability to the business. Now let me give a flavour of each business, in GTB we mentioned about 2 major main product lines liquidity product line and DTB product line both are leading quadrant products. We are winning 3 out of 4 deals in the marketplace. Both these products are performing very well . There was a delay in decision cycle time for last 2 quarters. There the decision slow down cycle we lost some of the revenue, like we lost Spur Bank , we lost during the date of signing, the contract would have been $20 Mn contract. When the team went for the signing it off on the 24th of February, unfortunately some war has happened. This doesn't change the business s cenario of the compelling business position, which is happening.

In this area the GTB, if I look at liquidity we are now getting a good traction since interest rates globally are higher there's a good traction. We are announcing the second deal in France after SocGen Deal last year. Now we are announcing second largest bank in France is also selected iGTB and then we have another 3 to 4 deals in liquidity in France. Liquidity is now moving to Canada and then it can look at Spain, Italy and other countries. We are looking very much focused country by country to take a ma jor market share. We spotted 2 or 3 banks, to take our liquidity and GTB then our leadership quadrant is established the way we did it in GTB . Same way we are doing it over here.

In GCB business the 2 platform one core banking platform which is we call IDC. In last 6 months, our micro services based, API based, cloud native, event driven headless platform has been very well accepted in the marketplace. We are able to differentiate ourselves in Europe and America and for the Canadian market, this headles s is a great proposition. We are working on at least 7 deals over there in Europe market on MACH compliant or MACH Born. I would not say compliant MACH born core banking system. One good thing for the investors is that now we are in top 3 players in cor e banking. And now when we are looking at survey and one RFP, we are participating along with Thought Machine. Thought Machine is a new competitor, but emerging as a new technology space and Temenos, a 900 pound gorillas sitting in Europe which has the lar ge customer sites. So these are the 2 more competition but core banking market space, perspective getting qualified in top three is very big success from our view point and we are seeing that we are able to compete head on with Thought Machine and some ot her deals and Temenos is coming third is a very soothing proposition. Those deals may not have closed in last 6 months. Deal closing in core banking takes 12 to 24 months, so cycle time for changing the core banking when we are engaging the customer can go as high as 24 months. We implemented this solution for one of the German clients which we announced the deal two years back, the second largest retailer of Germany. That system is working smoothly in November they are processing 300,000 calls on a single day using our micro services architecture. I think that's the kind of power w

e are able to get a
referenceable client in European market which is giving us an acceleration on this business.

Second business of GCB is iKREDIT360 which is designing credit pr oduct. It's a comprehensive 360 products where all the credit portfolio of the bank from retail loans to SME loan to credit card secured or unsecured loan can be processed on this particular platform. This platform deal we announced 3 quarters back was fro m one of the Sweden's largest financial institution Resurs had selected us and that platform has a very good traction because using the iKREDIT360 one can design their own solution. So that's a second platform. That's the Second platform. The 3rd platform GCB has got Quantum. We had a good deal till June, last 2 quarters we had a slowdown. We are having a pipeline of more than 7 to 8 deals which are there in central banking. The best part is we are fighting this battle in an advanced market now so central b anking deals have moved from not only in the African market, it moved to the advanced markets. So this is very heartening to know.

Then we look at intellect AI. We consolidate our business into 3 units from 5 units. So we had a RTM unit and a Wealth unit. RTM unit has been merged with GCB business. So Treasury business has been merged with the GCB business and Wealth business has been merged with Intellect AI. We renamed Intellect SEEC to Intellect AI. So there are 3 units now - GTB, GCB and Intellect AI. The thinking process of Intellect Design Arena, when we set up, Arena which was a piece when we say that there will be an incubation stage company and then there will be an ecosystem building company and will be a scale company. So when a product is gettin g created and first 5 customers are there, it is in the incubation stage which gives us quite a lot of freedom to the team. They work like a start -up company in that particular space. Once it reaches the first 5 customer, we believe that it's a time when w e can use organisational resources at a scale level and the global reach of the company and that is the time when we merge with the larger units. So that's the strategy which we announced sometime in 2016, 2017, that's how it is done. Now, the major busine sses in these 3 units, there are minor products in the retail space and some other space which are running and are non -significant so we will not be talking about these produc ts in any of this conversation.

The Intellect AI space, Magic Submission, which will be launched in the US, that Banesh has highlighted to you, does the extraction, enrichment, does transformation and validation. The entire piece which is there on the underwriting policy now has matured to a level where is moving in a Design Thinking vocabulary there are 3 circles are there. First, circle is called lean start -up, second circle is called ecosystem and the third circle is called scale. So, this business of Magic Submission is moving from Lean start-up where we are creating ten clients to be working on the platform now to the ecosystem space. The 3 elements for differentiating between start -up, lean start -up, and ecosystem is - in lean start -up it is desirability, feasibility and viability. Once viability gets established, then it moves into feasibility value, enhancability, and adaptability so it move to the value enhance ability and adaptively. In this space which is disrupting the VPO space significantly there is a v ery heavy pipeline and the here we will be hiring and investing more mon ey in this business.

Second business wealth, we took some time under the leadership of Jaideep Billa. I hope some of you know him after we did a lean start -up he handed over to the pattern to Banesh and Sudhir to run this business and this business now have a great traction. The largest Indian bank SBI is a customer of this which may be going live recently. And other 2 large wealth man

agers have also chosen us. One of
them we are announcing in this quarter deal with the largest bank, and there's a pi peline of almost 80% of banks is constraining to replace Myles with our Intellect Wealth Cube. So that's a second line of business and we are very excited about the journey because we are focused on our RM Office as a key strategy there and third thing is the AI platform and that's why the Intellect AI names come from and in this platform we have a 2 core technology which I mentioned to you during our technology day. Both

the technologies are now getting combined to deliver ESG. At end of the presentation 1 0 minutes time we'll just demonstrate one of the outcomes of this product. We launched Magic Invoice and also ESG on this platform. This platform and 3rd product on the same platform is Sherlock. Sherlock demo I will be giving you in the last 10 minutes of the session. Anybody who wants to stay back for asking questions they can stay back. It is a preview. Very small previews we have been working on it. It will take another 6 months to go to the market, but will do the preview at the end of the presentation . So with this I leave the platform for question and answer.

Praveen Malik
Now we are opening the session for Q&A. I request to please click on the r aise my hand so that your question can be taken. The first question is from Mr. Pratap Maliwal from Monte ra Finance. Please unmute him. Ask your question.

Pratap Maliwal, Montera Finance
Hi, am I audible please? I just had one question that last quarter; I believe that we had a contract of around 3Mn $ that the revenues had not flowed in. So have we started b ooking those revenues now in this quarter?

Arun Jain
Yeah that revenue have been booked into this quarter for getting the current numbers .

Pratap Maliwal, Montera Finance
And those venues are flowing into which part of our business that platform revenue, license revenue, and perhaps if you could just maybe tell us the quantum of ho w much we booked out of the 3MN .

Arun Jain
Entire 3 Mn$ are booked in license revenue. There are 2 deals in which it was there.

Pratap Maliwal, Montera Finance
OK Sir, thank you!

Praveen Malik
Thank you Sir, the next question is there from Pradhumna Choudhary from JM Financial.
Pradhumna, Please ask your question.

Pradhumna Choudhary from JM Financial
Hello Sir, can you hear me?

Praveen Malik
Yeah, yeah.

Pradhumna Choudhary, JM Financial
Yeah, so I'm just trying to get a basic understanding here, l ike traditionally my understanding is that the BFSI focused product industry has been very slow growing like they've been phases when there's been a lot of investment and the growth has accelerated, whereas in other phases because of the tendency of

these banking customers to stick to their old software's. The growth has been slow, so I just wanted to understand, currently, are we entering into a high growth stage like bec ause of the entire COVID which

has led to digital transformation? Are we entering into a higher growth stage and is the demand coming back for the industry as a whole? I understand you guys have grown at a much healthier pace, but overall for the industry, is it coming back?

Arun Jain
I did not say it's coming back for the industry. The product space will be slow growth only because decisions around changing the platform are very difficult decision in a bank the cycle time of decisions are very long and th ey are long because they are more than in some other contractors to highlight to you we have 21 signatory in one single contract, even contract requires 21 signatory for one single contract that are changing the platform.

It's a difficult business.

Somet hing that there are some tailwinds for us. One is we invested into cloud technology way ahead of time, so in 2017, 18, 19 when

our stock was lowest we were investing phase of the product and then
when we are moving to the cloud technology and micro -service s technology we kept on highlighting that this is the investment Phase of the company , but that's what we did it cold call to say that we will build up this cloud technology and because of we build this cloud technology today, we are in very healthy posit ion where entire GTB business, GCB business, AI business is all can be consumed and composed to deliver a specific solution with the contextually built in. So we promised the customer three things - compos ability to design their own solution, contextually, to make appropriate decisions for themselves and f or their customer by using AI, a nd we help them extend their solution using our Turmeric work bench. And that's helped us out in growing better than our promise to the market was or our design of the organ isational promise. Internal design was 20% growth year on year. These are design of the organisation and we always mentioned that it can be. Last year we grew 25%. This year will be going slower but 20% is our design strategy is around 20% Year on year.

Pradhumna Choudhary, JM Financial
OK, just a couple of follow -ups so one so as such COVID hasn't really been that big of an inflection for the industry is what I understand from your commentary, and second, so other players that we have, like we have Tem enos the likes of even Oracle Financial services, the Flexcube Company. They are not really offering this cloud based solution, is it?

Arun Jain
They are having a lot of legacy sitting there. They are communicating in the market that they have cloud based technologies. But when architect sit down with them there's we should not comment on competitor but it's more of a white wash than a core cloud born solution. There are 2 kind of thing cloud born solution or you make some solutions compatible to cloud.

Manish Maakan , CEO, iGTB
I think we saw the trend ahead and invested ahead and they are on a catch up game. That's why they didn't challenge. We are viewed along with Thought Machine or similar companies. So that's the difference.

Pradhumna Choudhary, JM F inancial
Ok, understood and second on the competitive intensity. Definitely quoted from your commentary as well it's clear we've been doing well, but overall, even if we look at like somewhere I had read that

Oracle had won a customer where initially we were serving in Uganda, I believe. So like what is really happening in those terms like are we witnessing significant competiti on in the industry as a whole, a nd are we gaining market share? Especially in the consumer banking product, are we gaining marke t share or are we maintaining or are we losing market share?

Arun Jain
We have won core deals over there in core banking now in Uganda, Zimbabwe over there or any other African country. But I think our focus is more towards Europe to fight the battle. I d on't know whether you are tracking the company, if you are tracking the company you should track Thought Machine. Thought machine has invested $550Mn investment in last 7 years in building the product for our cost corresponding investment is less than $50M n in core banking. They invested $550Mn at a valuation of 2.7 Bn $ only on core banking by the last investor deck which came in there. So that will help you in

positioning the right understanding.

Pradhumna Choudhary, JM Financial
OK, I understood that's really helpful. Thank you.

Praveen Malik,
Thank you so much. Next we have Mr, Moez Chandni from Syndrome Broking. Moez, Please ask your question.

Moez Chandni, Centrum Broking
Hi, thank you for the opportunity. Two questions from my side. Firstly, you 've mentioned that you're seeing decision cycles recover in Europe and that Q4 looks visibly better. So could I just get a little more colour on this? What ex

actly are we seeing in the European markets right now in the short - term, at least for Q4?

Arun J ain
Rajesh, would you like to answer ?

Rajesh Saxena , CEO, iGCB
Sure, so I think as you look at Europe. What we are seeing actually we are seeing there is a play for let's say tier one banks and large regional bank players where what Arun talked about our IDC platform which is MACH and based on compos ability and exten sibility. Is what is seeing traction and we are competing in many deals in Europe as we speak where we are competing three competitors we are in last three where we would have Thought Machine, Temenos and us. So we are seeing us and our solution and the w ay we have architected resonate with most of the banks in Europe. So that's the good news. We also as we have implemented and created references in Europe. We are seeing more and more opportunities from Europe's banks coming to us customers are recognising us and the word of mouth and the references is building the brand image for us, so we seeing more opportunities come to us. We are seeing that in these opportunities we are in a head -to-head fight with one of these two other competitors that I talked abou t. So we are seeing a good traction from a Europe perspective both in UK and in continental Europe.

Moez Chandni, Centrum Broking
OK, thank you for that. My second question was on the US so I did notice that we've won a large deal with a U.S. bank. So are we seeing more traction in the US? And could you, maybe little give us a little more colour in the US market.

Arun Jain
Yeah, we consider US and Canada market as a common market and we call it North American market. With this solution, which we ment ioned about liquidity, virtual accounts, platform on the banking side, magic submission is on insurance side and our digital solutions on GCB side as well as on GTB side there are 4 product lines here, putting in Canada, US our entry strategy was Canada an d then going to US. So now we are getting in good traction in US now. US is for next, for incremental growth perspective within US is definitely will be growing at 20% plus next year. So that's the kind of a number we can put on the table, but it can be fa ster than 20% of the US market. So, and U.S. market in insurance Magic Submission, Banesh if you want to cover highlight how the U S market is playing with you .

Banesh Prabhu , CEO, IntellectAI
So I think we're seeing a very strong traction on Magic Submission. We already this year have over 8 clients and it is a very good healthy pipeline of customers. Magic Submission in most of these are 2 of these clients are insurance companies. We're also seeing the replacement of; you know one or 2 of our key c ompetitors. And therefore this sort of gives very good insight into how we will be disrupting the space around AI related to Magic Submission, where w e are effectively eliminating, t he BPO companies are improving the speed of being able to process transact ion very well. As a matter of fact one of our clients came back and shared his number after our implementation of Magic submission where his revenue is almost tripled for that month. There is a very positive capability of AI tools available to help custome rs take decisions around submissions of underwriting documents in a much more efficient way and much faster and accurate way to help the underwriting decisions quicker, so they seem excellent traction in the US and that side.

Moez Chandni, Centrum Broking
What is the contribution of US of the total revenue for Intellect?

Arun Jain
We are not publishing that number. Coming years it will be good.

Moez Chandni, Syndrome Broking
And, my last question was on margins so you have seen a sequential improvement in EBITDA. So what is your outlook on margins moving forward to you? You have seen more scope for improvement in any steps that you a

re taking for further improvement?

Arun Jain
Yes, next quarter will better

Moez Chandni, Centrum Broking
Any specific d rivers for this?

Arun Jain
Q3 Results FY 2022 - 2023

Our license has come down QoQ from last quarter as it was 14.8 million and this time 8.8 million that is the 6 million shortfalls in the margin. So for us one has to be look at it what kind of a license deal we win if one has to chase the margin. Events took at the margin behind opera tional efficiency which have we investing is stepwise investment. So between last Q2 and Q3, our operational cost above the EBITDA line moved from 442 Crs. to 450 Crs. only on the operational cost, while the cost was increased between 375 Crs. to 443 Crs. for the three quarters over there. So the three quarter is the phase of January to September for a phase of substantial investments. So this cost will suffice us for 80 Mn $ run rate of around 320 Mn$ run rate the cost will s uffice us. Then if you are sho oting for another 100 Mn $ from 80 Mn $ we may require another step up cost and that cost will bear for two or three quarters and we take a decision. It will be subside quarter this cost increase will be there and the margin will come down. So you will ob serve the company will get into higher margin space and reinvest that money back to step up business.

Moez Chandni, Centrum Broking
Ok thank you for that.

Praveen Malik
Thank you Moez. Next we have Mr. Mohit Jain from Anand Rathi Securities. Mohit, please ask your question.

Mohit Jain, Anand Rathi Securities
Sir, two questions and both related to revenue growth only. So one is that is there a slowdown or some sort of softness you guys are seeing on the SAAS growth for this quarter or nine months. An d, second related question is when we do see revenue momentum building up again when we look at a Q2 y -o-y perspective. Last nine months have been not so good. And, we are way behind the 20% trajectory that we often spoke about to the last 2 year s. When do you think we can catch up to that? TCB wise also it appears that our deal wins quarter on quarter are sort of stagnating specially the large ones. So, in that context, what should be expectations for the top line?

Arun Jain
Our projections are the same 2 0% on design when we had last year 29% we didn’t change up anytime we celebrate the 25% growth. Said they still we are looking for 20% so 20% when we design the business few quarters will be 15%. The purpose will be 25%. That variation is a part of the bus iness. So we are going on that trajectory.

Mohit Jain, Anand Rathi Securities
Sir with license revenue going down, you still think 20% is something we should target?

Arun Jain
You have seen in the LTM basis is still 21% growth, Mohit

Mohit Jain, Anand Rathi Securities
You are referring to rupee growth probably; we are looking at dollar growth.

Arun Jain

You need to pick up some points which is to be coming down but it is the 21% growth .We are not investing in dollars.

Mohit Jain, Anand Rathi Securiti es
No. no, no we are not. So we should basically get agree 20% rupee growth is the point?

Arun Jain
That's right.

Mohit Jain, Anand Rathi Securities
Perfect sir. Thank you very much and sorry I missed one part on the SaaS growth. Is there any slowdown in Saas revenue growth?

Arun Jain
In this quarter or last quarter we have come to higher slab, hence the pricing has come down. So the GEM growth which is normally should have been much higher has come down. It has crossed one lakh Crs.. After crossing one lakh Crs. discounting is much higher.

Mohit Jain, Anand Rathi Securities
And, outside GeM we do not see any slowdown in Saas right?

Arun Jain
No. Only in GeM we have slowdown.

Mohit Jain, Anand Rathi Securities
Perfect sir. Thank you very much.

Praveen Malik
Thanks Mohit. Next we have Ms

. Sugandhi Sood from InCred. Sugandhi, you are there?

Sugandhi Sood, InCred
Yes, hi. Thank you for taking my question. I just wanted to verify as you mentioned in your initial remarks that you are looking at a 7 5 Mn$ run rate if I got that number correct. And then you know the coming quarter and also just looking at your disclosures that you have made on funnel and I wanted to get this sense in terms of deals wins is there any extension in the term of contracts t hat you are experiencing. Because you know our deal win momentum on the larger deals has been improving at the margin but on the revenue growth front I understand there are offsetting factors in traditional license probably but is there any change in the t enure of contracts. Yeah, those two questions to begin with.

Arun Jain
There are two kinds of a deal. The deals are based on license plus AMC which we offer term license, so earlier we were using perpetual licenses. Now we have started offering only the t erm license which is of five years or seven years. The incremental revenue after seven years can be accrued to the company. That's the one policy change we have made in a company policy of during a term license rather than a perpetual license which are the upswing of seven years which will not be visible now but this will give us a future protection to our revenues. Second is we have platform based revenue which has got two kind of a pricing strategy we call it B1 is my license revenue we call it B2 is my s ubscription based revenue where I give the platform to the customer and charging a 50,000 dollar per month to 200,000 dollar per month is a variation of the platform when I offer to the customer which means between 600,000 dollar

to 2.4 Mn is a kind of a n umber which variation which is there and this is on a subscription basis as long we use this. For that we need to make a very high upfront investment of Proof of Concept (POC) to the customers to sell it. Once you sell it at 2.4 million dollars for 10 year s then we will become 24 million dollars and after the third year on margin on those deals goes up to 70% on third year time. But the first two years are margin would be as low as 20% of those deals. These are two constructs which are there.

Sugandhi Sood , InCred
Saas contracts, is there a contractual duration for these and is there you know beyond which point we renegotiate terms?

Arun Jain
Initially, typically Saas contracts are three to five years. But, normally Saas contracts are lifelong. As it is

difficult to move out from one software to another in the banking system.

Manish Maakan
These are core infrastructure, to not discretionary, not to switch on switch off.

Sugandhi Sud, InCred
Sure sure. My question is mainly on you know just trying to corr elate the traction in deal wins with the revenue recognition based on you know the tenure of the contracts basically what we are saying is in fact the tenure has shortened because of the policy change. Is that correct?

Manish Maakan
No Sugandhi, it was perpetual now and it's five to seven years so the company actually makes more money, in the second slide we were seeing the funnel is growing that means the demand is just the frequency of the closure with this those are a bit of challenge. So there is dem and its getting business case approved which is taking time at banks.

Sugandhi Sood, InCred
And sir, would it be possible to any idea of the AMC revenue how much of it is on account of the legacy and how much would be from platform?

Arun Jain
AMC doesn' t go to platform.

Sugandhi Sood, InCred
It's only for the non -platform revenues.

Arun Jain
That's right.

Sugandhi Sood, InCred
Sure. Thank you.

Praveen Malik
Thanks Sugandhi. Next we have Harshil Sethia from AUM Advisors. Harshil, please ask a question?

Harshil Sethia, AUM Advi

sors
Am I audible?

Arun Jain
Yeah

Harshil Sethia, AUM Advisors
Sir first part which I had was on slide 15 of our presentation where you mentioned that our current funnel is around 70,000 Crs. and how do we calculate th at?

Arun Jain
855 Mn$ is the funnel we are looking at it. Yeah. 855 million dollar, not Rs70,000 Crs. or just 7, 000 Crs Sorry for the Typo error. 7000 Crs 70,000 million is the number. When we are moving between million and Crs this kind of errors happened So, the explanation is 7000 Crs is the final size, what we have enough now which has got maybe qualify the deal where we know clients nee ding a solution there were criteria for bank criteria the client has the budget, the client has the authority, the client has the need, and client has the timeline. When the four parameters get established, that may finally bring into 855 Mn $ funnel a pla tform system which we had. Then there is a lead pipeline which we do not report here, lead pipeline which is of similar size we have the budget for timelines for the customer is not defined.

Harshil Sethia, AUM Advisors
But, it is the 7000 Crs. or 70,000 million this contract in our hand executable or do we have to bid for it and then the client will select out of the top three of whatever it is?

Arun Jain
We are saying these are in the pipeline. This is not contracted.

Manish Maakan

These are bids out there. Prospects, we need the given bid or you going to be giving bid shortly.

Harshil Sethia, AUM Advisors
And, how much is generally the conversion ratio for us?

Arun Jain
The conversion ratio varies. We look at it. Conversion ratio on destiny dea ls in the next slide 57. Deals are there. We look at it the. 68year deals in this time . There were 57 deals last year same period. Order 68 deals you package 6 deals you closed this quarter. Every time and every quarter 10 to 15% is a closer rate.

Harshil Sethia, AUM Advisors
Ok. So, secondly you know where one of the previous participants asked about that we are building a 20% growth rate company and you said you know the LTM number for us is 21% out of which I guess 10% is due to the Forex exchange rate. Do we also take a call on Forex rate to justify growth?

Arun Jain
we have a hedge loss of 9 cr this quarter we do take a 3 year hedge call. We take 60% of the forward on the hedge c all and 40% we leave it open.

Harshil Sethia, AUM Advisors
Sir actually my question was not on the hedging of our business or how do we hedge our revenue. Question is that when we say a 20% growth company so shouldn't us be a product and dollar wise company. Shouldn't we take it on CC basis?

Arun Jain

We are taking constant currency basis, so constant currency revenue this time is 72Mn. But since. We are comparing all the earnings, everything on the road. We want to just simply simplify our Communication one Indian currency otherwise multicurrency confuses the systems.

Harsh il Sethia, AUM Advisors
Ok.

Arun Jai n
Because several chances are there, it's keep on moving from one currency, so we had a lot of large exposure to Europe currencies which has got a large fluctuation from 1.24 to 1.03. GBP has Fluctuated , so that's it's a huge reporting issues.

Harshil Sethia, AUM Advisors
So, when we say that it is a 20% growth company or that the company that you are building that should we take it that in terms of constant currency only going ahead that you know like on a longer term period we will be able to deliver 20% on constant currency basis?

Arun Jain
That's right.

Harshil
Ok.

Praveen Malik
Thank you Harshil. Next we have Mr. Rahul Jain from Dolat Capital. Rahul, please ask a question. Rahul, you are there?

Rahul Jain from Dolat Capital
Hello, am I audible?

Praveen Malik
Yeah Rahul. Please go ahead

Rahul Jain, Dolat Capital
Sorry for that. So firstly, my

question is related to your profitability. As you see your pipeline right now
and you already have you know fair bit of hang in terms of where the mindset moving in terms of Saas versus a license kind of a deal. So, isn't it a optimum time to understand the gradual shift toward you know the Saas model and the eventual impact of that on the profita bility to arrive at the potential

profitability of the business because initially I think that the growth led operating leverage was obvious factor and, now since growth may be slightly slower than what we were thinking earlier, given the macro and also be cause of the mix of the Saas both could come as a headwinds. So, is there are a realignment that we need to do to our margin band?

Arun Jain
Yeah, that's a good point out we have to work it out. But the impact is still the jury is not clear because we ar e getting a client which is asking for license when you're in Europe and Americas as well as license when you in Asia Pacific. So this is a still a jury is not fully out. We have just 50 -50 kind of a jury we have few customers are in CapEx space and few cu stomers are OpEx space so it's difficult as an immediately but you're suggestion is good that you're working out all the impact of Saas model versus. License model.

Rahul Jain, Dolat Capital
Right. Of course I know you don't know which deal within the pip eline you end up winning and the mix could be eventual mix could be very different. But any range you wish you give for next year and be potential swing in the Saas revenue that can happen versus this year?

Arun Jain
We can only say that magic submission has a very good pipeline which can go to 50% plus YoY.. So that is the one thing that you know that SaaS deal of magic submission can grow. 50% in the US market. The rest of it I will not able to give it a gross level.

Rahul Jain, Dolat Capital
Right, and just one more question if I may. Regarding the growth of course lot of people had asked in different way but the way this year started and what we were expecting out of this year in terms of a growth. And the way it has shaped and also based on the min imal input that you have this point of client conversation, Is it fair to assume that next year at this point also looks like at best be at the current pace? Or you think there are some reason to think positive more positive than this year was?

Arun Jain
Yeah, more positive with the MAT compliant software and AI solutions. So, we are differentiating on two things for architecture and intelligence. We are the company which is architecture based and intelligence based and these are the two keywords to which we are helping the banks to grow faster. Exact number in the next quarter we call looking at the first three months of the financial year new calendar year and financial year for clients, we can guess it better that time.

Rahul Jain, Dolat Capital
Sure, sure, just one last bit on the if you are aware about this development in Temenos where the CEO and executive chairman are about to leave the organization and If there's any opportunity for us, or you think that these are part and parcel of the business a nd there's not major advantage or disadvantage because of that?

Arun Jain
These are the part of the business that people sell; buy a company, merge etc it's like that only.
A heat into this need to be good in ourselves. Create value for our customers. All these things will happen.

Rahul Jain from Dolat Capital
Great. That's it from my side. Thank you so much.

Praveen Malik
Thanks a lot Rahul. Next we have Mr. Anil Sarin from Centrum Broking. Anil, please ask your question.

Anil Sarin, Centrum Broking
Hi, am I audible?

Praveen Malik

Yes. Please go ahead.

Anil Sarin, Centrum Broking
So, I think first half it's been a good kind of a recovery in this quar

ter coming off the bas e of the previous
quarter so congratulations on that. My first question on the Banking as a Service. I think there was an initiative along with a large tech company to go in the US. Is there any update you would like to provide?

Arun Jain
Sorry, Banking a s a Service. Manish can you update?

Manish Maakan
Now, that's the demand in US we are working along the cloud providers. It's sti ll on one of the growth journey right now. And that's where US you were saying between this banking as a service as well as magic submission. We feel positive in the coming days.

Arun Jain
There is a platform called vitual accounts. There is a embedded finance.

Anil Sarin, Centrum Br oking
Thank you. On magic submission there is a fair amount of enthusiasm. First of, it's a platform its a Saas solution or a license software?

Banesh Prabhu
It's a SaaS solution it operates completely on AWS, and offering to the client and AWS fully host it magic submission which includes ingestion of documents spread from AWS through fulfilment in the under the Underwriting platforms. Some of them will use underwriting platforms, some use other underwriting. The ability to enrich the quality of data and do the whole AI. Capturing of information from documents or helping people in from various commercial line businesses of insurance process faster and more accurately is the heart of the suite. It is fully a SaaS based solution subscription solution. And it's normally charged at a minimum subscription level depending on the number of submissions the client wants to start with.

Anil Sarin, Centrum Broking
Q3 Results FY 2022 - 2023

Got it. And, Is it like you know there is we have GTB, and GCB, so one license sale of magic submission, how would it relate to a one license or one kind of subscription base of a sale of a GTB or a GCB? Like how big is this product?

Arun Jain
Yeah, so initially we launched its magic submission last year, we were looking the deal value per client could be close to half a million dollar. Now we are getting it with the magic submission. It can go up to $3Mn ARR not even deal value. So we have a deal in the pipeline which is a year of $3Mn dollar submissions ARR single deal. 200 million submissions again. Single deal, single client

Anil Sarin, Centrum Broking
Single deal

Banesh Prabhu
US for insurance is two hundred million submissions just to give you a picture of the size of the market.

Arun Jain
We are pricing per subscription.

Anil Sarin, Centrum Broking
OK, so that's very helpful. again Still going on with US. I mean, an earlier participant had also asked this, but I just wanted a little bit more c larity. Is that generally when we when we speak of Intellect, you know there is a feeling that oh very strong in Asia pack and Africa, getting, you know quite strong in Europe but US is a WIP and on the other hand now we have this magic submission. So how would you sort of at an overall level describe your progress recent progress in the US?

Arun Jain
It is a Part of the strategy communicated from 2017. The strategy that we will strengthen Europe and then we enter into the US. The US we started focusing on ly 2 years back so we are getting a very good traction once we are able to master the technology in Europe. So it was part of 2015 strategy. Nothing

changed.

Manish Maakan
Now it’s good as U.S. business is being billed as platform subscription business, so it's not eating into any of our license business. These are new products and new markets being grown.

Anil Sarin, Centrum Broking
OK, so again on the on the core banking that that process that is going on which can be a lengthy process as explained earlier you were mentioning Mambu also within those top 3. Now the name has been dropped, is that? I mean if you can just throw some light on that.

Arun Jain
Mambu is losing out. It is losing th

e thump. Rajesh can answer it

Rajesh Saxena
Yeah. I think w hat we see we have a when we are competing at the kind of opportunities that we are seeing and you know typically a bank would start with the long list and then go to a short list and as I

said in most of the cases specially in Europe and advanced markets we are seeing Thought Machine and Temenos are competitors. We do see in one or two opportunities in Mambu also. But we are finding is Mambu more tuned for a start -up digital bank with limited user journeys so we are not really seeing them as a big at leas t at this point of time as a big competitor as we go and compete in some of these markets and some of the clients we are competing with.

Anil Sarin, Centrum Broking
Ok so first of all congratulations on making it to the elite group especially since the kind of funding that is gone into one of your competitor and the size of the other competitor and the history of the other competitor for you to move into the top three is something for all of us to be proud of. Given the I mean the there was a reference t hat Arun made about valuation of ‘Thought Machine’ also so would you would you just attribute it to the frothy nature of the previous you know funding round or is this an indication of what ‘Thought Machine’ can actually achieve? And from that I am trying to draw some conclusions regarding Intellect also?

Arun Jain
We don't know the difference between the two. For this funding and have very late in the last 2 to 3 months frothy point was not there and we are also making the business case that business cas e of core banking is so large. The markets are like today FIS, FISERV they run into 5 billion, 7 billion kind of a market size and that is what we are attacking. Obviously it is difficult to attack America companies like FIS and FISERV are embed in system, the Temenos robust systems and local syste m are there but it is 1000 bank of Market at 5 Mn dollar each if you take it’s a five billion dollar market. That’s an every bank needs a core banking and the liquidity can be taken by top 300 banks but core ba nking can be taken by all 1000 banks.

Manish Maakan
5000 banks.

Arun Jain
5000 banks, Manish corrected it.

Anil Sarin, Centrum Broking
5000 banks. So good you made an entry into the things of I just have two more questions if I may speak . One is your S aas to platform run rate is now crossing 100 Crs Now there is GEMs component in that you just explained. But I can say that’s a 400 Crs. kind of a revenue run rate. So based on the momentum that based on especially magic submissions will be contributed t o that I mean when does it start becoming 100 million per annum such that you can absorb the POC cost like it is very it is very strange that Saas firstly you take a revenue hit second you take a margin hit because the business acquisition cost remains th e same but the revenue is a fraction so to the naked eye an outsiders, it appears like, oh my god, the business is suffering, whereas you feel the business is doing very well. So where is that inflection point where you know there is enough money? Coming in from SaaS high margin revenue coming in which pays for the PoCs and the all the you know beauty parade that you have to do it?

Arun Jain
We are now coming to $50Mn as you say, 400 crore, which is coming to 50 to 100 million dollars in the journey in a round 8 to 12 quarters, to get into that journey of 100 million dollars run rate

And but I really appreciate Anil, understanding the nature underlying dynamics the business kinetics of a SaaS business. SaaS business is having a kind of kinetic energy which drives the growth of the business. So what are the POC cost that has a double whammy on us. That gets countered by the size of, so when we have a Magic Submission, if we have 20 clients or 25 clients then we'

ll able to get into the 50%
margin growth as s oon as it becomes 50 clients we will be getting to the 70% margi n growth.

Anil Sarin, Centrum Broking
Thank you for that and my last question is you had started this journey of enrolling partners in Europe and a few quarters ago you had mentioned. But the way I look at it, I mean there are very powerful Indian system integrators. So why have you not gone with Indian system integrators which can really lead to faster sales growth for you?

Arun Jain
We are working with them, as of now with Indian as well as global player we don't have a differentiation between Indian and Global. But, I think it's global and client relationships are important. So our core value for the partner is client relationship and delivery capabilities and their competence. These are th e two factors are looking at and we are not saying Indian is different from international. But, Accenture or IBM has a deeper relationship in influencing a core system or a strategic system versus some other service providers who have a deep relationship w ith CIO's so; we are looking for both of them.

Anil Sarin, Centrum Broking
And as a corollary, I mean has there been any progress? I mean you've gone into relationship; you have committed people on to that relationship? Have they also committed senior lea ders? And is there any traction?

Arun Jain
Yeah, Microsoft has committed senior people, AWS has committed senior people into this relationship. We are doing the event in Bombay on 21st February, where the senior most person from AWS is flying down for tha t event.

Anil Sarin, Centrum Broking
OK. And is there a pipeline building as a result of all that senior management attention onto that?

Arun Jain
It takes time. I think I would say pipeline is building in direct - there's a direct pipeline and the refer enceable pipeline so the referenceable pipeline you start building in phase one. And then direct pipeline you start building in phase 2.

Anil Sarin, Centrum Broking
OK, great congratulations. Once again, thank you very much.

Praveen Malik
Thank you Anil.

Arun Jain
We will have a small demo for one of the AI businesses, since you're there and you're looking at Indian market, we just want to give a preview of 5 minutes to the investors on one of corporate governance,

ESG corporate governance, we call this product under wraps right now. We named it, the internal name right now is Sherlock which is for corporate data investigation. Banesh will take over fo r some 10 minutes time for you.

Banesh Prabhu
So, with Sherlock - what we've been doing with the ESG business clients that we're dealing with and has probably mentioned earlier one of them is the world 's largest sovereign wealth fund.

They basically use data to be able to access questions related to ESG which is all the three elements of environment, social and governance. So, we are going to sort of touch on one governance capability that we have also available. Deepak Dastrala who is the CTO for Intellect AI is on the call. He's gonna take us throu gh quickly. So he will relate to this very easily. This was done obviously for investors. So it's people like you actually be able to relate to i t in an easy way. So, he's going to sign in and show it to you. And then I will if there any thoughts or questi ons feel free, if you don't have the time, send it over to us please also send any feedback also.

So, basically what it will do is it will take an ISIN number or a company name and it will give you a lot of specific information about governance of a compa ny. He is right now typing in Tata Steel. And that's already something we have access so that you get an idea. Deepak go ahead.

Deepak Dastrala
Here looking for the company details from a corporate due diligence perspective. Every information that you require. It is as simple as doing a

Google search looking for the company. Here you can search
either on the company name or company unique identification number. So, I just typed on a Tata Steel Limited and I got a CIN number and based on that I selecte d. This is typically when you search for that for the first time. It will take anywhere between 3 to 10 minutes depending upon the size of data that is required to be acquired across and we connect the multiple data sources, largely both public free source s and other sources, and here what you can look for is the company information and basically where the company, what the DUN number of the company, tax identificat ion number, way it's registered and also the charges. Basically, what are the loans that comp any has on?

So in this case, Tata Steel has loans from the various banks like Central Bank, Industrial Development Bank, Andhra Bank and everything and also the status of that particular loans, whether they're open, closed. So, you have a complete book of loan information of that particular company, and also the financial statement. Probably whatever is the recent statement that they have we have. And we also can do a historical statements also. And what the ownership looks like either from a mutual funds promoters and everything. And also the subsidaries of the companies. Again, there could be domestic or international and then also the related companies, especially if there are any. The related need not be direct, it could be from indirect also where the directors of this particular companies are also directors in another company so we'll be able to kind of a triangulate and arrive at that particular information.

And then finally moving on to who are the existing directors of this particular company. If y ou look into that, generally, if you want to just take an information, for example Kaushik Chatterjee who's an existing director, you also can get an complete view of where else Mr. Kaushik Chatterjee is a director. There is Centennial Steel company, Tata skill so, we can get into the complete view. This is just a pickled view, but we also can get into the details of where else Mr. Kaushik Chatterjee, as director at present. Also in the past, when the directorship has started and ended. We can get a complet e download of that

particular information and what it's also possible here is in this case, to get not only the present directors of this particular company and also the past directors of this particular company and their nationality and all other particul ar details we can get.

Another important information is we will be continuously doing a social listening about this particular company. And whether there is any governance related thing that needs be flagged out and it could be positive or it could be neg ative. This is where we use our sentiment analysis to understand if there is again that is specifically on the governance thing, anything that probably requires an attention, so that also we can do. This gives a complete end to end aggregated information o f the company on the financials and their subsidiaries, the directors and their current relationships of the directors of various other company and also the news about these companies.

Banesh Prabhu
This is a picture you get across all of these dimensions in a single place. Because we've already actually access and put together data both from various data sources as well as documents, etc. to pull this and this is done on the fly just like a Google search.

Arun Jain
Just take Paytm. They may not have many subsidiaries.

Deepak Dastrala
So again, similar information of Paytm. I took a subsidiary already, so but it could figure out the related companies of the Paytm like One97 and everything. Paytm payment bank is the one that I took. While it didn't have the subsidies but again here, similarly for Paytm who are all the directors, who are the exis

ting ones. For example, Mr. Madhur is actually director in many other companies and, so we can see all the company details of that part particular director. Again , similarly, where exactly he is already a director and at this moment he's present directorship at One97 and the parent company and many other companies and again past directorship is also with vari ous other companies.

So this is an example of Mr. Madhur Deora. Again, simply similarly looking into the social listening feed right a while, probably nothing happened recently, but agin it picked up in the past year. If any other incident happened on this particular thing, so we can, for example, in last year, March, RBI has taken action on against the payment of Paytm Payments Bank under Section 35A and also anything that comes into the governance related thing, either positive or negative, again our orders will pick up and give the alerts to the end user.

Banesh Prabhu
So this is just an example of course obviously. We'll keep building on the capabilities as we go.
But this is a very, very comprehensive way for everybody who wants to govern a particular status of a company or something else. And obviously we know there's a lot of noise around governance building up quite aggressively across the world. So this is just one way we can take Sherlock as a platform and help various people. Either government companies, whether they are banks or asset managers or even investors and so on and so forth. Or even regulators or auditors. So I think it's a very broad based capability. Thanks Deepak.

Q3 Results FY 2022 - 2023

Arun Jain
Thank you, Deepak. So idea was just to show a small preview of it. This can be the national ESG compliance, we can have a ESG score tomorrow, but will be converted into the score, credi t score. The capabilities a ready there, which is the intelligence. Any comments or anybody has ? Or we can move to the final question.

Praveen Malik
There are a couple of more questio ns. Can we go ahead?
Next we have Mr. Vivek Kumar from BESTPALS RESEARCH Please ask the question.

Vivek Kumar, BESTPALS RESEARCH
Arun Jain, I'm just asking from your commentary. Your last con -call you have mentioned that the 3 wide areas like banking as a service, GCB, where we are becoming one of the top 3 players and then intellect AI. You asked us to look at these 3 as a new growth area. You've been giving extremely good commentary qualitatively, so my questions are like you have mentioned in this res ult press release that there are almost 10 deals that you're very confident of signing up in next 6 months in intellect AI. So how much of your other participants are about that you are being the top 3. And also how confident are you that this will turn in to quantitative? I'm not saying immediate quarters, but how confident are you about your qualitative commentary turning into this quantitative in the coming 1 -2 years?

Arun Jain
Yeah I have to just tell you that the when I show the same symptoms where we are showin g in the deck the 2 places where Aite has given us a leadership quadrant to get into that corner quadrant of payment among 20 companies of payment of two leadership quadrant. I think you need to judge based on that. These analysts are not recogn izing us just based on some money we paid to them.

In the payment space, how many companies are there in payment space which is there, in the last slide, number 29 of the deck. They are all the respected companies including IBM which is there on the extreme end of the quadrant, outside circle. There are only 2 companies they are putting in inside circle, which is a intellect and Finastra , and in other liquidity management - it's only one company in that inside circle. If you don't make it on this, then it's your call, as an investor.

Vivek Kumar
So second question I'm following on this last sentence that you asked, Intellect payme

nt has been
implemented is India’s largest private bank with cross country corporate payment coverage of 60% and expected to scale to 100% of transaction. Can you just because I really couldn't understand what do you mean by 60% of the country or corporate payments in the country or I'm not asking the name, but can you explain?

Manish Ma akan
The 60% of their payments have moved on to this platform and it's going to grow. It's migrating from the other platform and it's going to grow 100%. That's just to talk about the scale. But it's also at a country level. Our game plan in India is to reach to that level basis what we have sig ned or what's in pipeline so

that much amount of corporate payments will flow in our network, in the next 12 to 18 months.

Vivek Kumar,
So corporate payments of the country are what you're saying based on whatever?

Manish Ma akan
That is our goal and this is for this specific pack.

Vivek Kumar
Thank you.

Praveen Malik
Next, we have Mr, Nishid Shah, Ambika Fincap . Please ask your question.

Nishid Shah, Ambika Fincap
Congratulations on a good set of number Arun and your team and also special congra tulations for the Fifth third Bank deal win. Now with this how many banks in US we have on the platforms? And how many we have in the pipeline?

Manish Maakan
With this, we have in North America 10 banks on platform. And then we have enough number on the insurance side. Another 15 odd on the insurance side, 10 are on the banking side. So we would be close to 25 customers in North America.

Nishid Shah Ambika Fincap
So would we say that We will be at an inflection point in terms of penetrating the banking customers in US with these number of reference sites?

Arun Jain
Not any inflection point, I think we're building the pipeline.

Manish Maakan
Becoming referenceable right now.

Arun J ain
We believe that 18 - 20 months, we will come to inflection point.

Manish Maakan
I think our previous references were a lot of global banks. Now we're getting US domestic banks as reference. That's the journey. Like Arun said, 18 months more. There's some in implementation, we will win more. That's when we'll get to beco me a local domestic player.

Nishid Sha h, Ambika Fincap
And how is our partnership with Microsoft and Accenture and AWS progressing? That's not just confined to US, I understand it's global, right?

Manish Maakan
All 3 are global.

Arun Jain
With all 3 of them we are working on multiple deals. With each of them IBM we are working in one of the large central banking deal in Accenture and we are working in other few deals. We are also working with Azure, the annual commitment is there with AWS . So all the 4 of them are.
They're all playing positive for us because they cross reference us in major deals. So sometime we are directly working with them. Sometimes we work as they do cross reference in the market.

Nishid Shah Ambika fin cap
That's g reat, and on the GCB side we had a lot of deals in the pipeline, especially in Europe where we were in the top 2. Are we closer to the kind of fructification there? Or are we still away on that?

Arun Jain
Europe is slowing down, the decision cycle is slow , so that's the only issue.

Manish Ma akan
I think you've seen we have announced a very large European bank of 3 trillion dollar where we have closed a deal this quarter - a French bank.

Nishid Shah
Thanks a lot and always you, thank you.

Praveen Malik
OK. Thank you Nishid, we can have Arun one more question. Vibhu Gupta from GSS.
Please go on.

Vibhu Gupta, GSS
Hi Sir, it's a very good quarter this time. Sir, are you planning for a buyback?
The stock price has fallen from 950 to 450. It's a good time to buy back.

Arun Jain
Sir, if you're suggesting something, this is a board decision. If you

are suggesting we can put to the board

Vibhu Gupta, GSS
OK, thank you.

Arun Jain
Thank you very much. Thank you for advising us on some of the strategies. It's good dialogue with you, so I would call this investor conversation as an investor dialogue in the coming months. Because this time we had more time for conversation than present ation, since you know the company well , Track the company well. No point in wasting half an hour time, critical time. Give us a feedback on Sherlock whether this market will be looking at it, you write email to Praveen and if anybody wants to have a more detailed understanding of AI, we may do some session, a technology session. Also if you see any of your customer meetings .
Yes, thank you very much.

Praveen Malik
Thank you everybody. Now we're closing the call. Thank you.

Call: May 2023

Intellect/SEC/ 2023 -24 May 19, 2023

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirem ents)
Regulations 2015 – Disclosure of Transcript of the Investors' Concall

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor E arning s Call
held on May 12 , 2023 on the financial results for the quarter and year ended March 31,
2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited

V V Naresh
Company Se cretary and Compliance Officer

Encl: As above
Q4ResultsFY2022-23
Q4FY23
InvestorEarningsCallTranscript
PraveenMalik
ThankyouforjoiningustodaytodiscusstheIntellectDesignArenaLimitedfinancialresultsforthefourthquarterofthefiscalyear2022-23 andthefullyearending31stMarch2023.Theinvestorpresentationandpressreleasehavebeensenttoallofyouandarealsoavailableon ourwebsiteaswellastheStockExchangewebsite.
Ourleadershipteamispresentinthiscalltodiscusstheresults.
WehavewithustodayMrArunJain,ChairmanandManagingDirector,MrManishMaakan,CEOofiGTB,MrRajeshSaxena,CEOofiGCB,MrBaneshPrabhu,CEOofIntellectAI,andMrVenkatSaranu,CFO.BesidessomeotherveryseniormembersoftheIntellectmanagementteamarepresentinthecall.MrArunJainwillbriefyouontheresults,followedbythebriefingofMrBaneshPrabhu,MrRajeshSaxena, andMrManishMaakan.
Thereafter,therewillbehavingaQ&Asessionwhereyourquestionswillberepliedtobytheseniormanagementteam.OncetheQ&Astarts,youcanaskaquestionbyclickingonthe“raiseyourhand”andwewillunmuteyousothateveryoneisabletolistentoyou.
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ArunJain,ChairmanandManagingDirector
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ArunJain,ChairmanandManagingDirector
Yeah.Soletmestartfromthepositioningofthecompanyattherightplace,aboutnineyearsofoureffortshavebroughtuswhatarewetoday.TheBankTechWave5startedsometimein1965,whichwasamainframe-basedtechnologiesbankstartusingforregisters.

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SothatiswhatwedesignedourbusinessforandthisbusinessisacceleratingourCAGRoflastfiveyearsis16%.OurCAGRlastthree-yearis18%andourCAGRoflasttwoyearsisover20%.Soit'saccelerating.CAGRinlastit'sfiveyearsofourjourney.
ThefirstishowtogrowandthePortfoliomodelistheonecriticalmodelwherewechose4LOB'stogrowsimultaneously.NoweachLOBishavingtheirownportfolioforthegrowthofthebusiness.
Secondiswehavepresencein57differentcountries,ourbusinessisnotdependentonparticulargeographyandwearethelargeandthemostdiversifiedcompanywhichareoperatinginthelargestclientinAsia,theMiddleEast,EuropeandAmericas.Lookingatit,whatnewchallengesarenow?Like3.0isaboutdistributionwhichwillgiveusheadroomtogrow.
Thesecondquestionisheadroomformargingrowth.Ourlicencelinkmarginrevenuecomesfromthreesources,Directlicence,PlatformrevenueandAMC.AllthreearegrowinghealthilyinthebusinessassuranceorgrowthassurancewheregrowthcomesfromourclientqualitY,ourtechnologydifferentiationandarewesolvingtherightproblem.
Manish,BaneshandRajeshwilltakeyouthrough.Theywill,theywilltrytoassureyouthatthere'sahugegrowthpotentialtheyareseeing.
Relatedtorisk,the4thquestionis,yes,thegeopoliticalriskwehaveseenoverthelastsevenyears.StartingfromBrexittoTrumpwintotheUkrainewartonowUSandAmericacrashonthebanks.Thosearepartandparcelofourbusinessportfolio.
Itdoesimpact2to3quarterswhentheindustrystartsassimilatingtheimpactofsuchkindofrisk.
Secondriskisdealcycleclosurecycletimethatisnotpredictableinalargedealslikewhatwitnessweareinsowhichcannotbequarteronquarter.Andthe3rdriskiscominginnow,wherethebanksarebecomingmorecommittedforthepaymentstobemilestone-driven.sothesearethethreeriskwhichisthere.Whichwillidentifyandwewilldiscussitifyouhavesomemorequestionsregardingit.
AtthispointoftimeIwanttohandovertoBaneshtosharewithuswhatisexcitingstoryofAIwiththecombinationofwealthandinsuranceplayingoutinthemarketovertoBanesh.Afterthat,RajeshwilltellyouthestoryofhowthecorebankingsystemswhichiswhythebanksarelookingforthetransformationofcorebankingsystemsnowbytheBankTechWave5issocriticalforcorebanksystems,whichwastosomeextentslowingdownandhowtheThoughtMachineandTeminosiscompeting.
Manishstory,youknowmoreofyouwillstoretheGTBstorybuttheGTBstoryhasmigratedtosignificantlyintheconsumerisationofcorporatebanking.It'sanamazingstorywhatweare.Differentiationiscomingintheglobalmarketspace.ManishwillshareyouthatstoryandthenIsummariseitlater.

OvertoyouBanesh.
BaneshPrabhu,CEO,IntellectAI

Yeah.CanIPraveen.
canIrequestyoutosharetheslide?RajeshSaxena,CEO,iGCB
letmetakeitfromhereandletmejuststartbysharingmyscreen.
RajeshSaxena,CEO,iGCB
SoIhopeyoucanseemyscreen.
Firstofall,goodmorning,goodafternoonandgoodeveningandthankyouforjoiningthisconferencecallandit'sgoodtobetalkingtoyouagain.Soletmestartandtalkabouttoday'spresentationandreallyinfoursections.Soinsectionone,I'lltalkaboutthemarketopportunity,somekeytrendsandtalkaboutourcompetitors.
WhileArunhasalreadytalkedaboutthefinancialsofyear2023FY2023,I'lltrytoputalittlebitofcolourbygivingyouaqualitativefeeloftheyear2023.
Thethirdsectionwe'lltalkalittlebitaboutgrowthstrategy,whichisverysimilartowhatIhavesaidinthepast,butI'lljustrecapthatagainandwe'lltalkaboutalittlebitmoreaboutmarketing.Ithinkthisyearwearefocusingmoreonmarketingfromdistributionandmarketing.SoI'lltalkalittlebitaboutthat.IthinkwhenwelookatthemarketsizefromaTAMperspective,FY23,theretailbankingspaceisabout$23billionwhichisgrowingataCAGRabout8%.Sothattakesfrom23to$29billion.Butwhat'sinterestingaboutthismarketiswhileit'sgrowingatan8%CGAR.TheshiftintheSaaSpieceofthismarketisreallygrowingby34%,whilethein-premisebusinessisonlygrowingby8%.SotheSaaSbusinesswhichisabout14%ofthetotalmarketspendrightnowinFY29isestimatedtogoto30%.Andthat'swhereourbusinessmodel,oureMACH.ai,isthespacethatweareplayingin.Also,fromnon-traditionalplayersthesearеplayerslikespecialistbanks,digitalbanksandotherfintechplayers.Weareseeingthatcomponentofthebusinessisalsogrowing.
Sothat'salittlebitaboutthemarketfromanIntellectperspective,weshouldlookattheIntellectservice,addressablemarket,it'sabout$11billiongrowingatabout8to10%CAGRandthereforefromaretailbankingspace,webelievethereisahugeheadroomforustogrowandourbusinessinthecomingyears.
Talkalittlebitaboutsomeofthetrendsthatweareseeinginthemarket.SoIthinkthefirsttrendthatweareseeingreallyisaboutdigitaltransformationespeciallyrelatingtothebank'scustomersandspecificallycustomeronboarding.Wearealsoseeingthatcustomersareexpectingthebankstoparticipateinembeddedfinanceuserjourneysasthecustomergoesthroughtheirjourney,forexample,tojusttomakethisalittlebitclear,let'ssayabankcustomerisanAmazonisbuyingaproduct,let’ssayawhitegoodproduct.Suddenlyhedoesn'twanttopayinfull,hewantstotakealoan.Heorsheexpectsthebanktobeapartofthatjourneyandbeabletoofferthatloanduringthatjourney.Sothat'stheembeddedfinanceandweareseeingthattrendgrowing.andthat'sthefirsttrend.

ThesecondtrendIthinkIalreadytalkedaboutit,it'sanacceleratedshifttoSaaSandcloud.Weareseeingthattrendgoinginallmarketsacrosstheworld.
Thethirdtrendisreallyabouthowbankscanusedatainsightsandembedded AI'sinthecustomerjourneystocreatehyperpersonalisedcustomerexperiencewhichislifestyleorientedandcontextual.
Thefourthtrendisreallyabouthowbankscanworkwithpartnersandfintechstocreateanecosystem,andthroughthisecosystem,everyoneplays.Ithinkacoupleofyearsbacktherewasalwaysthisdebateaboutbanksandfintechs.Ithinkbankshavenowunderstoodhowtoplayinthisgameandalsoweareseeingthetrendofhowbankscanbecomemarketplaces.
Incertainadvancedmarkets,weareseeingESGasaverykeydriver,especiallyontheenvironmentalpagespaceandinthecentralbankingspacethatweplay,weareseeingdigitalcurrencies.
WeareseeingmanycentralbankseitherdoingPOC'sorlaunchingdigitalcurrencies.SothesearethesixkeytrendsthatwhenwetalktothebankCEO's,retailbankheads,CIO's,chiefdigitalofficersthistrendsthatthebankstalkaboutanditisimportantbecauseourbusinessmodelisbuiltaroundthosesixkeytrends.
Ithinkfromatechnologyperspective,thekindofinvestmentsthatwehavedoneinthelastcoupleofyears,whetherit'srelatingtocloudSaaS,API,microservices,DevSecOps,Insights,dataAIanddistributedDBandIthink2025-2030weexpectthesetechnologiestofurtherevolve.SofromanIntellectperspective,thegoodpartisthatwehavealreadystartedourjourneyacoupleofyearsbackandwe'vemadesignificantprogressinsomeofthesetrends.
Sotalkalittlebitaboutyear2023.Ithinkwewerewellcoveredfromananalystperspectiveforthe6thconsecutiveyearIBSratedusasthenumber1inRetailBanking.TheyalsoratedusasaGlobalLeaderinProductBreadthaswellasRetailLending.
FromaForesterperspectivewewereratedasaleaderintheForresterWaveDigitalBankingProcessingPlatformforRetailBanking.WeareinGartner7-timeleaderintheGartner'sMagicQuadrant,andChartisalsoratedourDigitalLendingSolutionasthe“BestofBreed.”
SoIthinkwegotalotofqualityanalystcoverageduringtheyear.Wealsodid,youknowinthemonthofFebruary.IthinkAruntalkedaboutit,wehadourfirstBankTechWave5eventinMumbaiandduringthattimewewereveryhappytolaunchiKredit360,aspecialistcreditplatformbuiltforIndiaandI'llshowacoupleofpicturesaroundthatandtalkalittlebitaboutthevaluepropositionthatwehavebuiltforiKredit360inIndia.
Webelievethatthisplatform,whichisaspecialistgreatplatform,canreallyhelpdemocratisecreditinthiscountry.Soletmetalk.IthinkthekeypropositionofiKredit360thatwehaveinanutshellisit'sacomplete360assetplatform.Whatthatmeansisthatanycreditproduct,whetheryouwanttolaunchanSMEfinancing,orcreditcards,oragriculturalloan,goldloan,everycreditproductcanbeconfiguredonthisplatform.
ItisbuiltoneMACH.aiarchitecture,whichmeansthatit'smicroservicesAPI,cloud,headlessandeventdrivenarchitecture.Themodelthatwehaveisreallyonpayasyougrow,soyoupayasasmallupfrontfeeandyoupayasyougrowbasedonthenumberoftransactionsandwhat'sverycriticalisthatitisinbuiltinIndiareadythat.Whatitgivesisthatallthekeypartnersfintechgovernmentagenciesare

alreadyintegratedwiththisplatform,whichsignificantlyreducestimetomarketforbanksaswellasmakesthisplatformregulatoryready.
Duringthatevent,welaunched2products,SMELending,SMEfinanceandlendingplatforminIndiaandthesecondplatformthatwelaunchedwasaboutDigitalCards.
SoonSMEfinancing,theplatformactuallytakescareof16typesofSMEfinancingthatyoucandoandit'samodelwhichiscompletelyIndiareadyandonthecardspiece,it'sacompletefronttobackmodel,whichalsohasthepotentialtolaunchagreencard.

FollowingIndia'sevent,the2ndeventthatwedidwasinUKwherewereallylaunchedourUKOpenFinanceplatformandweshowyoualittlebitaboutwhatwedidinLondon.OursecondeventinLondonandinthateventweactuallywhichwasdoneincollaborationwiththeCelentandAWSBankingforLondon,weactuallylaunchedtheOpenFinanceplatform,whichisUKandEuropereadybasedonoureMACH.aiarchitecture,itwasverywellreceived.Wehadaboutmorethan60banks,customersandprospectslookingatourplatformandwearecontinuingtoprogressonthisfromaEuropeperspective.
Iwantedtonottalkalittlebitabouttwousedcases,soIthinkthisisthefirstusedcaseisreallyaboutourcentralbank.UsedcasewherewelaunchedthecommercialportalforthesebanksandjusttalkalittlebitaboutwhatthisportaldoesforthiscommercialBank.Sothisisservingabout240commercialbankswhichhasaboutmorethan15,000usersandthisisthefirsttimewe'vebuiltaplatformwhichismultilingual.WehaveactuallystartedwithEnglishandHindi,butithasthecapabilityofgoingintoregionalservices.Theplatformoffers120plusbankingservicesand175PDOservices.Andforthefirsttimeanycentralbankhasactuallygoneonanenterprisecloud,sothisplatformisonVMwareTansuCloud.ItisthefirsttimewherewehavegonethroughveryseveresecurityclearancesandwehadtogothroughaprofessoratIITKanpurbecausesecurityisaverybigconcernfrombeingacommercialportalandthefirsttimewehavethoughtouriTurmericplatform.Wehaveensured100%coexistencewhatitmeansisthatwehavetheoldplatformekuber1andthenewplatformekuber2andwehavetheabilityforauserforacertainbanktobeonekuber1andcertainbanksonekuber2andwithinabankalsosomeuserscanbeonekuber1andsomeuserscanbeonekuber2.
Sothisisagreattoolfrommigrationandreducesanyriskfromamigrationperspective.
ThesecondusecasethatIwantedtotalkaboutistheSMEmarketplacethatwehavelaunched.ThisisforoneofthelargestprivatebanksinIndiaandthisisabankwhichoverthelastoneyearhasimproveditsmarketsharefrom19%to24%.andtheplatformisreallyaboutacloudnativesolutionwhichisimplementedonaprivateGooglecloudwherethecustomertheSMEcanselfonboard.Sopriortopandemic,theprocessinthisbankusedtobethataSMEwouldgotoanRM,sitacrosstheRMandgiveallthedata.Andthatprocessofapprovingcouldtakeanywherebetween7to10days.
NowwhatthebankhasdoneisthatSMEcanonboardhimselforherselfbyusingamicrositewithverylittledataentrywithveryfewfieldsofdataentryandthroughmultipleAPIcallsthatwemakewithmanyimportantfintechsandpartners.Weareabletogetthatinformationandmakealmostrealtimedecisions,sothiswedothrough129API's,11PBC.Webuild67interfacesforjustapprovingthisRMS.
Today,thebankisprocessingabout70,000applicationsthatdispersesboththe7000croresamonthonthisplatform.Thisis,webelievethisisahotspaceinIndiaatthisplatformcanreallydemocratisetheSMEfinancingfromatechnologyperspectiveinIndia.

Q4ResultsFY2022-23
Movingon,IthinkI'lltalkalittlebitaboutourstrategy.Ourstrategycontinuestobebuiltaroundourproductandplatformfocus,continuedfocusonEurope,ourprincipalsolution,providerstrategyanddestinydealsthatfocusontalent.
ThinkthisisanimportantslideandI'llspendacoupleofminutesonthisslide.Ithinkwhenwelookatourbusiness,wearelookingatourbusinessasfourproducts,threeplatformsandonetechnology.
ThefourproductsthatwetalkaboutisIDCandwhenwetalkaboutIDC,thisiscorebankinglendingcreditcards,AML,Treasury,etc.It'sthemostfromabreadthperspective,itisthewidestproductsuitethatisavailableinthemarketandthedeepestfromthetypesofuserstoriesthatwehave.
ThesecondproductwhichwesellisDigitalLending.Thethirdproductisreallyaboutourcentralbankingproposition,ourMarketLeadingcentralbankingproductwhichwecallasQuantumandthe4thisonCapitalCube,whichisourTreasuryandALMproduct.
Aswehadoriginallyhadproducts,wearenowmovinginthatjourneyfromtoaplatformandthethreeplatformsthatwehaveiseMACH.ai.Thisisouropenfinanceplatform.iKredit360,it'sacreditcuratedcreditplatform.Thedigitalexperienceplatform,thisisthefrontendlayerandiTurmeric,whichisourtechnology.
Iwanttospendacoupleofminutestalkingaboutthekeyvaluepropositionsofsomeofthese,someoftheproductsandtheplatform.Sofromaproductperspective.IthinkifyoulookatIDC,thekeyUSPorIDC,it'sacomposableandextensiblebusinesscomponents.ItisbuiltoneMACH.aiarchitectureandasIsaidfromabreadthanddepthofthesolution,itisthewidestandincludesendtoendloanlifecycle,creditcardsandtreasury.Andfromaproductperspective,inourstrategicmarkets,wehavecountryreadymodelbanksplatformsfortargetedcountries.Whathelpsisthatitenablesusashorterimplementationtime.
Fromalendingperspective,whatweareseeinginthemarketspaceisagreatneedforoneoriginationplatformandoneoriginationsplatformisreallyasingleplatformwhichcantakeoriginationforretail,commercialaswellascorporate.
ThedigitallendingsuitethatwehavehasacomprehensivecreditlifecyclemanagementandhasmultiplechannelaidssuchasMicrosoftCustomerOffice,RMOfficeetc.
FromtheQuantumperspective,whichisacentralbankingsolution,welookatourkeyUSPSordigitaltransformationhowwecanenablecentralbankstoimplementpoliciesfastertokeeppacewiththeeverchanginginterconnectedgloballandscapes.Itseamlesslyconnects4pillarsofthenation:thegovernment,thecentralbank,FIs,andthepublic.Ithelpsthecentralbankstoprovidereal-timevisibilityofoperationsanditreally,whilethisisafullproduct,itactuallyhas12differentpillarsinthisplatform.
FromaCapitalCubeperspective,thisisaproductwhichseamlesslyintegratesthefrontofficemiddleofficeatbackofficewithinbuiltALMandRFRandithasarealitcangivethebanksareal-timevisibilityofcashflowandriskandportfolioriskanalytics.
Fromaplatformperspective,IthinkeMACH.aiisthe.AsIsaid,thisisouropenfinance-enabledplatform.Itisalreadyanintegratedecosystem;itisregulatorycompliantinthemarketsthatweareworking.ItisavailableonPaasandit'soneMACH.aiarchitecture.

Q4ResultsFY2022-23
FromouriKredit360perspective,thisisacomplete360assetsplatformwherebankscancurateinnovativecreditexperiencesoverthecloud.IthastheeMACH.aibuildingblocksandithasmulti-tenantcreditasaserviceplatformandthiscomespre-integratedwithbest-in-classFintechpartnerstoofferdifferentiatedsolutions.
Fromadigitalexperienceplatform,it'saboutcomposable,contextualandcollaboratefromacomposableperspective,thebankscandesigntheirownUIs.Ithasdomainservicesacrossacquisition,bankingservices,engagementservices,beyondbankingservicesandfoundationservicescontextualised.WeareusingembeddedAIandMLforbuildingpropensitymodelsandcollaborate.Itworksinanecosystemwithintegrationwithmanyfintechsandpartners.
Sothat'sreallyaboutourproductplatform,buttechnologystory(lostaudionvideo)

IthinkIjustwantedtotalkalittlebitaboutEurope.IthinkwehavereinvigoratedourteaminEuropewiththeseniorpersonsinduction.Wehav ebuiltcontinuingtobuilduppre-salesanddeliverycapability.Wehave3referenceableclientswhichhavegonelive,CaterAllen,Ottoand Resursintheprocessofgoinglive.WenowhavefullyhostedsolutionsinAWSGermanyandtheUKwehavebuiltagoodpipelineinUK,Eur ope,andCanada.Weare,asIsaidearlier,wearenowhostingmultipleeventsintheUKandEurope.SoIthinkthatwasreallyaboutthisthin g.

Ithinkalittlebitaboutprinciplesolutionprovider.Sowhatwearelookingatisreallylookingat5accountsinthisyeartoseehowwecanbuilda principalsolutionstrategyaroundlendingwiththesebanksandwecontinuetoremainfocusedonthedestinydeals.Destinydealsarever yimportantforusandwe'llcontinuetoremainfocusedonthat.

Ithinkonthelastpiece,whichisreallyouraboutttalent,Ithinkweareinthetalentbusinessandthereforewearefocusingon,wecontinuetor emainfocusedontalentandfromatalentperspectivewearereallylookingattalentdevelopment,costandefficiencyandpeopleengage mentandlearning.Sothesearethethreepillarsthatweareworkingonfromatalentperspective.

Sothat'sreallywhatIhad.Ithinkfromamarketingperspective,Icanjustquicklytalkaboutsayingweareveryhappyforthefirsttimewehave decidedtoparticipateinMoney2020.

WeareparticipatingintheMoney2020,whichwillbeheldinJuneinAmsterdamandwherewewillbeshowcasingoursignatures,howban kscanbuildtheirownsolution,asignaturesolutiononanonouropenfinanceplatform.We'relookingatthataDigitalmarketingcourse,the waywhereiGTB,doesiGTBOxfordandwe'relookingatincreasingourmarketingparticipationinourmarketingeventsinourkeymarkets andalongourkeyproducts.Sothat'sreallywhatIhadandIthinkwiththat,letmehanditovertoBanesh.

ArunJain,ChairmanandManagingDirector

Beforehandingoverwhatisthecompetitivelandscape,Rajesh?

RajeshSaxena,CEO,iGCB

Yeah.SoIthinkitisaveryinterestingquestion.AndIthinkfromacompetitivelandscape,whatweareseeingisthatifyoureallylookatmarke tsinEuropeandyoulookatTier-1banksorevenifyoulookatlargebanksintheregionalspacethecompetitorsthatwefacearereallyTeme nos,ThoughtMachine,andIntellect.Soinmanydeals,weareinthelastthreewiththesebanksandthesearverylargedealsandtheseco uldbeTier-1bankdeals,thiscouldberegionaltierbankdealsetc.SoIthinkweareuniquelypositionedwhenwecompareourselveswithT emenoswhichwethinkisalittlebitofanoldlegacyplatform.IfithasaverymonolithicarchitectureandThoughtMachinewhichisreallybuilt onthelatesttechnologybutdoesn'thavethedepthandthebreadthwhichisrequiredfromafinancialservicesperspective.

SoIthinkwiththeeMACH.aiarchitectureaswellasthedepthandbreadththatwealreadyhadinoursolution,weareuniquelypositionedto beabletolookatthismarketspace.

AndIthinkAruntalkedaboutthisacoupleofyearsback.Weweremarketwaslookingatfollowingthecoreorbuildingaroundthecorean dnottouchingthecore.

Whatwearenowseeingfromamarkettrendperspectiveisthatmostofthebanksarelookingatcoretransformationbecausetheyarenota bletogetthebenefitsbyusingonlythesurroundingsystem.AndIthinkwiththenewarchitecturethatwehavethecloudtechnologiesareth eeMACH.aiarchitecture.Thishasbecomelowerandthereforeweareseeingagoodmarketopportunityinlargecorebankingtransform ation.That'sthetrendweareseeingandweare,asIsaid,TemenosandThoughtMachine,butwebelievethatwearewellpositionedbeca useofourlatestarchitectureaswellasthedepthandbreadththatwehavefromafinancialperspective.

ArunJain,ChairmanandManagingDirector

Thankyou,overtoyouBanesh.

BaneshPrabhu,CEO,IntellectAI

Ithinksomeissuewithmyscreenbeingabletoshareonzoomsothey'regoingtopresent.

Sohi,goodevening.ThisisBanesh.I'mgoingtosortoftalktoyouaboutIntellectAIbusinessandsomeofourlearnings,theIntellectAIbusi nesshashadin2023-24beforeandhowIntellectAIhaspositioneditselfverywellfortheevolutionthatweareseeingintechnology.

Imean,wearemovingveryrapidlyatafastmaturingpagepacefromadigitalagetoasofyouknowinformationageevolutionandhowIntell ectAIactuallyispositioned.Ithinktheapproachthatwe'vehadfromthebeginningusingdataandAIasafirstapproachalongwithoureMA CH.aiarchitectureforcreatingAIanddatamodels.I'mgonnaactuallyhaveafewslides,andtalktoyouabouteachofthethemes.

Tostartwith,Ithinkourbusinesstrajectoryduringtheyear2022-23wasverypositive.Weexperiencedgrowthandexpansionacrossourc ustomers.Andalsoinmanyofourgeographiesforourwealthbusiness,ourcontinuousinnovationinproductsandplatformsusingembe ddedAIhasnowstartedprovidinguswithsomeuniqueedgetoquicklyfulfilourvariedcustomerdemandsandthereisalotofdemandcomi ngoutontheembeddedAIsolutionsforspecificareasintheirbusiness.

SoI'mgoingtotouchonthreebusinesses.OneistheInsuranceBusiness,whichisprimarilyfocusedontheUS,butisslowlyexpandingint otheUK,andEurope.OurWealthBusiness,isinseveralgeographiesrightnowandisexpandingquitequicklyI'malsogoingtotalktoyoua bouttheveryexcitingareathatweareseeingforouriESGbusinessthatwehavestartedwithafewclientsandalsothepotentialofwhatweh adlaunchedasMagicInvoiceinIndia.Youknow,eventuallyoccupyingtheaccountspayableopportunity,whichisalsoverylarge.Allofth emuseoursameembeddedAIplatformsthatIwilltouchoneventuallyasthetechnologyandhowwe'veinvestedinthistechnologythroug hvariouswavesusingdataandAIfirstasanapproach.Sonextslide.SoI'mgoingtohaveacoupleofslidesontheUSinsurancebusiness,w hichI'mgoingtoStartwithfirst.Firstly,NorthAmerica,asweallknow,hasbeenprettychallengedeconomicallyforfinancialinstitutions.H owever,ourinsurancebusinessactuallyisprogressing.Mostoftheinsurancebusinessesareprogressingverywellintheeconomyand withthepresentriskscenario,weactuallyseegreatopportunityfortheinsurancebusiness,specificallytheinsurancebusinessrelatedto next-generationunderwritingefficiency.Theydowanttounderwriteriskmoreefficientlyinthisveryhighriskenvironment.Soifyouseethi sslide,youknowweareoneofthefewproviderswhofocusonacombinationofdatausingriskanalysisasaproduct.Foringestion,weuseo urMagicSubmissionI'mgoingtotouchonthatalittlebitlater.AndaverysuccessfulcompletelyMACH-architectedintelligentunderwritin gplatformexponent.Wealsohavepartners,sowedon'tbuildpolicyadminsystems,butwearepartnersinpolicyadmin.Sowhereveraclie ntwantstospecificallyfocusonaparticulartypeofbusiness,wewouldgivethemourpartnersystemsforpolicyadmin.Youknow,ifwecan movetothenextslideMagicSubmissionandexponentend-to-endunderwritingwithenricheddatacomingfromourriskanalystproducti

sactuallycreatingacomprehensiveunderwritingecosystem.Thereareclientsareactuallynowveryinterestedinimplementingslowlyfordifferentbusinesses.Sowe'vebuiltdatamodelsthroughAItoenablevariousbusinesslinessuchasproperty,generalliability,workerscom,andbusinessautoandrightnowwe'reworkingwithmanyclientsonputtingtogetherspecialitylinesandexcessandsurpluslineslev eragingintellectsiTurmeric,nocode,lowcodeplatform.
Soourdeepcustomer-centricfocusactuallyprovidesusbothcross-productandcross-businessecosystem,sowhatthisreallymeansis thatweareinapositiontogetintoaclient,maybewithMagicSubmissionintheearlierslideyousawtheingestioncapabilityandthenextend ittospecificlinesofbusiness.Therearemanylinesofbusiness.Someinsurancecompaniesdofewlinesofbusiness,someothersdomanylinesofbusinessandweactuallyenterintoaspecificareaeitherabusiness,eitheraspecificfunctionofjustMagicSubmissioningestion, thenweusedataasaseparateproduct,andsometimesweaddtoit.Theabilitytoeventakeitendtoend,tounderwriting.Ithinkthatcombinationhasworkedextremelywellandhasgivenusastrongfocusonlandingandexpandingwithourclients.Ourplanthisyearwouldbetoexceed1,000,000submissionsthroughMagicSubmissionandthepricingisbasedpersubmissionandthisisdoneeveryyear.Weareabout80%fasterinprocessingtimeand20%higherdataquality.Butareenhancedcapabilitiesofmulti-channelingestion.Wecantakedatafrommulti-channels.Wecantakedifferentkindsofdata.WecanenrichthedataandthenwhatwedoisweembedAItoprovidethingslikesubmissionprioritisation,soIwilltouchonthisfirstpointondecision-makingtime.
ManyofoursystemsareactuallyhelpingtheclientprioritisesubmissionsmuchfasterandchoosethroughourAIembeddedplatformfastersubmissionsforunderwritingcomparedtotheoldBPO,you

knowmodelwhichhadlotofprocessingdelaysandhumanlimitations.SoourtargetisactuallytogoaftertheBPOindustryforMagicSubmission.
Andactuallywetherefore,ifyousawthecompetitionslide,wehadconvertandgroundspeed,whicharethetwocompetitors,thiscombinationofputtingtogetherintelligenceofAIembeddedissomethingthatmanyofthemdonothave,whichiswhywe'regettingalotoftraction.
Themarkettimeisexpectedtobeabout100millionsubmissionseveryyearandourpositioninthisvitalareainunderwritingshowsenormousgrowthtobeabletoprocesswithalloftheseoperationalcapabilitiesforourcustomersgoingahead.Wecontinuetoobtainanedgeovercompetitionsuchasguidewireandm DuckCreek,nowGuidewireandDuctCreekarethebigpolicyadminproviderswhoalsodounderwriting.ButIthinkthecapabilityofourunderwritingecosystemmakesusalotstrongerthanDuckCreekandGuidewireandactuallydon't,youknow,mostpeopleareslowlymovingawayfromthoseplatformsormanyofthemhavebeendoingunderwritingoutsideofthoseplatforms andweactuallyarethebestsolutiontobeabletouseoureMACHarchitecturealongwiththeembeddedintelligencetobeabletohelpthem ,Managetheend-to-endprocessandwithpartnerswhowehavepartners.Forexample,todoratingofrisk,wehavepartnerstodopolicyadmincapabilities.Ithinkthatecosystemproviderisattractingalotofattentionfromsomeofourclients.
Tothiseffect,ourGTMfocusnowincludes3aspects.One,it'sexpandingtheTAMtoallthosebusinessesImentioned,property,casualty andsoon.Thatisnumberone.Second,acustomofferingleveragingintellects,proprietarylowcodeplatformiTurmericinspecialtyinsurance.Thisiswherewewritespecialinsuranceforaparticularneed.Andwehavenotnormallydonethatinthepastandthisissomethingnow webuiltthecapabilityalongwithourunderwritingplatformandiTurmericfulfillingthatrequirement.
Sothat'sexpandingourTAMinanewareaandthirdlywemovedawayfromcarrierstosupportMGAswholesalersandreinsurers.Andwe believethattheTAMofapproximately5billionyearsperyearonjustthetechnologysideforUSandUK'siswherewebelieveistheopportunity.Ithinkourspecifictargetwithinthatissomewhereinthe3billionrange.
Nowwehave13customersonboardedaveryhealthypipelineandquiteafewincontractingasthisstagewithournewlycreatedOPSteam wedealwiththatexceptionprocessingthatwehave.youknowforsomeamountofourAIcapabilitybringsexceptions.We'vecreatedanendtoendcapabilitytodealwiththatoperationscapabilityandwhatthatoperationscapabilitylearningdoesisthatithelpsusfurtherinourdeeplearningandmachinelearningalgorithms,furtherimprovingperformance.
SothoseareafewofthethingsIwantedtotouchontheinsurancebusiness.I'mgoingtonowtalktoyouaboutthewealthbusiness.
OK,sowealthinterestingspaceIthinkI'llstartwithsayingthatglobalmarkettrendsareshowingthatwe'vealmosttripledtheassetsunder managementandmanyofyouareinvestorsandyouknowthegrowthinassetsundermanagementinthepastdecadehasbeenenormous.
There'sacontinuousincreaseinliquidassetsandnumberofhighnetworthallovertheworldinmanyplaces.Wealthmanagementfirmsandbanksarestrugglingtoprovidenew-ageAI-driventechnologyexperiencesandrenewedproductstoadapttothesenewbusinessmodels.

Soyou'llseeoverherewearefocusingonavarietyofsegmentsrightdownfromtheultra-highnetworthandprivatebankononehandandtothemasswealthontheotherhand.Andthereisaneedtoactuallyenhancethecapabilitytoprovidescalefortherelationshipmanagersandtheinvestmentmanagerstobeabletoservicemorecustomersandtoknowmoreaboutthecustomersandmoreabouttheirriskappetitetobeabletoprovidethemtherightproductsandthere'sanenormousamountofwealthtransfertakingplacetonewpeople,sotheabilitytobringinnewcustomersandatthesametimeretainexistingcustomersisverycritical.
Ithink,onethingIwantedtotouchonhereisthatwe'vestartedsortofpioneeringadifferentiatedexperienceforwealthmanagersandbanksandasuperiorserviceforbothclientsusingaplatformwhichwecallwealthforce.ai.
WebelievetechnologyroleistocomplementtheRMandnotcompetewithit.Itisaveryemotivebusinessandwedigitisewithembeddedintelligenceallthosebusinesstasks.
InthedailylifeofthefinancialadvisortheycanprovidethepersonaltouchinthedigitalageandhelpthemhaveembeddedAI-poweredanalysistosupplementtheirskills.SoI'mgoingtotouchalittlebitonwealthforce.ai.So,wealthforce.aithatwearenowintheprocessofimplementinginquiteafewmarketsweyouknowthatithasgotthreekeymodels.Firstly,it'sgotaneMACH.aiwhichwe'vealreadytouchedonarchitecture.
Weuseourfabricdataplatformandthisnewofferingisthemostcomprehensivenotouch,lowtouch,financialadvisororRMsolutionandit'sbuiltonthesethreepillarshyper-automationtoabsolutelyreducetheoperationsfriction.
Therearecustomersthatarelationshipmanagerandacustomerfaceintheirtransactions.Thesecondishyper-personalisation.Webelievethatthereisanenormousneedtobeabletomatchtherightriskproductstotherightcustomersattherighttimeandnormallytherelationshipmanagerdoesn'tjusthaveallthatcapability.Andhowdowesupplementthisskillswiththecapabilitytodothatandthereforeresultina

moderncustomerexperience.
Whereverwe'veimplementedthis,it'sactuallyhelpedthewealthbusinessgrowtheirrelationshipmanagerperformancesignificantly. Wehopethatwecouldscalethisupinseveralothergeographiesgoingfor.Sowhataresomeexamplesofthat?
Contextualrecommendationsdifferentiatorwiththisproductisitshyper-personalisedembeddedAIforcontextualportfoliorecommendations.Itactuallyhelpsclientsincreasetheirwalletshares.Ithelpsthebusinessnotjustwiththewalletshareincrease,butitalsohelpsindividualinvestmentvaluesystemstobetailoredtosuitthecustomerrequirements.Soveryoftenthecustomerneedsatailoredsolutiontosuitwhathewantsandtheabilitytounderstandthecustomerandtotailortherightsolutiontohimisreallythefocusofproviding.ThesearesomeexamplesofhowtheAIisembeddedinthisparticularyouknowthisparticulararea.
Nextslidetalksaboutnudges.Howdowecreatesmartnudges?ThesearepersonaltriggerscustomisedwhetherapersonwantstobesociallyresponsibleinvestmentorhewantsthenextGenanalyticsforhisportfolioandfortheirbusinessperformance.Itisadeeperanalysisoftheportfoliothatwedoandthereforeweprovidetherightnudgestothecustomerattherighttime.

Andthenweprovidethisend-to-endportfolioperformanceevaluationthatwecanhelptheRMhaveavailableonhisdesktopatanypointwhenhe'sdealingwiththecustomerandwehavecollaborationtoolsbetweenthefinancialadvisorandthecustomer.Sothatwecanactuallyretainanddeepenourcustomerrelationshipstoprovidethemtheengagementandcollaborationattherighttime,andIthinkthewholefocusisaboutmakingtheRMsuccessful.Wehaveabout20customersbetweenwealthandcapitalmarkets.
AndactivepipelinediscussionsinvariousgeographiesrightnowinprogressandwealreadyworkedwiththreeofthetopfivebanksformutualfundwealthdistributioninIndiaandalmostallofthelocalcustodiansinIndiauseourcustodyplatforms.Inaddition,wesortofmanaged20%ofIndia'smutualfundvolumesonourexistingplatformthatwehaveimplementedwiththemutualfundassociations.SoIthinkourcombinationofMACHandourembeddedAIforwealthiscomingtogetherverystrongly,focusedonthefinancialadvisorandtherelationshipmanager.
Wantedtotalkverybrieflyonthefactthatwealthforce.aicanbeimplementedindependentlyortogetherwithourcorewealthplatformcalledwealthcube.Thiswealthcubereallycoversthefullsuiteofsixofficersand23deskscovering150toolstohelpcompletewealthmanagementforacompany.Nowsomeorganisationsonlywanttoimplementtheirfinancialadvisor,whileotherswouldliketoactuallydotheend-to-endwealthimplementation.
Someofthemwanttostartwithwealthandthenmoveintoaprogressivetransformationoftheiroldplatformsbecausetheydon'twanttodoeverythingtogether.SoIthinkourcapabilitytobeabletofocusonthatforwealthisvitallyimportantandIthinkwehopethatwewouldbeabletolaunchverysoonthewealthforce.aiinmostofthekeywealthhubsaroundtheworldthatweareactuallyanalysingatthispointandfindingoutwhowewillcompetewithinthesemarkets.Webelievewealthforceinthepresent3pillarsItalkedabouthyperAutomation,hyper-personalisation,asuperiorcustomerexperienceisnotactuallyinitsexactshape.Havingalotofveryclearcompetition,they'redifferentfintechsdoingdifferentpiecesofthis,butthecompletearchitecturealongwithMACHcanbeverywellpositionedforourselvesgoingforth.Sothat'swhatIhadonwealth.I'mgonnatouchonESG.
Soasyouknowlotoffolks,whenwetalkaboutESG,thinkimmediatelyaboutenvironmentandclimate.Butthisslidewillsortofshowyouenvironment,socialandgovernanceandthevarioussub-components.
Theplatformisalreadylive,withoneoftheworld'slargestsovereignwealthfunds,andwe'reactuallyintheprocessofimplementingandupgradingittocoverallthesevariousblocksandalotofotherdataaround.
ItbutpresentlyitrunsonAWScloudanditalreadyhasacoverageof6500companiesglobally.
Afew100IndialistedcompaniesarealreadypresentandwewanttoexpandthattocoverthewholeindexinIndiaverysoonandweknowthattherearereregulatorymandatesbothfromSEBIandofcoursewithalltheotherglobalcountrieswhetherit'sUKorregionssuchastheEuropeandtheUS.
SoiESGusesthepowerofmachinelearningtodelivercontextuallyrelevantinformationaroundeachoftheseblocksofenvironment,socialandgovernance.Itisunlockingintelligencethatisrequiredforenablingmuchbetterriskanalysisthanjustlookingatfinancialrisk.

Ithinkpeople,organisationswanttolookatenvironment,socialandgovernanceinsomemarkets,governancebecomesverycriticalaswe'veseenthecombinationoflookingatriskinaholisticwaytolookatallelementsbeyondfinancialriskiswhatthissuitereallyoffersforusandthisiswhatweareinthepositiontodaytoprovide.
SoiESGisbuiltonthefoundationsofexplainableAIforultimatetransparencyandauditability.Nowifyouseethisslideandyouseethereare fourratingagencieswhicharethedifferentblocksforeachofthese.Soifyoulookatwhetherapplesandyou'llsee4ratingagenciesratingESGoverallorevenelementsofES&Gatdifferentlevels,thesameratingagenciesandalltheseareverylargeglobalratingagencieswe'retalkingabout.OK,nowthishasbeenaconcernthatyoucan'tjustacceptthebestscorebutyoushouldbeabletohaveexplainabilityofwherethedatacamefrom.SoourexplainableAItakesyoudowntodrillfromwherethedatasourcescomefrom.
Sothiswholecontextuallyrelevantenvironment,socialandgovernance-relateddataofclientstounlock.IntelligenceisdoneinsuchawaysthatwegiveyouamuchbetterviewtoriskanalysisthanyouwouldhavebeforeSothisisanexplainableAIlotsofESGratingsaretodayprovidingscores,butallofthemlackthegranularityrequiredtomakethisintoaneffectivebusinessgreatdecision.NowwhetheryouuseESGforriskoryouuseESGforimpact,itactuallyhelpsassetmanagersandfundstomakecompetitivelydifferentinvestmentdecisions.
Andallowsbankstoincorporatesustainability,riskandimpactintotheirpricingandlendingoffersanditgreatlysimplifiesthefinancialservice-relatedreportingactivitiesthatarerequiredbymostregulatorsaroundtheworldandthoseregulationsareevolvingasweknow.
SoiESGvisionthatwehave,thisisIntellect'sESGEdgeproduct,istocreateaworlddrivenbytransparentandsustainableethicalfinancingwithinthecontextofanever-shiftingregulatoryandcustomerpreferencelandscape.Weaimatcrackingtheproblemofnon-exposeddatalineagelimitedandcontradictoryindustryscoresandmanuallyintensiveinvestigativeprocesses.
SothedifferentiationinourproductcomeswithcustomisableESGdata.Soweactuallyhelpyoutakethatdataandscoreit.NowwhenIsayyou,Iwouldmeanassetmanagers,banksthatwanttodealwithdifferentcompany.Wewouldactuallygivethemtheabilitytocreateascoringframeworkthatistailoredaccordingtothemonallthedatarisksthatweprovidethem,alongwithwherethedatacomesandthisactuallycreatesanexplainableAIsituationtohelpclientsderiveaccurateinsightsandthisisdoneinnearrealtime.
SoiESGisaverypowerfulenoughtoruncompanysustainabilityreportsoncustommetricsagainstthousandsofcompaniesatonetimebothfortheportfolioaswellasattheindustrylevel.

ItisclearlyeMACH,andit'saneMACHarchitecture.It'shostedonanAWScloud.ItusesfabricdataplatformthatArunmentioned. It'sgot40plusESGtopiccategorieswithrealtimecomprehensivesustainabilityinsightsforyou.Andwecanshowyousomeofthesereportsonaseparatediscussion.Weplantohaveabout150datapointsrepresentedinthenextfewmonths,Needlesstomentiontoday,iESG willcoverinvestmentportfoliothatisover1.3trilliondollarsasassetsundermanagement.Sovery,verycomprehensiveaddressingpresentissuesindataanddataexplainableandisalreadybeingusedformanycompaniesaroundtheworldandwethinkwewillbeinapositiontoprovidepeopletheabilitytoaccessthisESGdataandthen

tohelpthemscoreitandmanagethetrailofscoringitthrougharecordofhowtheyscoreditandwhytheyscoreditatthatpointoftimeandtogetinsightsintowhentheyneedtochangethiscall.

Sothat'sabitofapictureonESG.Itissomethingthat'sveryimportantrightnowandevolvingquiterapidlyandwe'veactuallybeenabletoleverageourdataandourAIplatformstohelpserviceit,whichiswhytheworld'slargestsovereignwealthfundshowsuscomparedtocompetition,whichwasprettymuchallthemajorplayersthatdoESDscoringtoday.

I'mgoingtotouchononemorenewbusinessarea.SoIwanttotouchonanothercutting-edgeAIsolutionwhichleveragesbotheMACHarchitectureandourDOC2APIIntelligentdocumentprocessingautomationplatform.ItwasimplementedforMagicInvoicewhichisnowintheaccountspayableautomationspace.IthinkMagicInvoiceintelligentlyautomatestheend-to-endaccountpayableprocess.SomekeydifferentiatorsofMagicInvoiceincludesmarterhandlingofformatvariations.Multimodesofinvoicesbecauseasyouknowinvoicescomeinmultimodes.

Weingestthatdatafromthoseinvoices,weintegrateitacrossinternalandexternalecosystemsandaccountingproviders.Weprovidequalityimprovementtodocumentsincasedocumentsneedtobefurtherimprovedon.Weimprovethequalityofsomeofthosedocumentsresultinginhigheraccuracyandvalidationandthereafter,verificationofallpurchasingdata.

Thismultihierarchyapprovalprocessalsomeansthattherightpeoplecanapprovetherightthingsandendtoendthisapprovalprocess,theprocessingprocessagainwearetargetinglotoftheBPOindustrythatdoesthis.Ithinkitssignificantlyupgradedwiththiscapabilitywehavesevenclientsandwehopetosignmanymorewhichareinthepipeline.

SosomeofthesecompetitiveadvantagesasacombinationofbringingtogetherareagainourfabricdataplatformagainrolledoutonacloudandaWSisrapidlyeliminatingoperationalprocessesintheinvoicemanagementflowandthevaluepropositionifyoudidn'tlookatit,theMagicInvoiceenterprisecanexpecttoeliminatedataentryofinvoices,reducecostofprocessing,significantreductioninfraudoveralloperationalefficiency.UltimatelyfreeingupalotoftimefortheCFOandthefinancefunctiontoleveragethedataasasourceoffinancialinsightssothattheycanimprovethecashflowforthecompany,attractvendordiscountswhereappropriateandfasterpaymentcyclesandbettervisibilityacrosstheoverallfunction.WeexpectinthenextfewmonthstoalsoaddsophisticatedcapabilitiesofmatchingtheinvoiceswithPOs.andarealtimecomprehensiveinsightstofurtherstrengthentheproductcapabilityanditsvalueproposition.

Thesearefourbusinesseswespokeabout.youknow,atahighleveltherewasinsurance,therewasthewealthbusiness,therewastheESGsideofthebusinessconnectedinawaytowealthaswellastobanksthatwanttouseitandthefinalonethatItouchedonistheaccountspayable,invoiceprocessingbusiness.

I'mgoingtotouchafewminutesonthetechnologyofhowweimplementedthisAI.SoashiftfromproductstoadataandAIasaplatformwithintelligentdocumentanddataprocessingcapabilityhousesavarietyofdatamodelsforspecificAIoutcomesacrossrightnow,wealthandinsurance,butmanyotherbusinessesandintellectarebringingtotaponthesecapabilities.Thesecapabilitiesallowuserstogainthatextraintelligence.

Andcapability,youknow,weallknowhowpeopledoitinChatGPTacrossareastodayandI'msuremanyofyouareusingit.ButthisisveryspecificallyrelatedtoaspecificbusinessoutcomeandthereforeourproductsandintelligencecometogetheralongwiththerightworkflowtofulfilwhetheritwasunderwritingortherelationshipmanagerthatIspokeabout.

Sospecifictasksandovertimeisgoingtobeutilisedbymanyproductsbecausethisplatformisevolvingquiterapidly.Ithasfabricdataservicesaswellasintelligentdocumentprocessingplatforms.ThefoursystemsthatyouseeonthetopItalkedtoyouaboutthreeofthem.

Sothefirststage,ifyouseethis,isaprogressivesophisticationofourproductandplatformecosystemwillcreateadifferentiatedcustomerserviceabilitytoentitiestobuildandconfiguretheirowncapabilities.Ithinkbetween2015and2018,wesawthefirstwaveofwhatintellectinvestedinanAIanddataplatformbothforsentimentanalysisanddataaggregation.InWave2,between2018and2020,westartedusingthisplatformforoneofthelargestwealthprovidersintheUKandforallourinsurancebusinessesintheUSfromthedataside,withourproductriskanalyst,whichhasnowbeenupgradedmanytimes,thattakesinputfrommultipledatasourcesandthenactuallyhelpsyouunderwritemoreefficientlywhichItouchedon.

Thethirdwavewhichhascomenowbetween2021and2023,IalreadytouchedonMagicSubmission,MagicInvoice,ESGandriskanalyst.Ididn'ttouchsomuchoniSherlock.ThiswillbeavariantthatwillhelpunderESGfocusonlyongovernanceandimprovethequalityofpeople'sgovernance.IthinkinthelastcallwehadabriefdemoonwhatisthepotentialofiSherlockandhowitcangiveyougovernanceinformation.

SothevisionistohaveaecosystemofdataandAIthatisopenandinnovativetohelpcustomersandfintechsdevelopanddeploytheirownAImodelsonourfabricplatform.Eventuallythatwilltakeacombinationofdataandintelligenceandactuallyhelpyouimplementthisatscaleforyourbusinessfordifferentareasthatwewillalreadyenableyouacrossthevariousareasoffinancialservices.SothisisaveryinterestingevolutionthatsbeginningtotakeplaceontheAIside.Ourplatform'sabilitytodealwithdataandintelligenceiscomingtogetherverystronglyonthisfabricplatformandIntellectAIisusingitverystronglyforinsuranceandwealth,butthere'sseveralotherbusinessesthatwillbeusingitindifferentways.YousawRajeshtalkaboutdataandESGinhisslidesandI'msureManishhasalotofsimilarareasthathe'salreadyworkingwithusoninthetradesupplychainpaymentsareas.IthinktheIntellectAIIthinkwillbepositionedverywellandhasaverystrongpipelinegoingforward.Thanks.IcanhandovertoManish.

ArunJain,ChairmanandManagingDirector

ThankyouBanesh.IthinkthisistheentirefabricplatformthatRajeshhascoveredcomposableplatformofeMACH.aiwheretheretailbankscancomposetheirownsolution.BaneshunitIntellectAIcoverstheentirefabricasacoreplatformontopofit.WearebringinginganAPIatembeddedpoints,alotofquestionsarethereonChatGPTandotherthings,butthisisthefinalnatureofembeddingtheAPIintoitprocesses.

It'snotgenerativeAI.ThisembeddedAI,whichisdifferentfromitandthisiswhatisthis?Whatarewedisrupting?WearedisruptingtheBP Oindustrytoday.BPOorKPOindustry,tomakeitthenextlevelofroboticautomation,whichwasbeingpromisedfiveyearsbacktowebrin gtorealitywithnotouch,lowtouchdecisionmaking.Withthisthirdbusinessunit,whichisManishwilltakeyouthrough

thenewavatarofGTB,whichisevolvedinlastsevenyearsofhisjourneytoaverydistinctivepropositionforthemarketacrosstheworld.Ov ertoManish.

ManishMaakan,CEO,iGTB

Thanks,Arun.Myscreenisvisible?

ArunJain:

Yeah,allperfect.

ManishMaakan

Thankyouverymuch.Now,sothanksforIthinkaverypowerfulpresentationBanesh.It'sverystronglyalignedtotheAIfuture.He'sdefinite lyinspiringallofus.I'mgoingtotryandinthenext20minutesorgiveashapeofwhereweareandhowwearedrivingprofitablegrowthwithm arketleadershipasacoreagendaandhowwehelpourcustomers,ourassociates,ourpartnerswinwithiGTB.That'sthecoremantraforto day'ssession.I'llgiveaquickhighlightonwhatarethebankingtrendsandwhattechnologyspendsaretherebecausethisbecomesaninp utforwhereweinvestandwherewegrow.Andthenwelookatourproductsalignedtoit,ourcustomerswinningwithit.Andhowdoyousupp ortwiththepartnerecosystemandwhataretheanalystscontinuingtosayaboutuswhichwehavesharedmultipletimesbefore.

Tobeginwith,ifyoulookatthisdatafromMcKinsey,thecommercialpaymentsiscontinuingtogrowandtheygrew11%globallyandifyoulo okatthecross,the1trillionmarkand53%ofthemwerecommercialpayments.

Sothat'sthespacewearesupportingandthisspaceiscountinginfromatransactionvolumehasgrown19%.Sothere'shighgrowthandth evalue,velocityandvolume.Allthreevariablesarecontinuingtogrowaswebecomemoreandmoredigital.

Fromwhataretheindustryanalystslookingatfromtrendstosupportthisgrowth,thiskindofvolume,whatthey'reforecastingiswhatyoun eedisacustomerengagement,whichishyper-personalisedandhasgotleveragingAItooffertreasurycapabilities.Thepaymentshavet oberealtimeandwithISO20022formatsbeingrollingthemout.Howyougoingtoadapttothat?Sothereisacommonpattern.Whatsense willyoumakeofthatdatatomonetiseit?

Thethirdwavewhichwehaveconsistentlylookedatisthedigitaltransformation.WherearetheAPIfirstandcloudnativetechnologieswhi chweallhavebeentalkingaboutanddeliveringto.Itisgettingtoanextlevelwhereecosystemshavetobeopensothatyoucanembedand bepartofalargernetwork.Yougetconsumedandyouconsumesomethingsothateveryonegetsthenetworkeffect.Forthatyouneedem beddedbankingcapabilitiesandtheproductinnovationsareforrealtimetreasuries,commercialloanoriginationsandhowdoyoumaket radereally3.0digitalandsupportthesupplychaingrowth.

ThisiswhatCelentsaysarethecoreneedswhichtheyareseeingcorporatesdemandoffofthecorporatebanks.Thenwelookedatwhatist hetechnologyspendhappeningaroundthegrowingvolumesandthenewcapabilitieswhicharerequired.Soit'saboutitsgrowingata6.5 %CAGR.It's

growingfrom7.1to10.3billion.anditisacorporatebankingapplicationonlyspend.Thisistheareawhereweplay.Thisisnotthefullcorpor atebankingspend.

Thatnumberismuchlargerandoutofthat2/3rdofthatisinthetransactionbankingspace.

SoweasIntellect,iGTBisfocusedonanaddressablemarket,whichisabout$7billion.Thisjustgivesyouaperspective.I'llconnectbackto thistowardstheendoftheslide.Sothetransactionvolumesaregrowing,capabilitiesarebecomingrealtimeandcloserandtheirspendsf orthatisgrowing.

Sohowareweleveragingthatinourproductleadershipjourney,wedefinedourmissionistheconsumerisationofcommercialbanking.W hatdoesitmeaninaverysimplelayman'slanguage?

Weasindividualretailcustomers,wegetinstantgratificationofwhatwewantandwearegettinghyper-personalised.Whywouldacomm ercialbankbeanydifferentwhereweasindividualcorporatemanagersneedtoconsumeatechnologyanydifferently?Whywouldweexp ectanythingtobeT+1kindofathingSoallofthatiswhatwearetryingtoleveragingourtechnology,bringdownthetwocommercialbanking whichisahyperpersonalisationrealtimeconnectedjourneysactiontriggeredinsights,immediategratification,friction-freeexperience atscaleandadesireandtrust-baseddecisionmaking.Sowe'velookedatallthesesixtenetsandwearecontinuingtoleverageourtechnol ogytodeliverusecasestothecustomerjourneyswherethiscanbedelivered.

Today,weveryproudlyfeelthatthere'sweareonlysingleglobalecosystemforconsumerization,whichcanoffertheentirecorporateban kingexchange.Afulldigitaltransactionbankformid-sizedbanks,liquidityinvestmentdeposit,virtualaccounts,cashmanagement,pay ments,trade,supplychain,allorganicallybuiltonasingledataarchitecture.

I'vegotalotofmypeers,someveryrespectful,someverybig,largerthanme,buttheyhaveallgonethroughacquisitionsandwehaveseenl ackofconsistencyinarchitecturewhatitdoesandthat'swhyweareseeingsomeofthemfallout.Soremainingorganicself-fundedlikeAru ncalledout,thisiswhatwehavebeendrivingandthescaleofIwillgiveyouexamplesofwhileonthescreenitshowswhatwehavemanaged todo.Iwillshowthatinindividualproductshowwehavescaledthatup.AllofthishasbeenbuiltonaneMACH.aiarchitecture,whichisthebe stcommentIgotitfromoneofmylargestcustomersbasedoutofUK,theregroupCIOssaying,Manishthisarchitectureiswonderful.Every architectpromisesmeeverysalescompanypromisesme.ButwhatIamproudtoisyouhavelandeditinmyenvironmentandweareliveont his.

That'sthedifferencebetweenanaspiration,asalespitchandhavinginproduction-gradereadyarchitecture,servingclosetoatrilliondoll arofdepositbase.Sothat'sthescaleitserveswith50pluscountries.

Thisisalargebest-sellingplatformoncorporatetreasurywithnow56countriesand54customers.Andoutofthis24areamongstthetop10 0banksofthesizeandscaleofmorethan$100billionassetsize.Adigitaltransactionbankingforallgrowthmarketsandemergingmarkets ,weareinsevenmarkets.Wearepracticallythedefactostandardwithmorethan70%marketshareinthosemarketsandcontinuingtogro wdeeperwitheachoneofthem.

Virtualaccountsarewhatiswe'rehelpingbankstomanagetheirdepositsrightnowbetter.We'veseenhowflightofdepositshashappene

dinUSandhowsolutionsarecanbeofferedwhereyoucanofferreconciliationrealtime.Sovirtualaccountisaveryimportanttoolaswegoforwardinourjourney.
Paymentshasbeenthereconsistentlyandtherearemanyplayersoverthereandwearealsoamongstthem.Oneofthecommonthingsallofuswillsaywehavethesemanyrailsandweareacrossthesemanycountriesbutnotanyoneelserightnowsaysisthatwe'vegotcloud-basedcontact-sensitivecorporatepayments,whichmeansIunderstandthecontextofyourtransactionandIhelpyoutakearecommendeddecisionforyou.Whatisthebestrouteandwhat'sthecheapesttransactionforyoutobeabletoexecute?Sothat'sadifferentiationbecauseofAI,we'vebeenabletobringin.
CBXhasourlargestfootprintnowwith78customers.Westartedthisjourneytakingtheassetsoffthecity,whichallofusknowandhavingbuiltthatformorethanahundredcountries,thatjourneycontinuesandwe'vebeenabletoreplicateitacrossnow78customerswith55countryfootprintandthiscomeswith100plususerjourneyspre-builtwith450plusopenbankingAPIscreatingtheintegration.
Theyoungestplatform,whichisfortunatelyborninanagewhichwasmicroservicesandAI,sowhichleveragesiColumbus.aifortradeandsupplychainandwe'venowgotabout24customerssupporting11countriesandwebuiltitaroundhowtoleverageAItosimplifytrade.
Tradeisalotofpaper-basedprocesseswhichhappensandhowlikewhatBaneshpriortomeshowedonMagicInvoice.HowweleveragethatonmagicLCsandmagicinvoicesandwemakeallofthisworkwhichissomuchpaper-baseddefectproneandneedsalotofmanpowerandhowweautomateandmakeittrustworthy?Sothat'sasignificantdifferentiatorleveragingAIwebroughtintradeandsupplychain.Ihopetocontinuetosharemorewinsaroundthisplatformlikewe'vebeensharingacrossallotherpreviousplatforms.
Sowiththisfiveproducts,what'sbeenourcustomerleadershipjourney?IthinkthisisthebiggestproudmomentformepersonallyandforallofusatIntellect,acurrentcorporatebankingleadershipjourney.Nowmorethan60%oftheworld'stopbanksacrosseverymarket,ifyouwillseefourbanksoutof10inNorthAmerica,sevenoutof10inEurope,nineoutof10inMiddleEast,sevenoutof10inIndia,fiveoutof10inAsiaandAPAC.Thesearethescaleofcustomerswhoareleveragingourtechnology,whoaretrustingIntellectandwhoaregrowingalongwithusandwearealsogrowingalongwiththem.
Idon'tthinkthereisanothervendoroncorporatebankingwhocandemonstratethisdepthorthiswidthofcustomerbaseacrosstheboard.Ithinkit'sourmomentnow.It'saboutgoingdeepinthemandgoingintodeepineachofthesemarketsandcontinuingtoscalewhatwemanagedtodo.Lastquarter,wecrossedthe100markofnumberofcustomersforus,whichiswherecontinuetofocusoncrosssellingmoreproductstothemtogrowourjourney.
Ithinkallofuscherishlookingatthispictureandhopefully,allofyouwillbecomebiggerpromotersforIntellectorthisisthekindofcustomerbasewhichwehaveacrosstheworldtoday.
Sowhenyouhavethatcustomerbase,whatbecomesveryimportantisdothecustomerstrustyouoraretheypromoteus.SothisisacoremetricwhichItakeverypersonallyandconsistentlyfocusonifyoudeliverfirsttimerighttothecustomer,ifyouputthecustomeratthecenter,ifyouaresolvinghisproblems,businesswillcometoyou.Thebusinesswillcomeintermsofsamecustomer,businesswill

comeinhimrecommendingtoothers,andastheymovetheyjustcallus.Liquidityasaplatform,70%ofoursalesarebuyerswhoarenotbuyingitfirsttimetheyhaveboughtatleasttwicebefore.
Sothat'sthekindofnetworkeffectitcreatesbecauseoftheNPSfocusonandhowwedrivethisinput.ThishasbeenledbyacustomerexperienceverypassionatelydrivingIt.InterestingtoseeMcKinseyputthatdowninastatisticalforminwhatitdoesandwe'veexperiencedit.Wefocusonthecustomerexperience;thegrowthistwotimes.It'sallaboutknowingthecustomerpersonpersonallyandhavingthatone-on-onerelationshipatalllevels.Focusonmediumtolongtermversustryingtomakeashort-termbuckfromthemandconsistentlymeasureandimprovethecustomerexperience.Thisiswherethemagichappens.
Thisisanexampleofmytop10customershowoverthelast10years,theyhavecontinuedtogrowandconsistentlyaredeliveringrevenuestous.It'sabout$450millioninthelast10yearsfromthesetenaccountswe'vemanagedtogrowanditscontinuingfocusongoingdeepereachofthesecustomersarethemarketplaceandnotanindividualcustomerandwewilljustfocusonGTBandwemanagedtotakesomebitsoftheconsumerintoit.We'renowtakingAIintoit.SotakingallIntellectassetsdeeperintothesecustomers,thoseareourgoldennuggets.
ThisisaslideI'veshownmultipletimes.LasttimeIshowedwewereat2.7productspercustomerandwe'vereached2.9productspercustomer.Sothecontinuousfocusoncross-sellingtothecustomerandgoingdeeperisshowingupatargetforFY26istoget150customerswhichcanhelpandgettofourproductswhichcansimplybythatmathematicsgrowtotwiceourrevenueandgrowourmarketsharefrom2.9to6%.
Now6%ofthemarketshare,ifIcanextrapolatethattoa$7billion,allIneedtodokeepshowingmyvaluebetter,bettercustomerexperience.Youcanallmultiplythenumberswhatitcanpossiblydo.
Tosupportallofthis,webuiltaverystrongpowersagebrandalongwithiGTBOxford.NextweekwehaveoureighthsessionhappeninginOxford,London.Thisiswheretheworld'sbestcomeinnetworkandcontributetoeachotheronwhat'shappeningintransactionbankingandhowwearedriving.AgainifyouwillseeeverysuchmeasurehasanNPScoreorwhatitmeansandwhywedriveandthisisagainanexampleofthebankswhocomeanddesignsolutionswithus.Webuildajointdesireofwherethetransactionbankingiscomingandwetrusteachotherorwherewegoing.I'llKeepthisfor10moresecondssothatwecanallabsorbandseethecompanywekeep,andthisisourprideandthisisoursomethingwereallylivefor.
Toserveandgrowalongwitheachofthesecustomersandallofthisissupportedbyour8012FinTechDesignCenter.Webringthemhereafterwedrivedesire.Webringthemhere,wedoPOCandwehelptheminnovateanddeliverwhattheywanttodoit.
Nowgoingforward,averysignificantfocusonlast18monthshasbeentobuildtwoverystrongstrategicpartnerships.I'vesharedMicrosoftbeforethesecondone.We'renowworkingalongwithisAccenture.SoonestrongcloudpartnerandanAIpartnerandonestrongdigitalpartner.Alongwiththem,thethreeofus,wearelookingatcreatingmagicinthemarketplace.Thisiswheresomethingdifferentwillhappeninthenextthreeyears.Sokeepaneyeonthisandwe'llkeepsharingmorewiththis.ThisisthevisionwebuiltalongwithMicrosofttobuildanetworkforcommercialbankingandthisiswhatweintendtobuildandscaleuptobeabletosupportacrosstheworldinthesemanymarkets.Finally,ontheanalysts,I've

reducedthenumberofpresentations,butyoucanlookateachoneofthem.Everycustomerratesus#1byfarineverything.
OneplatformiColumbus,whichistradefinance,istheonlyonewhichisnotnumberone.Itis#2.Sowelivebythatvaluebe#1or#2orgetout

ofthebusiness.
Andwe'recontinuingtoliveupandduetothatwithalltheteamscommittedtotaketradeandsupplychainalsotoanumberoneplatformover thenextthreeyears.Andwe'llkeepsharingthatjourney.
Andthisistheleadershipmanagementteamwhichyouhaveallseenconsistentsinceinception.Alloftheseindividualsyousee,theyarea llbeenpriorcustomersofIntellect.
Andthat'swhyIsayit'sbeenbuiltbycustomersforcustomers.Thankyouverymuch.
ArunJain
Thankyou,Manish.Youfinishedin20minutes'timesoit'snicetohaveit.Sonowlet'sleaveforthequestion-answersession,Praveen.
PraveenMalik
OK,thankyou,Arun.NowwearestartingaquestionandanswerontheQ&A.Pleaseclickontheraiseyourhandtoaskaquestion.Pleasecl ickonRaiseyourhandtoaskaquestion.
WefirsthaveRuchitaKadgeefromiWealth.Pleaseaskyourquestion.
Pleaseunmuteher.
ArunJain
Oursecondmember?Puttwopeopleintherow
PraveenMalik
Next,wehaveMrMohitJainfromAnandRathiSecurities.
Mohit,pleaseaskyourquestion,pleaseunmutehim.
MohitJain,AnandRathiSecurities
Yes.Sothreequestions,Sir.Oneisonthelicencerevenuenowthisobviouslyhasbeenaveryvolatileandextremelystrongquarterversus whatwethought.Buthowdowelookatlicencedrevenuesgoingforward?DoyoustillseethatshifttoSaaShappeningimpactinggrowthor doyouthinkmostofitisdoneandnowthiswillbemaintainedinproportion?
ThatisoneandthesecondrelatedquestionisonSAS/platformgrowth.Thisnumber-YOY,appearedalittleslowercomparedtotheexcite mentthatisthereinthemarket.
Sowhatishappeningthere?AndrelatedthingiswhatistheupdateonGeM?Isitstilldrivingthebulkofitandisitupforrenewalnextyearand whatdoweplantodothere?
ArunJain

OK,soaswementionedinthepastthatLicencingSaaSarethetwooptionswehavetobegiventothecustomerbasedontheirpreference. SomepeoplepreferlicencemodelandsomepeoplepreferSaaSmodel,sothere'sabalanceofthetwooptions,whichisthere.
SomecompanieshavedecidedtoonlyofferSaaSbutastheintellectwearealignedtocustomercentricityandthat'swhyweareofferingbo thsolutions.So,predictingaparticularyear,howmuchSaaS,howmuchlicence,isnotouragenda.Ouragendaishowmuchlicencelinked revenuecanwegrowyearonyear.Onlastfive-yearbasis,ourlicencingrevenuegrowthIscloseto34%yearonyear.
That'swhatwewanttodriveit.
MohitJain,AnandRathiSecurities
ButSir,doyouseelicencerevenuealsogrowingyearafteryearlikeinitially,wethoughtoverlastfewquartersthatnowshiftishappeningto wardsSaaS,solicencegrowthshouldslowdownandSaaSshouldaccelerateandyoualsospokeaboutsomeslowergrowthforfewyears becauseoftheshift.
Soisthatphasebroadlybehindintermsofcustompreferencesordoyoustillthinkthatwayout?
ArunJain
Youcannotpredictanythingonthismoment.Youjustlookatitallofthemtogether-3elementstogether.
MohitJain,AnandRathiSecurities
OK.
ArunJain
Andthenforaninvestmentperspective,allthreeelementsgiveyouthelicencelinkrevenues,whichisahigh-marginprofit.
MohitJain,AnandRathiSecurities
Right.AndsosecondwasontheSaaSplatformgrowthbyYoYandthenthecontributionofGeM?
ArunJain
Yeah,soSaaSgrowthYoY-IthinkGeMisthere,butit'snotmaincontributor.LotofcontributioncomingfromAIplatformwhichBaneshhas highlighted,RajeshhashighlightedonthecustomersinEurope,sothoseallSaaSplatformcustomers.TherevenuebuildsupinSaaSisb ackloadedwhenwesignthedealbythetimewecometotheSaaSrevenuestreamitis12-18months,sometime24months’delaycyclebet weenwhenwesignthedealandtheactualSaaSrevenuewhenyoustartgettingbooked.
Butthat'saboutSaaS.GeMiscomingforrenewal,sowearefightingtheRFPbattlefortherenewal.
MohitJain,AnandRathiSecurities
Lastactuallyonthefinanceside,soourcashgenerationforthisyearwasverylow.Sowhathappenedthereandhowdoweseeitgoingforw ardinFY24?
ArunJain

Wementionedthatallourinternaltransformationhappenedbecauseofourinternalcashgeneration,Ithinkreinvestedback.Sointhemo nthofAprillastyear,wementionedthatwe'llbeusingourinternalcashtodrivethechangeratherthantakingafundingfromoutside.
SoallthiseMACH.aihashappenedwiththecashsoit'sagreatsuccessforustohavethemandmaintainthiswithoutdilutingasinglepenny. Wecouldabletotransformtheorganisation.ObviouslynextyearthecashwillbehigherinourkittybecausemajorinvestmentofeMACH.a iisbehindus,socashgenerationwillbebetter
MohitJain,AnandRathiSecurities
Sir,onthereceivablesidelikeitwasalsostuckinworkingcapital,someofitapartfromthecapitalisation.Soisthereanyimprovementseent here?

ArunJain
It'snotquarteronquarteroryearonyear,sometimetheprojectcompletionhappensthatPricecontractednotduehasgrownto300crore,t hat'sabignumberinthisreceivablecycle.
WherethisbackendedprojectsImentionedinthebeginningthatit'smilestonebasedpayments.Becauseofmilestonebasedpayments, itbecomesdueonlywhenaparticularmilestoneiscompleted.Sothatiswehavealoggedin,it'sakindofabusinessmodelwearein.
MohitJain,AnandRathiSecurities
Okay,capitalisationforthequarterwashowmuch?
ArunJain
Similar34-35.
MohitJain,AnandRathiSecurities
OK,perfect.Sir.Thankyouverymuchandcongratulationsongettingbackto20%.
Thankyou.
ArunJain
Yeah,notgettingbackto-it'sa20%.Wearenotgettingbacktoanything.Weareonsametrajectory,expectationsaredifferentfromyou.
MohitJain,AnandRathiSecurities
Yes,Iunderstand.
Itwasaverystrongquarterindeed.Thankyou.
ArunJain
OK.
PraveenMalik

Thankyou,Mohit.Next,wehaveMrAnilSarinfromCentrum.
AnilSarin,Centrum
Sorry,Iwasonmute.Ididn'trealiseit.So.SoArunandteam,fantastic!
Andyou'vejustsortof,youknow,liveduptoourexpectationsandyou'vegonebeyond.Socongratulationsondoingwhatyou'redoing.
EverybodyistalkingaboutAIandyouarenow,youknow,Ithinkalotofinterestwillcome.TellusaboutwhatyouaredoinginAI.Socongratul ationsonyourforesightandyourpositioning.Imean,peoplearejustdoingchatandyoufindingsolutionsthroughAI.
So,alotofforesightinvolvedinthat.Sorry.I'lljustcometothequestionwithoutwastingeverybody'stime-Onewasgrowthhasalreadybee naddressed.Butthis,ifyoucanjustelaborateontheontheSaaSside,wegetthecombinedthingSaaSaswellasGeMandtheearlierpartic ipanthasalreadyaskedthat.ButIjustwantedviewonwhereyouseethisasgivenallthebankingturmoilthatishappeninginUS,Europe,et c.,howdoesImeantwothings.
OneishowdoyouseeSaaSgrowingasapercentageofyourrevenue?Thatispartoneandsecondwithallthisnegativitythatissurroundin g,Imeantherecessionisfine,butbanksinparticulararegettinghit.Sohowdoyougetimpactedbythat?
ArunJain
OK,soyou'reaskingtwoquestionbasicallybankingandwhatwhenbanksaregettingimpacted,theywanttoreducetheiroperationcost.
Therearetwoagendasbankshave-somepeoplehaveveryoldtechnologyarchitectureislikemanagingaairconditioninginanoldbuildin gwhichis100-yearold.
Soitcostyoumore,soyouneedtochangethearchitectureofthebuildingtocommittothenewerbuildingwheresallthecostefficienciescan bebuiltin.That'swhatRajeshisdoingoreMACH.ai,Manishisdoingtocreatearchitecture.SecondpartiswheretheSaaSplaysaroleinou rjourney.Weplayaroleinspecificservicestobegiven,likeBaneshhashighlightedmagicsubmission.MagicSubmissionisanunderwriti ngpolicy.
Sonowweareabletoprovideaunitpricingperpolicyforendtoendprocessingofthepolicyfromthee-mailwhenthepolicycomestothepoli cygetstothetableofunderwriter.
Weaddallthevalueaddition,validation,dataentry,everything,andthere'saunitpriceofit.
SogreatopportunityforustogrowSaaSrevenueisthewayGeMrevenuegrewfirsttwoyears-itwasslow,thirdyear,fourthyearstartgrowi ng.Similarly,Magicsubmissionisoneareawhereweareexpectingthisrevenue.Today.theUShasacloseto200Mnpolicysubmissions everyyear.And,weareabletopriceoursubmissionsbetween$10to$20persubmissionandhavinga5,000,000policy,it'scloseto$50-1 00MnSaaSbusinessaroundit.
Similarly,there'samagicinvoicebusinesswhichisaccountspayablebusinesswherethesimilarkindofaequationisthere,thatperinvoic eprocessing,wehavemultiplecompanieshaveno.ofawesomeandmanycompanieshavecomeinthatspace.Sothisisthesecondspac einSaaSwhichyou'relookingat.

ThirdspaceinSaaSyou'relookingatisESG.ESGtobeofferedasaservicewithacompleteESGwheelavailabletoitwhichisthirdSaaSse rvice.FourthSaaSserviceishostingcorebanking,hostingiKreditisthefifthserviceinSaaSbusiness
So,thesearethefiveSaaSserviceswhicharethere.ThenwearelookingVAMtobehosted-VirtualAccountsManagement,embeddedfi nancetobehosted.Sothesearethemultipleplatforms,whicharebeinghighlightedinthispresentation.Sotherearecloseto8platformsw herewehavecleargo-to-marketstrategybutthetractionwillnotbequarteronquarter.Tractionwillbeoverthethree-yearperiod.Soweha vea3yearplanandtwoquartervisualisationorplanning.Soweareworkingonnowthree-yearhorizonwithtwoquarterfocusonensuringt hatweareabletomeetthenumbersaswellashavethevisualisationofthreeyears.Sothat'salonganswertoyourshortquestiononwhatis ourSaaSstrategy.And,U.S.bankingindustryisinturmoil,butsuchturmoildohappen.AsImentionedBrexithappened,threequarterdel ayhappened,Ukrainehappened,wehavetwodealslostsimilarlyintheUS.
Andthiscrisishappened.Welosttwodealsagainoverhereandotherthings,whichwillhappenasapartofourjourney.
Butafter2-3quartersitcomebacktothesamethingbecausetechnologyneedscannotgoawayneitherfrombanknorfrominsurance.
AnilSarin,Centrum
OK,thankyou.Ijusthadonefollowupquestionthatyouknowintheearliercalls,IthinkRajeshhadmentionedthatincorebankingyouwerei

nthelastthreeinacoupleoftenderswhichtendtobeovermorethanayearlongprocess.Soifyoucanprovideanupdateastowhereweare, arethosetenders,arethoseprocessesstillonandifyes,whereareweinthat?
RajeshSaxena
SoIthinknowwecontinuetobeinthesameprocess.IthinkasIhadmentionedearlier,therearelargecoupleofdealsthatweareinthefinalstagesandinthenextcoupleofquartersweshouldbeabletoannouncetheresultsofthesetenders.SoIthinktoansweryourspecificquestion,wecontinuetobeintheprocessandactuallywe'veaddedacouplemoreinthesefromthatperspective,andweshouldhavetheresultsin thenextcoupleofquarters.
AnilSarin,Centrum
Andwearestillinthetopthreeorisitbeingfurtherpruneddowntomaybetoptwoorsomethinglikethat?
RajeshSaxena
Incoupleofdeals,Ithinkwearestillintopthreeinonedeal,Wearenowintoptwo.
SoIthinkdealbydealthisisvaries,butwecontinuetobethere,asIsaid,wecontinuetofacethesethreecoverintheEuropeandthelargefieldnowcontinuestobeTemenos,ThoughtMachineandIntellectfight.

Q4ResultsFY2022-23
AnilSarin,Centrum
OK,thankyou.Andwishyouallthebestinthisinininthesebids.Thankyou.
PraveenMalik
Thankyou,AnilNext,wehaveSugandhiSoodfromInCred.
Pleaseunmuteher.Sugandhi.
SugandhiSood,InCred
Congratulationsonthegoodresultsandthanksfortakingmyquestion.
SoIjustwantedtocontinuefromthatpointwherethelastspeakerleft.Inoticedthatinyourcurrentversionforlastquarteryouhaveamongyourdestinydeals13dealsinthegreaterthan50CrsbracketandyouknowI'mjustdoingsimplemaths.Iunderstandisitdowntothetenureofthesedeals?Couldyougivesomeflavourofthetenureorthenature,whetherit'sSaaSorlegacy?Orlicenceortraditionallicenceandyouknowwithwhetherthiswillflowthroughincomingquartersandyouknowwhatkindoftimeframewe'relookingat.
ArunJain
Sugandhi,Ithinkyouaredoingtoomuchofmath,analyticalmindwhilelookingatitonwhenitwillhappen.Ithinkit'sasImentionedthatallofitislicencelinkedismoreimportantthanthe50Crdeals.
Inthisquarter,thesedestinydealswhichhavesignedup,Ithink2arelicence.OneismoreonSaaSrevenue.ButyouwillnotabletoforecastthatparticularmodelsomuchSugandhi.Ithinkmoreimportantistojustlistentothepresentation,whichthreeleadershavepresentedandlookatwhatisthepotentialofthesepresentationsfornextyearprospective,whethertheycangrow20%yearonyearonthatthosepresentations.Sothatwillgiveyouthemuchbetterwaytoforecast.
SugandhiSood,InCred
Yeah,sure.Ofcourse.No,that'saveryinsightful.Andalsojustonthe,ifInoteditcorrectly,yousaidthatyourintensityofspendingonplatformswilllowerhereon.YouknowmostoftheplatformsspendandIspeakinthelastyearandI'mjustreferringtothecashconversionthatwashighlightedearlierinthecall.SoisthatcorrectbecausethereCapExintensityhasgoneuplastyear,soisitexpectedtogodownfromhere.
ArunJain
That'sright.Sothisquarterourprofithascomebackto23%.EBITDAmargincomedowncometo23%from18%lastquarter.Sothat'stheimprovementishappeningthere.Oncashside,improvementwillhappen.Thisquarterhasmorecashtobespentforthepayoutofthebonusfortheyear.Butforthewholeyearweshouldhaveahealthycashgeneration.
SugandhiSood,InCred

Q4ResultsFY2022-23
Soareanymarginrangethatyouwouldpointustowardsyouknowconsideringthatarekindofstabilisingandyourgrowthoutlookisalsohealthy.
ArunJain
Wementionedourbusinessisdesignedontheprinciplesof20%growth,25to30%marginlevels.
Fewquartersfewmonthswewillbereinvestingbackthatwillbebasedonthehowthemarketbehaveswiththetechnologychangeshappening.
Butourdesignisalwaysaround25%plusforthemarginbutfewquarterswillhavealessermarginwhentheinvestmentswillbehigherorsomelicenceisnotsignedorsomeinvestmentwearedoingwiththeclients.
Sothatthatshiftwillbethere.
That'showwehavedesignedthebusiness.
SugandhiSood,InCred
Sothat'sveryencouraging.Onefinalquestion-IsmyunderstandingcorrectwithSaaSbecomingabiggermixandwe'veseenthathappeningoverthelasttwoyears,therevenuetocashconversionandI'mtalkingaboutyouknowtheworkingcapitalhereandnotintheyouknowininvestmentthatwedoinR&D.
Isthatsomethingthatshouldimprovebecause,youknowgapbetweenthetimingofrecognitionofrevenuesandpaymentswouldbemorealignedininaSaaSenvironmentcomparedtoalicencedenvironment.
IsthatsomethingthatwecanexpectgoingforwardahighercashconversionasSaaSbecomesabigger?
ArunJain
It'sasofnowit'sSaaSmodelisnotfullymature,soIwouldnotsayanythingasofnow.Wearesomedealswehaveaupfrontpayment,somedealswehaveaback-endedpaymentonamilestonebasis.
Sothecashflowandworkingcapital,Ithinkthat'snotaseriousconcern.Thecompanyhashealthycash.
Sothat'snotsuchacriticalissueforusrightnow.MypurposeishowmuchwecanwinandhowmuchcouldberepeatableSaaS.
SaaSinahealthysituation,inamaturemodelgivesyoua70%plusmargin.
That'sthekindofhealthoftheSaaSbusiness.Butthattakesalmost4-5yearsoftheworkwhichhappensafterwearegettingfirstfewclients

.
LikeBaneshissayingthe13clientinMagicSubmission,thereare7clientsinMagicinvoice.Theseclientstakesome4-5yearstogetstabilised.
SugandhiSood,InCred
Sothankyou.Sir,that'sveryhelpful.

PraveenMalik
ThanksSugandhi.Next,wehaveMrMajidKhanfromCapitalX.
Pleaseunmutehim.
MajidKhan
Goodevening,everybody.Thankyouforgivingtheopportunity.ThisisthefirsttimeI'mjoiningtheconferencecallandfirstofall,Iwouldliketocongratulate ArunSirforgivingthisopportunityandvery,verygoodsetofnumbers.SoIwant,Iwouldliketoaskmysimplequestions.
Withregardstotheresultsquarter4,myquestionwouldbe-WhereyoucanseeIntellectinthethreeyears?
Andmysecondquestionwillbe-IwouldliketocongratulatealltheTeamsthathaveseenalltheITcompaniesininthesector.ButIntellectistheonlyproductwhichIamproudinvestorofit.AndsincethreeyearsIhaveinvestedcontinuouslyinvestedinthecompanyandIhaveseenthedrawdownof50%butstillIhavetrustonourcompany.
BecausewearetheuniquecompanyinthewholeIndiawhichhasaproductandwearetheleadersinallthesectorsinallourbusinessplatformsandthatisagreatthingwhichdefinitelysoonthemarketwillrealiseandIhopeandIbelieve.Thankyouverymuch,Sir.
ArunJain
Yeah.Thankyouforyourtrustingthecompany.Ithinkandthere'sahugescopeisthere.Wewantedtoshowthathowtherevenuegrowthwillhappen,eachofthespaceweareworkingon.
Wearecompetingonthecompanieswhichhavetoinvest$100Mntocreateaplatformcalled Let'ssayMagicInvoiceequivalentplatform.
Ourcostofleveragingfabrictomeetthesameexpectationis1/10thofit.Itisbetween$5-10Mn,weareabletogenerateaqualityofthetechnology,whichmycorrespondingcompanylikeThoughtMachineinvested$550Mnforcorebanking,whichisstillnotcomplete.Forustodothatjobittakesmuch,much,muchlowermoneyfromourperspectiveandthat'sveryuniquecompany.That'sauniquestrategy.That'sthekindofthepeoplewehave,thekindofacommittedteamwehave,isamazinglysatisfyingforallofusasashareholder,andallofusastheassociateofthecompany.
MajidKhan
Thankyouverymuch,Sir.
PraveenMalik
Thankyou,Majid.NextwehaveMrRahulJainfromDolatCapital.
RahulJain,DolatCapital

Yeah.Sofirstofall,Congratulationsforthestrongnumbersandjustwanttoneedsomemoreinputonsomeofthecommentsthatweremadeduringthecall.
Imean,ofcourseyousaidthatwhatisyourviewontheUSbankingissuethatwearefacingrightnow?
ButyoualsoneedtoconsiderthefactthatweanalystsdoattendsomanyITservicescallandtheykeeptalkingaboutadelayinrampupdelayindecisionmaking.
Sosinceyouhavealsorunthatkindofabusiness,anythoughtyouwanttosharethatinsuchsituation,doyouseethatpeopleprefermoretransformationbecausethatthattheyseethatasasolutionoryouthinkit'sjustmatteroftimethatwemayseebetterdecisionmakingontheothersideofthebusinessalso.
First,clarityonthatwouldbehelpfulandthenIhaveonemorequestion.
ArunJain
Firstofall,ourbusinessisverywelldiversified.USexposuretousismuchlowerthanCanada,aremorebusinessesinCanadathanUS.
U.S.bankingbusinessisverysmallinsingledigits,whileinsurancebusinessisgrowingintheUSandthatisalsosingledigit.ButsingledigitistheonlyexposurewhichwehaveinUS.
SoUSisnotimpactingussignificantlyfortheslowdown,buttoanswerthegeneralquestion,sinceyouattendotherservicesconferences.
Obviouslysuchfailureofthreebanksinarowwillhaveanimpactonthepsychologyofthetechnologyinvestments,whichwillgointheboardrooms.
Soeveryboardroomwillbeworriedaboutit,butdotheyhaveanoptiontoadoptBankTechWave5?Theydon'thaveanoption.
It'saquestionofsomedelay-oneortwoquartersdelaywheretheyhavetochoosesomeplatformorsometechnologyfortransformation.
Andtherewearepr ovidingkindofatechnologywhichisDo-it-yourselftechnology,eMACH.ai.Wherewearepitchinginourvaluepropositionmoresharplyforthosebankswhoarewellcapitalised.Sothosebanksarestilllookingbecausethesebankswhohavebeenintheproblemwhichhashappened,theyaregettingmergedinthelargerbank,theportfoliosaregettingsubmerged.
So,tomeit'satwoquarter,threequarteragendawhereslowdownwillhappen.Serviceswillgetimpactedbecausepeople,banksarelookingfortheoptionwherebuyandbuildcanbetogether.
RahulJain,DolatCapital
Right,thankyou.AndonemorequestionregardingthecommentaboutwhatRajeshsaidthatincrementallybanksarelookingforcoretransformationproject.Soareyouseeingasizableincreaseinthedealthatyouarepursuingthatispoint1?Secondly,yousaidthattherewasacompetition,whichisnowlimitedtotworelevantplayersandweknowthatTemenosisstrugglingwithlotofleadershipchangesandourThoughtMachineisthere,buttheirreturnoninvestmentmaynotbeasattractive,sothecompetitivenessonpricecouldbefarbetter.

Sohowyouseeachangeinthelandscapefromcompetitiveperspectiveaswellasfromadealsizeperspective?
RajeshSaxena
SoIthinktoansweryourquestion,Ithinkandthesearesomeearlytrendsisthatwearedefinitelyseeinglargebankscominginforcorebankingtransformation.

Andthat'sdefinitelysomethingthatwehaveseeninthelast18to24monthsisthemarketopportunityaroundlargebanks,largeregionalba nkscomingforacomposableeMACHtypeofanarchitecture.Thattrendisdefinitelyaccelerated.
Ithinktoyoursecondquestion,yes.WeseeTemenos,weseethoughtmachineinmostoftheseopportunitiesorlet'ssaythatwestartwitha longlistandthenwecometothesethreeplayers.Weareseeingthatspaceandwebelieve,andIbelievethatweareuniquelypositionedbe causeofthekindofinvestmentsthatwehavedoneinthelastcoupleofquartersonourarchitecturefrontandwithapedigreeofthedepthan dthebreadththatwehave.Weareuniquelypositionedtocapturethisspace.
Sothatismybeliefandthat'swhatourteamisstrivingfor.
RahulJain,DolatCapital
Right.AndjustonefinalquestionforArunji.IthinkwehavealotofvarietyofofferingsintheBaneshportfoliowhichareveryexcitingopportu nities.
Anynumberyouwanttogivethemwhentheycanbecomeofsomereckoningsize,let'ssay100Mnoranyotherbenchmarkyouwanttosetf oritinatimelinethatyouthinkitcanachieveit.
Andsecondly,yousaidaboutthebusiness,whichisallsettodeliver20%growthand25-30%kindofamargin.Withthekindofapipelineyou havethekindofstarttohaveforthisyear,youthinkandthekindofinvestmentofcourseyouenvisageforthisyear,youthinkwearegoinginth atzoneinFiscal24
ArunJain
Yeah.Sowedon'twanttogiveguidance,Rahul,weunnecessarilydon’twantthis
Wekeeprepeating,wedesignedthebusinessinlastthreeyears.Weareabletoshowmorethan20%business.Ourdesignmodelis20%, sowestayedwiththat.
TheopportunityforBaneshbusinesstogrowthethreeorfourareas,whichisthere,Sherlock,ESGH,still,areattheearlystagesoflooking atit.Thepotentialcanbebetween$50-100Mninnext5years,buttheywillbecomingatamarginof$30Mnif50-60%marginor70%margin business.
Soitwillbehighlyvalueaccretivefromthebottomlineperspective,butweneedtogiveItsometime.
RahulJain,DolatCapital
Interesting.Thankyouforthecolourandbestofluckfortheyear.
ArunJain
Thankyou,Rahul.

PraveenMalik
ThanksRahul.ThennextwehaveMrChiragfromAshikagroup.
Chirag,AshikaGroup
Congratulationonagreatexecutioninchallengingtime,Sir.AndItrackedyourcompanysincelastcoupleofquarters.So,Ihavetwobroad erquestionparticularlyinproductandplatformbusiness,veryfewcompanieshavegotsuccessatglobalfrontalsoandIndiaveryfewcom paniesaretherewhichhavedonegoodjob.Soyourcompanyisoneofthem.SootherthanBFSI,fromdiversificationpointofviewifIwantto knowwhataretheareaswhereourapplicationwillfindplacelateron?Becausetheselastthreeregionalbankcrisis,youalsothinkingsom ewaythatifwehavesomediversificationthendefinitelyinfuture,let'ssaythistimewesaveourselves,butlet'ssaysomeotherunforeseen developmenthappenedlaterpartoftheyearorinfuture,soanythoughtsonthatwhereweseeforadiversification?Andalsotosustainsuc hkindofmargin,whataretheleversarethatthatthe5or10yearsdownthelinewewillhaveasimilarmarginprofile.That'sthetwobroadque stionIhave.
ArunJain
Yeah,soChirag,firstofall,fiveyearsdowntheline,marginshouldbeintherangeof40%,becauseifyou'relookingatfromtheperspectiveo fFlexcubenumbers,EMCcontinuouslygrowssothemarginimprovesastheproductcompanygrows.Sofirstofall,that'sa5-10yeartype ofhorizonwhenyou'relookingatitandyouarelookingfortheinvestmentfor5-10years,youhaveappetiteforthat.Themarginisthere40%l evels.Whetherit'stheTemenosoranyothercompany.
ThebeautyofwhatwehavedoneisweembedthegrowthcurveonthosemarginsandourITteamandtechnologyteamsareverydifferenti ated,whichisensuringthegrowthhappens.
Marginisnotabigdealinaproductbusinessbecauseoncethecustomersignsitup,heremainswiththecustomerforthenext15-20years. ThemarginmaintenanceismuchsimplerJob.Growthisthekey,importantpart.
Yourquestioniswhetherwewanttodiversifyitoutofthefinancialindustry.
See,Idon'tthinkso.Ithinkthemarketscopetodaywhenyoulookatit,Manishputsit$10billionmarketsize,andRajeshputs$20billionmar ketsize.Baneshputsit,wehavea$50billionmarketsizeandwearestill$300Mnkindofaballparkpicturetillthetimewehaveabilliondollar s.Wearenotlookingforanythingtobeworriedaboutgoingleft,rightandcentre.
Chirag,AshikaGroup
OK.Soonefollow-upquestionintermsofgeographicdiversification,isthereanyplantoincreaseorstartapenetrationinIndiabecauseon eofourpeerinthelistedspacegettinggoodbusinessfromIndianBankandFinancialGroup?Yourthoughtsonthesame.
ArunJain
Yeah,yeah,yeah.DeeplyentrenchedinIndia.AlotofdealsareinIndianow.
Chirag,AshikaGroup

Thankyou,alltheverybest.
ArunJain
Thankyou.
PraveenMalik
Thankyou,Chirag.Next,wehaveMrRaviMehtafromDeepfinancial.
Canyoubealittlelouder?

HelloRavi.
Sorry,areyouabletohearme?
Raviisnotabletoconnect,itlookslike.
RaviMehta,DeepFinancial
Isitbetter?
PraveenMalik
Now,yeah,yeah,notnow.Pleasegoahead.
RaviMehta,DeepFinancial
Sorryforthat.SojustIheardintheopeningremarksregardingsomebrandingstrategyfortheiGCBvertical,somethingsimilartowhatwedidwithiGTBontheOxfordSchoolbankingkindofcourse.Sowantedtoknowwhatkindofactivityareweplanningandhowitcancatapulttheproductvisibility.
ArunJain
It'sanoverallmarketingstrategy.Ithinkallofitwillnotbesharedinaninvestorcall.
It'stheonepartofthestrategythatiGTBOxforddidit.ItisanindicationisgiventhatthebigmarketingfocusongettingintothestageandIthinkit'snottherightplatformtosharethestrategy.
RaviMehta,DeepFinancial
Sure,sure.Andprobablyany,sothekindofyouknowactuallyyou'veseeniniGTBprobablywiththisbrandingactivity,Ithinkitreallypickedupwell.So,wecanexpectsomethingsimilar,kindofathinghappeningherealsoyeah.
ArunJain
Obviously.Allthethreebrandsnowconsolidatedinto3LoBsandallthreebrands,IntellectAI,iGCBandiGTBarenowhavingavery,verystructuredbrandingmethodologyaroundeMACH.aiasacommonbrandwhichisdrivingglobalaccess.
RaviMehta,DeepFinancial
OK.Andsincethat,weareharpingonthiseMACH.aiplatform.Sodowehaveanyjointgo-to-marketstrategywiththecloudpartners?

ArunJain
Yeah,yeah,wehave.That'swhatManishhashighlighted,ifyounoticedMicrosoftandAWSboth,weareverycloselyworkingwithit.
SosomeproductsareworkingonAWS,someproductsareworkingonMicrosoft,sobothofthemwehaveaverystrongrelationship.ImetthePresidentofAWSwhenhewasinIndia.
Soit'sadeep,deeprelationshipwithbothofthem.
RaviMehta,DeepFinancial
OK,OK.Andjustonemorequestion.
Andonesmallbookkeepingquestion,ifIcanasktheDSOdaysmentionedinthepresentation,itincludestheunbilledrevenue?
ArunJain
Yes.
RaviMehta,DeepFinancial
SomehowIdon'tknow,somaybeI'lltakeitofflinebecausethedaysarenottallying.
ArunJain
Yeah,yeah.
RaviMehta,DeepFinancial
Wewillworkitout.Sothat'sfine,sure.
ArunJain
Well,wedon'tincludecontractedbutnotdue.
RaviMehta,DeepFinancial
OK,OK.Sure.Thanks.
PraveenMalik
ThanksRavi.Thankyou.
RaviMehta,DeepFinancial
Thankyou.
PraveenMalik
Next,wehaveMr.HarshilfromAUMAdvisors.
Lasttwoquestions,Arun.
ArunJain

That'sright.
PraveenMalik
Harshil,areyouthere?
HarshilSethia,AUMAdvisors
HiSir.Whenweseeonaquarter-on-quarterbasis,theorderfunnelsizethatyoumentionedinthepresentationhasbeenaround7000croressincethelastthreequarters.
So,isitsomethingliketheNewDealwinshavebeenveryslowforthelastthreequarters?
ArunJain
7000crorequarterfunnelIthinkisagoodfunnelforustolookatthat10-12dealsaquarter.
Ifwewin,it'stherightfunnel.Sowepreferthemoretherightfunnel,thanthequantumofthefunnel.
Soourwinratiosarehigherandoursaleseffortandfreesaleeffortas Rajeshmentionedittakes1-1.5yeartoclosethedeal,youdon'twanttoincreasethefunnelsize.

It'snotaconsumerbusinesswherethefunnelisdirectlyproportionaltotheenterprisesale.The7000croreisagoodnumberonwhichweareworking.
HarshilSethia,AUMAdvisors
OK.Andcanyoubreakupthewholefunnelintermsofhowmuchwouldbe SaaSinit?
ArunJain
Wedon'tdoit.
HarshilSethia,AUMAdvisors
OK.Thankyou.
ArunJain
Thankyou.
PraveenMalik
OK,thanksHarshil.Next,wehaveMrVivekKumarfromBESTPALS.Vivek.
VivekKumarfromBESTPALSResearch
Yeah.Thanks,Arunji.Uh,see,you'vebeenhighlightingthisisregardingtherevenuerecognitionpolicy,you'redoingthepercentageofcompletionmethodandyouhavealsobeenhighlightingeveryconcallabouttheexecutioncapital,howyouhavedisruptedorinQ4FY22youandPrabalhavementionedhowyouhaveputdowntheworkinto4hoursor2hoursworkpacketandveryfewdefectsinourimplementation.SowhyI'maskingthisistherearefewcompanieswhichfollowedthesamemethodbutbecauseoftheimplementationproblemstheyhadtore-writeoffcertainkindsofrevenuethatiswherethedoubtiscomingfrom.

It'snotabouthowmuchisbuildorun-build,butifyoucangivemorecolouronwhyyouthinkwhateverisrecognised,thewriteoffwouldbereallylessandwedon't.Evenwiththekindofcustomerswearehaving,theexecutioncapitalthatyouhavebuiltwillmakesurethatwewillnothaveahugewrite-off.
SomaybeI'm,Idon'tknow.IthinkI'vemadeitclearright?
ArunJain
Andthat'saverygoodquestionyouhaveaskedIthink.
Weimplemented43digitaltransformationslastyear.IthinkthisisourcepridewhywearewinningthebusinessandwhyManishissoconfidentonNPSscore.ThisisacorefocusManishhasdriven.Rajeshhasdriven,BaneshhasdriventhatnoneoftheprojectsofIntellectgoesbad.
Mycompetition,whenitgoesbad,itbecomesdifficulttodoit.Wechooseastrategytoimplementourselves,nottogivepartnerstillthetimeeMACH.aihascomein.
Becauseofthatstrategy,wecannotallowanyfailureonthefieldbecausethisisabusinesswhichisexecution-focusedbusiness.Weneedtohave,weneedtodesignsuccessforourcustomersandthat'swherethecorevalueofIntellectisthereandthat'swhatwediscussedabouttheworkpackettoday.NowwehaveiTurmericwherewearesayingourcodingrequirementwillbelessthan5%.Withthat,itwillfurtherimprovethedeliveryquality.
VivekKumarfromBESTPALSResearch
No,thisiscomingbecausethepercentageofcompletionhasthisriskthatifimplementationisnotgreat,youwillhavewrite-off.
ThesecondquestionisonIntellectAIhere.Youmentionedinthelastconcallthatyou'relookingat15dealsandwiththisbankingcrisis,Idon'tknowwhatishappeningintheUSsomuch.So,anyclueonthe15deals.Wearestillthereandhowtheycanbeabletoclosethemorwhatisyouroutlookonthat?
I'mnotaskingaboutthenumberofdeals,buttheoutlookontheIntellectAIinsurancebusinessintheUS.Becauseyoutoldlastyearitwillgrow50%.
ArunJain
Okay.Insurancebusinessisdoingthatmuch,Ithink.Banesh?
BaneshPrabhu
Yeah,Ithinkapipelineandasamatteroffact,asImentionedinmydiscussion,wehaveverydeepcontractingdiscussionsinprogresswithseveral.SoIcanjustleaveitatthat,yeah.
VivekKumarfromBESTPALSResearch
Yeah.ThankyouArunji.Thankyouverymuch.
PraveenMalik
Therearethreemorequestionsactuallyleft.

ArunJain
OK.Yes,quickly.
PraveenMalik
Socanwetakethem?
ArunJain
Yeah,justputitonachatbox,justcombineitotherwise.
Justtakeituphere.
PraveenMalik
OK,nextwehaveJagdeeshan.
Jagdish,you'rethere.
Jagdeeshan
Yeah.Hello,areyouabletohearme?
Sothanksforgoodsetofnumbers.I'mfollowingthisforthepastfewyears.Sothisisonthepartright,youjustexplainedaboutGSI,right?
Soweareimplementingthesolutionourselves,rightandwesendthepartnerwithAccenture,right?SowhatisourfutureforthisGSIcollab

oration?
SoIcouldseeFinastraiscollaboratingwithafewserviceprovidersinIndia,sotheyareincreasing.Soothercompaniesarealsocollaborating.So,inmaybenotnowmaybeinfuture.
HowisthecollaborativestrategywiththeGSIthisisthefirstquestion.
ArunJain
Yeah.SothisisthequestionabouteMACH.ai?
Jagdeeshan
ImeaninthegeneralsenseI'masking.
ArunJain
Yeah.SobecauseofthateMACH.ai,wearecreatingopenfinanceplatform.
Andbecauseofthiswecannowoffermorepartnerstocomein,GSIpartnerstocomeintohaveapredictableoutput.
Earlier,wewerenotgivingittothepartnersbecausewewantedapredictableoutcome.Nowwiththetechnologyweplay,wecangiveIttothepartners.
Jagdeeshan

InregardstothepartnershipwithIBM,anyupdatesareonthatpart?
ArunJain
Yeah,it'sgoingonverywell.Strongly.WehavemultipledealswithIBMalsothewayAccentureisthere,IBMisalsothere.
Jagdeeshan
That'sitfrommyself.Thanksalot.
PraveenMalik
NextwehaveMrAnubhavMakkarfromDruckerInvestment.
LookslikeAnubhavisnotthere.
ArunJain
Sure.Justlastone.
PraveenMalik
Andthenwehavejustonequestion,thisisDarshilJhaverifromCrownCapital.
Darshil,pleaseaskyourquestion.
DarshilJhaverifromCrownCapital
HelloSir.Thankyousomuchfortakingmyquestion.AndIwantedtocongratulateonthegreatsetofresultsandthankyousomuchforgivingussomuchtime.
SoIjustwantedto-Ihadsomeconnectivityissues,andImissedsomeofyourstatements,sorryforthatbeingrepetitive.Ijustwantedtoask,whetherourrevenuepanningoutandoursustainabilityintermsofrevenueandmargingrowthwouldbethebasicquestion.Sorryifrepetitive.
ArunJain
Yeah.Theentirelasttwohourswewantedtosaythatwecandogrowthmargin,whyshouldwegrow,howthemarginsshouldgrowandwhatisthegrowthassurancewearseeingbecauseoftheportfolioandwhataretherisks.SoIthink,Idon'thavetorepeatwhatI'vereallydiscusedinthelasttwohours,soifyourecallandlistentotherecording,you'llfindyouranswers.
DarshilJhaveri
OK.Thankyousomuch,Sir.
PraveenMalik
Arun,thatis.Yeah,thanks.Soweareclosingthecall.
Thankyouverymuchforparticipatingincaseanyfollow-upquestionsarethere,pleasedowritetousorcallus.Thankyouverymuch.Nowyoucanlogout.Thankyou.

Call: Aug 2023

Intellect/SEC/2023 -24 August 04 , 2023

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor E arning s Call held on July 28, 2023 on the financial results for the quarter ended June 30, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above in formation on record.

Yours truly,

for Intellect Design Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q1 Results FY 2023 -24

Q1 FY 23 -24
Investor Earnings Call Transcript

Praveen Malik

Greetings and Welcome everyone. Thank you for joining us today to discuss Intellect Design Arena Limited Financial Results for the 1st Quarter of the Fisca l Year 2023 -24 ending June 30th 2023 .

The investor presentation and the press release have been sent to you and are available on our website. Our leadership team is present on this call to discuss the results. We have with us today Mr Arun Jain, Mr Manish Maakan, Mr Rajesh Saxena, Mr Banesh Pr abhu, Mr Venkat Saranu and Ms Vasudha Subramaniam. Besides, some other senior members of the Intellect management team are present in the call. Mr Arun Jain will brief you on the results, followed by a Q&A session, where the questions would be replied to by the senior management team members. Once the Q&A starts, you can ask a question by clicking on Raise your hand, and we will unmute you so that everybody can listen to you . One safe harbour I would like to remind you that anything we say which refers to our outlook for the future is a forward -looking statement. This must be read in conjunction with the risk the company faces. With this, I request Arun to give his briefing . Over to you, Arun .

Arun Jai n
Thank you, Praveen. It is a great privilege to tal k to all the investors this quarter. Last year, last quarter, we had a detailed presentation by all the business leaders, and they shared their view of the future in detail with you from GTB, Manish has shared the future. Ra jesh shared the future, Banesh shared the potential of wealth and insurance, and Rajesh on core banking but competition. So it was a detailed conversation last quarter, and so this quarter, we don't want to get into the detailed conversation. We

just want to do numbers already with yo u, and you have gone through all the numbers. So I will not repeat any data points already shared with you. I like to share with you the thesis on why we are doing what we are doing and what is our thesis on beliefs in the banking technology industry .

The thesis was a twofold thesis which we shared from our Technology Day two years back. I had a Technology Day with you, and that thesis is continuously getting strengthen and getting more and more sharper and more and more referenceable. So based on the thesi s, we looked at it that a Bank Tech Wave 5 is coming, and banks need ultra -simplification of their technologies landscape. The banking world spent $600 billion, the largest in space, fixing band -aid solutions versus taking the solution head -on.

This is lik e in the automobile sector, there's a wave of EVs, there's a wave of autonomous vehicles, and there's a wave of simplification of

the technology, which we wanted to share last time in each other's
business unit. We shared eMACH.ai as a fundamental premise of that new way of thinking . Fortunately your company is positioned in the frontline of the new technology wave. And once you're in the front line, you get the best attention from the customer to listen to you .

Q1 Results FY 2023 -24
So in this, to give an example, what eM ACH.ai is there? So, people are asking me the question, what is eMACH.ai, but why does it change? Let me just take you a few examples of it .

Rajesh has taken the example of iKredit360 for Resurs in previous meetings. What does it mean? It means that Resurs Bank in Sweden has chosen eMACH.ai technology so that they can compose the credit businesses or products how they would like to cater to their customers .

If they want to embed credit cards along with lending or SME lending with something else, or with deposit and lending together, they can compose a solution . It's like an Ikea way of doing business where you have components available, and you create the object that you want to deliver to the customer. That's what eMACH.ai and eMACH’s every alphabet defines the way a new wave will be working. New Wave will work on micro -services, it works on API, so micro -services and API are two levers around which new wave is working. For experiential learning, we create a wave called cloud and headless. On the cloud, we p rovide our technology which the customer can consume, and he can define the experience. So now another example of the deal which we have done recently in this quarter is it one of the largest banks in the Asia Pacific .

They chose our technology and Accentu re to create the experience, so their underlying corporate banking technology will be ours, Payment technology will be ours, and Accenture will build the experience layer. So that gives the ability for the bank to work on eMACH.ai .

Similarly, another bank OTP Bank, we have announced the deal. The context is OTP Bank is the largest bank in Eastern Europe. It's not only in Hungary, but there are eleven countries. It's present there, and GCB Rajesh Saxena has won this deal. This was a stiff competition over t he last two years .

We mentioned two years back that we are working on eMACH.ai with certain European banks, one of those banks that decided in our favour. It was a tough deal from a Europe perspective because Temenos is a local player in Europe for the las t 20 years. And on the other side Thought Machine where there is an investment of more than $500 million investment invested in Google Company, came as a competition. So it was a three -leg race where we looked at it .

Our score point was we, on one side, ha ve cutting -edge technology like what Google can give, and we had a deep domain depth of knowledge that Temenos or Finacle can give, and that's the best of both worlds .

We are on the frontline of the new wave of technology . Well, one thesis resulted in five of these from 5 different regions. So beauty is we have one deal in the Asia Pacific, a second deal in Saudi Arabia, a third deal in a French bank, a fourth deal in Eastern Europe and a fifth deal in the USA. Now it means this wave is not localised to a p articular country. This wave is a wave of simplification. And simplification is possible, which is driving value for the banks .

So why are the banks getting benefited from this wave? Their operational cost can be reduced using Decision AI by 30% to 40%. Th eir ability to target the right customer for the right product segment at the right pricing can be improved by 20% to 30%. They can target right the banking issue is whether you target right to the right customer for the right product .

That possibility of design using configuration is a second benefit bank gets 20% benefit in the top line, and 30% on the bottom line on operation cost is an interesting proposition . Our focus moves

towards

distribution now. It's like 3.0 our focus becomes moving towards how w e create distribution partners. So after IBM now, Accenture looked at our technology, they evaluated it. It took a lot of time for them to evaluate it. Now we won the first deal with them. It's a very big starting point for winning the deal with Accenture, so this is the first thesis for what we believed that our growth journey through the banking and financial sector is muted for the entire service sector. We will believe that our design journey is around 20%, and 15 to 20% is still intact for this year .

The second thesis which is there which is that we went to the platform mode of designing. So we move from product to platform to technology. That's what I shared with you in December 2021. I shared with you on Technology Day -2 what technology we are embarking on, and we shared in detail about the technology details. Some of the people trusted us. Some people didn't trust us, which resulted in the technology shift of December 2021, we wanted some investments, and we shared that we would be investing back our ca sh into generating that technology to create eMACH.ai. So we invested extra money during 2022. And that resulted in a drop in EBITDA, which some analysts are sharing that we are losing steam. So it's been interpreted in spite of sharing with all of you tha t for a good technology company, the purpose of our cash is not to acquire the company. The purpose of our cash is to reinvest back whenever it big change is there, but we couldn't be able to provide enough confidence and trust in all of you. So this is o ur mistake that we could provide that trust to all of you. That is why such technology investments are there for the future growth of the company. So for that platform, the second case is what we looked at. We invested in the platform first and then the pr oduct later. So once you build a platform like we build up AI platform, an AI platform has got multiple components: one data component and one document component. So these two pieces of technology with close to 30 plus algorithms to build this AI platform over the last seven years .

For the same platform, we are leveraging for ESG where Norges Bank. What does Norges Bank use for? Norges Bank invest in 8000 plus companies they have a $1.3 trillion fund, and that fund they want to look at is the company with w hich they invest in heavy -right ESG practices or not. Now, ESG s core they can get from anywhere. B ut to convert practices defined in some annual reports, some published documents, and some websites. There's a huge amount of job to be extracted that information and align it to the questions they have. So they have close to 200 questions. They have ESG analysts look at it around which they evaluate the company. So our same AI platform is leveraged for that same platform is leverage for Magic Invo ice. The same platform you use for underwriting insurance, the same platform is used for underwriting lending, and the same platform is used for Supply Chain, Finance and trade in iColumbus.ai . So it's one investment of the platform resulting in five use c ases. Similarly, we built up a platform, iTurmeric, no code platform where we can do the way data works, the process works, the rule works, the event works, API works and UX work, and it's been leveraged for all the other products .

I mentioned in the morni ng call to AGM that we invested over the last eight years close to 16 million person -hours. Now, 16 million per cent hours in the US context at $80.00 per hour, which is an average rate of R&D dollars, which is invested, it's $1.26 billion. No single playe r in the world has invested $1.26 billion in designing the technologies of the future, which Wave 5 for the bank is looking for. So that's the thesis that we have. Obviously, India is an underdog. And India doesn't believe we can do something in t

he produc t business. But today, when we look at the competition in GCB space where Thought Machine and Temenos are the two leaders. We can displace them in a large deal in Eastern Europe. It may be very insignificant in revenue terms in the quarter, but it's import ant to send the message that the Wave 5 player is the frontline leader in Wave 5 .

The next message concerns cash generation capability from an investor perspective, EPS or cash generation. I think both are healthy. EBITDA margins are healthy. We were looking at it 5% investment. We came back onto the same margin levels, but we were inve sted back. Our investments are now behind us they're not behind us. We are not investing less into the company, but in percentage terms, they are lower than the existing one. We strongly recommend that quarter and quarter we cannot meet your expectations. So I want to tell you upfront that we cannot meet the expectation of investors quarter on quarter. These are technology businesses it's a long race of three to five years, where leadership will be defined. This market size is so huge that it will require c ontinuous investments, but our investments are very, very calibrated. We are not increasing the calibration from 140 crores we are. We told you last April that we'll be investing 140 crore capitalisation. We invested 136 crore instead of 140 crore last yea r.

So all the parameters that you are mentioning, it is important for you to record and look at them so that we can be monitored them on an LTM basis. LTM from the last nine quarters is more than 15 to 20%. We can grow from the last continue continu ous nine quarters. So when somebody says the last two quarters or bad, it is only from the investor's perspective the last two quarters are bad because the deals were there already. It's only when the deal gets executed and comes to the solution that this deal has a large value, so that's the point. With this bank of assets, we say are right kind of talent in the AGM speech, which I mentioned. 35% of the workforce is more than 10 years of experience, and 16% of the employee hold RSU in the company. There are 57 countries our footprint is there, out of which ten countries we have chosen to go deep. We have a partnership with Accenture, IBM, and more people are lining it up with the eMACH.ai technology. We have a big p artnership with Azure and AWS. We have top customers in each geography, top 9 customers in the Middle East, Top 6 customers in Europe out of 10, top four out of 10 in the Americas, top nine out of 10 in India, so 10 top five out of 10 in Asia Pacific. So there's no single company with a footprint from ANZ and the Asia Pacific to the Americas. And here, we are showing the example of our bulls -eye on AI and Composable and Contextual technology, which is driven by design thinking, composability, contextuality and D -3 OTIF. This is the commentary I would leave now for the question -answer session. So that you have enough time to ask questions to me, Rajesh, Manish, and Banesh, all four of us can answer the question. Besides, financial questions can be answered by Vasudha and Saranu. So over to the question -answer session .

Praveen Mali k
Thank you, Arun .
Now in case you want to ask a question, please click on raise your hand in case you want to ask a question, please click on raise your hand .

The first question is c oming from Mr Mohit Jain from Anand Rathi Securitie s

Mohit Jain, Anand Rathi Securitie s
First of all, congratulations on a good quarter. And then I have three questions. One is the average size of a deal in the highest bracket that you report. It looks l ike we're not capturing the deal win with information correctly as an outsider. So is there a change in the average size of the deals over the last year or so? And then, I have a follow -up on GEM's impact on the working capital. So revenue you have already told us, but o

n the working capital, what should we expect? And in FY25, when the contract
comes off, should we see this rapid decrease in receivables, or could there be other assignments as well? And 3rd is on capitalisation, so it was more account -keepi ng. I thought I would ask separately, but that is related. Should we see some increase now that you're developing these new tools and tech in

terms of capitalisation over the next two years or overall R&D spend, or do you think the current rate is good eno ugh for us to sort of come out with products regularly ?

Arun Jai n
So let me take every side of the deal, I think, we can't calculate the amount of resale or deal fundamentally because deals are varying from three years to five years to seven years when the contracts are getting signed, though every deal we sign is relevant for 15 years. But accounting wise is based on the number of years we could sign the contract, and those Contract signed depending on the client to the client. So that's one area in which we are not able to be accurately measured. It's only a very indicative measure of the average deal.

Mohit Jai n
Directionally, if you can help, like how much it would have gone up, at least the highest bracket the 50 crore and above .

Arun Jai n
Yeah, the deal values can be like RBI will go 500 crores single deal. Some deals are more than 200 crore deals are there. So those are the deal sizes which are on the large size. Deals can go up to 30 million, $200 million, so $100 million. We are not cros s right now, but we are in dialogue .

If you would deal, it could. Be $100 million deals. On the second question, GEM working capital. Obviously, it will improve. We have a substantial amount sitting as receivable. The number of days will improve as we go into the working capital there as soon as we mentioned in our press release, that's a single -digit profit business, so it will impact the top -line after four quarters four will have an impact on the top line. Still, we don't see a significant impact on the bottom line. Some impact will be there but not significant .

Mohit Jai n
So, sir, going ahead with international DSO, the way you disclose in the PPT? We should gradually approach that .

Arun Jai n
It will be in towards international. The third thing is capit alisation, and we don't see any as of now. The budget planning we are done for capitalisation for R&D is in line with close to 140 crore. It's less than $20 million. Normally our budget will be $20 million, which means 160 crores, but we'll be spending 17 and a half million this year. As of now, that is the budgeted section, and we will stick to that, and we have not deviated from the last five years anything in capitalisation .

Mohit Jai n
OK, perfect, Sir. And it is a repeat question, but if I can have a fo llow -up, is there any difference now our license is caught up in terms of growth over the last two quarters? So earlier, we saw this trend where license revenues and growth contributio ns were a little lower while Saa S was picking up quite fast. So last tim e, you told me that now clients are not differentiating much. Is there a change in the scena rio, or do you think license Saa S could go hand in hand at similar growth rates ?

Arun Jai n
I think compare license link revenue again from our viewpoint. It's a cus tomer's choice to choose to pay us an upfront license or SaaS, so we don't want to differentiate. We want to give us the flexibility to

customers what they want to choose. Where Saas is more profitable for us for the long -term cycle, but if some customer i n Europe wants to look at license upfront money, it's good for us too. So we want to see how much is the license link revenue. If license link revenue exceeds the last LTM basis, we have close to 1200 crore. That is the most important figure for you to loo k at it whether it comes from A

MC, whether
it comes from direct license sales, whether it comes from Saas, we are open to that. We are not following Temenos policy that we only want to do Saas business. We don’t want to follow that .

Mohit Jain, Anand Rathi Securitie s
OK. And your guidance growth guidance of 20%, should we consider it adjusted for them or ?

Arun Jai n
Yeah, that's right. We need to look at adjusting it for them. 15%, you can look at it. Some decisions may be slower, fast, 15 to 20% anything .

Mohit Jai n
Perfect, Sir. Thank you. And all the best, Venkat sir, Congratulations on your new role s

Praveen Mali k
Thanks, Mohit. Next we have Mr Vivek Taruga. Vivek, please unmute yourself and ask the question .

Vivek Tarug a
Are you able to hear me ?

Praveen Mali k
Yes, Vivek. Please go on .

Vivek Tarug a
So the last call, you mentioned about concentrating on India and putting more focus on India. Can you put light on how our products are getting traction in India and which products are gaining ?

Arun Jai n
I didn't mention that we are focusing on India. We're saying we have a global player, and we're looking at all the countries, and five deals are representative of all the regions requiring eMACH.ai technology. So India is also among the largest financial engines growing today. All the Indian banks are showing a tremendous amount of growth in double -digit and high double -digit growth which is happening, and they are now adapting to new technology and cloud technologies, so eMACH.ai either the right position ing, whether it's the top banks, public sector banks or private sector bank. So I don't want to name individual banks over here, but most of the banks are, I mean, nine out of the 10 banks are customers. So they are investing in new technology space .

Vivek Tarug a
In your annual report, you also mentioned that Lakshya 3 you have done, and there's accelerated growth in the next three to five years. I'm not asking about the growth rate, but which products and what when is accelerated, is it about SaaS growth, or is it platforms maturing? So where is the content coming from and what products in our platforms are giving us the indication, and which in the next three to five year s.

Arun Jai n
We are looking at compassable and contextual, so we changed the strategy f rom product to technology. So what products are giving attraction is about core banking. When you have to look at it, deposits, we are looking at lending, we are looking at wealth, we are looking at cash management payments, liquidity, trade and su pply chain finance, central banking solutions, and insurance underwriting solutions. So today, all these solutions have matured to the level we have index call in the product maturity index, which is at a 1300 -point score. So today, almost nine out of the 14 products are crossing the 1100 mark, so they are suitable for the market, and they build on the same architecture called eMACH.ai so that they can buy it. So if somebody wants to buy lending and wealth, they can do the wiring of this product which nobod y else can give to the market. So there's a new wave of delivery, a new wave of autonomous banking here. I don't have a better word for it, but something you can compare to Tata Elxsi or what they are trying to position themselves as the autonomous vehicle management that kind of technology we are hit upon .

Vivek Tarug a
Sir, thank you. Thank you very much, sir .

Praveen Mali k
Thanks, Vivek. Next, we have Sugandhi Sud from InCred. Sugandhi, please unmute yourself and ask the question .

Sugandhi Su d, InCred
Hi, am I audible ?

Praveen Mali k
Yes, Sugandhi. Please go on .

Sugandhi Su d
Congratulations on the results. I wanted to understand you've highlighted your eMACH.ai wins in terms of platform revenue. You know, quarter and quarter, there's a strong uptake. So there is no significant change in the volume of t

he GeM contract, and there's no lumpiness there on the account, and most of this is coming from the new client wins. A new client wins just wanted to clarify that .

Arun Jai n
As I mentioned, don't look at the platform and look at licensing revenue there will lumpiness will be there in platform versus license. Depending on which deal goes into which bucket, there will be lumpiness. So internally, what we are monitoring and givin g credit to our salespeople is whether you do Saas revenue or license revenue, all money is green, we will have a green colour .

Sugandhi Su d
So in terms of the phase -out of the GeM contract, will it be, you know, done in a straight line manner over the year or how, you know, should we expect to be lower this year and then completely disappear next year, or is it going to be similar to last year and then, you know, the major impact will come in FY25 ?

Arun Jai n
As of now, it's up to December. So Q4, we can see an impact. Bu t still, it's too early to say i t's a tested transition. It has just started, and let's see , how the transition is progressin g.

Sugandhi Su d
And regarding your receivables, you know there will be contract milestones. Will they run beyond the maturity of the contract, or can we expect that most of those would get cleared towards the end of the engagement ?

Arun Jai n
You can't say any thing about the government. We love to have it .

Sugandhi Su d
Do you don't see any incremental stress on this account? So in the past, I mean just looking at your, you know, provisions that you do for your receivables and your unbilled for your unbilled , the provisions have slightly trended up. But you know you don't see any incremental pressure .

Arun Jai n
No, we are not seeing any incremental pressure. It's the same pattern we have. We do make some provisions every quarter on the provision. So for futur e risks, we are taking the conservative approach of providing an appropriate number or slightly higher than the appropriate number for provision. So can be some point in time, they could be right back if required, but as of now, we want to maintain the sam e policy of provision .

Sugandhi Su d
And I wanted to cross -check you are guiding for 15% to 20% growth this year .

Arun Jai n
Yeah .

Sugandhi Su d
That's helpful. Thank you. I'll just get back in the queue .

Praveen Mali k
Thanks, Sugandhi. Next, we have Mr Anil Tulsiram .

Anil Tulsira m
Thank you for the opportunity. I have three questions. First, if I look at your history last 10 to 15 years, we have launched, many products. And some of the few products have been successful in reaching stage 5, but many other pro ducts like, say, treasury wealth and brokerage insurance are still in stage 3. What are the conditions required for the product to reach Stage 3, or we take some conscious decision that this product is suitable to reach Stage 3, what exactly is that? This is the first question. And the second question is, in the past, we guided that we soon will enter the USA for core banking products. But it has not entered. Obviously, you have decided that it is not the right time, or we are not prepared, or the competiti on is whatever it is. I want to understand what conditions should be met before we launch our core banking product in the USA. And the last question is, on technology day two, you spoke about iKredit360 being launched in UK and Germany, so what's the progr ess there? How are we getting success there? So those are the three questions. Thank you .

Arun Jai n
So, first of all, thank you very much for tracking every conversation and recording all of it to follow up on. For stage 3 to stage five products, we had di scussed with you very cautiously we take 2 -3 products at a time and move them to stage 4 and stage 5. Because investment, go to market investment, so normally people believe that pr

oduct investments are ■100 and go to market, maybe ■40 or ■50. But our lear ning in the last five years is if I'm investing ■100 for engineering, then I have to invest ■200 to go to market. And that is where what defines my stage 3 to stage 5, which is based on the market potential. TAM of the market and investment we make towards that leadership product. So now, treasury and brokerage are in phase three of our phase right now. This year we are taking this product, maybe, but the brokerage is not taking it forward as a product. But our other portfolio, which is too big in size, cor e banking, lending, credit card, central banking, wealth, liquidity, digital transaction banking, I think they basket is too big a basket for us to look at to worry about treasury or brokerage as a product to be looked at. So we don't see any barriers for our next three to five years of growth in them ?

About the second question on the US for core banking, I never mentioned that we want to go to the US for core banking. We said we wanted to look at banking in the US., so our US. market strategy is around insurance underwriting, which is the core strategy for the US. And GTB product, which is a DTB or liquidity, is a strategy for the US, and we are on track with it. We suffered two losses last two quarters. The two banks, which have gone down, are where we los t substantial sales traction. We had a deal in both banks, and both deals got delayed. One deal has completely gone Sil icon Valley Bank completely . Those deals could have been a few million dollars of deals which could have been there, and similarly FRB, we were looking for a complete digital transformation for FRB, and they have already selected us. It was almost on a paper of signing a paper. So we lost two tractions in the US on that bank. So that's an update on the US, but not it was not related to core banking. We believe that core banking is a great opportunity in the US, but we must prepare ourselves. Currently, we are seeing a lot of opportunity in core banking in Europe with the OTP Bank signing it up, and our focus is more on that side. We are spending more time. We hired a president for Germany, K Srinivasan. He will be moving to Germany in August. So Rajesh is focusing on iKredit360 for Europe itself. Thank you for asking detailed questions .

Praveen Mali k
Thank you, Anil. Next, we have Mr Nimish Shah. Please unmute him .

Nimish Sha h
Yeah. Am I audible ?

Praveen Mali k
Yes. Please go ahead .

Nimish Shah
Thanks for the opportunity, and congratulations on the good numbers. So sir, in your opening remarks, you men tioned that you are now at a phase where you start looking to add distribution partners, and you have already partnered with IBM and Accenture. I want to understand how this will impact our implementation revenues going forward. And we always maintained th at over a longer term period, the business has been designed for 20% growth. Is this growth for the company as a whole or for the license -linked revenue ?

Arun Jai n
So this company is as a whole. When you're choosing a partnership network, some implementati on revenue can be available for the partner to succeed, so that's definitely, but this keeps the size of the pie increasing substantially. Manish, do you want to answer ?

Manish Maaka n, CEO of iGTB
Now, Arun, that's the answer wherever we've got the system integrators i nvolved. The pie has gone up 5X almost, and we get more money through those because this is not just at that stage automation of the existing system. It's a much larger digital transformation where they look at customer impact, growth, and operational simp lification. So the value added is also in a different order. So the customer is willing to pay for that .

Nimish Sha h
Right. Does this change our margin profile in any manner ?

Arun Jai n
It will .

Manish Maaka n
Positively .

Nimish Sha h

Any directional sense ?

Arun Jai n
As of now, it's too early to communicate, but it will impact because license revenue goes up, and the margin obviously will go up. License, when you go margin, will go up .

Manish Maaka n
I think the positive sig n is a number of these large partners are willing to work with us, enabled by, as Arun called out, eMACH.ai. They look at the technology, our footprint, and the customer trust and analyst endorsements given to us. And then, they look at the technology enab lement, extensibility, and composability that makes the magic potion happen. So we are referenceable, we are extendable, we are composable. And now the partnership, we have always said the indirect distribution will help us grow to the next order. So we're taking those early steps and building that. We don't want to just run through it and blow ourselves up. We want to design it for the right scale and deliver. Then once we hit the scale, we don't have bumps .

Nimish Sha h
Understood , that's it from my side. Thank you.

Praveen Mali k
If you want to ask a question, please click on Raise hand. Next, we have Mr Amit Chandra. Amit, please unmute yourself and ask a question .

Amit Chandr a, HDFC Securities
Yeah. Am I audible ?

Praveen Mali k
Yes, Amit. Please go on .

Amit Chandr a
Hi, Sir, and thanks for the opportunity. So my question is on this, you know, funnel that you have shown. So there is, you know, quite a significant improvement in terms of the funnel for the year wherein the number of deals, you know, the total number of destiny deals, have also increased. Is this increase because we have been seeing delays in decision -making? In terms of deals or is it because you know there is higher spending f rom our existing set of clients do. And also if you can you know if you can break this funnel in terms of how is the mix you know between transaction core and also the like newer products that we have launched so just to understand the funnel better .

Arun Jai n
Amit, it's difficult for you to understand the funnel because we don't un derstand it so well. The question is that it's so much of a cycle time so many variables are there in the funnel. That is difficult to capture the texture of the funnel. We give an initiative number to you right now. The market size is $600 billion market, which IT spending happens. How much will they get translated to new wave 5? The new Wave 5 will tell. So now if you say how much petrol vehicle will convert to EV. Time will tell how much it will be. Everybody will make some projections about how much it will be. So the market is not a limitation. The limitation is our delivery capacity. That's why the partners will play a very critical role in the distribution in the coming months, and the current funnel is indicative that it's growing positively —our lead generation engine is growing .

We had close to 15 detailed workshops with the clients on eMACH.ai. They're trying to understand what the new wave means for them. We are having this workshop in Seattle with AWS, we are going to have a workshop with Microsof t in Seattle. Around this, we have a workshop with Accenture in New York, with around eMACH.ai. We are close to 25 more workshops lined up in the till 30th September. That is an exciting number. So, we don't know how to quantify this number as of no w, but it's an exciting time to look at. And that's why I don't want to put some colour to this funnel right now, Amit .

Amit Chandr a
OK, sir. And in terms of what is the confidence in terms of eMACH.ai in terms of the acceptability that it will have in the industry because it seems to be quite an exciting product, but can it reach, you know, the kind of success that we have received in say, you know our traditional transmission banking kind of very mature products. You know, is like contributing, or they ar e in the maturity phase, and you know, like in the monetisation phase. So how is the growth in eMACH.ai and also from the perspective of the partnerships? We have been trying to scale up our revenues from the partnership, you know, ecosystem, but we have n ot seen a lot of success there over the last few years. I don't know how it has changed now, but you know, from the perspective of eMACH.ai, what kind of growth you see from there ? How we are dealing with partners now versu s earlier ?

Arun Jai n
Let me be saying our trust in partners we never mention that we are ready for partners. We always say that we want to do our implementation unless our products will be partner -ready products. eMACH.ai provides me with partner -ready pro ducts. We started focusing 18 months back on the partner. Before that, we have not even hired a head of partnerships. Only Kannan Ramas amy joined us only 18 months back. It's not that we are not successful in partnership. We're not choosing the partnershi p as the

distribution lever until we are ready for a partner -ready product. That's the first point I want to clarify it's not that we're not successful in partnership .

It's not that we didn't choose to go to the partnership because we want to establish our reference ability of the customer base, and that is part of our chosen strategy since 2018, Amit. I always explained that the first phase of our growth would be only ourselves to ensure our reference ability is available. We don't want to take a risk with the partner for spoiling the customer relationships. First and foremost, we want to highlight to you the partnership that we are choosing now, and we will not be choosing many partners. We will not be celebrating more is more. We want to celebrate less is more. We want to have few partners but deep relationships with the partners. We'll be committing a deep relationship over there. The second question you asked about. What is the second question ?

Amit Chandr a
eMACH.a i.

Arun Jai n
eMACH.ai is a new architectu re front. It's not DTB digital transition banking, liquidity. Now all these products are there, wealth product is there, which Banesh is talking about for wealth force. They all now move to Intellect 3.0 Journey, where everybody has microservices. So we ha ve 285 microservices. So DTB has been moved to the next phase of investment, which we made last year, to move them to microservices -based architecture .

So since they moved to microservices -based architecture, eMACH.ai is a common platform which is getting express itself to construct DTB solutions, liquidity solutions, trade, finance solutions, supply chain solutions, and core banking solutions. So each solution can be designed, and we are giving the customer the flexibility, or he wants to design it, and th at's what the new wave of technology is all about . Rajesh, do you want to add anything to that ?

Rajesh Saxen a, CEO of iGCB
Oh, sure. So I think you said it, Arun, I think the eMACH.ai gives us the architecture. And it stands for events, APIs microservices, cloud and he adless, and that's the way all our platforms are constructed so that the banking can become completely composable. And we talked about what we are seeing. Let me take an example of, let's say, Europe. What do we see in Europe? In Europe, we are seeing good , good traction in the core banking space, and what the customers are looking for is a composable solution. So our eMACH.ai architecture, along with our iTurmeric platform, gives us that edge, and that's what we see as traction in the market .

Amit Chandr a
Also, Rajesh, can you comment on the competing products in the market you see at the competition to eMACH.ai ?

Rajesh Saxen a
So the way I see competition and let me put this in the context of core banking space. So core banking, traditionally, we have see n competition from players like Temenos, Flexcube, Finacle, etc., and then there are new -age

players like Thought Machine and Mambu. Thought Machine and Mambu come with architecture, and what Temenos and Flexcube and Finacle would come with would be the do main, the depth of the product .

Intellect has the great advantage that we have the depth as well as the architecture of these new platforms, and that's why, for example, we talked about this OTP deal and this OTP deal that we won against Temenos and Though t Machine was really because of both are architecture as well as the depth that we have, and that's what is resonating in the market .

Amit Chandr a
And, Arun sir, my last question is on the GEM project. You know the GEM project will be there till December. But in terms, the bids that came up for the project were substantially low in terms of what we are operating at. So how do you see that? And also, in terms of our receivables, what part of our receivables is from GEM ?

Arun Jai n
There is substantial receivable, as we mentioned earlier, so that should cover it up. And second, at the TCS value, we will not be doing that business. We don't want to be in a loss -making business, and we don't see TCS can make money on it either. They wa nt to win it, it's their joy of serving the government. But we have served the government for 4 -5 years. It's a national project we have taken to solve the national problem. So GEM is no regret for us. GEM is cleaning up our eMACH.a i interes t.

I would have expected some investors to ask questions about AI. AI is a hot topic right now, and AI, the kind of capability that Banesh has built for AI, is phenomenal. And that is not coming out as a separate space which we are differentiating along with the composab ility. And there is space in the contextuality of operation space. And this is a decision AI. Decision AI is very different from information AI. So when you talk about ChatGPT, it's information AI. You can't use it for any business decision from ChatGPT . You can only take some information, and converting information to knowledge and knowledge to a decision is a three -step process of AI. With our seven years of investment in AI, if we separate the AI company, it should be the most valuable company in a globa l marketplace from that perspective. So this is where the AI platform, which I mentioned in the beginning, is the fabric platform of AI, which I described in eMACH.ai substantially. That is giving an entire boost to all the product lines .

Amit Chandr a

And also, you mentioned the AI thing, so are we selling AI as a separate capability, or are we embedding AI into our existing products and platforms ?

Arun Jai n
Yeah, we are selling a separate product like Magic ESG. It's a separate product of ESG but not just embedded like Nor ges Bank is a $1.3 trillion fund management. It's a separate product so Banesh can highlight more on that .

Banesh Prabh u, CEO of IntellectAI
So thanks for that question. Let me explain it in two different ways. One is eMACH.ai. We heard a lot about eMACH. The combination of eMACH.ai - that is, the architecture along with the AI intelligence, is embedding this intelligence into our product lines in a way in which the customer can achieve a much higher level of AI implementation, whether it is in hyper -automatio n or hyper -personalisatio n.

So I think, for example, I'll give you a wealth perspective. Right from wealth, and as you probably have already heard, we won an award for, you know, for the most exceptional usage of AI across Pan Asia, which covers Asia and In dia from the Wealth -Briefing awards .

And one of the interesting things is MACH gives you the composability that, you know, Arun mentioned, of being able to compose for different segments, different product capabilities .

For example, we've just recently gon e live with one of the largest private banks in India, they are using Wealth for this first part of the launc

h is about mass affluent wealth. Now, we all know that the penetration of mutual funds in India is growing significantly .

And how do they provide a technology architecture? And by the way, this architecture is on the cloud, it's on AWS. And the scale is very large. The ability to consume our eMACH architecture for wealth, along with the AI components that can make a difference to seamlessly deliver e ither a do -it-yourself capability or a very personalised capability for the customer, is one sort of example of how we can consume for different segments, whether it's mass wealth, whether it's ultra -high net worth or private bank .

So the architecture give s them the power to be able to consume for different clients, different products and different capabilities and experiences. Financial advisors or relationship managers drive some of them drive some of them. Or some of them just do it yourself . So that's t he power of the combination of intelligence embedded in what we would say embedded AI for wealth .

Similarly, in the US insurance, the underwriting insurance, you know, recently Gartner had an underwriting, they don't have a quadrant for underwriting, but t hey have a very detailed paper on underwriting. Intellect Design was probably the best digitally engineered underwriting platform for using AI.

There we embed data in such a way that the underwriter can actually improve his speed and decision -making qualit y, and therefore, we've embedded AI into the underwriting workbench . So not only is it operationally efficient, but more importantly, it brings intelligence into the product for different lines of insurance business. So AI coming together, it's at a good p oint, AI today in the market where can be a huge difference in improving growth and operational efficiency as well as helping the client achieve, you know, revenue targets and compete more efficiently with their competitors .

Amit Chandr a
Yeah, Sir. Thank you. That was quite helpful .

Praveen Mali k
Thank you, Amit .
Next, we have Mr Rahul Jain from Dolat Capital. Rahul, please unmute yourself and speak .

Rahul Jai n, Dolat Capital
Yeah, hi. Thanks for the opportunity. Firstly, if you look at the commentary from many services companies regarding the spending cuts and discretionary cuts by the banks versus what we see in our case for software companies, the view is quite divergent .

So my two questions are here. One is that banks now finally realised the importance of investing in core technology, which is keeping this as a priority aspect for them right now. Or is it also a function of being more present across the global market, which means that our exposure to more troubled economies is less, and that's why i t reflects better growth for us? At the same time, services businesses are more concentrated on two or three markets in pain .

Arun Jai n

Very good, Rahul. It's spotting the right t hing. So a lot of IT spending has gone up in the last three years, which was a disproportionate increase happened in last three years was unnatural. This was to me, I mentioned in one of the calls, it was like a band -aid digital. You do the digital, which looks nice on the face of it. Like face makeup. But you don't make it change in the structural digital. Structural digital, you need to make a change in data design. You need to make a change in a data layer. You need to make a change in a product layer. Y ou need to make a change in a process layer. All have to go together. So your question is, when COVID happened, and everybody wanted to sit from home, they did a very quick and dirty solution, and they wanted hundreds and hundreds of people to solve that p roblem .

So it's good for Indian companies that we made a lot of money out of this problem statement of band - aid digital. Now, the band -aid digital to structural digital, which Manish was mentioning, structural digital when th

e deal which we won in Asia Pac ific Bank with Accenture, that's a structural change . They're looking for a business transformation from digital transformation to data transformation. All three came together when the deal value was multiplied 5X compared to the band -aid solution, where the value is limited to 1X. That's the right analysis you have done, Rahul. For Wave 5 , banks don't have an option. Like an electric vehicle, there's no option for all of us not to go to the electric vehicle. When we make a decision, it's our choice .

Rahul Jai n

Right. Thanks for the clarification. Secondly, from a market perspective, is India now becoming very center stage from a global demand point of view in many industries? Would that be true for your business as well? If yes, then what's the stra tegy out there ?

Arun Jai n

In what context? For other industries ?

Rahul Jai n

I mean, yeah, even if you look at what's happening or what kind of a credit proliferation is, what the regulator is now pulling into the UPI ecosystem or small consumer loans or ba nking the unbanked database collateral, these kinds of things are now coming with a lot of NBFCs and banks are getting into their digital solutions with the lending partner, partnering the lending fintechs. One side of the story is where these companies wo uld simply partner with fintech to distribute their lending or BNPL solutions. And the other aspect of the story would be where banks would try to modernise their solution and do it directly, like what possibly Bajaj is doing in India. So from that context , do you think credit is a center - stage aspect in India? Is that leading to a lot of opportunity here ?

Arun Jai n

Yeah, that's true. I think that two things are there, Rahul. I think this is the question here. We are undermining the security issue of the ba nking solution. When you take from a Fintech player, a lot of people who are still in India, like HDBC Bank or ICICI Bank, will take a holistic decision of buying the right solution at the right pricing. Today, still in India NBFCs are not investing suffic iently in cloud technologies. They are not investing in structural changes, and security is so complex in the eMACH.ai world that we are undermining the required investment. Almost 170 elements are there in security architecture, how you wire the security along with the transactional work. That's where India will go through two investment phases. One phase will invest as the band -aid solution, and the second will be a structural solution .

Rahul Jai n

Ok. So at best, we will see the first band -aid one where a ll software companies would have limited participation, but then we may have a larger piece of the cake eventually. And the last piece from my side, which is related to wages or any other investment, if you want to say that from the current base. What are the investments required for this part of the later part of this year in terms of wage correction or people investment or any other investment from a cost point ?

Arun Jai n

Fortunately, because the software industry is in trouble, we are beneficiaries of that, so we don't focus so much on that particular thing, so. On the other side, on the investment side, just not to take it lightly, your question is, how much is the foreca st on the cost structures? Cost structures are stable now. Last year, our cost structure became unstable because of COVID time and the industry issue. Our investment will be distribution, our focuses 3D's - distribution, distribution, distribution. We are now looking at it and spending time on it. So, our management team is in the US starting from Monday. So Banesh is sitting in New York right now. So our focus is deeply on distribution right now .

Rahul Jai n
Right. And is this increment or whatever correcti on needs to happen already baked into the current cost and rate ?

Arun Jai n
At this point, yeah .

Rahul Jai n
Yeah, OK. That's it from my side. Congratulations to Venkat for the new role, and also, Congrats Vasudha for this position. Thank you so much .

Vasudh a
Thank you .

Venkat Saran u
Thank you, Rahul .

Praveen Mali k
Next, we have Mr Narender. Mr Narender, you're there? He's not there. I think he's left .
Arun, we have only the two follow -up questions, then. No new question. Can we take them ?

Arun Jai n
OK. Just take them .

Praveen Mali k
Yeah. Mr. Anil Tulsiram .

Anil Tulsira m
Thank you for your opportunity once again, I have two questions again. First, I understand existing customer base accounts for almost 80% of your revenues. So what I want to understan d is what happens at the time of renewal. So how easy is this renewal? Or again, do we have to go to the RFP or other things or to put it another way, how easy or difficult is it for your customer to switch to another

vendor, and what are we doing to make these customers more sticky? That is the first question, and the second question is around 2021. We spoke about cross -sell opportunities that we will go deep in the top 10% of the clients, so what's the progress here? Thank you. That's the two questions .

Arun Jai n
Manish, would you like to answe r

Manish Maaka n
I think, like Arun briefly shared, we are tracking the top ten banks in each of the markets, and what is up, we today have the top four of the 10 American banks, the top seven of the 10 European ban ks, the top seven of the 10 Middle East African banks, top nine out of 10 in India, five out of 10 in Asia Pacific. And this consistent focus right now is to be able to cross -sell each of our products. The difference between us and some of the other vendor s is those term contracts our renewal goes in there because they are not partnering, they are just selling the license, and they get away. They're not partnering in the transformation of the bank and the growth of the bank. That's when the RFPs kick in. We 've consistently been sharing, we're regularly upgrading our products and capabilities with our customers. So we face less challenge from that perspective. There are sometimes, from a procurement process, there's a closed bid done just to ensure that compl iance processes are taken care of. Our journey is to be with long -term customers. It's a 15/20/25 -year journey, and we have shown some of our customer’s lifetime revenue coming from that. So it is always consistent to keep investing in customer success. Wh en the moment comes to renew the contract, you're not then letting procurement take over. It's an extension of what you're doing .

Arun Jai n
OK.

Praveen Mali k
OK, Anil. Thank you so much.

Anil Tulsira m
Ok got it. Thank you. That's it .

Praveen Mali k
Then we have a follow -up question from Vivek Taruga. Vivek, quickly, can you ask the question ?

Vivek Tarug a
Yes, Sir. My question i s about the US last year. Arun j i said we have lost two deals. And given the cu rrent conditions, do you expect a similar growth rate to last year, like you guided 50% And what is the outlook on both the time to deal with closure and the insurance part - IntellectAI part, which you were very positive about last year? Thank you, Sir. T hank y ou very much .

Arun Jai n
And we are as positive, more positive on IntellectAI on US growth. The US because of the setback of these two deals, we are looking in North America in the market. So Manish looks at Canada and US together. So the combined mar ket, we have good potential. In the US, we have won one deal. So at least the year has started very well in the US .

Manish Maaka n
Canadian banks are reasonably well, and we've just announced that for one of the large Canadian banks, the US piece of business. We were doing the Canadian, now we're doing the US side of it also .

Vive

k Tarug a
So the deal the things are not like because la st quarter, because of that SVB crisis, you were more unclear. So I was just trying to understand .

Manish Maaka n
We did lose 2 deals. SVB - First Republic has become JP Morgan. So we were doing some work for the First Republic, so it has gone into becoming JP Morgan. We are running the platforms we were already working with JP Morgan before. It gets our relationship. The upside is our relationship with JP has become a little bigger. Still, the commercial revenue loss on these two large deals would have give n us another bump in this quarter, but that's the game we all play managing risk and portfolio. And I think, compared to some of the other software service providers, you're seeing their dependence on the US is very high. We've always talked of a portfolio which is balanced across products as well as markets that hedge us from this seasonality. It does give us a bump on the road, but it doesn't create a panic that has to stop hiring, have to get rid of people, have to create panic .

Vivek Tarug a
Right, so I ntellectAI will grow 50% like you said last year, Sir, this year also? Last question, sir .

Arun Jai n
It's going substantially how much we come into books of account because IntellectAI business comes as a SaaS model, and it's not every month, but deal size s are increasing. So we are getting even double -digit million dollar deals in the Intellect business, which will be we are at least 7 -8 deals are there which is the double -digit millions of dollars, $10 to $20 million deals over the next five year TOC valu e, TCU value of the need. So those deals, we are now getting IntellectAI on how much will be translated that will come within 15 -20 per cent .

Vivek Tarug a
Thank you very much .

Praveen Mali k
Thank you, Vivek. Arun, can we close the call now .

Arun Jai n
Yes, please. Please close the call now .

Praveen Mali k
Thank you to all the participants for participating today. In case you have any follow -up questions, please do write to us or call us. We'll reply on the same. Thank you very much now. We can log off .

Thank you.

Call: Nov 2023

Intellect/SEC/ 2023 -24 November 03, 2023

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol:
INTELLE CT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code:
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call held on October 27, 202 3 commenced at 06:00 P .M. and concluded at 07:08 P .M. o n the Financial results for the quarter ended September 30, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited

Arun Jain
Chairman and Managing Director

Encl: As above

Q2 FY 23 -24
Investor Earnings Call Transcript

Praveen Malik
Greetings and welcome everyone.
Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the Second quarter of the fiscal year 2023 -24, ending 30th September 2023. The investor presentation and Press Release ha s been sent to you and are also available on our website. Our leadership team is present on this call to discuss the results. We have with u s today Mr. Arun Jain, Chairman and Managing Director; Mr. Manish Maakan, CEO of iGTB; Mr. Rajesh Saxena, CEO of iGCB; Mr. Banesh Prabhu, CEO of IntellectAI; Ms.Vasudha Subramaniam, CFO. Besides, some other senior members of the Intellect management team are also present in the call. Mr. Arun Jain will brief you on the result, followed by a Q&A session where the senior management team will reply your questions. When the Q&A starts, you can ask a question by clicking “Raise your hand ” and we will unmute y ou so that everyone can listen to you.
Safe Harbor: I would like to remind you that anything we say which refers to the outlook of the future is a forward -looking statement. This must be read in conjunction with the risk the company faces.
With this, I request Arun to give his briefing.
Arun Jain
Good evening
I wish to begin by thanking each investor for trusting the story of Indian Fintech Company participating in cutting -edge technology space, shoulder to shoulder with global competition. I'll cover my conversation in 3 frames, and we'll take close to 15 minu tes. Frame 1 is the current quarter and first half year of FY 24, and frame 2 is patterns and trends from the last 3 years' data and the

market what we are addressing. Frame 3 business outlook for the next 6 months and coming years. Let me start with the frame 1. This quarter, Intellect revenue grew 17% over the same quarter last year to INR 621 Crs, while EBITDA grew 45% over the same period. The half -yearly revenue also grew healthily at 18% and PAT at 43% growth compared to the last year. The company re venues are crossing INR600 Crs mark consistently for the past 3 quarters. All these results are in line with our confidence of growth at the 15% level, which we were looking at when we started the financial year. They are above 15%, close to 18% at this po int in time. During this quarter, contracting in respect of 2 deals amounting to close to ■30 Crs in revenues got deferred and could not be concluded. As in the past quarter, there's an intangible cost of 12 Crs towards RSU in quarterly results. So this is a cost which is getting booked, which is intangible in nature.

We doubled our marketing activity during the last 6 months, having more than 700 meetings with relevant customers and prospects. We participated in a almost 20 events in the last 6 months t o create a larger brand awareness, reaching the right kind of a technology, eMA CH.ai and generating leads. So, which we call P0 to P2. We have six stages of the sales process. P0 to P2 is the lead process, and P3, P4, and P5 is the opportunity process. So what we publish in the results of total funnel of over INR 7500 Crs is basically are opportunities which are at P3, P4, and P5 . We don't publish any lead -related financial numbers because, at that time, we don't assign the financial numbers to it, and tha t's why we don't publish the numbers of P0, P1, and P2. We have almost a similar amount of leads in P0, P1, and P2 as many opportunities are there and only where the proposals are submitted. That's what we publish as a funnel for us.
Now, I would like to move to frame 2 or the dialogue with you, after receiving smart questions from you about the varying and unpredictable quarterly performance of Intellect in the past. Our data analyst team plotted the last 12 quarter data with trailing 12 months as a pivot. Our CFO has shared her findings in this deck. The beauty is that based on these numbers, Intellect has grown at 20% CAGR over 3 -year period. Exactly 20%, which we guided the market that we have designed our business to be 20%. So we feel that how can it work exactly 20% over the 3 years, 22% for 2 years and 18% for 1 year. The sustained design growth is well above the industry growth rate. I call about 20% growth rate as a designed growth since that's a constant message we are sharin g with the investor community consistently. This design growth has 3 key principles and strategy on which this 20% growth confidence is there for the company.
Principle 1 :extreme customer -focused business design. That is an independently designed busines s for corporate banking needs in the form of iGTB. Retail banking and an SME lending business are grou ped under iGCB, and wealth and I nsurance businesses under IntellectAI. This strategy helped in building business growth and operational sales based on cut ting-edge differentiated products for our customers.
Principle number 2 - Design the products for the most demanding banks to drive the last 2% is 200% differentiation in the products. So when we work with a leader in the web market, like HSBC, JP Morgan Ch ase or HDFC Bank or RBI. We get that advantage of demanding requirements and our product functionality becomes so much sharper than anybody else in the world, and we have the advantage of working from West to East. From US customer to the Singapore custome r to Australia customer at a stretch. So we are able to get the right patterns because of the customer profiling what we have. Today, 8 out of 12 products are in the leadership quadrant of global technology analysts like Gartner, Celent and Aite. This help s in the premium pricing of products and enables to build business in Europe and the Americas.
Intellect's customer portfolio has 7 out of the top 10 bank in Europe, 8 of the top 10 banks in the Middle East. 7 of the top 10 banks in India. 5 of the top 10 banks in North America, and 5 of the top 10 banks in Asia and ANZ and that's a remarkable marquee customer Profiling.
Banesh Prabhu
I think we've lost Arun. Probably, they'll re-join may be of the network issue.

Praveen Malik
Yes, Arun. You can go ahead.
Arun Jain
So, the above three strategies helped in growing the iGTB business to 950 Crs business. iGCB business grew to INR 650 Crs, while IntellectAI business grew close to INR500 Cr during the last 12 months.
Coming to frame : 3. I'm hearing about our leadership outlook for the next 6 months and next 3 years. As of now, we must acknowledge the instability of the global geopolitical environment - Israel Pale

stine conflict, as well as Russia European conflict, India for Canada conflict, are all on the horizon. The management team takes a cognisance of these conflicts and hopes for world to become more peaceful in the coming years or coming months for our growth of the business. But

yet, we need to design the business for the future and where we are getting our confidence level despite these geopolitical disturbances.
We launched the eMACH.ai platform with the most comprehensive microservices for the financial industry to drive composable and contextual solutions. In February 2023 this is the one platf orm which received so well because the entire industry wanted this , a desired direction of industry to move towards. As of now, the separation of events, micro services, and APIs on the cloud, Headless and bundled with AI. Intellect plays a very significan t role because there is no single player who has got all the 6 components coming together under one roof to give a composable and contextual solution. This has led to big partnerships with Microsoft Azure, Accenture, AWS, KPMG, and IBM. We are working very closely with them for large digital transformation deals. Intellect technology has started helping our customers by using Turmeric as a composable technology. Effort cycle time has come down by 40%. So, we are now able to propose full digital transformati on at a 40% lower cost than our competition.
Intellect has launched IGTB Co -pilot along with Microsoft at the International Corporate Banking event SIBOS in Toronto which has been very well received for its ability to drive decision -support advice using Ge nerative AI. As of now, Generative AI is being used for a lot of customer experience spaces, but over here, this was done for business decision purposes.
We also launched Generative AI -based underwriting recommendation for P&C Insurance on Intellect, US cl oud. This also has received significant mileage because now the P&C process is completely autonomous from submitting documents for P&C Insurance, which collects document intelligence to underwriting the entire process to the recommendation up to the recomm endation stage and then data processing is autonomous in nature. Both Turmeric technology, which makes composable platforms and my IDX technology, which makes the contextual technology, drives the kind of a rich product positioning for retail banking, lend ing wealth, global payments, global digital transaction banking, trade and supply chain finance, and insurance. Because they are the width of the product and depth and cutting -edge technologies are driving our growth. For this year, we are confident of gro wing the revenue by 15% on an annualized basis. And profit growth of more than 30%. So that's what our current outlook is looking at 15 plus percent. Despite of the global or geopolitical environment and if we are lucky, we can be closer to our design grow th of 20%, but we are planning 15% growth on the yearly basis. Thank you very much for listening to the 3 frames, and I will open the platform for your question answers.

Praveen Malik
Thank you, Arun. Now we can move to Q&A. I request in case you want to ask a question. Please click on Raise hand, so that you can ask , we will unmute you.
Please ask a question.
First, we have Mr. Mohit Jain from Anand Rathi Securities. Please unmute him. Mohit You can also unmute yourself and ask the question. Mohit, you're there?
Mohit Jain
Yes, Sir. My question was related to this partnership that you just announced. So, how is it going to help us send the one which were announced about SIBOS and Microsoft? So one is how is it helping in our current set of products that we are selling, and second, it appears to me apart from this delay in the quarter, you're also looking at slightly slower growth for the year. While our exposure to the troubled regions may not be that high, just to clarify

are you seeing further weakness in banking?
And second, this partnership with Microsoft, these are the 2 questions there.
Arun Jain
So, first question. Manish, would you like to answer the partnership question for Mohit?
Manish Maakan
Yeah, Mohit, this is a very disruptive partnership along with Microsoft iGTB co -pilot, which we launched at SIBOS. There's a whole new way of deriving value from data which is sitting in the banks, and we're going to look at capitalising our extensive domain exp ertise in commercial and corporate banking. In our phase one, we are introducing an array of about 50 plus AI use cases covering our existing stream of cash management, liquidity investments, payments, virtual account trade and supply chain finance. First of all these co -pilots are being designed to assist banks and corporate treasury role -holders for better customer experience, cost and operation efficiency and risk management in partnership with Microsoft. So first it will help make our products look much more smarter, much more adaptable from what the market needs are. And second, it's an completely new revenue stream we are building upon for puttin g it forward.
Arun Jain
On the second question, Mohit. Revenue growth, we are looking at, it can be better than this, but as of now, I think 30% margin growth where IT companies are looking for much lower numbers. It looks to be better. But let's see how it pan out. It can be better than this.
Mohit Jain
And Sir, as the follow -up like , are we building in that GEM impact also as part of a slow transition or

do you think that not in the second half of the year, and we should look at it from an FY 25 standpoint?

Arun Jain
We are not too sure about that, but on the margin level, we are taking into account the r evenue side; maybe I'm not taking into account what will happen after December, but on the profit side, we are confident of meeting 30% growth.
Mohit Jain
So, in the current guidance, we are building in the current level of GEM revenues till March, right?
Arun Jain
No. I'm saying irrespective of GEM revenue or not 30% margin growth will be there.
Mohit Jain
OK, so whether it goes or stays, the point is that your guidance takes into account the potential reality due to GEM.
Arun Jain
Yeah. So, the margin, and the revenue line will change. But not the profit line.
Mohit Jain
OK, great, Sir. Thank you. And all the best.
Arun Jain
I mean directly saying what the margin we make, correct?
Praveen Malik
Next, we have Mr. Nishid Shah from Ambika. Nishid , please un mute yourself and ask the question.
Nishi d Shah
First of all, congratulations to the entire team for a very good set of numbers on a half -yearly and on a year -on-year basis. I think Arun, sometime back, you had mentioned that Intellect should be evaluated on a year -to-year basis and not on a quarterly basis. Not on a sequential basis, given the delays in the process and the global environment. So I appreciate that. Uh, can you give more details on the 2 questions one or some details on the delay in the clos ure of 2 deals? What is the value, and are we likely to see a closer this quarter? And the second question is on the US geography. How is the partnership progressing with Microsoft? We have been talking about it for the last 4 or 5 quarters and with Accen ture. So where are we seeing traction with Microsoft, or are we seeing traction with both Microsoft and Accenture? Those are my 2 questions.
Arun Jain
OK.
The first question was on your growth, which is last like LTM basis. We should be monitoring on an LTM basis quarter to quarter; we cannot do it. So again, I want to emphasise that quarter to quarter doesn't make sense. We published this time number from September 20, slide number 12. We move from 1402 Crs revenue to 2441 Crs revenue in the last 12 qua rters. And there's a consistent growth

quarter on quarter.

There's no drop in the quarter on an LTM basis. There's a drop in the quarter
that normally happens, but on an LTM basis there, there's no single quarter where the drop is there on an LTM basis. So that's the one point I want to ensure that we will look at it, and please look at the advise investor to monitor the product companies on an LTM basis rather than monitoring the product company on a quarterly basis. Responding to US geographic growth, we have very good leads in the insurance business in the US. Banesh, if you want to highlight what is happening in the Underwriting area in insurance working, that is, we are working with AWS closely with them, and they are also bringing some leads besides ou r own leads, which are coming in the U.S. market.
Banesh Prabhu
Yeah. So I think the partnership with AWS, as you know, the insurance business in North America is completely hosted on the AWS platform and all our clients, and presently we are, you know, q uite a few SOWs that are in the process of getting contract closures, I think the important thing here is AWS works very closely with us now in identifying potential underwriting insurance opportunities. Qualities we sort of got an underwriting ecosystem t hat fully operates on. So we added the generative AI component in, I think. Generative AI component is helping the underwriters use the data more efficiently along with their own underwriting standards to make decisions. So I think AWS doesn't have a simil ar product anywhere in the world, and when they looked at our product, they said this is probably the best in the cloud that is available, and they are actually in the process right now of partnering with us to offer it to more and more insurance carriers. So that is the outcome that we have with AWS right now.
Arun Jain
Nishid , this is a very very positive area where the revenue doesn't get booked. It's a cloud revenue,

and it's a lag indicator. We are giving this revenue what Banesh is doing; we are worki ng with 7 deals right now are therein POC stage because AI adoption requires POC build -up, and we upfront invest in POC rather than implementation, which is typically in other product lines like in core banking, we do implementation afterwards. While on th is line, we do a POC before the actual sale happens. We have a front investment, and since there are 7 such POCs are happening which 3 are in the contracting stage, and 4 will come to the contracting stage, likely to happen and each deal has a ARR potenti al of more than 2 million dollars each deal.

Nishid Shah

2 deals which got delayed is expected to close in the next quarter or 2?

Arun Jain

Yeah, yeah, that's what we are expecting.

Nishid Shah

And how much is the value of those deals you said? I think you said 50 Crs.

Arun Jain

30 Crs deals should be signed in this quarter.

Nishid Shah

Thanks for the clarification. Thank you, and all the best.

Arun Jain

Thank you, Nishid .

Praveen Malik

Thank y ou, Nishid .. Next, we have Mr Anil Sarin from Centrum, Anil Jain. Can you ask the question.

Anil Sarin

Hi, Arun. Hi, the whole team, great progress is being made. In fact, I want to congratulate you on your annual report also you have dedicated, I think, a bout 40 pages. I think all the S BU heads have gone into, you know, great detail, taken a lot of pains to explain to lay people like myself, and I quite enjoyed, and after reading, I was able to understand and appreciate the technology that you bring to the table. So, a great job over there, and basically I mean, you know, it just underscores the superiority that your products have. Now, we have to wait and see if it's already happening, but we have to wait and see how at a larger scale. I mean, given the sc ope, the depth and the width that you already enjoy. I think you know what numbers should be expected in the coming times. If I just add this 30 Crs back, then the margins, you know, eve

n for the second quarter shoot up to, you know, a decent number. So my question, I think Mohit and Nishid have already asked, I guess it will be a repetition, but I mean, given that you know at the halfway mark. If I just take the liberty of adding back the 30 Crs, given that at the halfway mark you are tracking so well, go for the second half, you know there has to be a material decline in the growth rate. To sort of come up to the 16% revenue growth outlook which you have. So, are you anticipating a kind of a slowdown of that nature?

Arun Jain

No, no. Anil we are not lookin g slowdown, I think. The problem with investor, is they have very you have very mathematical mind and you put quick calculations. Our business is not like as mathematical as possible to look at it. We're not looking for any slowdown, but we will be cautio us, cautiously optimistic, I would say Anil rather than saying we are slowing down, and we want to just say in the current environment, 15 to 18% growth is a good number. So, let's look at it that way. And if you are lucky to have, I mention our design gro wth number is 20%. I mentioned from last 4 years. We are not changing any paradigm on it. But the success of 20%, it happened in for last 3 years is 20%. For 2 years, it is 22%, so once you're doing it, we will achieve 20% for the next 3 years we are look ing. That is the number I think and Anil, you should be looking at; that can a company can grow 20% top line for 3 years? If they can, we can grow 20% year on year, and our profit will grow 40% year on year, our ratio of revenue to profit is 2 times.

Anil Sarin

Right. In fact, you know, on that point one can comment that see you have multiple products and you have multiple geographies and there are not too many companies like that , that I'm aware of which have they're so entrenched, all over the world. So I think war is not a problem for people like you. I mean, you are so spread out. I don't think that, but obviously time will tell and I think you already answered that question that you know, as you scale up the EBITDA margins need to go up. . It's a functi on of operating leverage as you start delivering the deals. It should head towards much higher than what it currently is. Am I on the right track?

Arun Jain

That's right, Anil. I have given two design principles – 20% growth and 30% EBITDA. Now, 30% EBITDA, I don't want to promise it. Because last time, I said 30% EBITDA. Everybody jumped on it,

saying why it's 18% and 21%. The business is designed around two principles. When 30% EBITDA will come in? I cannot predict that kind of a number. But the bus iness has been designed for that kind of cost structure and the operating leverage level, so we moved to the product business.
Anil Sarin
So, in your annual report comments also the chairman's letter to shareholders, you mentioned that now is the time for partnership. So today, we have four partners. What is the outlook? What do you expect, like how deep can we go with each partner and how many partners would you realistically need to achieve your targets and goals?
Arun Jain
Partners are very important. Th ere are five partners which I mentioned - Microsoft, AWS, IBM, Accenture and KPMG. They are all big partners. We have 30 other small partners at the country level, which we are not mentioning here. Those are country -specific partners who solve our problem at a local level. This is a good network. We may require one or two more. But to meet this expectation of them because the deals they bring are heavy deals. Manish mentioned , Microsoft, and they are bringing digital transformation deals to us, whose deal value would be around $30 Mn, $40 Mn or $50Mn. It has a huge amount of pre -sale time. I think we are comfortable right now in this partnership if we can nurture them. That is our focus for the next six months.
Anil Sarin
So thank you so much. Today, you ha ve the proud

position of being the fastest -growing IT company,
so please keep it up. We are cheering for you. Thank you.
Arun Jain
Thank you, Anil.
Praveen Malik
Thank you, Anil ji. Now we have Mr Mukul Varma from V arma Associates
Mukul Varma
Am I audibl e? Yeah, Mukul. Please go ahead.
Mukul Varma
Yeah. My question is that you mentioned that you had won one deal against Thought Machine in Europe. I would like input on how we are doing against Thought Machine in Europe.
Arun Jan
Thank you, Mukul. Rajesh, wou ld you like to respond?

Rajesh Saxena
Sure. So, not only Europe, if I look at the UK, Europe, tier -one clients as well as regional banks, what we are seeing is that when these banks are looking at core transformation, they start with a long list. Typica lly, in most of the cases, we will end up with three players who are in the last three. One would be Temenos. One would be Thought Machine and Intellect. So, when we look at Temenos, they come from rich functional stack country models. Thought Machine will come from a technology perspective. We are in a sweet spot wherein we bring the latest technology stack with the domain functionality. So that is what we see. Versus Thought Machine to your specific question, head -to-head, we are winning as many, if not m ore, deals versus Thought Machine. Of course, Thought Machine sees many more deals than we see because they spend a lot more money on marketing. From that perspective, we are also looking at Marketing Events. Arun also talked about our marketing events, ou r branding and how we are building our presence in many markets. So this is what we are seeing from a deal -win perspective. I was in Sibos and Money 20/20 in Las Vegas, where we ended up meeting a lot of customers and prospects. Many of these customers are saying when we talk to them about Thought Machine and their experiences, they are talking about Thought Machines' strong framework, but it requires heavy work from an implementation and customisation perspective. So, the total cost of operations and time to market are key challenges that Thought Machine is seeing because they are still in the process of building. The domain that we already have.
Mukul Varma
OK, great. One thing to add is that we announced specific deals during the quarter, which will be fo r some banks. But when it comes to results time, there are always more deals than the ones we have announced during the quarter. Is anything stopping us from announcing every deal, or are those smaller deals or we don't have permission, or how do we look a t that?
Arun Jain
Typically, we need to get permission to announce the deals. That is why we sometimes get delayed, and there is a mismatch between our announcing (announcement) anyway, but we are not publishing the names of those deals. That is the reason, Mukul.
Mukul Varma
OK. So is there possibility we could still announce it as we win without naming the bank, just to see how much we are doing and when it is possible?

Arun Jain
Sure, We will just take a legal opinion on it and then accordingly act on it.
Mukul Varma
Great. Thank you so much. That is it from my end. All the best. Thank you.
Arun Jain
Thank you. Mukul

Praveen Malik
Thanks, Mukul. Next, we have Mr Ramasamy KV from QFSL.
Ramasamy KV
Hi. Thanks, Praveen. Arun Ji, congratulations on a great quarter. In my opinion, it was a great quarter because I come from a product background. My question is only twofold. One is how autonomous AI is being used and what the potential is in the next two years. And point two is, how will the EBITDA growth pan out over 20% in the next two years?
Arun Jain
The first question is about autonomous AI. This is my favourite question. The investment we made in 2016, three years ahead of time, was unde rstanding unstructured data. I will take a few more seconds to explain what unstructured data is. In Oracle, we store t

he DBMS, which is the relational
data model which is store in Oracle . Now, the financial institution has more documents more paper than t he structured data. From the bill of entry to the domain, bill of lading and your balance sheets and the cash flow statements etc., To convert this unstructured data and create a document intelligence is a science of its own. Now, a lot of small fintechs h ave come up who are taking one use case of one type of document type like Perfios will take a few use cases for underwriting space. Somebody else will come who will take a few underwriting cases, which will take up in the trading space or the supply chain finance space. So they take document by document. But the difference is what we have done at the Intellect level is we created a platform first. Many questions were being asked in 2018 on why our investments are so high. Questions were asked to Pranav: how are there no results? I remember Technology Day in Bombay Investor day where we were questioned too much on why we were investing so much. Today, we have created a platform for document intelligence management systems. This is like a DIMS equal to the DB MS of past time. So, in the next ten years, DIMS will be as big as space as DBMS of Oracle in the last 30 years of the space, which is about how do you create unstructured document intelligence into the system
Ramasamy KV
That makes sense. Yeah.
Arun Jain
We have the entire product suite in the DIMS space. We had a session on how you move Design Thinking for cognitive enterprises and cognitive banks recently in Chennai, where 20 banks from India participated in that two -day event to understand how we can ap ply DIMS to help the banks wire their operational documents to data autonomously. So, that is a whole science of autonomy. We have completed this journey that Banesh was referring to in the US for one use case, which is a PNC underwriting space for submitt ing close to 200 different types of documents that have been extracted and intelligence has been built using rich and validated up to the generative AI in autonomous where recommendation notes come to the underwriter in a matter of day instead of a matter of weeks. That is where we are giving speed, cost saving, accuracy, trusted data, and recommendations, which is why no single company, as of now, is cracking this issue at a holistic level. So if the bank has to use 20 different types of documents and one of the deals which we won

in Europe in this quarter is our key client SJP - St. James Place, the largest wealth manager. They have chosen the DIMS tool for an entire wealth management portfolio. How the wealth management portfolio the recommendations. They want to automate at least 20 use cases using DIMS. So that is the power of our tool on DIMS, which we are very hopeful about. There is a company called Insta -base, which is in the same space. If you want to go to the Insta -base site, that will give you the flavour to look at what space we are in.
Ramasamy KV
One question, therefore, that comes Arun ji is, will the cost peter out over the next two to three years?
Arun Jain
Can you repeat the question?
Ramasamy KV
So, in autonomous AI, as we go forward and evolve, will the cost peter out or reduce over the next

two to three years and, therefore, the margins get bigger?
Arun Jain
That's right. So, this is a proposition we are making to the banks that if they want to buy IDX965.ai DIMS, their operational cost s can come down by 15 to 20%.
Ramasamy KV
15 to 20%? That is a lot.
Arun Jain
That's a lot. Currently, there is one single use case for this client in the UK. When I met the CIO, he said he saved $6Mn pounds with just one use case on AI.
Banesh Prabhu
The space around operations transformation is very large. The target market around operations transformation for all its financial institutions is extremely large. The DIMS platform takes tho

se
documents and changes the way the operational process happens through an autonomous capability and bringing in AI right through the process, whether it's underwriting or portfolio management. We have tried to help both underwriting from the US insurance PNC side as well as the relationship manager and the financial a dvisor from the wealth management side. There is a similar set of things across our various business lines in Intellect that actually focuses on how DIMS can help operations transformation. We will take out a lot of operations costs. As you know, any analy sts and researchers will say there are a lot of operational costs that AI will impact. And DIMS is at the heart of it.
Ramasamy KV
OK, great. The second part is how will the EBITDA growth pan out over 20% in the next two years?

Arun Jain
EBITDA percentag e will improve. The 20% will improve quarter and quarter. It is a matter of time. We were around 25% to 26% every year. Two years back, we took a call that we wanted to invest 6% from our margins to the next -generation cloud transformation. Our margin decl ined for three quarters. In the fourth quarter, it started coming back. We told nine months time frame. We will stick to the nine months where the shortfall has come. And so I love the investors like you who are trying to understand, but there are a lot of his street investors who do not understand that up and down. How does it happen?
Ramasamy KV
That is because of a lack of understanding of products versus services. So that is bound to happen.
Arun Jain
So it's OK. It does not matter for long -term investo rs like you. It is just a matter of time. But whatever we are committing for nine months, 20% EBITDA, I must say that the wisdom of the management team at Intellect will be able to justify that and live up to the expectation of what we are saying.
Ramasam y KV
One small thing can I add? Can I ask the third one?
Arun Jain
Yeah, sure.
Ramasamy KV
So, will this also impact us positively versus the Thought Machine? Because Thought Machine's initial costs are fairly high, where our cost would be lower initially.
Arun Jain
Yeah, there is a different equation for Thought Machine. They are in investing mode. We are one of the very few companies in the world who are making such a hefty profit in this cloud journey. Currently, no product company will make a profit, a nd nobody is expecting profit from them.
Ramasamy KV
Yeah. OK, great. Thanks a lot, Arun ji. God bless. Thanks for taking the time. Thank you.
Praveen Malik
Thank you so much, Ram. Next, we have Mr Divyesh Mehta, 3P investment.
Divyesh Mehta
Hello. Am I audible, sir?
Praveen Malik
Yeah. Please go ahead.

Divyesh Mehta
Though I appreciate the investments Intellect has made over a period of time in the products, the next leg of what you have started in the SI partnership will be crucial to unlocking the val ues of the platforms and investments you have made in different products. Last time, I recall, you had IBM as a

partner. This time, I have heard a few more incremental names, so please share where we are heading regarding more names. Also, do these partner ships wherever we are going in joint GTM? Are they adding to the funnel size? Then I will ask my next question, sir.
Arun Jain
Manish, partnership question over to you.
Manish Maakan
If you look at our phase one of the journey, it was about ensuring our products are right. As we build the brand, we really wanted to own the brand, build extensibility on SDKs and take it forward. In that phase of the journey, as Arun called out, we now h ave the world's largest banks as our core customers in every market. That has given us confidence or ruggedness, robustness, and resilience of the products. We have now built the extensibility where the partners can take it forward. My early experience w ith these partnerships are the deal values are going at leas

t three to four times
more than what we were initially selling it ourselves. So this is the right path, the right journey. In the next 12 to 18 months, they should start giving different kind of r esults for us in terms of quantum. They are extended distribution and surrogate branding along with each one of them is happening for us. They have MSAs, they have signed contracts, sometimes getting into new large tier-one banks. They love us. Last minut e procurements phase that we don't want to take a new vendor in. Through this route, we can manage some of them. Let's keep our fingers crossed that this is the right path. A number of people have done it before, and this helps grow. So, we are on the same trajectory. We have chosen a select few. We have got very close relationships right at the top. We are getting the right support. Sibos, I was quite overwhelmed with the support we got from these partners. There were more reroutes from them versus any fre sh walk -ins who were coming to our stall. So, things are positive.
Divyesh Mehta
So, in this same aspect, when you look at SI partnerships. The three to four which you have already added are already large enough. In this sense, can we look at SI partnershi ps from the perspective that if any product company has an SI partnership, it is easier to win even larger deals? Because banks are more comfortable because the SI partners have domain knowledge they can implement better. And like so, the USP largely has m ore comfort on the implementation.
Manish Maakan
I will slightly correct what you said. What they bring is they understand how the banks implement that knowledge of a new bank. The methodology, all of that, they bring in. A strong domain along with each on e of them really helps the bank create a mutual joint success, and with now eMACH.ai, the capabilities of eMACH.ai platform offers extensibility of the platform. It is a win -win for banks themselves who want to do it themselves or bring in system integrato rs to do that. This will bring us a higher share of licence revenue or subscription revenue, where margins are going to be always higher.

Divyesh Mehta
OK. One last question I would like to squeeze in. So, as we have increased our marketing efforts, is there any long -term trend where the SG&A cost line will take in terms of percentage of revenue? Are they expecting it to go higher versus previous years because of the higher intensity of marketing efforts?
Arun Jain
The SG&A cost is close to 26% as of now. They are remaining at the same level as last year. It shifts by half a per cent here and there, not so much. That will be maintained. It will not go up, coming down if the high number of revenue comes in. We are moving towards a bucket from $75, Mn Currentl y, we are a $75, mn bucket. So, if you observe, our patterns are 55, 60, 65, 70. Now we are at $75, Mn, marching towards $76, Mn and $78, Mn.
Divyesh Mehta
The percentages remain the same.
Arun Jain
Yeah. For three to four quarters, the number remains the same . We moved to 80 -85 Mn, then we moved to 90 -95 Mn At the $1 00 Mn level, the percentage may come down.
Manish Maakan
If we sell to four or five companies now, it takes one year to get many of their partners to know us better. After that, the multiplier effect comes in, the dominoes fall, and our distribution gets multiplied from that perspective.
Divyesh Mehta
In this case, we have observed that many companies or SI partners have an "X" number of Temenos experts who have a certification or something? So, eventually will we also have some certification for the SI partners? Is this in the works, or if you can throw some more?
Manish Maakan
Yes, it is in the works with Accenture right now. To build COEs from where they can take this and

take it forward.
Divy esh Mehta
OK.
Arun Jain
The last deal was one with them.
Manish Maakan
We won a significant deal along with

Accenture in Asia. They are jointly investing in it to create COE.
I have another deal running in France along with them, which starts building confidence.

Divyesh Mehta
That's it. Thanks.
Praveen Malik
Thank you, Divyesh. Next, we have Mr Vivek Kumar from Bestpals . Vivek, can you ask your question? Are you there, Vivek? Mr Vivek Kumar, from Bestpals . Please unmute yourself and ask the question .
Vivek Kumar
Hello sir. Am I audible now?
Praveen Malik
Yeah. Please go ahead.
Vivek Kumar
Thanks, Arun ji, for the opportunity. Two questions. One is given the annual report that we are now in Intellect 3.0 and you are seeing accelerated growth across y our products, and two, with this SI partnerships and with AWS and Azure, when do you think we will get back to? I am not asking for growth guidance in the next two to three years, but when will we cross that 20% growth very comfortably? When will these thi ngs start playing out? Now that you have been writing this in the annual report and also now that we are going for distribution, you said last time that our only strategy now is 3D’s – distribution, distribution and distribution. So, when you are cautiousl y optimistic, are you seeing a serious cloud regarding deal closure times? Or you are just cautiously optimistic because of the things happening around you. So, just one question on this.
Arun Jain
Yeah, 20% is a good, very good number. What I am saying i s that 20% growth will give us a margin growth of 30 -35% year on year. That means your margins are doubling in three years. At the 30% level, our margins will be 2.2 times at 30% growth, in three years. That is a very good number to look at. If we can get a Rs.1000 Crs profit margin after three years, that will be a great number for all of us as investors and as a company.
Vivek Kumar
So you are confident of the 20% growth over three years. Can I take that as a message?
Arun Jain
Margin in 20 .30, we are saying. If we are going 20% of revenue, 30% of the bottom line is natural because of operating leverage.
Manish Maakan
Our track record is also the last three years' CAGR, which Vasudha published, is 20% plus.
Vivek Kumar
Yeah. I was just asking, are you seeing any serious doubt in the deal closure times, or are you cautiously optimistic because of the environment? I just wanted that part. I understand that in the long run, you are confident about 20%. So that was the thing.

Arun Jain
When you a sk a six -month question, we cannot predict the future. That is the only thing. Contracting and so many issues are there.
Vivek Kumar
Arun ji second question is, given the breadth of the kind, the number of products we have on the opportunity size that eac h product can address, if you talk about whether the AI or all the three things combined, don't you think at so me stage we need to get some jaccob . I am neither asking time nor timelines, but just by inversion of basic logic that if each product is address ing such a huge opportunity size and each as it is every product starts maturing, don't you think there should be a time in the company where it's some companies start growing at much above 20% growth rates or am I missing something?
Arun Jain
I think the point is that in the portfolio approach, one has to understand very few product companies grow at a 20% on a year ly basis. If you look at the ACI worldwide, Temenos. Temenos is growing at a CAGR of 2.5% in the last 3 years. So they grow by acquisitions.
If we are going out 20% organically year on year is a phenomenal number from a product company

persp ective and that too profitably, not taking the money from the investor and keeping & buying the revenues. That's a fairly good number. Earlier also I mentio ned in one of the calls we got inspired from HDFC Bank. They're slow and steady and in 10 year's time , somebody can reach somewhere. HDFC Bank has set that model, thinkin

g process in my mind that let's not push too much beyond
20%. But be consistent.
Manis h Maakan
And the 4th largest market cap now in the world in banking.
Vivek Kumar
No, no. I was just thinking that given the opportunity size someday, it should be about 20% is my understanding.
Arun Jain
Thank you very much for your wishes. We would love t o have it.
Vivek Kumar
Thank you Arunji. Thank you for the opportunity.
Praveen Malik
Thank you, Vivek. Next, we have Mr Shailesh Gandhi from Mehta Vakil and company. Shailesh , are you there? Shailesh Gandhi. Are you there?
Shailesh you need to unmute an d then speak.
Please unmute yourself. Shailesh, unmute yourself and ask.

Arun Jain
And how many more questions are there?
Praveen Malik
Maybe some 4 more of them.
Arun Jain
OK, just keep up to 4.
Praveen Malik
I think Shailesh is not there. Looks like.
We can take it next. Next we have Mr Rahul Jain from Dolat Capital. Please unmute Rahul. Rahul unmute yourself and ask the question.
Rahul Jain, Dolat Capital
Yeah hi, I hope I'm audible.
Praveen Malik
Yes, yes. Rahul, please go ahead.
Rahul Jain, Dolat Ca pital
Yeah, just wanted to understand your sense in terms of how the cloud deal market is shaping up because in the most recent quarter we have seen Oracle announcing a $30, Mn plus size of a cloud deal, which I think is one of the largest cloud deals on th e banking software basis. So any perspective on cloud kind of a deal and what we are seeing from our pipeline perspective?
Arun Jain
I'm not getting the reference. Which is a $30 Mn deal?
Rahul Jain, Dolat Capital
So this is a large community bank cloud bas ed deal announced by OFSS in the most recent quarter.
Arun Jain
OK, may I have not looked at it $30Mn Community Bank deal on cloud. But this is an ARR deal or 10 year deal ?
Rahul Jain, Dolat Capital
The licence component is close to this number, but of co urse the total ARR of course could be much lower and so basically my -
Arun Jain
$30 Mn cannot be a license number. $30, Mn is a huge number.

Rahul Jain, Dolat Capital
Yeah. So that is where it is. That is how it is.
Arun Jain
Some confusion is there the $30Mn is 10 year Deal or 5 year deal - the time horizon? Because that way we can announce many deals which are $30 mn deals when we are looking at it from the duration of the time.
Rahul Jain, Dolat Capital
Yeah, yeah, my s ense is this is a 5 year $30 Mn kind of a deal. But nevertheless my question was more to understand from the perspective is that the larger size of the deal in your pipeline, are they

incrementally coming from the cloud side of the business or it still continue to be on the on Premise side? And how is your mix in your pipeline from a cloud or on premise basis?
Arun Jain
We set up 6 platforms, which I mentioned to you earlier. We have GeM as a platform, which we will be extending it from out of GeM and moving it to the other governments, International government and for corporate. So we are now able to make more profitable ventures out of the GEM platform we had. So our teams are working to make it buy -corp out of this particular product. Second platform is a lending platform. 3rd Platform is IDC. This platform means they are on cloud - IDC platform. Then there's a platform of magic submissions which we call Magic platform. And then we have 2 more platforms which were there in the afternoon board presentation. There are 6 platforms. Each platf orm is growing consistently. The big deals are now coming to our magic platform - AI platform which Banesh was referring to, those and IDC platform. Both the platforms are ge tting into the deal size of $20 Mn over the 5 years or $10 Mn deal over the 5 year s or 10 years so they range from 5 to 10 year range deals which can range between $10, MN to $30 Mn range. So those are the deals which are there is number which is announce d by a lot

of companies with 30
Mn/40Mn cloud revenue. Sometimes they are extending to 7 years or extending to 10 years, so at that point you need to ask them and let us know.
Rahul Jain, Dolat Capital
Understood. That's it from my side. Thank you.
Arun Jain
Thank you , Rahul. .
Praveen Malik
Thank you, Rahul. Next we have Mr Ravi Mehta fr om Deep Financial. Ravi please unmute yourself and ask the question.
Ravi Mehta, Deep Financial
Yeah hi, Thanks for the opportunity. Most of the questions got answered. Just on e question was the INR 3 0 Crs deals that got deferred. These were more licence based or subscription based or any colour on those deals?

Arun Jain
Let it remain as it is. These are 30 Crs deals which have got postponed. We don't want to specifically mention, but they mainly could have come to the margin.
Ravi Mehta, Deep Financial
And probably I missed the opening comment in th at there were some. INR 12 Crs of Expenses that were booked in Q2 related to some, I think I could not gather.
Arun Jain
ESOP basically the Over the last, the intangible - Vasudha can explain.
Vasudha
Its Stoc k options.
Ravi Mehta, Deep Financial
Ok. Is INR12 Crs ESOP Cost booked in Q2 or H1?
Arun Jain
Hey, every year, every quarter we book around.
Vasudha
So quarter and quarter, it is more than INR10,Crs, so that's a regular cost that we have because we have given RSUs or a larger population in the company, and so as per the Indian accounting standards and as per the IFRS, we are supposed to book the ESOP cost in the P&L, so.
Ravi Mehta, Deep Financial
Sure, sure. So what was it for Q2? If you can just tell.
Vasudha
INR 12,Cr is the number for the quarter.
Ravi Mehta, Deep Financial
OK. OK. OK. And what was it like in the previous quarter similar or..?
Vasudha
It will be around the same number - 10/11/12 Crs. We are on the same. Depending upon when the options are getting vested.
Ravi Mehta, Deep Financial
Sure. And just one non bookkeeping question. Global DSO based have gone up and India based have come down. It's the other way around. So is this a temporary thing or?

Vasudha

It is a one off thing I would say for this quarter because we received more collections from the India based customers this time. So that is where you can see some dip in the India pears.
Ravi Mehta, Deep Financial
OK, OK.
Yeah. Thank you and wish you good luck.
Vasudha
Thank you.
Praveen Malik
Thanks Ravi. Next we have Mr Vijay Kamath. Mr Vijay Kamath. Can you ask your question please? Mr Vijay Kamath, you're there?
Arun Jain
Ok, who is next?
Praveen Malik
I think Vijay is not there. Then we have Mr Vipul Kumar Shah from Sumangal Investment. Mr Vipul Kumar Shah. Please unmute Vipul Kumar.
Vipul Kumar Shah, Sumangal Investment
Yeah. Hi. Thank you for the opportunity. So, you are talking about digital transformation. So these mainstream IT companies are also undertaking these digital transformation projects. So how you do it differently if you can briefly explain in a layman's language, it will be very helpful. You may have done it to other calls also. But I'm logging on to this call after a long time. If you can explain it, it will be really helpful for me, Sir.
Arun Jain
Yes. Most of the investment in IT business has grown in the last 4 years or post COVID is to make the enterprise digital. So digital enterprise is a very standard vocabulary which all of us use. The difference is we have a building block for making digital means we have an intellectual property of microservices through which we can compose a solution or a bank versus writing a solution to the bank. We don't do any coding, we do the wiring of the microservices to make a digital transformation which is 2 to 3 times faster and is more accurate in delivering the final transformation results to the bank, so that's what. As a product company, if you observe that

services are growing now and services companies will reduce because people want to get a ready -made solution, we are in ready -made space and the services company which is called digital, they're in custom made digital. So I think in layman language, that's what we can be looking at.
Vipul Kum ar Shah, Sumangal Investment
Then for your growth you should be manpower agnostic, no?

Arun Jain
That's right. So that's why our margin, that's why the operating leverage is there.
Vipul Kumar Shah, Sumangal Investment
OK, Sir. Thank you very much. Thank you.
Praveen Malik
Thank you, Vipul Kumarji. Next, we have Mr Rajiv Venkatesh. The last question. Mr Rajiv venkatesh. Are you there?
Rajiv Venkatesh
Yes, Sir. I am there. Are you able to hear me?
Arun Jain
Please go ahead.
Rajiv Venkatesh
Yeah. Thanks Ar un. Uh, I have a couple of questions. First of all, congrats on the good set of numbers in this current environment. I want to know a couple of things. One is with the cash generation what we are doing, how much will go for R&D spend and for reinvesting for next 2 to 3 years? And what would be the new verticals of growth you're currently looking at, I understand that DIMS things are all already built in, so trying to understand where will be the next leg of growth? And the second the question would be lik e - a few quarters back you had informed on the core banking transformations. Are we getting any projects being moved out from Finacle or FlexQube or T24 for better product mix what we have with the better capabilities on our side? And or any POC is going on. I feel this will have a snowball effect with regard to the revenues over a period of time. So what are your thoughts on that?
Arun Jain
First of all, I think that. Cash position, whatever is there? We are fortunate enough that we don't have it signific ant challenges since we are growing organically, we may use the cash for getting to some countries, for inorganic customer acquisition. We are just exploring, but not a big acquisition, but acquisition to get a footprint in a country wher e we can use eMACH .ai to drive it, they may have old legacy platforms where we can use that money to do that. So that's the one thought process of a

growth engine. We are not going to get into new spaces. As of now, we have a sufficient number of spaces to drive. Number of products is proper; we are managing the same number from the last 4 years, so we are not increasing anything over there. So we want to run in a sustained manner and grow consistently over there. So that's it. Answer to your first question. What was the se cond question?

Rajiv Venkatesh

Uh, second second question is like a a few quarters back, had informed on the core banking transformations. So, are we getting any?

Arun Jain

That's what Rajesh Saxena has mentioned about the deal against Thought Machine. T hought Machine is a core banking transformation, and he's saying that we are fighting the battle in Europe and other parts of the world against it. So we won 2 core banking transformation deals during the Quarter. So these deals came from the Australia reg ion in this quarter. We announced 2 deals in the Australia region for core banking transformation and last quarter, we announced OTP Bank, which is the largest Hungarian bank for core banking transformation.

Rajesh Saxena

So Arun if I can just add. I think in the first quarter, we announced a couple of core banking deals. Two of those deals were actually when a bank moved from Oracle to us. I think that was the specific question.

Arun Jain

Thank you.

Praveen Malik

OK.. There's no question anymore. Thank you , everybody for joining the call today. In case you have any further questions, please do write to us, that will be replied or we may have a call. Also, thank you so much. Now you can log off. Thank you. Thank you, the management team.

Call: Feb 2024

Intellect/SEC/ 2023 -24 February 02, 202 4

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) R egulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call held o n January 25, 2024 on the unaudited f inancial results for the quarter ended December 31 , 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect De sign Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above
Q3 Results FY 2023 -24

Q3 FY24 Financial Results
Investor Earnings Call Transcript

Praveen Malik:
Greetings and welcome everyone. Thank you for joining us today to discuss Intellect Design Arena Limited's financial results for the third quarter of the fiscal year 2023 -24, ending 31st December 2023. The investor presentation and press release have been sent to you and are also available on our website. Our leadership team is present on this call to discuss the results. We have with us today, Mr Arun Jain, Chairman and Managing Director, Mr Manish Maakan, CEO of iGTB, Mr Rajesh Saxena, CEO of iGCB, Mr Ban esh Prabhu, CEO of IntellectAI, and Ms Vasudha Subramaniam, CFO. Besides, there are some other senior members of the Intellect management team present in the call.
Now, I will hand over to Vasudha to take you through the financials and later, Mr. Arun Jain will give you his comments on the same. This would be followed by a Q&A session where your questions would be replied to by the senior members of our management te am. Once the Q&A starts, you can ask a question by clicking on raise your hand and we would unmute you so that everyone is able to listen you.
On Safe Harbour, I would like to remind you that anything we say refers to our outlook for the future is a forward -looking statement. This must be read in conjunction with the risk the company faces.
With this, I request Vasudha to give a brief.
Over to Vasudha.
Vasudha Subramaniam
Thank you, Praveen. Good evening, everyone. It's my pleasure to take you through the financial highlights for quarter three and the year ended in December 2023. When we looked

at the CAGR for three years, which indicates our predictable and sustainable gro wth. The key metrics like the LTM Revenue, LTM license -linked revenue, and EBITDA grew 20%. Our YoY growth in LTM Revenues is 19%, while the License Link Revenue is 23% and EBITDA is 33%. Our DSO as of quarter three is 107 days as against 108 days as of qu arter three of last year. We have collected more than Rs.1760 Crs till December, and our cash position improved to Rs.712 Crs.

On the absolute numbers, our LTM Revenues are Rs.2522 Crs, and our License -linked revenue was 55% of the LTM revenue. We have made an EBITDA of Rs.555 Crs in the last 12 months, which is 22% of the said revenue. We have achieved 48 deal wins in the last on e year and have gone live in 46 digital transformation projects. Now, taking you through the YTD numbers, our revenue for the nine months till December was Rs.1901 Crs, and our EBITDA stands at Rs.412 Crs. EBITDA remained at 22%, as it was for the last 12 months.
Coming to Quarter three of this year, our revenue was Rs.635 Crs, and our EBITDA was Rs.132 Crs

being 21% of the Quarter three revenue. Our collections for the Quarter were Rs.591 Crs, which took our cash position to Rs.712 Crs. If you look at our LTM numb ers, which we have plotted in the deck for the last 14 quarters, it clearly depicts are consistent growth journey. Both the LTM revenue as well as the LTM license linked revenue.
Finally, our currency -wise revenue mix represents 37% in USD, 14% in GBP, 11% in Euros and 26% in INR, among others. This is tabulated in the usual format. On the deal wins, winning OTP was a proud moment for us and a major milestone besides the Indian Ban k and other deals in Kuwait and the Pacific region. With this, I will hand it over to Arun, who will share the business updates, including these major wins and the outlook for the future.
Thank you.
Arun Jain
Thank you, Vasudha.
Just to have a commentary which is continuing from the last quarter or last few quarters as you see, there’s consistency of 20% CAGR in the last three years. So that is a very significant milestone. The way we designed the organisation, it's panning out in the same manner. It's quite a delightful experience personally to me that, not only on a one -quarter or two -quarters basis but on a three -year basis, the number is sustained, and for a product company, 20% on a sustained basis is a difficult journey norm ally. So I must congratulate Manish, Rajesh, and Banesh on the call. They were able to make this delivery possible.
The other point is, why this is happening 20%? Because of our own thesis, we want to run a multi -portfolio product company. Today, all the six chosen spaces in the financial space – Core banking Modernisation, Digital Transaction Banking, Lending, Wealth, Trade & Supply Chain Finance and Insurance Underwriting – have now started firing for us. We looked at it in like Intellect 2.0 we went from GTB first, then GCB and then IntellectAI. Now, this year, when we look at it, all three business units have product s like Wealth, which is having good traction, and Trade & Supply Chain having good traction, which was not there. Insurance Underwriting is having good traction. And this quarter, if you look at it, it's the era of the Core Banking. I

think we won three large deals of core banking this quarter itself. And there are multiple deals in Lending. What change we brought in February 2023 of what eMACH.ai is driving our accelerated implementation and transformation. And if you look at it from a business perspective, one driver for us is Product. The second driver is the Country in which people put a lighthouse implementation. If I look at it, country by country, Thailand as a country, the largest Thailand bank has gone live with our entire GTB suite over there. Philippines, we have a larger suite available where the largest Bank of the Philippines has gone live with the system, and the largest Singapore Bank UOB has gone live with our Trade and Supply Chain Finance Solution. Vietcom Bank in Vie tnam. In UAE, we have ENBD and FAB, in Saudi Arabia we have gone live with Saudi National Bank. In Europe, we have banks like Lloyds or Barclays, the top 3 French banks, we have won the deal with all three banks. We announced two days back Credit Agricole that SocGen and BNPP are working with us. We are working with 2 largest Canadian banks, RBC and CIBC. We are working with BNY Mellon, Northern Trust, and JPMC in the US. So, chosen markets and then the OTP deal are giving us and paving the way for Eastern Europe and Bulgaria and Hungary – the two places we won that deal for Core banking as well as Lending, so they are almost equivalent to four deals packed into one for going into the Eastern European market. Otto is in Germany, which is the lighthouse site.
So why is this an important lighthouse site for the product company? The biggest challenge for us is the first reference account, and once that first reference acc

ount gets established,
then the next three accounts become much easier for us. So now, in Sau di Arabia, we have four banks out of eight banks working for us. In the Middle East, nine out of the top 10 banks are using Intellect technology. But that's what makes us excited right now because this is the time when other products are getting mature, an d we have reference sites available in those accounts and country references are there. We are able to approach core banking modernisation, lending modernisation or origination modernisation or digital experience platform; you have a reference available th ere. So that completes our journey of 2.0, where we want to establish my product in a market, my architecture in a market and a reference site in a market.
Now, the next area which is left to be conquered is the need to get into the heavy right investment in GTM for America. The USA is a large market in which we are not fully invested right now. We invested in insurance underwriting in the US, which is doing well. But besides underwriting in the US, for GCB and GTB, our investments are more focused on Canada rather than on the US. So that will require some of the investments over there. In this period, we could close out on the GeM contract. The GeM contract e nded on the 14th of December. So we have in this quarter, are not able to bill compared to last quarter - we had a shortfall of almost 2.5 million dollars from GeM on the top line - on the revenue side. The best part is, I

think we were able to hand it over completely and come out of this. It was not a profit making deal we somehow were able to release and hand it over successfully to TCS.
Looking at the outlook perspective, what is exciting for us, I think, is the AI business is exciting for us. The way in the AI business, we were able to build an entire document intelligent management system IDX, which is leveraged for not only creating in surance underwriting but also for credit underwriting. So, to build that product for another line of business like trade finance origination, the same thing to be used for lending origination. It's taking less than six months time and a very small amount o f effort to drive new products on AI very quickly. So AI business is one of the most exciting things.
The second exciting thing is our whole microservices, and API architecture is getting significant accolades from all the analysts. So many analysts are putting our Payment System into the leadership quadrant, our Core Banking System in the leadership quadr ant. So most of the places when you look at the quadrant, whether it's a Gartner or Forrester or Aite, we are getting into the top 3 players, in most of it we are the Number One player in these spaces. So that's what we are seeing as an outlook.
On company growth, I think the Q4 revenue focus would be - on how Q4 will look when GeM is out. For Q4, what is our current estimate? A similar number will be there in Q4 in spite of a drop in GeM revenue. So, our growth in the rest of the business means i t is growing at a significantly faster pace to compensate for the GeM revenue. EBITDA margin will improve obviously with the exclusion of the GeM revenue. Our tax Payout Ratio is close to 26.5% at this point in time. In this, actual pay -out is less because of MAT, where actual cash flow is not there by 26% our actual cash flow is equivalent – almost close to MAT
Next year, we'll be choosing to get into the lower tax bracket of 25% tax bracket, and the Effective Tax Rate would be lower by 3%; 26% may come down to 23% for the next year. So these are the few data points which I wanted to share and then we leave it to you to ask all the questions.
Praveen Malik
Thank you, Arun. Participants, now you can ask your questions. Please click on the raise your hand so that we can unmute you, and you can ask your question so that everybody is able to hear you.
Firs

t, we have Mr. Mohit Jain from Anand Rathi Securities.
Please unmute him.

Mohit Jain
Yes, Sir, one is on GeM. So you spoke about a 2.5 million revenue shortfall in this quarter? Because we lost 15 days towards the quarter. Should we find out a normalising Q4 revenue and impact, like 2.5 is the recurring rate that we should assume and for t he full three -month impact?
Arun Jain
That's a $2.5m reduction from that perspective. So the remaining banking business and other businesses have grown to that level to compensate for making Rs.635 Crs revenue.
Mohit Jain
Rs.635 Crs for ?

Arun Jain
Total quarterly revenue is Rs.635 Crs, so 2.5 million dollars is a Rs.20 Crs shortfall in the GeM revenue.
Mohit Jain
Right. But this quarter, you will have a full three -month revenue impact, right in Q4?
Arun Jain
Q4 would have an impact. So that's right.
Mohit Jain
In 3 months, in fact, we'll recover through growth in other segments?
Arun Jain
That's right.
Mohit Jain
OK, and the second was related to the margins. Now that our margins naturally will improve, as you have mentioned in the press release earlier as well. GeM was not a highly profitable business. So does that change your outlook or guidance at the EBITDA mar gin level?

Arun Jain
Sure, that will change, but it will go back to 3% more. I should come closer to 25% levels. EBITDA margin may come up.
Mohit Jain
OK, so now we should be closer to 25%. So I was just comparing, Sir, 22 versus 25. So, at that time also, we were at 25 odd percent levels. - at the EBITDA level, so naturally, if you're talking about high growth and without GEM, should I build in 1 -2% from there, or do you think 25 is now the recurring margin of the company?
Arun Jain
Let's see. You know you want to push the agenda, but yeah, it will be 25% plus, yeah.
Mohit Jain
25% plus OK, and sir, lastly, for the full year, is there any outlook without GeM? Where are you headed because there's some momentum on the product side?
Arun Jain
What I've just mentioned - only one quarter is left if it is currently $76 million dollar.
Mohit Jain
Sorry, what I meant to ask was, like, from a 12 -month standpoint. Like, from a growth standpoint, are you seeing some acceleration, steady state, or any outlook there?
Arun Jain
Overall is looking good, the funnel has improved now to Rs.8000 Crs is our funnel size from Rs.7500 Crs. There are more Destiny deals; 79 Destiny deals are there, which we are pursuing right now. So there's a more structured approach which is happening ove r here. But now, LTM revenues, we are sustained consistently - quarterly - always, ups and downs will happen.
Mohit Jain
Right. So I think LTM we can take as a trend and move forward, right?
Arun Jain
Yeah.

Mohit Jain
Thank you for that.
Praveen Malik
Please click on 'raise your hand' in case you want to ask a question. Next, we have Mr Ravi Mehta from Deep Financials. Please unmute him. Ravi, you can unmute yourself also.
Ravi Mehta
Yeah. Thanks for this opportunity. I just wanted to understand this bit on the GeM since we had a shortfall of GeM when I see a sequential dip in the cloud revenues, it's even more. So, is there something apart from GeM that has also hit us, particularly i n this quarter, and we can get back to the earlier run rates?
Arun Jain
And some platform revenue for this quarter!
Ravi Mehta
So, we were tracking Rs.140 -145 Crs kind of a run rate for at least two quarters and I believe Cloud is sticky. Now if I remove the GeM part of it, I think the number is a little lower in this quarter.
Vasudha Subramaniam

There were a couple of one -off items included in quarter two and that is where you are seeing some dip from 147 to 111, that's what you're mentioning.
Ravi Mehta
Yeah.
Vasudha Subramaniam
Beyond GeM, yeah.
Ravi Mehta
O

K, so what would those be like? Like another Rs.10 -15 Crs.

Vasudha Subramaniam
So that is from some other customer related to SaaS and subscription. That was one time and so we included that in quarter two. Quarter three does not include any one time. So it just has GeM. So when you look at the difference from quarter two to quarter three that's where you are seeing something more beyond GeM.
Ravi Mehta
OK. Just one broader question: the kind of cloud deals that you've been clocking just wanted to get some colour that usually the understanding is as the customer keeps using more or adds more locations or branches, the revenue from the same deal will keep increasing, so? I wanted to understand and get some flavour as to whatever deals you have been clicking for the last 2 -3 years and how those can grow without you adding any more deals to them. Just those particular contracts, how can they grow in terms of revenues?
Arun Jain
Yeah, so those volumes grow in 2 -3 ways. So there is a fluctuation in the cloud also. So your first question is why there's a reduction in the cloud revenue. Volumes do change quarter on quarter. Certain policies and some business conditions are there whic h are linked to the transaction or the particular quarter they have more transactions on. So let's say we charge for underwriting policy - X dollars per policy. In one quarter, there could be a larger number of renewals. In the second quarter, there could be a lower number of renewals. It's not only growing larger. But looking from your perspective of asking the question between cloud revenue – the forecastability of cloud revenue is as of now, we are at the early stage of cloud revenue still, we are not t hat mature in cloud revenue. So we are finding suddenly ups and downs are happening in the cloud revenue. But on a long -run basis, if you're looking at a 3 -year picture, a 4 -year picture, the two models we have on cloud revenue. We have subscription -based revenue, which is a monthly subscription on the cloud which remains constant. So then that is much more predictable. The second type of revenue is transaction -based revenue, and within the transaction, there is a percentage of the policy booked, and there is a per -transaction revenue. So the three models are there on the pricing and those pricing also vary quarter on quarter.
Ravi Mehta
OK, so the monthly subscription usually is the same amount says that.

Arun Jain
Yeah, a monthly subscription is there. That's the most stable.
Ravi Mehta
OK, OK. Currently, what numbers do we see that have more of these monthly deals, or are you already getting those transaction -led negotiations?
Arun Jain
Mainly monthly. A lot of it is monthly, but a transaction basis is also there.
Ravi Mehta
OK.
Arun Jain
There, there could be monthly plus transactions. So all possible combinations are there.
Vasudha Subramaniam
There is something on the minimum commitment that will be recurring on a monthly basis, and so beyond that, as and when the volume grows, we get that.
Ravi Mehta
Sure. And one question I had on this eMACH.ai. The repertoire of 312 microservices I can see in this presentation earlier was 280.
Arun Jain

Yeah.
Ravi Mehta
So I'm seeing that number growing. Your APIs are almost the same 1214. So wanted to understand that as you have to keep adding these microservices probably using the same APIs in eMACH.ai offerings. So maybe any targets you have like what kind of microserv ice you think at some point you would be ready in the market?

Arun Jain
300 is a very large number of services, Ravi. We keep on adding some 7 -8. So whenever we are growing or maturing, like, say, if you have a lending microservice and we want to get the mortgage - it will be 2 or 3 microservices - which will add on the mortgag e side. If you have wealth

as a microservice, there will be another 3 -4 that can be added. These product lines can keep on adding a few microservices. So this number of 312 is after one year. So when we looked at it last February, it was 285. This year it is 312. But API should have been more. I think there's some error in reporting over here. There could be more than 1400 or 1500 or so APIs that should have published that. And events are close to 400 now not 200 plus.
Ravi Mehta
OK.
Arun Jain
Thank you for highlighting it.
Ravi Mehta
All this is probably happening at the same R&D budgets that we've been working with and do we plan to increase that if you think to make this eMACH.ai offering more comprehensive? As of now, whatever the annual budgets you've been highlighting is good?
Arun Jain
As of now it seems to be okay budget -wise because our codeless platform is reducing the effort for generating new products. So on one side, we are increasing the output at a lower cost because of the Turmeric, we are able to use AI, IDX we are able to use and build the new products. So that's why the incremental quantitative investment, which is there, is coming at the same cost as what we have budgeted for. But our investment in next year will be an area of market entry. So, market entry investments will b e what we need to plan for in 2024 -25.
Ravi Mehta
OK. And just bookkeeping, what could be the capitalised R&D number for the quarter?
Arun Jain
Rs.35 Crs?

Vasudha Subramaniam:
Rs.35 Crs.
Ravi Mehta
Ok. I will come back. Thank you.
Praveen Malik
Thanks, Ravi. Next, we have Mr Mukul Varma from Varma Associates. Mukul, please ask your question. Mukul, you're there?
Mukul Varma
Yeah. Good evening, Sir. Am I audible?
Praveen Malik
Yeah, Mukul. Please go on.
Mukul Varma
Congratulations on a good set of numbers. I have three questions. One is on what is the minimum amount of cash you think the company should have as of now, we have Rs.712 Crs, post which you can look at the buyback option. That is number one. Number two is on the other income of Rs.19 Crs. So, apart from the interest income, what else does that comprise? And number three is a note in our accounts that we will soon move to a new tax regime. So, will that kind of lower our taxes? That is what I wanted to know . If yes, by what percentage points thank you.
Vasudha Subramaniam
The other income comprises two to three things. One, we have this treasury income, you know, out of our fixed deposits and others. The second is from the rental income that we

have, and the third is some Ind AS entries. OK, so Ind As, in a sense, Indian Ac counting Standard -related entries or the deferred interest. So these three are the major ones in other income, and we had a one -time other income on the rental part this quarter. There was some settlement that happened, and it got cleared this quarter, and that's where you see some spike in this quarter on the other end.

Mukul Varma
Correct. So what would that amount be?
Vasudha Subramaniam
That would be about close to Rs.7 to 8 Crs.
Mukul Varma
Alright, OK.
Arun Jain:
And the second tax rate
Vasudha Subramaniam
We are moving to a new tax regime in the next financial year. So we've been having MAT unutilised credit. So, we would like to exhaust that by the end of this year, March 2024, and we will be moving to the new tax regime. Because we worked out the cost -benefit of, you know, either retaining with 35% or moving to 25, we are much more beneficial moving to the new tax regime. That is a note that you have seen there, and it's getting carried on quarter by quarter.
Mukul Varma
So kind of as of now, I see we are in a 26% net bracket of the tax. So what would that then go down to?
Vasudha Subramaniam
It will go down to 23%, so 26% across the globe, with stand -alone being 35% so when the standalone

improves to 25%, that will also come up.
Mukul Varma
Great. And are there any thoughts on the buyback after what minimum cash balance you would consider rather than giving dividends?

Arun Jain
Yeah. And I think this is a conversation happening on the Board. So, we'll let you know when the board decides about what level of buyback and, obviously, that will be required at some point in time.
Mukul Varma
Sure, Sir. Thank you very much. Wish you all the very best.
Praveen Malik
Thank you, Mukul. Next, we have Mr Nemish Shah from Emkay Investment Managers Limited. Nemish, please ask your question. Please unmute him.
Nemish Shah
Yeah. Am I audible?
Praveen Malik
Yeah. Please go on.
Nemish Shah
Yeah. Congratulations on a very good set of numbers. So, just firstly, one clarification on what you mentioned for the GeM contract and the revenues in Q4. So you mentioned our Q4 revenues will be similar to the Q3 number after the GeM impact. Is that unde rstanding correct?
Arun Jain
That's right.
Nemish Shah:
OK. So then, if I have to just calculate X of GeM or revenues for us, then that implies a sequential growth of about 18 to 20%. So, is that calculation correct?
Arun Jain
Yeah. If you look at it from that perspective, definitely that number would be of that nature. So because there was a deal of what we mentioned, Rs.30 Crs last quarter is continuing for

this quarter itself. So that will be the carry forward deal which will get a benefit for this quarter.
Nemish Shah
And, three large deals that we signed this quarter or will that revenues also start going in from Q4, or has that already started?
Arun Jain
In terms of revenue, whatever the deal we signed last quarter has already been accounted for. So some, like some lag revenue, can be further accounted for in this quarter.
Nemish Shah
OK, are we anticipating some more deals to come in?
Arun Jain
It's good enough for a license. We are saying that around the same number is a good number for all of us.
Nemish Shah
Right. And one more point was that if I have just to see our destiny deal data that you provide. So, the average deal size has been constantly going up for us. From three years back if I have to see, it was around Rs.40 odd Crs, and now it has gone up to R s. 53 to 55 Crs. So, incrementally the deal size has been even more. So, is there anything to read into it, or is it just the natural price rise we are seeing?
Arun Jain
No, I think this is a more transformational deal. When the deal number of deals in a transformation space is there, the value of the average deal value goes up. So and because when the transformation happens. So, we are now participating with eMACH.ai in m ore recent transformational deals than we are participating in a smaller product deal. So, you have a very good observation, Nemish, on this average deal value. Very few investors are looking into this.
Nemish Shah
Right. OK, understood. Thank you. And all the best.

Praveen Malik
Thank you, Nemish. We have Mr Rohit Balakrishnan from ithoughtpms. Rohit, you are there?
Rohit Balakrishnan
Yes, Sir. Am I audible?
Praveen Malik
Please, go ahead.
Rohit Balakrishnan
Good evening, everybody, and happy New Year to all of you. Sir, I have a couple of questions. So you mentioned in your opening remarks that the journey towards Intellect 2.0 is over now with the traction you've been getting. So, you just probably share wha t kind of improvement in your strike rate of winning deals has happened in those geographies where you mentioned Europe and Eastern Europe or the Middle East? And if you can, also talk about our investments in the US and the Americas in general, Canada and with iGTB and iGCB. Next, maybe eight to 10 quarters, how do you see that kind of the benefit of Intellect 2.0, the fruition of that in terms of yo

ur strike rate improving and also your investments in the US and
Canada? How do you see that improving? I remember in the la st probably five to six quarters back you talked about us getting to that 100 million quarterly run rate. We are still a bit away from that, so if you can, just maybe round it up and give us a view on that.
Arun Jain
So Rohit, maybe Manish, if you can bring it out, that's what is the win rate, what is the impact happening in various countries since, as of now, Manish and Rajesh both are in Canada today. So, Manish, we just want to take this question on Rohit.
Manish Maakan
Sure, Arun. No, definitely the win rate is improving significantly. I think there are three things which I want to call out. I think Nemish said in the previous one. Because of our technology, eMACH.ai's recognition of it, the brand value consistently is g oing up. In each of these markets, if you see, we have six to 10 banks in each region. In some markets, we have eight out of the top 10 banks. So that brand recognition is growing. We have all known that as you move towards the leadership journey, everyone else wants to join that journey, and with stronger brand recognition, this is growing. Both Rajesh and I are sitting in Canada right now, and we were in the US before. There a lot is happening here where we need to add to the

distribution to get to be able to get the coverage. Hopefully, we can share a lot more over there in the coming quarters. Market movements are happening. A vacuum is created with some players having financial challenges and troubles and having legacy techn ology. So this is where with the technology investments we have done, we are looking forward to expanding on the distribution and replacing some of these players by working with a number of SI Partners. Both Rajesh and I have this whole week are having mul tiple discussions with four to five large system integrators, and some of them actually have also started tweeting on LinkedIn if you would see there or how they're excited by us coming into this market. So, I would say we are seeing good tailwinds. We nee d to capitalise on it by expanding distribution; the product maturity and strength are already recognised. In North America, already six of the top 10 banks work with Intellect and we should share something more soon.

Rohit Balakrishnan

Sure. So, that journey towards 100 million, what do you sort of see on a quarterly basis? How far do you think you guys are away from that? We have been talking about it for a while.

Manish Maakan

There are two things in your question. First of all, offsetting the GeM, which was a significant revenue, we are already saying that in quarter four, you will be able to offset and make it neutral. So that demonstrates the growth. I think the second thing Arun said consistently for the last 14 quarters, and the track record also shows we are continuing to say that we will design the business to grow around 20%. And we would want the financial profit to be between 25 to 30%. So take that as a guidance. We ha ve to rebuild a vacuum created by the account. We are sad to lose it, but from a financial perspective, you have seen already from a profitability perspective, it will improve the profitability.

Rohit Balakrishnan

Thank you very much, and all the very best.

Praveen Malik

Thank you, Rohit. Mr Mukul Varma once again wants to ask a question. Mukul, be brief. There are other people also. Please unmute Mukul.

Mukul Varma

Yes. Hello, Sir. I just wanted to know that I had looked at deals above Rs.50 Crs on the Destiny deal front. We have won all five deals that were put up, and Rs.30 to 50 Crs. also, we have lost one or two but on the lower deals, we have a loss ratio higher . So is it that on the higher

deal fronts, we have less competition, and we are getting more traction there, and on the lower deals, there is

price competition, and that's why we are losing? How should I focus?

Arun Jain

Good observation. I think our focus is there on Destiny deals. So, Rajesh and Manish, we all focus on those bigger deals, and we should do good learning from this data. Those mid -size deals need to get that same kind of attention. So, if you have not lost too many deals in a lower quadrant but have not, push that agenda. So I think that's where there's an opportunity for us to drive. higher push -on. because sometimes deals will get closed when you sit next face to face with the customer, and that bandwidth becomes an issue to sit in front of the customer. So we are using that bandwidth for between Rs.30 to 50 Crs bracket, more than we are using in less than Rs.20 Crs bracket. We need to spend that time.

Mukul Varma

And Sir, since now, we do not have GeM with us. So, is the team handling the GeM function put to a different use? We have like done away with them and how does it? Because you opened an office in Gift City as well.

Arun Jain

That's right. So, this team is working on the same need we are experiencing in direct -to-corporate and procure -to-pay areas because corporate procurement portals are also not there. So, we have looked at the market and government procurement portal outside India, and state governments are also looking at the state portal. So those are the places where this current team is because the technical team was not that big, and the other Operations team was larger, which was outsourced anyway. So, we have let go of the team. The technical team is working on direct -to-corporate as a fourth LOB, which will take some two years to shape up in this area. The two products which are there are APX and CPX. APX is Account Payable eXchange, which is a Magic Invoice end -to-end processing. CPX is Corporate Procurement, and GPX is Government Procurement. So, these three product lines will be built up by this team right now.

Mukul Varma

Thank you, Sir. Yeah.

Manish Maakan
Adding to what you said, Mukul called out that in the Gift City, we are opening up our AI Center, which you called out in your question. That's where the excitement is going forward. Through Gift City, we will be distributing our AI products.
Mukul Varma
Great, Sir. All the best. Thank you.
Praveen Malik
Thanks, Mukul. I request anybody who wants to ask the question to click the raise your hand button. As of now, I think Ravi wants to ask one more question. Ravi, please quickly ask.
IT Person
Ravi, you can unmute yourself and ask the question.
Arun Jain
OK, so if there's no question, I think Rajesh, if you want just to brief about the part?
Praveen Malik
We now have Mr. Chinmay Nema from Prescient Capital. Chinmay, in case you are there, please unmute yourself and ask a question.
Chinmay Nema
Hi, Sir. Good evening, and thank you for the opportunity. Could you share the total number of deals in core banking software for the nine months?
Arun Jain
Rajesh, would you like to share on core banking? Take some colour also on core banking; how is the market evolving? What is the competition involving?
Rajesh Saxena
Sure. So, I think, from a market perspective, we are seeing some traction in core banking transformation deals. We are seeing many more opportunities come up. And in the markets we operate, we see some good opportunities coming up. I think last quarter we worked on this deal for more than two years last quarter, and this is the OTP deal we announced last

quarter. As was mentioned earlier, right now, it's a two -country core banking lending complete digital transformation, but it has the potential of being a 12 -country rollout. So that itself is, for us, a very large deal. Let me talk briefly about competiti on and how we went through this process. So, it was a very rigorous process that we went through. We started w

ith a long list of about 21 vendors called for this. And from 21 vendors, they shortlisted to three. The last three vendors were Temenos, Thought Machine and Intellect. Through a very rigorous POC process, the demo process, functionality, and demo process perspective, we could cross the line against Temenos and Thought Machine. So that's something that we are seeing. We see in certain markets, mostl y Temenos and Thought Machine and Intellect, in the final three. Some we win. Some of our competitors win. We also saw some very good traction in the Pacific islands. We actually, in the last nine months, have announced three large core banking deal transf ormations. There we have won most of these deals against Oracle Flexcube. So, very good traction. What is really happening in the market is architecture becoming a very important consideration, and the kind of work that we have done in the last six quarter s, especially on eMACH.ai, where now our APIs are very fine -tuned, we have very good microservices, documentation etc. is really helping us in this process. In most of these markets, Temenos and Thought Machine are spending much more marketing dollars than we are spending, and they have a head start from a brand recognition perspective. But despite that, Intellect comes in and is able to win deals against them. I think is creditworthy. It talks about our architecture. It talks about the good investments we have made, and it also talks about well about our people. So I think all factors are coming together from a tailwind perspective, and that's why I think Arun mentioned that we are seeing good traction from a core banking transformation perspective.
Arun Jain
In nine months, we would have won seven deals in core banking, Rajesh?
Rajesh Saxena
Yeah, I don't remember, but I think it's either seven or eight deals we have won.
Chinmay Nema
Thank you, Sir, that was really helpful. If I could quickly ask one more question. I just wanted

to understand. So, from what I understand, there are two types of core banking software. One addresses larger banks which have CASA accounts, and there is othe r software which caters to NBFCs which do not have any retail customers and CASA accounts and any liability franchisee. So, I just want to understand that our software caters to the first category, right?

Arun Jain
That’s right. Yeah.
Chinmay Nema
Thank you so much.
Praveen Malik
Thank you, Chinmay. Next, we have Mr Rahul Jain from Dolat Capital. Rahul, please unmute yourself and ask a question.
Rahut Jain
Yeah, I hope I'm audible.
Praveen Malik
Yeah. Please go on.
Rahul Jain
Yeah, firstly, you know, just to understand what kind of fixed cost saving we would have from Q3 going into Q4 that we may not incur because of this termination of the contract and also any headcount -related saving that you just alluded to some time back.
Arun Jain
Actually, it's part of the margin improvement, so I'm not too specifically looking at the quantum of the amount. It's about overall. There will be a reduction in the total cost, which is currently Rs.503 Crs. The reduction from that cost in the Q4.
Rahul Jain
OK. Then, moving to my second question, what kind of pipeline do you see on the implementation side of the business? Because if you see it, LTM basis or license growth has been around 20%, but the implementation pace is around 6% to 7%. So, what is causing this and is that a good tailwind going into next fiscal?

Arun Jain
That's a good sign. So we are implementing it at a lower cost to the customer. So, it is an edge where you would like to see that implementation cost decrease. So, it's a competitive edge if implementation costs are lower because it will deliver faster at a lower cost.
Rahul Jain
So are you trying to say that we don't carry any extra pipeline from the wins that we already have, and it's a n

ormal scene of the run rate of win and implementation which is going on?
It's just that maybe the third -party component or the total value of th e implementation in the deal value has reduced, which is causing this disparity between the growth of the two items.
Arun Jain
There's no disparity. I think implementation revenues are not growing at the same pace as license and AMC revenues are growing. So that's a conscious decision on looking at it on implementation revenues on my license link revenue is improving.
Rahul Jain
Got it. I think Manish wanted to add something.
Manish Maakan
Two things: one license and license -linked revenue are growing. You are transparently seeing that. Second, with the eMACH.ai technology, you are seeing our efforts to implement or reduce where we are giving the margin. We will be helping the customers exec ute faster, which we have also shown in the track record. I think the third equally important aspect is that you're seeing our wins quarter on quarter are increasing. That means the forward order book is there for implementation. It doesn't mean a forward order book for implementation is gone.
Rahul Jain
Yeah, I mean, that's the last line which I was actually looking for. Thank you for that.
Manish Maakan
As we sign more, more is coming through.

Rahul Jain
I mean, future, of course, yes. But also, for the recent past traction, something must be set to be executed.
Manish Maakan
We have just announced these three large deals, if you see them today, with Indian Bank, with the Bank in Kuwait and OTP Bank, they're fairly large size deals. So, there are fairly large implementations in them.
Rahul Jain
Got it. Thank you, and best of luck for the time.
Praveen Malik
Thank you, Rahul. Next, we have Mr Vivek Kumar from BestPals. Ask your question.
Vivek Kumar
Am I audible, Sir?
Praveen Malik
Yeah, Vivek. Please go on.
Vivek Kumar
Arun Ji, can you elaborate on the partnership, especially with Microsoft? Last year, we spoke about the consumerisation of corporate banking and how we will take it up. So, what is the status there or how how is it shaping up?
Arun Jain
Manish?
Manish Maakan
Microsoft and Accenture - these two partnerships are going very strong. There are a number of things I shared and announced with Microsoft that are jointly investing for us to build our iGTB Co -pilot, which is the assisted AI user journey where we're worki ng on a number of POCs. Along with Accenture, we have won a joint deal in Asia, which is going through implementation and is getting templatised along with them. Early this week, I was along with

them, and we are putting a template out to take that forward. So, these two partnerships are showing us good positive signs and a good funnel with them right now. We are also nurturing along with a couple of other larger SIs. So the brand is getting recogn ised, people are actually inviting us and calling Rajesh and I are sitting in Canada where another large system integrator invited us to take certain offerings into the market. So these are positive signs. You will continue to hear about this in Calendar 2 4 a lot more.
Vivek Kumar
Thank you, Manish.
Praveen Malik
Any other questions? Just in case you want to ask a question?
Arun Jain
We can close the call if there's no more question, Praveen.
Praveen Malik
No more questions.
Arun Jain
So, thank you very much for attending the call.
Praveen Malik
Thank you very much for attending our call. In case anything else is there, please do write to us. If any questions are follow -up questions, we will be replying to you. Thank you for attending today's call.

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Call: May 2024

Intellect/SEC/ 2024 -25 May 16, 2024

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.
Scrip Symbo l :
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir /Madam ,

Sub: Regulation 30 and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regul ations 2015 – Disclosure of Transcript of the Investors' Concall

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on May 09, 2024 for the 4th quarter and financial year ended 2023-24.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited ,

V V Naresh
Compan y Secretary and Compliance Officer

Encl: As above

Q4 & FY 2023 -24
Investor Earnings Call Transcript

Praveen Malik:
Greetings and welcome everyone!

Thank you for joining us today to discuss Intellect Design Arena Limited's financial results for the fourth quarter of the fiscal year 2023 -24, ending 31st March 2024 and the full year of 2023 -24. The investor presentation and press release have been sent to you and are also available on our website. Our leadership team is present on this call to discuss the result. We have with us today Mr Arun Jain, Chairman and Managing Director, Mr. Manish Maakan, CEO of iGTB, Mr Rajesh Saxena, CEO of iGCB, Mr Banesh Pr abhu, CEO of IntellectAI, and Ms. Vasudha Subramaniam, CFO. Besides, some other senior members of the Intellect Management team are present in the call.
Now, I hand it over to Vasudha to take you through the financials, and later, Mr. Arun Jain will give his comments on the same. This will be followed by a Q&A session, where the senior members of our management team will reply to your questions. Once the Q&A starts, you can ask a question by clicking on raise your hand, and we will unmute you so that ever ybody is able to listen to you.
One safe harbour, I want to remind you that anything we say that refers to our outlook for the future is a forward -looking statement. This must be read in conjunction with the risk the company faces.
With this, I request Va sudha to give you a brief.
Over to Vasudha.
Vasudha Subramanian
Thank you, Praveen! Good evening, everyone!

It's a pleasure to be before you as we enter the 10th year of innovation, growth and resilience. Your continued support is invaluable as we navig ate the dynamic landscape of the Fintech industry. Let me delve into the numbers to share our progress and financial insights.
Our Q4 revenue stood at Rs. 612 Crs., and excluding GeM, it was Rs. 603 Crs. We made an EBITDA of

Rs. 137 Crs. and Rs. 155 Crs. without GeM. Our margins for Q4 would have been higher by 18 Crs. without GeM. Our Days Sales Outstanding (DSO) were 122 for Q4, and without GeM, we are in the less than 100 -day range on the DSO. On the cash front, we collected Rs. 570 Crs. during the quar ter and had a cash balance of Rs. 776 Crs. as of 31 March 24.

I would now like to take you through the full -year metrics. We recorded a revenue of Rs.2,513 Crs. for the year 2023 -24, generating an EBIT DA of 549 Crs. and a PAT of 334 Crs. This PAT is without considering the one -off exceptional item relating to MAT credit write -off of Rs. 12.5 Crs.. Cash collection during the year had crossed Rs.2,300 Crs. We won 52 deals during the year and have gone live on 54 digital tr ansformational projects.

Let me now share our last 12 months' metrics, which give a comprehensive view of trends and

our

sustained performance over a longer period. The growth in the LTM revenue compounded annually for three years is 19%. The YoY growth i n LTM revenue was 12% and excluding GeM, it remained at 14%. Similarly, the three -year CAGR for EBITDA was 15%. The YoY growth in LTM EBITDA was 22%, while it was 27%, excluding GeM. It is important to note that our YoY growth in LTM of PBT was 27%, includ ing GeM.

Over the year, as we close Q4, our funnel size has improved from Rs7000 Crs. in Q 4FY2 3 to Rs 8000 Crs. in Q4, and we see consistent growth in our big -ticket deals which we call Destiny Deals. During the year, we were deeply involved in many globa l events in Toronto, Amsterdam, London, Paris, Dubai and Nairobi. beside others. We commence the year 2024 -25 having 300 plus global experts within Intellect coming together to converge on ideas and innovation.

As part of the eMACH.ai Summit, we had a seri es of structured sessions. These helped us sharpen our thinking and expand the customer canvas, country canvas, product, canvas, and distribution canvas.

With this, I'm handing over to our Chairman, who will provide a lot more insight into business perfor mance and growth journey.

Thank you.

Arun Jain

OK, so the quarter that you are looking at is accelerated by eMACH.ai. So, we are speaking about eMACH.ai from the last four quarters. It's gaining momentum because of first principle s thinking about what we have brought in as one of the most disruptive technologies in the financial space. There are still many deals, which increasing the pipeline, translating into revenue. So number wise , we were designing the business for 20% growth, we achieved 14% without GeM. So there's a shortfall from that perspective on the expectation between 20% of what we had designed, and this time it's 14%, and that's where some of the delayed deals or carry forward deals are coming into the picture. But if you look at the pattern of new deal sign -up, which is accelerating, one is on the pas t total number, but also 8 deals wins in North America. So this is one important point. During last year at the annual board meeting, I was discussing that we hav e to emphasise on North America

As such North America has started giving some results in a single quarter. Eight deal wins out of which six deal wins are in AI business is a credible performance of North America. It has both areas, so one is on the CBX deal around digital Contextual Ba nking eXperience deals and AI deals. So these are two main lines of business, which eMACH.ai's driving the growth, one is digital growth, and second is my AI growth. So, composable and contextual growth are both the places where we are finding the outcome over there.

Then there is one large deal in Europe on core banking, which is very important after OTP, the momentum of core banking is continuing in Europe. We announced OTP last quarter; this quarter, another bank - Vakif Bank was announced and then tw o deal wins, in the Middle East and Africa, which is around the DTB platform, which is again continuing the momentum of DTB leadership.

There are three DTB deals in India now and there were one or two deals postponed for next quarter. So there are three de als. All are DTB deal wins over the last quarter ..

Then, there were two deal wins in APAC and ANZ. One deal is in Vietnam, and the second deal is in ANZ. There are two large deals which are signed up in APAC. So it's a very balanced model, and beauty of t he model of expanding into so many countries is to create a basic foundation on which we can grow the business YoY. And for some of the deals which are announced this time , we have shared their asset size in the deals to indicate the size of the bank. So they are choosing the right enterprise grade software.

During the board meeting, we had a lot of presentations on Security, Risk Management, and enterprise -grade software in a new world becau

se there are a lot of moving parts which are there on
security, on the cloud, on open sourcing. The biggest challenge is ensuring that it's safe for the bank to run on that platform, and technology becomes a critical edge. So we are finding people running a lot of legacy systems are getting some regulatory notices because of the weakness of the basic architecture where the data leakages happens because of that structure. Today we have these deal wins based on almost 42 elements in cloud management alone. There are close to 40 + elements in security alone. So often when you ask whether fintech can compete with us or what is t he role of you and fintech. I think the cost of managing a continuous open banking platform in terms of Level 1, Level 2, Level 3 Security has gone up so high the bank risks are multiplying though it's giving an easiness for operating. But managing the ri sk becomes substantially large and these deals, which I'm talking about - 16 deals - they have gone through the scrutiny - of almost close to 150 architects - before they have signed a deal with us. On one side we say fintech is a competition; on anot her side we are finding fintech is finding more difficult to win the enterprise gate deal, and they are getting pocketed into the small area for driving the business growth.
Going to the next slide, this is a Gartner, DATOS, and private bankers. So I thin k this entire report is on compos able technology. Intellect is getting a big traction with all the analysts. It is not about just the product that they're looking at. They are looking at the architectural strength of the product, the decomposition of micro services, the decomposition of APIs, and the zip -coding of API so that it can be reused. So we don't create a forest of APIs within the banking system, resulting in the Intellect pipeline going up quarter on quarter.

We started the year with Rs 7000 Crs. We are ending the year with Rs. 8200 crore.
If you look at it, the number of deals has moved from 70 Destiny deals to 84. And the details of the deals are in the next slide - deal win accounting is over here. I'm not getting into each of them. One important point is that we have three wins in that area o f greater than Rs. 50 crore deals in this quarter. We lost one large deal because of the political environment between India and Canada. The rest of the deals are fine as far as the proper traction is c oncerned.
The company is paying ■3.5 per share as a dividend, which is 70% - higher than last year's Rs.2.5 per share. This time, the board decided to have ■3.5 per share.
To expand the Procurement space after GeM, we have learnt that we have to move to applying AI technologies and composable technology, Turmeric and AI. I combined them together and launched them for banking systems to large corporates and governments where there is a need for a procurement system. The major competition is Ariba, which i s quite expensive for many markets.
And we were able to build it in just six months.
The team was able to build up three products. They are,
- Corporate Procurement eXchange (iCPX)
- Government Procurement eXchange (iGPX)
- Accounts Payable eXchange (iAPX)
They are AI -based products and digital -based products. We have already signed 2 deals in CPX space this month and one deal in APX space. We have started evaluating two proposals in GPX space, which is Government Procurement. So the team which was released from GeM is now getting into proper profitable business; whatever the learning we got - where you have seen the number s with GeM and without GeM, it is getting to the profitable business whenever we will be signing the deals over there. They may have an investment period of another two or three quarters , but after that, it may result in a good traction.
Another important point which I want to mention is this following picture which you are seeing - eMACH.ai Summit.

This is the power of Intellect. 300 l eaders from 31 countries, 2 Boot Camps, 1
purpose it's the largest congregation. For nine days, the leadership team started beginning the year with a new agenda of eMACH.ai to become the disruptive platform for the world. Every one of the leader have gone through the two boot camps of three days each. One is on AI, the Purple Fabric, and second Boot camp is on iTurmeric.
The workshop was organized in three spaces: i) Organizing the Thinking Space, ii) Expanding the Performance Space, and iii)Impacting the Business Outcome. So, 300 people when we brought them together, we needed to come up with the common thinking space where we look at it, how do we disrupt the world. Then you expand by simplifying the process and systems, expanding the performance space b y frameworks and then impacting the business outcome.

As I mentioned, the two Boot Camps and the main Summit event were held. So three days, three days, three days each .
Over here, the iTurmeric MACH composable technology boot camp was very, very inter esting. So in both sessions it's a hands -on session where the ease of the platform got demonstrated by simplifying the system so much that a sales head of the UK and sales head of Australia could build up a loan repayment API and a UX screen by themselves after two days of workshop. So that was proof

that these two platforms, Purple Fabric platform and iTurmeric, can reduce the cycle time and the efforts to disrupt the market.
The eMACH.ai world is changing the paradigm from product -centric organizations' to customer -desirability products, from coding to composing and from enterprise -siloed knowledge to enterprise -connected intelligence. We are contributing in four different ways. We are participating in deals transforming the enterprise in the Core Bankin g, Lending, Wealth, Payment, DTB, Cards, Treasury, Trade, Supply Chain Finance, Custody, iGPX and iCPX. This could be a complete deal of transformation. We are using AI to transform bank operations. We transform experience using Relationship Manager Office , Corporate, SME, and Retail Banking eXchange, the Contextual eXchange (CBX). We can also expand the bank's capability by helping them with the One Origination platform, Customer Onboarding platform, Virtual Accounting platform, Accounts Payable platform, and Corporate Procurement platforms. So, my sales team is leveraging our systems in four different ways. We are leveraging three growth levers around Customer Canvas. Today, we have a rich set of top 50 accounts on which we have focused our attention to gr owing those accounts. They are the leaders in their geography. Magnificent 7, Expand 18, and Focus 36 are the three agenda points we are driving on Customer Canvas. Then, we are deepening country coverage wherever we are present. We have chosen 11 countrie s where we want to deepen our country coverage, while the rest of the countries we want to work through the partners, and then, to choose the right product proposition and grow across the country and customers. So this year, the focus is on clients, so go with more products. So GCB products should go to GTB clients, and vice versa, or AI should go to all the GCB and GTB products. So that's the approach for growth opportunities. These are a few glimpses of the Global eMACH.ai Summit 2024, which we had for th ree days.
We spent a lot of time in global events and launching eMACH.ai. You might have seen in the LinkedIn we had an event in Dubai, Paris, and London, eMACH.ai and Intellect Design Thinking Residential Programmed for Exponential Growth in India and eM ACH.ai Design Thinking for Digital Enterprise in Dhaka, and we are going country by country. I'm travelling to London again next week, New York and Canada. So every week there is an agenda for launching this. There's a large traction on global events on Si bos, iGTB Oxford, Money 20/20, and GTR. So, there is

big traction in creating
awareness of eMACH.ai.

Next is the Sustainability agenda. So, we are looking at Sustainability as a core value. Last year, we published the first Sustainability Report. T his year, the sustainability agenda is moving to the next level. Our campus has been a zero -discharge campus for the last one year. No single waste item is going out of the campus as a waste. We recycle or reuse all our water, food, and other waste. And there are almost 15 initiatives in sustainability that are happening, from social transformation to employee sustainability awareness to employee participation. We had a Sustainability week in February, where 5000 employees formally took a Sustainability ple dge, in a formal manner - So we are using the GRI and BRSR frameworks for sustainability
So the se are a lot of exciting time for all of us. All three CEOs, Banesh, Manish and Rajesh, are on the call. Fortunately, Manish is now travelling to Chennai to be at the headquarters. We can now open the platform for questions and answers.
Manish
Praveen, you can open up for answers to questions.
Praveen Malik
Yes. If you want to ask a question, please click raise your hand. First, we have Mr Vivek Turaga from Bestp al .
Vivek Turaga
Hi Sir, are you able to hear me, Sir? Am I audible?
Praveen Malik
Yes. Please go ahead.
Vivek Turaga
Thanks for the opportunity. Sir, aren't you saying it's palpably exciting in your press release? So, if you can guide us about the next year's growth in terms of because during the last from the time you're listed till today, one consistently right thing is your sales guidance even though margins because of the investments or something like GeM going away or something like Ukraine war comi ng. So, even though margins are cloudy, you invest in eMACH.ai. Even though margins and PAT didn't go according to our trajectory sales, at least every 2 -3 years, your sales guidance was perfect. So, can you guide us because you say this is Intellect 3.0 and now I'm not the one to say whether all the investments are done, but eMACH.ai and investments are primarily a large part is done. Can you throw light on whether they'll be accelerated in sales growth, which can lead to huge operating leverage, and we c an see that in both PAT and margins grow in a sustainable ways? This is my first

question.

Arun Jain
Yeah. There are two kinds of growth we are measuring right now. In the AI platform, the growth of the penetration in the accounts will be significant, like six account deal s within the last quarter. The translation into financial numbers will be smaller because those AI deals will use platforms. Financial numbers versus deal numbers will have a different kind of correlation. However, deepening those Dest iny deals will help sustain the growth momentum. Second is what you are looking at and how you provide operating leverage. Operating leverage is happening. We see that in the last Quarter , we need to see GeM to go down the numbers. So last quarter, when we discussed the numbers, almost 70 Crs in revenue went away, which was filled by the 7% sequential growth from quarter to quarter from last quarter to this quarter. So, looking at the guidance right now, we a re still navigating it. We have designed the company for 20% growth. But looking at the total IT industry going towards a slowdown from the perspective of all the count ry players, we are still dwelling on whether excluding GeM guidance, if I remove the GeM revenue from the $303 million revenue around $30 million, it's around $273 Mn revenue - on that base number around 15% guidance could be there.
Vivek Turaga
It's for the whole year next year. Right?
Arun Jain
For the whole year. It may not be quarterly b alanced across the whole year, but an entire year can be.
Vivek Turaga
And over the next 2 -3 years, you are confident of 15 to 20%.
Arun Jain
The 20% is

a designed element. But it can sometimes be 25%. That's the way Ups and downs can happen. Last year, we lost three big deals that could have transformed the landscape. One is with one of the largest banks in India. They have gone for a very small company. Second is one large deal in Canada, and third is another deal in Europe. If these deals had come, we co uld have been a very different -looking company, and these deals are in the range of $100 million plus. We signed one OTP for $100 million plus, but there are two more deals, $100 million plus, which we just lost because of political reasons where we were almost there.

Vivek Turaga
The second question is, in the last two quarters back, you said three white moments are in terms of core banking in terms of digital core banking and then BaaS in terms of GTB and AI. So you can elaborate on how these three wh ite moments are and how confident we are about winning deals and any competition? And in core banking, where are we now and are we winning? Are we more confident of winning? So if you get these three white moments, you mentioned three quarters back, if you 're in more.
Arun Jain
Yeah, all three are perfect on the dot. What kind of start can Manish make, then?
Manish Maakan
I got them all of that. You would have seen all three we form the moat after doing OTP. VakifBank was another big European transformation . In AI, Arun already talked of the six deals, and we have two deals on BaaS, one in the US and one in Australia. So, expanding out multiple of these sub -accounting platforms, all three patterns have happened.
Arun Jain
Rajesh, do you want to cover?
Rajesh Saxena
Yeah. Specifically, let me talk about core banking. From a core banking perspective, the last year was very good. We closed many deals. We closed over eight core banking transformation deals in the previous year. And as I look at the pipeline, it c ontinues to be very good. It's a deep pipeline. We are in multiple stages, and what we are also seeing from a core banking perspective, we talked about this as eMACH.ai. We are now getting called by large tier -one players, regional players, etc, which is also putting pressure on us from a pre -sales perspective. But we see that graduation is how we get into more significant destiny deals. In the core banking field, if you study right now, there are many opportunities, and we are well poised to take advantage of them.
Vivek Turaga

You just mentioned that you lost a 100 Mn$ deal with a bank in India. So, what is the reason? Is it just because of competition, or are you seeing any trend that you want to highlight?
Arun Jain
In India, it was less than $100 million. It was a $50 million size of the bank because of low cost and low pricing by the competition. Very low pricing.

Vivek Turaga
Overall, we are confident of 20% over the three years, given that most investments have been made in products and platforms. Can I take it?
Arun Jain
Yeah, but more investment will be required in AI right now. We are finding significant traction in the Purple Fabric I'm mentioning with the generative AI. We buil t Purple Fabric, the platform w here we bring five different knowledge banks, knowledge vaults, or knowledge repositories to create a connected intelligence enterprise level. We are talking to all the big five consulting firms to look at how to deliver expert agents and co -pilots on top of AI. We may require another investment, like last 2 year, which was from Rs.140 Crs. From Rs. 120.Crs.. So, our investment bucket is $20 million. The investments may vary from Rs.160 Crs. to Rs.165 Crs. for the coming year. For that, it's not a significa nt investment. From that perspective, it's just a 20 Crs., Rs.25 Crs. more investment. Other products are ready to go to market. So, operating leverage can start this year.
Vivek Turaga
Sorry, Arun Ji. I'm pressing all this because now that you hav

e starte d investing in distribution and
partnering with many system integrators, I was expecting to be more confident in our goal. So that is why I was just pressing on this.
Arun Jain
We all love it. But let's wait.
Manish Maakan
We will take the system integrato r route to start kicking in. We have had a few wins this year, and they need to feel confident once we deliver it. In a 12 to18 -month period, the indirect distribution will suddenly start adding significantly over there. That's the right journey we have be gun.
Arun Jain
I'm meeting the CEOs of all the SIs. So now they're coming to us, which was the reverse way. So that wheel has rotated. How it will translate into numbers? Sinc e this investor conference is not a business plan conference, we are cautious abo ut it.
Vivek Turaga
Thank you, Arun Ji. Thank you very much.
Arun Jain
Who's next?

Nachu Nagappan
Let's ask Rahul Jain the question, please. Can you unmute Rahul Jain, please? Rahul, you can ask that question.
Rahul Jain
Hi Sir. Can you hear me?
Praveen Malik
Yes, Rahul, we can hear you.
Rahul Jain
Yes. So, one clarification to start with. When we said 15% guidance, is that what I heard? Is it on the adjusted basis for our revenue or GeM this year? Or is this on the reported basis we expect to deliver for fiscal 25?
Arun Jain
Adjusted basis, I mentioned clearly 273 Mn.
Rahul Jain
Can you hear me?
Nachu Nagappan
Yes, it's better now.
Rahul Jain
Do you want me to repeat the question?
Arun Jain
I mentioned the answer is that it's on an -adjusted basis.
Rahul Jain
Yeah. Sorry, I could not hear. Secondly, in this quarter, when we see the suggested work that you have shared, the kinds of implied in the 9 Crs revenue that would have come from them in this

quarter also, and there is a 27 Crs like -for-like cost. How should my computation shape up if it is right? Or will this line now, give or take, a minimal number going forward? This 27 Crs worth of cost can be repurposed in the subsequent quarter. How, when, how and when are we going to take the benefit out of this ?

Arun Jain
This Rs.9 Crs. of GEM additional revenue was a backlog of some CR s booked in the last quarter. So, whatever we completed until December, those billings happened during Q4. So that's the only backlog, nothing future -related.
Rahul Jain
And this 27 Crs cost that we are saying can the same cost be repurposed for other projects, or how long do we expect it to take?
Arun Jain
Yeah. This 27 Crs cost, which has been iGPX and iCPX, what we are launching, is directed towards that, and they have a good plan to look at it in the next two quarters to start generating revenue over there.
Rahul Jain
OK. Right. And just one last bit on the GeM: We will view the market you highlighted about the macro thing. But so far, we have observed that the pain in this software industry is not as huge as in the services business . Is there some kind of adoption curve that is now taking shape, supporting the momentum and ensuring growth continues for this fiscal year and beyond? Or is it too early to conclude that th ought?
Arun Jain
This growth is coming from the pipeline, the funnel through which we have the 80 plus Destiny deals. So that's the reason for the growth numbers more than any market scenario; this is a more grounded basis.
Rahul Jain
So, basically, you ar e attributing this to strong execution, which we are able to continue. We should be able to deliver this.
Arun Jain
Sure.
Rahul Jain
OK, great, Sir. Thank you so much. That's it from my side.
Arun Jain
Thank you.

Praveen Malik
Thank you, Rahul. Next, we h ave Mohit Jain. Mohit, please ask the question.
Mohit Jain
Yeah, Sir. Congratulations. This is a reasonable quarter. So, I first saw you have announced eight deals in the US, but eMACH.ai had its first win there. So, what are your plans for the US? Then, I hav

e
two follow -ups on Gem
Arun Jain
So, Banesh, would you like to answer about the six deals you won, the traction in the US on them, and your AI space in the US?
Mohit Jain
Also, can you talk about whether core banking is going there or if there are some other products you will offer beyond insurance?
Arun Jain
Yeah, sure. We will come to that. Let's hear about AI, and then we hear that our CBX product in Canada and the US is the second product line here. I'll ask Rajesh or Manish to discuss the Canad ian market, where we are getting momentum in North America.
Banesh Prabhu
Yeah, so just to update you, Mohit, I think the fact that intellect AI very early had adopted an AI -first approach to our businesses on the insurance side is now building a good pipe line; I think we've done six deals, we've got an excellent pipeline to complete over there, and we have quite a few contracts out there, it does take time to close some of these contracts. But we are well in progress with quite a few deals as we speak. Cl early, you know, I don't need to, sort of everybody is aware of the activity taking place in the AI Space, and I think some of what we've done as investments over the last few years on AI is actually resulted in a very good platform that Arun has already t alked about which is giving us the connected intelligence from an enterprise perspective which is quite unique and I think a lot of the product focus now would be to start leveraging those capabilities for our clients in across the Intellect businesses in you know, both GTB and in the GCB business lines. So a pretty good

pipeline for the insurance businesses is coming, you know, coming over the next few quarters. Similarly, we have closed out some good wealth deals, but, they under contracting, and they are quite significant, so hopefully we'll get traction on that too. Again, we bring a lot of, you know, AI capabilities for wealth advisers in the market so I think we expect that to also do well in the next few quarters here.

Mohit Jain
Okay, so this was through a partner, the eMACH.ai? Or was it through our own sales team?
Banesh Prabhu
We have our own team, at least for insurance, but we have a very strong relationship with both the large cloud providers in the US.
Mohit Jain
Great. The second was relate d to GeM now we have given EX GeM numbers for the first time so the recurring margin is whatever you have shown in Q4 now that is the new normal for intellect? Or should we take it at 25, 26% is what you're looking at?
Arun Jain
You are calculating very qu ickly EX GeM number but I think 23/24% because some investment will be required so around 24% numbers we are looking around.

Mohit Jain

Around 24?
Arun Jain
Yeah.
Mohit Jain
Okay and Sir your tax rate now that we have this exceptional item and I assume you have moved to the new regime so now should we assume 25% as the standard tax rate going forward?
Arun Jain
Yeah
Vasudha Subramaniam
The ETR across the globe will be 23%, for India it's 25% so we'll optimize it to 23% at a consolidated level.
Mohit Jain
Right. And last ma'am, last on receivable days you have also given DSO now that's the new DSO number for Intellect or should we read going forward because I'm assuming from 1Q numbers will be EX GeM only?

Arun Jain

Yeah, so whatever the old pending is there in GeM, we will be reporting separately because there is a pending money sitting there. If you are looking at non -GeM business receivable will be less than 100.

Mohit Jain

89/90 I think you have reported.

Arun Jain

Yeah, 90 days, which is there.

Vasudha Subramaniam

You can take it as less than 100 days.

Arun Jain

Less than 100 days, definitely less than 100 days.

Mohit Jain
At the consolidated level?

Arun Jain

At the consolidated level.

Vasudha Subramaniam

Correct.

Arun Jain

But GeM, we w

ill keep it separate. We will park it separately to collect the money, which is taking its own time in the Government of India to collect.

Mohit Jain

So there is also DSO; I think this should get over in six months or something like that right

Arun Jain

If the Government pays on time and it's over in six months, logically, it should be over in six months. But you need to keep your fingers crossed.

Mohit Jain

Got it. Thank you Sir, all the best for 25.

Arun Jain

Yeah, thank you.

Praveen Malik

Thank you, Mohit Jain. Please I request everybody, in case you want to ask a question, please click 'raise your hand' please click raise your hand. As of now doesn't seem to be anybody. Any further question?

Arun Jain

That's a very good ne ws, I think we communicated well on the some more yeah four questions are there, yes please 3 more questions are there.

Praveen Malik

Next, we have Mr. Nemish Shah. Nemish, please ask your question.

Nemish Shah

Hi this is Nemish Shah from Emkay Inve stment Managers again I had one clarification with respect to GeM so if I just compare the Q3 numbers that we are provided with GeM and without GeM and compare the Q4 numbers, in Q3, we had a cost base of around 67 Crs. in GeM which has come down to about 27 Crs. in Q4 so just wanted to understand were we able to that redeploy cost of about Rs.40 Crs. So what is this 40 Crs. differential with respect to GeM if you can clarify?

Vasudha Subrahmaniam

In Q3, we also had GeM in the sense the GeM got ended only by mid of December so until such time we had GeM cost we had third party cost related to GeM and all so in Q4 we conservatively made some provisions for some of the cost. It's not a provision again st the doubtful debts but for some of the liquidated damages we made some provisions. So as it is in Q3 we had GeM at least till the end of December and that is the reason for difference.

Manish Maakan

He is asking how we redeployed 40 Crs.

Vasudha S ubrahmaniam

That’s what in GPX

Arun Jain

GPX

Nemish Shah

Okay so that was largely third -party outsourcing cost or that.

Vasudha Subrahmaniam

We had third -party sourcing, yes.

Nemish Shah

And these 27 Crs. —is there any third -party cost related to that or is that largely on our books?

Vasudha Subrahmaniam

27 Crs did not include any third party. It included some of the employee cost, so we retained them for redeployment so that cost is being included. and secondly we made some provision s on some liquidated damages, and because of which is what are, the ETR for the quarter is also little high because that’s been disallowed for the purpose of income tax and we also had some Capex related cost on account of GeM so all these three constitute d this Rs.27 Crs, there was no third party cost involved in this.

Nemish Shah

Okay, I got it. So, going forward, will not the entire Rs.27 Crs. continue, or will it be lower than that?

Vasudha Subrahmaniam

Yeah, it will be lower. We may make some i nvestments, but they will not be the entire amount.

Nemish Shah

Got it. That’s it from my side, thank you.

Praveen Malik

Thank you, Nemish. Next, we have Mr. Umang Shah from Banyan Tree Advisors
Umang, Please ask your question.

Umang Shah

Hi sir, am I audible?

Praveen Malik

Yeah, please go ahead.

Umang Shah

Sir, are we seeing any lower competitive intensity from Temenos, considering they have some issues that they need to look at on the AR side?

Rajesh Saxena

So, actually it 's a very interesting and difficult question to answer but when we look at it from a market perspective, we are seeing Temenos still very much in the fray, so we have not seen that as if the intensity has got lost - this is from the ground market feedback.

Umang Shah

Right, sir. That's useful. Sir, in terms of T

hought Machine, I wanted to understand that Arun Sir made
some comments about how new -age Fintechs don't have the kind of security features that we do. Would you include Thought Machine in that, or would you say that at least, on the security front, all three firms are on the same level?

Arun Jain

Rajesh, you want to answer.

Rajesh Saxena

Yeah, please go ahead. I can add Arun.

Mr. Arun Jain

Thought Machine, as a framework so basically Thought Machine provides a framework to the bank, not a full core banking product as such so their strategy is slightly different from Temenos and Intel lect. Our strategy is to provide a full, complete domain -focused product, whereas on Thought Machine, a lot of things have to be worked out by the Implementation Partners. Hence, Implementation Partners make a lot of money on Thought Machine. Once they hav e to build the solution then they provide the partners, provide the security framework and other things on top of it. So, on the box on the cloud -ready product to be used, I think we have invested the money into that; in Thought Machine's case it's a cust omer who invests that money into them.

Umang Shah

Right Sir.

Rajesh Saxena

I was saying that I am going to echo the same point saying that Thought Machine is giving us a simple framework, and the framework either the Bank, IT team, or SI has to build on that framework, so if you really compare between Thought Machine and Intellec t, we come not only with the underlying eMACH.ai architecture but we build, we bring the deep domain, the banking domain and that's what set us very unique from Thought Machine.

Umang Shah

Very useful, Sir, thank you so much.

Praveen Malik

Thanks Umang. Next we have Mr. Mukul Verma from Verma Associates. Mukul, you there, Mukul are you there? Mukul left, actually.

Okay, Next, we have Nitin Sharma. Oh Mr mukul Varma is there

Mukul Varma

Am I audible?

Praveen Malik

Okay, please go ahead.

Mukul Varma

Good evening, Sir. I just wanted to check on the buyback front last time. When I read this question, you said that you are in discussions at the board level. Can we look at something on that front in the coming year? By this year's end, you w ill have in excess of 1000 Crs. cash on this.

Arun Jain

Once we are crossing 1000 Crs. then definitely we can look at it. We should be, as you are guessing the right number.

Mukul Varma

Another thing with the RBI getting very harsh on Kotak Bank, PayTm and other Banking Institutions for want of Technology spen d because of their business going up and the technology is not commensurate with the software they us e, so how do you look at it? How does that kind of generate more business for us, or is it some they will have to go back to their existing vendor to set this right I heard the con -call of Kotak bank where they said they are already investing 1700 Crs. in Te chnology and they are going to invest much -more to get things on track to start online onboarding through their 811 and credit card, so does it help you.

Arun Jain

I appreciate you are reading the right news from the system and, if you heard in the be ginning, I mentioned some leakages in the old systems. Hence, it’s like an old building legacy application is like old Bombay buildings or old Delhi buildings where leakages happen from somewhere. Now, to fix those leakages, either you refresh, or you fix them by the quick and dirty fix tools. Logically, these two incidents happened in India; there are more incidents that are bound to happen in US and Europe. Then only I will think the people will pay attention to the legacy migration, accelerate the legacy migration... still people are not fully believing it into what the new security standards of the world are and it will take another… I would say another 12 to 18 months to understa

nd that legacy
core and legacy lending platforms are fundamentally built on the technology by hollowing the code, by doing patchworks. It's not going to solve the problem; you need to go to the first principle thinking of understanding what customer events are, what services bank is providing them, and what APIs do they need. Tod ay, they are getting into very, very quick and dirty fixes. Indian banks are still saying that the cost of technology ,the RFP , still they are not understanding the difference between what enterprise grade software means for banking. So, we’re facing thos e troubles to communicate the story of what enterprise grade solutions mean to the banks and why banks require enterprise -grade software of that nature with almost so many grades and, so much investment are required. Very few…, we are investing close to a thousand people in R&D each year. A thousand people in R&D, I am mentioning to some US person, is at $100K per R&D cost, it’s a $200 Million per year cost compared to any other vendor in America or Europe. Which company can,

that's a huge number for us to invest into making the enterprise grade software. But people are still on the sidelines not in the Centre of the stage, to make an impact, but it will come somewhere, sometime.

Mukul Varma

Got it Sir. Thank you, Thank you. All the best.

Praveen Mali k

Thank you, Mukul. In case you want to ask a question, please click to raise your hand. We have Mr Nitin Sharma from MC Pro Research. Nitin, you are there? Please ask a question, Nitin. Mr Nitin Sharma? It looks like he's not there and is not able to un mute. Mr Nitin Sharma, please ask a question.

Nitin Sharma

Hello, yeah, thank you. So, on your three new platforms, the APX, GPX, and CPX, you mentioned that discussions are ongoing. Help us understand whether these discussions focus only on the overseas market or the domestic market.

Mr Arun Jain

Just repeat the question.

Praveen Malik

Nitin, be a little louder.

Nitin Sharma

Yes, so are the discussions that you have mentioned focused only on the overseas market or also on the domestic market?

Mr Arun Jain

Yeah, they are starting from the Indian market and then going to the overseas market. GPX is focused on the overseas market as well and some of the Indian states are also looking for procurement solutions so that's marketed on. So now there i s a central Government portal, and there is a momentum of state Government also wanting a government procurement portal, but this time, we'll not be getting into the investment mode, we'll be selling the license. So we will be getting the money upfront fro m the government rather than using the partnership -sharing model with the government. In corporate procurement portal we are finding a large space of procurement in India as well as in Asia Pacific and Middle East before we jump into Europe and America. It 's the same strategy that we do for any other products. First, we used in India go to Asia nearby countries and then go to Europe and America. It's a 3 -year journey when we move in this direction.

Nitin Sharma

Understood, Thank you.

Praveen Malik

Ok Nitin?

Nitin Sharma

Yeah.

Praveen Malik

Thanks, Nitin, I think Vivek wants to ask some questions once again.

Arun Jain

Okay!

Praveen Malik

Vivek, unmute yourself.

Vivek

Arun Ji, am I audible?

Arun Jain

Yeah.

Vivek

Just you mentioned to the previous participant that clients are going for a band -aid solution. So if you can give qualitative, I am not asking about the growth rate and all but qualitative commentary on competitive intensity across the market and which pro ducts you think you people are ready to invest. You are more positive to drive growth over the next two -three years, because during the last con-call you mentioned the same thing that in India peo

ple are not really going for enterprise grade solutions. So if you can give us where you think our products will find acceptance and where the growth will come from and qualitative commentary with regards to how qualitative competitions shaping up across our products, across our products in the sense of at least wh atever you want to mention? Thanks.

Arun Jain

I think Europe is definitely a market which is very sensitive to architecture change, So when they are going through it, Rajesh mentioned an OTP deal; it took us 18 months 21 sessions of various architectural sessions before they selected us over Thought Machine. That rigor of selection, wherever they have a rigor of selection, we are getting selected. Whenever the rigour is based only on RFP based or rigor based on the pricing based, our referencability become weak from that perspective. Our win ratio in those areas and it's there in Europe, it's there in Canada, it's there in some portion of US, not all the US banks, but I would classify the US into two categories. One is architecturally focused, and the second is band -aid focused banks. You can see them differently, and there where they are looking architecture, they are looking AI, they are more exploratory, they can be looking at understanding the technology first, I would not say exploratory they are. Understanding the technology better, they invest in their strong architecture teams, and they select the solution. So the re are the virtual account system s in the US… one of the largest banks in US, and one of the top 20 banks in the US, they selected entire embedded financ e platform from us, they took us almost again 24 months to evaluate. So these are the long -cycle deals. Now we will have our fourth…this is our third of fourth deal in the US in embedded finance. And once we have three, four ..once we cross a hump of five deals in the US in embedded finance, then the acceleration will happen.

Vivek

So BaaS, who can see as our competitors? In BaaS…because you said that.

Manish Maakan

They are primarily local vendors over there who are single mono liners. We could advantage, we right now are able to establish is it's a part of a full corporate treasury enterprise platform, they could start with a point solution on just managing virtual accounts on how to manage the payables or receivables better… but a full treasur y needs a deposit product, a liquidity product, a receivable product… so the architecture validation through some of these are happening and once you break through and win with these through architecture, really then the competition eliminates. Because it's all legacy in the US like all of us know.

Vivek

So you over next few years you see this band -aid things, people having some, people realising that they have to invest in enterprise and anything that you think will force them.

Manish Maakan
I think th ere are two patterns I am looking forward to. One is a positive pattern that some of the banks are making those investments and will generate confidence in the rest of the market like we have seen. The second is the numbers of accidents are happening. Some times that accident accelerates the wave much faster. At that time are you ready or not ready, you have proven live sites, I think that makes a difference…so that we are following that journey right now.

Vivek

Thanks very much for the answer, Sir.

Praveen Malik

Thanks, Vivek. Arun, we have one last question from Mr Rohith Balkrishnan from ithought pms. Rohith, please quickly ask your question.

Rohith Balakrishnan

Hello Sir, am I audible?

Manish Maakan

Yeah

Rohith Balakrishnan

Good evening Sir . So Just my question is on platform revenues of this quarter were around 56 Crs.s, So first is this includes the 9 Crs. of GeM or is excluding that?

Vasudha Subrahmaniam

It includes.

Rohith Balakrishnan

Ok

ay. So if I were to exclude that so, we are around 45 Crs. around that 46, 47 Crs. of Revenue. How do you see this revenue shaping up. So over the next let say 8, 10 quarters. I mean just your colour would be very useful given we are seeing good traction in eMACH.ai but at the same time, in the past you said that you will do what your customer wants. So, just your comments on this, how do you see the platform revenue sort of coming in and just connected to this as a result then, the margins as well becaus e those are expected to be higher margins.

Arun Jain

Yeah, I think we can have more predictability three years from now, not quarterly, so your question is right in three years' t ime. This business has to be a 50 to 75 -million -dollar business in platfor m revenue and should be there comfortably. So we are targeting 100 million, but 50 to 75 million dollars should be the platform revenue in 3 years' time. So, that's a better way to look at the platform revenue right now.

Rohith Balakrishnan

Sure, that wa s the only question; thank you.

Praveen Malik
Thank you, Rohith, and thank you, everybody, for joining the call today. If you have any further questions, please do write to us. Thank you. Now, you can log off. Thank you.

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Call: Aug 2024

Intellect/SEC/2024 -25 August 02, 2024

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor E arning s Call
held on July 26, 2024 on the unaudited financial results for the quarter ended June 30, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record.

Yours truly,

for Intellect Design Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q1R esultsFY2024-25
In t ellect'sQ1FY25FinancialR esults
In v es t orE arningsCallT r anscrip t
Pr a v eenMalik:
Greetingsandwelcomeeveryone!
ThankyouforjoiningustodaytodiscussIntellectDesignArenaLimited’sfinancialresultsforthefirstquarterofthefiscalyear2024-25ending30thJune2024.Theinvestorpresentationandpressreleasehavebeensenttoyouandareavailableonourwebsite.Ourleadershipteamispresentonthiscalltodiscusstheresults.Wehaveitwithustoday,
MrArunJain,ChairmanandManagingDirector
MrManishMakan,CEOofiGTB
MrRajeshSaxena,CEOofiGCB
MrBaneshPrabhu,CEOofIntellectAI
Ms.VasudhaSubramaniam,CFO
Someotherseniormember softheintellectmanagementteamwerealsopresentonthecall.
NowIhandovertoVasudhatotakeyouthroughthefinancialsandlaterMrArunJainwillgivehiscommentsonthesame.ThiswillbefollowedbyaQ&Asession.Yourquestionswillberepliedtobytheseniormember sofourmanagementteam.OncetheQ&Astarts,youcanaskaquestionbyclickingonraisehandandwewillunmuteyousothateveryonecanlistentoyou.
Onesafeharbour ,Iwouldliketoremindyouthatanythingwesay,whichreferstoouroutlookforthefutureisaforward-lookingstatement.Thismustbereadinconjunctionwiththerisksthecompanyfaces.
Withthis,IrequestVasudhatogiveherabriefing.
OvertoyouVasudha.
V asudhaSubr amaniam:
Thankyou,Praveen.Goodeveningeveryone.I'mhappytoreviewthefinancialhighligh tsofQ12025withyou.OurtotalrevenueforthequarterwasRs.605CrswithlicencerevenuerecordedatRs.125CrsandAMCatRs.121Crs.Wehadagrossmarginof57%.OurEBITDAwasRs.121Crsat20%ofourrevenue.PATwasRs.74.CrsandPBTwasRs.98Crs.
Duringthequarter,wehavecollectedRs.556CrsandourcashpositionattheendofJuneendedatRs.813Crs.Andduringthequarter,wehadwon11dealsandhavegoneliveon12digitaltransformationprojects.OurDSOasof30thJuneis126daysandexcludingGeM,itisactually101

days.MovingontotheLTMmetriconacomparativebasis,ourtotalrevenueforthelast12monthswasRs.2318Crswithlicencerevenueat Rs.458CrsandAMCatRs.463Crs.ourEBITDAcrossedRs.500Crswhichis22%ofrevenue,ourcollectionsduringtheperiodcrossedR s.2300CrsandourPBTfortheperiodwasRs.418Crs.Soduringthisperiod,wehadwon52dealsandwehadgoneliveon56digitaltransfor mationprojects.

ArunJain:

MentionedthatwehaveexcludedGemfromthis.

V asudhaSubr amaniam:

Yes.SowhenIsaycomparablebasiswehaveexcludedGEMinthis.Nowtalkingaboutthecompositionofthecurrenciesandtherevenue, USDisat37%followedbyINRwhichisrepresentedat26%,CAD-8%,GBPis14%,Euro6%andothersconstitute9%.

Nowtogivemorecolouraboutthenew DealWinsforthequarter,wehad3newdealwinsinNorthAmerica,onewithVancity,Canada' slargestCommunityCreditunion.Thesecondiswithaninsurancecompanyandthethirdisagainwithawholesaleinsurancebrokerage Compan y.SowewillhearmoreaboutitfromtheCEOs.Therewerethreenewdealwinsin IndiaandBangladesh,onewithanIndianpublicsector insurancecompany.Secondisthemajorone,whichisaleadingfinancialinstitutionandaglobalinvestmentmanagementfirmthatjointly createdastrategicallianceforwealthandthethirdistheStockExchangeinBangladesh.InANZwehadacoupleofnewdealsandintheMiddleEastinJordan,wehadonedeal.Talkingabouttheaccolades,wewererankednumberonebyIBSinretailcorebanking ,transactionbankingandretaillending.

Thisisagainanotheraccoladeandtheanalystshavereviewedus–DatosandCelentandothers.Talkingaboutthepipeline,wehavecrossedRs.8500Crsduringthequarter,whichisinfactmorethan100millionforthequarter,Iwouldsay.Andwehaveonthedestinydealswehaveabout86destinydealswithanaveragesizeofaboutRs.52Crsandthedestinydealsareincreasingfrom73inQ1to84lastquarterto86in thisquarter.Outofthe86newdeals,23dealshaveavalueofmorethanRs.50Crs,28areintherangeofRs.30toRs.50Crsand35areintherangeofRs.20toRs.30Crs.LetmehanditovertoAruntotalkaboutPurpleFabric.

ArunJain:

Welcometoallofyou.So,IwilltalkaboutPurpleFabriclater.Letmejustcommentonthebusinessresultsfirst.SoIthinkwefinishedourquarteronRs.600Crsplusrevenue,afifthquarterwhenwecrossRs.600CrsasrevenueandIthinkourjourneyallthetimeinlastfewyears,areRs.100Crseachtime,Rs.500CrsRs.600Crs.

NowthejourneywearewaitingforisRs.700Crs.SothisperiodofRs.600CrshasresultsafterGeMgoingawayintheQ3FY24,butstillwecansustainthewaterabovetheRs.600Crsnumber.Our

focusistogettoRs.700Crs.Sowearepreparingtheorganisationfor700Crsperquarterandthat'sfortheentireeMACH.aiandPurpleFabricwhichIwasshowingtheslidewilldrivetowardsthat.

InthejourneyofRs.600CrstoRs.700Crs.Iwouldsaythewinteringperiodforushasgoneslightlylonger.Thisquarterwecouldhavemovedawayfromthewinteringseason,Butbecauseonedealof30CrsplushasbeenpostponedinthelastweekofJune.Thisdealwasalmoston.Itissigned-theMSAbuthasnotbeenexecutedbecausethebank'sfinancialbudgetlimitsareoverandtheywillbesigningthisdealinthe nextfinancialyearstartingJanuary,whichisourQ4quarter.Withthat,wecouldhavemanagedalltheexpectationsoftheinvestorfromaquarter-to-quarterperspective.

Butoverall,ourtractionisextremelyhighrightnow.Asofnow,ourcostsarealsoaroundRs.480Crsrangeandthatistherangewhichwillbe maintainedinthenextfewquarters,sothenewrevenuethatisgettinggenerated80%ofitwilltranslateintothemarginoftheorganisation. Sothat'sanimportantpointwhichyoumentionedallthetimethathowmarginimprovementwillbehappening.Onaspecificbasistodaythisquartermaybe.ItwillnotshowtherightnumberbecauseofthesingledealofRs.30Crswhichcouldhavecometothemarginitself.Ifyouaddthatthemargincouldhavebeenbetter.

Duringthisquarter,wewonverysignificantdeals.SosometimesyoumaynotknowtheIntensityofthisdealwins,whenwewininCanadaor whenwe,winintheUSorwhenwewininAustralia.IwouldliketoinviteRajeshtosay-whenwesayVancitydeal,wepublishedapressrelease,butwhatdoesitmeantocomeintotheentryintotheCanadianmarket,aCreditUnionmarketwhichisrunbyanover30to40-year-oldsystemtoenteranewplayerinamarket.Sowhatwentbehindwinningthisdeal?WhatisthefuturisticviewofwinningsuchdealsinCanadaVancityitself,Rajesh?

RajeshSa x ena:

Thankyou,Arun.Ihopeyoucanhearme.SoletmejusttalkalittlebitaboutVancity.VancityisthelargestcommunityCreditUnion,basedoutofVancouver,whichisthewesternzoneofCanadaanditisthelargestcreditunioninCanada,andthisisadealthat,wehavebeenfollowingthroughforthelast18months.AndthisdealisverysignificantbecausefirstofalI,thedealisaboutaDigitalEngagementPlatformforretail, SMEandsubsequentlyalsofortheCommer cialBank.Soit'sacompletedigitalexperience,atransformingexperiencedeal.Thisisadeal whichwillbewherewewillbedoingthefullmanagedservicesonAzurecloud.Sothat'sthecontoursofthedeal.Butwhythisdealissignificantbecause,inthecreditunionspaceinCanada,thereareacoupleofvendorswhoaretheprovidersofthisdigitalengagementplatformorlendingplatformandcorebankingplatform.WinningthisdealfromoneofthoseexistingproviderswhohadsometimebacktiedupwiththeBackbaseandthatimplemen tationfailedforthem,isaverysignificantmilestoneforus.Vancityisaleaderinthisspaceandthereforethereisalotofbuzzinthecreditunionspacethatwehaveacoupleofleadswhichhavecomeupafterourannouncemen tofVancity.Wehavenowstartedgoingintotheimplemen tationpartofthis.SothisalongwiththefootprintthatwehavefromaGTBperspectiveinCanadamakesusafullscale–startingfromcreditunionspaceallthe

waytotieroneBanks,afullSpacewherewewillhaveourproductsinthemarket.Sothat'saboutVancity.ButletmetalkspecificallymoreaboutNorthAmerica.Ithinkacoupleofquarter'sbackwehadtalkedaboutatleastfromaGCBperspective.WehadtalkedaboutEuropeasourstrategicinroadandIthinkoverthelastcoupleofquarterswehavedemons tratedthatwehavebeenabletobuildagoodmomentuminourEuropemarket.WhenwelookatEurope,weareseeingaverygoodpipelinebeingdevelopedinEuropeandyouwillseetheresultsoverthenextcoupleofcomingquarters.

AfterEurope,wedecidedthatwewillgetintoCanadafromaGCBperspectiveleveragingaGTBfootprintandthat'swhatwehavebeendoingforthelastcoupleofquarters.IhavebeeninNorthAmericaforthelast5weeks,spendingtimepredominan tlyintheUS.Someofyouma yhavereadit,wehavejustannouncedthatwehavehiredJaninewho’sgoingtobeleadingourGCBbusinessintheUSmarketbasedoutof NorthAmerica.SheandIspentalotoftimemeetingprospects,consultants,partners,etc.tounderstandthecontoursofthismarketanddecidingwhattobeastrategytoenterintotheUSmarket.TheUSmarketasyouknowishighlyregulated,atoughmarket,butalsofromaTAM andaSAMperspective,averyhugemarket.Soweareverypositive.WearelookingforwardtothenextcoupleofquartersintoourU.S.marketentry.AlongwithJanine,weareputtingtheteamofpeoplewithJanine,someofthemwearehiringfromtheUStogettheUSexperience, andafewwewillbetransferringfromIndia.SoweareputtingateamofpeopletogoaftertheUSmarketandweshouldseesomemomentum beingbuiltupinourUSmarket.Janinecomesfromaverystrongdomainexpertise.ShehasworkedwithSantanderandPNCBank.Sowe arelookingforwardtoworkingwithheraswetakeourjourneyback.Sothatwasahigh-levelcommentaryabouthowGCBhasmovedfrom Europeasastrategy,wenttoCanadaandnowenteringtheUSandyouwillhearinthenextcoupleofquartersandyearsaboutourprogress intheUSmarket.Arunbacktoyou.

ArunJain:

Thankyou,Rajesh.Ithasbeenalmost90dayssincewemetonthe9thofMaywhenweannouncedtheresultsisnotover90days.Ithinkallofusareontheroad,somostofthemanagementteamisontheroadinvariouscountriesobviouslywhichresultedintravelcostsgoingup,butotherwise,Iwasontheroad.Ivisitedeightcountriesduringthisperiod.Wemetcloseto70peoplefromthecustomerside,andthepartnerside,conductingmultiplemeetingsineachcountry.TheeventswillhappeniniGTBOxfordinLondonandthenfollowedbyMoney20/20.Ithinkwehaveneverbeensobusyinthelasteightyearsandgeneratedcloseto120leadsalmosttwoleadsperdayarecomingupourway.SoweorganisedaworkshopineMACH.aiwith300peopleinChennaiinApril.Itwasthatpictureoftheattendeesoftheworkshopyousawatthebeginningofthepresentation.TheentiremagicofeMACH.aiissurfacing.Atthispoint,IjustwanttoinviteManishtoseehowitispanningoutforhiminwinningthedealsinAustraliaandthesearealldifficultmarkets.RajeshtalkedabouttheUSmarket.Manishovertoyou.

ManishMak an:

Thanks,Vasudha,andArunthanksforgivingthebriefbeforethis.Ihavebeensharinginthepreviousquartersalso,thatabest-sellingproductoncorporatetreasurycontinuestohelpuswininthemarketplace.SoweclosedtwomoredealsinAustraliainthisquarter,whichisprimarilytohelpbankstohelpthecorporatesraisebetterdeposits,getthembetterinvestmentproductsandgetthembettermanagetheirliquiditybetter.SotwobigdealswinsinAustraliaafterthepreviousquarter,wehadtwodeals,oneinAustraliaandoneintheUSaroundliquidity . Soliquidityastheflagshipproductcontinuestohelpus.Createthatdeepeningthegapbetweenusandanyoneelse.BecauseeveryoneelsetriestoextendthatoutfromacorebankingIcanalsoimitateanddothis.Webuilttherealcompetencyaroundthis,andtodaywehaveabout54banksworldwide,whichleveragethiscapabilitytoextendthis,bringingthisefficiencytothebalancesheetforthecorporatesaswellasforthebanks.Sothat'sbeenverysuccessful.WealsoclosedtwodealsonDTBintheMiddleEast,boththeproductandthemarketareflagshipsforus.SowecontinuetowinonDTBintheMiddleEast.LikeArunsaidtheamountoftimeallofuswereontheroad,wehavegotacross NorthAmerica,severalgoodopportunitieswhicharematuring.Inthenexttwoquarters,wewillshareanumberofthem.Unfortunately,onedealwherewegotsignaturesontheMSA,it'sjustthelastsignaturetheyhadtopostponetheirbudgetspendfromstartinginSeptember-theprogramwhichtheyweregoingtosigninJunetostartinSeptember.NowitstartsinJanuaryandtheywillsigninJanuary.Everythingwasdoneonthat.Sothat'sasignificantonelikeArunsaid,Rs.30Crswhichgotdeferred.Thedealiswon.SoweshouldshowthisinourQ4from thatperspective.InEuropealsowehavegotgoodmomentumintheUKandFrancegoingrightnow,Australiaopeningupandthere'sbeen abigfocusondevelopingAsiaequally.SoofwhatArunsaid,twodealsaquarter,evenAsia,whichhasnotbeenverystrongforuswasverygoodlookinganditthasgoodpotentialforusinthecomingcoupleofquarterswherewewillshowgoodresultsfromthere.Soacrosstheboard ,inallmarketsrightnow,activityisatanall-timehigh.TheopportunitiesarewhatwecallinaP4stagenumberofthesethingsarethere,howacrossthenexttwoquarterswebringthatin.Ithinkthat'swheretheteamisfocused.Thankyou.

ArunJain:

Yeah.SocomingtothenextareaIntellectAI.IhavebeenpostingamessageonPurpleFabricdailyonLinkedIn.SoIreachedupto4messagessuchasonPurpleFabricImagine,PurpleFabricDIMS,PurpleFabricExpertAgent,PurpleFabricTraid,andtwomorearaleft.Sointhisslide,wearesayingthatAIisahotproductandsomuchgenerativeAIisthere.Ourteams,ourresearchteamshadlookedatthisproblemverydifferentlyandtheylookedateachpersona–whatisrequiredforaproductmanagertolookatinAI?,whatisCIOlookingforinAI?,andwhatoperationsmanagersarelookingforAI?andwhatcompliancemanagerislookingforAI?Sobasedonallfourpersonaswedesignedthem,oneofthemostcomprehensiveAIproductsinthemarketplacewherewesignedupwithallfiveconsultingfirmsfromAccenture,EY,KPMG,DeloitteandPwC.ThebeautyofthisproductisitisacomprehensiveEnterpriseConnect edintelligenceplatform.Anditisusinga

differentsetoftechnologies.And,itisgivingachoicetothecustomertodecidethetkindofLLMmodelonewantstouse.Now,BaneshwilltellyouhowmanyworkshopsandbootcampswehavedoneinthelAst90daysfromMaytonow.Almosteverydaytherearetwoorthreebootcampsorwebinarshappening
,whichisdrivingahugeamountofLeadgeneration.SoovertoBaneshoncarryingforwardthisconversation.

BaneshPr abhu:

Thanks,Arun.IthinkArunexplainedtheoverallPurpleFabric.IntellectAIhasbeenworkingalotonAIinitiativesforalongtimerightnow.Ithinkwhatwehavedoneiswearenowabletoimplemen tAIusingallthelargelanguag emodels,theLLM’sandtheLLM’sareevolvingjustaboutevery coupleofweeks,andweseeupgradestakingplacebyalltheLLM’sproviders.IthinkwhatourplatformprovidesforafinancialinstitutionistheabilitytogovernAIinitiatives.Therearebillionsofdollars’worthofmoneythatisbeingputintoAIbymostfinancialinstitutions.AllcompaniesacrosstheboardarespendinganenormousamountofmoneyonAI,Ithinkwhileit'sonahypecycle.IthinkveryrealisticallythetimehascomeforasignificantchangetotransformoperationsandfinancialinstitutionsusingAI.Ithinkthetractionissignificantandwedidaboutoveradozendifferenttypesofbootcamps.SomeofthemaremultiplediscussionswithcertainclientsandIthinktheyarebuildingaverydeeppipelineofactuallyhelpingtheclientsimplemen tAIinitiativeswithgovernance,controlofdata,withcontrolofsecurity.Atthesametime,thedifferentpeopleanddifferentpersonasinanorganisationcanmakeadifferenceinhowtheycancapturebusinessoutcomesfromdifferentAIusecasesthatweareputtingtogether.Wehaveover55documen tedAIusecases,another80oddthatwearelookingatrightnow.NowifIlookatthequarter,ourAIplatform,isattheheartofourinsurancebusiness,soPurpleFabriciswhatwearesortofpositionedasthenameofthisplatform.PurpleFabricalongwitheMACH.aiforinsurance.Lastquarterwedidfourdeals.Inthisfirstquarter,wehave donetwodeals.Twomoredealsweresignedbuttheyjustdidn'tmakethecut-offforthe30thofJune.Imustremindyouthatallofthesedeals useacombinationofeMACHandAI,andalsoallofthemaresubscriptiondeals.Sofromafinancialperspective,youwillhavetoseethatthe searelonger-term.Youknowsubscriptiontypeofcalculationsonthefinancials.I'malsohappytosaythatourwealthandcapitalmarketsb usiness,IthinkVasudhatouchedonyouknowtwodeals,butIjusttotalkalittlebitmoreaboutit.Thisisanexistingclientthat'sdoingthefirsti mplemen tationinBangladeshofacommodityderivativeexchangeforwhichweareprovidingourbrokerageplatformcalledCapitalAlp ha.Weareimplemen tingthatforaverylargeCommodityExchangesetupinBangladesh.Thesecondisveryexciting.It'sthelargestcom panyinIndiajointventurewithoneofthelargestassetmanagersaroundtheworld.Theassetmanagermanagesover10trillioninassetsu ndermanagement.Ithinkweareseeingaphenomenalincreaseinwealthgenerationacrosstheworldandmoreandmorepeoplearetalki ngtousabouthowwecanimplemen toureMACHwealthsolutionalongwithwhatweusedtocallembeddedAI.Butitusesacombinationof PurpleFabricandtheeMACHsuitethatwehavetoimplemen tthesewealthandcapitalmarketmandatesthatwewon.Wewonthree

others.Ithinkthecontractsareinprogressweyouknowtherehasbeenconfirmationthatwehavewonthem.Oneofthemisthelargestinve stmentmanagerinSaudi.Theotheroneofthelargestprivatebanksin India,notthelargestbutoneofthelargest,andalsowewonthemand ateofoneofthelargestglobalmultinationalsthatwantstoscaleuptheirwealthbusiness.SoIthinkthewealthandcapitalmarketshaveafa ntasticpipelinetolookat.TheeMACHresonates,theAIembeddedresonatesandIthinkoveraperiodoftimethatcombinationofeMACH andAI,whichiseMACH.aipositionforthefuture.Thanksall.

ArunJain:

Thankyou,Banesh.SoItalkedaboutitinthelasttwoyearsbackwhenwewerelookingatpartnersanddistributionstrategy.Ithinkthisyear westartedthejourneybymakingourapplicationspartner-ready.AndeMACH.aiplaysacriticalroleinbeingapartner-readysystem.Sofr omaninvestorperspective,whatdoestheeMACH.aimean?Whyarewesoexcitedinternally?andhowdoyousimplifythelanguag eofeMACH.aiaretheelementsforthetypicalinvestor.Becausefortechnologis tsit’sahugeexcitementbecauseit'sanopenfinanceplat form.SotodaythewordOpenFinanceplatformwhich,wecallitfirstprinciplethinking ,whichmeansweaskthequestionofwhythebankex ists.Itisbecauseeventshappenedinthelifeoffinanceandanyoftheircustomers.SoifwedesignasystemwhichisbasedontheFirstPrinci pleThinkingfromeventsinthelifeofaretailcustomerorwealthorSMEoracorporatecustomerandthenlookattheservicesthebankprovi des,andwhichgetsconnectedtootherapplicationswhicharethroughAPIsonacloudandmakeitpersonalisedheadlessandprovideint elligencetoit.Itremovesalotofcomplexitywhichthebankhasbuiltoveraperiodoftime.Theycanwiretheentireapplicationbasedoncust omerdesirabilityandthat'swhyRajeshwhenwewereselectedinCanadafoundthatdigitalexperiencesifitisbasedonfirstprinciplethinki ng ,wearemappingcustomerdesirabilitytothebusinessoutcome.Sowecallitorganisingthethinkingspace,expandingtheperformanc espaceandimpactingthebusinessoutcome.Sothisiswherewecanput329decompositionsofallbankingbusinessinjustasinglebook wherealltheelementsofthebankinghavebeenputontothesinglebankingchart.

Nowthissoonceweputthischatinfrontofthecustomer,hehasachoicetoputontheentirechartwhereandwhathisneedsare.Soweareno tsellingthefullproducts.Wearesellingwhatheneeds.Andifheneedsportfoliomanagementonlyinthewealthmanagementsystem,wec anprovideportfoliomanagement.IfherequiresonlytheRelationshipManagerofficebecausehehasanexistingAvaloqinstallwecangiv ehimtheRMoffice.Orthiscanbeextendedtotheexistingsystemandcoexistenceispossibleinexistingapplications.Thatiswhatwecan disruptandthatmakesmyGSI(GlobalSystemIntegrator),veryinterestedinourtechnology .Wehaveconductedalmostonesessionev eryweekforeachofourglobalSIoneMACH.ai.Becausethentheycanusemyspecificsetofmicroservicestoincludeintheirvaluepropositi onswhichtheyareofferingtotheircurrentcustomersbydoingandacceleratingtheirjourney.Sowhenthebudgetsareless,they

canexpandthatspacesubstantiallybecausethereare329microservices,500pluseventsand1700APIs.

Alongwiththat,webuiltupiTurmeric,whichIexplainedearlier.Itisacompletelycodelessplatformforcomposabilityandsolvingfourkeyis suesoftransformation.Foranytransformation,youneedintegration,UX,workflowanddata.Nowallofitiswiredandcomesfromasingle platform,reducingthecycletimefordeliverytohalfaswellasnumberofdefectstolessthan10%,aswellandalmost80%ofdefectsarenott herebecausetheyarecodelessplatformsandcombinedwithPurpleFabrictobuildintelligenceagentsalongwiththeoperationalproces s,itisatrulypartnerreadytechnology .Wetooksomelongertimetogettopartners.In2022,youwerequestioningwhywedon’tgotopartne rs.Wewantedtoensurethattheyhavetherighttoolkitandrightmethodstogetintothepartnershipmodel.Thenewleads,whichhavecom enormally ,weusedtoaddsome50leadsperquarter.Thistimeweadded120leadsinasinglequarterbecausemostoftheadditionallead scamefromourpartnershipnetwork.WeareclosetotheRs.600Crsfunnelwiththepartnerswhichweareworkingon.Someofthedetaile dconversationsarehappeningwherepartnersaregettingcertifiedthemselv esoniTurmericorPurpleFabricandgoingtogatherinafewdealsoverthisperiod.Weareseeingthisasaverydisruptivetechnology .The opportunitygoingforwardissignificantlylarge.Becauseofthatthoughthefirstquarterresultisnotinlinewiththeexpectationoftheindustr ybecause30Crssliponthecontract.But15%growthiswhatwetalkedaboutduringlastquarter,wearefullyintactonthatnumber.Sothatis whatthecurrentstateofbusinessis.Soatthispoint,IjustwanttoleaveforquestionsandanswersandIhaveseenmorethan200peoplejoi ninthisinvestorconference.SowecanhaveagoodconversationbasedonanunderstandingofwhatwearedoingineMACH.aiinthistech nologyspace.

Pr a v eenMalik:

Thanks,Arun.NowtheforumisopenfortheQ&A.Incaseyouwanttoaskaquestion,pleaseclickontheraiseyourhand.Irepeat,pleaseclic k,raiseyourhandandwewillunmuteyouandyoucanaskthequestions.Now,first,wehaveMrSamirDosani.MrSamirDosani,pleaseun muteyourself.

SamirDosani:

Canyouhearme?

Pr a v eenMalik:

Yes,Samir.Pleasegoahead.

SamirDosani:

So,acoupleofquestions.WhenRajeshisontheUSbusiness,youaretryingtoforayintotheUSasthegeography.Ifyoucanjusthighligh tli kewhicharetheareasthatwearetargeting?Andhow'sthecompetitiveintensity?Becauseit'sverydifficulttosellbusinessbankingsoftw areintheUS.We

haveseenitinotherplayers.Sowhatisthecompetitiveintensitywherewhendoyouthinktherewillbeinitialsignsofsomeprogresshereandwhetheritwillrequireanyinvestmentsonyourpart?
ThesecondquestionisforVasudha.Whenyoulookatyourfunnelanddealwins,theyhavebeenphenomenal.Butwhenyoulookatyourlast12months'revenuegrowth,obviouslyexcludingGeMalsohasseensomedeceleration.Right?Wehavecomedownto12%.Sodoyouthinkthiscanaccelerategivenyourdealwinsandwhetheryouholdyourguidanceonrevenue?AndthethirdisfromGenAI.Verysimply,ifyoucanjustindicatethenumberofprojectslikeinsomewaycanyougiveussomemetrictoquantitativelytrackthatthisisthenumberofprojectsthatyouhaveworkedonversusyouknowlastquarterthiswasthenumberofplaceswehaveworkedon?Sowecantrythat.Sothesearethe3questions.
RajeshSa x ena:
Sure,Icantakethefirstquestion.Itisaverygoodquestion.SoIthinkfromaUSperspective,asyourightlysaidtheUSisacompetitivemarket.Itisalsoahighlyregulatedmarketwhereyoucanhavefederalrequirements,state-levelrequirements,etc.Soyouneedtomakesurethatyourplatformsarecertifiedandattested.However,havingsaidthatthemarketopportunityisverylarge.AndwhataremarketstudyhasindicatedtousisthattherearealotoflegaciesandwhatwebringtothetableeMACH.aicandisrupttheUSmarketifwegetouracttogether.Sothere'sopportunityishuge.Andsothatthelandscapestartsfromastrategyperspective,Iwouldsaythat'scompetitiveinformation.SoIwouldn’tliketodiscussitonthiscall,butenoughtosaythatweareintheprocessofidentifyingwhatwouldbethesegmen
tandthekeyproductsthatwewilltaketothatsegmen tanddiscussingtheminternally,debatingtheGTMstrategyforthat.Sooverthenextcoupleofquarters,weshouldhavethatinplaceandwewillgointothemarket.It'salsoimportantforustoputtogetherateamofpeople.SothereissomeamountofinvestmentsthatwearemakingfromaUSteamperspective.IalsosaidwewouldbetransferringsomeofourpeoplefromIndia.Sothereissomeamountofinvestmentwhichwewillbedoing.BothintermsofteamaswellasintermsofbakingupaplatformreadyfortheUSmarket.AndjustalittlebitmorecolouraroundtheUSmarket,whatweareseeingisthatsomeofourIndiancompetitorsandpeerscanenterthismarket.SowiththatandourarchitectureandtheeMACH.aithatwebringtothetable,webelievethatifwegetouracttogetherwecanreallydisruptthemarket.
V asudhaSubr amaniam:
LetmetakeupthesecondpartofthequestionandArunmightaddon.Yes,trueitislike12%inthefirstquarter.Andaswesaid,thisisthefirstquarterandwealwayswanttobemeasuredonayearlybasis,notonaquarterlybasis.Westillsticktotheguidanceof15%excludingGeMandwearehighlyhopefulthatitwillhappen.
Anditsohappenedthat,asBaneshmentioned,therewereacoupleofdealsforwhichthecontractgotsignedoffpostthecut-offdateandforwhichwecouldnotaccruetherevenueinQ1.Itso

happenedandtherearesomeotherdealswiththehighvaluethatwecouldnotaccruethispartandwhichgotdeferred.Sowearestillhopefulofthestrongpipelinethatweemphasiseandthatwe'llbeabletomeetuptotheguidance.
SamirDosani:
SoI'mjusttrackingthelast12monthrevenuenothereonQ-o-Q.SoIthinkthatistheprediction,I'msurethatiswhatonehastotrack
ArunJain:
That'sright
SamirDosani:
Ok.AndontheGenAIlevel?
ArunJain:
Banesh,howmanyprojectsyouareworkingon?
BaneshPr abhu:
Sojusttogetthisright,wetrackourpipelineinaplatformacrossallourproductlines.OurPurpleFabricpipelinetodayhasalmostfinishedandwhenIlastlookedatit,ithasgotabout35discussionsinprogress.Remember ,AIisataveryearlystage.Sowehaveaverylargepipelinebuilding.WecallitPurpleFabricasyoujustheardfromArun.AndIthinkthatpipelinewillbelookedatlikeanyotherpipelinediscussionwewouldhaveifwehaveaGenAI.It'snotjustaGenAI.It'smorethanjustGenAI.
SamirDosani:
So,35projectscurrently?Howmuchwasitlike6monthsago?
BaneshPr abhu:
35discussionsareinprogresswithvariousclients.
SamirDosani:
Sixmonthsback.Sixmonthsback,howmuchthenumberwasissomethingwecanmention.
BaneshPr abhu
Theplatformhasonlyjustbeendone.SoIwouldsaythispipelinehasbeenbuiltoverthelast4to5monthswherewehaveusedPurpleFabrictobeabletogetpeopletouseGenAI.WehavebeenworkingontheLLMformanyyears.Wehavebeeninvestinginit,buttheLLMhasmadeadifferenceinwhichAIismatched.

SamirDosani:
Gotit.IamsorryifI'mallowedtofollowup.So,doesthisinvestmentintheUShavethatimpactablemarginimprovementtrajectoryoritwasalreadybuiltin,youcancommentonthatVasudha.Thanks.
ArunJain:
That'swhatwearecurrentlydiscussing.Letmebeinaboardmeetingalso,whatkindofnewnumber stobeputinifadditionalinvestmentisrequiredornot.Weareseeingthatbasedonthemoretractionandwinningweareabletoarticulatehowmanyadditionalsalespeoplewererequired.Soit'snotabouttechnologyinvestment.Moreinvestmentwillberequiredingo-to-marketinvestments.
SamirDosani:
Ok.Fairtosayitwillbehighergrossmarginsoritwillinitiallyhavesomelowermarginsthantheirbusiness.Doyouthink?
ArunJain:

Itwillbealowermargin.Inthebeginning ,PurpleFabricrequiresinvestment.Therevenuewillnotbefront-loadedbutback-loadedinPurpleFabricwheresubscription-basedrevenuesarethere.Sosurethatisonepointwhichistobeclarified.

SamirDosani:

Sure.Thanksforthat.

Pr a v eenMalik:

Next,wehaveMrRahulJainfromDolatCapital.Rahul.Pleaseunmuteyourself.Rahul,areyouthere?

RahulJain:

Yeah.HopeI'maudible.

Pr a v eenMalik:

Yeah,Rahul.Pleasegoon.

RahulJain:

Yeah,sobasicallyIhaveacoupleofquestions.OnequestioniswhatIhaveobservedfromthelastcoupleofquartersisthatthegrowthinour implemen
tationrevenuehasnotbeenprettymuchcatchingupwiththegrowththatweareobservinginthelicencerevenue.Soisthereanyspecific

reasonwhythistrajectoryhasgonedownfrom6%to7%ordoesitincludeanyL1orL2servicesrelatedtoGeMorwhichprobablyhasanypercolationimpactthere?

ArunJain:

SoIthink,withtheCodelessplatform,ourimplemen
tationrevenueisexpectedtocomedown.Thatisnotthemostprofitablebusinessforus.Theimplemen tationbusinesswewere doing.-Wewanttogetitdonewiththepartners.Sothatistheintentionalapproachwhichisbeinglookedatfromtheperspectiveofcreatingmoreefficiency.Thisgrowthofimplemen tationmaynotbethathighandwewouldliketopushlicenceandSaaSrevenuemore.

RahulJain:

Andwhenyousaythatalsobecausetherearepartners.Soisthereanumberthatwecouldsaythatthenumberofdealsthataregoingtothethirdpartyversusimplemen tationversuslet'ssayyearbackortwoyearsback,anydatathatyoucouldshare?

ArunJain:

It'stooearlyrightnow.Asofnow,wearenotsayingthatwehavewontoomanydealswiththepartner.Wehavewontwotothreedealswhileworkingwiththepartners.Sothatdataisnotsufficienttobeshared.Whenitisready,wewillshareitwithyou.

RahulJain:

Duringthequarter,wehavealsoobservedthatthesoftwareexpenseshave,Imeanthemaincostofservices,increasedduringthequarter.Isitmorebecauseofthemanythingsthatyouspokeabout,thelotofactionthatyoudidbuteventuallydidnotculmina
teintorevenue?Orthesearegeneralinvestmentsthathavegoneintothequarter?

ArunJain:

SDcosthasgoneup,soweacknowledgethatSDcosthasgoneupfortworeasons.OneisagenerativeAI.Someoftheinvestmentshavegoneandtheconsump tionofthecloudhasbeenbakedintothis.Someofthebundlecostwithacloudcost,alsogotembeddedintoit.Sothesearetwoareaswhicharethere.AndthethirdistheRs.30Crsinvestment.Thedeal,whichwastherealmosttooclose,gotpostponedbythefinancialconstraintofourclient.Butalltheinitialworkhasbeensetupforthat.ThesearethreereasonsforourSDcosttogoup.

RahulJain:

Rightandanyinputontheidealtaxratethatyouareexpectingforthisyearandnextyearthatwouldbeafill?

V asudhaSubr amaniam:

Wecantakeitas24%,Rahul.

RahulJain:

ForFY25?

V asudhaSubr amaniam:

Yes

RahulJain:

OK.Thankyou.That'sit,frommyside.

Pr a v eenMalik:

Thankyou,Rahul.PleaseclickonRaiseyourhand.PleaseclickonRaiseyourhandincaseyouwanttoaskaquestion.Next,wehaveMrMehulPanjwanifrom40cents.

MehulP anjw ani:

Yeah.AmIaudible,Sir?

Pr a v eenMalik:

Yeah,Pleasegoon.

MehulP anjw ani:

Thankyousomuchfortheopportunity .Thisisnotaquestion,butarequesttotheentiremanagementteam.Because,youknow,wearedoingsomuchhigher-endworkandwehaveverypromisingproductsandwearefocusedondisruptingquitealotoftraditionalbankingtechnology .SoIrequestthatasshareholders,weshouldknowwhatistheireinourproductthatisgoingtodisruptthemarket.BecauseyouknowjustinyourintroductionyoumentionedthatweareheretodisrupttheAmericanbankingsoftwaremarket.SoIrequestthatwecanhaveacoupleofhoursofsessionwhereweonlytalkabouttechnologyandnotfinancials.Sothatweknowwhereourcompanyisgoing.Rightnow,foralayman,itisverydifficulttounderstandthatanybodycanclaimthatIamgoingtobuildadisruptiveproduct.BecauseIhavebeenfollowingthiscompanyforalongtimeandhavebeentryingtounderstandalotandIalsohaveatechnologybackground.IwasworkingintheITindustrybutstill,Iamnotabletofigureoutanything.IwilljustgobywhateverIGoogleandyouknowwhateverIcanmakesenseoutof.Butifyoucan,youknowifyouhave2hoursofsessionsforourfellowshareholders,whoeverisinterested,todemons tratethatthisiswhattraditionalb anksdoandthisiswhatoursoftwarewilldoforthem.Thenwealsocanbeourchampions,throughournetworketc.butmoreimportantly,understandourproducts.

ArunJain:
OK.Thankyouforthisadvice.Weshoulddoit.Malik,weshouldorganiseatwo-hoursessionforthepeople.Iwouldliketohavetwosessions,oneoneMACHandanotheronPurpleFabric,twohoursforboth
ArunJain:
Inthenextonemonth.
Pr a v eenMalik:
Sure.
MehulP anjw ani:
Thankyousomuch,ArunSir.Iappreciateit.
ArunJain:
Secondly,IfyoureallywanttoexperiencethepowerofPurplefabricintwodays'timewecanconductasessiononbootcampwhereyoucanputtheapplicationwiringforausecasebyasalesper son.Notevenatechnologyperson.Asalesper sonwasabletobuildupaPurpleFabricextraagentintwodaysofbootcamp.Sothat'sthesimplific ationofthedisruption.Forcertainpeople,weareorganisingabootcampandpurplefabriconthe29thand30thofAugust.Butfortheindividuals,thatisforthecompanies,wewillorganisethebootcamp.Sosometimeswecanseeifyouregisterandarewillingtolookatit,timetobespentontwodaysofunderstandingwhatAIisgoingtodisruptthemarketandwhatitmeans.
MehulP anjw ani:
Definitely,Sir.Iwouldbelookingforwardandeagertoattendthiskindofbootcamp.BecauseeverybodyistalkingaboutAI.ButIdon'tknowifahandfulofcompanieswillbedoingactualAIwork.
ArunJain:
That'sright.Andbecausethere'ssomuchnoisethere,howtofindthevoicefromthenoiseisachalleng eformostoftheinvestors.
MehulP anjw ani:
Yeah.Absolutely.SoIwilllookforwardtothistwo-hoursessionfirstandthenobviouslyalsobootcampaswell.
ArunJain:

Thankyou.
MehulP anjw ani:
IwillrequestMrMalikaswelltosendamailoutafterthemeeting.Thankyousomuch.
Pr a v eenMalik:
Sure.Thankyou,Mehul.Next,wehaveMrVivekKumarfromBestPal.Vivek,pleaseunmuteyourself.
Viv ekK umar:
AmIaudible?
Pr a v eenMalik:
Yeah,Vivek,pleasegoon.
Viv ekK umar:
IknowIamaskingaquantitativequestion.Butleavethisyear,ifItake3to4years,wewillgobacktoour20%becauseyouhavebeeninvestingalotofeMACHbefore.IfyoucomefromyourInvestorDay1-2,whichisexactlywhereyouexplainedhowthecompanyisgoingtopanoutandwhatyouaregoingtodowithyourproductsandyou'reacrossproductsacrosscontinents,acrosscountriesandacrosslikeyouareintoinsurancelikenowyouhaveAIanddifferentbusinessverticals.Sowhencanwecounton20%tobetakenovera3to4-yearperiod?Butit'sapurelyquantitativereason
ArunJain:
Definitely.Ithink15%wearelookingforthisyear.20%isdesignedforupsanddownswillhappen.Therecouldbe25%,theycouldbe15%,andtherewouldbe20%.So20%isthatorganisationisdesignedforanddesignedforlongterm20%andnotonetime20%.Thatiswhytheseinvestmentsarerequiredinatechnologycompanylikeours,amulti-pr oductcompany,amulti-geographycompany.Becauseofensuringthatwecansustainthisgrowthoverthenext5yearsornot?Otherwise,weendupacquiringthecompaniesandaggregatingthecompanies.That'snotwhatwewant.It'sapureorganiccompany.
Viv ekK umar:
Andsecondoneisonyourpartnershipsandifyoucangodeeperlikeyouhaveexplainedclearlyonthethreeverticalsbythethreeverticalheads.Sosimilarlyonpartnershiphowitisshapingupbecausewehavestartedandhowisthedistribution?Youremeberinthelasttwocon-callsyouweresayingournextonetotwoyearsisaboutDDD,whichisDistribution,Distribution,Distribution.Socanyoutellusmoreabouthowitisshapingupandhowconfidentyouare?

ArunJain:
Theconfidenceisthatdistributionpartnershavestartedchasingus.Earlierwewerechasingthem.Soreverseflowhashappened.Itstartedtohappen.Weneedtodemons tratetothemthatthereisthemoneyforthem.Ifwemake$1,they,theycanmake$2fromus.Thentheyareinthegame.Ifourtechnologiesarenotabletohelpthemmake$2,weneedtodemons tratetothemthatinthenextfewyears,theycanbuilduptheirownpracticesof10Million,20,30,and40MillionDollarspracticesaroundeMACH.aiandthat'stheprocessofbuildingconfidence,wearegoingthrough.Andthat'sthewayRajesh,ManishandIhavebeentravelling.Andmeetingeachpartner,rangingfromseniorexecutives,CEOs,andbusinessheadsofthecountrytoexplainwhateMACH.aiisandhowitisdisruptive.ThequestionMehulasked,isthesamequestionweneedtoexplainfacetoface.ItcannotbeexplainedonaZoomcall.Sothat'swhatweareintheprocessofdoingit.Andthatprocesswillcontinueforanothertwomorequartersandthenwegetintoafewdealstoexecute.Onedealweexecutedwithoneofthelargepartners.ItisgoingliveinthePhilippines.Sowhichisaverygoodsuccessstory.Onesuccessstoryofwinningthedealandmakingtheclientsuccessfulspeaksalotofvolumesandthepartnershipgame.

Viv ekK umar:
Let'ssay,inthenextfewquartersoftheyear,wewillbehavingmuchbetter
ArunJain:
Yeah.Thentheaccelerationwillhappen.Onlyaftertwotothreequarters,wewillseetheacceleration.
Pr a v eenMalik:
OK.Thankyou,Vivek.Incaseanybody,wantstoaskaquestion.PleaseclickonRaiseyourhand.Next,wehaveMr.JayaprakashParekh. Jayaprakash,pleaseunmuteyourself.LookslikeMr.Jayaprakashisnotthere.NowMehulwantstoaskthequestionagain.Yes,Mehul,pl easeaskyourquestiononceagain.YouwanttohavesomemorequestionsIbelieve.
MehulP anjw ani:
Yes.Ihaveunmutedmyself.Thankyousomuch,ArunSir,Onequestionfromthefollow-upontheearlierquestionyouwereanswering.Ho wmanypartnersdowehaveandcanyoujustsharesomedetailsaboutwhothepartnersare?
ArunJain:

Wehaveallfivepartners,Accenture,PwC,EY,KPMGandDeloitteinconsultingpartnership.Inglobalsystemintegration,weareworking withHCL,Coforge,TechMahindr a,Wipro,L&T,Hexaware,andPersistent.
MehulP anjw ani:
OK.Soonefollow-upquestiononthis.Whichdealswehavewonarethroughwhichpartnersofar,becausewehavewonveryfewdealsrig ht?That'swhatIunderstand.
ArunJain:
Yeah,wejustwanttokeepitconfidentialwhichmaydisturbtheconfidentialityequationwiththepartner.
MehulP anjw ani:
OK.AndanyparticularreasonwhywedonothaveTCSandInfosysaspartners?Isitbecausetheyhavetheirbankingproduct?
ArunJain:
That'sRight.
MehulP anjw ani:
OK.Thankyousomuch,Sir.
ArunJain:
OK,Praveen.It'salmostontime.
V asudhaSubr amaniam:
Heseemstohaveloggedoff.
ArunJain:
OK.Pleasegoaheadaskingthequestion.Unmuteyourself.
Pr a v eenMalik:
Vipin.
ArunJain:
Yeah,please.
Pr a v eenMalik:
MrVipinAbrahim,youarethere?MrVipinAbrahim.

VipinAbr ahim:
Iwanttoaskthisquestionthattherevenueof15%whichismentionedbasedonthereportednumber soflastyearorafteradjustingthegovernmen tcontract?
V asudhaSubr amaniam:
Afteradjustingthegovernmen tcontract.
VipinAbr ahim:
Ohalright,thankyou.
V asudhaSubr amaniam:
Welcome.
Pr a v eenMalik:
Thankyou,Vipin.Arun,MrVivekKumarwantstoaskonemorequestion.Canwe?
ArunJain:
Yeah,sure.Justonemore.Wehaveanotherfourminutestogo.
Pr a v eenMalik:
Yeah.OK.Vivekcanaskthequestionagainandunmuteyourself.
Viv ekK umar:
So,justcontinuingonthepartnerships,soifwethinkthattheypayoffandwhatpercentageofourdealswillbethroughpartnershipin2to3ye arslikeor4yearswhatever,Idon'tknowbecauselikewhenwillwefeelthatthisisdoneandwearethiswehavesucceededinourdistribution andwhatpercentageofdealswouldgotothepartnerslikethat?
ArunJain:
Ourtargetisthatcloseto20%dealshouldgotothepartners.
Viv ekK umar:
OK.Sowehaveonlytwominutesleft.SoIhaveonemorequestion.CanIaskSir?
ArunJain:
Yeah,sure.Continue.
Viv ekK umar:

Afewquartersback,yousaidtherearethreewidemovements.ThisisBaaSandGCBdigital,thecorebankingandinsurance.Peoplespokeaboutthelasttwo,buttheinitialBaaSthing.AnyupdatefromManishJi?
ManishMak an:
WedidonedealintheUSlastquarter.Withafairlylargetop20USbank.Sothatitworkedwell.
Viv ekK umar:
Oh,OK.AreyoufindingsuccessinthatintheUSmarket?
ArunJain:
Yes.IthinkwelaunchedtheBaaSintheUSmarket.MainlyManish,theBaaS,wehavelaunchedinitiallyintheUSmarketbecausethat'samoretechnology -savvymarket.
Viv ekK umar:
Oh.Thankyou,Sir.Thankyouverymuch.
Pr a v eenMalik:
Thanks,Vivek.Arun,wehavealastquestionfromMrRohitBalakrishnanfromithoughtPMS.Rohit,pleaseunmuteyourselfandaskaquestion.
R ohitBalakrishnan:
Yes,Sir.Goodevening.AmIaudible?
Pr a v eenMalik:
Yeah.Pleasegoahead.
R ohitBalakrishnan:
Sorry,Iwasonmute.Goodevening,Sir.Goodevening,everybody.Soveryencouragingtohearthecommentaryonwhatyouareseeingintermsofnewleadsandthekindoftractionthatyouaregetting.Fromnotimmedia tely,notinthisyearornotinthisquarterornexttwoorthreequartersorliketwotothreeyearsout,Whatyouhavebeentryingtodo,Ithinkisyouaretryingtoinvestaheadofthecurve.Butgiventhebusinessmodel,asyouhavealsomentionedinthepast,incrementalmarginsaregoingtobeveryhighatsomepointintime.SoIjustwantedtounderstand,howfararewefromthatinflectionpointwherewhatto20to22%marginswherewecangetgobeyondthatandgettomaybecloserto30%oreven30%andbeyond.Manyofthecompaniesthatarethereinthisspace,eveninIndialisted,havethatkindofmarginsandyouhave

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R ohitBalakrishnan:
That'sveryhelpful.Ithinkthat'sprettymuchit.That'sitfrommyside.Thankyouverymuchandalltheverybest.
Pr a v eenMalik:
Thanks,Rohit.Arun,thatisallwehave.
ArunJain:
Yeah.Thankyouverymuch.
Pr a v eenMalik:
Anddon'thaveanyfurtherquestionsortimeisalsoover.Sothankyouverymucheverybodyforparticipa tinginthecall.Incaseyouhaveanyfollow-upquestions,pleasedowritetous.Thankyouverymuchandthankthemanagementteamalso.Thankyouverymuch.Youcanlogoffnow.

Call: Nov 2024

Intellect/SEC/ 2024 -25 November 01, 2024

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol:
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code:
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regul ations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call held on Oc tober 2 5, 202 4 on the unaudited f inancial results for the quarter ended September 30, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Desig n Arena Limite d,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above
Q2
Results
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2024-25
Intellect's
Q2
FY25
Financial
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Investor
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Call
Transcript
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Intellect Design Arena Limited's financial results for the second quarter of the fiscal year 2024-25, ending 30th September 2024. The investor presentation and the press release have been sent to you and are also available on our website. Our leadership team is present on this call to discuss the results. We have with us today, Mr Arun Jain, Chairman and Managing Director Mr Manish Makan, CEO of iGTB Mr Rajesh Saxena, CEO of iGCB Mr Banesh Prabhu, CEO of IntellectAI Ms Vasudha Subramaniam, CFO. Some other senior members of the Intellect management team are also on the call. Now, I hand it over to Vasudha to take you through the financials, and later, Mr. Arun Jain will comment on the same. This will be followed by a Q&A session, where our senior management team members will answer your questions. Once the Q&A starts, you can ask a question by clicking on "Raise your hand." We will unmute you so that everyone can listen to you. One safe harbour: I would like to remind you that anything we say about our outlook for the future is a forward-looking statement. This must be read in conjunction with the risk the company faces. With this, I request Vasudha to give her a briefing. Over to you, Vasudha.

Vasudha Subramaniam: Thank you, Praveen. Good evening, all. Thank you for joining us today. It's my pleasure to welcome you to our investor meeting. We appreciate your continued support and interest in our company. Today, we will provide an overview of our financial performance, discuss key highlights from Q2 and share our strategic outlook for the future. Together, we look forward to achieving our shared goals. Let me start with the financial overview. Our revenue for the full year FY24 stood at INR 25,064 million. We are a zero-debt company with a cash balance of 7,760 million. We are specialists in financial technology and open finance design. Complexity reduction and transformation design are at the core of our work. We have strong partnerships with Microsoft, Oracle, and Accenture, to name a few. Intellect is on the path of continuous innovation and spends 2 million hours yearly on research investment spread across 34 plus nationalities. Design thinking is in our DNA; as you know, we opened the world's first design center for financial institutions in 2013. We have had more than 6000 visitors across 60 nationalities from more than 150 banks visiting us till date. There have been a whopping 600 walkthroughs to date. The Design Center is the incubation hub for innovative and customer-centric products. eMACH.ai, our First Principles Thinking based most comprehensive, composable and intelligent open finance platform having 386 micro services 2015 APIs and 650 events. With this state-of-the-art platform, we transform everything: the enterprise, the experience and the operations. Let's get into the performance overview. Our total revenue for the quarter stands at 556 crores, with licenses contributing to 85 crores and AMCs contributing to 120 crores. Our license-linked revenue is 250 crores for the quarter, and our annual recurring revenue stands at 662 crores. Our gross margin is 298 crores, which is 54% and EBITDA is

79 crores at 14%. At this juncture, I would like to mention that we had signed a deal close to 3 million in Q2 but could not accrue it in Q2 due to delayed sign-off. This would have taken our EBITDA to more than 100 crores. Collections during the quarter amounted to 550 crores and our cash position as at the end of Q2 is 755

crores. We had 12 deal wins and we went live on nine digital transformation projects during the quarter. Our DSO outside India is 119 and in India it is 270, which makes overall DSO at 146. For the half year ending September 24, total revenue is 1161 crores with 210 crores coming from the license, 241 crores from AMC and 112 crores from the platform revenue.

We have had 23 deal wins during the half year and 21 new deal transformations have gone live. PBT for H1 stands at 168 crores and PAT stands at 127 crores. In the last 12 months ending September 24, our total revenue was 2,344 crores with 468 crores of license revenue and 470 crores of AMC revenue. EBITDA for the period stood at 20% and we had a PBT of 408 crores. In the LTM, we had 53 deal wins and we had gone live on 52 digital transformation projects.

Q2 Results FY 2024-25 Talking about revenue mix, 39% of our revenues are in USD followed by 18% in GBP, 16% in INR, 7% in Euro, 6% in CAD and 14% from other currencies. The numbers we went through in the previous slides are presented together in a tabular column here with further details. eMACH.ai is accelerating growth with deal wins and digital transformations in Q2, detailed in the forthcoming slides. eMACH.ai has been selected by 12 customers across the globe in Q2, and these financial institutions look forward to embracing Enterprise Connected Intelligence through the first principles thinking-based open finance platform. We have six deal wins in the Americas driven by eMACH.ai. Our corporate digital transformation deal in the Americas paved the way for our entry into the Mexican market. Our Magic Submission and eMACH.ai Xponent are highly capable offerings that have been inked by five large and speciality insurance firms in the US. In Europe, we had two major deal wins. eMACH.ai Xponent for easier underwriter consumption will be used by the

UK's largest business insurance provider and a UK-based leader in global finance with a huge asset size of €1478 billion will be using our payment solution. We continue to offer low-cost and reduced-risk products to all our clients. There are four deal wins in IMEA; our card platform is chosen by a large foreign bank in India Our wealth platform has been chosen by one of the leading banks in Saudi Arabia. A tier-one lender in Kenya has chosen our eMACH.ai lending platform, and the largest bank in UAE has chosen eMACH.ai CTX to power their customers with higher returns on their cash capital. We have made nine digital transformations this quarter. The icing on the cake is the significant digital transformation deal going live with our liquidity and CTX in a global tier-1 bank. This is the largest program in the bank, impacting processing of about 15 billion dollars per day and running in 50-plus countries on a single instance. Here are some of the analysts' endorsements that came our way. Datos Insights has recognised eMACH.ai Magic Submission as an intelligent document processing ecosystem solutions provider, and eMACH.ai Digital Lending has been identified as a vendor providing

AI functionality in business lending. Celent has recognised our Xponent as an underwriting workbench with strong decisioning tools. Chartis has recognised our credit lending operations as leaders in 5 different quadrants. Gartner has recognised us as a representative vendor in digital marketing, multi-channel solutions and commercial loan origination solutions. We are proud to celebrate our excellence in human Capital. We have received the Gold Award for excellence in creating a culture of continuous learning and up skilling at The Economic Times Human Capital Awards. Secondly, we have been honoured with the Most Preferred Workplace for Women Award 2024-25 by the Republic World and Team Marksman Network

Q2 Results FY 2024-25 We have a funnel of 8,889 Crs as at end Q2, with Destiny deals accounting for 64% of the funnel size in the quarter. The average deal size of the Destiny deals is 50 Crs, and our Destiny deals as a percentage of the total opportunity size hovers above 60%. Our funnel has grown by 18% over the last one year. The number of destiny deals that are being pursued has also increased from 74 at the same time last year to 89 this year. In summary, we

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much and over to you, Arun. Arun Jain: Thank you, Vasudha, for taking through the numbers. So, first of all, in my commentary, I think this quarter's financial results are not in line with the expectations of analysts that Praveen Malik mentioned in the Safe Harbour statement: We can't predict the future. We try to make it possible. I'm looking at the analyst perspective differently from an investor's perspective. From the investor perspective, last quarter accrued significantly in terms of 2 main shifts we are doing. So, if you're observing as an investor in the previous six quarters from March 2023, We are shifting eMACH.ai to drive the aspiration of having a larger significant business from the US and Europe and Australia. So, the advanced market share we wanted to increase, and

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three quarters. Then, in the last three quarters, we have approached the problems differently. And this time, if you see it, we have close to 2/3 rd of the deals won from advanced markets. So, out of 12 deals, eight deals are from the advanced market. So that's a big shift which we are looking at. The second shift we are doing is around the distribution network. So, in the last 4 quarters, we have been building trust among the four influencers in the market – Deloitte, KPMG, EY, and PwC. So, these are the four key players for my consulting side who are influencing buying decisions. We are working with BCG and McKinsey as a key Board-level intervention and there are seven SI's we are working on distribution networks. So, our distribution partnership team, the second lever for our predictable revenue, is coming from that area. So, first shift is towards getting a higher margin business and a large sustainable window size. The second is towards building sustainable revenue.

Those are the larger canvases which we built around the largest suite of eMACH.ai. As soon as you move to the Americas and Europe, I think we need to recognise these large institutions which we are working, which is tier one institutions in the space of what you call JPMC or Citi or HSBC or Wells Fargo, these are the names Santander all these names desirable name in any product company that they are acustomer whether it's HDFC or ICICI. All of them- ENBD - are the kind of customers who need to be there. Now, for each of them, the only problem is that each customer requires five bridges to be crossed to close the deal. And with more global volatility, the risk department is taking longer and longer cycle time to close the deal bridge. Bridge number one is the business manager, where we need to sell the concept. Bridge 2 is my technology

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deals which we are already in the contracting stage, I'll ask Manish, Rajesh and Banesh what we are looking at and how is the business opportunity we are looking at it. And those deals are still - on your question - , would be the basis on our guidance of 15%. So, I think now, at this point in time, I would say we stopped taking the guidance because these deal values are large, like what Vasudha has mentioned. There's a deal of 3 million dollars that we got signed just one week later because of the paperwork of 15 signatures. One signature happened only on a much later date - rather the whole deal should have been signed. Now that has impacted, let's say, the 100 crores EBITDA versus non-100 crores

EBITDA. At least many more deals of a similar nature which are there already we won the deals and are still in the contracting process. So, it's not for a defensive position that we are postponing. But it's the nature of the business that we are in, and that's why I'm addressing the investor. This is a core business model issue because we are looking for a big ARR. So, we are looking at a single ARR of $1 million, $2 million. The annual recurring revenue of $1 million if it is signed, normally small startup will sign $20,000 ARR or $30,000 ARR. We're talking about an ARR of $2 million. Now that those ARRs are creating a huge value for the company, signing up multiple times for evaluation is taking an equally longer time. So, once I shifted to distribution, Microsoft, we worked very closely with them, and now we are the top 5 players in the banking and financial sectors. They have chosen us in that category now. So, the entire lifting up of Microsoft has gone up. AWS is doing a similar job in other geographies with our financial sector inputs. As a consulting firm, we now have a full-fledged organisation. We opened a new partnership office in Bangalore to service these partners and do a boot camp with them and then global integrators. So, we are now ready to integrate eMACH.ai with iTurmeric and Purple Fabric. We are prepared to let go of implementation to our partners, and we are successful in implementation. And in the Philippines is one of the largest deals where Accenture

implemented our solution, and that's why we are building a good capacity with Accenture. So, this is on the distribution side. At this point, I would like to invite Banesh to discuss how he sees AI in insurance and wealth. Banesh: Thanks, Arun. I think I'm going to stay, you know, on the same theme that Arun brought up. I think if you've seen your company consistently winning insurance deals in North America over the last couple of quarters. Our insurance business is primarily focused on North America, and it is a complete 100% AWS SaaS subscription platform. Over the last quarter, Vasudha highlighted all the deals we have won over the last quarter. We have got a good amount of 5 odd

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expect that every quarter, we will sign subscription deals. Now, all of you know that subscription, as Arun mentioned, ARR gets accounted for every quarter on a monthly run rate basis and therefore, the revenues that you sometimes see you know do not justify the shorter-term subscription revenue, but they grow significantly over some time. We've got over 25 customers in North America right now in the insurance business, but what's interesting is we just completed a recent sort of mega event for insurance in the world, not just in the US. It's called the ITC event in Las Vegas, where we shared the primary booth, which had almost 300 people come to it. We shared the presentation jointly with Microsoft to the whole panel. I think almost 9000 people attended it.

So, I think our insurance business is what you are seeing. And your company is seeing that it is actually a very solid frame of business. Now. We have a bunch of deals which are pretty large ARR, as Arun mentioned, and there also seeing some people, based on the sheer size of the business and the growth they're seeing, would also like to consider doing license deals. So, we are actually very flexible in the way we approach how we can help the customer succeed. And just to remind everybody, we are sort of the best in the underwriting ecosystem in the US. As a matter of fact, recently, we've been awarded again for 2024 the Luminaries award by the leading property and casualty insurance analyst that covers pretty much through an independent panel insurance capability. So, I think what I would like to say that this business momentum is growing, and it will, for both large and smaller deals on a regular basis, keep your subscription revenues. So, that's a bit on the insurance side. I'm going to touch on the very exciting area of AI or your platform, Purple Fabric. We've had pretty much all the partners that Arun mentioned leading audit companies, some clients of ours. I think we've done over 35 sessions in the last quarter. And what this platform does

differently is because there's a lot of noise, a lot of AI platforms there in the market today. I think what our platform does differently is it helps financial institutions manage their data securely.

Because we know all the security threats that today exist on data, both information securities as well as privacy. We help them govern their AI initiatives because many people try small pilots. There's a lot of noise. There are lots of companies that are looking for small use cases using Chat GPT and various types of large language models. I think we believe that our financial

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the process of contracting, and I'm sort of hopeful over the quarter, we will clear out some of these contracting things. Remember, AI is going through a significant amount of regulatory influence, with new regulations coming in. So, even the contracting teams do take time to put together all their signatures before they go ahead with us, but I just want to leave with you that

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We've had, you know, four excellent deals.As you know, last quarter we had a significant deal with one of the largest asset managers in the world. But similarly, we've recently won a very good deal in Saudi too. And I think our platform is well geared to be able to capture what is a growing wealth business quite significantly in most of the markets we are focused on. I think Arun, that's a bit of a snapshot. In the longer term, the business, where it stands with its leads and capabilities, is really well positioned for an investor, keeping in mind a longer-term return for the company.

Arun Jain: Thank you, Banesh. I think today’s message is on the release, as well as the Purple Fabric announcement. This is a very unique platform. Last time, we promised to have a separate session with the investor. Banesh, maybe we can schedule. We should do a separate invite to the White Purple Fabric and AI. Because a lot of investors don't know what they don't know and it's very noisy, as you mentioned. So, if you can schedule a session in the next two/three weeks, Praveen, for the investors session only the last time they requested it, I think we were so busy with the client and prospect that we didn't pay attention to the investors. So, maybe whoever is interested can request and participate for an understanding of what the market is doing, what Palantir is doing, and where we are where the customers who

have been using Palantir are finding

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we are from a GCB perspective. And in line with what Arun and Vasudha talked about, our focus is on advanced markets, so let me pick Europe as an example, talk about what's happening in Europe. You have heard me talk a little bit about Europe for the last couple of years and how our strategy is pivoted around Europe. And I think over the last couple of quarters and years, we have been making investments and building our Europe sales team, presales team, delivery team, etc. so that we can have a critical mass there. Europe from a couple of years back where for GCB, Europe was a very small proportion of as a percentage of revenue. This year, in fiscal 2024-25, my estimate is that Europe will be more than

25% of my revenue will come from Europe. So, that's what we've been able to build. Let me give you a little bit more colour around Europe. So, I think if you look at it from an existing customer’s perspective, you will recall that we have had a couple of wins in the past. We talked about Santander UK, a subsidiary where we've got a core banking site. I am happy to inform the investors and analysts that we've been able to renew this contract, and we have actually renewed it with further more work. A couple of years back, we also announced the deal with Otto, one of the second largest e-commerce players, where we provide our core and lending platform. There also the customer is very happy with us and they have actually been able to increase our footprint in order. So, there the strategy of increasing our and trying to do more with our existing clients is working very well in Europe. From a new client’s perspective, though, we couldn't sign large deals, and I think Arun talked about that. We have five deals where we are in the last stages from an Europe perspective;

two of them on core banking are in the UK, two are in continental Europe, and one is in South Africa, which is a multi-country roll out. So, I think we are seeing our proposition, our references, our investments that we have done, and hopefully, in the next couple of quarters, we hope to close these deals and bring the license revenue in. So, that was a little bit about Europe. I also wanted to take a minute to talk about that learning from iGTB Oxford, it has been able to make a sage brand and doing this transaction banking event. For the first time, from November 4 th to November 7th, we are having a central banking event on similar lines that we do in GCB where we are doing this in Oxford at the Rhodes House, where we now have about 50 central bankers, and these central bankers range all the way from governors to deputy governors and executive directors attending this event with us, and we have about 30 confirmed speakers globally coming into this event. So this is the kind of effort and

thought leadership that we've been able to create in Europe and this is something similar that we are doing in other parts of the world. So, I just thought I will pick up Europe since Arun and Vasudha talked about it. And you know, sitting where I am, I'm feeling very bullish about some of these deals. So, hopefully, in the next couple of quarters we should be able to see good results.

Thank you, Arun.

Arun Jain: Thank you, Rajesh. I think the importan thingt is the eMACH.ai and core banking, which we are able to implement in Santander UK or Otto. They're happy customer because, a lot of times, this transformation is never completed. A lot of people promise. Now, in PNG, one of the largest banks, has gone live on core banking transformation in 7 months.

It's the fastest transformation, and it's on the website. Their chairman is publishing how they help the customers to go live in 7 months. So, that's why I think we are creating differentiation over our competition. Manish, it's your turn for your GTB brand and large account access you have, the dream account access.
Manish Makaan: Thanks, Arun. I feel quite proud that we've implemented a

successful market strategy by aligning all our eMACH assets, both IP and Talent, across tier one and Tier 2 banks worldwide. A core strategy has always been to grow with customers globally and extend to other regional or local banks in the market where we enter through global tier-one banks. So that helps us to remain with the market leaders and establish a market leadership brand.

This alignment has fostered deep trust and a strong relationship with the top 60% of the banks across all continents, leads to high-quality revenue growth consistently for us. A steady stream of winds has demonstrated continued success and impact of the strategies. In this last quarter, we moved to very, very large banks close to a trillion dollars of their assets deposit base from one platform to the other. And it's been very big success for them. So, our capability to execute large executions is also a proven point in our winning strategy. This has now further been strengthened with the enterprise-grade eMACH cloud availability, which, in the last 120-150 days, Arun was talking about, we've been rolling across markets. The big differentiation this offers now is that our core capabilities are available in a unified solution. And they have embedded AI into the core platform. This also excites all our system integrators and consulting partners. Now that they have the capability to roll out and implement these things effectively. Additionally, we have been working with McKinsey and BCG to articulate better the unique value we create for wholesale banks. I think we are one of those unique partners who understand the depth of the corporate, understand what a retail industry, what, an oil and gas industry, what different industry core needs are, and we're able to compose composite

solutions for each of the corporates using that. Based on this, in the last quarter, we closed four significant deals across the Americas, Europe and the Middle East. And notably, three of those four were existing customers who bought more capability and more IP from us. The 4th customer we opened up in a new Mexican market. The beauty of that is that a number of senior executives from this bank had experienced our wholesale banking CBX in their previous roles, in their previous lives. So, consistent endorsement and high NPS have helped us continuously to win in these markets. I think looking ahead, I see a robust pipeline of about ten deals we expect to close. These are deals between 20 to 30 crores across the next 4 quarters, and I will look at the 4 quarters as two different horizons. H2 FY25 as the first horizon, and then H1 FY26 as the second horizon. For this period, I'm quite bullish, and we just concluded last week with a very successful Sibos. There were apprehensions about it being in Beijing, but despite that, we managed to pull a good amount of customers and prospects, and we had over 130 meetings over there. I'm looking forward to monetising these connections and strengthening our sales funnel further with this successful event conclusion. Thanks, Arun, back to you.

Arun Jain: Yeah.

Thank you, Manish. I think the overall commentary is we are busier than at any point in time. I have personally visited 20 different cities and met the customers and the prospects. I think the kind of appreciation we are getting from the market is that you are better than any other architecture framework which is there. I would say this is a journey of Intellect

3.0, where we are looking to expand some sales investments in the next 4 quarters. So, there will be some additional cost on the sales investment because there's a right time, and we can leverage it, whether it's in the sales of Purple Fabric. So we were discussing multiple times whether that should take AI business out of Intellect. However, we believe that the AI business is a core part of our strategy, and it works in an integrated way. But we need to make an investment. We have sitting on a large cash pool of 700 plus crores in our kitty. This is the time when we'll be putting some investment into expanding the sales network in the US and Europe. Our proof point has been established in the last six quarters. So that's the most important piece that we wanted to prove whether it's working or not, and the first three quarters are just like concept selling. But after that, it became a really good value creation where we can have a deep conversation with the CIO about how you can reduce his cost by $50 million over the next five years. What kind of conversation can we have at a strategic level? It lifted our conversation from a product level conversation to a strategic level conversation with the customer, and that's where a significantly deeper relationship can be. We have close to around 35 accounts with and there is a potential for each account to become a $10 to $20

million size in the next 3 to

5 years, and that is the potential to can become 500 to 700 billion dollar business. So, I think that's why our excitement is very high and we are all travelling. Rajesh is in the US, and Banesh is in London. So, all of us are in different parts of the geographies in this period. So, I know the numbers for this quarter are not met.

But look at it from an overall investor perspective. The company has got better assets. We had such an event happen in the last 6 years of the journey and that every 3 years that something drops down and then come back again. So, this is again an opportunity for somebody to find investment opportunities in the company. Thank you. I'm willing to have some questions.

Praveen Malik: Thank you, Arun. The forum is now open for Q&A. If you have a question, please click on "raise your hand." I repeat: If you have a question, please click on "raise your hand." First, we have Mr. Vivek Kumar. Vivek Kumar from Bestpaul . Vivek. Unmute yourself. Vivek: Am I audible, Sir? Arun Jain: Yeah. Praveen: Yes, Vivek. Please go on. Vivek: Sir, thanks for the opportunity. My question is, when will we get back to this EBITDA being about 20%? That is definitely a function of the deals, and every quarter, we are missing a few deals at the end. A few deals are getting postponed to the next quarter signing up, and because of that, margins are getting affected. So, for the last two and a half years, you've been investing in eMACH.ai and all these new platforms. From the Investor Day, you were saying that you are so positive because you are looking at the current demand and prospects. So, when do you think all these products will fire up, and we will definitely stay above 20% margin and good growth? When I say good growth, it is about 10% or 15%.

Irrespective of all these small events, because these are not big things like huge disruptions or COVID kind of things, these are like one deal getting signed or delays even accounting for delays and minor disruptions. When will we as a company go about 20% and stay there?

Arun Jain:

It will be, I think when a 20% EBITDA margin is not a big issue. Even LTM is still 20% plus on the LTM basis. Maybe in the next 2 quarters, we'll see a significant shift. If you look at it, it is on an annualised basis. So, we are quite bullish about it. Ten deals in Manish, five deals in Rajesh, and three deals in Banish are all more than 3 million dollars each of them. So even if you are able to convert out of those 18 deals, 6 to 7 of them will be above 20%.

Vivek: So, growth, Sir? When will we get back about this? Because we have designed our company as architecture in 20% growth. So, and because of this GeM and your investments taking time to pay off, I think this is getting delayed. So when will we get back to this predictable 15% growth?

Arun Jain: That's right, yeah. Last quarter, I mentioned the 700 Crs annual run rate. So, I think our target in the next three quarters is to have at least one quarter above 700 Crs. Which is lucky quarter could be that's another point of view because these sizes are big.

Vivek: OK, Sir, on the digital core

banking, can you throw more light off because you said we have come on to the top 3 and we are fighting deals and how many deals are we fighting in the digital core banking and how are we faring with respect to competition, Temenos and Thought Machine? So, if Mr. Rajesh can throw more light deeper light on that.

Arun Jain: Rajesh.

Rajesh: Yeah. So,

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core
banking
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again. We are in a very sweet spot because we have the latest technology stack with a new-age platform brings but we also have the domain, the domain and the width of the product. So, we are really in a sweet spot for able to do, and whenever we compete, I would say that we

are winning. You know as much as

the Temenos or a Thought Machine will win. So, it's the top 3 players, and we are seeing good traction in that. The other point I wanted to make was that last year, we announced the win of OTP Bank in Hungary. As a reference point, OTP Bank is like the HDFC of Central Eastern Europe market. It's a very prevalent bank there, and we are currently implementing it for OTP. The kind of maturity our platform is getting is because of what we are doing for OTP. I can confidently say that from a platform perspective, we are to be the world's best platform from a core banking perspective That's why there is so much bullishness from that perspective. Vivek: Thank you, Mr. Rajesh. Mr. Arun, someone mentioned that clients prefer license deals. Is there any shift towards clients preferring licenses, or is it just a random remark? Arun Jain: They both are there. I think that people in large tier-one banks prefer license revenue. Sometimes, they look at it as we want to sell recurring revenue because that's for a 10-year deal value recurring when you have $ 1 million is a $ 10 million revenue, while a license of 2 million doesn't give you that. And our values are like FLEXCUBE. If you look at it the Oracle OFSS. As they say old pickle or old Wine. The wine is costlier if it is old. As the company become older the value of the company grow o r Bigger our company grows; its value gets increased. We prefer these annual ARRs, but if a customer has a very large deal value running into 4 or $5 million in license revenue where the AMC itself is $1 million, we are okay with going for license revenue.

Vivek: Sir, last question on the BaaS. Two years ago, Mr. Manish said we are trying to do it in the Americas, North America and the advanced economies. How is it traction in the BaaS strategy that we have taken? Manish Makaan: We did announce a deal in quarter one on that in the US market, and we are working with 3 or 4 more of those in, like I said, out of the ten deals in the marketplace. See, it's I would wanna add to what I said. Its BaaS is one thing, the second significant shift is embedded AI in our platforms and that's what everyone's looking at of how I can transform my operations with AI doing it outside the platform versus because of our Purple Fabric assets, our capability to orchestrate within our platforms. I think that's the magic bullet right now, which is creating my excitement and has a big differentiator in the market.

Q2 Results FY 2024-25 Vivek:

Thank you. Thank you, Sir. Thank you, Mr. Arun. Thanks for the opportunity.

Q2 Results FY 2024-25 Praveen: Thanks, Vivek. Next, we have Mr Umang Shah from Banyan Tree Advisors. Mr Umang, please unmute yourself. Umang Shah: Hi, am I audible? Praveen: Yeah. Please go on. Umang Shah: Yeah. Hi. Thank you for the opportunity. Two questions. How much investments are we planning to make in the eMACH.ai in terms of setting up sales offices in North America and Europe, that was the first question. Second, North American banks have been very reluctant to move to newer technology, be it core banking or cloud native platforms. So, what gives us this confidence that the eMACH.ai platform that we currently have will help these North American banks leapfrog from their 30–40-year-old legacy systems to the current microservices architecture? What are the conversations that have changed over the last 2 years and have not changed for the last 10-15 years? Those would be the two questions. Thank you.

Arun Jain: In response to the first question, I think in the next 6 quarters, we should be spending around… we still have to work out the details on the investment, which will be close to $20 million. We are in the board meeting we were discussing about it that it's an opportunity. It's the lowest cost investment because the products are ready. People take time to build the product over here. We have invested the last 10 years in building the product. Now it's time of GTM. So, it takes 9 to 12 months for the sales team to start realising the value of what is invested. To respond, second question to you on why American customers are more open right now. I think the cloud technology and AI technology; I think what Manish has mentioned embedded AI is a sweet spot we are getting because we are talking about enterprise-grade AI platform, not ChatGPT as a transactional grade solution. So, we are

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are
embedding
AI
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lending
system,
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customer
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for
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banking
system.
Still,
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my
iTurmeric

and Purple Fabric, we can offer

application rationalisation, which is an emerging space because they are running, let's say, 30 applications that are fragmented with a fragmented database. With the AI we are able to consolidate those 30 applications into two applications. That's a big win for their perspective. So that's how we are addressing to build a trust in US. So, I must appreciate your deep study in the market that they will not be changing core system. We are also not asking them to change core banking system. Banesh: Arun, just wanted to add if it's fine, right? So, thanks for the question. You know, at least on the insurance side, one of the things we are seeing is everybody using a cloud-hosted multi-tenanted platform. However, on the banking side, the interesting thing is that eMACH, because of the nature of its architecture, can coexist with its legacy. So, I think you can take certain pieces and not transform all of the core banking in one shot. I think it is a very, very interesting way of actually implementing and coexisting along with legacy regardless of whether you go to a cloud solution because we are agnostic on cloud in eMACH. You could take parts of this, compose it and execute it to actually improve the priorities for a client and get good business outcomes rather than expect to do a full transformation, which was something that many people had to do in the past, and you know, had its own challenges. Umang Shah: Great Sir, this is

very
helpful.
Thank
you
for
explaining
this.
So,
because
we
are
reluctant,
I
mean
the
banks
are
reluctant
to
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full
transformations
and
our
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banking
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would
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for
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and
help
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nature.
Then,
wouldn't
eMACH.ai
actually
compete
with
your
core
banking
product
which

you have for the banks?

Arun Jain: Core banking product is embedded into eMACH.ai. So all the microservices are available; like in Otto Payments, which is the largest company, we embed the core banking microservices into the application. So, I think we need to just explain to you more clearly that microservices is what we said 386 microservices. We may choose fifteen microservices to make an application rationalisation which can coexist with the existing core in phase one, Phase two, and Phase three. So that's what we are proposing: we can help the bank reimagine banking rather than modernisation.

Manish Maakan: Arun, just adding to what you said, look at some of the modern new core banking players. The difference between what they have and what we have is they just have an SDK, and the domain depth of those capabilities is really lacking. Our experience and expertise in rolling

these things out across these large tier-one banks across so many markets. So, we have modern technology, which has been recomposed on the eMACH architecture, and we have 30 years of depth of expertise. You don't overnight become that expert. You can read a

ChartGPT, but ChatGPT doesn't give you depth of knowledge. Depth of knowledge comes from experiences. Jokingly says cars we have on our tracks, building and learning through these 30 years of journey. You can't underestimate that for any new competitor. Enterprise-grade technologies are not built overnight. Umang Shah: Great, Sir. Thank you so much. Praveen: And so on. Next, we have Mr. Ravi Mehta from DEEP

Financial.
Ravi:
Yeah,
am
I
audible?
Praveen:
Yeah.
Please
ask
your
question.
Ravi:
So,
my
question
was
more
about
the
Environment.
So
we
hear
a
lot
of
IT
service
companies,
you
know,
giving
good
commentaries
around
BFSI
demand
uptake.
How
is
it
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At
least,
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four
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and
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signing

is delayed, at which leg it is getting delayed, whether it is the, you know, concept selling stage or the compliance or risk. Just want to understand how the environment is changing and where exactly the delay is happening. If it's at the closer end of compliance and all, it is still OK whether the initial pitch is getting sales through. Just want to understand that.

Arun Jain: Okay, so I think that if you look at the lead generation process to the closure process, we call it P0 to P5. Six stages. Our lead generation process, as Banesh puts it, now we need to really take a conscious call about which are suspecs and which are prospects to further work on, which is how do we move from P0 to P1 to P2. So, we have a good amount of traction in last one quarter, we added close to 150 plus or 180 leads in this same quarter in the funnel. There is a significant acceleration happening in the lead to opportunity, which is close to 100 leads have moved to opportunities. There's a movement happening. What the results issues are there, which is related to 50%

of issues are related to the contracting phase after the

Q2 Results FY 2024-25 third fourth bridge within the deal win. So, after winning that deal from the business manager, the technology manager and CIO/ Architect - After qualification of this gate. We are stuck at gate 4, gate between gate 3 and gate 4. We are stuck at the procurement and want to negotiate 100

thousand
dollars.
Somebody
wants
to
put
in
some
contract.
One
meeting
will
happen.
The
second
meeting
will
happen
after
4
weeks,
5
weeks.
So
those
are
the
things
which
are
50%
really
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stuck
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Vasudha
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2.
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architecture
and
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deals
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are
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to

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country.
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need
to
re-establish
our
ability
to
reference
that
country.
So,
some
of
the
Nordic
countries
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some
of
the
European
countries
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we
don't
have
a
footprint,
our
own
footprint.
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takes
reference
ability
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extends
the
time
they
go
for
the
reference
check
for
the
existing
client.
We
are
in
the
last
two
I
think
we
are
reaching

the
last
two
with
eMACH.ai.
Most
of
the
deal
is
almost
80%.
Once
we
are
able
to
apply
for
an
RFP,
we're
in
the
last
two.
The
last
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the
other
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50%
deals.
So
50%
deal
is
after
we
have
won
the
deal,
there's
a
time
to
close.
With
all
the
tick
marks
of
auditors,
it's
a
big
shift
for
all
the

Risk Committee members. So, Ravi, have I answered your question?

Ravi: What would be, you know, the timeline of closure compared to, say, maybe 3-4 quarters back and today has it shrunk or is it getting if the deal size is the same? I understand that you're getting into larger deals will take time, but a similar size deal is it shrinking?

Arun Jain: It's for

us.
It's
expanding.
So,
there's
no
shrinkage
for
us
even
12
months
back,
we
were
not
shrinking.
IT
services
company
maybe
shrinking,
but
we
were
not
shrinking
and
4
quarters
back
also.
So,
our
valuable
position
is
not
shrinking.
Ravi:
And
just
one
bookkeeping
question.
The
subscription
revenues
had
actually
fallen
Q-on-Q.
I
thought
it
was
sticky
business
when
you
learned
that
our
client
was
getting

into a subscription contract. So, anything to read into? Why is it so?

Arun Jain: The subscription revenue also flips on recognition system of subscription revenue because as per accounting policy, if subscription revenue of license is independent of the infrastructure, one can accrue full year revenue in a quarter. So those are the flips in their subscription revenue.

Ravi: Okay. Thanks.

Praveen: Thanks, Ravi. Next, we have Mr Rahul Jain from Dolat Capital. Rahul. Please unmute yourself. Rahul: Yeah. Hope. I hope I'm audible. Praveen: Yeah. Please go on. Rahul: Yeah. So, just a couple of questions; I think firstly to extend the part that we were discussing earlier on the SaaS reduction. So, is there an element of annualised booking in one of the previous quarters for us to have this number at this point? And secondly, is there still a GeM kind of revenue element which could have caused this thing in this SaaS revenue line?

Arun Jain: No, there's no GeM revenue.

Vasudha: There is no GeM revenue there. so but one or two projects, yeah, we had a high subscription revenue in the previous quarter because it's all depending

upon
volumes,
right.
So,
if
we
have
a
higher
volume,
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naturally
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subscription
revenue
will
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higher.
So
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way
we
had
some
in
last
quarter.
Comparatively,
it
was
lesser
in
this
quarter.
That's
it.
Rahul:
And
have
we
observed
this
in
multiple
accounts
and
not
one
or
two
specific
lines?
Vasudha:
Yes.
Volumes
will
not
be
consistent,
right?
So,
it
will
not
be
the

same from one quarter to other quarters so will be ups and downs.

Rahul: Yeah, that we understand. But this is a significant decline so like a 30% decline. So, that way, of course, it sounds pretty different from that context. And we, on the demand side, Arun Ji, of course, have explained in detail how some of the landscape is shaping up. But

FY 2024-25 from our specific pipeline perspective, what is the way to go back to 15 to 20% kind of growth journey? What are the challenges you see in the immediate future in case you know that it becomes a risk from the next 4 quarter perspective to go back to 15 to 20%?

Arun Jain: The deals are there in the pipeline and I think it's a question of when it gets accrued. So, we just need some more patience in this area, which we should have taken care of in one or two quarters. But, we are looking for a positive number. I mean coming quarters because deal pipeline has been matured now.

Manish Maakan: I think Arun, just to add what you said, if you look back in the past, also Q3, Q4 typically are better quarters for us. That's why the annual we say. So, we just got to watch that out. Arun Jain: Because it's better like America and Europe, most of the budget cycle is Q3-Q4. So, the budget cycle of America and Europe is linked to the budgeting cycle. When we have more deals in this part of the world, Asia

Pacific, it's Q1 and Q2, which are also good. But Q3 and Q4, when we move our focus to America, will be better in Q3 and Q4. Because their decisions are budget cycle decisions and planned decisions, while in Asia, decisions can happen anytime.

Rahul: Understood. And you know, one of your competitors, Oracle, they've been witnessing a significantly higher value of cloud deals in the total license fee that they are signing. And our conversation suggests that they see significant traction from the cloud deal perspective. So, is there something like that our positioning in those kinds of deals is slightly different, and that's why we see the slight difference from the momentum difference? In the last couple of quarters versus what Oracle is probably delivering right now? Arun Jain: Yeah, Rahul, Oracle has the advantage of 4 deals of 20-year-old deals which they are migrating to the cloud. So, they are when I look at the study, the new wins versus migrating wins are the upgrade wins. So, when they upgrade, they are upgrading on a cloud. So that's a tailwind that is available with them. Rajesh mentioned Santander, we upgraded, and Otto, we upgraded. So, whenever we upgrade the client, you get a higher value and pricing for the deal. We are still not as big as Oracle's financials on the existing clients, which are more than 10 years old.

Q2 Results FY 2024-25 Manish Maakan: They are also trying to leverage the lost ground on cloud computing by subsidising some of these deals on a cloud basis. Arun Jain: Even

Oracle is subsidising. Manish Maakan: Yeah, Oracle cloud they say comes at the same price we are in competitive bids. They say whatever is the other person's bid, our bid is along with cloud. So, they need to show cloud growth because that's where they're losing out with Amazon or Microsoft. Rahul: Understood Mr. Manish your point and sorry, Arun ji, if I missed the comment

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annual
guidance
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this
year
or
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are
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we
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you
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now?
Arun
Jain:
You
want
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pinpoint,
but
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don't
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to
give
any

more guidance with the kind of volatility that happened in the deal. So, we want to avoid any guidance. What we want to do is commentary on the quality of the business and the conversation quality of the business. This quarter and quarter pressure is unnecessary and depletes our energy at the company employee level. They feel that suddenly, share prices move up and down. Our

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is
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So,
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4th
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Manish
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and right margins for the organisation. By expanding the footprint, the most beautiful thing is now cross sell of all product lines into large tier one banks with GTB really won them early. There's a lot of effort on their AI is behind us. It's just two quarters we have come off GeM. And H2 is always better than H1. These are factual statements. I'm saying

none of this is an emotional comment. I think we need that confidence and support of each one of you on this journey. We've enjoyed it. We look forward to that.
Rahul: Yeah, it's definitely heartening to hear that. And we are sure in last 7-8 years, Intellect has been the fastest growing in this category. So, we don't have any question around

it. We're just trying to understand the current state of things. Best wishes for the time here. Thank you.

Manish Maakan: Thanks for appreciating that.

Arun Jain: Thank you, Rahul.

Arun Jain: Can we close the call?

Praveen: Arun, some four more are there.

Arun Jain: Okay, let's extend it by 10 minutes.

Praveen: Thank you, Rahul. Next, we have Mr Rohit Balakrishnan from ithought PMS.

Hello. Rohit, are you there?

Rohit: Good evening, Sir. Am I audible?

Praveen: Good evening. Yeah. Please go on. Yeah, you are audible. Please go on.

Rohit: Yeah. Good evening, Arun, Sir. So, Sir, just a couple of questions. So, you, in your opening remarks, talked about distribution. Actually, we are focusing a lot, and even in the last couple of calls you've been or the last 3-4 calls you've been talking about. So, at this point in time, is it possible to share some quality quantitative numbers in terms of how many deal wins are coming from, maybe in this quarter or in this H1 or from the distribution partners or in terms

of value, anything that you can share? Out of the ones that you've been talking about where you are very confident, or we are sort of moving quite forward in terms of getting the deals, have they been facilitated by the distribution strategy that we have gone, if you can share? Arun Jain: Yeah, I think. We will not be sharing the number because there are multiple partners involved in it, one closing the deal, so giving a reference to some deal where there will be a GSI will be involved. A consulting partner will be involved, as will Microsoft and AWS would be involved. So, all three partners will be involved in creating a trust circle with the customer. So sometimes it's a direct GSI who is becoming a front end for me. The second time, he's been providing comfort, which I have mentioned when you're in a new country and your reference ability issue. Trust anchoring comes when the customer talks to one of the consulting partners, one of the GSI, one of the scalers, or cloud scalers. If they heard the name, it would help us win the deal and provide comfort because he loves technology. But we are new in the market compared to the many other players like Temenos, which is 30 years old, and Infosys, which is 30 years old. We are new in the market. That's where this ecosystem is working. So, we're not able to specify separate line items of distribution deals, but the network effect is happening now. Rohit: So, I mean, so if I look at our and I've been tracking our company for some time now, almost six to seven years or even more. So, Sir, if I look at, let's say, over 2016 or 2017 till, let's say, 2023, we grew about 15-16% in terms of our revenue, even if I exclude GeM from that. Right? Over this time, I mean our products have become mature in the first journey. It was GTB, then GCB, and now even insurance and wealth are getting again. Geography-wise we are also getting more and more traction in advanced markets. So, forget the immediate issues because of either GeM from the revenue base going away with distribution tailwind also coming and is getting more and more. I mean, the last 4 or 5 years, or as I said, 6-7 years has been around 15%. If I take a longer term view. Maybe

3-4 years is it? Is it right to say that we will probably improve that growth rate, given that, on the headwind side, there are issues in terms of geopolitics, slowdown, etc.? So, I mean, how do you see that?

Arun Jain: I think the way you put the question across is also very nice of 6-7-year traction. How we get it and in spite of

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Q2 Results FY 2024-25 15% growth rate year on year for the next 4-5 years, our margin growth will be 30-40% year on year. So, EPS growth will be 30-40%. Rohit: Yeah, right. So, actually, that was my second question. I think I also asked this question during the last conference call. I think the first question that Vivek asked, I think 20%, as you also said 20% we are anyway doing, and in the last call, I had asked that the journey would be closer to 30%, and you said 6 to 8 quarters. And in this call, you're saying that maybe we'll have to invest given the opportunity. So, are you still confident that over 6 to 8 quarters will get to that 30%, or given the investment of $ 20 million, maybe there will be some delay?

Arun Jain: I think I'd like not to comment on it. Let the time tell. Tell us how the market will behave and how we'll work it out. But you have seen some 5-6 years, so improvement can happen because it's all depends on license number. Our costs are now stabilised. Last year and last quarter

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deals, that putting level will definitely come. No, I was actually asking, I mean from a cost point of view and from an investment point of view that you said that. Arun Jain: Only sales investments are more here. Rohit: Okay. Ceteris paribus, I mean, assuming the deals there is no delay, etc., I mean, that's a big assumption I'm taking. In that journey, 6 to

8 quarters or probably 10 quarters, the margins you think I don't want specific numbers, I'm just trying to see directionally we are getting towards that number of closer to 30% margins, or is that still, I mean given what you see more opportunity?

Arun Jain: Yeah, definitely. 30% margin. Directionally 3 years from now. We are definitely there.

Vasudha: If things are closed on time,

yes.

Arun Jain: Definitely directionally we are 30% margin business, yeah; otherwise we shouldn't be wasting time on us. So many of senior leadership is sitting here there.

Rohit: Sure. No, no, absolutely, Sir. And so, this is one last question. At least two just numerical questions. One was that balance sheet-wise. Post GeM, we thought our balance sheet would probably become slightly better in terms of receivables and unbilled revenue etc. So, is that clean up has happened or is yet to happen. I mean, in a sense, has that gone away from the balance sheet? And if you can just give that, and second, I'll just quickly ask if it is possible to share revenue from advanced markets, a broad number that we have, let's say, for the last 12 Months. These are the two questions, Sir. Thank you Arun Jain: Yeah, yeah, we'll note it down, but the GeM hangover is still there. Yeah, there's that lot of money sitting correctly with the GeM Kitty. So, we'll park it that way. You know, the Government of India, where all the payments are now since we are not even in the system, we are struggling with the money collection from there. So, we have to do something different to collect that money. So, we need to keep it separate, and I'm suggesting that the CFO publish non-GeM DSO and then collection, which is there. So that will make the balance sheet stronger.

Rohit: And so, there is advanced market revenue if you can share broadly.

Arun Jain: Yeah.

We will look at it. Thank you.

Rohit: Sir, all the best.

Praveen: Thanks, Rohit. Next Arun, we have Mr. Harsh Jhanwar from Avendus PMS. Harsh, quickly, can you ask the question?

Harsh: Yeah. Am I audible?

Praveen: Yes.

Harsh: Yeah. I just have one question for Manish. Manish, our strategy analyst made one and a half years back. You mentioned the strategy where you know we'll be able to cross-sell more. So, in FY23, the product for the customers was 2.9, which we were supposed to take 4 per customer by FY26 and increase the number of clients by 101 to 150. Hence, in the process, increasing market share by 2.9 to 6%. So, where are we on that journey? How much have we been able to achieve? Manish Maakan: Thank you very much. Thank you for remembering like I gave, I think the strategy remains same, the results remain same. I briefly mentioned that 3 out of 4 deals in the last quarter came from existing customers in cross-selling, and 4th was also somebody who had bought from me before in their previous roles and lives. So that continues to win. I will share the specific statistics more. What I'm feeling far better and more good, I would want to say, is those were limited to the GTB portfolio. Now, there's a lot more focus on all other products for Intellect with eMACH.ai. Our ability to execute and sell and for the customers to consume because we are in built into their environment. That is improving, and that's what you will see a lot more success on. For the next 3-4 quarters, you will hear a lot more cross-sell of other products in this portfolio. Harsh: I understood. And thank you so much. Manish Maakan: That may be one of the reasons we are saying we are bullish about the Americas and Europe. AI is one enabler. This is second. We've established the proof point of our strength of core banking. The first one is difficult, but the number of wins on core banking independently. We have also executed in Europe in the last few quarters is further adding to that strength.

Arun Jain: Actually, the strategy. Yes, we look at the strategy, first GTB, then GCB, then AI. Then we look at the strategy first, Asia, then Europe, then

America. So, in the US, we are only spending time just 2 years back. So, it's growing step by step, and that's the very calibrated strategy for the investor with the way we are approaching the market, and that's how we

prepared eMACH.ai to cater to the US market because the US is the Mecca. If you have a billion-dollar company, the

US has to give us $300 million from there.

Manish Maakan: Yep. And if you look at last 2 quarter results, we are saying the number of deals from US, you could go back and see is that a significant number or not?

Arun Jain: Okay. Next?

Praveen Next, we have Mr Rohit P. He is an individual investor.

Rohit P: Thank you for your opinion.

Like some of the other callers, I have been following the business for six or more years. And I mean, I was lucky to see the Design Center also. Mr Malik had very kindly shown it to me. So, my question is on the trajectory we are on in terms of distribution, I mean in the initial remark, you mentioned that we are in the phase where we can finally let go of implementation. I mean, at least my study of various global leaders in the product space indicates that when they let go of implementation and focus on product development and selling primarily, that's when the growth really takes up. Implementation is a large chunk of the work because you want to control the quality in the beginning, but once that is done and you trust others to do the implementation and the growth really takes off. So, could you give more details here in terms of what proportion of our business is self-implemented versus outsourced and going forward over the next 3 to 5 years where do you see this number going?

Arun Jain: So, I think we are doing it jointly with the partner. So,

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about, with 35 accounts with $ 20 million potential each. For those accounts, we would like to see that there are deep relationships and deep margins. That strategy will be different from a normal product layer because we would like to add strategic value to the client of those 35 accounts. Well, the rest of the banks, which are out of 1000, are looking at it, and out of 500 insurance companies, we are looking at it. There, we are looking for significant partnership expansion. So, that's a dual strategy over

here I would like to suggest to you. Percentages are too difficult right now to predict. Your target is 20% of partners' revenue in the next 3 years, which would be a good benchmark for us. Rohit

P: So, when you say 20%, is It on the overall Intellect level?

Arun Jain: Yeah. Intellect level.

Rohit P: OK. Thank you. That was helpful. So and the second question, see, I mean again, as you indicated in this call because we are not, we cannot easily talk to the customers in terms of the product that is implemented, and because we're not part of the company itself, it becomes difficult to figure out the trajectory and we always have to sort of wait for con calls and understand what is happening. So, are there more metrics which give us a better understanding? I mean, I don't look at quarterly, but the LTM angle says we have not done well this quarter, which is for temporary reasons, of course. But I mean, it is offset by the fact, as you said, that in many deals, because of the delay and closure, we are in the last two or three levels. So, is there more? Features around that that can be shared, which, along with the numbers, gives us a more holistic picture of where we are at this point in time, in terms of the number of deals where we last 2 or last 3. So is that something that is possible? Otherwise, it gives us an incomplete picture, and we are not able to read the right conclusions.

Arun Jain: Yeah, Rohit, a lot of numbers we can't share just because competition is there. So, the problem is all the investor numbers are competition tracked. We have seen whatever you're sharing in investor conference are going to competition and next time the strategies change. So, we are very guarded right now what should share what not to share. We don't mind sharing with you, but the question is it's a public domain.

Rohit P: Understood, Sir. Fair enough. Yeah, that's absolutely.

Manish Maakan: This is an alternate resource for how technical analysts assess us. They look at both qualitative feedback and assessment of products, as well as who is the best-selling product. So, there are enough data points from third parties which you can also access.

Q2 Results FY 2024-25 Rohit P: Yeah. Thank you, Manish. Sir. Fair enough, the analyst and analyst coverage reports are definitely helpful. And so my last question basically is if I see you over, I mean if you

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discuss in the call?

Arun Jain: Not on the call. Let's see. That will be difficult to discuss. It's too many things that are there in this last. Sorry, we are just running out of time.

Rohit P: Thank you. Thank you.

Arun Jain: Yeah.

Praveen: Thank you, Rohit. Arun, we are done with this, but there only 2 repeat questions. Can we take it or can we close it?

Arun Jain: No. Thank you. Yeah. Why can't you send it to me? Happy Diwali to all the investors.

Praveen: OK. Thank you everybody. Vivek and Rahul, we can send your questions to me and then we'll take it forward from there. And thank you everybody for attending the call today. Now we are closing it. Thank you.

Vasudha: Thank you.

Call: Jan 2025

Intellect/SEC/ 2024 -25 December 2 7, 2024

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir ,

Sub: Regulation 30 and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Analysts/ Institutional Investors Call

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the Analyst s/ Institutional Investor s Call held on December 19, 2024 , regarding " Purple Fabric - Our Enterprise AI Platform ".

The Transcript of the Analyst/ Institutional Investor C all is also available on the website of the Company.

Kindly take the above information on record and confirm complia nce.

Yours truly,
for Intellect Design Arena Limited ,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above
Investor
Meeting
Transcript
Praveen
Malik
Greetings
and
welcome
everyone.
Thank
you
for
joining
us
today .
The
exclusive
event
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investors,
Transform
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with
our
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is, Purple Fabric. We have with us today , Mr. Arun Jain, Chairman and Managing Director , Mr. Banesh Prabhu, CEO of IntellectAI. Then we have Ms Vasudha, she's the CFO and we have Mr. Deepak Dastrala, he’s the CTO of IntellectAI. So now I hand over to Arun for his briefing first. But before that, one safe harbour , I would like to remind you that anything which we say, which refers to our outlook for the future is a forward looking statement, which must be read in conjunction with the risk the company faces. With that, we hand over the mic to Arun. Over to you, Arun. Arun Jain Good evening everyone. Thank you very much for joining this special session on Purple Fabric. This was requested during the investor presentation where all of you asked us to present what the Purple Fabric means. We know it's a multi-agent AI platform, but what does it do? And that was a curiosity you demonstrated in your investor conference. So just to recap what Intellect Design Arena stands for. It addresses the kind of wastages which is happening in the way the IT industry works. I was addressing a bank conference

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15 billion dollars for technology? Something is wrong somewhere that we are solving the problem and creating a forest and jungles of the knowledge or data. And if you apply first principle thinking, which I was reading a book of “What is life?” from Paul Nurse, he simplified the life - which is so complex to me - into just five words. There's a cell, there's

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ask this fundamental question of why banks should exist, why financial institutions should exist. Financial institutions should exist because there is a financial event happening in the life of a customer . And customers are consumer , SME and corporate. There are three categories of customers a bank has. And a bank provides just six or seven services, core events they handle. First event is opening a

SAVING ACCOUNT when I get a job first. Then maybe some LENDING ACCOUNG to buy my scooter or a car, or I have surplus money to do the DEPOSIT , or I have to invest the money INVESTMENT , and I have need a CREDIT CARD and I need to make some payments so PAYMENTS These are the role of a consumer banking. When it comes to SME, then I may add SUPPL Y CHAIN FINANCE to it or working capital to it. And if it is a corporate, I need a GUARENTEES or some instrument of LC and guarantees, which is important for me to provide my guarantee to some of the

imports or some of the export I'm doing. So these are the seven, eight services, bank events

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people, since they started in 2017, they knew what works in AI, what didn't work in AI. We failed in 2018, we failed in 2020. We did some work, we succeeded to bring back with accuracy , 87%, sometimes bring 89%, sometimes you bring 91%, but we are not able to make it usable AI. The difference is the promise of AI and usability of AI. And that's the biggest gap we find in our journey . But since we had more chances of exploration and experimentation between 2017 to 2021-22, when generative AI landed us in 2022, we could identify the right places where generative AI can create a larger value for the customer . And we, over the period of time, when we built up these use cases of magic submission in

America for insurance underwriting space, or we built up this technology for ESG for the largest investment bank, Norwegian Investment Bank, or we use it for magic invoice processing. All were build on the same technology . And this technology revolves around principally eight technologies. First is how you get the data from the various sources, whether it's a structured data sources, which is a data source

DS 1, you get a data sources from second data source, which is a document which are present, which customer is submitting it, or document you are crawling and retrieving back from a website of a customer , that is a DS 2 data stream 2. There's a data stream 3 which you pick up from , from,

not websites, the paid

data, you buy out from Dun & Bradstreet or ROC data. Then there could be a regulation related data and there could be operation related data. These data, we convert into knowledge by using four technologies. The technology number one is ingestion technology . Technology number two is, Deepak will highlight to you what these technologies are. Technology number two is classification technology . Technology number three is extraction technology and technology four is trusted data technology . Now these four technologies, once it is done, we call it ‘Document “Intelligence Management System”. And this is the four technology constitute to create DIMS system, which is parallel to DBMS what Oracle has promoted in 1985. So today , with the AI coming into picture, banks needs a document intelligent management system of their own. It's not a part of LLM, it's a part of the bank, their own LLMs, which should be sitting in the bank system, or whether we call bank LLM or bank SLM. But these documents must be tagged so that we can do a continuous KYC and continuous risk monitoring can be done on the same documents. From this, we move to technology number five, which is how

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for
collection.
They
could
be
a
risk
manager .
So
all
these
roles,
we
create
five
human
expert
in
operation
room.
Now
technology
number
six
is

how
the
six
digital
experts
are
talking
in
a
same
operation
room
is
technology
number
six.
Now ,
once
the
six
people
come
together
in
an
operation
room,
you
can
understand
how
much
noise
they
can
create
because
everybody
has
their
own
perception
and
contradictions.
To
manage
the
contradiction
among
the
six
people
is
the
biggest
job
management
deal
within
a
bank.
But
in
AI
world,
it's

much
better .
We
developed
a
very,
very
highly
sophisticated
algorithm
called
‘Socrates
Dialogue
algorithm’.
We
trained
this
digital
expert
to
do
the
prompt
engineering
among
themselves
and
ask
the
questions
which
make
the
difference
to
their
life.
And
that
is
Socrates
Dialogue
is
technology
number
seven.
And
once
these
contradictions
are
there,
we
record
all
the
conversation
behind
it
with
the
traceability .
So
if
the
regulator

wants
why
you
come
on
the
decision
or
business
head
wants
why
operations
has
decided
in
particular
lending
or
not,
he
can
look
at
the
actual
Use
Case
and
traceability
of
it.
And
all
throughout
the
journey ,
then
this
the
jury
of
six
agents
will
give
a
final
file
or
final
recommendation
and
that
recommendation
go
for
the
human
advisor
who
is
there.
So
I
am

converting
your
operation
room
of
100
people
to
just
few
recommendation
advisors
or
who
can
take
decisions
on
it.
And
that's
recommendation,
the
technology
number
eight,
which
should
come
in
the
shape
of
file
or
it
can
come
in
the
shape
of
recommendation
letter .
So
this
8
technologies,
we
wired
together
and
all
are
wired
into
a
single
box
with
all
the
security
and
entitlement
embedded

into it. And all these technologies are LLM agnostic. So this is our first platform, which is LLM agnostic. It's not that Microsoft is selling Open AI, which is better than Bedrock. We say for each different use case, we do the benchmarking of the LLMs. And this benchmarking of LLMs

capability is on three AI constraints, which is a speed, cost and

accuracy ,
we
benchmark
which
is
the
best
LLM
there.
So
this
purple
fabric
platform
can
consume
the
best
and
optimized
LLM
model
for
solving
a
specific
problem,
not
one
problem.
Within
one
problem,
we
may
use
multiple
expert
agents.
Deepak
will
show
you
how
we
use
for
solving
one
problem
more
than
13
experts,
digital
experts
to
solve
that
problem.
Now
you
look
at
it,
what

is the market size as an investor? How will it translate into the business scenarios? I'll come to you after Deepak present to you Purple Fabric, that’s how we are translating this into the business case through three different business models, how Purple Fabric is leveraged for creating a shareholder value. So at this point in time, I want to give the stage to Deepak. Deepak

Dastrala Thank you, Arun. Good evening, everyone. Let me know if you all can see my slides . See, one of the biggest opportunity , I mean, historically , all the technology companies spent in terms of helping the banks. But if you look into that typical area opportunity , which at this moment we targeted, was IT costs of a bank is anywhere between the 11% to 17%.

And at least 40% to 46% of the cost goes in terms of an operations. And this is a completely new space is actually up for the opportunity for purple fabric. Because right now, if you see the nature of the work that can be done in the middle and back office , so far the technology could not penetrate into that because it requires a

human
level
of
capability
in
terms
of
intelligence
to
do
that.
Now ,
with
where
the
AI
is,
where
the
purple
fabric
is,
I
think
this
is
the
completely
new
opportunity
space,
I
think
where
we
are
working
on
the
various
use
cases,
and
I
will
walk
through
some
of
the
use
cases.
So
the
value
of
the
Purple
Fabric
is
not
only
to
bring
in
the

operational
efficiency
or
reduced
the
cost,
but
also
in
terms
of
helping
the
banks
to
improve
their
revenue
through
h
improved
customer
satisfaction,
enhance
risk
and
compliance
and
all.
So
pretty
much
we
help
both
in
terms
of
banks
improving
their
top
line
as
well
as
their
bottom
line.
And
just
to
give
a
context,
when
we
say
AI
agents,
this
is
very
important
for
me

to set the context. Because a lot of people, historically , even automation, they might have a view about the bots. But why agents are different and how different they are from bots? At a very high level, the expert for some particular digital agent to become an expert agent, one, they should have a capability to leverage the foundation models which pretty much trained on the

universal
data
and
process
it.
That's
what
first
brings
the
human
level
of
an
intelligence,
number
one.
Number
two,
it
should
have
a
memory ,
just
like
a
human,
right?
How
we
have
a
short-term
memory ,
long-term
memory ,
it
should
have
the
memory .
Plus,
it
should
have
an
access
to
the
tools
because
with
the
kind
of
a
digital
transformation
that
happened
over
the
past
decade
and

so
a
lot
of
the
digital
information
is
available
through
the
APIs
or
the
website
and
everything.
So
it
should
have
an
access
to
tool
for
it
to
act.
But
to
a
little
bit
further
context,
right?
To
go
right
at
a
very
high
level,
you
also
can
look
into
that,
a
combination
of
IQ,
EQ
and
AQ.
Why
I'm
trying
to
highlight
this
is
because

at
this
moment,
what
we
are
trying
to
do
is
build
a
digital
twin
of
a
human.
It
means
at
a
very
high
level,
it
should
have
an
understanding
about
a

language
it
should
be
able
to
synthesize
the
knowledge.
And
more
importantly ,
it
could
reason
and
reflect
because
a
lot
of
people
who
are
playing
with
the
chat
GPT,
they
might
be

using it to create a, using a text, they can create a text or audio or video. But I think what we are talking right now is about actually further where like you can do a human level of reasoning and reflect on certain things before making a decision. Another thing is EQ, which is empathy . And because whenever we are talking about one of the

biggest
use
cases
around
the
customer
service,
you
should
really
have
a
right
level
of
understanding
what
the
customer
is
talking
about,
whether
his
customer
is
sad,
angry ,
happy ,
any
of
those
things,
and
also
adapt
based
on
that.
Then
the
AQ,
and
this
is
the
most
important
thing,
because
what
people
haven't
leveraged
the
AI
for
so
far
is,
once
you
reason,
once
you
understand,

once
you
contextualize
what
actions
that
you
can
take,
which
typically
so
far
only
humans
can
do.
Now ,
as
long
as
anything
is
digitally
available,
actually
these
agents
can
take
an
action
leveraging
the
tools
and
all.
And
this
is
just
to
give
you
the
context
about
what
qualifies
when
we
say
expert
agent,
what
actually
qualifies
in
terms
of
the
cognitive
ability .
Now
at
a

very
high
level,
Purple
Fabric
as
Arun
highlighted,
these
are
the
eight
proprietary
technologies
that
we
have
built
in
the
last
10
years
with
a
lot
of
research
work
that
we
have
done
and
all.
So
if
you
see
a
lot
of
people,
I
know
at
this
moment,
they
just
plug
into
the
LLM
and
they
call
it
as
an
AI
platform.
But
what
is
the

fundamental
challenge
is
still
the
age-old
problem
of
garbage
in
garbage
out
exists
with
the
data.
Unless
you
really
get
the
data
at
the
right
quality ,
this
models
cannot
really
make
sense..
So
what
we
use
this
LLMs
is
largely
for
purely
for
thinking
like
a
brain.
Actually
the
doing
part
is
what
we
have
the
unique
these
capabilities.
And
what
we
also
we
do
is,

for
example,
while
we
have
this
capability ,
the
biggest
opportunity
what
we
have
is
how
we
can
leverage
the
knowledge
that
exists
in
enterprise.
That
knowledge
could
be
enterprise
structured
data.
And
here,
right,
a
lot
of
critical
information
from
a
decision
perspective,
it
helps
in
such
data.
So
we
have
ability
to
really
tap
into
structured
data.
Then
the
unstructured
data.
And
this
is
where

we
have
spent
lot
of
time
in
last
10
years.
And
because
everyone
who
focuses
on
the
data
quality ,
all
the
AI
program,
they
have
a
challenge.
And
when
they
say
challenge,
they
still
they're
struggling
with
structured
data. And
the
10
years’
work
that
we
have
done
in
unstructured
data,
which
is
what
gives
us
a
significant
differentiation.
And
we
see
the
unstructured
data,
it
could

be
a
text
data,
or
it
could
be
an
image
data.
And
right
now
everyone's
comfortable
with
multimodality ,
but
that's
what
we
spent
last
10
years,
how
we
can
get
this
data
right
at
a
scale.
And
also
we
can
tap
into
the
knowledge
of
enterprise
policies
and
practices
because
most
of
the
banks
have
their
own,
let's
say
from
lending
perspective,
what
are
the
guidelines,

what
are
the
process,
policies
that
they
need
to
apply
for
a
different
line
of
business
so
we
can
tap
into
all
of
the
data.
And
along
with
the
market
data,
it
could
be
from
website,
it
could
be
the
third
party
providers,
it
could
be
anything
at
any
frequency
of
any
format.
And
then
also
the
regulators
kind
of
a
thing.
So
these
are
the

five
different
knowledge’ s
that
we
can
tap
into,
whether
they're
in
a
structured
data
form
or
unstructured
data
form.
Now ,
a
little
bit
going
into
the
eight
technologies
that
we
have
developed.
The
first
is
Data
Ingestion
technology .
Here
we
can
actually
ingest
the
data
at
a
huge
volume,
and
basically
at
any
scale
that
is
possible,
whether
that
is
structured
or
unstructured
and
all.
So,

and also some for most of the use cases that we need to do, probably we have to d

o it at a near real time across the various sources. That's what we can do. And then especially in

enterprise, people will just leave the data wherever it is. And it's very, very important to have an ability to classify the data,

whether
they're
structured
or
semi-structured
or
an
unstructured
form.
Because
the
classification
is
so
important
in
terms
of
getting
the
context
right
and
all.
And
normally
you
might
see
right
in
the
landing,
someone
just
submit
all
the
documents,
all
of
that
be
under
one
PDF.
So
how
do
you
know
actually
which
one
is
a
PAN
card,
which
one
is
a
passport,
or
which
one

is anything else, right? And sometimes they do it within a one page itself. So we'll be able to classify the data at a various level, at a page level, the document level, it could be anything and all. Then how do we contextually extract them? Because it's not just an extraction. This is where the major difference is. And we need to really understand what

I meant by contextual extraction is which Use Case we are looking into that. Within that Use Case also, what sub-Use Case that you are looking into and how do you really get, right, and all. Because the word policy might be very different depending upon when you're looking into the insurance versus some other context and all. So how do you understand the context? This

is
where
our
deep
domain
knowledge
in
the
BFSI
will
come
in
and
that's
what
differentiates
us
from
anyone
else
and
all.
Because
it
is
not
just
about
just
applying
in
AI,
right?
Unless
you
understand
the
domain,
unless
you
understand
the
data,
you
really
can't
get
that
last
2%
right.
And
for
us,
this
contextual
extraction,
where
our
deep
domain
knowledge
helps
in
terms
of

how
do
we
apply
to
the
various
banking,
financial
services,
and
the
insurance
use
case.
And
ultimately ,
it
is
about
trusted
data.
So
because
especially
when
you're
taking
the
data
from
so
many
sources,
how
do
you
triangulate
it?
And
how
do
you
know
which
one
is
trustworthy ,
especially
when
you're
combining
your
in-house
enterprise
data
versus
external
market
data?
Even
external
market
data,
you
don't

depend
upon
just
one
source.
You
get
from
multiple
sources.
Each
of
them
may
be
best
at
some
particular
entities
and
might
not
be
good
at
other
entities.
Some
might
be
good
for
MSME,
some
might
be
good
for
the
large
enterprises.
So
how
do
you
bring
all
of
together
in
contextualize
where
actually
you
can
make
a
critical
decision
in
your
bank
on
the
particular

data?
So
that's
what
this
trustful
data
helps
us.
Then
the
expert
agent,
as
I
mentioned
the
expert
agent
what
qualifies,
right?
Now
there
are
the
three
major
user
journeys
what
we
focus
on
while
you
might
see
so
many
co-pilots
out
there,
so
many
agent
related
platforms
out
there,
and
we
see
it
as
three
major
journeys.
It
is
basically
assist,
augment
and
autonomous.
Assist

this could be any help that will help you. It will give you only the 10 to 15% incremental productivity . Augment is we are talking about a very deep domain expertise persona within the bank. It could be an operations person, it could be compliance person and all. So that's where we focus a lot of our use case because that's where our domain expertise helps us to really make a difference and all. So how we build deep expert agents and all that is the augment. Then autonomous could be typically any critical decisions never happened by the one person within the division or sometimes even one division itself. So how do you have this expert agents within the divisions and across the divisions can work together to actually make the

business
decisions
happen.
So
a
lot
of
our
focus
is
around
the
augment
and
autonomous
any
that's
where
our
domain
knowledge
and
data
understanding
that
we
worked
on
for
last
10
years
makes
a
difference.
And
finally ,
the
decision
and
action.
So
even
the
decision,
right?
How
do
you
actually
make
these
agents
collaborate
each
other?
Because
a
lot
of
people
are
talking
about
agents
there.

Our differentiation is how these agents collaborate each ot

her and how they actually come together to the decision and all. And then finally , what actions and all. When probably they

are happy for someone to bring into the loop and when they are comfortable to make a decision. These are the critical capabilities of Purple Fabric provide. Again, we are completely cloud provider agnostic and the model provider agnostic, and our deep knowledge has really helped us to really solve the last 2% better than anyone else. So what I will do is just to contextualize it further . I'll focus on the one major use case. By the way, I think to the best of our understanding we have with talking to many firm, we are the

first
one
to
put
out
there
the
multi-agent
use
case
in
the
world.
While
everyone
is
talking
about
the
platforms
and
I
think
we
already
went
live
in
a
highly-legated
financial
services
form
and
I'll
walk
through
that
particular
use
case
now.
So
if
you
look
into
the
use
case,
Right
now,
the
complaints
are
claims.
While
they're
a
universal
problem,
right
now
if
you
just

take
UK
alone
at
this
moment,
this
actually ,
it's
costing
around
$9.24
billion
a
month
and
handling
the
complaints
across
the
various
businesses
.
This
is
the
data
from
the
Institute
of
Customer
Service
in
UK.
So
if
I
just
take
the
Use
Case
that
we
have
operationalized,
especially
after
the
consumer
duty
came
into
the
picture
last
year,
a
lot
of
people
are
complaining
around

the various financial services. So what we are talking about a Use Case with a one of the largest financial services firm where they're dealing with so many complaints and these complaints are actually sometimes cost them anywhere few thousand pounds to the sometimes a millions of a dollars kind of a thing. And they're not that easy for someone within their department to really investigate

in
a
short
span
of
a
time.
So
the
reality
out
there
is
at
this
moment
while
they
have
almost
more
than
150
people
they're
able
to
actually
meet
only
less
than
30%
of
the
SLA.
Because
of
the
complexity
of
the
case,
it
is
taking
so
much
time.
And
the
number
of
complaints
are
just
increasing,
especially
because
some
of
the
legal
firms
are
just

recruiting
the
customers
who
have
a
concern.
they
are
doing
everything
on
behalf
of
the
customer .
Why
it
is
so
complex
is
typically
this
compliance
could
be
anywhere
between
last
year
to
the
last
14
years.
And
each
of
the
time,
the
policies
or
the
regulations
might
be
very
different.
And
there
is
no
single
source.
The
data
might
be
across
the
various
sources.
And
also

because there is no standardised rubric for the nature of a complaint, it will be extremely difficult for people to really investigate and do that within SLA of less than 50 days. So if just for you to understand what it looks like, this is the typical operations team that looks like. If you look into the, if you have to deal with the capacity of anywhere between the 200 to 400 complaints per week, at this moment they need anywhere between five to 10 FTE just to look into the complaints, log those complaints, and they need five to 10 FTE just to classify and understand whether the complaint is right or not. And they actually need a 50 to 100 FTE if they have to meet a capacity of 700

per
week
to
just
do
the
evidence
gathering
and
then
finally
to
the
case
handling,
they
need
100
FTE.
So
if
you
look
into
the
whole
thing,
right,
everything
is
manual
in
nature
because
of
the
complexity
and
the
nature
of
the
challenge.
Only
thing
that
this
is,
they
have
a
complaint
system
where
they
log
in
the
user
to
a
system
of
record.
That's
all.

That
is
what
it
is.
Now
what
we
have
done
is
this
is
where
we
build
this
multi-agents
who
actually
replicate
this
particular
persona
for
us
and
pretty
much
each
agent
replicate
this
persona.
You
have
a
compliance
manager ,
just
like
how
in
a,
any
division
you
have
a
manager
or
supervisor ,
and
then
you
will
have
the
complaints
checkers
who
does
the
various
roles.
Someone

focused on extracting the complaints, someone goes and creates, not reports, someone focused on verification and all.

Investor Meeting Transcript

So what we have done, how these agents will work together is they work together in terms of tracking the incoming complaints, understanding and classifying them, creating the whole dossier , which shortly I'll do a demo, and finally actually recommending the decision. So the most important

thing
that
you
need
to
understand
here
is
these
sources
could
be
both
structured
and
semi-structured
and
could
be
unstructured,
number
one.
Number
two,
we
never
just
use
the
one
LLM
to
do
that.
And
this
is
where
Arun
is
referring,
right?
We
benchmark
what
is
the
right
LLM
for
the
right
agent
for
that
particular
job.
So
for
this
particular
Use
Case
that
I'm
referring,

we use more than six LLMs from the different providers. And 13 plus agents actually came together to really deliver the outcome. So the outcome that we have provided took five weeks. We are able to deliver the outcome in 20 minutes for 80% of the plus cases which has brought in the significant operational efficiency and customer satisfaction. The beauty of this work is now

what
we
have
delivered
to
the
customer
actually
doing
a
very
reactive
work
of
doing
the
complaints
because
we
have
built
agents
in
a
modular
and
reusable
form.
Now
the
customer
is
using
this
to
proactively
look
into
who
are
the
other
vulnerable
clients
who
might
complain
and
what
are
the
risks
they
have.
So
this
is
where
our
first
principle
thinking
actually
helped
us
to

really
build
the
whole
thing
in
a
very
modern
way.
So
what
I
will
do
is
I'll
quickly
get
into
the
demo
and
then
I
will
probably
walk
through
where
exactly
it
is
headed.
So
this
is
our
Purple
Fabric
platform.
And
what
you
can
see
is
so
many
agents
that
we
have
here.
So
let
me
go
through
the
agent
who's
actually
the
complaints
manager

who
pretty
much
orchestrates
all
the
work
that
across
the
various
agents.
So
what
I
will
do
is,
because
this
takes
some
time,
I'll
just
probably
fire
the
case
in
front
of
you.
And
then
I'll
go
through
the
previous
case
in
the
interest
of
time.
So
before
I
go
through
that,
what
you
can
see
right
now
is
just,
again,
for
the
interest
of
the

demo,
we're
showing
it
more
as
a
conversation,
but
the
whole
thing
works
as
an
API
at
the
back
end.
So
what
you
can
see
here
is
just
I
asked,
I
clear
this
particular
complaints
of
a
case
reference,
something.
And
what
you
can
see
is
there
are
complaint
manager
immediately
kind
of
called
the
complaint
logging
agent.
And
in
fact,
this
is
where
you
can

see
live
what
is
happening
and
all.
So
the
Complaint
Manager ,
I
gave
a
very
natural
language,
investigate
the
complaint
for
case
reference.
So
this
is
where
the
decision
logic,
because
this
way
the
explainability
and
everything
will
come
into
the
picture.
What
the
Complaint
Manager
has
done
is
first,
I
need
to
extract
log
and
verify
the
complaint
using
the
Complaint
Logging
Agent.
And
then

it gave the, what is the action. This is where I referred to as a, what is the decision, what is the action? You can see we made it completely , which will be available for the people to actually understand what happened. Because tomorrow , Regulator want to come and see okay , how these agents had made a decision? What exactly happened? Can you prove me? We

have
a
complete
audit
trail
at
any
point
of
a
time
how
this
happened.
Okay ,
now
if
you
see,
right?
I
mean,
this
is
just
what
happened
is
that
it
has
kind
of
got
that
particular
complaint.
This
is
actually
the
letter
which
it
has
read
and
it
got
completely
that
information,
which
is
a
very
unstructured
here
in
nature.
And
then
it
has
logged
this

particular complaint in the complaint system. You can see the input for that. What I will also do is just to see, it is also verifying whether the complaint has a mandatory details or not. And it is also clearing, giving the output. It is actually successful. For example, it is saying that all the required, if we can see what I highlight, and all the required information present, which i

s the first name, last name,

date of birth, address, and everything. And also, it has the letter of authority and all. So just like how the human will do, the agents are doing it. Now what I will also show is it is actually it took that particular text that is classifying the complaint. This is where like a human, right when we read it, we can always see there might be more than one category might be qualified for a complaint. Sometimes when a human who is not trained, they might miss this. This is where agent has really read the whole thing, which is a text. And if you can see it has kind of understood the complaint category . For

example,
if
you
see
here
it
has
two
categories.
One
is
inappropriate
product
transfer
and
the
partner
service.
And
it
also
kind
of
validated
according
to
the
FCI
category ,
what
are
those
particular
categories
they
come
under .
This
is
a
pure
human
intelligence,
which
is
actually
replicated
by
the
agents.
Now ,
if
you
can
see,
as
I
said,
right,
complaints
gathering.
This
is
where
you
can

see
just
these
agents.
It
is
actually
gathering
the
data
from
the
various
client
systems.
And
it
is
gathering
the
data
now
even
from
the
data
warehouse,
which
is,
as
I
said,
we
have
a
capability
to
really
get
the
data
from
the
structured
data.
And
all
these
things
it
is
doing
in
doing
parallel.
Now ,
what
it
also
doing
is
once
it
gathered
all
the

data, it is saying that the next step is, for example, in this case the next step is to the side it started investigating that and all. So basically it has identified that I need to investigate two complaint reasons in a product transfer and partner service. First I will handle just like human, first I will handle it in a product. So it is doing

all
this
particular
investigation
going
through
the
various
sources,
which
could
be
structured,
semi-structured
and
everything.
And
then
what
it
is
also
doing
is
now,
now
I
have
an
outcome
of
an
inappropriate
product
transfer
complaint
it
will
proceed
to
investigate
the
partner
service.
So
it
has
completed
one
investigation
and
it
is
going
through
that.
And
because
it
is
happening
live,
some
of
the
work

is
in
progress,
but
let
me
show
what's
already
done
just
before
this
meeting
I
had
done
demo.
What
it
will
do,
I'll
go
through
the
traces.
What
it
will
do
is
once
the
investigation
is
completed,
it
say,
I
have
all
the
necessary
details
to
generate
a
final
report.
Now
I
will
use
the
Complaints
Report
Agent
to
generate
the
report.
And
what
you
can

see
is
Complaint
Agent
has
taken
all
the
information
that
it
has
received
so
far
and
it
has
created
a
simple,
easily
understandable
report.
So
let
me
show
that
in
the
actual,
this
one.
If
you
look
into
this
particular
report,
that
you
can
see
this,
just
like
how
the
human
at
the
end
of
the
investigation
prepares.
Dear
case
handler ,
I
have
completed
the
investigation,

so
on
and
so
forth.
What
is
the
client
information?
What
are
the
case
details?
And
what
are
the
complaint
categories?
And
what
are
the
reasons?
And
how
these
are
against
the
FCA?
And
what
is
the
final
verification
status?
The
status
is
successful.
And
it
got
whole
complaint
summary ,
and
it
got
all
the,
in
this
case,
this
is
the
context
to
say
a
wealth

advisor .
So
these
are
the
various
products.
It
has
all
the
particular
product
details
the
codes
and
everything,
the
client
name,
and
all
the
advice
details.
And
then
finally ,
what
is
the
investigation?
So
in
case
the
first
thing
is,
first
is
an
inappropriate
product
transfer .
The
outcome
is
the
complaint
is
rejected.
The
reason
is
it
has
identified
actually
within
this
particular
record,
where
there's

an
evidence
that
client
has
agreed
to
the
recommended
portfolio
and
also
accepted
the
higher
ongoing
advice
fee.
So
I'll
show
you
where
it
is.
And
then
similarly ,
the
second
one
is
a
partner
service.
Basically ,
for
something
to
be
qualified
under
the
advice
service,
it
has
to
prove
that
actually
within
the
12
months,
the
advisor
has
met
the
clients
at
least
once.
So
from

all the kind of a meeting details, it got all

the dates and it has calculated that actually the advisor has met the clients multiple times in less than a year and it has rejected And it has given evidence for that. Now people may still, don't believe it. Just go for that. This is where that information is available in the document.

What we got is only like one reference. And similarly , this is like some 28 pages document, the information available on the 26th page. We show exactly where that information came from. For example, if someone want to see, here there is a note like agreed client has a medium attitude or risk and is given. SRA willing to play high to high equity content. So

all
this
is
recorded.
So
everyone
knows
exactly
where
that
information
in
and
just
leave
it
to
the
humans.
How
many
people
for
how
many
hours
they
need
to
coordinate
across
them,
across
the
various
systems
to
achieve
that.
And
this
is,
we're
able
to
do
that
in
less
than
20
minutes.
Now ,
going
back
to
the,
what
was
the
outcome
look
like
after
we
implemented

the system. This is the difference that I showed you, right? This was the state before it was everything is manual. Now , everything that is manual, now we replace that with an AI agent. And in fact, we have an agent, which is also kind of recommending the decision, but we are leaving the decision to the human expert to look into it. And what was where they have some number of an FTE for each of this task. Now , they really don't need any FTE for that and actually the capacity could be infinite. It's up to them because we can scale the compute. Similarly for try-outs, they don't need anyone and actually the capacity could be actually scaled to the infinite. And then for the case handling, this is where

we
left
the
defining
decision
with
the
human.
Actually
with
the
same
capacity ,
they
can
do
the
10X
of
the
work.
So
this
is
the
kind
of
an
impact
that
we
have
provided
to
our
customer .
And
this
is
just
a
one
Use
Case
and
we
are
already
many
use
cases
as
Arun
has
mentioned
in
the
insurance
underwriting
space
and
the
ESG
are
non-financial
risk.

In fact, what we have done for ESG now in governance risk and the compliance space can be applied for any company . It is basically a corporate intelligence, then account payable, the trade finance. These are the various use cases where we are already making a huge difference in terms of an operational efficiency and the newer opportunities. This is just a start. We are applying

it
across
various
intellect
products.
We
have
identified
hundreds
of
agents
that
can
be
implemented
within
our
intellect
products.
Over
to
you,
Arun.
Arun
Jain
Thank
you.
Perfect
timings,
I
think
4:42
and
exactly
less
than
25
minutes
to
explain
such
a
complex
topic
was
quite
interesting
Deepak
for
looking
at
it.
People
may
have
many
questions.
I'll
put
on
the
chat
box
if
you
can

ask
that
question
on
it.
In
the
meantime,
I'll
ask
Banesh
how
areyou
trying
to
monetise.
What
is
the
business
model
through
which
Purple
Fabric
can
be
giving
value
to
the
shareholders?
Banesh
Prabhu
Arun,
I
think
you
know
I'm
just
going
to
touch
on
a
couple
different
thoughts
and
also
the
areas
that
we
are
focusing
on
for
our
clients.
So
firstly ,
I
think
as

we
have
already
seen
the
platform
capability ,
the
operations
area
of
a
financial
institution
spends
a
lot
of
money .
And
the
work
we've
been
doing
and
investing
over
the
last
many
years
is
actually
helped
us
identify
certain
specific
ways
in
which
AI
can
be
implemented
for
our
customers.
Clearly ,
we
focused
a
lot
on
the
UK,
US
and
the
developed
markets
because
their
cost
income

ratios are

very high in operations over there. And the other important thing about the platform, I just wanted to state one more thing is that we bring in a lot of experience in BFSI. I think it's very critical because when we use AI we have to ensure an lot of focus on trusted data, the audit trail of what we do

from
an
AI
perspective,
all
of
which
Deepak
has
covered
and
something
we
have
considered
very
carefully
when
we
built
the
platform.
So,
I
think
it's
very
important
to
understand
because
a
lot
of
people
are
doing
investments
in
AI
in
very
generic
cases.
But
I
think
our
capability
very
much
focused
on
ensuring
that
services
are
well
managed
from
an
AI
perspective.
I
think
is

very critical. Now to Arun's question. We have 3 broad categories of how we are monetising the system as such Purple Fabric. So Purple Fabric has one where we basically offered the whole platform that you saw so that the client who's already been working on existing various kind of use cases and AI initiatives can actually bring those initiatives can take some of our use

cases,
can
build
their
own
use
cases
for
which
we
actually
train
them
through
an
Academy
of
Purple
Fabric
where
they
can
get
certified
to
actually
build
use
cases,
we
provide
them
the
support
required.
They
can
take
various
capabilities
and
tools
that
you
saw
on
the
platform
that
we
have
built.
These
tools
are
continuously
evolving
as
AI
is
evolving
in
the
market.
So,
we'll

keep
looking
at
new
capabilities
and
enhancing
existing
capabilities.
Deepak
gave
an
example
of
how
we
use
multiple
LLMs
we
benchmark
which
LLMs
is
most
ideal
and
also
various
sort
of
AI
ethical
focus
around
data
because
data
is
at
the
heart
of
it.
And
I
think
all
the
technologies
the
first
4
or
5
of
the
technologies
focus
a
lot
on
data,
and
I
think

that's
very
important
for
us
to
consider .
So,
we
actually
offer
the
platform
for
them
so
that
they
can
govern
multiple
AI
initiatives.
So
if
you
are
an
CIO
or
you
are
an
business
manager
or
an
CEO,
when
you
have
multiple
use
cases
across
financial
services
and
across
the
various
platforms
that
Arun
mentioned
as
part
of
our
eMACH.ai
frame,
the
books
that
you
was

talking about, whether it's wealth, whether it's insurance, whether it's banking, whether it's lending or any of those areas. As a CEO, there's a lot of pressure by organisations to capture AI capabilities which are very generic today . What we bring is BFSI focus platform that they can actually govern multiple AI initiatives, ensuring they use the best LLMs. They ensure that the data is trusted.

It is very, very well trailed from an audit trail perspective so that we can follow all the risk, compliance and regulatory requirements for the client. So, this is what we basically offer as a platform is one construct. The second construct is the example Deepak gave of use cases. We have multiple use cases in different functional areas. We take those use cases, and we

offer
those
use
cases
for
a
customer
to
be
able
to
actually
implement
it
in
their
technology
environment
or
their
technology
ecosystem
in
the
bank.
And
we
therefore
have
these
use
cases
which
we
normally
charge
per
Use
Case
for
a
customer .
And
the
third
is
where
we
actually
embed
some
of
the
AI
capabilities
that
you
heard
today
into
various
services.
For
example,
you
know

in wealth, so from a relationship manager perspective, you could have actually embedded certain capabilities for the financial advisor to be more efficient in the way they would deal with customers. So, there is a lot of embedded AI in various solutions for our various platforms as eMACH.ai. So, there are these 3 constructs. Most of our customers come and offer this as a subscription type of pricing rather than the traditional license type of pricing that we have had in some of our products. So, this is what we actually I think right now we are focused on and this is evolving very rapidly . As both Arun and Deepak mentioned,

lot of people are doing stuff in GenAI asking assistance questions of data. But our ability to replicate and human operation setup through multi agents

Investor Meeting Transcript from an AI perspective. I think is a unique positioning and I think it's effectively going to grow into sort of a replication of a different workforce within the bank that will complement the human and change the future of way work is done. Arun Jain Thank you, Banesh. In summary you are saying there are 3 business model to monetise. BM 1 model is around Purple Fabric as a platform. Like Palantir , they offer a platform. They charge $3 Mn per annum per customer subscription. We are looking this to be in the range of $1Mn a year. Customer can purchase it. So that's the first model. Second model is built up an application specific application like invoice processing, application, AI based invoice processing application, which is APX, underwriting application like Magic Submission which you have launched in the US. We have more than 20 clients using the complete underwriting platform which is AI driven platform where we are charging from them on basis point for the insurance premium they are underwriting on our platform or we are using claim management which is per transaction per application file or per complaint which could be even if it is close to 100 pound per complaint. It's a kind of a if 10,000 complaints or 100000 complaints are there. Looking at the market complaints in the marketplace of mis-selling. So, these are the cases within business Model 2. There are 4 business cases of 5 business cases we have already put in the market. Each Use Case

we
are
looking
at
it
that
each
use
case,
it
should
be
minimum
Rs.100
crores
revenue
index
3
to
5
years.
Each
Use
Case
can
bring.
And
because
model
canvas
model
one
which
is
around
Purple
Fabric
as
an
platform,
if
we
can
reach
out
to
50
to
100
clients
in
next
4
years,
that's
the
kind
of
an
objective
that
we
are
looking
at
it

and 3rd with the case which is there which is embedding our eMACH.ai in all our products. So, our product value which we are selling, we can sell at least 20% at higher premium to other market players using the Model Canvas 3. So, there are 3 models – BM 1, BM 2, and BM 3 to capitalise on it. With this we are quite bullish about this entire Intellect AI platform investments are quite high from the the R&D perspective and POC perspective. So, there are 2 kinds of investments we are making. One is on research. Second, on doing the proof of concept for our clients. So as of now, that investments are going in proof of concepts because whenever we want to implement certain thing as Deepak puts it,

the
claim
investigation
system
is
the
first
of
its
time
which
has
gone
live
in
the
world
where
it
is
using
enterprise
structured
data
from
multiple
databases
and
unstructured
data
from
the
market
perspective.
Nobody
has
currently
used
the
2
systems
of
structured
data
and
unstructured
data
and
multiple
system
for
multiple
system
to
solve
a
particular
problem
what
he's
showing
using
13
digital
experts.
I

don't call it digital agent because they are experts, so they are 13 digital experts plus 6 LLM models. So interesting thing is 6 LLM model. So, for one claim management system we are using 6 LLM model and system is going smoothly there. It's traversing and saying what is the billing for Open AI? What is the billing for bedrock? What is the billing for different LLM? And these are the important things which we are very uniquely defining and getting a good traction from our partners. So, we have one partner who started doing the Academy . He wants to train many people in his organisation, so we have a line from January , February , March will be training our partners who can sell to their customers to reach extend our outcome.

So, at this point in time, maybe Iwill reply the questions what you have.

Praveen Malik

Now you open further questions. Please click on raise your hand so that we can ask your question. Arun, some questions are there in the chat box. Also, let us take that first. Nachu please read the question.

Nachu Nagappan

Thanks, Praveen. The first question is, what

is
the
unique
value
proposition
of
multi
agent
platform
against
any
other
GenAI
platform?
Arun
Jain
That's
what
we
explained.
So,
I
think
this
has
been
explained
very
well
that
the
multi
agent
is
13
agents
solve
one
problem
.
You
go
to
next
question.
Nachu
Nagappan
How
can
manage
trust
and
explainability
in
platform?
Arun
Jain
Deepak
Deepak
Dastrala
I
think
there
are
multiple
levels,

not
just
an
one
dimensional
thing,
because
throughout
that
what
is
required
typically
for
data
privacy
perspective,
we
will
ensure
that
from
an
either
there
is
a
masking
capability
for
any
PII
data
and
there
is
a
toxicity
capability
to
ensure
that
the
questions
are
the
right
and
sensible
kind
of
a
thing
actually
adhering
to
the
standards
of
an
GDPR
and
everything
is
one
part.

But explainability you have seen right? I mean every single thing what the agent does is absolutely available to verify - we ensured that actually the trust is visually felt also. We spend a lot of time to really understand what the human AI interaction should look like and how they should be able to interpret what agents are doing. That's the reason we have decision logic and action. So, this helps in in terms of having the right traceability right explainability not only in the interest of an organisation, but also an auditor and the regulator . So, this is what we have put in place.

Nachu Nagappan

Ok. So, the next question is are the target plans even ready to adapt to AI agents actively? A lot of current adoption is

let's
do
a
small
pilot
and
we
will
see
later.
Arun
Jain
Exactly ,
that's
what
we
have
demonstrated.
In
US,
there
are
20
clients
are
already
using
it
for
full-fledged
underwriting
submission.
These
agents
are
being
used.
We
started
this
journey
in2021
and
today
we
have
pipeline
of
more
than
100
leads
where
we
are
doing
the
PoCs
with
them
so
that
they
can
on
board.

Inn claim one customer is fully live ESG customer is fully live. So that's what our uniqueness is. We are in action mode not only in PoC mode.

Banesh Prabhu

No, just to add right. Most of the clients go through a PoC, but once a particular Use Casein the BM 2 sort of model is Available, then they can actually start consuming

this
much
faster
than
before.
But
what
really
happens
is
the
client
is
still
going
through
the
stage
of
accepting
AI
into
their
environment.
And
I
think
that
takes
an
POC
which
we
do.
We
are
doing
multiple
PoCs
across
product
lines
today
and
I
think
that's
the
way
the
model
is
still
a
point
where
everybody
will
accept
it
and
then
you
can
scale
it

a lot faster thereafter . Arun Jain Deepak, can regulatory requirement on how AI is implemented in BFSI sector detailed some of the? Solution you have built. Deepak Dastrala I think one of the things is we are very actively working with the various regulators through the sandboxes in the UK and other places and also trying to ensure that the ISO standards like 42001 are applied.

So
that
it
is
completely
in
the
context
of
regulatory .
For
example,
in
both
UK
and
US,
lot
of
regulators
are
helping
with
innovators
like
us
in
terms
of
how
to
operationalise.
So
at
least
where
we
are
operating,
what
we
are
doing,
we
are
kind
of
seeing
some
help
and
we
are
also
constantly
focusing
on
what
are
the
new
frameworks
they're
releasing,
new
regulators,

regulations, they're calling it out for us to adopt. Banesh Prabhu Arun, just to add to what Deepak is saying, right. I think what we also do, not just all the discussions with the regulators. But we are actually finding ways in which we supplement the human beings. Sometimes people feel believe AI is completely autonomous. Not only do we ensure that the data of the bank is something that we keep secure within all the security regulations of data that exist, but also the work that we do actually enhances the human's capability to do processing. And therefore it supplements or augments the human’ s decision a lot faster , and it's not something that from an AI perspective is completely doing things which eliminate the control of the human in this case

or
the
operations
process
where
it
will
land
up
doing
the
wrong
things,
you
know
the
wrong
financial
transactions
for
the
customer .
Deepak
Dastrala
And
also,
Banesh
just
adds
to
you
right
the
use
cases
that
we
operationalize
the
biggest
challenge
for
the
companies
is
they
don't
have
enough
expertise
available
to
deal
with
the
demand
that
is
coming
on
their
way.
And
if
you
look

into
the
use
case,
,
the
biggest
challenge
they
have
is
they're
not
able
to
meet
SLA.
They
were
adding
more
and
more
people
that
is
not
helping
them.
So,
if
we
especially
look
into
the
risk
and
compliance
space,
there
is
a
huge
shortage
of
an
expertise,
and
this
is
where
the
agents
help
in
terms
of
giving
the
right
coverage
and
also
reducing
the

cost or optimising the cost.

Arun Jain

Yeah, there's a question. How is it to some of your leading competitor to replicate this kind of solute? I think we have an almost 10 years experience since when we are working on it.

Investor Meeting Transcript

Replication is possible and that nothing can be said that we have a unique solution which cannot be replicated. We have applied few patents on it which can protect us from the replication. But more than that, I call it basement 1, basement 2, basement 3, basement 4. If our solutions well, as we find as 97% accuracy or 98% accuracy , somebody has to reach to 98% accuracy takes almost months and months of jobs. At least it is a two year to three-year moat available to us on an applying in banking financial sector which I have talking about black book. This black book gives us a uniqueness because it's within each area process, we know the difference, which is there. What are the cumulative investments? Cumulative investments in this business over few 100 crores were made.. Something is available in our balance sheet capitalisation. Something is available in UK subsidiaries. Few

100 crores of the investment are already made in this area. With platform potentially replacing human operations, are we facing resistance from the employee from our customer? Deepak highlighted in very beautifully that we are not able to solve the problem fully. The regulator questions we are not able to solve. Today , it's not a question of employee, it's that people are paying fine in US

and UK. They are paying fine to the government because they are not able to solve problems. This is a problem solving they're using both hands, so there will be some situation where employees may feel constrained, or they may feel threatened with it. The question number two, Rahul Bhansali, you are asking what the biggest risks seen to monitize the Purple Fabric. I think the

risk
or
opportunity ,
if
we
look
at
opportunity ,
whether
this
opportunity
there
1000
crore
opportunity
or
5000
crore
opportunity ,
that's
the
dilemma
we
have.
1000
crore
we
are
sure
of
it
in
next
4
years
we
will
be
able
to
capitalise
on
it.
Can
1,000
crores
be
5000
crore
opportunity
for
us
at
a
margin
of
50%?
That's
what
is
current
challenge
right
now,
which
Banesh,

Deepak
or
me
spending
a
lot
of
time
in
the
flight
to
look
at
it,
how
do
we
make
it
1000
crore
to
5000
crores
journey
anywhere
in
between.
In
terms
of
complexity
of
implementation,
I
think
this
is
where
the
beauty
of
the
platform
Deepak
has
done
a
phenomenal
job
under
R&D
team.
WeYou
can
do
it
so
sometime
if
you
want
to
take
it.

We can give a session to you. You can build on it.

Praveen Malik Rajeev Sharma.: Has any customer that does not use any of the company product s signed for this platform?

Banesh Prabhu We have one which is right now doing a PoC with us. I think we have got a big pipeline of PoC is going on with clients. Many of them are not clients of ours at all. Arun Jain Manish’ s question, there is one beautiful question. How well does Purple Fabric integrate with legacy infrastructure of the banks in US? This is a beautiful question because that’s exactly the structured data access which we are able to provide, which generative AI of many players not able to do it, therefore he explained.

Investor Meeting Transcript Banesh Prabhu

Yeah.
And,
you
know ,
there
was
this
question
the
other
day
also
somebody
asked
me
all
the
platforms
that
we
have
built
and
clients
have
our
platforms
this
platform
actually
is
an
operations
transformation
platform
that
connects
to
those
platforms
to
pull
data
along
with
the
unstructured
data
from
documents,
puts
it
together
through
the
agents
and
the
multi
agents
to
do
the
actual
decisioning
involved

in supplementing the human to achieve an outcome. So, it is actually complementing existing platforms by pulling data just like a human would log into those systems, pull the information and take decisions and AI agent is helping the human doing it more efficiently and faster .

Arun Jain

There is another interesting question is that can it reduce the cost of building software. So how the software engineering cost has come down? I think we are doing it. We have stop hiring the people from October onwards, our headcount is constant, and we are now in the phase of using the Purple Fabric for our internal automation substantially . How much is incremental investment is needed? I think we need to continue the investments s every week changes there. Our GTM Investments will

be
much
higher .
We
are
we
are
creating
a
good
marketing
department
in
US
and
UK.
These
are
2
countries
we
picked
up
as
a
first
phase
of
going
there.
Does
Purple
Fabric
improve
conversion
ratios?
I
think
it's
just
a
question
of
each
lead
generation.
It's
improving
a
lot.
I
think
each
quarter
we
are
signing
around
8
to
10
deals.
There
may
be
small

POC, they may big POC which may not reflect on the revenue as much in each quarter . But each signup customer has a potential to grow the revenue based on testing our products. So, some of the customer can become almost like ARR of an $1,Mn ARR to $3Mn ARR, those are the possibilities of this large customer who are under pressure for regulator to solve

their
problems.$3Mn
for
them
is
a
peanut
for
the
kind
of
a
penalty
they're
being
charged
by
the
regulator .
Any
other
question?
Praveen,
you
can
look
at
it,
even
raising
the
hands
if
somebody
wants
to
ask
question.
Praveen
Malik
Yes,
there's
one
from
Neil
Chabra.
Please
unmute
yourself.
Nagesh
please
unmute
him.
Moderator
Neil,
you
may
ask
a
question.
You
are
unmuted.
I
can
see

in it is not mute from your side, so you can ask the question. Praveen ji, you are maybe some technical issues you might go on to the next one. Praveen Malik Vimal Kumar has already put it in the chat also. There are no other hands that are raised.

Arun Jain Okay . Two participants raised hands. Moderator Vipul, you may ask the

question.
Vipul
Yeah.
Am
I
audible?
Moderator
Yes.
Praveen
Malik
Yeah.
Please
go
on.
Vipul
So
sorry ,
you
said
that
the
revenue
potential
is
INR
1000
to
INR
5000
crores.
So
that
is
spread
over
how
many
years?
Arun
Jain
5-year
period.
Vipul
5-year
period.
So,
can
we
say
that
from
next
quarter
onward
will
be
clocking
revenues
will
in
hundreds
of
crores
for
this
product?

Arun Jain Hundreds of crores we are saying it's an accelerating revenue not a quarter -to-quarter revenue. So please don't expect anything significantly change in quarterly revenue because when you are doing an POC, we are doing first 100 complaints to be handled, not 1000 complaints. But as soon as it's accepted, it can become 1000 complaints a month. So that is the time the revenue build up will start.

Vipul And what will be the margin profile for this product as compared to our other products?

Arun Jain This is a completely different lines of business than other products in enter transform enterprise space. This is in the transform operation space. They are not contradicting to each other .

Investor Meeting Transcript

Vipul Margin will be higher or lower .

Arun Jain Margin will

definitely be higher . This is a very distinctively different AI product. Today , AI margins are still on higher side. So that will be higher than the existing products.

Vipul

Okay . Thank you, Sir.

Praveen Malik

There is no other hand raise.

Arun Jain

Time is also over. We have a one-hour session. So, we can close the call.

Praveen Malik

Any other question out there, please

click
on
raise
your
hand
so
that
we
can
unmute
you.
Moderator
There
is
2
question
Praveen
from
Pratap
and
Nishanth.
3
now.
Arun
Jain
Go
ahead
Pratap.
Moderator
You
can
speak,
Pratap.
Pratap
Yeah,
Am
I
audible?
Moderator
Yes.
Pratap
Yeah.
So,
can
you
explain
few
other
use
cases
that
that
can
be
like
one
is
that
customer
resolution
you
have
explained
like
what
are

the other areas or what are the other use cases you have currently developed or in future what are the other areas where you will be you think you can have developed application basically?

Investor Meeting Transcript Arun Jain There are 68 use cases we identified in banking. We are going step by step to look at like trade finance business. The entire use case is in trade finance business. The entire use case in lending underwriting solutions, the entire use case in regulatory management of the reporting which is there. So, there is a 68 list of experts. Digital expert use cases. We have a book available which we are using for selling in entire black book space. Pratap If out of the 68 like for all of these are developed

or
like
how
confident
we
are
with
the
how
many
cases
and
like
what
is
our
plan
to
add
up
basically?
Arun
Jain
Yeah.
So
that's
what
our
depend
on
our
capacity
to
go
to
market.
So,
we
are
doing
at
least
2
use
cases
per
quarter
to
go
live.
So,
we
are
just
picking
2
at
a
time
and
then
making
it
perfect
and
then

go
to
market
on
that.
We
need
to
set
up
a
full
team
to
sell
this
product
like
claim
which
is
for
UK
market.
Now ,
it
can
go
to
the
US.
So
now
we
are
setting
up
a
US
team
for
claim
investigation,
so
one
quarter
it
will
take
to
set
up
an
US.
Team
UK
team
is
ready .
US
team
will
be
set
up
in

next
quarter .
So,
it's
a
3-step
process.
First
is
building
the
agent,
second
is
do
a
first
live
sites
and
then
3rd
cycle
is
for
go
to
market.
Banesh
Prabhu
And
just
to
add
to
that,
this
is
not
like
a
coding
platform.
We
actually
configuring
this
so
the
third
option
is
to
get
the
partner's
trained
so
that
they
can
actually
create
the
use
cases

for their customers or cases that the customer already has enabled them on this platform. So, it's not a traditional coding type platform as the earlier plan.

Pratap

And so, what is your plan for go to market like we want to have some partners, or you have mainly we want to have our own?

Arun Jain

So, this we will be doing with the partners.

So, some other use cases are taken by consulting companies. The consulting companies of big 4, which I mentioned big 5 we have mentioned not big 4. We added another company also along with the 4 partners. So, 5 companies which are there, we are going, they are taking us to the customers. Pratap OK. So just to understand like traditional IT software companies like, can they be our partner or there are some conflicts of interest?

Investor Meeting Transcript Arun Jain They are our partners. Traditional IT companies are definitely partners and there are two IT companies which are definitely training their workforce using Purple Fabric. Pratap So, there is not much conflict of interest in with them, basically? Arun Jain Initially we felt the conflict of interest when we launched

it,
and
they
also
launched
it.
But
when
they
saw
our
platform,
they
themselves
backed
out
that
they
don't
have
capacity
to
do
such
a
deep
R&D
on
these
kinds
of
products.
Banesh
Prabhu
Particularly
in
the
multi
agent
side.
Pratap
Thank
you.
Nachu
Nagappan
Next,
we
have
a
question
from
Nishant
Gupta.
Nishant,
you
can
ask.
Nishant
Gupta.
Nishant
Hello.
Am
I
audible?
Nachu
Nagappan

Yes,
Nishant.
We
can,
we
can
hear
you.
You
can
ask
your
questions.
Nishant
Thank
you
for
the
for
this
interactive
and
deep
dive
session.
So,
I
had
actually
2
questions.
One
is
this
product
definitely
has
a
lot
of
use
cases,
right?
But
and
you
are
targeting
the
back
office
in
the
operations
team.
But
will
this
actually
lead
to,
you
know ,
termination
of
the

workforce
on
that
front,
I
mean
you
briefly
touched
on
that,
but
I
just
wanted
to
get
an
more
realistic
sense
that
will
people
lose
out
on
jobs
when
you
start
implementing
because
eventually
you
replacing
the
agents
with
technology ,
so
more
from
of
fairness
point
of
view ,
right?
If
you
can
comment
more?
Arun
Jain
Yeah.
So,
I'm
not
to
comment
on
this
fairness
point

of view , but I think AI will definitely take away a lot of routine jobs. People have to reengineer themself. Within a software engineering business, I believe that 30% of our engineering service industry will lose their jobs in 2026. A software engineering industry from India has a serious risk of losing the business as well as

jobs, so it's a fair question.

There is no answer to it. By not doing it, it doesn't solve the problem. If technology has come in, those technologies have to create a new kind of a job. More fear jobs, more sustainability element. So, if the job can be put on ESG compliance, more sustainable thing, I think world will be a better place using AI. Banesh Prabhu And this is a bigger moment than the Internet when it started. And new kind of jobs will arrive, but there is going to be a transition of skills and changes and different kind of jobs. But this is not like Arun said, this is not something you can stop. This is already in motion. Its changes are going to happen, and it is going to change the way we

operate.
Nishant
Got
it,
sir.
So,
my
next
question
is
that
Google
Gemini,
they
are
also
innovating
a
lot.
They
are
also
conducting
sessions
where
they
are
telling
about
what
all
capabilities
they
are
developing.
You
mentioned
that
there
are
4
levels
of
basements,
and
anyone
would
take
2
to
3
years
kind
of
a
timeline.
But
considering
Google
is
there,
you
know
perplexity
has
recently

received and fundraise of $500M valued at 9 billion dollars. Is it fair to comment in light of these events that you still have a 2-to-3-year kind of a moat in this?

Arun Jain

The difference is we are in applied research. We are not in foundational research for Google and Gemini spending money is in foundational research. We are leveraging them to solve the specific

business
use
case,
which
is
not
their
competency .
What
did
work
on
is
a
technology
competency .
We
work
on
applied
banking
competency .
That's
what
Banesh
tried
to
highlight
in
the
beginning
of
the
session
that
our
differentiation
is
which
particular
smaller
space
it
when
you
are
issuing
an
LC,
where
is
the
in
LC
which
is
the
particular
context
of
LC
and
which
business
will
need

to be applied for that is not known to Gemini or any of these products. So that's where the moat of 2 years is there. Deepak Dastrala Just to add to what Arun said right. If you see pretty much from the level of intelligence, this narrowing down between the top players. Now , even if you see OpenAI, most of their recent work, they're all trying to figure out how to verticalise their intelligence. And what kind of a user journeys? What kind of problems they want to solve? So that's where being in an BFSI space for more than 3 decades gives us say that very unique insights on how this can be applied and how it can be solved to the last mile better than anyone else. That's where, that's

where
our
differentiation
is.
Nishant
Got
it.
One
final
question
from
my
side.
This
is
more
like
from
a
long-term
view
you
are
targeting
to
capture,
let's
say
1000
to
5000
crores
for
market,
right?
But
let's
say
for
a
bigger
player
comes
in,
offers
to
buy
this
particular
product
segment
from
you.
Would
you
be
open
to
selling
it
at
a
particularly
higher
value
or

you want to keep it in-house and keep kind of getting a recurring revenue?

Investor Meeting Transcript Arun Jain Boss, you have seen the Intellect. These investors do come with the always some purchase options we must do some action on this company , some corporate action on this business. We can think about something of that nature where we can leverage it better , subsidise it something

we
don't
know
as
of
now.
We
are
just
discussing
it
how
do
you
really
capture
the
value
of
1000
crore
to
5000
crore
journeys?
That's
what
we
are
discussing
in
board
meetings
that
how
do
we
capitalise.
1000
crore
we
are
sure
of.
But
5000
crores,
if
you
have
to
take
some
action,
where
we
need
to,
we
are
exploring.
Nishant
Got
it.
And
you

are
targeting
not
the
Indian
market
right
now,
only
the
US
and
the
UK
and
all
market
right
now.
Arun
Jain
Yeah,
that's
right.
Nishant
And
any
particular
setting
for
that?
Arun
Jain
Pardon,
the
question.
Nishant
So
why
not
also
target
the
Indian
market
where
you
know
the
BFSI
sector
and
the
Backof fice…
Banesh
Prabhu
There
are
some
Intellect
tactical
clients,
which
are
critical
to

us, where we are talking in other geographies to those clients. But our main focus of scaling the business is going to be in the US and in the UK to begin with.

Arun Jain

We are doing an APX model like Magic Invoice, some small way, Indian market. We are using it. Some big customers for India, we want to look at its Central Bank and as of now, India rules are not clear where they can use where they cannot use Central Bank has not issued any notification. How can they use AI or not. We tried doing in India. I think we will take it up when some clarity will emer ge from the Central Bank on the how AI and which use cases can be there. So as of now, we are waiting for the AI policy to confirm India and then we can use in India.

Nishant

Got it, sir. Thank you and all the best.

Nachu Nagappan

Thanks Nishant. Next, we have a question from Puranik. Puranik, can ask your question please. You can unmute yourself and ask the question.

Puranik

I have a question. See this year, human and

agent
is
a
wonderful
collaboration.
So,
this
produces
tremendous
output.
Can
you
hear
me?
Arun
Jain
Yeah.
We
can
hear
you.
Puranik
Yeah.
So,
it
it's
been
it
pretty ,
it's
delivered
fantastic
optimisation.
It's
an
optimisation
tool.
It’s
an
enhancement
tool.
It's
done
a
fantastic
job.
So
how
do
you
measure
this
going
forward?
From
use
case
to
use
case
you
know
from
application
to
application,

the
productivity
of
this
in
combination
when
they
work,
how
do
they
work
and
how
do
they
get
technology
and
domain
specificity
together?
Then
how
they
will
get
the
productivity
of
the
platform,
because
I
don't
see
much
of
a
productivity
in
this
application.
Banesh
Prabhu
No.
So
yeah,
I'll
just
take
that
question
Arun.
So,
I
think
you
got
the
example
from
Deepak
on
actually

showing you the outcome from 50 days to 20 minutes, 30 minutes for an investigation. You got the accuracy; you got the cost benefit of that speed. So, all the quality dimensions that would be there in Gen in any kind of quality management on accuracy , speed, cost and efficiency is all there to actually measure use case by use case. So, the client actually can

see
that
and
that's
what
we
work
with
the
client
as
part
of
the
PoCs
to
do.
Puranik
My
question
is
seeing
if
you
what
you're
saying
is
right.
If
let's
say
your
spread,
it
across
the
10
use
cases.
So,
is
there
an
improve
productivity
improvement?
Is
there
an
output
efficiency
coming
up
in
each
and
every
I'm
trying
to
understand,
let's
say
it
does

10 application, 10 projects, at every stage because of the agent involvement, the combined productivity should get better . The output could get. More importantly , the output get better the result that you're seeking gets better . So, does that happen?

Arun Jain

So, Deepak what is the benchmark you are looking at? He is asking the question that you have a benchmark metrics now which you're not showing it. Otherwise, they were the accuracy .

Investor Meeting Transcript Deepak Dastrala And yeah, I think if you see right, we are in a very interesting phase where we are actually initially the people see as more of an automation journey . That is the reason a lot of metrics are around the operational efficiency and the productivity that was the first part. But if you see

right,
this
is
where
also
we
have
working
with
our
customers
to
also
see
the
different
dimension
because
automation
is
a
largely
the
FD
saving
and
those
kinds
of
metrics.
But
what
we
are
also
doing
is
like
the
use
case
that
we
developed
for
the
complaints
right
now
we
are
using
it
for
a
compliance
means
what
is
the
cost
of
getting
the
decision
right

and how we are reducing it means. For example, if you take the banks, , the real value is how you can reduce your NPA? How you can deliver the loans so that your chances of you're paying and all? So that is where what we said is we are not only helping in terms of improving the bottom line, but we are also helping in terms of improving the top line. So that the mis-selling can be stopped So, it's so, because that is the reason we are also helping and educating our clients to not to see it as an automation way, but also see it an AI way. That was the number one second thing is in fact we are working with some Advanced Research universities to how we can benchmark the competency of an agent across the human. Because right now, from a human perspective, right when you on board someone, this is the competency , this is the salary and all. Now we will be continuously increasing the competency and that also will give a differentiation in terms of a price point and also the quality of decisions. So, this is the various

ways
we
are
helping
the
banks
also
kind
of
a
creating
a
new
way
to
benchmark
on
this.
Arun
Jain
So,
I'm
using
this,
Puranik,
for
my
software
testing.
And
for
software
compliance
testing
of
security ,
I
am
using
the
Purple
Fabric
for
doing
it,
which
used
to
take
4
weeks'
time
to
have
a
security
leakage
in
the
software.
Today
I'm
using
Purple
Fabric
to

check
gates
of
entire
software
quality .
So,
we
are
going
to
leverage
almost
20%
headcount
reduction
for
the
same
job
in
next
6
months.
Puranik
Wonderful,
Banesh,
can
you
give
us
some
use
cases
on
underwriting?
Because
underwriting
is
everybody's
concerned
that
a
well-earned
loan
is
well
recovered.
So
initially
you
give
it
the
right
lender ,
you
don't
have
to
put
in
too
much
effort.
The

borrower , you don't have to put in too much effort in collection. So how will you help in that process? Arun Jain Banesh has run Citibank operations. Banesh Prabhu Underwriting, whether its loan underwriting or insurance underwriting, you know for underwriting, you normally get unstructured documents that are that we have a product called Magic Submission where people submit documents, and this can be very complicated

Investor Meeting Transcript documents with great deal of details. So, we actually through our technology that you just heard today , you can take that data, you can ingest it whether it's unstructured or structured. We can also have a data platform of our own for underwriting where you can triangulate this combination of data. Now , what are you doing in this model? You're actually going up to

BPOs, right? BPOs do these jobs operationally . Document hand to them, they data enter few fields in the document and then that underwriter uses those fields. But what we are actually doing is through AI, not just collecting all that information into knowledge database of information for the underwriter to ask questions, but we will also be creating underwriter agents to help the underwriter become more

efficient
as
we
go
forward.
With
those
examples
on
underwriting
and
this
can
apply
across
the
board
for
underwriting.
Puranik
Can
you
give
some
examples
of
that?
So,
what
are
the
fields
that
you
have
eliminated?
What
fields
you
got
it
more
efficient
than
what
it
is?
Banesh
Prabhu
So,
if
you,
I
mean
we
don't
need
to
go
to
the
field
level,
but
there
are

lot
of
data
that
you
do
not
capture
from
submissions,
right?
Because
data
emtered
into
a
few
things,
but
actually
the
data
is
kept
on
document
folders
and
then
the
operations
people
actually
look
at
document
folders
and
look
log
into
systems
and
then
do
the
decisioning.
Here
actually
by
extracting
all
the
information
from
these
unstructured
documents
along
with
the
transaction
systems,
you
can
actually

get
the
AI
agent
to
help
the
underwriter
become
faster ,
taking
complex
underwriting
decisions.
For
example,
in
the
US
you
wanted
to
insurance
on
50
Marriott
properties
or
something
like
that
at
one
time.
That
is
very
difficult
to
do
as
a
human
underwriter
today .
Puranik
But
how
does
predictive
underwriting
engine
work?
Banesh
Prabhu
So,
it's
not
about
predictive
underwriting
only.
This
is
actually
about

helping
the
human
with
information
to
help
them
manage
underwriting
and
give
them
things
that
they
will
have
missed
as
humans
with
more
information
to
triangulate
and
take
decisions
faster .
Deepak
Dastrala
Just
to
add
to
what
Banesh
said,
right?
What
we
do
is
extracting
the
data
is
one
thing,
but
what
we
do
is
we
really
enrich
the
data
also
with
the
multiple
sources
and

then
triangulate
it.
So
that
way,
because
as
a
human,
the
challenge
is
most
of
the
time,
with
all
due
respect,
depending
upon
the
time
in
a
day
they
end
up
taking
an
different
decisions
and
most
of
the
time
they're
biased
with
their
historical
view
of
that
particular
entity
or
that
particular
organisation
or
whatever
it
is.
So,
what
we
do
is
we
completely
irrespective

of the size of the data or volume of the data will triangulate the whole thing and then we will identify the blind spots at every single thing. So, if you see what is the value that we are creating? Because if you see the one that I showed, we also kind of recommended the decision on the various

things. So that we

kind
of
do
the
red
flags.
At
this
moment,
it
all
depends
upon
the
underwriter ,
he
or
she,
what
they
view
about.
The
biggest
challenge
in
underwriting
is
standardisation.
Every
underwriter
has
a
particular
view ,
irrespective
of
the
clear
guidelines
within
the
organisation.
So
now
what
we
do
is
we
actually
ensure
that
those
guidelines
are
properly
applied
irrespective
of
the
volume
of
the
data
and

also
when
there
are
gaps,
we
also
have
an
ability
to
enrich
that
by
connecting
to
the
public
or
private
sources
and
fill
the
gaps
also.
The
coverage
also
will
increase.
So,
the
biggest
value
that
we
bring
in
is
ensuring
that
we
are
able
to
aggregate,
triangulate
and
then
also
recommend.
Arun
Jain
Enrich
and
one
more
process
is
continuous
monitoring.
Yeah.
Every
3
months

I
can
go
to
website
and
check
it
up
that
status
as
the
loan
-
continuous
KYC
and
continuous
loan
monitoring.
So,
I
can
I
go
every
month
to
the
website
of
the
customer
and
see
whether
they
are,
or
any
new
results
have
come
in
embed
and
along
with-it
triangulate
it
again.
Deepak
Dastrala
Exactly
as
Arun
beautifully
said,
right,
the
biggest
challenges
people
do

this only when they disburse the loan. They never have a capability to do it on a continuous basis. So that way a predictive part what you are saying, right? This is what we can bring in terms of predicting the chances of a default at a frequency that you can configure for that particular corporate. Puranik One another question I have is how do you

measure
an
agent's
performance
with
reference
to
its
augmenting
the
human
skill?
Deepak
Dastrala
So,
for
example,
the
use
case
that
we
have
done
initially ,
that
was
the
exact
dilemma.
So,
we
kind
of
actually
led
the
same
use
cases.
Because
in
an
model
office,
that's
how
they
benchmarked
and
what
is
the
beauty
is,
it
kind
of
opened
up
an
lot
of
gaps
because
typically

when humans make an decision, very rarely people will check now we have a way to compare on the performance. The way they got the acceptance is actually when they ran on the use cases where where already the decisions were made, we identified how many cases actually they wrongly paid back for the wrong reason because the human hasn't really validated them. So, the sign off on this happened against the human benchmarks Puranik. Puranik Interesting. Arun Jain Thank you, Puranik. I think we need to just close the call. Puranik I think we need a lot of chat on this. Thank you. Very interesting.

Investor Meeting Transcript Praveen Malik Thank you, Puranik ji. Arun, we have a last question from Mr Vivek Kumar from BestPal. This is the last one.

Vivek ji, please unmute yourself.
Vivek Kumar
Can you hear me now?
Arun Jain
Yeah, Vivek. Go ahead.
Vivek Kumar
Thanks for making us understand how AI agents can bring big opportunity for Intellect, sir. But in terms of changing of profit polls of the industry , like what happened in the content creation has moved to aggregators like that. Are you seeing any trends in IT,

Arun ji? I understand how AI is helping agencies and Intellect, but in general? Arun Jain It will happen. It will happen if you're going first principle thinking a lot of aggregation will happen. I think India IT industry is still sleeping. And too much disruption will happen on the service companies. It's going to happen. It's bound to happen. As of now, we are still

not
acknowledging
the
capacity
of
what
AI
has
done.
I
am
pursuing
it
from
last
10
years,
so
I
know
what
the
power
is
and
how
it
accelerates.
Completely
it's
a
titanic
shift.
It's
a
tsunami.
It's
no
less
than
tsunami
right
now.
But
tsunami
takes
three
hours
to
come
to
surface
when
it
happened
from
the
where
the
attack
happened.
It
will
take
3
years

for
India
to
understand.
Vivek
Kumar
Got
it.
Thank
you,
Arun
ji.
Arun
Jain
T
hank
you.
Praveen
Malik
Thank
you,
Vivek.
Thank
you
everybody
for
joining
the
call
today
and
still
in
case
you
have
any
more
questions,
please
do
write
to
us.
Thank
you.
Now
you
can
log
off.

Call: Feb 2025

Intellect/SEC/ 2024 -25 January 31, 2025

1. Natio nal Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.
Scrip Symbol:
INTELLECT
2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code:
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regul ations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the I nvestor Earnings Call held on January 24, 202 5 on the unaudited f inancial results for the quarter and nine months ended December 31, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,
For Intellect Desig n Arena Limite d,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Investor

Meeting

Transcript

Praveen Malik:
Greetings and welcome everyone!
Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the third

quarter

of

the

fiscal

year

2024-25

ending

31st

December 2024. The investor presentation and the press release has been sent to you and is also available on our website. Our leadership team is present on this call to discuss the results.

We

have

with

us

today,

Mr.

Arun

Jain,

Chairman

and

Managing

Director,

Mr.

Manish

Maakan,

CEO

of

iGTB,

Mr.

Rajesh

Saxena,

CEO

of

iGCB,

Mr.

Banesh

Prabhu,

CEO

of

IntellectAI,

Ms.

Vasudha

Subramaniam,

CFO,

and

Mr.

Vikas

Misra,

he's

a

partner,

and

he

looks

after

the

strategy

in

the

company.

Besides, some other senior members of the Intellect management team are present in the call.
Now I hand over to Vasudha to take you through the results. This will be followed by a Q&A session where

your

question

will

be

replied

by

the

senior

members

of

the

management

team.

Once

the

Q&A

starts,

you

can

ask

a

question

by

clicking

on

raise

your

hand.

And

then

we

will

unmute

you,

and

everybody

will

be

able

to

listen

to

you.

One safe harbour. I would like to remind you that anything which we say, which refers to our outlook
for

the

future,

is

a

forward-looking

statement.

This

must

be

read

in

conjunction

with

the

risk

that

the

company

faces.

With this, I request Vasudha to give her briefing. Vasudha.
Vasudha Subramaniam:
Thank you, Praveen.
Good evening, everyone, and thank you for joining us for the Q3 FY25 Investor Earnings Call. It is my privilege

to

take

you

through

the

highlights

of

this

quarter.

As

you

would

have

noticed

from

the

Press

release

and

Investor

deck,

we

have

significant

milestones

to

share

this

Quarter

Today’s discussion will cover four key sections:
1.

A

deep

dive

into

our

financial

performance.

2.

Two

Strategic

initiatives

that

would

significantly

drive

growth

and

Market

leadership.

3.

How

eMACH.ai

is

accelerating

our

leadership

position

in

the

market

and

4.

On

Market

Recognition

&

Events

Section1: Financial performance.

●

Revenue

from

operations

for

Q3

FY25

stood

at

INR

607

crore

(while

the

total

income

is

625

Cr)
,

registering

growth

YoY

on

a

like

to

like

basis

Our

Year-to-date

(YT
D)

revenue

from

operations

for

FY25

has

reached

INR

1,768

crore

(while

the

total

income

is

1828

Cr)

,

we

continue

to

maintain

double

digit

growth

in

2

yr

and

3

yr

CAGR

on

an

LTM

basis

●

The

License-linked

revenue,

comprising

Platform,

License,

and

AMC, stood at INR 292 crore, contributing nearly 48% of total revenue this quarter.

Investor Meeting Transcript

- The LTM ARR as of Q3 FY25 was INR 700 crore, underscoring the trust and stickiness of our platform-driven solutions.

- EBITDA for the quarter stood at INR 121 crore, with a margin of 20%.
- Profit before tax came in at INR 93 crore,

and profit after tax was INR 70 crore,

- Despite global challenges, we’ve sustained financial stability with zero debt and INR 804 Cr of cash in hand.

- This financial resilience positions

us

to

capitalise

on

future

opportunities,

ensuring

sustainable

growth

for

stakeholders.

Section 2: Strategic Initiatives
Q3 FY25 was pivotal for Intellect as we continued to execute bold strategic moves to strengthen our market

leadership

and

drive

sustainable

growth.

A significant milestone this quarter was the signing of an agreement with Central 1 Credit Union, enabling

Intellect

to

assume

its

digital

banking

operations.

This

agreement

marks

an

important

step

in

expanding

our

presence

in

North

America,

a

region

critical

to

our

growth

strategy.

To put this agreement in perspective, we had stated in earlier calls that North America is our next focus

geography

after

our

success

in

Europe

initially

with

the

Transaction

Banking

Products

and

subsequently

with

Consumer

Banking,

Wealth

and

Insurance.

We have a significant presence amongst the P&C Insurance leaders with our Purple Fabric platform adopted

by

20+

Carriers

after

individual

POCs

and

evaluation.

Our

Liquidity

and

Payments

products

also

enjoy

an

installation

base

with

the

Market

leaders

in

the

US

and

Canada.

We

recently

struck

a

large

engagement

with

the

Market

leader

in

Mexico

This arrangement will further strengthen our presence in Geography taking our Digital Engagement Platform

to

pole

position.

We

are

excited

about

our

association

with

the

Credit

Unions

and

the

possibilities

with

our

eMACH

platform

in

driving

their

transformation

agenda

as

well

as

that

of

other

Financial

leaders

in

the

US

and

Canada.

The transaction is expected to close in the next few weeks and will serve a substantial network of Canadian

credit

unions.

SME Enablement through Global Linker
Our strategic investment of Rs.20 Cr in DigiVation Digital Solutions Pvt Ltd positions Intellect as a leader

in

corporate

and

government

e-procurement,

driving

growth

in

trade

and

supply

chain finance globally.

The Asia Pacific has been identified as a major Trade corridor in most Global studies. Similarly, the vibrant SME segment has been identified as a key engine of Economic growth in every developing economy as well as advanced markets.

GlobalLinker is a startup in the SME Ecosystem space that offers shop front and e catalogue services to SMEs, apart from access to financial services

through

partnership

with

Banks

and

has

an

enrolled
Investor

Meeting

Transcript

base of over 300K SMEs. Intellect's eMACH Platform encompasses the iCPX and iGPX platforms that power

the

intelligent

procurement

process

for

Corporates

and

Governments.

Our

Transaction

banking

products

support

Global

Trade

and

Supply

Chain

Finance,

apart from the regular Payments and Collections. We see significant synergies and potential in the IP assets coming together to form an Interconnected Commerce Ecosystem with value accretion to all participants like SMEs, Banks,

Buyers

and

the

Platform.

Section 3: eMACH.ai – A Catalyst for Transformation
eMACH.ai, continues to lead the digital transformation journey for financial institutions worldwide.
The

Zero

waste

architecture

based

on

First

principle

thinking

helps

Financial

institutions

accelerate

the

realisation

of

their

transformation

vision,

while

keeping

total

costs

of

ownership

across

-

Run

the

Bank

and

Change

the

Bank

-

initiatives

the

least.

In Q3 FY25, eMACH.ai achieved significant milestones by being chosen by 11 global customers
across

key

regions,

showcasing

its

capability

to

address

diverse

and

complex

financial

requirements.

The

notable

deal

wins

include:

One of the largest U.S. banking institutions, focused on Asset and Wealth Management adopted
CTX
-

Corporate

Treasury

Exchange

-

to

enhance

liquidity

management

and

automate

cash

operations,

ensuring

efficiency

and

superior

client

service.

A Wholesale insurance brokerage firm specialising in Risk Management across multiple P&C lines has adopted
eMACH.ai

Magic

Submission,

Xponent,

and

Risk

Analyst
,

empowering

underwriters

with

AI-driven

tools

to

streamline

workflows

and

improve

decision-making.

A prominent Nordic wholesale bank reinforced its trust in CTX, leveraging the platform to optimise liquidity

and

provide

sustainable

treasury

solutions.

A Spanish banking giant expanded into Asia with eMACH.ai Payments, focusing on innovation, operational

excellence,

and

seamless

customer

payment

experiences.

A large Turkish bank implemented the Digital Engagement Platform to deliver AI-driven personalised,

real-time

interactions

for

customers

across

all

touch

points.

Africa’s largest financial institution awarded us a multi country CTX engagement - spanning across 22 countries,

replacing

legacy

systems

with

scalable,

future-ready

treasury

solutions.

A major South African banking conglomerate adopted the Digital Engagement Platform, enhancing customer

satisfaction

with

personalised

and

seamless

engagement.

A financial services leader in Southern Africa implemented eMACH.ai Core Banking to provide contextual

and

personalised

banking

journeys

for

its

evolving

customer

base.

A prominent corporate bank in the UAE renewed its trust in eMACH.ai TRADE, delivering a unified Omni

channel

experience

across

its

transaction

banking

services.

A top Saudi financial institution adopted eMACH.ai TRADE, enabling seamless Omni channel solutions

tailored

to

the

dynamic

needs

of

trade

corporates.
Investor

Meeting

Transcript

Finally, we're thrilled to announce that a Greenfield EMI in Malta has revolutionised its services across

the

European

Economic

Area

by

implementing

our

eMACH.ai

and

iTurmeric

platforms,

significantly

enhancing

customer

experience

and

operational

efficiency

eMACH.ai is Driving Business Impact across the Globe
It’s composable open architecture coupled with the iTurmeric composability platform accelerates Transformation

initiatives,

with

more

customers

successfully

adopting

our

platforms

this

Quarter

Here

are

some

of

the go-live

highlights

of

Q3 that

showcases eMACH.ai’s global

impact:

There were 3 Go Lives in AMERICAS Magic Submission powered by Purple Fabric
1 Go Live in Europe in Corporate Treasury
5 GO-LIVES in India in Digital Core and Treasury Solutions, Cash Management and Wealth Management

4 GO-LIVES in Middle East & Africa in Central Banking Transformation, Core Banking, Cash management

and

Digital

Banking

Innovation

2 GO-LIVES in Asia Pacific in Liquidity Management and DTB platform
And 1 Go Live in AUSTRALIA & NEW ZEALAND involving Core Banking Transformation
For the year till date, we had 34 wins and we had gone live on 37 digital transformational projects
Section 4: Events and Market Recognition
Events:
Intellect also made its mark in key Industry and Technology events during the Quarter, showcasing the

prowess

of

our eMACH.ai architectural and technical superiority.
SIBOS, the annual event for Corporate Banking was held in China in October where we demonstrated our AI led Trade and Supply Chain platform apart from other Industry leading platforms of CTX, Payments and Digital Transaction Banking. In the Transaction banking business, we

also

held

a

launch

of

Wholesale

Banking

in

Dubai
At the Insuretech event at Las Vegas, we demonstrated the versatility of our Purple Fabric platform
and

Industry

specific

products

such

as

Magic

Submission,

Risk

Analyst
In the Consumer Banking business, we hosted the Global Finance Awards event in Washington
attended

by

the

Global

chieftains

of

the

Industry.

We

also

hosted

the

iGCB

Oxford

Central Banking event, attended by several leaders from the Central Banks world over. Arun delivered the plenary address at the BIAN Banking Summit at London

Closer home, we held an event for Bank Treasurers at Mumbai and a two day for 'Transformation through eMACH.ai' for Bankers from the Indian subcontinent

The response and feedback during and post these events enthuse us further in our pursuit of Global leadership in the Financial Technology space.

Investor Meeting Transcript

On the Market Recognition

Our leadership is consistently acknowledged by top analysts:

- Recognised as a Strong Performer in The Forrester Wave™ for Digital Banking Platforms.
- We are Named Category Leader in the Chartis

Risk

Tech

Quadrant

for

Regulatory

Reporting.

●

We

are

Ranked

Leader

in

Omdia

Universe

Payment

Hubs,

with

best-in-class

vendor

execution.

These accolades validate our position as the preferred partner for financial institutions globally.
In conclusion, Q3 FY25 has been a quarter of transformation, marked by stable financial performance,

bold

strategic

moves,

and

innovation-driven

growth

eMACH.ai platform continues to accelerate our acceptance and adoption by leaders across geographies

In December, we hosted a session with specific focus on Purple Fabric, our Enterprise Connected Intelligence

platform.

The potential of these technologies and platforms is evident in the robust pipeline build and enhanced Market activities. With the advent of the new calendar year, that marks a new financial year for

Institutions in the advanced markets, we are hoping for further closures in the ensuing quarters. We are confident in our ability to deliver long-term value for stakeholders through disciplined execution, continuous innovation, and customer-centricity.

Arun Jain:
Before jumping into the question, I think Central 1 is a very big initiative. Can you hear me?
Mr. Manish Maakan:
Yes, Arun.
Arun Jain:
Yeah. So, fortunately, we have Rajesh here. So, Rajesh, Investors will love to know what agreement you have signed in Canada with Central 1 and how Central 1 is important from its growth of iGCB business to cross Rs.1, 000 crores for next year.

Rajesh Saxena:
Yeah. Thank you, Arun. I think, let me just step back and talk a little bit about what we have told

investors

a

couple

of

quarters

back.

I

think

we

have

talked

about

our

strategy

of

first

going

to

Europe

following

iGTB

and

building

a

business

a

good

retail

banking

business

in

Europe.

We

have
had
decent
success
there,
and
our
next
bastion
in
was
North
America,
wherein
we
said
we
will
go
into
Canada.
So,
Canada
is
an
important
market
for
us.
It's
what
we
call

as

a

strategic

C1

market

for

us.

So, from that perspective, from a marketplace perspective, Canada is important. And if you look at our

product

and

if

you

have

been

listening

to

our

investor

calls,

our

digital

experience

platform,

which

is

a

codeless

platform,

has

been

seeing

a

lot

of success in the markets built on the eMACH.ai principles, and it's seeing substantial success in the last couple of quarters. If you look at both the

market and the product, we had an opportunity to look at, C1. So, for just I will just take two minutes to give

a

credit

union

perspective

for

Canada.

In Canada, there are about 390 credit unions. Over 200 are in Québec region, which is a French speaking

region,

and

190

are

in

the

other

parts

of

Canada.

Central

1

has

been

formed

for

serving

this

credit

unions,

and

it

has

3

or

4 businesses. One of the business that Central 1 does is to provide a digital, platform for retail customers, SMB customers, and commercials. So, out of these 190 odd credit unions, Central 1

has a majority of these customers who run their digital experience platform on Central 1’s platform. They have three platforms. They have MemberDirect, Forge, and a mobile app. All of this is a multi-tenant

and

SaaS

based

model.

We

have

signed

into

an

agreement

with

Central

1

to

acquire

this

digital

business

and

run

this

business

from

Central

1.

And

with

this,

and

that

as

Vasudha

said,

the

deal

will

close

in

a

couple

of

weeks

from

now,

wherein

we

will

be

getting

a

substantial

number

of

employees,

from

Central

1

to

come

into

our

fold.

So,

we

will

have

scale

in

Intellect

Canada

with

Canadians

coming

over

and

working

with

us.

And also, we get substantial number of customers who will become our clients now from a digital experience

platform.

The

important

thing

to

note

is

that

this

is

not

only

about

digital

experience

platform,

but

it's

also
about
opportunities
where
we
can
cross
sell
core
banking,
we
can
sell
lending,
loan
origination,
and
also
commercial
banking
solutions.
Most
of
these
credit
unions
are
also
looking
at
getting
into
the

commercial

banking

space.

So,

from

that

fit,

we

are

suddenly

seeing

a

significant

scale

that

we

will

we

are

getting

into,

from

a

Canadian

from

a

strategic

market

in

a

strategic

line

of

business

for

us.

Arun back to you.
Arun Jain:
Yeah. So, thank you, Rajesh for, concluding this acquisition of the more than 150 clients in that region.

So,

this

makes

Americas

over

200

clients

for

Intellect.

And,

as

we

said,

there

are

five

markets

for

the

investor.

America

market

was

the

last

when

we

entered

in

a

strategy,

and

that

was

the

focus

you

keep

asking.

And

ARR

is

the

second

focus.

So,

this

business

will

bring

Rs.200

crores

of

additional

ARR

to

the

revenue

pool

of

Intellect.

So,

this

is

a

substantially

valuable

entry

from

a

three-dimensional

perspective.

eMACH.ai expanding the product line into a large number of customers, North America entry. And expanding

eMACH.ai

footprint

from

a

perspective

of

multiple

products

that

can

be

sold.

So,

this

is

a

one

very,

very

important

leveraging

we

are

looking

at

it.

The

second

part

was,

Manish,

to

highlight

around

what

is

the

GlobalLinker,

investments,

could

be

or

the

whole

iGTB

growth

engine

is

working

on.

So,

if

we

just take, just to update because all our three businesses now are accelerated in 2025. IntellectAI, we shared on 19th December 2024, we shared with you that the potential of Purple Fabric could

be
Rs.1,000
crores
to
Rs.5,000
crores.
Manish
is
sharing
the
growth
engine
with
iGTB,
w
hich
is
our
frontline
business,
which
is
the
first
business
which
crossed
Rs.1,000
crores.
Now
Rajesh
business
will

be

crossing

Rs.1,

000

crores.

And

then

the

third

business

which

we

are

creating

IntellectAI.

So,

that's

the

kind

of

a

storyboard

what

we

have

been

telling

you

from

last

five

years.

I

think

step

by

step

it

is

moving

in

the

right

direction.

Investor

Meeting

Transcript

Manish Maakan:
Thanks, Arun. This is an important asset from my perspective. We have focused from a transaction banking

perspective

of

how

to

expand

the

cash

management

and

trade

supply

chain

capabilities

for

all

large

corporates

and

SME

mid-market

segments.

What this offers us as a capability is to be able to offer three things now. First, its capability is equivalent

to

Alibaba

to

create

a

marketplace.

It

has

capability

like

Shopify

that

you

can

create

your

e-markets

and

you

can

create

your

own

engines

from

where

you

can

make

payments.

And the third capability it brings on board is that I can embed this into my CBX channel now, whereby the

banks

can

get

access

to

a

much

larger

SME

customer

segment

base.

So,

our

attempt

with

this

investment

will

be

to

scale

this

up

to

add

to

the

edge

of

our

platforms,

whereby

all

SMEs

can

be

onboarded

through

it.

And then we can potentially run the entire lifecycle of an SME where banks will go after them through

this

route.

This

will

help

in

the

supply

chain

as

well

as

receivables,

which

the

large

corporates

really

look

after

them

for.

This

is

a

good

footprint

in

the

market

right

now.

It's

about

now

taking

it

across

Asia,

Middle

East,

and

Europe

for

its

expansion,

and

in

stage

two,

take

it

to

North
America.
So,
we
are
going
to
closely
work
along
with
the
team
to
scale
it
up.
Our
distribution
access
to
the
products
sophistication
will
be
the
magic
which
we
will
create
with

this.

Back to you, Arun.
Arun Jain:
Thank you.
Banesh, anyway, we shared last time, so let me hand it over to investors to ask questions of this strategic

move

with

what

we

have

at

this

point

of

time.

Praveen Malik:
Thanks, Arun.
Now in case you want to ask a question, please click on raise your hand. Please click on raise your hand.

First,

we

have

Mr.

Rahul

Jain

from

Dolat

Capital.

Mr.

Rahul

Jain

from

Dolat

Capital.

Please

unmute

yourself.

Rahul Jain:
Yeah. Hi. Hope I'm audible now.
Praveen Malik:
Yeah. Please go on.

Investor

Meeting

Transcript

Rahul Jain:
Yes. Thanks for that detailed explanation, but I think I would still need some more help to understand,

about

this,

Central

1

kind

of

a

transaction.

If

what

I

have

got

so

far

is

basically,

we

might

be

taking

over

the

tech

team

of

C

1and

is

it

also

involves

migrating

from

their

current

Backbase

platform

to

eMACH.ai,

or

that's

not

part

of

the

equation

at

this

point?

So

I

love

to

hear

more

on

this.

Arun Jain:
Rajesh?
Rajesh Saxena:
Yeah. So, I think, Raul, thanks for that question. I think, what we are taking over, as you rightly said, is a

team

of

people

predominantly

in

that

is

engineering,

solution

architects

-

there.

But

we

are

also

taking

over

a

team

which

is

the

relationship

management

team,

the

sales

team,

the

product

team.

So,

it's

a

combination

of

members

coming

from

various

fields

predominantly

being

on

the

engineering

and

the

solution

architect

side.

To your second question on Backbase, a couple of years back, C 1 had decided to take Backbase. But unfortunately,

they

were

not

able

to

scale

up

and

that

project

was

discontinued.

And

so,

they

went

with

a

few

credit

unions

to

Backbase,

and

then

they

had

to

discontinue

and

come

back

to

the

original

their

home-grown

solution.

And that's the solution I talked about, which comprises of three products, Member Direct, Forge, and their

mobile

app. The possibility for us is that now over a period of next couple of years, we would like to migrate many of these customers from this platform to our digital experience platform.

So,

we

are

going

to

run

this

platform

and

then

work

with

the

credit

unions

to

migrate

these

customers

into

our

platform.

Rahul Jain:
So, Rajesh, if I got you right, essentially, right now, this is just like, rebadging of their team, and we will

have

a

fixed

billing

on

this

team.

And

over

the

period

of

time,

since

we

will

be

knowing

all

these

150

odd

credit

union

over

a

period

of

time,

we

might,

chase

some

of

them

into

our

customer

base

and

migrate

it

to
a
much
better
and
modern
solution.
Is
that
understanding
right?
And
if
yes,
then
what
are
the
billing
and
cost
that
we
might
see
on
an
annuity
basis
at
this
point?

Arun Jain:
So, I think it Rahul, you have to understand this like acquisition of business of Rs.200 crs as a revenue

line.

ARR

business

Rs.200

crs

running

it

and

upgrading

it

using

our

eMACH.ai

technology.

As

simple

as

that.

Rahul Jain:
So,

basically,

we

would

be

getting

Rs.200

crs

from

this

150

credit

union

or

this

would

be

from

C

1?
Arun Jain:
That's right. From the credit unions.

Investor

Meeting

Transcript

Rahul Jain:
Okay. And eventually if we are able to migrate, the potential of these Rs.200 Crs will keep on increasing

over

a

period.

Arun Jain:
Keep on increasing. So, our target is how do we cross sell them, core banking and lending, and, upgrade

them

on

DEP.

Rajesh Saxena:
Yeah. Just to add Rahul. To just to be precise, it is 160 customers. So, that's one.
And I think important point for all of us to notice the opportunity is not only to migrate them to our digital

experience

platform.

But

these,

credit

unions

also,

as

I

said

in

my

earlier

preamble,

are

looking

for

core

banking,

lending,

and

commercial

banking

solutions.

So,

there

is

an

opportunity

to

cross

sell

other

eMACH.ai

assets

that

we

have.

Rahul Jain:
Right. And just last bit from my side, on C 1, is there a lock in for us, for the employee base that we are

going

to

take

it?

Or,

we

are

open

to

optimise

it,

whenever

we

wish

to

do

that?

And secondly, on the other transaction that we have done, is this a strategy wherein we would start using

our

cash

flow

to

add

more

capability

on

more

product

side?

Or

it's

like

one

off

transaction,

and

we

would

not

like

to

see

this

as

a

trend?

Arun Jain:
Okay.

So,

just

to

respond,

the

first

question

is

around
…
Sorry,

Rajesh,

you

can

respond.

Rajesh Saxena:
I would rather not, answer that question, Rahul, because it's a little sensitive about employees. So, if it's

okay

with

you,

we

will

let

the

deal

close,

and

then

we

will

talk

about

that

piece.

Rahul Jain:
Sure, please. On the second question, if you could close it.
Arun Jain:
Second question is about strategic fit. We have a CPX and GPX announced earlier. That's what the two-product.

So

we

want

to

get

into

procurement

space,

and

this

is

the

SME

business

space.

We

saw

the

opportunity,

and

it

fits

into

DTB.

So,

we

have

more

over

50

customers

on

DTB.

So,

it's

not

just

cash

to

be

reinvested.

It's

a

part

of

the

strategic

fitment,

which

required

this

investment

to

be

there.

Rahul Jain:
Can we see it as in module extension to our existing GTB system?

Investor

Meeting

Transcript

Arun Jain:
That's right. It's like where we are bringing all the CPX, GPX, DTB, and GlobalLinker into one common ecosystem.

It's

an

ecosystem

design

investment.

Rahul Jain:
Good to see all this transaction is like we are working beyond the usual path. Thank you, and I'll go back

to

the

queue.

Manish Maakan:
Rahul, this significantly expands the TAM which we are going after and to be able to bring in things for

the

full

life

cycle

of

an

SME.

Next

one?

Praveen Malik:
So, I think Rahul is not here.. Well, thanks, Rahul. Next, we have Mr. Meet Rachch from Equirus PMS. Meet?

Meet Rachch:
Yeah. Thanks for the opportunity. Am I audible?
Praveen Malik:
Yeah. Please go on.
Meet Rachch:
Yeah. So, first question is on the few of the deals which were won in earlier quarters, but, were slipped

to

the

subsequent

quarters

due

to

dealing

compliance

or

signing

maybe.

So,

just

wanted

to

know,

have

those

deals

started

to

ramp

up?

Arun Jain:
Manish?
Manish Maakan:
yup. With that some of those deals are what Vasudha read out, which we closed in South Africa and we

closed

in

the

US.

Meet Rachch:
Okay. So, all of those deals have been started. Right?
Manish Maakan:
Yes.
Meet Rachch:
Okay. Second question is in terms of FY25 revenue. So, earlier, our expectation was to block a 15% growth

in

FY25

excluding

GeM

revenue.

But

if

I

look

at

the

nine

months

revenue

and

the

QoQ

ask

rate for Q4, it seems a very bold task. So, that guidance is still intact, or are we expecting some lower growth?

Arun Jain:
Yeah. Obviously, last time also you mentioned the guidance. We have stopped giving guidance, but I think,

we

are

looking for expecting better, much better next quarter. So, that's what, we would like to look at it. I mentioned to you Rs.700 Crs a quarter. I think we will be closer to that.

Meet Rachch:
Okay. Next question is regarding R&D expenses. So, Vasudha ma'am, we capitalise Rs.140-150 Crs worth of R&D annually. And, another Rs.200 Crs worth of R&D spent gets expensed out in P&L. So, just wanted to know the breakup of, that between the maintenance or upgrade

of

our

existing

products

and

the

R&D

which

is

spent

for

new

product

development?

Vasudha Subramaniam:
Anything related to the new product development is what is allowed to be capitalised. So, for maintenance

or

something

is,

anyway

being

expensed.

Whatever

you

see,

as

part

of

the

C-WIP,

which

is

the

capitalised

work

in

progress,

relates

to

the

new

product

development.

Meet Rachch:
Okay. And can we expect the current run rate of R&D spends to continue going on?
Vasudha Subramaniam:
Continue. Yes.
Meet Rachch:
In absolute terms.
Vasudha Subramaniam:
Yes.
Meet Rachch:
Okay. So, as a percentage of revenue it may decline?
Vasudha Subramaniam:
As far as the R&D spends are concerned, we only look at the absolute numbers. So, Rs.140 crore is the

target

and

that's

the

budget

that

we

had

put

in

the

beginning

of

the

year.

And,

we will be meeting that budget.

Arun Jain:
Yeah. And in percentage terms, it will decline.

Vasudha Subramaniam:
Yeah.
Meet Rachch:
Understood. And can I squeeze in one more?
Vasudha Subramaniam:
Yes.
Praveen Malik:
Quickly, please.
Meet Rachch:
Yeah. So, last is in terms of the, contract assets that we report under the other financial assets. So just wanted to understand the nature of this. Because, if I look at our contract assets for

last

5

years,

they

have

remained

between

100

to

120

days

of

our

revenue.

While,

if

I

compare

that

with

some

of

the

other

product

companies

as

well

as

service

companies,

that

normally

ranges

between

30

to

50

days.

So,

just

wanted

to

understand

the

accounting

treatment

and

the

nature

of

this.

Vasudha Subramaniam:
Generally, in a product company, it will, be quite difficult to have it between 30 days and all. It will be quite

high

because

the

accrual

happens

as

and

when

we

complete

the

deliverable

milestones,

whereas,

the

invoicing

will

happen

only

when

we

kick

in

the

payment

milestone,

only

when

we

meet

the

payment

milestone.

So,

the

gap

will

always

be

there,

in

many

product

companies.

So,

that's

the

reason

for

the

120

days.

Meet Rachch:
Okay. And related to that, so what is a normal deal cycle once we sign and once we close and the revenue

is

booked?

Vasudha Subramaniam:
All those deal wins that you are seeing this quarter, you have some accrual in the books. We report deal

wins.

Whatever

deal

wins

that

you

see

as

reported

during

that

quarter,

we

have

accrued

against

all

of

them

this

quarter

itself.

Signing

and

accrual,

there

will

not

be

much

of

a

time.

Meet Rachch:
Okay. Thanks a lot. Thanks a lot.
Praveen Malik:
Thank you, Meet. Next, we have Vivek Kumar from Bestpals. Vivek, quickly ask your question.
Vivek Kumar:
Am I audible, sir?

Arun Jain:
Yes.
Vivek Kumar:
Sir, my question is regarding if you see the last two years, our pipeline is growing at much faster
growth

rate

than

our

revenue

even

if

you

take

away

the

GeM.

So,

someday

and

with

Trump

winning

and,

yields

falling

and,

financials

to

get

if

you

see

the

bank

stocks,

I

understand

it's

a

very

superficial

comparison,

but

people

are

positive

about

banks

investing
in
tech
and
all
in
US.
So,
because
are
you
confident
about
this
pipeline
converting?
Because
even
in
the
last
quarter,
you
mentioned
why
many
deals
are
getting
stuck
at
a
stage

where

and

things

are

taking

time

to

move.

Because

pipeline

is

growing

in

a

faster

rate

than

our

revenue.

So, that's my question. Maybe I think I made it clear. So, will we see the same go through translating into

revenues?

Arun Jain:
Obviously, that's what we are saying Q4 will be much better. I mentioned in the previous answer.
Vivek Kumar:
So, we can go back to 15-20% from next year. We can hope that? I'm not asking for guidance but the pipeline

Arun Jain:
We have a good pipeline. For the pipeline to closure, it says cycle time of 12 months. So, when we went

to

eMACH.ai

marketplace,

putting

to

Europe

and

Americas.

So,

now

if

you

look

at

it,

Europe

and

Americas,

both

market

Americas

will

be

Rs.600

Crs

market

as

of

now,

Europe

will

be

another

Rs.600

Crs.

So,

we

have

a

potential

as

both

the

market

could

be

1,000

Crs

market

in

next

four

years.

And

then

we

have

a

Middle

East

and

Africa

market

which

could

be

Rs.800

Crs

market.

APAC and ANZ could be Rs.800 markets. India is Rs.800 Crs market. So, this is a kind of a landscape
we

are

planning

to

expand.

We

are

quite

confident

of

meeting

some

of

the

expectation

which

you

have.

Because

there's

a

delay

cycle

between

when

pipeline

gets

built

and

there's

a

six

months

delay

from

the

pipeline

to

the

closure.

Vivek Kumar:
So, about GeM, about the receivables, can you throw I mean, have we got from government and any opinion

on

that?

Any

comment?

Arun Jain:
No comment. Government is government. So, they are delaying the process right now. We have to look

what

we

can

do.

Vivek Kumar:
Thank you very much.

Praveen Malik:
Thank you, Vivek. Next, we have Mr. Manoj Dua from Geometric. Mr. Manoj Dua.
Manoj Dua:
Am I audible, sir? Yes.
Praveen Malik:
Yeah. Please go on.
Manoj Dua:
Okay. So, sir, last few years, we have seen AI as one of the greatest technological innovations. You have

very

earlier

said

that.

As

an

individual,

we

are

now

understanding

the

importance

of

that

and

trying

to

learn.

So,

I

know

Intellect

is

more

than

a

software

we

have

the

relationship.

We

know

the

exact

detail

of

banking

and

insurance

and

knowledge

of

industry.

Now

if

you

see,

AI

is

helping

us

to

create

our

product

more

cheaper

and

anyone

who

is

a

beginner

in

this

industry

or

new,

is

it

advantage

for

them

to

build

a

product

more

cheaper

as

we

have

talked

a

lot

about

earlier

that

we

have

spent

so

many

hours

to

build

a

product?

But at the same time, it will be useful to you to build further new things. Can you throw some light on

it?

Just

as

a

school

kid

to

explain

to

me

because

we

are

not

a

computer

person.

Arun Jain:
So, there are two things about the enterprise grade product in banking. For large corporations like HSBC,

HDFC

Bank,

AI

can

help

facilitate

reducing

the

some

of

the

drudgery

work

to

build

a

product.

But

fundamental

product

is

not

just

coding.

It's

about

entire

life

cycle

of

saying;

can

I

build

a

car?

Can

I

build

a

Mercedes

car?

Obviously,

it

requires

much

more

than

just

assembling

the

car,

which

could

be

done

differently

over

here.

So,

I

think

AI

will

have

a

two

facets

of

it.

How

do

I

use

AI

to

reduce

my

cost

or

to

reduce

the

efforts

for

implementation

to

become

more

competitive

in

the

market.

That's one facet which we are doing. Manish is leading that initiative of applying AI within Intellect for

further

strengthening.

From

a

moat

perspective

that

other

people

can

build

a

product

fast

enough,

I

feel

that

in

enterprise

grade

space,

it's

a
long
way
to
go
for
anybody
unless
they
have
deep
domain
or
a
substantial
domain
understanding
to
make
the
right
product
for
the
customer.
Because
AI
gives
you
95%
right,
96%
right,

92%

right.

But

for

enterprise

grade

solution,

we

need

110%

right,

not

100%

right.

So,

that's

the

difference

between

the

two

of

them.

Manoj Dua:
Okay. And how now AI is advantage to you, going further that, you answered my first part. How AI is in

terms

of

reducing

cost

whatever

you

have

or

building

because

you

have

already

a

domain

knowledge,

how

fast

can

you

accelerate

new

products

or

something

like

that?

Arun Jain:
Yeah, so it will definitely decrease the cost. We have targets to reduce the headcount for the efficiency

of

AI

efficiency,

which

is

there.

That's

one

part

of

it.

But

the second part, which is more

interesting for the investor, is that we can build a business. If you can go back to the call of 19 December 2024, which is published on the website, that's where we are putting a complete AI Purple Fabric as a product in the market,

and

we

are

first

in

the

market

for

AI

as

a

product,

which

we

are

selling

to

many

enterprises

in

the

world.

So,

please

go

through

the

script.

That

will

be

useful

for

you

to

understand.

Manoj Dua:
Thank you. My last question is as we are increasing TAM, and building products, so I understand a lot of

new

cost

is

being

incurred.

And,

what

operating

margin

which

a

mature

product

throws

the

cash

flows

we

are

not

able

to

capture

that.

As

you

said,

that
Rs.800
Crs
will
come
from
this
Rs.5,000
Crs
can
come
in
4-5
years.
How
much
operating
margin
we
can
see
from
where
the,
expenses
which
help
us
to
grow
are
little
bit

reduced

or

comes

at

normal

pace.

How

to

look

at

that

part?

Not

I'm

asking

for

operating

margin

next

year

of

4–5-year

period.

I

don't

know

whether

at

that

time

we

what

we

will

be

doing.

Just

a

colour

on

that

to

understand

how

much

cash

can

come

at

that

period.

Arun Jain:
So, Manoj, the mature product gives a margin of 30% plus. So, like, GTB has a business if you have a separate

business

that

will

give

30%

plus

margin.

Then

GCB

will

be

less

margin,

then

AI

will

be

less

margin.

That's

how

the

whole

book

is

constructed

for

as

a

portfolio

book.

So,

whenever

the

product

gets

matured

significantly,

it

can

start

going

up

to

40%

margin

as a product level itself. So, that's how a 4 years horizon we are looking at it, getting to 30% margin can be expected in 4 years’ time window.

Manoj Dua:
That was helpful. Thank you, and best of luck.
Praveen Malik:
Thank you, Mr. Dua. Next, we have Mr. Pankaj Gawade from Affluent Assets.
Mr. Pankaj Gawade:
Thanks. Am I audible, sir?
Arun Jain:

Yeah.
Pankaj Gawade:
Yeah. Well, sir, just wanted to understand we have almost all the products, launched and in the market.

So, how soon do you expect to reach sales revenue of around half a Billion dollars and margins of upwards of 20%?

Arun Jain:
4 years.

Investor Meeting Transcript

Pankaj Gawade:
Okay. Sure. And the second thing is regarding this C 1. Is this acquisition margin accretive or dilutive?
Arun Jain:
Yeah. Initially, it will be dilutive. Overall, it will be accretive. With the cross-sell opportunities, it will be accretive.

Individually,

it

may

be

dilutive.

Pankaj Gawade:
Okay. Thank you. Thank you, sir.
Praveen Malik:
Thank you. Next, we have Ruchita Ghadge from I-Wealth. Ruchita, please unmute yourself and ask the

question.

Ruchita,

are

you

there?

Ruchita:
Hello! Good evening. So, my question was on the Purple Fabric platform. So, just know if I have missed

it,

is

our

POC

done

already?

Arun Jain:
Yeah. the full product is ready. It's been in boot camps, so we will forward you the link of this full system.

Full

investor

call

is

there.

Praveen,

can

you

forward

her

full

call.

Banesh Prabhu:
The product is being used by many customers, both in North America and in the UK.
Ruchita:
Hello. Sorry. I kind of missed it and I couldn't hear the answers. There was some technical issue. Can you

please

repeat

it?

Like,

is

the

POC

done?

Banesh Prabhu:
Yeah. So, this is a live platform. It is operating. If you go through the December Investors Meet, which was

attended

by

almost

100

investors,

you

can

go

through

the

script

and

it

will

tell

you

that

the

platform,
which
has
evolved
over
the
years,
is
pretty
functional.
Many
pieces
of
that
are
already
being
used
by
customers
in
North
America
as
well
as
in
the
UK
and
few
other
customers

in different geographies. But it is primarily up and running. So, there's no POC. It's not like, you know, it's not like the platform is not live.

Ruchita:
Okay. Understood. Thank you.

Praveen Malik:
Thanks Ruchita. Next, we have Mr. Prolin Nandu from Edelweiss.

Prolin Nandu:
Hi, Praveen. I have three questions. So, Arun ji firstly, on, your comment that from Q4 FY25, we should

be

at

an

Rs.800

Crs

revenue

rate.

Arun Jain:
No. I never said Rs.800 Crs revenues.
Prolin Nandu:
Sorry. My bad. Right. So, is that the base now going ahead or should that be your new normal?
Arun Jain:
No. We are saying this for full year, some of the deals got postponed in this quarter as well. So, Q4 will

be

much

better

quarter.

We

are

not

giving

guidance

to

it,

but

I'm

saying

we

are

looking

for

20%

growth

year

on

year.

That

trajectory,

we

want

to

keep

it

whether

its

15%,

16%,

18%.

Those

are

the

number

which

we

look

at

it

as

a

trajectory.

Prolin Nandu:
Understood, Arun. So, my larger question was that, you know, one of the reasons why we stopped giving

guidance

was

because

of

these
deal
delays.
Right?
And
we
were
probably
targeting
larger
deals.
So,
when
will
you
get
that
confidence
back
of
giving
guidance
and
this
is
not
from
a
guidance
perspective,
but
from
a

clarity

on

pipeline

perspective,

I'm

asking

this

question.

Is

it

still

a

bit

of

delays

which

are

going

on

in

the

system,

or

now

that

pipeline

is

DE

clogged?

How

do

you

see

that?

Arun Jain:
Let me just clarify that point to you. The guidance is big because these deals are very large values in enterprise

space.

If

deal

value

is

5

million

dollars,

it

switched

the

revenue,

and

so

the

last

12

months

numbers

are

more

projectable.

So,

if

you

have

somebody

talk

to

me

for

next

4

years

where

we

will

be

reaching,

we

are

saying

we

can

be

Rs.4,000

Crs

in

next

four

years.

That

is

a

very

easy

for

me

to

answer

it.

But

when

you

say,

what

will

be

the

next

90

days?

I

cannot

say

what

next

90

days.

Next

90

day,

we

are

saying

this

Q4

is

definitely

looking

close

to

Rs.700

Crs.

But

whether

all

the

quarters

will

be

of

that

baseline,

we

love

to

have

it.

Let's

see

how

much

we

can

able

to

do

it.

Prolin Nandu:
Sure, Arun. That's understood. Second question is on this AI and, you know, you will be using internally

also

AI

to,

see

and

you

I

think

in
the
Purple
Fabric
call
also,
you
mentioned
that
probably
you
won't
be
adding
more
employees.
Right?
And
I
want
to
link
this
comment
of
yours
to
the
margin
guidance
wherein
some
of

the past calls, you have guided for this 30% trajectory a lot sooner. Maybe next 6-8 quarters is what you had guided for. And, so, internal use of AI, can this accelerate the

growth

of

margin

towards

that

30%

aspiration

is

what

I

want

to

understand.

Arun Jain:
Yeah. Definitely. That's a whole objective. Manish, you want to highlight?

Manish Maakan:
Sorry. I missed it. Could you please repeat that? Sorry.
Arun Jain:
Will AI, help you reducing the cost and margin, including the margins?
Manish Maakan:
No. Good. Now I think, two things. One is, we have experienced good success with Purple Fabric by embedding

that

in

as

we

build

out

our

applications.

And

those

are

things

which

in

Banesh

has

been

talking

to

about

it.

I

think

the

inspiration

we

have

taken

from

that

is

to

internally

put

that

in

use

to

automate

of

how

software

engineering

is

done.

So,

let's

look

at

the

four

stages

of

a

software

lifecycle

and

engagement

with

a

customer,

the

build,

the

validation,

and

migration.

Step one, we are looking at the entire build cycle on how do we bring in significant productivity. Next will

be,

how

do

we

the

validation

cycle,

how

do

we

bring

in

significant

productivity.

The two ends of working with the customer and migrating, those will be in the second phase we will take

at.

So,

over

next

two

quarters,

we

focused

on

the

middle

two

legs

of

driving

engineering

using

this

as

well

as

validation

using

AI.

Arun Jain:
The margin obviously will go up because if you're not hiring more people, so it's an obvious corollary that

if

I'm

growing

even

revenues

by

10%,

margin

will

go

by

20%.

Prolin Nandu:
Yeah. Right. So, then in that sense, maybe that 3-4 years' timeline of 30%, you would, I mean, is that more

like

a

conservative

kind

of

a

number?

Because,

see,

Arun,

if

you

look

at

the

product

companies,

there

is

an
operating
lever.
Some
of
your
peers
also
which
are
in
the
company
are
earning
far
higher
margin.
Right.
And
we
are
starting
from
a
lower
base.
So,
is
that
30%,
can
be

achievable

slightly

sooner

than

what

you

have

probably

called

out

earlier

in

this

call?

Arun Jain:
We can earlier, but I let's not look at earlier. And the point, a lot of product companies have not crossed

Rs.1,000

Crs

numbers.

If

you

look

at

it,

if

you

have

focus

on

margin,

your

growth

gets

stopped.

In

technology

business,

your

growth

is

important.

So,

we

have

a

credibility

now.

We

made

GTB

business

Rs.1,000

Crs.

I'm

saying

we

will

make

GCB

business

Rs.1,000

Crs,

then

we

will

make

AI business Rs.1,000 Crs. How many companies in India have a product business of Rs.1, 000 Crs? Three businesses of Rs.1,000 Crs nature, and that requires investment. If I publish separate numbers of separate margins, you will see the margin of the GTB business is very high compared

to

the

other

businesses.

Investor

Meeting

Transcript

Prolin Nandu:
Sure. That's clear. And last question from my side is that in your slide deck on, slide 30, where you have

probably,

you

know,

talked

about

the

funnel,

almost

Rs.10,000

Crs

of

the

value

of

the

funnel

in

Q3

FY

25.

Do

you

want

to

call

out

a

number

out

of

this

which

can

be

attributed

to

Purple

Fabric?

Arun Jain:
Not right now. As of now, it's we are not separating it.
Prolin Nandu:
Okay. But any timeline by which we will be able to, you know, give this number. Will it be a bit a year from

now,

or

do

you

think

more?

Arun Jain:
We have good traction. We have a lot of boot camps happen. We have around 100 different people are

in

various

stages

of

interest

being

shown.

A
lot
of
service
companies
are
showing
interest
that
they
can
use.
So,
this
is
Purple
Fabric
platform.
We
are
saying
some
of
the
tier
1
SI’s
and
tier
2
SI’s,
we
are

giving

to

them

so

that

they

can

solve

the

customer

problem.

So,

it's

a

platform

play

which

service

companies

are

finding

good

way

for

them

to

grow

their

businesses

better.

Prolin Nandu:
Sure. Because there also you are saying that it's not a question of when we reach Rs.1,000 Crs. It's a question

of

1,000

or

5,000.

Right?

Did

I

get

you

correctly?

Probably

the

outer

book

booking

might

should

be

happening

in

the

next

one

year.

Right?

I

mean,

to

probably,

achieve

that

number.

Right?

Am

I

correct?

Arun Jain:
No. It’s an adoption. Revenue number is not an objective for Purple Fabric but adoption is. How do we

get

a

10,000

people

using

Purple

Fabric

will

be

our

first

objective.

Prolin Nandu:
Sure. That's very clear.
Arun Jain:
These are platform play, not as a revenue play in the beginning.
Prolin Nandu:
Okay. That's it from my side. Thank you so much, Arun, and all the very best.
Praveen Malik:
Thanks, Prolin. Next, Ram has come back again. Mr. Ram KV of QFSPL.

Ram:
Thanks, Praveen. Mr. Arun, the question is addressed to you. Typically, I have been with the IT product

space,

so

the

question

is

coming

from

macro
point
of
view.
So,
I
would
just
like
your
thought
process
on
that.
We
have
seen
typically
in
the
IT
product
space
that
investment
goes
in,
the
products
become
live,
volume
builds

up,

and

then

at

the

end

of

it

the

PAT

margin

or

the

gross

margin,

goes

up,

substantially.

In Intellect, we have been investing. We have been remaining invested over the last 6-7 years. When do

you

think

in

the

next

3-4

years,

will

the

tipping

point

come

when

PAT will grow up much stronger than what we have seen in the past, especially in the background of 90 million quarter revenue?

Arun Jain:
Sure. And that's what I have just talked earlier also when you are not on the call that the PAT margins will definitely grow. If you look at the cost

structure in last four quarters, it remains around Rs.475 to Rs.480 or Rs.485 Crs. And the revenue number is Rs.607 Crs number or you take Rs.625 Crs, the number will be different. As soon

as

it

becomes

Rs.700

Crs,

the

margin

will

look

very

different.

So,

if

you

just

plot

yourself

the

number

or

the

top

line

growth,

the

margins

need

not

be

articulated

to

you.

It will automatically improve. So, that's what I'm saying 30% margin can be possible there. It's a question of how much we reinvest back into building business 1, business 2, and business 3.

So,
now
business
1
GTB
has
been
Rs.1,000
Crs
plus,
business
2
is
now
GCB
will
be
Rs.1,000
Crs
next
year.
Now
we
are
building
AI
business
into
this.
So,
that's
how
the

margin

getting

redeployed.

It's

not

that

current

business,

has

a

bit

lower

margin

than

the

other

product

companies.

Ram:
That is obvious because the mix will always change. Correct.
Arun Jain:
Yeah. So, the growth and the investor, you have both the things are important from a growth perspective

because

lot

of

product

company

have

become

very

stagnant.

If

you

see

many

product

companies

doesn't

grow.

They

just

grow

the

margin,

but

not

the

revenue.

Ram:
Exactly. So, I was looking at the base part of it. So, my question focused manner is in the next four years,

will

we

see

Rs.1,000

Crs,

margin

vertical?

Uh-huh.

Arun Jain:
Rs.1, 000 Crs margin will be there after four years, definitely. If you want to put that in my mouth, we are

also

looking

for

1,000

Crs

margin

in

four

years.

Ram:
Okay. Great. Thanks a lot. Thank you. All the best.

Investor

Meeting

Transcript

Praveen Malik:
Thank you, Ram. Next, we have Mr. Chirag Kachhadiya from Ashika Institutional Equities. Chirag? Are you

there?

Chirag Kachhadiya:
So, I want to know, your thought process on demand environment and, outlook from 3-4 years point of

view.

Arun Jain:
I have to repeat again. I think Vasudha has told that. Vikas is a part of strategy, would you like to share

the

market

outlook?

Vikas Misra:
Yeah. So, Chirag, good question, but I guess, probably you were not there before. Yes. See, the demand

is

very

much

there

and

which

is

pretty

evident

from

the

pipeline

that

we

have.

And

the

outlook

also

we

talked

about

in

the

next

3-4

years,

Arun

also

talked

about

it

to

create

a

billion-dollar

thing.

And

that's

where

we

are

heading.

And

just

few

minutes

ago,

he

just

talked

about

the

margin

piece

also.

So,

I

guess,

you

had

all

the

answers.

Maybe

you

just

need

to

just

go

back

and

rewind

a

little

bit

more.

Chirag Kachhadiya:
Yeah. I will going again and see. Yeah. Okay. Thanks.

Praveen Malik:
Thanks Chirag. Next, we have Mr. Ryan Floyd from Barca Capital. Ryan?
Ryan Floyd:
Yeah I am here
Can you hear me? Okay
Where are the financial statements on your website? Let's just start it easy. The financial statements.
So,

you

guys

are

doing

an

investor

presentation

for

December

2024.

Where

are

those

financial

statements

that

all

of

us

can

see?

Arun Jain:
It's not on the website?
Ryan Floyd:
It's not on your website, and this is not the first time that you have done a call where it's very difficult
for

investors

to

see

the

financial

statements

before

the

call.

Praveen Malik:
Ryan. You mean for this quarter?

Investor

Meeting

Transcript

Ryan Floyd:
Yes. For December 2024. It's not on the website. Where is the presentation?
Arun Jain:
It will be sent to investors. I think at this point, Nachu and Praveen Malik, you need to look at it that when

we

are

just

loading

it

from

the

website

or

not.

Ryan Floyd:
It's not on the website.
Arun Jain:
Okay. So, there's a delay in the loading on the website.
Ryan Floyd:
Yeah, it’s very frustrating. I'm sure I'm not the only one that's frustrated by this. We are having a conversation

here

without

knowing

what

the

numbers

look

like.

So,

let's

do

our

best

here.

I

think

that

we

went

through

a

bunch

of

deals,

which

sounds

great.

Usually,

when

you

sign

a

deal,

you

are

bringing

in

revenue.

Can

you

give

us

some

rough

sense

of

the

revenue

growth

by

segment,

like

license,

maintenance,

SaaS?

And

if

it

went

down,

can

you

give

us

a

sense

of

why

those

segments

went

down?

Arun Jain:
Yeah. Ryan, I think all of the part of the presentation, maybe we will put you into investor list, of

communication.

Ryan Floyd:
That's okay. But let's talk about it now, please. Because we haven't talked about those things on the call,

and

it

seems

it

seems

fairly

important.

Arun Jain:
Vasudha can you share the revenue numbers again? Otherwise, will you switch on this if you want to put

the

presentation?

Vasudha Subramaniam:
So, let me let me voice out now. Yeah. Ryan, let me voice out now. Maybe you can even look at it later

after

it's

been

put

up

on

the

website.

So,

the

breakup

of

the

revenue

is

like

this.

For the quarter, I mean, the total revenue as you would have seen, the revenue from operations is Rs.607 Crs while the total revenue including other income will be higher. So, out of the Rs.607 Crs, we have about Rs.118 Crs for license revenue. SaaS revenue is about Rs.50 Crs, AMC is Rs.124 Crs and implementation is Rs.315 Crs.

So, you can see some growth maybe if at all you want to compare with the previous quarter. There is a growth in

the

implementation

revenue,

AMC

revenue,

and

also

in

the

SaaS

revenue

as

well

as

in

the

license

linked.

So,

we

have

grown,

over

the

previous

quarter

in

all

these,

segments.

Ryan Floyd:
And that is for the quarter, not 9 months. That's for the quarter, year on year. Is that right?
Vasudha:
Yeah.
Ryan Floyd:
What is the free cash flow that the we have produced? Because I think the free cash flow declined

last

quarter.

This

quarter,

is

the

free

cash

flow

margin

on

revenues

higher?

Vasudha Subramaniam:
It is higher. When I say free cash flow, it would be as high as close to Rs.50 cores.
Ryan Floyd:
What is that as a portion of total revenues? So, this is after intangibles? This is after leases? Like, the free

cash

flow

that

we

can

use

for

things?

Vasudha Subramaniam:
Right. It is after intangibles and after leases. Yes.
Ryan Floyd:
What is that as a portion of revenue?
Vasudha Subramaniam:
Closer to 10 percentage of the revenue.
Ryan Floyd:
10%. Okay. And, if it is 10%, that's that sounds very healthy. So, this deal in Canada, can you it sounds like

you

guys

are

buying

their

operation,

which

sounds

great

that

you

are

looking

at

M&A.

Can

you

give

us

some

sense

of

what

revenue

multiple

or

approximate

revenue

multiple

you

are

paying

on

this?

Arun Jain:
It's a very competitive industry right now, Ryan. We are not publicly announcing the price we are paying

for

this

acquisition.

Ryan Floyd:
Okay. Is it lower than the one that at which you are trading? Could you give us some rough idea?

Arun Jain:
It's much lower. Yeah.
Ryan Floyd:
Okay. Great. That that sounds interesting. Are there more acquisitions that you could make of modular

product

companies

in

financial

software?

Arun Jain:
We want to go slow. Definitely, we like to look at it a part of this strategy to enter into. So, each region,

now

North

America

would

have

now

200

customers

plus.

We

would

like

to

have

a

Europe

to

also

have

similar

kind

of

a

number

of

the

customers.

So,

we

will

look

at

its

option,

but

we

will

go

step

by

step.

As

you

have

observed

our

company,

we

are

very,

very

conservative.

We

first,

we

build

GTB

business,

then

we

build

GCB

business,

then

we

build

AI

business.

We

don't

go

all

around

the

business.

Our

focus

is

to

go

very

paced

growth.

Ryan Floyd:
Right. If you're producing free cash flow to the tune of 10% of revenues, that will leave nice cash that you

could

potentially

make

nice

acquisitions

for.

Have

you

mapped

out

or

do

you

do

you

have

someone

potential

companies

that,

in

theory,

you

would

like

to

buy?

Have

you

reached

out

to

a

bunch,

or

are

these

inbound

deals?

Arun Jain:
As of now, acquisition is not a part of our core strategy. eMACH.ai is keeping us busy. We don't want to

get

distracted

as

a

core

part

of

the

strategy.

It's

inbound

only

right

now.

Ryan Floyd:
Okay. And you mentioned on the call, I think, that this Canada deal would not be accretive before cross

selling.

It

seems

like

what

should

be

a

good

product.

Why

when

I

hear

that,

I'm

thinking

you're

buying

something

that's

very

low

margin.

Why

would

that

be

the

case?

Arun Jain:
The current cost structure of Canada will be higher than the current cost structure of Indian companies.

So,

obviously,

it

will

be

any

western

acquisition

will

be

value

dilutive

in

the

beginning.

Ryan Floyd:
Why is that? I mean, there are certainly western financial services software companies with more than

10%

free

cash

flow

margins.

Arun Jain:
Yeah. It's a different kind of case. So, this acquisition will have a dilutive margin dilutive on the overall margin

dilutive.

So,

obviously,

we

need

to

build

up

the

accretion

when

we

sign

up

a

new

credit

core

banking

deal.

We

want

to

bring

it

to

the

value

accretive

in

next

18-36

months

period.

Investor

Meeting

Transcript

Ryan Floyd:
Okay. And if this is sensitive, you don't need to answer it. But is this because perhaps the previous owner

hadn't

taken

price

increases

that

the

prices

weren't

high

enough?

Arun Jain:
Leave it.
Ryan Floyd:
It's okay. That's fine. That's fine. So, you have you have many customers, and some have been customers

for

a

really

long

time.

Sometimes

with

financial

services

software

companies,

the

margins

can

be

much

higher

for

a

unit

of

growth

than

you

have.

And

I'm

wondering

out

of

all

of

your

100s

or,

maybe

even

thousands

of

customers,

do

you

have

some

that

are

not

profitable?

And

if

so,

why?

Is

there

opportunity

for

you

to

make

them

profitable?

This

is

at

the

free

cash

flow

level

after

including

working

capital

changes.

Arun Jain:
Ryan, just to answer your question, I think I mentioned earlier also the margin question was asked.
We

have

three

businesses,

and

our

whole

business

design

from

2016

is

based

on

how

do

you

keep

a

CAGR

growth

in
double
digits.
So,
that's
the
whole
approach.
Lot
of
time
Product
Company
gets
into
the
trap
of
not
growing
and
growing
the
margin.
We
wanted
to
grow
both
of
it.
So,
we

build

up

one

business

and

make

it

a

Rs.1,000

Crs

business,

then

reinvest

some

money

and

cash

flows

from

there

to

build

up

a

second

business.

Then

we

make

Rs.1,

000

Crs,

and

then

we

reinvest

back

into

third

business,

which

is

the

AI

business.

So,

that's

how

our

journey

is

progressing.

So,

individually,

on

a

GTB

as

a

business,

our

margins

are

as

comparable

to

any

other

product

company,

which

is

long-standing

customers.

Ryan Floyd:
Right. When I look at other financial services software firms with similar revenues, they have higher margins,

though,

for

the

same

level

of

growth.

It

would

just

seem

that

perhaps

you

got

some

products

made

it.

Arun Jain:
Ryan, they are valued higher than that. We are not valued that much.
Ryan Flyod:
Your margins are very healthy. But is it possible you have some products where your customers just aren't

paying

you

enough?

You

need

to

increase

the

prices

of

those

products

in

order

to

make

it

worth

your

development

energy

and

expense?

Arun Jain:
There's always a case. Some products will be more profitable than others, so we will look into that.
Thank

you

for

your

advice.

Investor

Meeting

Transcript

Ryan Floyd:
Alright. Well, thanks for doing the call. I would humbly request that before the calls that your

presentation

and

the

financial

statements

are

on

your

website.

Vasudha Subramaniam:
It's now up on the website, Ryan. You can check that out. Sorry for the inconvenience, but it's now up on

the

website.

You

can

please

refer

to

that.

Thank

you.

Ryan Floyd:
Okay. You got it.
Praveen Malik:
Thanks, Ryan. Thanks for attending the call. Mr. Mukul is not there, Jitender is not there. So, the last one

we

can

have,

I

don't

know,

is

the

one

Mr.

Rohit

Balakrishnan

from

ithoughtpms,

if

he's

there.

Rohit,

are

you

there?

Rohit Balakrishnan:
Yes, sir. I'm there. Good evening. Yeah. So, most of the questions have been answered, sir. Just, two questions.

This

Central

1

deal

that

we

have.

So,

sir,

I

was

just

checking

their

balance

sheet

that

is

there

on

their

website

for

last

year.

So,

I

think

this

division

is

loss

making.

So,

I

mean,

whatever

you

have

been

shared,

you

already

mentioned

this

margin

dilutive,

but

will

there

be

losses?

Because

I'm

assuming

that

cross

selling,

etc

will

be

probably,

will

take

quite

a

long

time.

So,

if

you

can

just

share

maybe,

what

are

your

thoughts

maybe

for

the

next

couple

of

years?

How

do

you

think

the

margins?

Arun Jain:
It will not be loss making. So, we want to just tell you, it's not loss making. We didn't done a deal in a manner

that

it

will

not

be

loss

making

for

us.

Rohit Balakrishnan:
Okay. That's happy to hear, sir. Yeah. And this last question, sir, so you already mentioned that, Rs.1,000

Crs

of

profits.

Arun Jain:
In four years. Not right now.
Rohit Balakrishnan:
I have been invested for last 5 years now and I've been tracking you for a long time. So, I understand, sir.

So,

I

just

wanted

to

hope

and

reiterate
that,
sir.
Like,
I
mean,
historically,
we
have
grown
around
15-16%.
So,
with
all
what
you
have
been
doing,
I
mean,
we
have
been
investing
ahead
of
the
curve.
We
have
been,

trying

to

invest

more,

and

you

have

been

articulating

this

fact

that,

our

idea

is

to

keep

growing

the

top

line

and

keep

on

increasing

our

TAM

and

keep

on

increasing

the

runway.

Is
there,
and
still,
like,
historically,
15%
growth
has
been
there
when
these
things
were
not
there.
And
over
the
last
6-7
years,
we
have
invested
a
lot.
So,
I
know
this
is

maybe

a

bit,

I

mean,

you

have

been

conservative. But what are the things that you are looking at where things can become faster for you?

I

mean,

from

a

revenue

growth

point

of

view.

Arun Jain:
Purple Fabric, DEP, core banking, I think you take anything, it can have a major blockbuster. We have to

just

remain

calm

so

that

we

can

deliver

to

our

customer

high

satisfaction.

This

business

is

a

non-forgiving

business.

You

can't

make

a

mistake.

That's

the

only

thing

we

want

to

protect.

Otherwise,

my

GTB

business,

GCB

business,

I

think

the

beauty

of
the
business
is
what
we
have
built
in
the
past
is
everything
is
distinctively
story.
We
have
displaced
and
disrupted
the
existing
competition
each
time.
We
disrupted
Finastra,
we
are
disrupting
Temenos.

We
are
disrupting
Palantir.
We
are
a
company
from
India
disrupting
a
global
player
with
such
a
low
investment
of
what
you
say,
Rs.140
Crs
plus
Rs.200
Crs,
Rs.350
Crs.
What
is
this

investment

in

terms

of

global

terms?

It

less

than

less

than

40

million

dollars.

That's like the power of our powerhouse of our R&D team and our committed team, which we have in

Intellect.

It's

an

amazing

team.

Rohit Balakrishnan:
So relative to that, of course, last you I mean, you have mentioned the growth has been tepid because

of

certain

delays.

So,

hopefully,

sir,

I

mean,

next

year

should

be

a

better

year.

You

already

mentioned

Q4

be

better?

Arun Jain:
Yeah. Sure.
Rohit Balakrishnan:
Thank you, Sir.
Arun Jain:
Thank you, Rohit.
Praveen Malik:
Thank you, Rohit. Now we are closing the call, and three to four people who have left can write the questions

to

me

so

we

can

answer

accordingly.

And,

those

also

who

have

once

again

put

their

hand

just

request

them

to

please,

write

back

to

us.

And

thank

you

for

attending

the

call

today.

So,

now

we

are

closing.

Thank you, everybody.

Note:

This

transcript

has

been

edited

for

readability

and

does

not

purport

to

be

a

verbatim

record

of

the

proceedings

Call: Jun 2025

Intellect/SEC/2025-26 May 16, 2025

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.
Scrip Symbol :
INTELLECT
2. BSE Limited,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.
Scrip Code :
538835
Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor earnings call held on May 09, 2025 for the 4th quarter and financial year ended March 31, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record.

Yours truly,
For Intellect Design Arena Limited,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q4

&

FY

2024-25

Investor

Earnings

Call

Transcript

Praveen Malik:
Greetings and welcome, everyone!
Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the fourth

quarter

of

the

fiscal

year 2024-25, ending 31st March 2025, and also the full year FY25. The investor presentation and the press release have been sent to you and is available on our website. Our leadership team

is

present

on

the

call

to

discuss

the

results.

We

have

with

us

today

Mr. Arun Jain, Chairman and Managing Director
Mr. Manish Maakan, CEO, iGTB
Mr. Rajesh Saxena, CEO of iGCB
Mr. Banesh Prabhu, CEO of IntellectAI, and
Ms. Vasudha Subramaniam, CFO
Besides some other senior members of the Intellect management team, are present on the call.
Now I hand over to Ms. Vasudha to take you through the results. This will be followed by Q&A session

where

your

questions

will

be

replied

to

by

the

management

team.

Once

the

Q&A

starts,

you

can

ask

the

questions

by

clicking

on

‘raise

your

hand’

and

we

will

unmute

you

so

that

everyone

is

able

to

hear

you.

One safe harbour, I would like to remind you that anything which we say which refers to the outlook for

the

future

is

a

forward-looking

statement

which

must

be

read

in

conjunction

with

the

risks

that

the

company

faces.

With

this,

I

request

Ms.

Vasudha

to

give

her

briefing.

Over

to

you,

Vasudha.

Vasudha Subramaniam:
Thank you, Praveen. Good evening, everyone, and thank you for joining us today for our Q4 and full year

2024-25

earnings

call.

The

PR

and investor deck have been uploaded well in advance, and I hope you have had a chance to go through the same. Let me walk you through our performance for the quarter and

the
full
year
and
then
share
some
deeper
insights
into
our
business
drivers
and
future
trajectory.
Starting
with
the
numbers
for
the
4th
quarter
of
the
financial
year
2025,
we
reported
revenue
of

Rs.749

Crores,

reflecting

a

19%

year-on-year

growth

as

well

as

a

balanced

performance

across

all

geographies

and

products.

This growth was driven by new customer acquisitions as well as deepening client engagements,
driven

by

our

eMACH.ai

platform

and

Purple

Fabric,

the

open

business

impact

AI

platform.

Our license-linked revenue, which includes license AMC, cloud and SaaS platform income, which defines the success of

our IP-led monetisation strategy, stood at Rs.392 Crores. We delivered a healthy EBITDA of Rs.227

Crores for the quarter, representing an EBITDA margin of 30%. Profit before tax for the quarter came in at Rs.181 Crores, reinforcing our continued focus on profitable, scalable growth.

EBITDA grew 48% year-on-year. Collections remained strong at Rs.712 Crores, keeping our operating cash flow healthy

and

aligning

with

revenue

recognition.
Q4

&

FY

2024-25

We closed the year with a cash balance of over Rs.1,000 Crores. Now, we looking at the full year performance.

We

closed

the

financial

year

2025

with

total

revenue

of

Rs.2,577

Crores

and

license-linked

revenue

contribution

of

Rs.1,247

Crores,

which

accounts

for

50%

of our revenue from operations. As mentioned earlier, this is a significant indicator of our maturing product footprint and increasing stickiness of our platforms. Our annual recurring revenue based on Q4 run rate stood

at

Rs.870

Crores,

giving

us

a

strong

base

as

we

enter

the

financial

year

2026.

It is important to note that this is real, predictable, and sustainable revenue anchored in long-term client

relationships.

Our

EBITDA

for

the

year

was

Rs.608

Crores,

and

the

PBT

was

Rs.442

Crores.

Margins

continue

to

be

healthy

even

after

absorbing

key

investments

into

Purple

Fabric

and

new

client

success

programs.

On the commercial success and market momentum, we ended the year with 43 new customer wins and

53

successful

digital

go-lives,

a

clear

demonstration

of

the

impact

of

First

Principles

Thinking

led

Zero

Waste

Architecture

is

creating

amongst

global

financial

institutions

and

our

ability

to

execute

at

scale

through

composable,

open

architecture

and

iTurmeric

platform.

Just

in

Q4,

we

on

boarded

nine

new

logos

and

executed

16

go-lives

across

geographies

from

Africa

and

Asia

to

the

Middle

East,

the

UK,

and

Europe.

Two wins I would like to spotlight here:
First, a landmark AI transformation deal with a leading London market brokerage firm. This is a 200-Cr

engagement,

which

is

one

of

the

earliest

real-world

implementations

of

our

new

platform,
Purple Fabric, combined with the 2 P&C Insurance applications, Magic Submission and e M A C H . a i Xponent, that already have a significant presence in the US in production-grade underwriting and
clients'

operations.

Second, a multi-country wholesale banking deal with a European headquartered global bank that selected

eMACH.ai

to

drive

composable

transformation

across

its

treasury

and

transaction

banking

businesses.

Both these wins underscore the confidence large institutions, which follow a rigorous architecture and

technology

assessment,

have

in

our

ability

to

deliver

large

transformations

at

scale.

Apart,

we

have

wins

across

North

America,

the

UK,

Asia,

and

the

Middle

East

for

eMACH.ai

platforms

in

the

retail,

corporate

and

wealth

spaces.

Let me now turn to what I believe is the most exciting development this year: our launch of Purple Fabric,

the

world's

first

open

business

impact

AI

platform

for

financial

institutions.

When most people hear the term AI platform, they think of conversational chatbots, personal productivity

tools,

or

isolated

agents.

Purple

Fabric

is

not

that.

This

is

a

purpose-built

AI

platform

architected

from

the

ground

up

to

drive

concrete

business

outcomes

like

enhanced

customer

acquisition

and

growth,

operational

excellence,

more

robust

governance

and

compliance,

and

faster

and

sharper

financial

decisions.

It is built on four foundational technologies:
One, the Enterprise Knowledge Garden that combines organisational data from structured and unstructured

sources

from

the

ecosystem

and

regulatory

sources

to

knowledge-as-a-service.

This
Q4

&

FY

2024-25

powers our Enterprise Digital Experts, modular task-specific co-pilots that address underwriting, trade

and

supply

chain

finance,

customer

on

boarding,

fraud

detection,

and

more.

What sets Purple Fabric apart is its governance-first architecture. We have embedded 18+ AI guardrails,

ensuring

explainability,

fairness,

and

auditability

of

both

data

and

decisions,

apart

from

enforcing

security

and

entitlements

at

the

level

of

roles,

workspaces, and tenants. We have also introduced the first-of-its-kind open LLM benchmarking capability, allowing institutions to choose the best-fit LLMs based on the triple constraints of cost, accuracy, latency, and interpretability for each application.

As we move into the financial year 2026, our strategy focus is clear.
Deeper Purple Fabric deployments with several live installations and a healthy pipeline of new enterprise

AI

programs,

and

strengthen

international

business.

Our

banking

business

has

been

very

successful

in

Europe

and

is

breaking

new

ground

in

the

US.

We

also

have

a

strong

presence

in

Canada, which was significantly bolstered by the integration of Central1. We hope to leverage these, as well as the Purple Fabric presence in the US to deepen our footprint in that geography.

Similar potential exists in other key geographies like Australia, Asia, and IMEA. We are entering this new

fiscal

year

with

confidence

that

comes

from

having

innovated,

delivered

and

delighted

clients

consistently

across

product

lines.

Before

I

close,

I

want

to

thank

our

investors

for

their

continued

trust

and

our

Intellect

associates

worldwide

for

their

commitment

to

excellence.

With

the

twin

engines

of

eMACH.ai

and

Purple

Fabric,

we

are

extremely

bullish

about

the

next

phase

of

our

growth

gen

Thank you.
Arun Jain:
Thank you, Vasudha, for sharing the results.
Praveen Malik:
Can we start the Q&A?
Arun Jain:
Yes, please. Because all the details are simply the same. So, whatever is being declared, whatever is a

continuation

of

the

AI

commentary

which

is

going

on
…

Praveen Malik:
Now we are opening for Q&A. Please click on "Ask Question." Hello. Please click on "Raise Your Hand"

to

ask

a

question.

Arun Jain:
I think there are eight participants.
Praveen Malik:
Please click on "Raise Your Hand."

Q4

&

FY

2024-25

Arun Jain:
Praveen, they have already raised their hand
Praveen Malik:
Yes, Arun?
Arun Jain:
No, no. They have already raised their hand
Praveen Malik:
First, we have Mr. Rahul Jain from Dolat Capital. Rahul, please ask your question. Please unmute him.
Rahul Jain:
Yeah, hi. Thanks for the opportunity, and congratulations on a very strong execution during the quarter.

I

have

a

few

questions.

Basically,
this
win,
which
you
announced
during
this
quarter,
and
you
have
mentioned
all
these
deal
wins
in
your
press
releases
as
also.
First
of
all,
just
for
clarification,
is
it
safe
to

assume

that

most

of

the

deals

we

have

announced

related

to

this

London

market

brokerage

firm

and

others

are

captured

in

the

Q4

financials,

or

they

are

partially

part

of

the

results,

by

some of it would feature mainly in the April-May-June quarter?

Arun Jain:
Yes. To your very specific question, I think that the brokerage firm's deal is not fully accounted for. This Rs.200 Cr will be distributed over the next three years. A very small portion has been recorded in the last quarter.

Rahul Jain:
Right. And you know, our wins have come at a time when we are seeing a very dramatic shift in the macro

thought

process.

Although

many

companies

are

talking

positively

about

BFSI

spending

so

far,

it

would

be

great

if

you

could

share

the

big

picture

as

well

as

your

near-term

thoughts

process

on

the

little

demand

scenario,

including

the

risks

associated

with

that

situation,

considering

how

the

macro

and

geopolitical

factors

are

evolving.

Arun Jain:
Let me take that question. I would like to point out a few parameters. One is our strategy at Intellect Design

Arena,

where

we

go

product

by

product

in

the

market

and
have
aimed
to
create
market
growth
opportunities
over
the
last
10
years.
If
you
look
at
the
journey
of
the
last
5
years,
iGTB
led
until
2019.
iGTB
was
a
strong
engine,

and

the

iGCB

engine

started

building

momentum,

while

the

AI

engine

has

also

begun

to

develop.

Thus,

three

different

trajectories

are

running.

First, we fully invested in the iGTB business. It is the business with the highest profit margin, followed by

iGCB,

and

investments

are

still

being

made

in

the

AI

business.

This

is

how

the

overall

composition

of

the

revenue

comes

in.

This

is

about

on

my

product-based

revenue

commentary

If I look at the geography commentary, we began in Europe, starting from Canary Wharf, UK. The Europe

business

is

now

a

substantial

part

of

our

overall

business

and

is

the

largest

segment.

One

of

Q4

&

FY

2024-25

the advantages of this business is its well-distributed nature. When I analyse it, my US, North America,

and

Europe

segments

account

for

about

45%

of

total

revenue,

coming

from

the

US,

North

America,

Canada,

and

Europe.

While

the

remaining

55%

is

evenly

distributed

equally

among

India,

IMEA,

and

APAC.

This

shows

that

all

three

regions

contribute

almost

equally,

reflecting

a

well-balanced

business.

There is no dependency on the product or market, resulting in a very well-balanced business. In America,

we

focused

substantially

last

year,

and

we

mentioned
that
America
would
grow.
America
has
started
to
grow
significantly,
with
lots
of
subscription-based
insurance
businesses
contributing
to
growth
in
both
the
American
and
Canadian
markets
due
to
the
Central1
investment.
With

the acquisition, this business will also expand. Therefore, my European and American businesses will balance each other out next year, which is excellent news for our balance sheet. Most likely, these two regions

will

make

up

50%

or

more

of

our

business

next

year.

That's

what

you

are

looking

for.

If you have been tracking the company for quite some time, we have been running a quarterly revenue

of

Rs.

500

Cr.

Every

year,

if

you

look

at

the

numbers,

we

moved

Rs.

100 Cr per quarter, and I mentioned to you in the first quarter of last year that we are targeting Rs.700 Cr to be the next milestone, and that's what it took us

some

time,

three

quarters,

to

achieve.

In

the

first

quarter,

the

number

range

from

550

Cr

to

750

Cr

in

the

same

year

is

a

completely

normal

business,

and

that's

the

nature

of

the

business.

If you look at it, the revenue for the last 12 months grew by 11%. So, in the previous quarter, when we

were

pushing

ourselves

to

grow

that

much,

we

could

grow

around

11%

last

year,

excluding

GeM.

So,

that's

a

commentary

on

the

overall

business.

Ideally, we should have grown 15% when we designed the business. We achieved 11% and then 12%. We

reached

those

numbers

year

on year. My cost structure, when you look at the last 4-5 quarters, averages close to Rs.500 Cr. This quarter/ average quarter, due to the Central1 acquisition, we have an additional Rs.16 Cr added

to

that

cost.

Otherwise,

it

remains

in

the

same

range.

The global scenario of BFSI suggests that while people are seeking more modernisation, both Europe and

America

require

the

same

improvement.

eMACH.ai

represents

our

great

story,

as

does

First

Principles

Thinking.

They

do

not

notice

any

vendors

using

First

Principles

Thinking

who

assert

that

they

will

reduce

your

costs

going

forward

rather

than

increase

them.

This

is

the

reason

we

won

these

deals

this

quarter.

In last April, I mentioned to all of you that we are moving our eMACH.ai to the US and Europe, and it will

take

some

time

for them to catch up because they started telling the story of eMACH.ai to US and Europe customers after the April conference. Within 9 months, we are able to see the impact of eMACH.ai,

hopefully

because

of

the

disruptive

technology.

So,

I'm

not

saying

its

incremental

technology;

eMACH.ai

is

the

disruptive

technology

that

we

have.

It's

completely

codeless.

Along

with

that,

the

second

platform,

which

is

the

Open

Business

Impact

AI

platform,

will

be

launching

on

Monday

morning

in

the

Financial

Times,

London,

and

is

one

of

the

most

suitable

enterprise

platforms

in

the

AI

space.

There are three spaces in AI. For all the investors, I want to emphasise that there's a space focused
on

foundation

models like DeepSeek, OpenAI, or Bedrock, which are the foundation models.
Q4 & FY 2024-25

Then the second area involves using these models to generate specific problem-solving tools, like Gamma for creating presentations, along with many other applications that utilise our model to address particular issues,

such

as

making

PowerPoint

presentations,

writing

letters,

and

recording

meeting

minutes.

These

are

Point

applications

of

AI,

including

tools

like

Cursor

for

programming

and

software

development.

And there's a third space, which is a platform space that enterprises want to implement in an enterprise

setting.

There's

a

company

called

Palantir,

and
there
is
a
company
called
C3.ai.
There's
also
a
company
called
H2O.ai.
These
three
companies
are
part
of
the
platform
space
and
are
still
evolving.
But
as
Vasudha
highlighted,
we
are
the

first company to create a technology stack. All four technology stacks that we are announcing constitute an open business AI platform designed to enhance efficacy. So, this is the summary, Rahul, in short,

that

I

wanted

to

share.

Rahul Jain:
Mr. Arun, thanks for providing that context. I just have a couple of clarifications. You are basically saying

that

our

business

is

designed

to

achieve

15%

growth

regardless

of

the

current

environment,

and

that’s

the

trajectory

we

should

expect.

From

a

cost

perspective,

as

you mentioned, the current quarterly run rate of expenses is around ■ 500 Cr, plus the Central1 component. This cost base should remain largely stable. So, on an annualised basis, there could be meaningful profitability improvement. Is that the correct understanding?

Arun Jain: That's right. We have mentioned that we are investing ■ 100 Cr in the AI business model, which will lead to some incremental costs. However, our core business has stabilised at ■ 500 Cr, with an additional ■ 50 Cr for Central1, making it ■ 550 Cr. With some extra costs, the overall structure could be ■ 560–570 Cr. So, don't immediately look at Purple Fabric investment separately. We are not separating the company, but we will keep the costs separate.

Rahul Jain: So, just to get the math right. Even at a ■ 700

crore
run
rate
we
are
getting
200
Crore
EBITDA
and
even
if
after
adding
■
25
crore
of
quarterly
run-rate
to
the
coast,
It
should
give
us
25%
annualised
run
rate
of
EBITDA
So,

is

that

what

is

basically

our

objective

to

achieve?

Arun Jain:
That’s right.
Rahul Jain:
I am just trying to understand what can be considered as a guidance. Yeah, understood on that part.
That's

quite

helpful.

Just

one

or

two

bookkeeping

questions

for

Vasudha.

In

the

presentation

this

quarter,

we

couldn’t

find

the

break-up

of

cost

items.

It

would

be

helpful

if

you

could

share

the

details

for

software,

sales

and

marketing,

and

R&D

expenses.

Vasudha Subramaniam
Sure. Since we introduced more rows this quarter, the breakdown may have been inadvertently missed.

We

will

share

that

with

you.
Q4

&

FY

2024-25

Praveen Malik:

Rahul, I will share it with you.
Rahul Jain:
Ok, got it. And just one more clarification. As Mr. Arun mentioned, this Central1 was included in this quarter,

and

our

understanding

at

that

time

was

that

it

would

not

be

a

very

profitable

business

to

start

with,

given

the

pay-out

for

the

transaction.

However,

it

seems

that

we

have

performed
quite
well,
even
considering
that.
So,
is
it
safe
to
assume
that
the
profitability
should
be
viewed
as
significantly
better,
even
when
accounting
for
Central1?
Or
do
you
think
there
might
be

more

investment

coming

in

the

subsequent

quarter,

which

could

also

pose

a

headwind

for

profitability?

Arun Jain:
I think it's the last time you didn't pick up the right signal. We said Central 1 is one of the best acquisitions

we

could

have

considered.

Sometimes

you

miss

those

171

banking

customers

in

the

Canadian

market;

these

171

is

one-third

of

the

banking

market

over

there,

where

we

can

cross-sell

lending

and

core

banking.

So,

that

is

the

misinterpreted

signal.

Even though we started operating Central1 on the 1st of March, we only had one month of revenue, and

it

was

profitable.

It's

not

a

very

high

profitability,

but

it's

not

a

loss

either.

There

was

a

profitable

high

single-digit

profit

in

the

new

business

we

acquired.

It's

not

a

value

eroding-reative;

it's

a

highly

value-accretive

acquisition

with

a

significantly

lower

cost

to

pay

for

this

business.

Rahul Jain:
Right. I understand the potential. I was just discussing margins, but thanks for that additional colour.
That's

all

from

my

side.

Thank

you!

Arun Jain:
Thank you.
Praveen Malik:
Thank you, Rahul. Next, we have Mr. Bhavik Mehta. Bhavik. Just unmute yourself.
Bhavik Mehta:
Yeah, thank you very much for this opportunity. I wanted to add that globally, the Agentic AI family's
Saas-driven

revenue

is

part

of

ARR.

Regarding

our

ARR

number,

does

Purple

Fabric

or

anything

related

to

it

contribute

to

the

platform

part,

or

does

it

form

part

of

the

ARR?

From

the

previous

quarter

to

now,

our

ARR

has

increased

by

approximately

Rs.

175

Cr.

Is

any

of Purple Fabric included in there? Is it split into two different verticals?

Arun Jain:
Yes, small numbers are present right now. However, I believe it will further grow significantly in ARR. Next year, it should be substantially larger.

Bhavik Mehta:
So, primarily, any contract we have related to Purple Fabric is an ARR-driven number, right?

Arun Jain:
Most of them.

Bhavik Mehta:
Okay, so the current deal we have announced is a mix of eMACH.ai and Purple Fabric. So, even within this, what component of Purple

Fabric is involved?

Arun Jain:
That's right.

Bhavik Mehta:
What will be the component of Purple Fabric in this Rs. 200 Cr deal?

Arun Jain:
Most of them are led by Purple Fabric, and the rest is a brokerage platform. This entire Rs.200 crores deal over the three-year period will double the revenue in the Alpha 1, Alpha 2, and Alpha 3 cycles.

3 years cycle doubling the revenue for 3 years. It’s all classified under Purple Fabric.

Bhavik Mehta:
So, as a family, this Rs.200 Cr is entirely in our ARR. That's what I want to know.

Arun Jain:
That’s right. However, 200 Cr is not booked for the quarter. A period of 45 days has been allocated within this three-year timeframe.

Bhavik Mehta:
Sure. When we say three years, generally, ARR contracts are annual. I'm just trying to understand if

we
are
still
considering
the
multi-year
contract
format
and
just
dividing
it
into
ARR.
How
are
we
approaching
deals
related
to
Agentic
AI?
Is
it
user-based?
Is
it
at
the
company
level?
Is

it

customised?

Is

there

any

understanding?

Arun Jain:
There's no standard practice. Practices are evolving over time, so there's an ARR deal. There's a transaction-based

deal,

measured

by

the

number

of

transactions

or

a

percentage

of

business.

This

deal

is

based

on

a

percentage

of

business

volume.

For

many

Purple

Fabric deals, we are taking a percentage related to the business volume. Then, this will grow from year 1 to year 2 to year 3. This is also a pattern we are observing.

The three-year value in the third year would exceed Rs.100 Cr per year. The third-year value will be more than Rs.100 Cr.

Banesh Prabhu:
Okay, it's Okay. Go ahead.

Q4 & FY 2024-25

Bhavik Mehta:
Yeah. So, the last question was about our commendable target for Purple Fabric over the next five years.

Is there a yearly

plan

for

FY26

regarding

what

we

expect

from

Purple

Fabric,

specifically

in

terms

of

ARR

addition?

Arun Jain:
Maybe we don't want to provide any numbers on that? I think the potential is quite significant. We don't

know

how

it

will

pan

out.

Let's

wait

and

see

as

it

develops;

we

will

share

updates

with

you.

Bhavik Mehta:
Yeah. Thank you.
Praveen Malik:
Thank you, Bhavik. Next, we have Mr. Sushovan Naik from Anand Rathi Securities. Sushovan, please unmute

yourself.

Sushovan:
Is my voice audible?
Praveen Malik:
Yeah, Sushovan. Please go ahead.
Sushovan:
Thank you very much for the opportunity, and congratulations on a strong set of numbers. Before I ask

my

question,

I

would

like

to

sincerely

thank

Praveen

Sir

and

Vasudha

Ma’am

for

providing

us

with

a

detailed

explanation

of

the walk-through of the company. I really appreciate that. Now, I have two questions. So, basically, we have seen historically that whenever the implementation revenues have come down as a percentage of total revenues, we see an exponential growth in profitability, and SG&A also reduces because

your
tech
subcontractor
costs
reduce
in
SG&A.
This
quarter,
I
think
we
have
seen
a
400
to
500
basis
points
improvement
in
the
mix.
So,
I
just
wanted
to
understand
what
you
envisage

the implementation revenue to become as a percentage of revenues for FY26 and FY27. I just wanted to get your feedback, and I have another question, but we will ask after your response.

Arun Jain:
I think we don't define too many things in each quarter, which is so variable. That's why we don't like any

number;

it's

just

License

Linked

Revenue,

which

is

more

than

50%.

Ideally,

our

target

is

to

make

it

60%

in

the

next

2-3

years.

If

my

License

Linked

Revenue

at

60%,

obviously,

the

margin

will

increase

by

10

percentage

points.

Then,

we

will

be

comparing

ourselves

to

all

the

best-in-class

product

companies.

Individually,

product-wise,

we

have

the

same

best-in-class

product

margins.

However,

on

a

consolidated
basis,
we
have
an
innovation
engine
which
will
drive
the
sustained
growth,
a
different
strategy.
A
lot
of
times,
product
companies
don't
have
as
much
innovation
coming
from
a
single
company.
We

have

a

wealth

of

products

that

are

now

performing

very

well

in

the

market,

and

our

wholesale

banking

is

developing

great

after

the

core

banking

and

lending

over

the

last

year.
Q4

&

FY

2024-25

I believe in the company's entire capacity to continue investing. There are three cycles: Horizon 1, Horizon

2,

and

Horizon

3.

Horizon

1

becomes

a

30%

to

35%

margin

business,

Horizon

2

develops

into

a

20%

to

25%

margin

business,

and

Horizon

3,

which

is

the

investment

business,

will

operate

at

a

5%

to

10%

margin.

We

are

now

adding

a

new

segment

called

Direct

to

Corporate;

we

are

transitioning

from

banking

to

the

corporate

segment,

and

we

have

initiated

the entire GeM force, which has been working with us. We launched three products: iGPX, the Government Procurement eXchange; iCPX, the Corporate Procurement eXchange; and iAPX, the Accounts Payables eXchange. Currently, these three products are managed by Direct to Corporate. This business will be quite flourishing by 2028-29 as we expand into this line. However, all the costs have already been invested in the business. We

are
investing
close
to
Rs.
40
Cr
per
annum
to
build
the
capacity,
which
the
GeM
team
has
developed,
creating
three
products
using
my
eMACH.ai
architecture
in
less
than
12
months.
This
showcases

our

innovative

capacity.

The

margins

will

grow,

but

I

cannot

comment

on

the

next

12

months

regarding

that.

Sushovan:
Understood. Do you have any views on how much the Capex investments will be for this year and next

year?

When

I

say

this

year,

I

mean

FY26

and

FY27.

Any

thoughts

on

that?

Arun Jain:
Capex investment on capitalisation will be around same as last year, we aimed for 140. This year should

see

the

same

figure,

20

million

dollars.

Therefore,

20

million

dollars

will

be

my

Capex

investment,

while

Rs.160-170

Cr

will

be

my

Capex

investment

on

the

product

side,

which

will

be

capitalised.

Sushovan
Understood. Thank you so much for the opportunity.
Praveen Malik:
Thanks, Sushovan. Next, we have Mr. Vivek Kumar from BestPal.
Vivek, please unmute yourself.
Vivek Kumar:
Am I audible, Sir?
Praveen Malik:
Yes, please go on.
Vivek Kumar:
So, thanks for the opportunity. Given that we are now a multi-product company and that not many
products

are

mostly

into

Horizon

3,

most

should

align

with

Horizon

1

and

2.

Additionally,

since

we

are

operating

in

multiple

geographies

and

considering

our outlook as a disruptive technology, should we assume that the 700, 720, and 750 run rates will be maintained over the next 3-5 quarters? That’s the first question.

Second, regarding margins. I'm not specifically inquiring about margins, but can we assume that around

24%

to

25%

can

be

projected

in

the

model

for

next

year?

So, the first question is this, sir: we are not reverting from the 720-750 range back into the 600s, right?

That’s

one

question.

Arun Jain: We would not be commenting on quarter-on-quarter. So, we went up to 550 and then came

back

to

700,

so

I

will

not

commit

that

700

is

the

safer

side.
But
obviously
our
target
now
is
to
move
to
800.
So,
in
the
next
four
quarters,
we
should
be
crossing
800.
That
should
be
our
target,
and
that's
what
we
will
be

striving

for.

Vivek Kumar:
And can we assume a 24%-25% margin for next year?
Arun Jain:
That's right.
Vivek Kumar:
Thank you. All the best, sir.
Praveen Malik:
Thanks, Vivek. Next, we have Mr Nimish Soni from Carnelian Capital.
Nimish Soni:
Hi, am I audible?
Praveen Malik:
Yeah, Nimish. Please go on.
Nimish Soni:
Yeah. So, first of all, very congratulations to the management for a good set of numbers. My question
is

about

the

R&D

capitalisation:

how

do

you

define

what

a

new

product

is

and

what

an

existing

one

is?

Vasudha Subramaniam:
Can you please come again?
Nimish Soni:
Regarding R&D capitalisation, how do you define what pertains to the new product and what applies
to

the

existing

one?

Arun Jain:
What is the question? Well, I think the point is that we are accounting for two expenses. One is the R&D

expenses,

which

are

close

to

200

Cr

and

are

used

for

maintaining

the

existing

products.
Q4

&

FY

2024-25

Vasudha Subramaniam:
These are basically the research phase. So, whatever is in the research phase is actually charged off to

the

P&L.

That's

what

you

see;

something

goes

to Rs. 200 crores for the year, wherever we develop the functionality for the release of any major versions, and that's where it's getting capitalised. That's about Rs. 140 crores per year.

Nimish Soni:
Okay. Thank you so much.

Praveen Malik:
Thank you. Now, we have Mr Manoj Dua from Geometrics. .
Manoj Dua:
Am I audible, Sir?
Praveen Malik:
Yes, please go on.
Manoj Dua:
Are you noticing a trend where the revenue is based on outcomes rather than license or transaction-based

models

that

indicate

the

kind

of

output,

savings,

or

deals

we

could

achieve

by

implementing

your

software?

Is

there

such

a

trend?

Arun Jain:
We are not accepting this. We don't want to take that risk right now. We will do it later.
Manoj Dua:
Okay, thank you. Best of luck.
Arun Jain:
Okay. Next.
Vasudha Subramaniam:
Praveen, are you there? You can open the next question.
Praveen Malik:
Next, we have Mr. Pavan Kataria from Bulls Eye. Mr. Pavan Kataria not there.
Next, we have Mr. Vipul Kumar Shah from Sumangal Investment.
Vipul Kumar Shah:

Hi, thanks for the opportunity. So my question is on the funnel, which was shown in our presentation.

On

this

funnel,

can

you

say

how

many

deals

are

for

pure

Purple

Fabric?

Or

does

every

deal

include

some

portion

of

Purple

Fabric?

Your

comments

are

welcome,

Sir.

Q4

&

FY

2024-25

Arun Jain:
As of now, the funnel has a 10 to 15% component from Purple Fabric. More components are getting built

up,

so

that's

how

you

can

look

at

it.

Vipul Kumar Shah:
Every deal will have 10 to 15% of Purple Fabric?
Arun Jain:
That’s right.
Vipul Kumar Shah:
Okay. Thank you, Sir.
Praveen Malik:
Thank you. Vipul. Next, we have Ms Jyoti Singh from Arihant Capital.
Jyoti Singh:
Yeah. Thank you so much, sir. And congratulations on the good set of numbers and execution. Sir, my question

is

basically

on

the

margin

side,

like

you

mentioned

to

the

earlier

participant

24

to

25%
margin
for
the
next
year.
So,
overall,
we
are
targeting
this
range
going
forward
or
earlier,
we
mentioned
30%
plus
operating
margin
going
forward,
just
clarification
on
that
side.
Also
like
the

traction on the AI front that you discussed earlier with some of the participants. So, what are the targets on the AI side? And how much are we seeing? Will it be beneficial

on

the

revenue

front?

Arun Jain:
Two things are there. In the long run, the margin is 30%, which we are still staying because we have demonstrated

this.

This

quarter

our

margin

was

30%.

So,

if

you

look

at

the

margin

of

this

quarter

alone,

30%

annualised

is

around

24%?

Vasudha Subramaniam:
23%.
Arun Jain:
23% is annualised basis. So, obviously, this will grow year on year and more licenses when you grow as

the

previous
person
asked
that
question.
So,
this
margin
should
grow
2%
to
3%
year
on
year.
So,
if
you
are
looking
for
a
three-year
perspective,
definitely
the
margin
may
inch
towards
27-30%
depending

upon

how

the

license

works

and

how

the

Purple

Fabric

comes.

I

mentioned

during

the

18th

December

Purple

Fabric

conversation

for

investors

that

this

is

a

business

which

can

be

Rs.1,000

Cr

to

Rs.5,000

Cr

business.

We are quite sure of Rs.1,000 Cr. We are now in the last 4-5 months, we built up the entire use cases or

business

cases

to

make

it

Rs.1,000

Cr

business

in

for

next

three

years

for

Purple

Fabric.

We

have

created

a

complete

pipeline,

market,

and

strategy

around

Rs.1,000

Cr

business.

The

next

milestone

is,

can

we

make

it

a

5,000

Cr

business?

That's

where

our

efforts

are,

where

Banesh

and

I

are

working
Q4

&

FY

2024-25

along with Manish and Rajesh to make this as the greatest AI product in the world where we can challenge

Palantir,

c3.ai.

That's

a

dream

we

are

running

on.

Jyoti Singh:
Thank you, Sir.
Praveen Malik:
Thank you, Jyoti. Next, we have Mr. Jitender Agarwal from Relax Capital. Jitender, please unmute yourself.

No, I think that Jitender is not there. Next, we have Mr. Umang Shah from Banyan Tree Advisors. Mr. Umang

Shah?

Umang Shah:
Hi, thank you for the opportunity. Glad you shared the results much earlier and both the results and the

presentation,

we

could

go

through

it

really

well.

One

question

that

I

had

was

with

the

use

of

AI,

you

are
able
to
create
more
use
cases
for
your
technology.
I
just
wanted
to
understand
internally
how
it
is
helping
us
with
respect
to
employee
productivity
and
if
it
is,
how
do
we

plan

to

grow

the

employee

base

that

we

have?

Arun Jain:
Yeah. So, observe that the cost of Rs.500 Cr remains constant in spite of the salary raises being directly

equitable

to

productivity

and

the

revenue

has

grown

from

excluding

GeM

from

almost

11%,

and

that

11%

increase

has

not

translated

into

the
cost
structure.
That
is
a
productivity
gain.
More
productivity
comes
with
more
and
more
implementation
of
Purple
Fabric
within
Intellect.
And
AI
doesn't
give
only
productivity.
It
gives
you
accuracy
and
better

success chances. So, first of all I want to clarify the role of AI is to augment the capability of the manager in the company, not replacing him. So, there's a myth over

there
that
AI
will
replace
people.
AI
will
make
the
people
more
efficient
and
effective,
and
that's
what
we
are
making
Intellect
that
our
deliveries
are
on
time.
We
did
16
transformations
last

quarter.

So,

we

are

able

to

complete

those

transformations

faster

so

our

collection

can

be

better.

These

are

the

objectives

of

AI,

not

just

the

headcount

reduction.

Umang Shah:
Great Sir. And just Sir, one more question. One more question was you had started putting up a front end

for

selling

Purple

Fabric.

I
think
6
months
back
that's
when
you
start
talking
about
it.
So,
where
are
we
on
that
journey?
Do
we
have
sales
force
now
in
Europe
and
North
America?
Or
is
it

still

work

in

progress?

And

if

it's

already

there,

how

is

the

response

so

far?

Arun Jain:
Yeah, we are still building the sales force. Partnership network is already there. Some of the partnership

is

working

right

now.

So,

some

other

service

players

are

working

in

Europe

and

Europe

sales

force

is

still

there.

In

the

Americas,

we

are

just

building

up.

Umang Shah:
What is the size of the sales force?

Arun Jain:
Today it's an integrated sales force. Because the sales force is not separate from Purple Fabric but as
all

the

sales

force

which

is

more

than

100

plus

sales

force

is

selling

Purple

Fabric

along

with

their

current

portfolio.

Umang Shah:
Great, Sir. Thank you so much, sir. All the best.
Praveen Malik:
Thanks, Umang. Now, next we have Mr. Samir Dosani from ICICI Mutual Fund.
Samir Dosani:
Yeah. Am I audible?
Praveen Malik:
Yeah, Samir, please go on.
Samir Dosani:
Yes. Congratulations on a great set of numbers, Sir. Can you share qualitative feedback/comments
around

the

progress

of

the

US

business?

I

think

we

started

speaking

about

it

in

the

last

6-9

months

when

you

develop
business.
Any
qualitative
comments,
how
is
it
going?
And
I
think
you
had
a
target
of
some,
let's
say
it
will
become
X
percentage
of
your
revenue
in
3
to
4
years

so.

Where

are

we

on

that

journey?

Arun Jain:
Qualitative comments have been already given. What is the question? You can listen to this conversation

because

qualitative

conversation

was

given

at

that

time.

Samir Dosani:
Okay, Sir. So we already have a sales force on the ground that we are growing? You know you like the execution.

I

think

that's

there,

right?

Arun Jain:
Right.
Samir Dosani:
Okay. And there were two large deal wins. So, one of them I think is the 200 Cr Purple Fabric deal. You

said

it

will

start

coming

in

from

Q1,

the

other

large

deal

is

it

already

part

of

Q4,

or

it

will

have

to

be

accounted

for?

Arun Jain:
That is already accounted for.

Q4

&

FY

2024-25

Samir Dosani:
Sorry, Sir?
Arun Jain:
That is already accounted.
Samir Dosani:
Okay, Sir. Okay, thanks. Thanks. That's it from my side. All the best.
Praveen Malik:
Thanks, Samir. Next, we have Mr Srinivasu from TIA. Srinivasu, are you there?
Srinivasu:
Hi Sir, am I audible?
Praveen Malik:
Yeah. Please go on.
Srinivasu:
Thanks for the opportunity, Sir. Congratulations for the strong set of quarterly numbers. My question
is

about
looking
at
the
deals
that
you
signed
in
Q4.
We
can
clearly
see
that
there
is
a
shift
from
the
traditional
digital
transformation
deals
to
AI
driven
transformation
deals.
Are
you
seeing

increasingly

clients

moving

towards

this

kind

of

nudging

use

cases?

Arun Jain:
Yes, definitely. There's a big trend on AI, plus eMACH.ai. So, the complete deals are there eMACH.ai deals

and

the

AI

deals.

Manish

if

you

want

to

share

the

second

large

deal

with

the

trend

of

eMACH.ai

on

transformation

that

will

be

helpful

for

them.

Manish Maakan:
So, the second largest deal is a fairly large UK bank for the wholesale bank transformation across all their

international

franchises.

This

is

the

capability

to

integrate

and

compose

using

eMACH.ai.

I

think

you

have

been

seeing

that

we

are

winning

large

transformation

destiny

deals.

What's

changing

now

is

the

embedded

AI

inside

the

platform

is

giving

the

right

excitement

to

the

banks

that

we

are

not

just

doing

a

patch

on

co-pilots

which

give

you

a

momentary

high

but

do

not

show

the

business

impact.

I

think

that's

a

differentiation

which

the

market

is

really

looking

for

and

with

the

work

we

had

done

on

Purple

Fabric

and

in

the

last

24

months

on

eMACH.ai,

the

combined

power

of

them

is

able

to

make

this

impact

out.

It's

very

exciting

right

now.

Srinivasu:
Okay. And which verticals are you seeing more demand for this Purple Fabric? Is it insurance underwriting

or

finance

and

accounting,

back-office

operations

or

document

processing? Where exactly are you seeing the demand?

Q4 & FY 2024-25

Manish Maakan:
So, if you look at it, we have started this journey with insurance, and that's where we really cut our teeth on this technology. It's gone into lending, payments, and it’s getting into trade and supply chain finance. So, I

think

there

are

two

things:

One, we are embedding this in a standard platform like Arun called out.
Second, we are building it as an independent platform which can sit across whatever knowledge bases

you

have

and

how

we

build

an

Enterprise

Knowledge

Garden

and

how

we

build

digital

experts

on

top

of

that.

You

go

look

at

the

world

got
excited
with
Co-pilots
and
everything.
What's
it
delivered?
Go
ask
any
CFO,
how
much
is
your
cost
reduced
genuinely,
net
of
Azure
cost
added
on
to
it
and
you
will
find
very

different answers. Because it was not a holistic design. You were just looking at the structured data component of the data lakes and you are not harmonising along with the unstructured data.

And that's what we started doing with insurance, and now it's a global launch to be able to take it
across

all

products

we

have

embedded

it

already

into

a

number

of

platforms.

We

have

got

about

68

digital

experts

available

already,

and

that's

what

Arun

said.

We

will

formally

announce

it

globally

on

Monday.

And

the

following

week,

Arun,

Banesh

and

I

are

in

London

and

we

are

rolling

it

out

and

then

doing

a

global

roadshow

around

it.

We have got this confidence with the 200 Cr deal which we have announced, the scale of transformations

we

can

actually

do

and

when

we

are

able

to

say

we

are

going

to

take

basis,

the

impact

we

created.

That's

truly

it's

not

just

saying,

hopefully,

wishy-washy

some

cost

will

reduce.

We

have

really

put

our

stakes

on

the

ground

on

the

business

impact

and

that's

why

we

are

calling

it

business

impact

AI.

Banesh Prabhu:
Just to add to what Manish said to your question, it is a combination of eMACH and AI coming together.

So,

even

the

big

deal

we

won

is

a

combination

of

eMACH

insurance
product
along
with
AI
that's
coming
together
and
it
is
impacting
both
operations
and
the
actual
business
delivery
overall.
Because
that
combination
is
what
makes
it
give
the
final
business
impact
to

the

customer.

Srinivasu:
Thank you, Sir. Just to follow up on that. When you say productivity improvement to clients, what kind

of

ROI

is

expected

for

clients,

say

three

years

for

especially

this

AI

deals?

Is

it

10%

or

15%

or

20%?

Ball

Park.

Banesh Prabhu:
I think. Very difficult to give a percentage like that. You know, for every use case in every business, we show

improvement

in

risk.

We

show

improvement

in

compliance.

Some

of

them

are

cost,

some

of

them

are

improving

the

quality

of

those

risk

decisions.

So,

it's

very

difficult

to

give

that

kind

of

an

impact.

But you know for one of the deals that we had won with the largest wealth manager in the UK.
There,

we
had
a
significant
improvement
in
turnaround
time
for
complaints.
What
used
to
be
five
weeks
was
being
done
in
a
fraction
of
the
time.
Mostly
it
runs
into
something
like
30
to

45

minutes.

I

Q4

&

FY

2024-25

think there are different ways in which we measure it and eventually of course it reduces risks or compliance

risks

or

even

potentially

cost

of

operations.

Srinivasu:
Thank you, Sir. Best of luck.
Praveen Malik:
Thanks, Srinivasu. Next, we have Mr. Prathmesh Dewar from Tiger Assets.
Mr Prathmesh, please unmute yourself.
Prathmesh Dewar:
Yeah. So, just one question from my side. As we have grown Purple Fabric as of now till 1,000 Crs. Any

timeline

would

like

to

give

by

when

we

can

reach

Purple

Fabric

to

5,000

Crs.

Arun Jain:
That's a difficult thing. Also 1,000 Crs will also reach in three years, we currently have visibility of 1000

Cr.

5000 Cr is what we are attempting to make with the brand in Financial Times and the branding we are

doing.

That's

the

potential

we

are

looking

at.

Because

if

Purple

Fabric

alone

gives

5000

Cr

banking

gives

you

5000

Cr,

we

are

a

10,000

Cr

company.

Prathmesh Dewar:
Got it, Sir. Thank you so much and all the best.
Praveen Malik:
Thanks Prathmesh. I think, we don't have anybody else. Arun?
Arun Jain:
Very right time to close the questions. Thank you, Praveen.
Praveen Malik:
Yeah!
Arun Jain:
Has somebody raised a hand?
Praveen Malik:
So, can. Can we close it, Arun?
Arun Jain:
There’s somebody raising their hand right now. It's showing 5 participants on the screen.
Moderator:
Some people are there. Just check

Q4

&

FY

2024-25

Praveen Malik:
Doesn’t seem to be any.
Banesh Prabhu:
Nobody's there, Arun.
Arun Jain:
Thank you.
Praveen Malik:
Thank you, everybody, for participating in the call. In case any more questions are there, you can just write

to

us

and

we

will

reply.

Thanks

for

joining

the

call

today.

Thank

you.

Now

you

can

log

off.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of

the

proceedings

Call: Aug 2025

IDAL/2025-26/SE/01 August 01, 2025

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on July 25, 2025 on the unaudited financial results for the quarter ended June 30, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Investors Meeting Transcript
Praveen Malik: Greetings and welcome everyone! Thank you for joining us today to discuss the Intellect Design Arena Limit ed financial results for the first
quart er

of

the

fiscal

year

2025-26

ending

30
th

June

2025.

The

investor

presentation

and

the

press

release

have

been

sent

to

you

and

are

also

available

on

our

website.

Our

leader ship

team

is

presen t

on

the

call

to

discuss

the

results.

We have with us today -

●

Mr.

Arun

Jain,

Chairman

and

Managing

Director

●

Mr.

Manish

Maak an,

CEO

of

Intellect

Wholesale

Banking

●

Mr.

Rajesh

Saxena,

CEO

of

Intellect

Consumer

Banking

●

Mr.

Banesh

Prabhu,

CEO

of

IntellectAI

●

Ms.

Vasudha

Subr amaniam,

CFO
Besides, some other senior member s of the Intellect manag emen t team are also presen t on the call.
Now,

I
hand
it
over
to
Ms.
Vasudha
to
take
you
through
the
results.
This
will
be
followed
by
commen ts
from
Mr.
Arun
Jain.
Then
we
will
start
with
the
Q&A
session
wher e
your

ques tions

will

be

replied

by

the

manag emen t

team.

When

the

Q&A

starts,

you

can

ask

a

ques tion

by

clicking

on

the

“Raise

Hand” ,

and

we

will

unmut e

you

so

everyone

can

hear

you.

Safe Harbour Statemen t - I would like to remind you that any statemen ts that represen tatives of
Intellect

Design

Arena

Ltd

mak e

refers

to

our

outlook

for

the

futur e

is

a

forward-looking

statemen t.

This

mus t

be

read

in

conjunction

with

the

risks

that

the

compan y

faces.

With this, I reques t Ms. Vasudha to give her briefing. Over to you, Vasudha. Vasudha Subr amaniam: Thank you, Praveen.
Good evening , everyone. A very warm welcome to all of you. I'm deligh ted to walk
you

through

the

financial

and

strategic

performance

of

our

compan y

for

the

first

quart er

of

the

financial

year

2025-26.

This

quart er

mark s

yet

another

import ant

miles tone

in

our

journe y

of

becoming

the

mos t

compr ehensiv e,

composable,

and

intelligent

financial

technology

provider

to

forward-looking

institutions

across

the

globe.
On the financial performance, we had a strong start to the fiscal year. In Q1, we deliv ered a total
income

of

■
734

Cr,

represen ting

a

growth

of

18%

year-on-year.

EBITD A

stood

at

■

176

Cr,

showing

a

28%

year-on-year

growth.

Profit

after tax was ■ 94 Cr, a solid 27% increase year-on-year.

stood at ■ 586 Cr. Our cash and cash equiv alen ts remained robus t at ■ 976 Cr, giving us the confidence to continue investing in growth and inno vation. Our license-link ed revenues (LLR), comprising license platform and AMC revenue stood at ■ 389 Cr for the quart er. The LLR is now more than 50% of our overall revenue, creating a predict able and recurring engine. And our ARR (Annual Recurring Revenue) now stands at ■ 1,041 Cr. This is a strong indic ator of how our business is maturing towards long-t erm, commit ted,

high-quality

engagemen ts.
On the deal wins and go-liv es front, we won 17 new deals and went live with 15 digit al transforma tions in

Q1.

Let

me

highligh t

three

strategic

wins

in

the

US,

with

two

global

bank s

marking

the

entry

of

eMA CH.ai

into

the

US

mark et.

A Tier One Canadian multina tional bank has chosen both eMA CH.ai Core Banking and eMA CH.ai Paymen ts

for

their

US

expansion.

This

engagemen t

spans

their

corpor ate

and

investmen t

banking

oper ations

and

sets

the

stage

for

futur e

expansions

in

Europe

and

Asia.

This

win

is

signific ant

not

just

in

size

but

on

strategic

depth.

It

reinforces

our

relevance

for

Tier

One

bank s

oper ating

in

comple x

global

environmen ts.
In parallel, a San Francisc o-based global financial services firm oper ating across 35 countries select ed
eMA CH.ai

Liquidity

Manag emen t.

This

solution

will

provide

them

with

real-time

visibility ,

control,

and

compliance

over

global

liquidity

positions,

a

vital

capability

in

today's

volatile

mark et.

These

deals

are

part

of

a

deep-gr owing

funnel

now

valued

at

■

11,300

Cr,

with

over

■

9,200

Cr

already

a

part

of

the

activ e

opportunities.

Let me shift gears to Purple Fabric, our open business impact AI platform. In just sixty (60) days since its launch,

Purple

Fabric

has

conduct ed

over

fifty

(50)

boot

camp s,

engaged

with

over

five

thousand

(5,000)

participan ts

through

our

business

impact

AI

masterclasses,

and

spark ed

deep

strategic

interest

among

global

bank s

and

insur ers.

Mor e

import antly,

this

platform

is

aligned

to

enterprise-wide

AI

deplo ymen ts

which

gener ate

business

impact,

and

not

mere

experimen ts.
The mark et is clearly signalling that it is ready for AI that is audit able, traceable, governable, and mos t import antly,

impactful.

We

are

building

a

strong

pipeline

of

engagemen ts

that

we

expect

to

convert

into

high-impact

AI

transforma tions

in

the

quart ers

ahead.

I

would

like

to

talk

about

the

continued

validity

global

analy sts.

The

growing

adop tion

of

eMA CH.ai

is

also

reflect ed

in

the

indus try

analy st

community .

Gartner

continues

to

rate

us
highly
in
its
critic al
capabilities
for
retail
core
banking
systems.
Chartis
has
positioned
our
credit
lending
oper ations
as
leader s
in
five
different
quadr ants.
Celen t
has
iden tified
our
eMA CH.ai
Digit al
Engagemen t
Platform
(DEP)

as

a

standout

in

terms

of

functionality

in

its

retail

and

SME

digit al

banking

platforms

across

APAC,

EME A,

and

North

Americ a.

These

recognitions

affirm

that

eMA CH.ai

is

not

just

a

visionar y

platform,

but

a

proven

execution

engine.

Investors Meeting Transcript
On the leader ship capital, to support our global scale-up, we have made some key leader ship additions. Dave Thomas has joined us as EVP and Business Head, Credit Union and Small Mark et Financial
Institutions.

He

brings

three

decades

of

experience

from

Central

1,

ATB,

and

Accen ture,

and

will

lead

the

transition

of

Canadian

Credit

Unions

to

our

Digit al

Engagemen t

Platform.
John Turner has joined as the Presiden t and Business Head for Purple Fabric. Rajesh Makhija has been
instrumen tal

in

shaping

eMA CH.ai

cloud

architectur e

and

was

pivotal

in

launching

Purple

Fabric.

He

has

been

appoin ted

Chie f

Mark eting

Officer

to

lead

enterprise-wide

mark eting.
Eshmael has joined as SVP and Coun try Manag er for South Afric a, and Conor has joined as Chie f
Mark eting

Officer

at

Intellect

Wholesale

Banking.

Vivek

Patil

has

joined

us

as

EVP

and

Chie f

Growth

Officer

for

Intellect

Consumer

Banking.

He

will

lead

large

transforma tion

deals

in

India

and

adjacen t

mark ets.
These appoin tmen ts reflect our conviction not only to build world-class products, but also to support them

with

global

talen t,

strong

governance,

and

high-t ouch

customer

engagemen t.
To summarise, quart er one has deliv ered strong growth across all key metrics: top line, margins, profitability ,

and

pipeline

progression.

eMA CH.ai

continues

to

gain

traction

with

Tier

One

bank s

and

analy sts

alike.

Purple

Fabric

is

assuring

a

new

era

of

audit able,

governed,

and

business

impact -focused

AI

adop tion.

We

are

back ed

by
a
growing
base
of
referenceable
clien ts
and
a
leader ship
team
built
for
global
scale.
As
we
move
into
the
rest
of
the
financial
year
2026,
we
are
confiden t
of
building
on
this

momen tum.

We

are

oper ating

from

a

position

of

strength

with

conviction

in

our

strategy,

confidence

in

our

products,

and

clarity

in

our

execution.
Thank you again for your time, your trust, and your continued partner ship in our growth journe y. Thank
you.
Arun Jain: Thank you, Vasudha, for the brief. The presen tation has been sent to all of you; as analy sts, you have
likely

reviewed

the

deck,

wher e

all

the

number s

are

in

line

with

wha t

we

are

presen ting

here.

You

had

expect ed

15%

growth,

and

I

think

we

are

in

line

with

that.

We

are

growing

despit e

the

indus try

slowdown,

and

we

have

a

good

pipeline

of

close

to

■
11,000

crore.

That's

a

signific ant

valida tion

of

our

eMA CH.ai

strategy.
Intellect winning three (3) deals in the US in a single quart er for digit al transforma tion on eMA CH.ai
core

is

signific ant

valida tion.

This

was

a

core

concern,

and

we

had

prepar ed

a

strategy

to

enter

the

US

mark et

with

our

eMA CH.ai

Core

Banking ,

eMA CH.ai

Paymen ts,

the

eMA CH.ai

Liquidity

Manag emen t

solutions.

Ther efore,

it's

very

signific ant

for

us

that,

in

a

single

quart er,

we

have

entered

the

US

mark et

for all the three major products. This highligh ts that our investmen ts over the last six quart ers are now paying off

one

by

one:

initially

in

the

UK,

then

in

Canada,

and

now

in

the

US,

apart

from

German y

and

Hung ary

earlier .
eMA CH.ai in the advanced mark ets is progressing in line with our expect ations. In the Purple Fabric business,

similar

deals

are

emer ging

in

the

US

and

UK,

which

continues

our

agenda

to

build

on

top

of

Purple

Fabric.
Purple Fabric has kept me extremely busy and excited over the last six mon ths. It's very rare in the organisa tion's

history

that

we

have

introduced

a

technology

that's

compar ed

to

the

best

in

class

in

its

category;

technology

which

is

support ed

by

a

massiv e

tailwind

and

technology

which

everybody

wants

to

acquir e.

Broadly speaking , there are two kinds of AI businesses - Data Lifecycle AI which is built on data and knowledg e,

such

as

Open

AI,

Perple xity,

or

Deep seek,

and

Applic ation

Lifecycle

AI,

wher e

the

applic ation

is

the

primar y

pivot

around

which

you

build

AI

to

transla te

enterprise

needs

to

deliv er

business

results.

Purple

Fabric

is

an

Applic ation

Lifecycle

AI

technology .
Ther e are three leading players in Applic ation Lifecycle AI are – Plana tir, C3.ai, and now Purple Fabric.
An

independen t

analy st

study

commissioned

by

us

on

Purple

Fabric,

positioned

us

in

this

bracket;

providing
us
the
valida tion
for
Purple
Fabric.
We
officially
launched
Purple
Fabric
in
the
UK
through
the
Financial
Times
on
May
12th
2025
and
followed
it
up
with
a
launch
in
India
through

The Economic Times on May 26th 2025. Our basic value propositions were the Enterprise GPT and the Enterprise Knowledg e Garden (EKG), powered by our four tech stacks. It was surprising to see that even

a

traditional

newspaper

advertisemen t

in

The

Economic

Times

yielded

over

3,000

registrations

for

the

Mas terclasses.

Over

2,500

unique

companies

are

participa ting

in

this

journe y,

which

is

keeping

all

of

us

on

our

toes.

We

have

been

conducting

over

fifty

(50)

boot -camp s

for

Purple

Fabric

till

date,

almos t

at

the

rate

of

one

(1)

per

day;

including

two

(2)

to

three

(3)

boot -camp s

simult aneously

across

London,

the Middle East, and India. These boot -camp s are contributing to a signific antly growing pipeline for Purple Fabric. In just sixty (60) days, our annual pipeline for Purple Fabric has reached nearly ■ 800

Cr.

We

will

aim

to

convert

this

lead

pipeline

into

an

opportunity

pipeline,

and

subsequen tly

into

a

closur e

pipeline.

A

signific ant

indic ator

of

our

optimism

for

growth

and

accep tance

of

Purple

Fabric

are

four
hundr ed
(400)
leads
that
we
have
gener ated
in
the
last
sixty
(60),
the
highes t
for
any
product
we
have
launched
in
recen t
year.
The
fact
that
these
leads
could
be
gener ated
in

such

a

short

span

highligh ts

how

differentiated

and

disrup tive

Purple

Fabric

is

in

the

mark et

as

an

open

business

impact

AI

platform.

We

are

focused

on

disrup ting

the

mark et

for

enterprise

AI

and

simplif ying

the

adop tion

of

AI

across

enterprises.

Investors Meeting Transcript
One crucial piece of feedback from customer s is how simple Purple Fabric is to use, especially when compar ed

to

alterna tives

like

Palan tir.

While

it's

still

early ,

we

plan

to

invest

a

total

of

■

100

Cr

in

Purple

Fabric

this

year,

with

■ 10 Cr already invested in the first quart er. Our current profit in this quart er stands at ■ 94 Cr. With the ■ 10 crore already invested in Purple Fabric, we anticipa te investing an additional

■
20-30

Cr

over

the

coming

three

quart ers,

incremen tally

increasing

our

total

investmen t

from

■

100

Cr

to

■

130

Cr

over

the

entire

year.

Our

EBITD A

margins

are

project ed

to

be

between

22%

and

25%,

though

this

band

migh t

fluctua te

depending

on

license

deals

and

mark et

scenarios.

This AI investmen t is fully on our balance shee t without external funding as a boots trap model. This is a first

for

us.

This

contrasts

sharply

with

global

AI

investmen ts,

which

typic ally

range

from

$150

million

to

$200 million (■ 1,000 Cr to ■ 2,000 Cr).
Our resear ch team has done a phenomenal job under standing the needs of enterprises and responding appr opria tely to the needs of the enterprises wher e we have deplo yed our technologies. They have been working on this for over two (2) years

and
have
been
in
constant
communic ation
with
various
enterprises,
addr essing
their
ques tions
and
doub ts
over
enterprise
implemen tation
of
AI.
This
is
the
beauty
of
holis tic
planning.
From
last
year
to
this
year,
we

have

proactiv ely

addr essed

all

mark et

objections

and

then

created

mark et-leading

messaging

for

this

global

launch.

We

are

really

excited

to

move

forward

with

Purple

Fabric.

Every

day

has

been

busy

for

all

of

us.
On another front, Purple Fabric is also signific antly boos ting lead gener ation for eMA CH.ai because Purple

Fabric

can

be

consumed

as

an

API

directly

on

our

eMA CH.ai

platform.

This

applies

across

our

entire

suite

of

products,

including

core

banking ,

lending ,

wealth,

custody,

capital

mark ets,

paymen ts,

liquidity ,

trade

finance,

trade

oper ation,

and

supply

chain

finance.

We have developed digit al experts that enhance our existing offerings, creating truly AI-na tive products for

the

mark et.

In

the

banking

indus try,

it

is

the

first

time

we

are

launching

these

AI-na tive

banking

products

with

Purple

Fabric

providing

the

ability

to

consume them at an API level.
The comple te eMA CH.ai platform, which we initially launched in Februar y 2023, began its AI journe y over the last two years. Now, AI has become a forefront conversation with our customer s. For example, when they are looking for a trading applic ation, we are

not just offering a traditional trading applic ation. Instead, we provide a comple te trade oper ation solution wher e we promise them 20/20 bene fits, i.e. we can help increase customer revenue by 20% and decr ease oper ational costs

by

20%,

by

leveraging

Purple

Fabric

alongside

our

trade,

paymen t,

core,

or

wealth

platforms.

This

is

the

promise

we

are

making

to

our

customer s

right

now.

Investors Meeting Transcript
I am ready to take as man y ques tions as possible on our strategy. For financial number s, I belie ve mos t of

you

are

already

aware

and

familiar

with.

Vasudha

will

handle

any

tactic al

financial

ques tions

one-on-one

outside

this

session,

via

email

or

other

means.
We have one hour , and I think we can mak e good use of it to help you under stand wher e we stand on this

journe y.

If

you

have

ques tions

for

Manish,

Rajesh,

Banesh,

or

I;

the

four

of

us

are

here

to

respond

to

business

ques tions.

Please

use

your

time

effectiv ely.

The

financial

number s

are

readily

available.
Praveen Malik: Thank s, Arun. The forum is now open for Q&A . In case you want to ask a ques tion, please click on "Raise

Hand" .

I

repea t,

please

click

on

"Raise

Hand"

and

we

shall

unmut e

you

and

everybody

will

be

able

to

listen

to

you.

So

first

we

have

Mr

Rahul

Jain

from

Dola t

Capit al.

Rahul,

please

unmut e

yourself.
Rahul Jain: Yes, hi. Hope my line is clear . Praveen Malik: Yes, please go ahead. Rahul Jain: Thank s for the colour that you shar ed around the product. I just have a couple of ques tions. Firstly,
regarding

the

funnel

we

discussed

for

Purple

Fabric:

how

do

you

typic ally

see

this

culmina ting

into

business

for

us

over

time?

Also ,

wha t

are

the

top

use

cases

that

enterprises

are

looking

for

from

us

on

this

platform?

That's

my

first

ques tion,

and

I

will

likely

have

a

follow-up.
Arun Jain: Banesh, would you like to answer? Banesh Prabhu: Yeah. So, thank s, Rahul. As you know, we have been working , and you have seen from our regular
results

that

we

are

continuously

closing

Purple

Fabric

deals

in

the

US

on

the

insur ance

side.

We

have

garner ed

several

leads,

and

as

of

this

poin t, we have already moved forward with the large number s that Arun had men tioned. We started analy sing them, reached out to all of them, and receiv ed a good response. We already have 87 leads

who

have

responded,

and

we

are

continually

scheduling

boot -camp s

for

them.

Additionally ,

we

are

in

advanced-s tage

discussions

with

several

Tier

1

clien ts

in

the

UK.

So,

to

answer

your

ques tion,

we

are

moving

forward

with

the

pipeline

opportunity

that

has

signific antly

emer ged

after

the

launch

of

Purple

Fabric,

in

continua tion

of

our

existing

business

that

is

already

gaining

good

momen tum

with

Purple

Fabric.

Investors Meeting Transcript
Rahul Jain: So, Banesh, are you trying to say that the bulk of the interest is coming from the insur ance side, or is it from

three

or

four

areas?
Banesh Prabhu: I think it's well spread out. We have 39 leads in Europe, 16 leads in the US, and also a lot of interest in India,

with

20

leads.

These

are

all

advanced-s tage

discussions,

wher e

we

have

already

moved

them

from

initial

interest

into

leads,

and

man y

are

already

in

the

opportunity

stage.

We

have

opportunities

right

now

that

are

at

a

pretty

advanced

level

of

discussion.
So, to answer your ques tion, it's not only insur ance. It's across all of banking , wealth, and several other areas,

including

a

lot

of

oper ations

reimagina tion

and

signific ant

compliance

and

regula tory

interest.

We

actually

held

an

event

on

compliance

and
regula tory
topics
in
the
UK,
and
it
was
attended
by
all
50
people,
which
was
very
popular .
So,
I
wouldn't
say
its
insur ance
only,
by
far.
Insur ance
has
gained
a
lot
more

momen tum

because

we

initia ted

a

signific ant

amoun t

of

AI

work

on

it

earlier ,

and

it

has

been

well-in tegrated

with

our

products.

As

Arun

said,

a

lot

of

this

is

getting

attention

because

it's

being

embedded

with

our

products

in

a

way

that

allows

Purple

Fabric

to

coexist

with

eMA CH.ai,

which

is

exactly

wha t

eMA CH.ai

represen ts:

eMA CH

and

AI.

The

AI

componen t

is

Purple

Fabric

embedded

within

our
eMA CH.ai
suite.
This
uniquely
positions
us
for
the
chang es
taking
place
in
the
mark et
across
all
products,
as
every
product
is
looking
to
embed
AI.
So,
I
think
fundamen tally,
that's
the
unique

interest we're seeing compar ed to everybody else.

Rahul Jain: Interesting. And as Arunji men tioned about scaling up the mark eting budg et from ■ 100 Cr to ■ 130 Cr, or moving towards a ■ 30 Cr run

rate.

I

don't

want

to

get

into

an

outlook -type

of

a

ques tion,

but

more

import antly,

given

this

scale-up

in

spend,

is

it

safer

to

assume

that

mone tisation

should

also

start

to

scale

up

meaningfully

for

us

in

the

later

part

of

the

year,

considering

we

are

increasing

our

spend

in

this

mark et

area?
Arun Jain: So, Rahul, first, it's import ant to under stand the range of opportunities. We have opportunities in Enterprise

GPT,

which

focuses

on

customer

reimagina tion.

Then

there

is

the

Enterprise

Knowledg e Garden, wher e the product help s relationship manag ers' design and compar e products. We also have opportunities within the enterprise oper ations team, covering areas like customer on-boar ding , loan origina tion, and trade oper ations. And as

Banesh

men tioned,

the

compliance

area

is

signific ant

as

well.

So,

all

four

of

these

reimagina tion

business

impact

areas

have

their

own

list

of

opportunities.

Regarding

the

■

130

Cr

incremen tal

investmen t,

we

anticipa te

that
AI
should
cumula tively
gener ate
close
to
■
200
Cr
in
revenue
by
the
end
of
this
year.
This
will
come
from
all
the
sectors
we
are
targeting,
including
insur ance,
APX,
CPX,
Wealth,

GRC,

and

the

new

lines

of

business

emer ging

in

this

space.

Investors Meeting Transcript
Rahul Jain: Yeah, thank s for that input. We have certainly seen how expansiv e the product has been in leveraging the

data

garden.

Does

this

also

open

up

opportunities

for

consulting ,

or

do

we

intend

to

stick

solely

to

a

product -only

model?

Or

would

it

be

a

combina tion

of

consulting

plus

product?
Arun Jain: Sure. Manish, would you like to answer the appr oach we are taking on the consulting side? Manish Maak an: Thank s, Arun. Yes, we are expanding into consulting , specific ally focusing on the business impact
created

and

examining

the

target

oper ating

models

and

oper ational

efficiencies

that

AI

can

provide.

We

are

on-boar ding

a

number

of

senior

folks

next

week,

so

I

will

wait

until

then,

but

we

will

shortly

have

an

announcemen t

regarding

our

consulting

services.
Arun Jain: This will include indus try consulting , not just indus try AI consulting , but broader indus try consulting. Manish Maak an: Yes. Rahul Jain: Appr eciated, and one last ques tion from my side. It's a numeric al one, I'm afraid. We have seen platform

revenue

grow

signific antly

this

quart er.

Could

you

shar e

the

organic

portion

versus

the

Central1

contribution?

Also ,

is

there

any

seasonality

to

the

Central

1

run

rate

that

we

should

be

aware

of?

Thank

you.
Arun Jain: Yes, a portion of that increase came from Central1, so this revenue has gone up because of Central 1.
Central

1

was

expect ed

to

grow,

which

is

the

main

reason

for

that.

It's

sustainable.
Rahul Jain: So, wha t you are essen tially saying is that we should consider the current run rate as the base, and there

isn't

much

seasonality

from

that

perspectiv e.

Any

futur e

growth

will

be

from

this

base?
Arun Jain: That’s right. Rahul Jain: Thank you so much.

Investors Meeting Transcript
Praveen Malik: Thank you, Rahul. Thank s for the ques tion. Next, we have Mr Susho van Nayak from Anand Rathi Securities.

Susho van,

please

unmut e

yourself.
Susho van Nayak: Yes, is my voice audible? Praveen Malik: Yes. Please go on. Susho van Nayak: Thank you for the opportunity . I have two ques tions. First, regarding working capital, this is for Vasudha, ma'am. I just wanted to under stand the GeM
receiv able

contribution.

Also ,

you

have

a

signific ant

non-curr ent receiv able of almos t ■ 200 Cr in Q4. Could you shed some light on that?

My second ques tion is, wha t exactly contribut ed to the signific ant chang e in the currency mix compar ed to last quart er?

Vasudha Subr amaniam: I belie ve you migh t have picked up these non-curr ent receiv ables from the Annual Report. That figur e represen ts contractually not-yet-due cases. As per accounting principles, we are requir ed to reflect receiv ables

that

are

not

yet

contractually

due

under

non-curr ent

receiv ables.

So,

that's

wha t

that

is.
Regarding your other ques tion about GeM, gener ally, we do not report customer -wise receiv ables.
However,

it's

quite

a

signific ant

number ,

and

we

can

say

that

it's

gradually

reducing.

We

also

have

plans

to

liquida te

that

comple tely.

That's

one

of

the

reasons

for

the

increasing

DSO ,

and

you

should

see

good

impr ovemen ts

in

the

quart ers

to

come.
Susho van Nayak: I'm sorry, the reason I asked about GeM receiv ables is that in this presen tation, I belie ve you specific ally men tioned

DSOs

both

including

and

excluding

GeM.

That

was

the

basic

reason

for

my

ques tion.
Vasudha Subr amaniam: Yes, we want to specific ally highligh t that the higher DSO is due to the inclusion of GeM receiv ables,
which

is

why

we

chose

to

separ ate

it

out

and

show

it

that

way.

Additionally ,

other

global

macr oeconomic

factors

prevented

us

from

liquida ting

those

receiv ables

quickly ,

resulting in some

dela ys in collections. Our account manag emen t team is working very hard to collect these at the earlies t possible time.

Another reason for the DSO is that man y projects are run on a miles tone basis. We can only raise an invoice and collect paymen t once we comple te a miles tone. So, there are multiple reasons for the higher DSO .

Susho van Nayak: Thank you. And regarding the chang e in the currency mix, other than the Central1 acquisition, is there anything else? Because the UK proportion has signific antly reduced,

and

the

US

has

signific antly

increased

from

a

currency

mix

standpoin t.

Vasudha

Subr amaniam:
Ther e's been a signific ant increase in CAD , which is why you are seeing a consequen tial impact in the UK

and

US

figur es.

Other wise,

the

absolut e

number s

for

wha t

we

have

been

gener ating

in

GBP

and

USD

remain

the

same

in

quan tum.
Susho van Nayak: Okay. Because wha t I see is that 29% of GBP has now become 14%, while USD has increased from 33% to

45%.
Vasudha Subr amaniam: And the CAD would have increased signific antly. Susho van Nayak: The CAD is from 6% to 13%, right? Vasudha Subr amaniam: Yes, CAD is separ ately shown as 13% here. Susho van Nayak: Yes. Vasudha Subr amaniam: Okay. Arun Jain: Some contracts are denomina ted in dollar s, even though they are oper ating from different countries.
That's

why

we

have

45%

USD;

it's

not

exclusiv ely

US

business,

but

rather

USD-denomina ted

business.

Investors Meeting Transcript
Susho van Nayak: Under stood. Thank you. Praveen Malik: Thank s, Susho van. Next, we have Mr Kesha v Surekha from Niveshaa y. Kesha v Surekha: Thank s for the opportunity . I see you have added five new logos in India. Your May presen tation
men tioned

nine

top

bank s,

and

now

I

see

14.

Could

you

tell

us

about

these

deals?

Wha t

kind

of

deals

you

have

won

in

India?

Also ,

are

we

expecting

more

deals

from

India

in

the

futur e,

particularly

any

major

ones

in

this

geogr aphy?
Arun Jain: Ramanan is the right person to discuss the India deals, but these five deals are in different areas. A few
are

in

the

DTC

(Digit al

Technology

for

Commer ce)

space,

specific ally

in

retail

and

commer ce.

They

are

not

all

banking

deals,

though

they

are

report ed

from

India.

Out

of

these

five,

two

or

three deals are in the banking sector, and the remaining are in the commer ce area.

Manish Maak an: Additionally , Arun, we were previously showing the top 10 bank s. We are now displa ying the top 15. This illustrates how the width of our coverage across these mark ets is expanding.

Arun Jain: Okay, yes. Top 14 out of 15. So, that's the coverage that's installed. Okay, Manish, do you want to elabor ate?

Manish Maak an: You will see that we were showing the top ten bank s out of each of these mark ets. As we have gone deeper , we are now looking

at

the

top

fifteen,

top

twenty,

and

top

thirty .

We

are

expanding

those

spaces

and

demons trating

our

deep

commitmen t

to

this

mark et.

The

focus

now

is

on

growing

these

accounts

and

expanding

our

presence

within

them.
Kesha v Surekha: How do you envision the Indian mark et as a driver of growth for your business? Arun Jain: The Indian mark et is very activ e. We are activ ely participa ting with eMA CH.ai, and Purple Fabric. It is a
very

potent

mark et

for

us.

Investors Meeting Transcript
Kesha v Surekha: OK. Thank you. Praveen Malik: Thank s, Kesha v. Next, we have Mr. Amar Bakth from Oman Investmen t. Amar , please unmut e yourself.
Amar:

Hi.

Am

I

audible?
Praveen Malik: Yes. Please go on.
Amar

Bakth:

Yes.

I'm

trying

to

under stand

the

revenue

model

of

these

two

new

products,

which

are

now

fully

implemen ted

and

ready

to

provide

incremen tal

revenue

for

the

compan y.

Will

revenue

come

at

the

time

of

implemen tation

itself ,

or

will

there

be

outcome-based

revenue

modelling ,

or

will

there

be

some

AMC-r elated

revenue

after

implemen tation

as

well?

How

is

the

revenue

life

cycle

with

these

two,

Purple

Fabric,

as

well

as

eMA CH.ai?

I

mean,

how

is

it

going

to

provide

revenue,

in

one

stream

or

in different streams?
Arun Jain: Manish, would you like to take it up? Manish Maak an: Yes, Arun. Sure. For Purple Fabric, it's a mix of initial revenue, smaller implemen tation fees, and a long tail as we scale. Ther e's a minimum commitmen t for certain volumes, after which it becomes business impact -based. So, this will introduce a lot of variable componen ts. On eMA CH.ai, we

are

also

moving

to

much

more

variable

revenue.

And

the

consulting

piece

we

are

looking

at

launching ,

will

be

business

impact -created,

focusing

on

how

we

can

help

bank s

move

from

poin t

A

to

poin t

B

on

their

revenues

and

costs,

and

that's

wher e

we

are

building

out.
Banesh Prabhu: I will just add a little more texture to the deals on Purple Fabric. I think customer s normally pay in different

ways.

Some

of

them

are

entirely

subscrip tion-driv en.

Some

are

paying

for

the

platform

itself .

Some

are

paying

because

the

platform

is

bringing

those

savings.

So,

for

mos t

of

our

Purple

Fabric

implemen tations,

we

have

a

minimum

subscrip tion

amoun t

they

pay,

which

covers

our

cost

of

oper ating,

running ,

and

licensing

the

platform

to them. The balance is then driven by the outcome related to impr oving either their cost reductions or achie ving greater volumes on the platform. Ther efore, for some of them, we char ge by AI volume or agent, and for other s, we char ge for the entire

platform. And wher ever it's embedded into our products, we also char ge similarly for the usag e of the AI elemen t of that license.

Amar Bakth: So, if my under standing is correct, that means there's a part of the revenue which

is

a

kind

of

annuity -based

stream.

That

means

that

once

I

have

a

customer

who

has

purchased

my

product,

a

portion

of

the

revenue,

whe ther

it's

AMC-based,

license-based,

or

platform-based,

will

continue

as

long

as

the

customer

is

using

it.

Probably

a

part

of

it

is

a

one-time

expenditur e

at

the

time

of

implemen tation

itself ,

and

now

you

are

also

adding

that

there

is

some thing

that

depends

on

the

output -based

model.

So,

if

our

customer

achie ves

a

certain

efficiency

level

by

using

our

product,

there

will

be

a

kind

of

profit

sharing

or

a

fixed

arrangemen t,

with

the

compan y

receiving

a

shar e.

I

am

just

trying

to

under stand,

for

long evity,

if

I

get

a

customer

today,

how

long

will

I

be

able

to

mone tise

that

particular

customer?
Banesh Prabhu: So, the subscrip tion deals that we do typic ally range from three (3) to five (5) years. And they are, like you

said,

an

annuity

with

a
minimum
volume,
which
then
grows
as
the
volume
grows.
So,
there
is
volume
pricing
as
well.
Ther e
is
a
separ ate
implemen tation
cost.
Very
often,
for
certain
projects,
we
do
pilots,
and
there

is

normally

a

char ge

for

those

pilots.

When

we

implemen t,

we

start

with

the

subscrip tion,

which

normally

runs,

as

I

said,

for

three

(3)

to

five

(5)

years

thereafter.

Additionally ,

several

chang e

reques ts

are

made

throughout

those

three

to

five

years

to

upgr ade

the

platform.
Arun Jain: So, if it's an annual contract -

●

A1

revenue

is

the

pilot

cost

●

A2

revenue

is

from

implemen tation

●

A3

revenue

is

subscrip tion

/

transaction-based,

often

a percentage—for example, thirty basis poin ts on the insur ance premium paid, or a per-transaction basis, like twelve dollar s per transaction, or nine ty-nine dollar s per 'work pack et' produced, such as per complain t resolution.

- A4 revenue is platform licensing , which is on an annualised basis and is also subscrip tion-based, and dependen t on the number of cores my AI platform will use. So, it is similar to

how

Oracle

does

it,

with

the

number

of

cores-based

licenses.

We

have

a

similar

policy

for

platform-based

outsour cing.

●

A5

revenue

is

from

licence

pricing

●

A6

revenue

is

long-t erm

licence

with

AMC

(Annual

Main tenance

Contract)
So, these are the six different types of revenue streams in the compan y.

Amar

Bakth:

So,

if

we

implemen t

the

product

for

one

particular

compan y,

all

those

six

streams

will

be

activ ated

over

a

period

of

time.

Ther efore,

as

and

when

we

add

new

customer s

to

our

new

platform,

this

will

compound

over

time,

correct?
Arun Jain: That's right. That's the value of a business like ours, it may not be all six (6) revenue streams for each customer;

there

may

be

three

(3)

for

one

customer ,

two

(2)

for

another .

Even

though

the

revenue

streams

vary,

compounding

does

take

place.

All

the

profit

gets

compounded.

That's

why

we

have

18%

year-on-year

growth

and

27%

profit

growth.

That's

the

import ant

poin t:

the

compan y

is

reaching

that

lever

wher e

profit

growth

is

higher

than

revenue

growth.

So,

it's

not

a

linear

model.

Amar

Bakth:

Okay.

And

then,

in

that

particular

model

itself ,

there

is

some

oper ating

leverage

built

in,

because

as

the

product

matures,

the

expenditur e

on the product will not be as high compar ed to its revenue-g ener ating capacity . So, there is compounding from that side as whole, and the compounding on the margin side too?
Arun Jain: Exactly . That's the value of product companies.
Amar Bakth: Okay.

Just

a

second

and

probably

the

last

one,

I

will

not

take

more

time.

To

clarif y,

is

there

a

similar

level

of

lumpiness

in

this

type

of

business

as

well?

That

is,

in

some

quart ers,

there

is

a

sudden

revenue

build-up,

while

in

other s,

it's

signific antly

lower.

Wha t

I

under stand

is

that

the

product

has

a

high

consis tency

and

long evity,

which

is

quite

impr essiv e.

However,

on

a quart er-on-quart er basis, I can see signific ant lumpiness in revenue. How is this happening?
Arun Jain: It's happening because in the product business, each license can be as high as $ 7 Mn. A $ 7 Mn license materialising or not materialising in a particular quart er can indeed create lumpiness in the business. So, an LTM (Last

Twelve Mon ths) basis is a good way for you as an investor to consider a metric, rather than focusing solely on the quart erly number s. Amar Bakth: Okay. And, if I may ask one

last

ques tion.

Regarding

the

US

as

a

mark et,

I

can

see

your

main

strength.

Typically,

for

IT

companies,

the

US

is

a

signific ant

mark et;

however,

Intellect

has

gener ated

the

highes t

revenue

outside

the

US.

If

I

consider

the

US

dollar

denomina tion

as

a

separ ate

thing ,

the

business

coming

directly

from

the

US

is

not

as

big

compar ed

to

other

IT

companies.

Now,

we

all

know

US

is

a

huge

mark et

for

a

product

like

yours.

So,

how

as

a

compan y

are

we

appr oaching

to

build

that

particular

pie into our business? Because, probably , the margins there are compar atively better, as we have
under stood

from

other

IT

product -related

companies.
Arun Jain: Ther e are not too man y product companies from India getting signific ant revenue from the US mark et.
Intellect

is

still

performing

better

than mos t in that regard. Regarding margins, they are almos t equal in the US, Canada, and Europe, and shar e a similar nature. In fact, we some times see margins in the UK and Europe

being
even
better
than
those
in
the
US,
from
that
perspectiv e.
Our
appr oach
was
to
go
to
Europe
first,
then
Canada,
and
finally
the
US;
that
has
been
our
strategy
and
roadmap.
This

quart er,

we

are

pleased

to

announce

that

the

financial

year

has

commenced

with

three

deals

in

the

US.

So,

now

we

will

definitely

be

expanding

our

US

portf olio.
Amar Bakth: Thank you very much. I may be re-joining the queue. Thank you! Praveen Malik: Thank s, Amar . Next, we have Mr. Mihir Manohar from
Carnelian

Asset

Management. Mihir Manohar: Yes, Hi! Thank you for giving me the opportunity , and congr atulations on a strong set of number s. Sir, I
would

like

to

learn

more

about

Palan tir,

C3.ai,

and

Purple

Fabric.

You

men tioned

these

are

the

three

enterprise-gr ade

AIs.

Could

you

provide

any

colour

or

feedback

from

clien ts

or

indus try

analy sts

on

the

compe titive

positioning

of

Purple

Fabric

vis-à- vis

Palan tir

and

C3.ai?

Could

you

elabor ate

on

who

is

strong

in

which

areas

and

how

things

migh t

eventually

unfold?
Arun Jain: That's a beautiful ques tion for under standing the mark et. Palan tir is a compan y that started in 2005, making

it

a

twenty

(20)

year-old

compan y

in

the

AI

space, originally focused on commer ce. Their major revenue still comes from the US governmen t. After 2018, they began moving beyond governmen t clien ts and looking at commer cial sector. They are still using their older

platform,

Foundr y,

to

support

this,

so

they

have

a

large,

legacy

Foundr y

platform

built

using

AI

technologies

that

were

available

between

2010

and

2012.
Intellect started investing in AI in 2016. C3.ai also began investing around the same time. However, we launched

Purple

Fabric

as

a

platform

only

in

2025,

after

thor oughly

under standing

the

implemen tation

pain

poin ts

of

AI.

When

you

look

at

it,

four

key

elemen ts

are

differentiating

AI

in

Intellect:

●

Enterprise

Knowledg e

Garden

(EKG)

is

our

first

value

proposition.

Intellect

is the first to trademark that. We belie ve that alongside a Data Lake, you need an Enterprise Knowledg e Garden because the true moa t of enterprise value is the knowledg e residing within an

organisa tion. We have technology to vectorise that knowledg e into a 'garden' and nurtur e it so customer s

can

use

both

data

from

their

Data

Lake

and

knowledg e

from

the

Garden,

thereby

creating

expertise

for

the

organisa tion.

This

is

very

unique

and

not

provided

by

C3.ai

or

Palan tir.

●

We

don't

talk

about

'agents.'

We

belie ve

business

impact

happens

via

experts.

Agents

can

solve

smaller

issues,

just

as

an

executiv e

can

handle

basic

problems

or

call

centre

inquiries,

but

if

you

want

to

addr ess

comple x

finance

or

wealth

manag emen t

issues,

you

need

experts.

So,

we

have

an

expert

orches tration

system

with

Socr ates

dialogue,

creating

immense

value

through

our

digit al

expert

methodology .

Mos t

global

companies,

including

C3.ai

or

Palan tir,

primarily

focus

on

agents.

We

belie ve

it's

a

business

of

experts;

that's

a

signific ant

difference.

●

We

allow

for

open

technology .

Any

LLM

(Large

Languag e

Model)

can

be

used.

LLM

costs

are

continually

falling ,

so

customer s

shouldn't

be

locked

into

one

LLM.

We

enable

customer s

to

benchmark

and

select

LLMs

appr opria tely

This

flexibility

is

currently

not

offered

by

any

of

the

main

player
These are our three core differentiators besides this, in enterprise governance, specific ally entitlemen ts
and

controls,

all

three

of

us

(ourselves,

C3.ai,

and

Palan tir)

provide

strong

governance.

Enterprise

governance

migh t

be

consider ed

equal

among

us.

But

on

EKG

(Enterprise

Knowledg e

Garden),

digit al

experts,

and

LLM

flexibility ,

we

are

distinctly

differentiated.
Banesh Prabhu: I think just to add to that, Arun, speaking to clien ts in Europe including some large bank s, the orches tration

of

flow

through

EKG

(Enterprise

Knowledg e

Garden)

and

the

digit al

workforce,

setting

up

multiple

agents

or

digit al

experts

as

a

digit al

workforce,

is

easier

and

more

governable

with

us.

Because

the

clien ts

who

come

to

us

are

finding

that

they

cannot

scale,

and

some

of

them

are

using

our

compe titors,

they

would

like

to

scale.

I

think

the

governance

part

of

managing

multiple

workforces,

we

are

better

positioned

in

some

sense,

and

we

are

also

more

flexible

and

easier

to

consume

those

services

compar ed

to

their

models.

So,

that's

the

feedback

we

are

getting,

and

we

are

obviously

learning

along

the

way.
Mihir Manohar: Sure, under stood. Is there any more colour around whe ther people are looking to replace or chang e from

their

C3.ai

or

Palan tir

offerings

to

our

offerings?
Arun Jain: I am saying that it is a co-existence model. We are not replacing Palan tir right now; we are still a young player

to

battle

it.

Palan tir

is

a

$

300

Bn

compan y.

Even

if

we

take

a

10%

slice

of

the

total

mark et

shar e,

that

will

be

good

for

us.

Mihir Manohar:
Under stood.

My

second

ques tion

was

about

the

investmen t:

■

100

Cr

to

■

130

Cr.

So,

the

■

30

Cr

will

be

incremen tal,

right?

Will

that

impact

the

P&L

for

FY26?
Arun Jain: All of it will be in the P&L. In the mark et, we cannot capitalise on any of this investmen t. However, we will

still

manag e

margins

to

the

level

we

are

targeting

between

20%

to

25%

even

in

spite

of

these

investmen ts.

But

■

130

Cr

is

a

hard-core

investmen t.
Mihir Manohar: Last ques tion on DSO . On both a quart er-over-quart er and year-over-year basis, even excluding GeM, there's

a

good

jump

in

DSO .

How

should

we

see

this

normalising?

Why

did

this

jump

occur?
Arun Jain: It keeps fluctua ting. The last quart er was very success ful; we were able to collect a substantial amoun t of

mone y.

This

quart er

is

bad.

Quart er-on-quart er,

this

is

a

transactional

item

when

a

project

goes

live,

and

a

large

paymen t

is

suddenly

receiv ed

(it's

miles tone-based).

So,

I

think

you

have

seen

the

compan y

for

the

last

three

year.

We

should

not

be

too

worried

about

DSOs.
Mihir Manohar: Under stood, sure. That's it from my side. Praveen Malik: Thank s, Mihir . Thank s for the ques tion. Next, we have Mr. Rohit Balakrishnan from ithough tPMS. Rohit,
unmut e

yourself

and

ask

the

ques tion.

Rohit Balakrishnan: Hello. Am I audible here? Praveen Malik: Yes. Please go on. Rohit Balakrishnan: Sir, a few ques tions. First, about the US Destiny deals that we won; one in Canada and one in the US.
Can

you

shar e

more

colour

in

terms

of

whom

we

compe ted

against,

the

leng th

of

the

engagemen t,

and

whe ther

this

represen ts

an

import ant

inflection

poin t

to

win

more

US

deals?

First,

if

you

can

shar e

this.

And

then

I

have

two

more

ques tions.

Investors Meeting Transcript
Manish Maak an: Thank you. That's a very good ques tion. It's the strength of our technology , of our eMA CH.ai architectur e.

As

Arun

has

been

talking

about,

we

clearly

beat

a

number

of

existing

players,

fair

and

squar e.

When

you

go

deep

into

the

architectur e,

the

purity

stands

on

its

own.

Our

strength

in

wholesale

banking ,

indus try-aligned

solutions,

and

our

paymen ts

platform

which

is

rated

by

analy sts

in

the

leader

class

are

clear

advantages.

You

had

the

who's

who

of

all

the

key

core

banking ,

paymen ts,

and

liquidity

players

in

each

of

these

wins.

This

is

a

good

start

for

us.

In

liquidity ,

we

are

mark et

leader s;

in

paymen ts,

we

are

also

among

the

top

two.

The

power

of

our

core

banking ,

wha t

we

have

demons trated

in

Europe,

is

now

eviden t

as

we break through in the US.

Rajesh Saxena: If I can just add, Manish. From a core banking perspectiv e, getting a Tier 1 clien t for the corpor ate DDA (Demand Deposit Account) deal in the US is a great achie vemen t. US regula tory requir emen ts are very steep, especially for DDA, which has both state and feder al requir emen ts.

We

won

this

deal

without

an

existing

reference

site

in

the

US

for

DDA,

which

clearly

shows

the

strength

of

our

eMA CH.ai

architectur e

as

well

as

the

relationship s

we've

built

over

the

last

10

years

with

Tier

1

clien ts.
Rohit Balakrishnan: Are you disclosing the size of these deals, Sir? Is it like $ 30 to 40 Mn or less? Manish Maak an: The Canadian deal is very large. I'm not giving number s, this is only phase one. Ther e are multiple
phases;

this

will

be

very

large.

I'll

stay

at

that.
Rohit Balakrishnan: Okay. Second, if I may say I am following the compan y since long and have invested in the compan y for five

(5)

years,

and

I

have

seen

you

invest

ahead

of

the

curve

(whe ther

eMA CH.ai

or

Purple Fabric is the culmina tion of that). You said you will be investing around ■ 130 Cr this year, of which ■ 10 Cr has been already invested. Looking beyond FY26, gener ally, margins

can

even

go

above

25%

or

higher .

When

do

you

see

Intellect

entering

that

upward

margin

traject ory,

not

a

quart er

or

next

quart er?

I'm

just

trying

to

under stand

when

we

as

outsider s,

sort

of

expect

that

to

happen;

again

not

specific

quart er.

Just

would

like

to

hear

from

you.

How

are

you

viewing

this?

These

are

big

opportunities.

I

under stand

wha t

you

all

are

trying

to

do,

not

looking

at

immedia te

quart er

just

would

like

to

under stand

from

you.
Arun Jain: The way we design our business is to keep growth pegged at around 20% year-on-year. We achie ved 15%,

14%

previously ,

but

we

design

for

20%

growth

year-on-year.

That's

the

first

principle.

The

second

principle

is

we

have

pegged

20%

business

from

a

design

perspectiv e.

But

economic

conditions

may

be

different,

customer

conditions

may

be

different.

But

margin

will

be

close

to

30%

growth.

So,

if

you

look

at

it,

the

difference between revenue and profit growth is 1:1.5. If you look over a three-year windo w,

our goal is to achie ve ■ 4,000 Cr revenue and ■ 1,000 Cr PBT (Profit before Tax) going forward. This is wha t we are designing the compan y for. From your investmen t perspectiv e, a PBT of ■ 1,000 Cr and

■ 4,000 Cr as a top-line number in three years is very much possible. It is not guidance, but this is wha t we are striving for.

Rohit Balakrishnan:

Got it, that's help ful. Two smaller bits - of the pipeline you men tioned, specific ally the ■ 9,000 Cr activ e pipeline, could you shar e roughly how much is US-related? Has the consolida tion of Central1's acquisition led to a margin drag this quart er or this financial year?

Arun Jain: The acquisition is profitable, but not as profitable as other businesses, so there may be a dip in percentage margin. Mor e import antly, the acquisition has

given us a big acceler ation in the Canadian mark et. Rajesh can brief you about this.
Rajesh Saxena: Yes, we announced the acquisition in March. Along with this, we gained appr oxima tely 170 new customer s, and 140 people joined us. Our first-quart er results are better than expect ed. Both from a cultur e, sales,

and

relationship s'

perspectiv e,

the

business

is

growing.

As

we

delve

into

a

new

segmen t

of

these

150

credit

unions,

we

are

seeing

numer ous

new

opportunities

emer ge.

So,

this

acquisition

is

primarily

for

the

Digit al
Engagemen t
Platform
(DEP).
But
we
are
now
seeing
opportunities
coming
up
in
core
banking ,
lending ,
commer cial
banking ,
and
paymen ts.
It's
still
early ,
but
the
Central1
acquisition
is
very
good,
signific antly
impr oving
our

Canadian

footprin t,

clien t

base

and

providing

good

cross-sell/up sell

opportunities.

From

that

perspectiv e,

it

is

a

very

good

acquisition.

Rohit Balakrishnan: For clarific ation, do you view Central1 separ ately in terms of oper ation, or are you fully consolida ting it?

Number s

are

one

thing.

But

from

your

own

lens,

as

you

sort

of

integrate,

how

do

you

see

the

margins

of

that

business?

Or

do

you

look

at

everything

together?
Arun Jain: We look at it as a merger: cultur e, people, thinking , not just number s. We don't separ ate it. Rajesh Saxena: We have made signific ant progress over the last quart er, Rohit. Yes, it's now One Intellect oper ations. Manish Maak an: It's a strategic intent. It gives access to over 150 bank s, lots of cross-sell opportunities, and compe tence
in

running

a

large-scale

cloud

SaaS

business,

extending

our

reach

further .

Ther e

are

a

lot

of strategic

decisions behind why we pursued these acquisitions, beyond just bringing in a certain revenue. The scale we gain in Canada is hugely import ant; we are becoming a dominan t force there.

Rohit Balakrishnan: Did this acquisition help in clinching recen t deals? Manish Maak an: The Canadians have started feeling very comfortable with the size of our oper ation. Our intent is, we are calling this as one of our three home mark ets. India is a home mark et,

the

UK

is

a

home

mark et,

and

Canada

is

now

becoming

that

home

mark et.

And

the

intent

is

to

scale

each

one

of

these

to

a

$

100

Mn

business

in

the

near

futur e.

So

it's

on

the

right

path.
Rajesh Saxena: If I can just add to that, Manish. Another import ant piece is that we gained 140 Canadian emplo yees with

the

deal.

I

think

that

will

signific antly

help

us

as

we

implemen t

these

deals

that

we

are

winning.

So,

it's

as

if

a

Canadian

team

has

now

reached

that

critic al

mass,

which

should

enable

us

to

implemen t

better,

and

that

gives

confidence

to

clien ts

as

they

look

to

us

for

large

deals.

Rohit:

Got

it.

Thank

you

very

much
and
all
the
very
best.
Praveen Malik: Thank s, Rohit. Next, we have Mr. Adity a Trivedi from Nepean Capit al. Adity a. Adity a Trivedi: So, the ques tion I have is, is there a roadmap for expanding Purple Fabric’ s adop tion beyond BFSI into
sectors
like
manuf acturing
or
retail,
wher e
we
could
see
AI-driv en
workflo w
automa tion
and
procur emen t
optimisa tion
also
critic al?
Or
is
Purple
Fabric’ s
architectur e
and
componen ts
restricted
to
BFSI?

Wha t

I'm

trying

to

under stand

is,

could

there

be

an

expansion

in

TAM

for

Purple

Fabric?
Arun Jain: Yes, Adity a, we are already expanding to procur emen t and e-commer ce solutions. The DTC business is already

there.

Additionally ,

we

are

seeking

partner s

in

other

sectors

to

expand

into

the

pharmaceutic al

and

retail

indus tries. We are currently exploring potential partner s in these areas.
Banesh Prabhu: And we have some pipeline in the non-BF SI space, we are already working on.

Adity a Trivedi: Okay. And as of now, wha t are the top three AI-driv en business impact use cases being deplo yed using Purple Fabric?
Arun Jain: We have answered earlier . It's the same areas we have been discussing. We have just about five minut es left; we are running out of time. If you have some other ques tions, please go ahead.
Adity a Trivedi: No, that’s it from my end. Thank you so much. Praveen Malik: Arun, should we take another two or three ques tions on there? Arun Jain: Yeah. So, how man y are waiting? Praveen Malik: Maybe around four. Arun Jain: Just take all the four and let's close it out. Praveen Malik: Okay. And next we have Ms. Jyoti Singh from Arihan t Capit al. Jyoti Singh: Yes. Thank you for the opportunity , Sir. So, I just wanted to under stand, like you discussed, about the Canada

thing.

So,

wha t

are

our

expect ations

for

growth

in

that

area

after

the

Central1

acquisition?

Additionally ,

another

poin t

regarding

the

license-link ed

revenue

is

our

expect ation

of

60%

growth

over

the

next

two

to

three

years

could

you

please

upda te

us

on

the

progress

on

that

side?

Additionally ,

regarding

new

Digit al

Technology

for

Commer ce

platforms

like

GPX,

CPX,

and

APX,

how

are

they

expect ed

to

contribut e

to

growth

by

2028-29?
Arun Jain: Let's not look at the Canadian mark et independen tly; it will grow. Manish has men tioned it's a home mark et

-

$

100

Mn

mark et

in

the

next

few

years.

Similarly ,

APX,

GPX,

and

CPX,

we

cannot

quan tify

individually

for

each

mark et,

as

they

are

early -stage

businesses.

At

Intellect

Design
Arena,
our
strategy
is
as
follows:
first,
GTB
expanded
the
mark et
shar e,
then
GCB
expanded
the
mark et
shar e,
and
now
AI
is
further
expanding
the
mark et
shar e.
DTC
is
in
the
incuba tion

stage,

so

that

will

take

another

three

(3)

Investors Meeting Transcript
years to contribut e substantially . It gener ally takes five (5) years for incuba tion to start gener ating a big number .

To

sustain

a

product

compan y

year-on-year

and

to

create

a

robus t

pipeline,

you

need

those

kinds

of

upfront

investmen ts.
Jyoti Singh: Thank you, Sir. Praveen Malik: Thank s, Jyoti. Next, we have Mr. Sriniv asu K from TIA. Sriniv asu: Hi, Sir. Thank s for the opportunity . Congr atulations on the solid set of Q1 number s. My ques tion is: with
the

new

AI

laws

coming ,

and

you

said

the

regula tion

is

very

tight,

how

is

Purple

Fabric

guar anteeing

governance

and

explainability

in

those

mark ets?

Are

you

pursuing

any

certific ations

to

acceler ate?
Arun Jain: Ther e is no specific certific ation available yet for this, but we have full traceability and audit ability and that's

why

we

have

won

clien ts

in

Europe.

A

large

wealth

bank

in

Europe

is

using

our

Purple

Fabric

platform,

and

their

risk

departmen t

has

certified

it.

However,

there

is

no

formal

global

certific ation

departmen t

worldwide

to

say

this

is

traceable.

It's

about

the

compan y's

own

risk

departmen t's

valida tion.

However,

we

main tain

all

ethical,

traceability ,

audit able,

dialoguing ,

and

ques tioning

recorded

to

ensur e

AI

responses,

wher e

the

AI

agent

provides

the

accur acy

level,

such

as

92%,

98%,

or

97%.

So,

we

have

built

a

very

solid

enterprise

governance

model

into

it.
Banesh Prabhu: Additionally , digit al experts ensur e that everything they do has an audit trail, just as a human would.
That

is

clearly

available

in

the

process

wher e

you

can

see

how

the

digit al

expert

works

in

collabor ation

with

humans.
Sriniv asu: Okay. Thank you for that. And a follow-up to the previous ques tion about projects beyond the BFSI sector:

wha t

are

the

likely

ticket

sizes?

Are

they

similar

to

mid-tier

bank

deals,

or

smaller?
Arun Jain: As of now, we are saying as a platform it can go out to the mark et. We have to look with partner s how deals

will

work,

how

consulting

companies

or

SIs

will

take

this

platform

to

non-BF SI

sectors,

which

is

still

to

be

evalua ted.

But

for

large

non-BF SI

clien ts,

deal

values

will

not

be

different

because

pricing

is

based

on

the

number

of

cores

being

consumed

for

the

platform.

So,

the

cores

consumed

by

bank s

and

cores

consumed

by

non-bank s

should

be

similar .

Investors Meeting Transcript
Sriniv asu: Okay, so when you say system integrators, how man y SI partner s are already selling this Purple Fabric platform

as

of

Q1?

Wha t

shar e

of

this

year’s

Purple

Fabric

revenue

will

come

through

then?
Arun Jain: It's too early to give exact number s, we have engaged more than five SI partner s working on it right now,

and

this

number

is

increasing.
Sriniv asu:
Okay,

Sir.

And

my

last

ques tion

is:

out

of

the

■

11,300

Cr

funnel,

which

look s

very

impr essiv e,

wha t

kind

of

win

rates

and

sales

cycles

are

you

modelling

to reach this ■ 800 Cr quart erly revenue run rate?

Arun Jain: Yes, ■ 800 Cr. That's a good poin t you raised. It takes roughly every four (4) quart ers to increase by ■ 100

Cr.

We

have

now

reached

■

700

Cr.

We

expect

to

reach

■

800

Cr

in

the

next

two

(2)

to

three

(3)

quart ers.
Sriniv asu: Okay, Sir. Thank you. Praveen Malik: Thank s, Sriniv asu. Next, we have Mr. Samir Dosani from ICICI Pruden tial. Samir Dosani, please go
ahead.
Samir Dosani: Yes, thank s for the opportunity . Basic ally, how should we think about the accep tability of your
products,

especially

eMA CH.ai

products,

which

are

AI-po wered,

in

regula ted

mark ets

like

the

US

and

Europe?

Do

you

have

any

though ts

on

how

that?
Arun Jain: Wha t's the ques tion? Samir Dosani: Basic ally, how to think about the accep tability of AI-po wered products given there are man y security
concerns

in

regula ted

mark ets,

particularly

in

banking ,

which

is

very

tightly

regula ted.

Are

there

any

security

challeng es

impacting

you?
Arun Jain: No, in fact, every bank in the US is using AI for one reason or another . It is very well accep ted. The ques tion

now

is:

wha t

kind

of

use

case

is

being

deplo yed?

Some

bank s

use

AI

in

call

centres;

other s

use

it in oper ational processes. Mos t bank s have adop ted some form of AI. The ques tion is whe ther the initia tive

is

scalable,

platform-based

or

particular

use

case

based.

Our

offering

from

Intellect

is

a

platform-based,

scalable

solution

within

the

enterprise,

wher e

every

emplo yee

can

use

the

same

platform

and

every

manag er

can

build

their

own

agents

and

experts

to

deliv er

better

value

in

oper ational

processes

and

reimagine

workflo ws.

That

is

our

key

differentiation.

Accep tance

of

AI

in

advanced

mark ets

is

already

established;

everyone

has

implemen ted

appr opria te

processes.

Samir Dosani: Thank s. Praveen Malik: Thank s, Samir . Next, we have Mr. Pravesh Kocher from FourLion Capit al. Pravesh? Pravesh Kocher: Hi, thank you for taking my ques tion. I just want to under stand if you could bring together wha t you talk

about

with

the

experts

rather

than

the

agents

into

a

sort

of

procur emen t

product

that

you

are

selling

to

some

of

the

non-BF SI

customer s?

Thank

you.
Arun Jain: Yes. So, in the procur emen t area, there are a lot of digit al experts specialising in areas such as vendor manag emen t,

vendor

qualific ation,

and

vendor

due

diligence.

We

have

experts

for

these

domains;

price

parity

agents

are

also

presen t,

as

well

as

other

digit al

experts

who

support

necessar y

procur emen t

documen tation

tasks.

In

terms

of

tender s

or

RFPs,

especially

when

large

RFP

analy sis

is

requir ed,

we

have

additional

experts

dedic ated

to

this

area

within

procur emen t.
Banesh Prabhu: Extraction, comparisons, everything are all handled by digit al agents for procur emen t activities. Pravesh Kochar: And how is the Knowledg e Garden created for such use cases? Arun Jain: The Enterprise Knowledg e Garden is founded on the compan y's policies and processes. Whene ver a
comparison

or

decision

is

made,

the

Knowledg e

Garden

ensur es

the

enforcemen t

of

all

relevant

knowledg e.

Specific ally,

it

is

a

part

of

the

broader

Enterprise

Knowledg e

Garden.

It

consis ts

of:

●

Product

Knowledg e

Garden

●

Talen t

Knowledg e

Garden

●

Customer

Knowledg e

Garden

●

Policies

and

Process

Knowledg e

Garden

Investors Meeting Transcript
Whene ver you are writing any use case, you need to ensur e compliance with the policies the compan y has

for

procur emen t

or

any

other

action,

whe ther

it's

human-r elated

policies

or

emplo yee

policies.

The

Knowledg e

Garden

is

the

baseline

from

wher e

all

the

knowledg e

emer ges.
Pravesh Kocher: And should we think about the value creation target in the non-BF SI, this procur emen t scenario as well, that

4x

to

5x

level

that

you

talk

about,

or

is

it

different

in

this

scenario?
Arun Jain: Wha t is 4x to 5x? Sorry. Pravesh Kocher: Wha t are the cost savings you can achie ve compar ed to the traditional method they migh t be using for
this

process?
Arun Jain: It will be 20%. I think the savings as of now are not fully quan tified. First of all, it's about effectiv eness, which

is

being

given

greater

consider ation

by

our

customer s,

like

with

GeM.

In

Phase

one

of

GeM,

which

we

iden tified

as

being

about

transpar ency

and

the

speed

at

which

you

can

do

the

procur emen t.

At

Stage

Two,

you

start

looking

at

the

cost

savings,

which

can

range

from

8%

to

15%

of

the

absolut e

procur emen t

price.

But

that

comes

in

Phase

two.

Phase

one

is

efficacy

and

transpar ency .
Pravesh Kocher: Under stood. Thank you, all the best. Praveen Malik: Ther e are two more, I think. Puranic is hands down again. Ther e is one repea t in case you want to take
it.

Susho van

from

Anand

Rathi

is

here

again.
Arun Jain: We will comple te it and close it. Praveen Malik: Susho van, please unmut e yourself. Susho van Nayak: I hope my voice is audible. Sir, just one ques tion, Sir, on the Palan tir thing that you had men tioned. So
Palan tir,

as

you

men tioned,

was

first

into

US

defence,

then

got

into

enterprise

AI,

and

then

gradually

it's

getting

into

BFSI.

While

the

way

you

are

going

or

evolving

is

that

you

have

been

very,

very

strong

in

BFSI

and

you

are

gradually

moving

towards

the

enterprise

AI,

by

which

I

mean

non-BF SI

enterprise

AI.

So,

in

the process of this, do you belie ve or do you envisag e that Palan tir may cannibalise you, and you obviously

did

men tion

that

Palan tir

being

so

big,

it

will

be

very

difficult

for

you

to

cannibalise

into

Palan tir,

right?

So,

I

just

wanted

to

get

your

though ts

on

this

evolution

as

such.
Arun Jain: Wha t is the exact ques tion? Will it be a difficult compe tition with Palan tir? Obviously , it will be. Susho van Nayak: No, so the other way around is wha t I was basic ally referring to: Palan tir getting into the BFSI part of the

AI

business,

right,

because

they

are

starting

to

get

into

that.

Arun Jain: The mark et is too big, Susho van. We are not looking for 100% mark et shar e; we are looking for 10% mark et

shar e,

which

is

good

enough

for

us.

We

can

coexist.

A

three-pla yer

mark et

can

coexist.

A three-pla yer mark et is a very good mark et to coexist in wher e we can compe te, win, and fight it out. Remaining in the top 3 in the enterprise AI space is a great celebr ation

for

Intellect.
Susho van Nayak: Thank you. That answers the ques tion. Praveen Malik: Mr. Tushar Verma from Big Shot Investmen t. Tushar , are you there? Tushar Verma: I just need one clarity on your guidance. Like you said, the AI-based revenue by the end of this year will
be

around

■

200

Cr.

So,

is

this

new

AI

Purple

Fabric

only,

or

will

it

include

some

other

AI

revenue

as

well?

And

is

this

■

200

Cr

for

the

whole

year

or

a

per-quart er

figur e?
Arun Jain: No, it's for the whole year. Everything is Purple Fabric; every AI is Purple Fabric. Ther e's no other thing called

AI.

Thank

you!
Tushar Verma: Thank you, Sir. Arun Jain: Thank you.

Praveen Malik: Thank you, Tushar . Thank you, everybody , for joining us today. In case you have any other ques tions, please

write

to

us

and

we

will

reply

on

the

same.

Thank

you.
Note: This transcrip t has been edited for readability and does not purport to be a verba tim record of the proceedings

Call: Nov 2025

IDAL/2025 -26/SE/43 November 05, 2025

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on October 31, 2025 on the unaudited financial results for the quarter and half year ended September 30, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Q2 FY 2025-26

Investor Earnings Call Transcrip t
Nachu Nagappan: Good evening, everyone. I’m Nachu Nagappan, Head of Corporate Communications at Intellect Design Arena.

It

is

my

pleasure

to

welcome

you

all

to

our

investor

call

for

the

second
quarter
of
fiscal
year
2025-26,
ending
30th
September
2025.
Thank
you
for
joining
us
and
for
your
continued
interest
in
the
company.
We
are
delighted
to
have
you
with
us
as
we

take

you

through

another

quarter

of

progress

and

performance.
The investor presentation and press release have already been shared with you and are available on our website.

During

the

call

today,

our

leadership

team

will

walk

you

through

the

highlights

of

the

quarter,

covering

our

financial

performance,

business

momentum,

and

strategic priorities, and will then take your questions.
We have with us today: Mr. Arun Jain, Chairman and Managing Director Mr. Manish Maakan, CEO of Intellect Wholesale Banking Mr. Rajesh Saxena, CEO of Intellect Consumer Banking Mr. Banesh Prabhu, CEO of IntellectAI Ms. Vasudha Subramaniam, Chief Financial Officer and Mr. Vikash Misra, Chief Strategy Officer. We are also joined by several senior members of the Intellect Management team. Before we begin, I would like to draw your attention to the Safe Harbour Statement. Certain statements made during this call may be forward-looking in nature. These

involve
known
and
unknown
risks
and
uncertainties
that
may
cause
actual
results
to
differ
materially
from
those
expressed
or
implied.
These
statements
should
be
read
in
conjunction
with
the
risks
detailed
in
our

filings

and

disclosures.
With that, I would now like to invite Ms. Vasudha Subramaniam, our CFO, to take you through the financial

performance

of

the

quarter.

Over

to

you,

Vasudha.
Vasudha Subramaniam: Thank you, Nachu. Good evening, everyone. Thank you for joining us on our Q2 earnings call. It's a pleasure

to

connect

with

all

of

you

again

and

walk

you

through

what

has

been

another

solid

quarter

for

Intellect,

a

quarter that reflects not only our momentum in topline and profitability but also the underlying strength of our platform-led strategy, business model maturity, and consistent execution.

Q2 FY 2025-26

Let me begin by sharing the highlights of our second quarter and then move on to a composite view of our half-year performance.

In Q2, Intellect delivered revenue of 789 crore, registering a year-on-year growth of 34 percent. On a sequential basis, we grew 7 percent over Q1. Our EBITDA for the quarter stood at 184 crore, growing 68 percent year-on-year. Net profit almost doubled, reaching 102 crore, a 94 percent year-on-year increase.

Our licence-linked revenue, which includes licence fees, platform, subscription, and annual maintenance, stood at 423

crore in Q2, up by 69 percent year-on-year. Our Annual Recurring Revenue crossed the 1,080 crore mark, establishing a strong and predictable foundation for future growth.
What is also noteworthy this quarter is our continued strength in collections and cash flow. Collections stood at 753 crore in Q2, up

from
550
crore
a
year
ago,
reflecting
a
37
percent
increase
year-on-year.
Our
cash
and
cash
equivalents
have
risen
to
927
crore
compared
to
755
crore
in
Q2
of
last
year,
highlighting
our

robust working capital management and improved operational efficiencies.
Now let's look at the half-year performance to understand the broader trajectory. For the first half of the current year, we recorded revenue of 1,523 crore, representing a 26 percent growth over the same period last year. EBITDA for the half-year stood at

360 crore, reflecting a 46 percent growth year-on-year, while PAT for H1 reached 197 crore, up 55 percent from 126 crore in H1 FY25.

This transformation in revenue quality is not just a numerical shift. It reflects a strategic evolution, creating value through sustained investments in product innovation, strong customer relationships, and prudent operational discipline.

Let me now speak about the accelerating growth we are witnessing with our two synergistic platforms, eMACH.ai and Purple Fabric. Together, they are powering enterprise-wide transformation at scale, enabling financial institutions to embrace intelligent, composable, and open architectures that deliver measurable business outcomes.

In Q2 of the current financial year, Intellect recorded 18 new deal wins, including 11 multi-million-dollar destiny

deals.

These

are

large

strategic

engagements

that

span

multiple

modules

and

represent

deep,

long-term

partnerships

with

some

of

the

world's

leading

banks

and

financial

institutions.

In

parallel,

we

enabled

22

successful

digital

transformations this quarter, validating not only the breadth of our offerings but also our delivery excellence.

Looking at the demand side, our global deal funnel has now crossed 12,000 crore. This represents both the depth of opportunity and the strategic nature of our engagements.

Leadership strength is a critical part

of our ability to scale and deepen client engagements. This quarter, we announced two significant leadership appointments that strengthen our global presence and growth momentum.

Q2 FY 2025-26

Vivek Gupta joined us as President and Global Head of Consulting. With over three decades of experience in global banking and large-scale transformation

programmes, Vivek will lead Intellect Consulting to help clients accelerate business value using our eMACH.ai and Purple Fabric platforms.
We also welcomed Rakesh Srivastava as President and Chief Revenue Officer for the Americas. With deep expertise across financial services and fintech, Rakesh will spearhead our growth and client

relationships across the US, Mexico, and South America.

I am also excited to share that we are investing in the creation of a state-of-the-art 7.25 lakh sq. ft. facility at our Siruseri campus, which will house the Purple Fabric AI Labs, Design Thinking Centers, eMACH.ai Academy, and residential infrastructure to support our leadership development

and

training

initiatives.

This

facility

is

not

just

a

space;

it

is

a

strategic

investment

in

IP

creation,

customer

co-innovation,

and

future-ready

talent.
In conclusion, this has been a strong quarter on all fronts: revenue, profitability, cash flow, and platform growth.

We

remain

confident

of

sustained

growth

in

the

second

half

of

the

year.

The

opportunity

landscape

is

expanding.

The

deal

funnel

is

strong.

Our

execution

machinery

is

battle-tested.

Our

platforms

are

proving

themselves

across

regions.
Thank you once again for your time today and for your continued belief in Intellect. So, you want to add anything,

or

can

we

open

for

questions?
Arun Jain: It is a good storyboard right now. What we have been talking to investors over a period of time is that we designed

for

20

percent

growth

year-on-year,

and

I

think

we

are

on

that

same

trajectory.

The

important

thing

that

has

happened

is

that

eMACH.ai

was

the

agenda

for

advanced

countries.

This

half

year, we have seen the Americas growing significantly faster than other regions.
So, the decision we took last April and May to move to advanced markets has worked out because eMACH.ai fits perfectly into the legacy modernisation space, where a lot of technologies are sitting with multiple mainframes and old systems.

Our entire investment in low-code, no-code Turmeric as a customer innovation platform, and Purple Fabric as the next area that is most usable in the Americas and Canada, is paying off.
This reflects what I mentioned in July 2024 that we are investing in the Americas and there would be a dip last

year.

To

investors,

I

just

want

to

say

that

all

the

decisions

we

are

making

are

calibrated

decisions.
We said we would be investing 130 crore in Purple Fabric, the business impact AI platform. In the last three

months,

I

have

met

more

than

a

hundred

different

people

during

masterclasses,

with

partners,

and

Q2 FY 2025-26

end customers. Our R&D teams have put together a business impact AI platform in terms of Enterprise Knowledge Garden, Digital Expert, Enterprise Governance, and LLM selection and optimisation, using it as an API has been very well received, which now requires new investments to be made.

Out of the 130 crore investment, we are close to 15 million dollars of investment this year. In these numbers you see,

almost

25

crore

is

Purple

Fabric

investment

already

taken

into

account.

Our

EBITDA

margin

would

have

been

better

by

3

to

3.25

percent

otherwise.

That

makes

it

close

to

about

25

percent,

which

is

the

guidance

we

gave

earlier

that

our

margins

will

be

close

to

25

percent.

So,

we

are

within

range

of

25

percent

in

spite

of

all

the

investments.
Thank you very much for participating and trusting the company. The entire management team is here to respond

to

your

questions.
Nachu Nagappan: Thank you, Vasudha, and thank you, Arun, for your detailed insights. We will now open the floor for questions.

If

you

would

like

to

ask

a

question,

please

click

on

the

raise

hand

button

and

we

will

unmute

you

so

everyone

can

hear

your

question.

I

repeat,

click

on

the

raise

hand

button

and

we

will

unmute

you.
Our first question comes from Rahul Jain of Dolat Capital. Rahul, you may ask your question. Rahul Jain: I hope I am audible. First of all, congratulations on very strong execution. I have a few questions on the
inputs

you

just

shared.
First, on the two hirings you mentioned, these are very interesting positions. Could you help us
understand

specifically

the

consulting-led

hiring?

Is

it

more

to

drive

a

new

capability

from

a

transformation

point

of

view

or

more

about

the

existing

support

we

provide

to

banks?
And similarly, on the other hiring, the Revenue Officer, is that around the Purple Fabric investment and monetising

it,

or

is

it

for

a

broader

revenue

stream

from

the

Americas?
Arun Jain: Okay. Your voice broke in between, so I'm just repeating your questions: What is the role of Consulting in our journey? And second, the growth in North America is that driven by Purple Fabric or otherwise?

Rahul Jain: Yes, just to clarify, my questions were specifically about the two hirings we announced. What is the role of

these

two

gentlemen,

from

a

consulting

reach

point

of

view and from the Chief Revenue Officer's perspective? Would that be pertaining to Purple Fabric or the overall Americas revenue?

Arun Jain: That's right. The Consulting role is because we are moving to the business impact transformation space. With eMACH.ai, we can measure impact by reducing cycle time, reducing implementation and operational

costs,

and

creating

business

impact

in

terms

of

revenue

generation.
The Consulting wing will help improve our pricing, strengthen business impact communication, and expand

eMACH.ai

across

organisations.

When

we

implement

one

product,

can

we

deliver

three

within

the

same

client

through

cross-sell?

That’s

the

role

Vivek Gupta will be playing.
Rakesh Srivastava, as Country Head for the US, will look after the full interest of Intellect in the region. Rahul Jain: Understood. And the 25 crore investment you mentioned was that pertaining to H1 data or only Q2? Arun Jain: Only Q2. The first quarter was 10 crore, as mentioned in the last call. Fifteen crore incremental has gone in this quarter. So, 15 crore incremental each quarter, targeting 130 crore overall.
Rahul Jain: Right. And in terms of payback on this investment or early signs of monetisation, have we identified any timeline by when proof of concept could convert into meaningful revenue?
Arun Jain: Not yet. The opportunity size is so big that we don’t want to monitor ROI on this yet. It’s the minimum we need to

do.
Rahul Jain: Understood. I appreciate that a product like this requires meaningful investment and long-term ROI. But the first meaningful revenue would that come in FY27, or could it start this year?
Arun Jain: We mentioned 200 crore in Purple Fabric last quarter will come this year, and we are on track for that. Rahul Jain: Okay. And these are currently in the pipeline stage but could move to revenue soon?

Q2 FY 2025-26

Arun Jain: No. Purple Fabric in the US has been working for the last few years. The insurance business, as you know, is already working on Purple Fabric in the underwriting space, so those revenues are already

in the pipeline.
Rahul Jain: Right, so the Xponent and Risk Analyst opportunities are there, but the Lending side opportunities are yet to enter revenues.
Arun Jain: Yes, there are many things. The Purple Fabric strategy we have shared with you in a separate session. Please refer to that as a platform, as lending, as GRC, as ESG, there are multiple ways of monetising Purple Fabric with partners. We are not

sharing

all

the

strategic

details

in

this

conference

call

as

they

are

confidential,

but

there

are

multiple

dimensions

to

the

Purple

Fabric

strategy.
Rahul Jain: Yes, and I must appreciate your team recently, we saw your stall at GFF, and it had the best set of collaterals

among

all

stalls.

Intellect

Design's

materials

on

eMACH.ai

and

Purple Fabric were very impressive and relevant for that forum. Kudos for that.
Just one last question from my side on the Capex you just announced. Is there any investment timeline identified for this infrastructure spend?
Arun Jain: We usually invest once in 10 years. This is an investment for the next 10 years, creating capacity for business impact co-creation with customers. We would like to invite global customers to come there,

design the solution, compose it themselves, and contextualise it. It has a residential facility of a hundred rooms for customers to stay. It's an executive facility.
This entire space is where AI business will be done in collaboration with customers. To us, AI is a very collaborative exercise with the customer. eMACH.ai is

a
collaborative
exercise
focused
on
business
impact.
That’s
why
the
US
piece,
Consulting
piece,
and
Infrastructure
piece,
all
three
are
coming
together
as
one
initiative.
When
we
created
the
business
plan,
all
three

were

approved

at

that

time.
Rahul Jain: Sure, thank you. That's it from my side. Arun Jain: Thank you, Rahul.

Q2 FY 2025-26

Nachu Nagappan: Thank you, Rahul. Our next question comes from Sushovan Nayak from Anand Rathi. Sushovan, please go

ahead.
Sushovan Nayak: Hi, is my voice audible? Thank you very much for the opportunity and congratulations on a good set of numbers.

I

just

wanted

to

understand

how

the

integration

of

C1

is

going

on.

I

believe

initially

when

it

was

novated,

the

contracts

were

not
very
profitable,
but
you
had
planned
to
leverage
the
eMACH.ai
platform
to
improve
profitability,
and
it
was
on
track.
If
you
could
just
give
us
a
little
more
colour
on
that,
it

would be helpful. Thank you.

Arun Jain: It's going on well. Rajesh can update you. Rajesh Saxena: Thank you for that question. The integration between C1 and the Intellect team is going as per plan.

During the last quarter, we mentioned that we have been able to sign up 35 credit unions to move from the erstwhile Forge platform to the new eMACH.ai

DEP platform. That's a significant movement because, within one quarter, we were able to sign 35 customers. The contracts have been signed, and over the next couple of quarters. It's going as planned,

and

we

have

a

target

to

grow

these

numbers

significantly

in

the

coming

quarters.
Sushovan Nayak: And anything on the margins? When do you think they will be in line with the company's present margins?

I

believe

the

addressable

market

is

170

credit

unions.

Any

timeline

you

are

looking

at

to

onboard

all

of them?

Rajesh Saxena: Yes, so the way we are looking at the credit union space, as you said, there is an opportunity of about 170 credit unions for the DEP platform. Beyond that, there are cross-sell and upsell opportunities like lending, commercial, and core banking solutions. So, the opportunity is not limited to DEP but

also

expands

through

upsell

and

cross-sell.

Regarding

margins,

I

will

defer

to

Vasudha.

Vasudha,

would

you

like

to

take

that

question?
Vasudha Subramaniam: We initially said it would be margin-dilutive, but we have made some margins in Q1 and Q2, so we expect

that

to

continue

in

the

coming

quarters,

and

it

might

increase

as Rajesh mentioned.

Sushovan Nayak: Is it fair to assume that this will be low single-digit margins as of now?

Arun Jain: Yes, you can assume that. Vikas Misra: Yes, as of now, that's correct. Sushovan Nayak: Thank you so much. Thanks a lot for the opportunity. Arun Jain: Look at the overall picture. Nachu Nagappan: Thank you, Sushovan. Let's take the next question in the queue. We have Deekshant Boolchandani from DB Wealth. Deekshant, you can ask your question.

Moderator: Deekshant, you are on mute. Nachu Nagappan: While we get Deekshant's line connected, we will move to the next person, Nemish Shah from MK Investment Management Limited. Nimish, you can start your question.

Nemish Shah: Thanks for the opportunity and congratulations on a good set of numbers. I just wanted some insight into how our partnerships with System Integrators are shaping up.

Could
you
share
a
little
on
that?
And
specifically
on
the
pipeline
front,
we
have
seen
strong
growth
with
the
pipeline
now
at
about
12,000
crore.
Could
you
share
how
much
of
that

is now coming from partnerships compared to a year back?
Arun Jain: The partnership strategy is working very well. We are now in advanced conversations with most of the players.

Most IT services and System Integrator players need an AI platform, and that’s the big opportunity. IT service players are under pressure today,

and

they

need

an

AI

platform

to

work

on.

That’s

exactly

what

we

are

providing.
Almost 10 to 12 IT service companies have gone through the bootcamp and are working with Purple Fabric.

Pipeline-wise,

the

pipeline

has

substantially

increased.

I

won’t

share

exact

numbers,

but

it

has

improved

significantly

over

the

last

year.

Purple

Fabric

has

become

a

major

contributor

to

the

pipeline,

besides

the

contribution

from

eMACH.ai.

Nemish Shah: Sure. That’s it from my side. Thank you. Nachu Nagappan: Thank you, Nimish. We have Mihir Manohar from Trust Mutual Fund for the next question. Mihir, over to
you.
Mihir Manohar: Hi, thanks for the opportunity and congratulations on a good set of numbers. I wanted to understand more

on

the

Purple

Fabric

side.

Specifically,

how

is

the

pipeline

building up on a quarter-on-quarter and year-on-year basis? Is it growing in double digits? Just wanted to understand that. Which geographies and types of customers are contributing to this pipeline?
Also, for the full year, we are targeting 200 crore of revenue. What would the revenue contribution from Purple Fabric be

for

H1?
Arun Jain: You are referring to 200 crore from Purple Fabric for this year, right? Mihir Manohar: Yes, that’s right. For H1, what would be the number for the first half? Arun Jain: We don’t declare product-wise numbers as a strategy. We never disclose product-level data. Mihir Manohar: Understood. I just wanted to understand whether Purple Fabric is a top-up offering or if it cannibalises
existing

offerings.

How

does

the

overall

business

work

for

Purple

Fabric

along

with

the

existing

products?
Arun Jain: I think it should attend a masterclass first, man. Purple Fabric masterclass to understand what AI is. It's a completely

different

line

of

business.

What

does

the

cannibalisation

mean?

So

sorry

to

be

slightly
harsh
on
this
call.
I
think
we
are
communicating
about
masterclass
on
Purple
Fabric.
It's
such
a
differentiated
product
against
Palantir.
It's
the
biggest
opportunity
investor
can
have
and
if
you
don't

understand

that,

it's

cannibalising

something

else.
I think we have a very serious issue as the investor to understand what your company has did It has
product

which

is

comparable

to

Palantir.

So,

you

should

study

Palantir

and

you

should

study

my

masterclass

which

is

available

on

YouTube,

to

understand

what

Purple

Fabric

is.

Mihir Manohar: Sure, I will do that. That’s it from my side. Arun Jain: Because your company has done a job. You should be proud of some Indian company to do something
for

business

Impact

AI,

which

is

as

good

as

Palantir,

which

is

a

400

billion

dollar

market

cap

company.
Mihir Manohar: Absolutely, sir. That’s it from my side. Nachu Nagappan: Our next question comes from Vivek Kumar of BestPals Advisory LLP. Vivek, over to you. Vivek Kumar: Thank you, sir. Thank you for the opportunity. Can you give an outlook product-wise? I’m not asking for
revenue

breakdown,

but

normally

we

get

an

outlook

about

core

banking

and

GTB,

and

the

trends

playing

out.

Not

numbers,

but

for

the

next

two

to

three

years,

what

is

driving

growth

and

where

do

you

see

it?

Earlier

you

had

mentioned

three

areas,

and

now

we

have

Purple

Fabric.

You

have

already

shared

enough

on

that,

so

I’m

asking

about

the

other

products.
Arun Jain: I think that what is outlook wise, you look at it, the core banking migration is the biggest space we shared

with

you.

We

won

the

deal

in

core

banking

migration

using

eMACH.ai.

So,

that's

the

one

space

where

the

growth

opportunities

are

there,

which

Rajesh

has

mentioned,

the

Credit

Union

of

170

members

we

can

go

into

core

banking

and

lending

as

a

cross-sell

opportunities.

They

are

not

only

digital

engagement

opportunity,

but

core

banking

and

lending

can

go

on

the

same

Credit

Union

on

the

market

space

after

DEP.

So,

there's

a

next

two,

three

years,

we

have

a

clear

visibility

of

core

banking

migration

branching

into

that.

Manish

can

give

wholesale

banking

and

payments

and

liquidity.

There

are

three

lines

of

business,

which

wholesale

banking

is

coming

out

with

foreign

banks

they

are

expanding

into

the

global

landscape.

Wholesale

banking

is

becoming

equally

important,

along

with

liquidity

and

the

payment

systems,

which

is

there.
So, we won the large payment deals in this quarter against global competition. On the payment side, our Pay9

architecture

is

very

unique

over

there.

The
three
platforms
such
as
liquidity,
payments,
and
wholesale
banking.
Then
fifth
platform
is
Wealth.
Wealth
with
SBI
and
Kotak
running
on
the
Wealth,
it
has
become
solid
product,
which
is
there,
which

we

are

looking

to

take

it

out

of

Asia,

to

Europe.
So, that's the same strategy which we followed for other products. We took core to India first. Then we take

core

into

Asia,

then

we

took

core

to

the

Europe.

Now

we

are

taking

core

to

the

Americas.

So,

this

route

is the same highway there. Highway comes from India, goes to Asia, and then goes to Europe and

then to Americas is our highway of taking products. So, these are five product lines, which are core product lines. The supplementary product lines are trade and supply chain, finance, another important line,

credit

card

is

another

line

which

we

are

looking

at,

to

transform

this

business.
And all these products are coming with the AI embedded inside it which creates us a differentiation
because

Purple

Fabric

is

embedded

in

all

the

products

and

creating

each

product

line

which

is

an

AI

embedded

product

line.

So,

that's

how

our

bullishness

on

our

pipeline

is

increasing

because

we

are

able

to

differentiate

where

the

product

comes

with

an

AI

built

in

eMACH.ai

built

in,

Turmeric

built

in,

which

my

competitors

have

not

invested

enough.

So,

we

have

a

sweet

spot

here.
Vivek Kumar: Thank you, Sir. And last question. So, can we say we are moving outside our 20% growth rate for the next two-three

years,

given

that

we

have

exceeded

so

many

things

and

because

it

looks

like

that

maybe,

I'm

reading

too

much.
Arun Jain: We are designed for 20%, we will design for 20%. We achieve higher or we achieve lower. So, you don't beat

us

when

we

are

growing

10%.

So,

it

will

always

happen

in

this

industry.

When

we

grow,

few

quarter

less,

few

quarter

higher,

this

is

we

stay

at

20%

design growth.

Vivek Kumar: So, can we take EBITDA margin around 22 to 23 percent for this year, even with the 130 crore investment coming in?

Arun Jain: There's no need to project specific numbers, but if 20 percent growth continues, EBITDA margin should improve further. In the first half, we had 26 percent revenue growth and 46 percent EBITDA growth. That should be a good indicator for you.

Vivek Kumar: Okay, thank you very much, sir. Nachu Nagappan: Thank you, Vivek. Moving on, our next question is from Sajal Kapoor, representing Antifragile Thinking.

Sajal, please go ahead.

Sajal Kapoor: Thank you for giving me this opportunity. Arun sir, what important insight about modern banking, insurance,

or

payments

do

we

understand

better

than

our

older

competitors?

Because

clearly,

we

have

beaten

many

of

the

incumbents

repeatedly.

Q2 FY 2025-26

Arun Jain: If you look at our site or my lectures, if you look at eMACH.ai, we have gone from Design Thinking, where we

understand

the

customer

desirability

better,

not

customer

desirability,

customers'

customer

desirability,
which
if
Manish
speak
for
a
few
minutes,
it
is
about
each
industry
segment
to
understand
that
customer
desirability.
Then
we
move
to
First
Principle
Thinking.
First
Principle
Thinking
is
why
bank

exists?

Because

event

exists

in

the

company.

So, we do fundamental shift in way we design our products than my competitors does it. I don't want to compare

with

Tesla,

but

the

point,

the

way

Tesla

has

challenged

the

starting

First

Principle

Thinking

they

applied

in

Tesla,

we

applied

in

banking

technology

saying,

event,

microservices,

API,

cloud,

headless,

and

AI,

the

six

first

principles

which

any

bank

will

require.

And

we

invested

all

the

money

around

making

that

perfect,

composable

and

contextual.

From last five years, you are hearing the same story. Initially, you are not understanding what is a composable

and

contextual.

It was mere labels when we put composable and contextual in 2020. It took five years for them to come to the reality and investment was there. So, the differentiation is Design Thinking,

First

Principle

Thinking

is

the

way

we

design

the

product.

And

that's

why

we

are

able

to

take

one

by

one

competition.

And we are not jumping all of it together. We are saying first, take one space, then take next space, then you

take

next

space,

and

then

take

the

leadership

there.

Manish,

you

want

to

add

to

this?
Manish Maakan: No, I think you have called it out. This is the differentiation we are driving from that perspective. I think we

should

stay

at

that.
Sajal Kapoor: Thank you. And my second and last question is, how is our R&D, you know, the processes, especially around

AI,

ML

and

eMACH.a

labs,

how

are

the

processes

explicitly

designed

to

sort

of

encourage

frequent

small

scale

or,

you

know,

quote

unquote,

safe

failures,

sort

of

trial

and

error

that

generate,

you

know,

immense

amount

of

economies

of

learning

without

jeopardising

the

company's

stability

or

spreading

any

systemic

risk,

because

we

have

to,

we

have

to

make

small

mistakes,

gain

significant

learning

as

a

result,

and

then

become

even

better

and

extrapolate

our

successes

into

other

domains,

hopefully.
Arun Jain: First time you are asking a very good question in investor call about R&D. Because I think our strength is R&D.

1200

research

engineers

are

working,

how

many

companies

have

1200

research

engineers,

given

a

freedom

of

working

together.

And

if

you

look

at

the

average

stint

in

the

company

is

so

phenomenal,

that

everybody

just

worked

like

a

team.

Research

engineers,

we

made

a

lot

of

mistakes.

It's

not

that

we

don't

make a mistake. I acknowledge in AI space from 2016, first three cycles, we didn't succeed 2016 to 2018, we

didn't

succeed,

2018

to

2020,

we

didn't

succeed.

It

takes

that

amount

of

resilience

for

research

team

to

work.

The

research

is

a

completely

new

paradigm

for

Indian

IT

industry,

that

how

the

research

is

to

be

conducted.

And I like your question that you are emphasising that component of research, which I was trying to highlight

for

quite

some

time,

but

our

investors

are

more

focused

on

returns

and
immediate
outcome.
Because
this
research
requires
five
to
seven
years,
kind
of
a
cycle
time
to
translate
the
research
into
the
business
outcome.
So
fortunately,
we
could
stay
with
our
course,
we

didn't

cut

down

our

AI

investments,

when

we

failed

in

2022.
We continue that investment and today we can get the benefit of it ahead of the industry where every IT service

company

require

a

platform

and

they

are

saying

oh

they

are

building

a

platform.

I have a doubt that they can build a platform because research is not their cup of tea. Sajal Kapoor: Absolutely. It’s a different DNA. The traditional Indian IT model has been about projects and maintenance,

not

building

IP.

It

takes

a

lot

of

courage

and

conviction

to

invest

in

your

own

IP

instead

of

working

on

someone

else’s.
Look at our balance sheet. I mean, that's that numbers speak louder than, you know, whatever narrative we

could

spin

around

it.

So

net

cash

balance

sheet

gives

us

a

lot

of

optionality

to

continue

to

innovate.

Yes, we will make mistakes in future as well. But, you know, think about, you know, two or three big successes

that

could

take

us

into

a

completely

different

orbit

and

eventually

we

will

get

there.

But

thank

you

for

all

those

responses.
Arun Jain: Thank you. Nachu Nagappan: Before we move to the next question, just a quick reminder. If you have a question, please click on the
raise

hand

button.

We

will call out your name and unmute you.

Let’s move to the next question. Pawan Katariya from BullsEye, you are up next. Please go ahead. Pawan Katariya: Good evening. Congratulations on another strong quarter. I have a follow-up question on margins. You had earlier guided for 27 to 28 percent margins, and I understand the 25 crore investment in Purple

Fabric this quarter was a deliberate strategic spend. Should we assume that this investment phase continues in H2, or do

we

expect

operating

leverage

to

bring

margins

back

near

27

to

28

percent?
Arun Jain: It’s time to invest more. I just came back from the US, where I spent two weeks. I made two trips, one in August

and

one

in

October.

Opportunity

is

humongous.

How

much

we

need

to

invest

is

a

question

right

now.

So

that

we

should

not

make

significant

error,

but

we

need

to

invest

more

and

more.

So,

margin

is

not

my

concern

right

now.

Margin

will

happen

anywhere.
Pawan Katariya: Okay, sir. Since Purple Fabric is now scaling commercially, could you quantify how much interest or how many

qualified

leads

it

has

generated?

What

portion

of

the

current

12,000

crore

funnel

is

linked

to

it?

I

attended

your

Purple

Fabric

masterclass

and

found

it

very

impressive,

so

just

wanted

to

know

how

much

of

the

funnel

is

tied

to

it.
Arun Jain: I won’t quantify it right now. Most of our product portfolio has Purple Fabric embedded within it. So if you

ask

me,

almost

70

percent

of

the

pipeline

has

Purple

Fabric

integrated

into

it.

If

I

look

at

it

separately,

partnership

pipeline

is

also

separate.

I

think

AI

is

everywhere

and

we

have

today,

just

to

share

it

with

you,

we

have

3,500

people

in

Intellect

using

Purple

Fabric.

We

have

9,000

agents

which

we

are

using

internally

for

our

own

efficiency

gains.

9,000

agents

in

last

six

months

they

have

created.
Pawan Katariya: That’s great, sir. Thank you. That’s it from my side. Nachu Nagappan: Thank you, Pawan. We will move on to the next question. Vipul Kumar Shah from Sumangal Investments,
please

go

ahead.
Vipul Kumar Shah: What will be the Capex? Arun Jain: Twenty million dollars. That’s the Capex. Vipul Kumar Shah: It will be spread over what time frame?

Arun Jain: Twenty million dollars per year. We’ve been spending that amount on Capex investment over the last
few

years.
Vipul Kumar Shah: Okay. And for the 1,200 research engineers, what is our annual outgo? Arun Jain: In this quarter, R&D expenses, along with Capex, amount to about 20 million dollars. Vasudha Subramaniam: For the first half, it’s less than 10 million dollars. Arun Jain: But that 10 million dollars is capitalised. Vasudha Subramaniam: Yes, 10 million dollars capitalised. Arun Jain: So, total investment on research is? Vasudha Subramaniam: It’s about 55 crore in the first quarter and 60 crore in the second quarter, so around 105 crore. Arun Jain: That’s the R&D investment? Vasudha Subramaniam: Yes, that’s R&D investment, plus Capex. Arun Jain: So, adding it all up, it’s close to 200 crore in the first half. Two hundred crore is our R&D investment for
H1.
Vipul Kumar Shah: Okay. Thank you, sir.

Nachu Nagappan: Thank you. We have a follow-up question from Sushovan Nayak of Anand Rathi. Sushovan, please go ahead.
Sushovan Nayak: Thank you so much for the opportunity again. I have had the privilege of attending most of your masterclasses

on

Purple

Fabric.

I

wanted

to

understand

if
you
could
at
least
provide
a
directional
view.
When
I
look
at
Foundry
for
Palantir
or
C3.ai,
can
you
quantify
what
the
addressable
market
might
be?
And
internally,
you
would
have
some

plans. How much of that market do you aim to capture, given that you have articulated 200 crore for this year? It would be great to understand your perspective here.

Arun Jain: So, Purple Fabric, we are looking for IT services player to look at it first. They should implement. We are looking for at

least
100
partners
to
be
there
across
the
globe
as
IT
services
partners.
For
every
country,
we
are
looking
for
some
10
to
15
partners.
We
want
to
select
who
will
be
using

Purple

Fabric

for

their

internal

use

like

Intellect

is

using,

which

we

call

it

Purple

Fabric

Tech.

Then,

they

will

take

to

their

clients.

So,

our

client,

our

partnership

with

some

of

the

larger
IT
service
company,
who
has
500
to
1,000
clients
are
there.
That
will
be
the
second
space.
So,
to
reach
our
access
to
Purple
Fabric
by
direct
salesforce,
we
can
reach
to,

let's

say,

500

clients.
Sushovan Nayak: Any quantification in terms of revenue or overall addressable market, if you could provide some direction?
Arun Jain: I mentioned in one of the masterclasses that the opportunity size is between 1,000 crore and 5,000 crore.
Sushovan Nayak: Yes, I remember that. Thanks for the answer. Arun Jain: Just one point to add, Sushovan. The AI business opportunity of 1,000 to 5,000 crore also carries risk. It’s
changing

every

day.

One

of

the

points

is,

it's

a

highly

volatile

market,

the

speed

at

which

we

are

able

to

get

it

adopted.

That

will

be
the
important
point
for
all
of
us.
So,
don't
take
it,
take
it
with
a
pinch
of
salt
of
5,000
Cr
number.
But
opportunity
size
of
TAM
is
a
5,000
Cr,
which

we

believe

is

possible.

If

things

are

going

in

the

right

direction.

But

anything

can

happen

in

AI

space.

Q2 FY 2025-26

Nachu Nagappan: Thanks for the update, Arun. Our next question comes from Srinivasu K from TIA. Srinivasu, please go ahead.

Srinivasu K: Hello, sir. Congratulations on the great Q2 numbers. My first question is about India’s DPDP Act and data localisation.

You

already

have

the

Purple

Fabric

Cloud

in

GIFT

City,

which

mandates

hosting.

What

kind

of

opportunity

does

this

create

for

Intellect?
Arun Jain: GIFT City is only one means of doing it. So, I'm saying the biggest opportunity is North America and Europe.

Okay,

next.

I

think

he

has

dropped

off.
Srinivasu K: Okay. So, you don't see much. Arun Jain: It's there. India is there. But I think GIFT City is only means to reach out to other people. But not
necessary

the

GIFT

City

is

one

component

of

it.

I'm

not

saying

it's

there

or

not

there.

I'm

not

want

to

undermine

it.

But

it's

just

one

component

of

it.

There

are

10

components

of

Purple

Fabric.

GIFT

City

is

one

of

them.
Srinivasu K: That’s fine. But being an Indian software company, do you see a big opportunity arising from the DPDP Act?
Arun Jain: You mean the Data Privacy Act? Yes. It should have. It is evolved. This is too early to say anything. We need

to

test

it

out.

Data

Privacy

Act.

How

much

the

act

is

applicable?

What

situation

bank

will

use

DPDP?

So,

we

are

just

evaluating.

It's

too

early

to

say

anything

on

it.
Srinivasu K: Okay. My next question is about the deals you won in Q2 be it we won in payments, treasury, or trade.
Do

these

eMACH.ai

wins

sit

above

the

incumbent

course?
Arun Jain: These are full payment transformation deals. Manish, do you want to elaborate? Manish Maakan: Sir, your voice wasn't clear, but I will take it from here.

Q2 FY 2025-26

Srinivasu K: The question is, out of the Q2 deal wins that you won, how many wins this eMACH.ai sit above your competitor

course?

Be

it

Temenos,

Oracle

and

Finacle
Manish Makan: These have been all fought in the global landscape for against each of these players. Like Arun spoke about

the

large

payments'

transformation

deal.

These

are

the

common

players

we

are

winning

against.

And

these

are

very

significant

deals

from

that

perspective.
Srinivasu K: Okay. How many eMACH.ai customers have adopted Purple Fabric as an AI layer in these deals? Manish Maakan: That next-level data is something we are not sharing right now. Srinivasu K: Alright. Let me ask differently. When banks pick up core plus componentised modules, what unique
differentiation

does

your

Purple

Fabric

or

eMACH.ai

offer

as

an

AI

workflow

layer,

compared

to

a

hyperscaler

tool

chain?
Manish Maakan: Let me answer that differently. Purple Fabric is embedded into eMACH.ai for example, in core banking, lending,

or

payments.

It's

an

embedded
capability,
but
it
can
also
sit
outside,
on
top
of
Temenos,
Oracle,
or
Finastra.
So,
from
our
configuration
specific
to
these
product
segments,
it
can
sit,
it
is
embedded
in
our
platform

and

it

can

sit

on

top

of

anything.

So,

our

opportunity

and

then

it's

a

licensing

capability

of

what

the

customer

is

licensed

for.

That

should

help

you

understand

where

we

are.
Srinivasu K: Okay. My last question is about global orchestration players like ServiceNow and PEGA, who are all talking

about

agentic

workflows.

How

is

your

iTurmeric

placed

to

capture

this

trend?
Arun Jain: We have not launched iTurmeric against VPN. That's the area which we can launch in 2026-27. Still, we are

using

iTurmeric

only

to

solve

our

own

customer

problem,

not

as

a

product

against

PEGA.

But

Turmeric

and

Purple

Fabric

is

a

very

lethal

combination.

When

we

are

ready

to

launch,

we

will

launch

it

over

there.

From

an

investor

perspective,

you

need

to

look

at

it.
My 1000 Cr is the cash in the books, but I have a 10,000 Cr of IP asset, which I can leverage at any point of

time

to

go

to

market

in
different
construct.
So,
that's
the
role
of
an
IP
company,
which
we
have
built
over
a
period
of
time
that
iTurmeric
will
build
up.
We
are
patiently
looking
at
it.
We
have

more
than
300

customers are working on Turmeric as of now, but we have not launched it. When we have capacity to
launch,
maybe
in
June
‘26
or
January
‘27,
that
is
the
time
when
we
will
take
up
Purple
Fabric
against
PEGA
and
against
ServiceNow.

Srinivasu K: Thank you, sir. Best of luck for H2. Nachu Nagappan: Appreciate your questions, Srinivasu. Moving on, we have another re-raised question from Deekshant
Boolchandani
from
DB
Wealth.

Deekshant,

you

can

ask

your

question.
Deekshant Boolchandani: Hi, sir. Firstly, congratulations on the solid numbers. And moreover, congratulations to Intellect that we
are

now

competing

with

someone

like

Palantir.

As

an

Indian,

I'm

proud

of

my

company.

It's

a

slightly

long

question,

please

helpp

me

here.
So, I see that underwriting really appears to be a major challenge across finance overall, of whichever geography

that

we

are

looking

at.

And

from

my

understanding,

the

Purple

Fabric

layer

that

we

have

created

now

can

really,

you

know,

revolutionise

it

with

a

better

cost

optimisation.
Again, that's my limited understanding, sir. I would love to hear from you. So, you have mentioned platforms

like

Palantir,

and

they

do

some

Enterprise

Intelligence

in

depth.

So,

I'm

curious

how

Purple

Fabric

would

compare

to

some

US

companies

like

Affirm,

which

really

excels

in

real-time

risk

assessment

and

management

for

their

credit

lending.

And

how

can

we,

you

know,

like

create

a

better

credit

layer

of

assessment

of

underwriting

so

that

that

layer

can

be

an

agentic

workflow

for

all

these

people

so

that

a

lot

of

their

OpEX

gets

saved

up

and

which

becomes

our

margin.
Arun Jain: Banesh, you can take this one. Banesh Prabhu: Yeah, it's an interesting question. So, let me try and explain this to you. See, the underwriting capability
was

one

of

the

early

investments

we

did

in

AI.

The

ability

to

orchestrate

underwriting

all

the

way

from

the

submission

from

a

customer,

we've

done

it

a

lot

in

insurance,

but

we're

also

doing

it

in

lending

and

other

areas,

where

you

could

basically

take

a

submission

of

documents

and

have

the

digital

experts,

which
have
the
agentic
capability
to
be
able
to
work
on
that
underwriting,
validate
some
of
that
information,
firstly
extract
it,
validate
it
with
data
that
is
there
within
our
Knowledge
Gardens,
and

our

Knowledge

Gardens

brings

in

data

from

market

sources.

And

then

the

ability

for

us

to

take

this

decision

through

digital

experts

on

underwriting

and

provide

the

human

an

ability

to

do

it

faster and more

efficiently and accurately is really the end-to-end embedding of Purple Fabric into the underwriting process.
You know, Manish mentioned, you know, and some of you all asked the question about the investment in Purple Fabric.

The investment in Purple Fabric is actually the investment in AI, and no company today cannot invest in AI because it helps you internally in your own

businesses,

it

improves

the

product,

and

it

brings

you

the

ability

to

bring

the

agentic

solutions

together

to

get

better

business

impact

outcome,

which

is

why

our

platform

is

called

the

Open

Business
Impact
Platform.
Because
you
have
to
use
the
agents
to
orchestrate
end-to-end
solutions
for
our
customer
using
AI.
It
is
not
a
layer
that
it
works
along,
it
connects
and
works
along

with eMACH.ai. It's not like a layer of eMACH.ai or something. It's partly these agents are embedded into eMACH.ai solutions we have, and at the same time they connect to many other solutions clients

have

for

the

digital

expert

to

work

efficiently.

And

that's

really

the

orchestration.
Deekshant Boolchandani: Okay, just two follow-ups. First, at some point, the workflows will become standardised for many insurance, finance or BNPL
players.

And

at

that

point

of

time,

then

cost

really

becomes

the

main

constraint,

right?

For

them,

like

if

we

are

able

to

do

it

at

a

better

optimised

cost,

then

the

other

party,

they

would

want

to

stick

with

us.

Also, the whole problem of like going from one player to other. So, what kind of stickiness do we expect our

sort

of

total

solution

to

have?

Because

once

someone

has

integrated

with

us,

I'm

thinking

that

stickiness

should

be

high,

right?
Banesh Prabhu: No, is your question to do with stickiness? Is your question to do with cost? Deekshant Boolchandani: Aren't those two related? Banesh Prabhu: Not exactly. So, a customer can stay with you and actually continues to, because this is not a one-time
activity,

underwriting

and

improving

the

digital

agents

is

a

regular

maintenance,

because

you

have

new

data,

you

have

new

systems.

So, the ability for the agent to continuously improve underwriting for you is part of the process. Like in any system we use, the end-to-end underwriting has to get more efficient. And then finally,

you

have

to

take

the

credit

risk

decision.
You can get inputs to do it faster and quicker, but the final decision for each bank or institution is how much

they

want

to

lend

and

what

is

the

risk

reward

they

want

to

do.

The

AI

only

helps

you

with

much

superior knowledge to be able to take those decisions more efficiently. And the agent actually helps you do

that.
Arun Jain: Let me add to that, Banesh. Let me explain. I think people are not understanding AI, a lot of us are understanding

in

AI

world,

say

AI

is

agentic.

AI

is

not

agentic;

AI

has

changed

the

world.

It's

a

new

way

of

working

in

this

world

where

every

manager

has

to

work

AI augmentation. In your job as an analyst or as an investor, how many places you are using AI for a serious issue rather than a chat GPT as a conversational agent. It's

a

way

of,

new

way

of

working

in

this

era

and

people

are

not

realising

it.
When we have 9,000 agents in Intellect, it's not that they are creating operational excellence or they are doing

a

part

and

parcel

of

their

day-to-day

work

they

are

thinking

like

that.

So,

in

next

three

years,

the

AI

will

change

the

entire

way,

the

way

a

lot

of

businesses

which

you

are

evaluating

today

will

change

dramatically

differently

in

next

three

years.

We

are

undermining

the

power

of AI as the agentic power.
Deekshant Boolchandani: I understand, sir, and I really appreciate that perspective. But let's say that someone like Anthropic or Claude, if they are creating similar financial workflows, how can we then be more competent there? Like let's say three-five years on the line.
Arun Jain: Please attend the masterclasses. Deekshant Boolchandani: Sure, I will, sir. Thank you so much. Nachu Nagappan: Next question, please. Parag Bharambe, you can proceed. Parag Bharambe: I have been invested in Intellect as well as Polaris and have been tracking the company closely for almost 20 to

25 years. The energy you bring is amazing, so thank you.
My question is about the SI contracts we signed last year in Q2 and Q3 with companies like HCLTech and others.

I know it takes a few quarters for those to materialise. Could you give us an update on how they are progressing and how you see the SI strategy evolving over the next two to three years?

Arun Jain: SI will be the way to grow. The Purple Fabric SI’s will take us to their customers. They don't have options. To me, many of the SI’s don't have a platform to which they can deliver AI to their customers.

brings a complete platform with enterprise governance, LLM optimisation. Either they have to choose Palantir or they have to choose Intellect or they have to choose C3.ai.

So, we are one of the three options available to SI to take to the market. So, the investment we have made in a partnership over the last two years is playing well for the coming years.

How

much

it

worked

out,

the

determination

of

the

packet

between

1000

Cr

to

5000

Cr,

that

is

a

kind

of

a

bandwidth

which

partner

will

define

us.
Parag Bharambe: And are you getting, well, are you signing some contract coming through that route nowadays or still too early?
Arun Jain: That's right. They are coming closer.. Parag Bharambe: Okay. And the next question is, like, our cash and cash balance is almost touching 1000 crore. It's quite
different

from

the

COVID

days

when

we

were

barely

making

profit

and

most

of

the

questions

in

the

conference

call

were

‘when

are

you

going

to

make

profit?’

So,

from

that

stage

to

where

1000

crore

is,

it's

a

commendable

achievement.
Now, I think you probably have got a critical mass. How do you look to utilise this cash and cash balance, which

is

there

and

which

is

likely

to

grow

even

further

now?

Arun Jain: As of now, I think we need a lot of investments in AI, the market capital investment. So, I think this much cash

is

anyway

required

for

us

to

look

at

it.

It's

a

one

quarter

cash.

So,
the
numbers
are
touching
close
to
800
Cr,
789
Cr
is
a
quarterly
number.
So,
a
company
will
require
at
least
six
months
of
the
revenue
as
a
cash
in
the
company

books

to

have

a

proper

risk

management

practice.

So, I think we are still short of. The simple principle is six months revenue should be cash in the company
books

as

a

risk

management

practice.

Today

we

have

close

to

four-and-a-half-month

cash

in

the

books.
Parag Bharambe: And I think last quarter or maybe quarter before that you hinted a transaction, you hinted investment
like

some

portion

of

your

profit

you

would

be

investing in CBC kind of activity. What is your thought process on it? Would you like to increase that number given our financial position now taking in more bets?

Arun Jain: We are not getting distracted. We have a clear focus on eMACH.ai strategy to go forward in the market. Parag Bharambe: Okay, good luck. Thank you. Thank you very much, sir. Good luck for the next part. Arun Jain: Just last one question. It is six o'clock. Nachu Nagappan: So, the last question, the last question comes from Pravesh Kochar of FourLion Capital. Pravesh, you can go ahead.

Pravesh Kochar: Hi, sir. And thank you for taking my question. Hypothetically, if you were to operate at 10% margin, right, instead

of

25

and

invested

in

either

R&D

or

doing

free

implementation

for

your

pipeline

customers,

by

how

much

could

you

accelerate

your

revenue

or

conversion

of

that

pipeline?

Thank

you.

Arun Jain: Using two years, but they are more investors who want more than 10%. So, we need to play with the

whole
marketplace.
So
as
a
CEO,
it's
a
ball
to
play
on.
I
think
we
need
to
increase
our
sales
team
substantially.
We
have
increased;
we
have
salary
costs
have
gone
up
now

and

say

SG&A

cost

is

going

up.

In

next

two

quarters,

we

will

be

investing

more

in

sales

costs

so

that

the

investment

will

be

making.

I cannot predict what will happen to the immediate outcome because AI is still in the early stage of people

to

understand.

It's

like

internet

era

of
'97.
A
lot
of
hype
is
there,
but
there
are
many
players
out
there
which
are
saying
Anthropic
can
do
this
and
this
can
do
this.
All
of
it
is
there.
If

you

can

take

the

right

space

of

Palantir

and

Purple

Fabric,

I

think

that

can

be

of

different

fortune,

which

can

happen.

But it's not going to happen by more investment. It will happen with the right adoption of the platform by

certain

key

customers.

And

many

variables

are

there

still

keeping

us

awake

at

night,

on

Purple

Fabric,

what

opportunities

it

can

throw

at

us,

whether

we

are

able

to

capture

all

the

balls

which

are

in

the

air.

Pravesh Kochar: Thank you. Nachu Nagappan: Thank you, Pravesh.

Q2 FY 2025-26

That concludes our Q&A session for today. Thank you, everyone, for joining today's call and for your insightful

questions.

If

you

have

any

additional

queries,

please

feel

free

to

reach

out

to

us

and

we

would

be

happy

to

respond.

We

appreciate

your

continued

interest

in

Intellect

and

look

forward

to

connecting

again

next quarter. Thank you and have a great evening.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

IDAL/2025-26/SE/79 February 6, 2026

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on January 30, 2026 on the unaudited financial results for the quarter ended December 31, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Q3 FY 2025 -26

Investor Earnings Call Transcript

Praveen Malik
Greetings and Welcome Everyone!
Thank you for joining us today to discuss the Intellect Design Arena Limited's financial results for the 3rd quarter of the fiscal year 2025 -26 ending December 31st, 2025. The Investor Presentation and the Press Release have been sent to all of you and are available on our website.
Our leadership team is present on the call to discuss the results.
Our chairman, Mr. Arun Jain, will not attend this call because he is in transit to attend a family exigency.
We have with us today

- Mr. Manish Maakan, Executive President, Group Chief Revenue Officer, and CEO of Wholesale Banking.
- Mr. Rajesh Saxena, CEO of Consumer Banking
- Mr. Banesh Prabhu, CEO of IntellectAI
- Ms. Vasudha Subramaniam, Chief Financial Officer, &
- Mr. Vikash Mishra, Chief Strategy Officer

Besides, some other senior members of the Intellect Management team are also present in the call.
Now, I hand it over to Vasudha to take you through the results. This will be followed by a commentary on the business by Manish Maakan, and further followed by Q&A session where your questions would be answered by our management team.
Once the Q&A starts, you can ask a question by clicking on the "raise your hand" button. We will unmute you so that everybody is able to listen you.
Safe Harbour Statement - I would like to remind you that anything we say, which refers to our outlook for the future, is a forward -looking statement. This must be read in conjunction with the risk that the company faces.
With this, I request Vasudha to give us a briefing. Over to you, Vasudha.
Vasudha Subramaniam:
Thank you, Praveen. Good evening, everyone. And thank you for joining us on Intellect Design Arena Limited's Q3 earnings call. It's a pleasure to speak to you today as we share our performance for the third quarter of the financial year. So, before I get i nto the quarter, I would like to begin with the last

12 months' performance because we believe that the LTM view best reflects the true direction and health of our business. I'm pleased to share that for the first time in our history, Intellect's LTM total income has crossed ■3,000 Crs., reaching ■3,025 Crs. and representing a 23% year -on-year growth. This milestone is not just a scale maker but is the outcome of a deliberate, well -architected growth strategy that has been executed consistently over the las t decade.

Q3 FY 2025 -26

Platform revenue for the LTM stood at ■497 Crs. compared to ■218 Crs. in the previous years, showcasing a strong 128% year -on-year growth. License -linked revenue grew to ■1,595 Crs. compared to ■1,163 Crs. in LTM as of Q3 '25, delivering a robust 37% year -on-year growth.

Our annual recurring revenue stood at ■1,118 Crs. in the LTM, compared to ■700 Crs. a year ago; representing a strong 60% year -on-year growth. EBITDA for the last 12 months stood at ■709 Crs. compared to ■534 Crs. in LTM as of Q3 '25, showcasing a 33% year -on-year growth.

PBT for the last 12 mont

hs grew 34% over the previous period. Our cash position as of December '25
was ■1,198 Crs. compared to ■804 Crs. as of December '24, delivering a 49% year -on-year growth. The strong improvement in collections also contributed meani ngfully to strengthening our balance sheet and liquidity position.

Beyond the financial metrics, the LTM period also highlights the depth of market traction and execution capability that Intellect has built. Over the last 12 months, 53 new customers have chosen Intellect's digital stack for their transformation journeys. In parallel, we have successfully enabled 82 digital transformations, wherein global financial institutions went live on our products and platforms.

This LTM performance is the foundation on which our quarterly execution rests and it gives us strong confidence as we continue to scale responsibly and sustainably. Our performance is anchored on three scale business engines, each built over successive gro wth cycles and now supported by an emerging fourth engine.

#1 The first and most mature engine is Wholesale Banking, which we initiated as a scale engine in 2015. Today, Wholesale Banking contributes around ■1,400 Crs. to our LTM revenues.

#2 The second engine is Consumer Banking, which became our next growth focus from 2018 onwards. This now contributes close to ■1,000 Crs. in LTM revenues.

#3 The third engine is IntellectAI, which includes wealth and insurance in our AI -led platforms. This engine was deliberately seeded from 2021 onwards and has already scaled to ■500 Crs. in LTM revenue.

#4 From 2024 onwards, we have begun building a fourth growth engine Purple Fabric, our Open Business Impact AI Platform. Over the coming years, this will become a powerful multiplier for Intellect's next phase of growth.

#5 Finally, our growth over the last 12 months has been supported by deliberate investments in leadership and institutional capabilities. 27 senior leaders have joined Intellect during the last 12 months. These additions strengthen our global consulting de livery product and go -to-market capabilities.

In a key leadership move, Manish Maakan has been elevated to Executive President and the Group Chief Revenue Officer, while continuing in his role as the CEO of Intellect Wholesale Banking. This step brings sharper alignment across product strategy, sales execution and revenue ownership at an enterprise level. We are also pleased to announce that the Board of Directors have approved the appointment of Mr D. Shivakumar as an additional director designated as an independent director based on the recommendatio n of the NRCC.

Mr Shivakumar is a respected business leader with extensive experience across Indian and global organisations. He is currently an Operating Partner at Advent International, a global private equity firm. He has previously served as the Group Executive Presi dent at Aditya Birla Group, the Chairperson and CEO of PepsiCo India, and the CEO of Emerging Markets at Nokia. An alumnus of IIT Madras, IIM

Q3 FY 2025 -26

Calcutta and the Wharton School, he brings a wealth of strategy and governance insight to our board. His appointment for a five -year term is subject to shareholder approval via postal ballot.

Now, let me turn to the financial performance for Q3. Total income for the quarter stood at ■753 Crs. reflecting a 21% year -on-year growth. License -linked revenue, which is the platform plus license plus AMC for the quarter stood at ■391 Crs. growing 34% y ear-on-year. On profitability, EBITDA for Q3 was ■122 Crs. translating to a margin of 16%. Profit after tax stood at ■28 Crs., impacted by a one - time gratuity provision of ■30.84 Crs. on account of the new labour code and the resultant deferred tax of ■7. 8 Crs. Collections for Q3 stood at ■913 Crs. compared to ■553 Crs. in Q3 as of full year '25; up by 65% year -on-year. eMACH.ai continues to power composable transformation across banking domains, enablin

g clients to modernise at speed while maintaining con trol and predictability.

Purple Fabric, our Open Business Impact AI platform, is increasingly embedded into live production environments. During the quarter, 14 new value discovery partners joined the Purple Fabric ecosystem, expanding our reach across AI -led risk underwriting, cl aims collections and payments use

cases. Together, these platforms are enabling clients to move beyond digitisation into intelligent, explainable, and outcome -driven transformation.
On the market recognition front, we are proud to share that Time Magazine has recognised our Chairman and Managing Director, Arun Jain, as one of the global growth architects; a rare and prestigious distinction that recognises leaders building for long -term value, in a world obsessed with quarterly outcomes. In addition to this global media recognition, Intellect has received strong analyst validation this quarter. Datos Insights awarded our Transaction Limits Management Solution, the Gold Medal for Innovat ion and Operational Efficiency in their Commercial Banking and Payments Impact Awards.
Euromoney named Intellect the world's best Transaction Banking Software Provider 2025, including best in Cash Management and best Corporate Channels. Gartner acknowledged eMACH.ai Core Banking as a Visionary in the Magic Quadrant for Retail Core Banking Sy stems, Europe. IDC MarketScape identified Intellect's Corporate Loan Lifecycle Management System as a leader in its worldwide vendor assessment for 2025 and many more. Together, these recognitions reflect the depth, breadth and relevance of our platforms a cross Core Banking, including Risk, Complaints, and Transaction Banking in AI -led business intelligence.
To summarise, Q3 represents a quarter of structural progress for Intellect. We crossed ■3,000 Crs. in LTM revenue anchored on three scale engines and an emerging fourth. We delivered robust cash flows and balance sheet strength, and we continue to execute large -scale transformations with consistency and discipline. As we move into the final quarter of the year, we do so with confidence backed by a strong portfolio, resilient cash flows and a repeatable growth engine design for the long term.
Thank you for your continued trust and support.
Over to you, Manish.
Manish Maakan:
Thanks, Vasudha for a detailed commentary. Good evening, everyone and thanks for attending this investor call. Let me try and summarise some of the things which Vasudha talked about into five strategic themes which we are focused on. I think an LTM growth of crossing ■3,000 Crs. in this quarter is really proud moment for all of us and I'm sure we will be equally proud for all of you being part of this journey.
Q3 FY 2025 -26
A 23% revenue growth, 33% EBITDA growth, 49% additional cash generation; I think we are ticking all the right critical parameters and clearly shows that the investment we have been putting in is well - orchestrated and is delivering the right results for us. Let me briefly talk about the five salient themes that explain how this growth algorithm works.
#1 I think the first one which is we believe is our technology moat, eMACH.ai
At the core of our model is eMACH.ai or AI -first composable platform, architected for scale, reuse and continuous evolution; which is consistently being demonstrated with the wins and our ability to execute quicker and faster. I think we are proud that we have built this system with AI first as an objective across the lifecycle rather than induce it or put a bolt on, on top of it while some of my peers are doing that same thing. This composability is driving faster time to value and helping us get better rates and a platform stickiness from us.
#2 The second pillar I want to focus upon is multiple engines like what Vasudha called out are working in one flywheel and everyone's been able to witness the same. Wholesale Banking, which I was
fort

unate to initiate and lead from 2015, has crossed ■1,400 Crs. and has been a consistent growth engine. It's a mature cash generating engine focused on long -cycle transformation programs with the largest Tier 1 banks.
I think our second pillar, Consumer Bankin,g which we started in 2018 is now scaling up very proudly and has crossed the ■1,000 Crs. mark. It is becoming the powerhouse for digital and new -age core banking; which banks are looking at. This has the robustne ss and the depth of capabilities and is not just a framework.
I think I want to call our youngest platform, Wealth and Insurance, which is solely anchored around AI, a focus started 2021 and has now also now crossed ■500 Crs. LTM. All three of them share the same AI -first platform backbone Purple Fabric, allowing the reuse of capability, intelligence and operating leverage across the organisation.
#3 The third engine is our markets. Revenue is better tested in the world's most demanding financial hubs with 62% of our revenue coming from advanced markets and is also well distributed across the Americas, Europe, Middle East, APAC, and India; avoiding any geographic concentration in any place. Success in this high bar economies validates project maturity, regulatory robustness and delivery predictability at the same time. I think this is well set for India, APAC and Africa, along with the faster - growing economies, who are followers, to be able to adapt to all of this.
#4 Our success with tier one banks across multiple geographies has created a strong global brand. This result gives us the in against the regional volatility and it's no more a noise for us. I think the fourth dimension which is now the next growth frontie r which we are embedding into our platform as well as looking at for scale is around mainframe to cloud migration and enterprise AI versus Purple Fabric. In this last quarter, we have signed one large global system integrator for our AI proposition is taki ng

out to the market as well as 14 value discovery partners to evangelise and help us take this to more clients across the board.

On momentum we are in advance discussion with a global mainframe infrastructure leader to jointly transition monolithic banks to eMACH.ai based architectures from the mainframe architecture. These are not just adjacent bits. These are natural extensions of the same platform eMACH.ai.

#5 I think the fifth thing which is in summary is the downside protection or a risk absorption designed by Intellect. No single geography, customer or product line can materially impair our performance.

Revenue is distributed across multiple buyers, regulators and decision cycle. Execution risk is reduced through platform reuse standardisation and delivery industrialisation.

So, in closing so this is not being opportunistic. This is all about engineered growth built from first principle and powered by AI first platform. This is the essence of our growth by design and that's why Intellect is a unique asset sufficiently de -risk by a matured diversified portfolio. Yet poised for growth through AI leadership and advanced market dominance. Thank you for listening and I will pass it back to Praveen for Q&A.

Praveen Malik :

Thanks, Manish. Now the platform is open for the Q&A. Please click on “raise hand” in case you want to ask a question

First, we have Mr. Garvit Goyal from Serena Alpha. I think he's not there.

Next, we have Mr. Mihir Manohar from Trust Mutual Fund. Mihir, please ask your question.

Mihir Manohar:

Yeah, thanks for giving the opportunity and congratulations on crossing the ■3,000 Crs. mark and ■3,000 Crs. LTM number. So, congratulations for that. I largely wanted to understand on the Claude side. I mean, you know there is a lot of talks. The Anthropi c AI Claude is getting into the US -BFSI side. Not on the core operations, but yes, middle office, back office and also on the insurance under

writing

process. If you can provide some clarity over here as. How is Anthropic Cloud AI becoming a competition? So how to understand this?

Manish Maakan:

Banesh, you want to maybe take this?

Banesh Prabhu:

Yeah. So, you know, there is obviously different LLMs continuously upgrading in the market and I think we basically utilize for our Purple Fabric platform has the ability to optimize the right LLM that a customer needs for each use case. So, you know, we a re not really, we don't believe that they are really our competition in that sense because we orchestrate financial services AI -First products end to end for our customers and we optimize the right LLM. So, LLMs will continue to improve as we sort of as th e Purple Fabric platform is only a consumer of these LLMs.

So, I think we are not really concerned and we are not finding that they are actually coming and occupying a place where Purple Fabric is placed. The other thing I wanted to state is that a lot of them are focused right now in the assistant area, where, we actually have digital experts, which is on the agentic side of multiple agents working together to make use cases more successful for customers in the agentic side we still believe our full stack, which, you know, you're all fully aware of it, you know, both what we call the Knowledge Garden where we vectorize data for multiple data sources.

We have digital experts that work on that data, but we have the optimization hub, which is quite unique because the user continuously needs to ensure that the digital experts is using the best LLMs to achieve their objective of outcomes for the customers. And I think fundamentally the big difference between us is not just orchestrating use cases, but orchestrating multiple use cases for our customers. And therefore, the fourth part of the Purple Fabric stack is really the governance part of Purple Fabric. And we're seeing more and more governments paying a lot of attention to ensuring that we follow an

ethical AI standard, which ensures that we can actually manage to govern different digital experts in a way in which we can get the best performance from them.

So, to answer your question, I think, you know, they will definitely be competition. There'll be definitely different people doing things, but the combination of what we bring along with our leadership in financial services products makes most of up eMACH platforms today completely AI native and AI first. So, I know hope that answers the question.

Mihir Manohar:

Absolutely. I mean, it is very difficult to displace CBS that's the core of the part. The second question was on the Purple Fabric. What would be the Purple Fabric revenue for nine months? Because for full year, we were looking at 200 Crs. kind of a number . Some clarity around that will be helpful.

Manish Maakan:

Mihir, we are on track for what we are forecasting for the 200 Crs. number. I think we're reasonably confident of coming close to that number for the year.

Mihir Manohar:

Sure, understood. And last question was on the SG&A side. I see SG&A Q -O-Q there is some increase. So, I mean, any hiring around the foreign geographies, any incremental differential hiring on foreign

geographies?
Manish Maakan:
I think Vasudha shared that we have been investing for distribution for the market in a planned way of what we had planned for. That's also evident in the growth we are seeing. So, it's a planned capacity addition.
Mihir Manohar:
Sure. That's it from my side. Thank you very much.
Praveen Malik :
Thanks, Mihir. Next, we have Mr. Jitendra Aggrawal from Relax Capital.
Jitendra Aggrawal:
Yes. Hi. Good evening. I'm sorry. I don't have a question, but it is an observation. So, if you look at your shares that were outstanding at a corporate level, right? We were in December 2020. We had about 13 crore 26 lakh 64 thousand shares outstanding. B y December 2025, t

hat number has increased to
13 core 93 lakh 15 thousand. So, there's about a 5% dilution in a period of about five years. You look at our market caps somewhere about ■12,500 to ■13,000 Crs. That's a float of anywhere about ■500 to ■600 Cr s. in the market just because of ESOPs.
And if you actually look at the promoter shareholding, right, that has also gone down in that period by almost the same percentage. We seem to be very comfortable in terms of our cash balance. Given the way the business is doing, it seems that in the fores eeable future, also the cash generation should be good. My request or suggestion would be that instead of paying it out as dividends, can you please consider buy back internally? That's it from me. Thank you.

Praveen Malik :
Thanks, Jatinder. Next, we have Mr. Rahul Jain from Dolat Capital.
Rahul Jain:
#1 Yeah, I hope my line is okay. My question was related to the fourth pillar point that Manish articulated. If you could elaborate more, what I could understand was about building the SI ecosystem. So, if you could go deeper into that thought.
#2 Secondly, on the similar line, since we have built roughly ■1,400 Crs. of GTB business. Does that mean it would at that scale, you may see a significant SI contribution, or we are still not that point, a lot of deep in the size
Manish Maakan:
No, Rahul, thanks for the question. On the fourth pillar, what I'm talking about is I think we've been talking about Purple Fabric and getting partnership development. So, we have now finally executing it with one of the largest global system integrators. And we taking this out to the customer other than that, we have also signed 14 value discovery partners across the globe to take Purple Fabric out. That was the first piece of it where we were doing the work for last two quarters which you are aware. In the last quarter, we were additionally now tied up with an infrastructure leader which is focused on mainframes so that we can help transition mainframe loads to eMACH cloud loads.
Banks are looking for solutions. That's where a composability of a solution. It's not a rip or replace, it's not just pick up the load and deploy somewhere else. We've done multiple mainframes to cloud migrations. And we see this as a natural alliance wher eby working together, we can take it forward.
Your third question around wholesale banking, touching ■1400 Crs. and where we're already working with publicly, we've shared along with Accenture in some of the implementations and I'm continuing to grow along with our multiple other partners where the la rge transformations we can take along.
We are doing big scale wholesale banking transformation. We have got core, lending, payments, the full corporate stack and we've got a couple of other SI partners already working around them. We'll hopefully announce some of these partnerships also publicly.
Rahul Jain:
Sure. Manish, when we say about the mainframe infrastructure player, are you referring to something like the IBM's of the world who would have that core infrastructure and they may also need some application to do the workload shift?
Manish Maakan:
Yeah, this partner supports quite a bit of mainframe infrastructure at this stage. I want to keep it there. Significantly large.
Rahul Jain:
But these are the SI guys or these are the mainframe guys?
Manish Maakan:
They focus on mainframe support significantly.

Rahul Jain:
Understood. Thanks for that colour. And just last bit from my side, that the growth in this quarter in particular was not pretty exciting. Our investment in terms of marketing and go -to-market has been

pretty strong. So, is it just like one off quarter in between where we are seeing this kind of a dip or it's more of some kind of an economic factor that you're seeing in the market causing slower ramp up in particular markets. And with those thoughts, how you see you kn

ow, current year or Q4 panning up?
Manish Maakan:
No, so Rahul, the key thing is we've said we have designed for a 20% growth company on LTM basis right now we're demonstrating that we're not from quarter to quarter. We had said at the beginning of the year that we have to stay above ■700 Crs. First three quarters we have stayed above ■700 Crs. Now is about in between Q4 and Q1. How do we go above ■800 Crs. revenue? That's what all of us as leadership team are working. So, that's a very nice momentum from that perspective cumulatively if you look at. See, I don't want a pressure of signing a deal in distress because I have a quarter ending. We're building a robust business. Sometimes quarters are not what we look at. The yearly is where we are committed to demonstrate performance and I think and we said mea suring at an absolute level, I'll stay above ■700 Crs. and in the next two quarters see how between Q4 and Q1 how we can go above ■800 Crs. revenue. So, we're all working towards that. I'm still confident of the thing.
Rahul Jain:
Okay. Thanks for that colour. Thanks a lot, Manish.
Praveen Malik :
Thanks Rahul. Next, we have Mr. Rohit Balakrishnan from ‘ithought PMS’. Rohit, please ask your question.
Rohit Balakrishnan:
Yeah, hi. Good evening, everybody.
So, we had I think talked about these accelerated investments in Q3 and Q4. So, if it may be, I think if my memories are right, we had talked about around ■40 to ■45 Crs. in Q3 and another, I think the similar number in Q4 in terms of market investments to wards both Purple Fabric and eMACH.ai. So, maybe we can just call out what the number was in this quarter and what do you think would be the number in Q4? That was one.
And the second question was, so we saw license revenue come down, you know, ■100 Crs. after almost six -seven quarters. I know this is very lumpy. So, anything you want to call out in terms of the delay that is happening and are there any deals which sort o f spell through this quarter or we'll get covered up in the next quarter? Anything you want to call out. And I have one more question which maybe we can answer that and I'll ask the next question.
Manish Maakan:
Rohit, I’ll go reverse order. I think like I said, please don't ask which quarter ■100 Crs. more? LTM basis consistently remains focused. We are showing good results. I think it's a proud moment to be above ■3,000 Crs. from that perspective on a run rate basis. And we driving towards we said we will stay above ■700 Crs. mark. We have remained above ■700 Crs. mark. I'm already saying that we targeting in the next two quarters to cross the ■800 Crs. mark. That speaks of everything of what you wanted to ask.
Q3 FY 2025 -26
#2 From your second question's perspective. Could you repeat your first question on the cost side? I think the cost is primarily around the three dimensions. Vasudha can give color to the absolute numbers. It's around Purple Fabric. It's around bit of dis tribution plus given what I am seeing in coming in the next two quarters we've also invested right now on our delivery execution capability side because we need to be ready and we need to have these people not being joining the day before one or two quarte rs before we make that investment on the delivery side so that these are the three elements of where the cost has gone up.
Vasudha Subramaniam:
Yeah. Just to add last quarter we said we made an incremental investment of ■15 Crs. and similarly this quarter also we have made similar investments between ■10 to ■15 Crs. That's an incremental investment this quarter.
Rohit Balakrishnan:
Got it. Manish, I think just from the LTM point of view I think we had said that will be despite all these investments will be at 20% kind of margins adjusted for these investments. I mean after these investments. So, do we still hold on to that number for this financial year FY26?
Manish Maakan:
I think look at consist

ent ■700 Crs. and investing towards ■800 Crs. Those are very positive metrics
the quarter don't look at quarter on quarter look at you know.
Rohit Balakrishnan:
No, no. I'm asking for the entire year not looking at this quarter asset but I'm saying for the entire year. I’m not looking at the quarter as such.
Vasudha Subramaniam:
Manish let me answer. So, like Manish said it's always better to look at LTM performance and if you look at our LTM EBITDA, it has fetched us about 23.8%. So, going by that yes, we are very highly hopeful

that we'll also end up in a similar number as we cl ose this financial year.
Rohit Balakrishnan:
Got it and last question was on the US expansion. So, any qualitative commentary when you shouldn't give like how are you seeing this calendar year or next financial year in terms of the growth there. We were expecting very high growth for this year as wel l so maybe you can comment how the US has been for this year and how do expect next year.
Manish Maakan:
I think I want to maybe just quantitatively share one more forward thing I think across North America I'm not far from start touching ■1,000 Crs. revenue. It's been a good North America growth for us this year that's why we across Canada and US we are inve sting. Some parts of execution happens out of Toronto some happens out of New York. Purple Fabric has been helping us grow significantly. Payments has our Liquidity and CTX platform was a growth platform. Payments is where we are now making multiple breakt hroughs so we investing over there. Corporate Core is something which we have been winning over there so if you see multiple levers are firing over there. So, we are happy that with PF also we now expanding our distribution across multiple hubs.

Rajesh Saxena:
And if I can just add in Canada we are also seeing significant growth in credit union space both in our digital engagement platform as well as now we're just also getting some success in our loan lending platforms. So, we are able to cross sell into the sa me segment.
Rohit Balakrishnan:
Got it. I have one more question but I'll join back in queue.
Praveen Malik :
Thanks Rohit. Next, we have Mr. Vivek Kumar from BestPals Research. Vivek, please ask your question.
Vivek Kumar:
Thank you, Manish Ji, just if you can throw qualitative light on are you facing tailwinds or headwinds in terms of if you… Three quarters back Arun was explaining about sales cycle being long and in next two three quarters we will convert a lot of deals so can you like qualitative outlook on like different revenue streams that you have violated in your presentations like consumer, GTB, GCB and AI and Wealth. If you can talk in terms of tailwinds and advance so that and also anyway and even given all these t hings you are still confident on 20% growth on an LTM basis, right?
You can talk about tailwinds and elements because what are the tailwinds… which are the products which are like really having lots of tailwinds because that would give us more qualitative picture on… if you can give us.
Manish Maakan:
I think the multiple products under each of this wholesale banking, consumer banking, wealth insurance which are now getting scaled so which is good news for us. It's not just firing on one or two products or one or two lines of business. Clear evidence we have shared with you ■500 Crs, ■1,000 Crs. and ■1,400 Crs. So, that is helping us a balanced portfolio approach helps us to deal with any market volatility. I think that's why we continue to say we've designed for 20%. This balanced portfolio approach acr oss markets and across product lines is helping us manage it.
Our technology mote is the big differentiator out which I'm most proud of with eMACH.ai, I am able to grow the size of the deals also with this because what people see is this is a desired architecture state where everyone would want to be from the composa bility an

d the scalability and resilience
perspective.
And bank after bank the largest tier ones consistently signing is just giving us that confidence. There are always headwinds of you hear the noise of politics and different things we got to deal with that. That's what we design business for.
So, there's nothing right now material of headwinds or material tailwinds. I think a balanced growth is I'm feeling good and confident.
Vivek Kumar:
So, we are feeling good about 20% growth on a yearly basis I'm not talking about quarterly…

Manish Maakan:
That's what we are designed for that's what we are looking at the goal is how quickly with next quarter or the following quarter how do I cross ■800 Crs. revenue and then run it for three four quarters there and then look at ■900 Crs. This ■100 Crs., consi stent growth in three to four quarters if you can drive it, I think that's the evidence.
Vivek Kumar:
Because three years back we were very confident on quantum central banking so just any… Mr. Rajesh any outlook on quantum as a product central banking?
Rajesh Saxena:
Sure! I think as you are aware that we are the… only company which has a core banking for central

banks right and this comes from our legacy of RBI because we run the central banking for Reserve Bank of India. So, as you know if you look at the TAM of this market is limited because there are only that many central banks and there are a couple of opportunities that we are chasing with central banking but it will always be a limited market by the design as compared to let's say a core banking, etc. But we con tinue to be the market leaders in this market and we continue to be consistently rated in T1 as T1 in this space and we are as we speak in a couple of opportunities with large central banks.
Vivek Kumar:
And small suggestion… like what Jitendra Aggrawal has said your equity dilution because now we are generating cash and you're already sitting on close to ■1,200 Crs., cash I think you can suggest Mr. Arun a strategy to consider buyback because there's a l ot of you almost one percent is entering free float every year right.
Manish Makan:
We'll record your comment.
Vivek Kumar:
Thank you, Manish.
Praveen Malik :
Thanks, Vivek. Then we have next, Mr. Pavan Kataria, Mr. Pavan Kataria from Bullseye.
Pavan Kataria:
So, as Mr. Manish said, we saw sharp Q3 compression in the margins, right? So, can we, so, Mr. Manish already broke it down, but how much are we heading back to 20 -25% margins for the year? Given that margins for Q3 have been odd of 15%.
Manish Maakan:
Pavan, that's what Vasudha just now also confirmed that we're driving towards 20% plus margin for the full year. We've done it in LTM basis for the last 12. So, for the financial year also, that's what we're driving towards. That's where the balanced inves tment is there. We're not going aggressive. We're not shying away from right investments when we see opportunity.

Pavan Kataria:
Okay, sir. And, sir, another question. In the last, in the last Conference call, Arun sir said, we have, we are striving towards 25% margins, right? So, do we see that happening somewhere in FY27?
Manish Maakan:
I think if you go back, study some of the peer companies. It's about getting to scale at ■3,000 Crs. the profitability is X, at ■4,000 Crs. it moves to Y, at ■5,000 Crs.,. So, it's about, I think we should all be looking towards consistent and more growth and right investments to balance to drive that growth. I think that's most important. It is, it's naturally going to come. The leverage keeps coming as the more license comes in.
Pavan Kataria:
Got it, sir. Thank you, sir. That’s all from my side.
Praveen Malik :
Thanks Pavan, next, we have Mr. N G N Puranik, I think he has dropped. then next we have Ms. C.A. Vansh Hand. Ms. Vansh Handa from Invest Analytics.
Vansh Handa:
Hi, am I auditable So, I

have a question. Like, I noticed the cost escalations apart from the exceptional items during Quarter 3 that appears to have impacted overall profitability. So, could you help us to understand that what are the key drivers behind t hat increase in cost? And also, like, this is not clarified in any of the presentation or management commentary. Can you help me with that?
Vikash Mishra:
Ms. Vasudha, what is cost escalation?
Vasudha Subramaniam:
Okay, one. If you're talking about the exceptional items, sorry, if I have got your question, right. That is related to the gratuity provision. The one -time provision that we have considered in our books on account of the new labour code. And that's about ■31 Crs. And also, there is a resultant deferred tax that we have considered for about ■8 Crs. So, that has pulled our PAT down by close to ■24 Crs.
Vansh Handa:
I’m not just talking about these exceptional items. But if you look before profit before exceptional item also, it has impacted from ■900 million to like ■671 million this quarter.
Vikas Mishra:
So, what just to add to what was Vasudha is saying and what Manish also eluded too. See, if you look at the current quarter, there has been significant investments in terms of capacity building. Whether it is capacity building from a sales and marketing pe rspective or capacity building in anticipation of the deals we are planning to close in the, in the current and the next quarter. So, that is primarily the reason for us for a cost to go up.
Vansh Handa:
Okay, sir. Thanks

Praveen Malik :

Thanks, Vansh. Next, we have Prem Doshi from ACE Securities. Prem Doshi.

Prem Doshi:

So, I have two questions. One is that in particular for this quarter as we have already discussed that some of the cost escalations were there and for some other reasons the profit was muted, right? So, what we are looking at what is are we looking to close the quarter as you said was close the year that ■3,00 0 Crs. plus that you have already guided for the financial year. So, my question is actually for the next financial year. After we cross it ■3,000 Crs. in terms of revenue and we maintain a 20% margin, are we looking at on such a high base to continue goin g at 20% for the next fiscal or you expect some modulation in the guidance for the next fiscal in that case.

Manish Maakan:

Prem, I will stay away from guidance on next financial year. We very simply get to ■800 Crs. Then we'll stay there a few quarters and then get to ■900 Crs. We are building the business ■100 Crs. at a time. And right now, we feel good about what we are doin g. So, from a guidance, I'll stay away.

Prem Doshi:

Okay. Okay. And sir, earlier we have led up stuff that we want to position ourselves. Like the top AI company such as Palantir, right? So, how is the plan panning has the management satisfied with how the Overall positioning that we are doing in the AI spa ce. Like are you personally satisfied with how the segment for us is moving towards?

Manish Maakan:

I think we had said upfront that we're going to drive towards the ■200 Crs. revenue on this. So, from that perspective, if you look at are you satisfied? Are you headed towards that? I think we are in the right direction. We are consistently amongst the to p three players along with Palantir. So, that's not a concern right now.

Prem Doshi:

Right. Thank you so much.

Praveen Malik :

Thanks, Prem. Next, we have Keshav Sureka from Niveshaay. Keshav Sureka from Niveshaay.

Keshav Sureka:

Hello. I think my question was already answered. Thank you. Okay. Thank you.

Praveen Malik :

Thank you. Next, we have Mr. Krish Jain from NAFA Asset Managers.

Krish Jain:

Thank you for taking my question. So, my question is regarding Purple Fabric. So, what I can see from the presentation is that your LTM revenue from operations is ■2,919 Crs. Out of that wholesale, retail and AI business put together i

s around ■2,900 Crs. Am I correct in understanding that Purple Fabric in

the last 12 months has contributed only ■19 Crs. And since you've reiterated that you are on track to hit ■200 Crs. this financial year to understand how is that possible in the next three months.

Manish Maakan:

Now, Purple Fabric is embedded across the businesses on wealth, insurance and everything. Looking at like that, when we look at segmented Purple Fabric, that's where we are saying we are good for ■200 Crs.

Krish Jain:

Okay. Got it. So, next question is you mentioned Palantir and C3.ai as our main competitors for Purple Fabric. Are we still sticking to that or do you see any new competitors, you know entering this space?

Manish Maakan:

Banesh, do you want to help in this, please?

Banesh Prabhu:

Yeah. I mean, you know, I think Palantir and C3.ai are the fundamental main competitors the way we see it. There will be lots of noise with small players coming and doing cases in different areas. But when you actually look at end to end orchestration and enterprise level AI deployment, I think those two would be our primary sort of competitors when we look at orchestrating different type of used cases. And what Manish mentioned is that a lot of our existing products also have moved to AI first. So, a lot o f the Purple Fabric capabilities of orchestrating AI is getting embedded into everything we do. So, I think frankly, you know, other than those two, there are various other, you know, people we run across but we haven't found somebody who orchestrates end to end use cases the way, you know, anybody other than those two.

Krish Jain:

Okay, squeezing in the last question regarding CentralOne, the acquisition that happened a few months back. So, they are still reporting revenues in the digital banking segment and then mentioned there's a transition period as well as the reporting losses. So, my question is how long is this transition period and what are the losses we are bearing in the business that we've taken off from CentralOne and how are we going to make it profitable.

Vasudha Subramaniam:
We are already making profit on CentralOne , the single digit profit that we are making. In fact, initially we said it's going to be margin neutral, but we are making some profits out of it.
Krish Jain:
Sir, and how long is the transition period?
Vikash Mishra:
What do you mean by transition period, Krish? Are you talking about transition from to our digital engagement platform?
Krish Jain:
No, I am taking this from CentralOne's quarterly report actually in their Q3, it's calendar year Q3 which is our Q2 of the financial year. They have reported $4.5 million Canadian dollars as non -interest

income, so revenue. And they mentioned revenue has gone down because the business is being transitioned to Intellect.
Vikash Mishra:
Yeah, Rajesh, please answer that.
Rajesh Saxena:
So, Krish, let me just explain this to you. So, what we did was we acquired Forge business from CentralOne which is the digital business from them. That business as Vasudha confirmed is already giving us a single digit margin business. Initially, we had sa id it would be margin neutral, but we are actually seeing a single digit margin business. Now, CentralOne is providing us some support. For example, they are the cloud infrastructure on what this Forge business works on is still provided by Central One for which we are paying them a certain cost. That is what they are showing it. Otherwise, the business is completely transitioned into Intellect. I hope that helps to explain your query.
Krish Jain:
Yeah, that helps. Thank you for taking my question.
Praveen Malik :
Thanks, Krish. Next, we have Mr. Kushal Goenka. Mr. Kushal Goenka from Mangal Keshav Financial.
Kushal Goenka:
Sir, my question was on the gross profit margin. Like, I'm not trying to analyse quarter -on-quarter, or year

-on-year basis, but I just want to understand that if we offer more say specialized products like Purple Fabric integrated to our other services. So , shouldn't our gross profit margin should increase because I think so. We saw around 300 basis point blip quarter on quarter and year on year also. So, just wanted your thoughts on the same.
Vasudha Subramaniam:
No, that that is already happening in addition to that as Manish had mentioned in the beginning. We are also capacitising so we are also building capacity in anticipation of the work to be completed in the coming quarters and that's why you are seeing some dip over there.
Kushal Goenka:
So, Madam, if you can just allude what exactly are the item line in the gross profit then. Then so isn't that the people… Doesn’t it come under the EBITDA part?
Vasudha Subramaniam:
No, no, see for computing the gross margin, the cost that we consider are those which are directly attributable to the projects. Okay, so and also people sometimes work on you know proof of concept and proof of delivery and those costs are also build part of those SDE cost and that's how you compute your gross margins.
Kushal Goenka:
Okay, so if I may ask in another way, so like what can be a sustainable at least a gross margin basis I'm not going to the EBITDA part, but like 54% I guess this year.

Vasudha Subramaniam:
If you if you look at our trend maybe again in the last 12 months and then even in the previous last 12 months it was hovering around 57%.
Kushal Goenka:
Okay, so we can expect at least we come back to 57% from the 54%?
Vasudha Subramaniam:
Yes.
Kushal Goenka:
Okay. Okay, thanks
Praveen Malik :
Thanks, Kushal. Next, we have Mr. Ravi Mehta. Mr. Ravi Mehta from One up. Please ask your question.
Ravi Mehta:
I just wanted to check. You mentioned that you know this quarter that was an incremental investment of ■15 Crs. If you can help us, you know split in which headline items it was being split whether it was software development, SG&A. Because I'm just trying to see how the impact i s playing out on EBITDA

on gross margin just to understand how the normalized course can be.
Vasudha Subramaniam:
I don't think so we need to get into that level of nitty -gritty. So, anyway the amount is not that much for a ■15 Crs. value to go to that level.
Ravi Mehta:
So, is it in SG&A is what I want to understand so.
Vasudha Subramaniam:
Yeah, predominantly in SG&A that you can see and we also had some global events this quarter which also contributed to the increase in SG&A cost. The way some partner commission which got included. So, the investments mostly went into SG&A some bit of it a lso into product development.
Ravi Mehta:
No, it's reflecting in SG&A. I just thought that will confirm it.
Praveen Malik :
Thanks, Ravi. Then we have Mr. Dhruv Shah. Mr. Dhruv Shah from Ambika FinCap.
Dhruv Shah:
Hello. Manish, I have two questions. One is we won eight deal this quarter which is lowest in eight quarters. Is there something to read into it or is that a seasonality?
Manish Maakan:
I'm not reading too much into it.

Dhruv Shah:
Because it's the lowest in eight quarters that's why it came up. Because we just launched Purple Fabric and we have done a lot of investment that's why it popped up that that's the lowest in eight quarters.
Manish Maakan:
It is from a count it is low but I am right now not concerned like I said Dhruv. I'm looking at crossing ■800 Crs. and it’s one or two quarters away.
Dhruv Shah:
So, Manish, did we see that going forward? Will we be chasing larger amount destiny deals compared to low ticket size and that's why the deal wins will be lower going ahead?
Manish Maakan:
No, it's a very good fairly balanced mix. One thing good is happening is getting more of the large big deals also we are playing in there. See with Purple Fabric w

hat will happen is they will start small. But
suddenly they will start showing big results in Year 2, Year3, three as the consumption grows. So, that's a consumption -based business.
Dhruv Shah:
Right. And my second question is on the Press Release we did last week on adding 14 value discovery partners. Are this mainly SI’s or are they distributors for Purple Fabric?
Manish Maakan:
These are smaller techno mid -size technology companies, which we are helping to take us forward.
Dhruv Shah:
Okay, understood. Great. Thank you so much.
Manish Maakan:
There are people with 300, 400 people who really are entrenched in one or two different banks. So, leverage that relationship and capacity gives them an opportunity to grow. And it's in a connected field so.
Dhruv Shah:
Fair enough. Okay. Thanks.
Praveen Malik :
Thanks, Dhruv. Next, we have Mr. Pranay Jain from Banyan tree advisors. Pranay, please ask you question.
Pranay Jain:
So, one question I had on Purple Fabric. Whenever we are going to our clients whenever we are trying to close deals. What has been the key differentiating factor for us in terms of client adopting something that is fresh in the market? So that would be my first question. And then I have a couple of smaller questions.

Manish Maakan:
Banesh, can you help on this?
Banesh Prabhu:
We've been having a lot of discussions with different clients. I think our key differentiation as I said earlier is the ability for us to be able to help the customer achieve business impact. There's been a lot of, there's been a lot of work that people ha ve done using the ChatGPTs and assistants and Copilots. But when it comes to business impact, a lot of what we can orchestrate at end -to-end journeys actually help the customer either improve their cost and productivity or improve their revenue or their

customer experience.
You know, or fundamentally, a lot of our customers in certain markets in wealth and other areas also focus a lot on compliance and regulatory stuff. So, what we're seeing is the ability to understand the leadership and the thought leadership in particular lines of business and actually achieve business impact for them. Clearly, that is something that in 2025, a lot of people, you know, believe has not been achieved so much, which is where our platform positions ourselves best to do. And I think we are seein g that as something that's attracting a lot of attention. You know, we must remember that AI is still at an early stage of adoption in the agentic and the digital experts' space. And therefore, adoption will take time, but actually when we run these pilots , they can actually start seeing business impact and we have a lot of customers we've already been doing that for because we started earlier with, you know, insurance and certain product lines here.
Pranay Jain:
Got it. That's helpful. The second question that I have is whenever we are doing large destiny deals, are they typically front loaded in terms of revenue recognition or do they ramp up gradually over multiple years?
Manish Maakan:
Its multiple models, Pranay
Pranay Jain:
Okay, so there'll be a mix of both mix of like front loading and like an annuity tail kind of thing.
Manish Maakan:
Annuity based on variability.
Pranay Jain:
Understood. Got it. Yeah, that's it. Thank you.
Praveen Malik :
Thanks, Pranay. Next, we have Mr. Krishna Agarwal from Mangal Keshav.
Krishna Agarwal:
Hello. It is just a follow -up question regarding our competitors. Sir, as you said that, you only consider Palantir and C3 as your major competitor. But I still wanted to get some light on Indian competitors. Sir, currently in the Indian Banking Technology ecosystem, there are multiple players offering AI -led solution for banks, such as TCS banks, Orient Pro AI, NPST and AI compass.

So, sir, how does Intellect differentiate itself from these competito

rs in terms of depth of AI
capabilities and platform maturity in the long term? And so, additionally, how close are these players to Intellect's currently at level of AI -led Banking Techn ology? And what is the Intellect strategy outlook to maintain and extend its competitive edge going forward with these Indian competitors? Thank you.
Banesh Prabhu:
There are a lot of SI players like TCS and others like you mentioned. I think, as I said earlier, a big differentiation is our full Purple Fabric stack, which where we have invested significant amount of effort over the last 7 -8 years, going all the way ba ck from the early models of machine learning to the large language models right now.
I think that learning and experience for our product lines, I think compared to a lot of people coming and offering use cases or and lot of the people are actually building the SI type of work for customers to be able to do things that can help them achiev e some level of AI independence. Everybody says AI right now, but nobody really has a full end to end platform. And I've already covered the four sort of stacks that make up a platform. I think that combination and the most important thing that we are seeing is when customers want to scale multiple use cases, they need to govern them.
The ethical AI stack of governing our platform is fundamentally very different from what anybody else does because when you know when you implement these use cases that ethical AI stack gives you the ability to govern digital experts. But you've got to thi nk of these as human and digital experts working together in an operational role in that model. The digital expert really needs to be managed on a regular basis because of the continuous changing language models, the continuous changing data that is fed in to those digital experts.
So, think of it that governing digital experts is a very, very detailed part of the Purple Fabric stack which not, you know, you won't find this in most of the other people. They are still talking about doing small use cases here and there of doing SI work . So, I think that's the fundamental difference with most of the most of the Indian players in my mind.
Krishna Agarwal:
Thank you, sir
Praveen Malik :
Thanks, Krishna. Next, we have Sonal Minhas from Prescient Capital.
Sonal Minhas:
This is Sonal Minhas. I'm hope I'm audible. I want to continue from the question the last participant asked. Some of the players, as you mentioned, they don't have a full stack and I think having attended some of these calls of these players, they also men tioned that the real RoI of AI showing its value -add in productivity or similar metrices is basically something which is still at the proof -of-concept stage.

So, we wanted to give in the fact that you say that the Purple Fabric project has linkage to close to ■200 Crs. of top line.
Are there early signs for you guys where this is showing up in terms of how you build a particular client or in terms of you having better margins for some of the use cases where you implemented Purple Fabric or these early days for us right now? That's ab out it.

Q3 FY 2025 -26
Banesh Prabhu:
And you know adoption of AI it is still at an early stage. Having said that I think the opportunity for us to be able to bring productivity would mean a different way of working because we are seeing significant impact on operational work, on compliance wo rk that we are beginning to see in our pilots and already in production for our insurance business.
It's a very significant impact on the same work being done by the human through a BPO type process versus the way we do it using AI end to end. So I think it is very different important for us to keep in mind that this is early -stage adoption the agentic a ctual work which you know is something uniquely put together on Purple Fabric, which is why its multiple agents coming together very few of us of our competit

ors have multiple agents coming together and we refer to that as digital experts in different area s coming together I think that peace has not taken off as fast as we you know we believe it sort of will in the future. I think it will change fundamentally the way in which we operate or you know we often call it the future of work will change quite signi ficantly and I think we are actually experiencing the early stages of that.
And some product lines where this has been AI first like the insurance and some areas in wealth and now some areas in trade and some areas in payments I think that will actually go much faster as the adoption starts taking place so you know there is obviou sly ROI challenges in the industry which normally happens when you start something like this new as it happened you know 25 years back with the dot com so it will happen. We will stabilize but fundamentally new business models using AI will appear and we a re well positioned for that.
Sonal Minhas:
Got it, sir. Thanks for explaining this in in detail. I also have a follow up I think a couple of my colleagues were also asking the margin profile and you are mentioning that companies have a different margin profile at ■700 Crs. run rate ■800 Crs. run r ate maybe ■900 Crs. This is similar to let's say what a SaaS company does talk about in the US my understanding is that please correct me if I'm wrong on that.
Are there some companies which are into banking software which have scaled up where we could refer to understand the margin profile of businesses as they scale up and as they mature are there some peers would you refer to in the US?
Manish Maakan:
I think go back and look at from India Flex Cube and Oracle so we have a combination of that as a business model as well as SaaS. So, we have a dual engine firing look at what was Flex Cube's margin at $300 million, $400 million, $500 million, $600 million and you'll find a good story.
Sonal Minhas:
Got it. Thanks!
Praveen Malik :
Thanks, Sonal. Manish, there is one more and then a lot of re -raised your hands. So, one we can take, I think.
Manish Maakan:
We can take one and the re -raised person writes back to you and we can reply to them.
Q3 FY 2025 -26
Praveen Malik :
Please…the persons who are really is re -raising the hand please write to me we'll get back to you.
The last we have Sameer Dosani from ICICI Group. Samir, please go ahead.
Sameer Dosani:
I'm not sure whether it's clarified but our original plan was to ramp up investments through the year and obviously it's needed for the business. So, it's good. But just want to understand 1225 Crs. of SG&A like will we see further ramp up from year on in and then it will settle there that is the plan? Or you know there are some programs as you mentioned and we had some marketing programs and roads shows etc. So, you know how to think about this as SG&A for maybe next 12 to 18 months from here on.
Manish Maakan:
Samir this quarter the last quarter is typically when we have more road shows and more events large events which happens every year. So that's from an annual cycle perspective. Rest is calibrated based on when we see opportunities as we are growing in like right now you US is a big focus we driving growth in North America. So, a very large market from a size as well as geography but we keeping it calibrated to ensure we don't run ahead of ourselves.
Sameer Dosani:
That's fine and it's needed to the business but our original plan was to ramp up like ■100 Crs.

annualized SG&A If I’m not wrong that we wanted to ramp up through the year.
So, it's that ramp up step up in terms of SG&A is already done is that I should think of and then maybe gradual investment here and there whatever you need and it should that is how I should think about it?
Manish Maakan:
No see if you as soon right now like we said beginning of year ■700 Crs., ■800 Crs. as we stabilize at

■800 Crs. when we say ■900 Crs. or ■1,000 Crs. we will have to add more so it's a cycle.
Sameer Dosani:
So, this level of investment is okay for ■800 Crs. revenue.
Vikash Mishra:
That's right.
Sameer Dosani:
And obviously purple Fabric required software development and expensive so that or that step up in terms of investment in software development expenses is also done right and should think of and you're on incremental increase is what I should think of?
Manish Maakan:
Yes!

Sameer Dosani:
Okay. That that's it from my side and good luck. Thanks for taking my questions.
Praveen Malik :
Thanks, Sameer. Thank you everybody for joining today. In case any questions you have you can just write back to us and we'll reply accordingly. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2026

Q4 & FY 2025-26

Investor Earnings Call Transcrip t Praveen Malik: Greetings and welcome, everyone. Thank you for joining us today to discuss the Intellect Design Arena Limit ed’s financial results for the fourth quart er of the fiscal year 2025-26 and also for the full year FY26 ending 31st Mar ch 2026 . The investor presen tation and press release

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our

website.

Our

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us

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●

Mr

Arun

Jain,

Chairman

and

Managing

Director

●

Mr

Manish

Maak an,

Executiv e

Presiden t

&

Group

Chie f

Revenue

Officer

and

CEO

of

Wholesale

Banking

●

Mr

Rajesh

Saxena,

CEO

of

Consumer

Banking

●

Mr

Banesh

Prabhu,

CEO of IntellectAI

- Ms Vasudha Subr amaniam, Chie f Financial Officer; and
- Mr Vikas Misr a, Chie f Strategy Officer .

Besides, some other senior member s of the manag emen t team are presen t on the call. Now I hand it over to Mr Arun Jain for the manag emen t commen tary on the results.

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my

go-to-mark et

strategies

by

aggregating

my

six

mark eting

teams

under

the

chief

revenue

officer .

So,

this

is

a

time

when

we

try

to

consolida te

the

power

of

LoB

into

the

power

of

Intellect.

And

that's

wher e

it

took

us

some

time

to

see

the

value

each

product

and

each

line

of

business

brings,

so

that

it

becomes

a

multiplier

effect

when

they

come

together.
In this process, we could be able to sign up the marquee customer s. Almos t 60 of our customer s

have

asse ts

exceeding

$100

Bn.

So,

there

are

customer s

wher e

we

have

a

great

opportunity

to

cross-sell

on

eMA CH.ai.

And

that's

the

reason

why

I'm

saying

we

are

bullish

about

the

futur e,

is

if

they

are

sitting

on

the

same

eMA CH.ai

platform

wher e

we

are

promising

there

is

one

sour ce

of

truth

of

data,

it

is

much

easier

to

sell

the

second

product

and

the

third

product

on

the

common

backbone.

Like

Sales force,

if

you

sell

the

same

product,

the

backbone

remains

common.

That's

all

the

eMA CH.ai

cloud

that

we

are

looking

at.

It

will

be

relevant

for

us.
This is part one of our exercise, wher e we will be going deeper into large accounts. Now, the second

piece,

which

is

coming

out

by

connecting

Purple

Fabric

and

the

product,

which

is

called

eMA CH.ai.
And now, in the last 18 mon ths, we have made all our products AI-first. AI Core Banking , AI Digit al

Engagemen t

Platform,

AI

Lending ,

AI

Trade

Finance.

And

since

AI

is

built

with

an

AI-first

thinking

process,

we

can

drive

more

sales

and

a

larger

pipeline

because

it's

an

AI-first

product.

We

could

be

able

to

compe te

or

overshado w

our

long-t erm

customer s

in

the

trade

finance

business,

in

the

lending

business,

which

was

initially

when

we

were

selling

only

eMA CH.ai

as

a

Trade

product

or

eMA CH.ai

as

a

Wealth

product.

But

when

these

two

technologies

come

together,

that

created

a

kind

of

moa t

against

our

key

compe titor

in

that

space,

and

we

are

in

the

final

stages

of

a

few

large

wins

in

the

space

of

eMA CH.ai
And so, first I covered product, then I covered eMA CH plus AI, and finally I will cover our role
in

AI,

how

AI

is

evolving

in

the

world,

and

wher e

we

are

in

the

AI

journe y.

I

will

take

a

separ ate

time

later

on

to

explain

wha t

the

AI

is

all

about

and

wher e

we

are

looking

at

it,

but

in

a

nutshell,

for

this

investor

conference.

I

would

like

to

say

that

on

one

side,

you

are

hearing

a

lot

of

noise

from

the

Anthropic

Claude,

OpenAI

ChatGPT,

and

Cursor

and

that

the

jobs

are

going

to

be

replaced

in

the

AI

world.
And everything you are hearing as an investor is true. It's not that these jobs will not go away.

Jobs

will

go

away

from

the

IT

world,

and

India

will

be

in

some

trouble,

India

will

say,

with

the

AI

implosion.

It's

a

comple tely

new

chang e.

But

on

the

other

side,

man y

bank s

and

financial institutions that implemen ted AI for customer service in peripher al areas are getting

the

bene fit

of

implemen ting

customer

service

areas

wher e

80

to

85%

accur acy

is

allowed,

because

you

are

doing

support

services

or

customer

service.
So, that's an area wher e AI is giving bene fits to the financial institution. But mos t financial institutions

have

not

been

able

to

apply

AI

or

productionise

it

in

core

processes,

systems,

and

technologies.

And

for

that,

our

resear ch

teams

have

done

a

phenomenal

job

in

this

space.

They

under stood

the

core

issue,

why

AI

in

the

enterprise

space

will

not

work

unless

we

solve

the

core

systemic

issue

there.
Intellect's resear ch team has done deep resear ch on it. They applied some mathema tical models,

some

models

from

physics,

and

some

models

from

mathema tics.

And

using

those

models,

we

think,

how

do

we

create

determinis tic

knowledg e,

which

is

the

core

of

any

judgmen t

or

decision

AI

can

take?
For a financial institution's core processes, we need at least 95% as a benchmark to mak e it usable

for

production-gr ade

AI,

which

I

call

production-gr ade

AI

or

enterprise

AI.

We

exactly

solve

that

issue

because

intelligence

accur acy

is

equal

to

knowledg e

accur acy,

reasoning
accur acy,
and
context
accur acy.
And
if
the
knowledg e
accur acy
is
85%
right,
which
LLM
gives
me.
Reasoning
accur acy,
which
I
define
as
the
agent's
accur acy,
is
95%
correct
if
context
accur acy
is

95%

correct.

These

are

the

best

cases

I'm

telling.

You

can't

get

more

than

95%

right

in

context,

or

95%

right

is

reasoning

by

the

AI,

and

85%

in

knowledg e.

Please

multiply

them

now,

not

take

an

average.
Take your comput er or take your cell phones and multiply 85 by 95 by 95. You will get 76.7% accur acy.

Now

at

76.7%

accur acy,

it

cannot

be

enterprise

AI

for

core

processes

of

the

financial

institution.

And

that's

the

problem

mos t

of

the

bank s

are

facing.

For

this problem, we have filed about 15 patents in this space over the past six mon ths. We are unique to Intellect. We have solved this problem by applying physics, mathema tics, and models embedded

in

my

knowledg e

models,

data

models,

and

entire

technology

models.
And now we can achie ve 94%-95% accur acy in man y areas. We are governing it well. We have

signed

two

large

enterprise

AI

platform

deals

in

India

and

three

or

four

platform

deals

outside

India,

and

our

pipeline

is

growing

well.

This

is

one

part

of

the

platform

I

men tioned

to

you.
And the second way of going to mark et is wha t I'm doing , each product is going like Purple
Fabric

Trade

business,

Purple

Fabric

Lending

business,

Purple

Fabric

Wealth

business,

Purple

Fabric

Risk

and

Governance

business,

Purple

Fabric

Customer

Onboar ding.

All

the

pieces

are

being

sold

wher e

the

bank s

are

ready

to

apply

a

use

case

basis,

or

the

bank

wants

to

mak e

a

chang e

together.

So,

these

are

the

two

revenue

streams

we

are

building

in

the

AI

space,

and

both

look

very

lucrative.
Q4 & FY 2025-26

So Manish will tell you all the details of how the year went, wha t businesses we have done,
wher e

we

gener ated

the

various

revenues.

And if you have more ques tions about AI, if you feel that it will be of interest to you
some time

in

the

next

two

weeks,

I

will

take

a

one-hour

session

wher e

you

can

send

the

ques tions

to

us

that

wha t

ques tions

you

want

to

know,

especially

for

investors,

wher e

we

can

have

a

90-minut e

session

for

all

investors

to

under stand

wha t

the

AI

space

is

evolving

and

wha t

my

personal

under standing

of

AI

is.

So, at this poin t in time, I hand it over to Manish to take you to the results. Manish Maak an: Thank you, Arun. And good evening , everyone. And thank you for joining us. As Arun called out,

it's

been

a

systema tic

design

of

how

we

will

align

around

the

indus try

and

how

we

focus

on

growth

by

design.

Clearly ,

you

would

have

seen

the

number s

for

the

year.

FY26

was

a

very

strategically

import ant

year

for

us,

as

shown

in

the

results

and

our

strategy.

I

think

we

have

shown

signific ant

top-line

growth

and

strengthened

our

balance

shee t,

and

continue

to

deepen

our

position

as

an

AI-na tive

financial

technology

platform

compan y.
Mos t import antly, the investmen ts we have made over the last several years in composable
architectur e,

enterprise

AI,

and

deep

financial

domain

specialisa tion

are

now

deliv ering

the

compounding

scale

which

we

really

needed.

Today,

we

oper ate

across

62

countries

with

more

than

500

institutional

customer s.

Arun shar ed that we have more than 60 customer s with very large asse t sizes. So, we are primarily

in

the

tier

one

business

on

one

side

of

our

business.

And

on

the

other

side

of

business,

we

work

with

the

credit

unions.

We

have

been

able

to

design

the

business

model

to

serve

both

segmen ts

from

that

perspectiv e.

We

continue

to

main tain

strong

domain

depth

across

wholesale,
consumer ,
wealth,
insur ance,
and
AI-led
enterprises.
That
segmen tation
from
a
product
perspectiv e
and
a
mark et
coverage
has
really
played
to
wha t
we
defined
as
the
arena
in
the
Intellect
Design
Arena.
And

that

strategy

is

working.

The

two

million

hour s

of

annual

R&D ,

which

you

look

at

50

dollar s,

is

like

100

million

dollar s

from

an

Americ an

perspectiv e.

That's

the

kind

of

courage

we

have

had

to

invest

in

building

this.

Our

advantages

are

that

unit

costs

are

low,

but

if

it

were

an

Americ an

compan y,

that

would

transla te

to

an

annual

basis

of

at

least

100

million

dollar s

in

R&D .

And

that's

wha t's

kept

us

at

the

edge

continuously

in

the

mark et.

I

think,

like

Arun

called

out,

we

saw

the

trend

early

for

AI,

and

we

started

investing

in

2016-17

around

this.

AI is evolving through multiple stages from experimen tation to data and AI, data as a platform,

to

wher e

we

now

belie ve

we

are

in

wave

six

wher e

AI

native

enterprises

is

wha t

will

define

who

you

are

and

whe ther

or

not

you

will

be

able

to

take

advantage

of

this

wave

continuing

to

remain

in

experimen ts

will

not

help

and

that's

wher e

we

are

helping

number

of

large

institut es

to

actually

become

AI

first

digit al

bank s.

The second piece of strategy, as Arun shar ed, the two-pla tform appr oach creates an unfair advantage.

One

is

eMA CH.ai

composability

and

Purple

Fabric

from

an

AI

enablemen t.

That's

why

eMA CH.ai

together

help s

us

deliv er

the

AI-first

appr oach

of

who

we

are.
If you look at the three dimensions of designing any of the strategies, part one of that is designing

for

our

products,

part

two

is

designing

the

mark ets

wher e

we

will

take

this

product,

and

part

three

was

choosing

to

design

a

customer

portf olio.
This is a very structur ed appr oach which for the last 10 years, we have followed and it shows up

in

our

results

as

we

go

forward.
This frame work has allowed us to scale on a defined strategic focus over multi- year cycles with

greater

predict ability .

We

call

that

from

an

initia tion

to

how

quickly

we

get

to

cycle

one,

wher e

we

get

about

■
500

crores.

We

put

on

slabs

of

■
500

Crore

each

from

a

cycle

growth

perspectiv e

to

wher e

you

have

got

the

mark et

trust,

to

wher e

you

are

preferred

in

the

mark et

to

being

a

mark et

leader ,

category

leader .

And

these

three

cycles,

we

have

look ed

at

it.

And

as

we

go forward, we have categorised also for your informa tion how each of our business lines has that leader ship. The Wholesale Banking business is now fully mature in cycle three at ■ 1,500 Crore plus revenue from that perspectiv e. We started in 2016-17, and if you look at a nine-t o-10- year cycle it brough t us here. Now it's about how the next ■ 1,500 Crore can come in a faster time. Two years later, we started on Consumer Banking and now very happ y to announce that Consumer Banking has also crossed ■ 1,000 Crore this year. And our young est business, wher e we started investing on wealth, capital mark ets and insur ance in 2022-23, streamlined to take it forward. It has also crossed ■ 500 Crore business.

This is a repea table pattern which proves that focus, how you go from cycle 1 to cycle 2 to cycle 3 is not being opportunis tic. It is design choices which

we

have

taken

every

3

years

to

invest

forward.

I

think

Arun

men tioned

that

we

look ed

at

every

six

mon ths

as

a

strategic

phase

to

define

inno vation

and

grow

engines

of

how

we

will

see

it

through

any

of

these

journe ys.

This

is

just

a

snap shot

of

how

we

have

invested

in

one

or

two

platforms

every

six

mon ths

and

take

it

forward

to

scale

to

support

our

vision

and

opportunity

in

the

mark et

around

eMA CH

and

AI.
And over this period, this is not only been accep ted by customer s, which shows in our results

of

the

number

of

customer s

we

acquir e,

but

also

by

the

indus try

analy sts

and

indus try

awards

across

the

three-year

windo w,

we

have

receiv ed

56

analy st

leader ship.

We

are

in

a

number

one

or

a

number

two

category,

and

18

indus try

awards

wher e

we

are

leader s

in.

So,

it's

a

consis tency

of

our

performance

and

vision,

which

is

eviden t

over

here

across

all

phases.
Q4 & FY 2025-26

As we look forward, I think creating the moa t was equally import ant. So, if you just clearly
see

in

the

last

year,

we

filed

for

close

to

100

patents.

And

that's

the

differentiation.

And

this

is

wher e

our

compan y

is

going

to

create

an

edge

in

the

mark et.

We

have

overall

filed

125

patents.

And

nine

have

been

granted,

and

the

balance

are

in

progress.

We

are

creating

this

wedge

so

that

the

inno vation

we

are

investing

upon,

other s

cannot,

the

disrup tive

technology ,

other s

cannot

take

advantage

of

doing

from

that.

So,

we

look

forward

to

this

IP

moa t

in

our

products

to

continue

to

go

forward.
I think that from designing our products, we gradua ted to designing our mark et presence
and

we

took

a

structur ed

appr oach.

Initially ,

we

grew

our

journe y

through

Europe.

And

then

we

went

into

the

Middle

East,

Asia,

and

India.

Over

the

last

four

years,

there's

been

a

very

signific ant

focus

in

building

the

Americ as

business.

And

last

year

has

been

exceptionally

good

growth,

you

see,

this

is

wha t

we

are

looking

at.

Americ a's business has grown man y fold from that perspectiv e, has got 27%. But the good news

is

while

one

mark et

shar e

has

grown,

we

have

continued

to

main tain

a

20%.

The

lowest

mark et

is

13%

to

27%.

It's

a

very

balanced

growth

across.
So, either mark et fluctua tions don’t hurt us right now. If one mark et is facing a geopolitic al issue

happening ,

the

pivot

of

focus

last

year

was

difficult

for

Europe.

So,

we

pivoted

strongly

to

the

Americ as,

and

it

shows

in

the

result.

And

we

were

able

to

manag e

the

European

revenues

to

wher e

it

was,

but

grow

Americ as

from

that

perspectiv e.

So,

now

with

a

decen t

depth

in

each

of

the

mark ets,

ranging

from

■
400

Crore

to

■
800

Crore,

we

are

able

to

pivot

and

insula te

ourselves

against

any

unplanned

inciden ts

which

happen

in

the

mark et.

The third piece is designing a customer portf olio. So, we sharpen our products for the mark et,

and

we

choose

which

customer s

we

are

going

to

grow.

We

have

been

strongly

in

a

tier

one

product

mark et

space

wher e

we

have

excelled.

And

this

shows

that

we

today

have

500

plus

leading

global,

regional

and

challeng er

bank s

who

trust

in

Intellect.

But

if

you

look

across

geogr aphies,

the

top

60%

of

the

top

10,

15

or

20,

we

continue

to

grow

that.

Those

are

our

leading

brands

wher e

the

bank s

trust

us.
And as they go global, it increases our distribution and the strength of each of the products.
And

it

follows

that

pattern

follows

all

the

regional

bank s

wanting

to

adap t

and

then

the

local

bank s

wanting

to

adap t

that

journe y

of

establishing

trust

we

may

have

started

with

a

difficult

larger

bank s

but

that's

established

our

leader ship

in

the

mark et

and

this

is

the

proof

poin t

of

our

success

and

we

continue

to

grow

this

you

would

have

seen

this

this

slide

evolve

every

year

from

wher e

it

was

to

wha t

we

are

today.

So,

these

are

the

two

gemstones

that

have

helped us reach here. I think this is also eviden t in our pipeline, which has now crossed ■ 12,000 Crore. And we have 99 Destiny deals which are available. And in 2025-26, we had

21

destiny

deals

which

we

won,

which

were

multi-pr oduct,

multi- year

programs

at

mark eting

institutions

and

these

Q4 & FY 2025-26

deals compound actually you enter with one product with a three to five million annual revenue

and

when

you

bring

in

the

second

product

it

becomes

the

ARR

grows

from

$5

to

$7

million

so

that

equa tion

of

cross-selling

focusing

on

your

large

accounts

you

serve

them

well

you

build

trust

you

deliv er

on

time

that

mark etplace

is

very

large

individual

customer s

are

a

mark etplace

and

based

on

that

strategy

we

are

deepening

our

investmen ts

around

our

existing

customer

base

they

are

crown

jewels.

This

is

a

snap shot

of

high- value

pursuits

we

are

running

across

■

crores,

30

to

50,

20

to

30

and

these

are

the

99.

So,

very

focused

attemp t

to

play

in

the

larger

size

and

these

are

the

Q4

strategic

wins

which

we

have

had

with

four

large

wins

across

Americ as

two

across

Europe

and

five

across

Middle

East

so

if

you

see

it's

been

and

two

in

India

and

two

in

fact

all

mark ets

have

manag ed

to

show

wins

across

which

are

material

deals

which

have

made

a

difference

to

our

number s

from

that

perspectiv e.
I think the five new design choices for the next three years that we are looking at are like we said

Arun

initially

men tioned

that

I

started

off

with

native

AI

companies,

and

this

is

wher e

Purple

Fabric

scaling

is

happening

right

now,

and

this

is

truly

a

platform-led

business,

which

also

shows

in

our

revenue

how

platform-led

business

is

growing

against

the

conventional

just

licensing

business.
A second pattern we are seeing is that there's a signific ant shift to move away from main frame

to

cloud,

and

this

is

wher e

our

eMA CH.ai

tech

stack

has

both

its

proof

poin ts

of

having

moved

multiple

main frame

platforms

to

a

cloud

platform

and

the

composability

of

it

for

large

tier-one

transforma tion

has

been

proven,

and

we

are

scaling

up

our

investmen ts

behind

it,

and

we

are

seeing

good

mark et

traction.

We

gradua ted

from

Transaction

Banking

to

Wholesale

Banking.

This

is

an

ecosystem

play

across

deposits,

lending ,

cash,

liquidity ,

trade,

and

supply

chain.

So,

we

are

continuing

to

expand

on

our

moa t

of

wha t

a

wholesale

bank

needs

and

how

we

can

offer

that

as

an

integrated

composition.

Paymen ts

are

the

fastest

growing

area

across,

and

multiple

things

are

happening

from

embedded

to

cross-bor der

to

real-time.

This

is

wher e

we

are

making

a

signific ant

difference,

and

there

have

been

multiple

drills

in

the

last

year.
And the fifth one is on financial advisor y around wealth and insur ance. This is our young est platform,

but

truly

leading

with

AI

first

for

the

next-gen

investors.

And

this

is

making

a

big

difference.

Each

one

of

you

would

also

be

looking

at

AI

in

your

worlds.

And

this

is

wher e

we

are

helping ,

which

is

giving

us

the

big

wins

right

now.

Vasudha,

you

take

up

from

here.
Vasudha Subr amanian: Thank you. Thank you, Manish. Good evening , everyone. Happ y to take you through the financial

highligh ts

for

the

quart er

and

the

financial

year 2025-26. So, the financial year 25-26 has been a year of strong growth, impr oving business quality , disciplined execution, health y collections and sustained investmen t in long-t erm strategic init ia tives. For the full year

2026, Intellect report ed a total income of ■ 3,161 Crore, represen ting a 23%

year-on-year growth. License linked revenue comprising platform, license and AMC revenues increased to ■ 1,667 Crore, represen ting a strong 34% year-on-year growth. Breaking this down further , platform revenue increased signific antly to

■ 580 Crore from ■ 241 Crore in the financial year 25, represen ting a 141% year-on-year growth. And licensed revenue stood at ■ 517 Crore. AMC revenue was ■ 570 Crore, reflecting the continued strengthening of annuity and recurring revenue streams. Moving to profitability , gross margin for the year stood at ■ 1,786 Crore, represen ting a 19% year-on-year growth. EBITD A for the year was ■ 703 Crore, represen ting a

16%
year-on-year
growth.
The
Non-GAAP -EBITD A,
which
excludes
the
stock
compensa tion
cost,
was
■
756
Crore,
which
represen ts
a
24%
of
the
income
for
the
year.
PBT
before
considering
exceptional
items
was
■
493
Crore,

while PAT stood at ■ 369 Crore for the year. PAT, after considering exceptional items, stood at ■ 345 Crore, and the exceptional item comprises the gratuity provisioned for ■ 30.84 Crore and the result ant deferred tax impact of ■ 7.76 Crore, which we have accounted for in Q3.

Collections remained strong during the year at ■ 3,043 Crore as compar ed to ■ 2,371 Crore in the financial year 2025, which represen ts an increase of ■ 6.72 Crore year-on-year. We closed the year with cash and cash equiv alen ts of ■ 1,257 Crore, an increase of Rs.236 Crore over the financial year 2025

from

■
1,021

Crore

gross.

So,

Intellect

continues

to

main tain

a

strong

balance

shee t

and

zero

debt

position.

Talking about our deal wins and digit al transforma tions, 59 new customer s select ed Intellect
for

their

transforma tion

journe y,

and

91

digit al

transforma tions

went

live

globally

during

the

year.

Another

Q4,

positiv e
trend
during
the
financial
year
2026
has
been
the
continued
strengthening
of
our
balanced
geogr aphic
revenue
portf olio
across
developed
and
growth
mark ets,
which
Manish
talked
about.
Moving
to
Q4,
total
income
for

the quart er stood at ■ 884 Crore. Platform revenue for the quart er was ■ 162 Crore, and license revenue was ■ 152 Crore. Our ARR for the quart er stood at ■ 1,247 Crore as of

Q4, up by ■ 870 Crore from the same quart er last year. We achie ved an EBITD A of ■ 221 Crore for the quart er and a PBT of ■ 162 Crore. Collections for the quart er were

■
791

Crore.

Another

import ant

indic ator

of

our

oper ational

discipline

is

our

working

capital

efficiency .
Our DSO for the quart er stood at 126 days as compar ed to 137 days for the same period last year.

We

also

continue

to

strengthen

leader ship

capability

across

the

organisa tion,

with

23

senior

leader s

joining

Intellect

during

the financial year across strategic functions and mark ets.
Let me briefly cover the import ant boar d and organisa tion announcemen ts for the quart er.
In line with the compan y's dividend distribution policy , the boar d has recommended a final dividend of ■ 4 per shar e along with a special dividend of

■
3

per

shar e

on

the

equity

shar es
Q4 & FY 2025-26

with a face value of Rs 5 each for the financial year 2025-26, subject to shar eholder appr oval at

the

ensuing

AGM.

The

record

date

for

determining

shar eholder

entitlemen t

has

been

fixed

as

July

24,

and

the

dividend,

upon

appr oval,

will

be

paid

on

or

before

Augus t

29,

2026.

On the organisa tion front, the year mark s an import ant leader ship transition phase for Intellect.

Mrs

Sudha

Gopalakrishnan,

Chie f

Assur ance

and

Governance

Officer ,

will

retire

from

the

services

of

the

compan y

effectiv e

31st

May

upon

turning

the

age

of

super annua tion.

The

boar d

has

placed

on

record

its

sincer e

appr eciation

for

her

valuable

contributions

during

her

tenur e

with

Intellect

as

part

of

the

leader ship

transition.

Mr

Krishna

Rajar aman,

the

Chie f

Technology

Officer ,

will

transition

into

the

role

of

Head

Customer

Deliv ery

Experience

effectiv e

1st

June.

Mr

Vivek

Gupta,

currently

the

Presiden t

and

Head

of

Consulting ,

will

be

redesigna ted

as

the

Chie f

Customer

Officer

effectiv e

1st

June

2026.
In addition, Mr Prashan t Lalchandani has been appoin ted as the Chie f Technology Officer of the

compan y,

effectiv e

1st

June.

Prashan t

brings

over

three

decades

of

experience

across

product

engineering ,

enterprise

architectur e

and

global

banking

platforms

and

has

played

a

vital

role

in

shaping

Intellect's

AI-na tive

engineering

and

eMA CH.ai

platform

evolution.

These

leader ship

transitions

further

strengthen

Intellect's

long-t erm

execution

capability

as

we

continue

to

scale

our

AI-first

and

platform-led

transforma tion

journe y

globally .

Finally , here is our investmen t thesis. We are leading through five key differentiators. AI native

leader ship.

Our

wave

six

infrastructur e

is

live

in
45-plus
global
institutions,
giving
us
a
massiv e
first-mover
advantage.
Secondly ,
we
are
a
zero-deb t
compan y.
Our
growing
cash
reser ves
and
recurring
ARR
engine
provide
a
stable
compounding
founda tion
for
high-mar gin
returns.
With

30 years of expertise across 62 countries and 500-plus clien ts, we possess a deep domain moa t that compe titors simply cannot replic ate. Our pipeline is robus t, featuring 80-plus activ e pursuits valued at over ■

20

Crore

each,

ensuring

strong

revenue

visibility

and

momen tum.

The

syner gy

between

eMA CH.ai's

composability

and

Purple

Fabric

intelligence

creates

a

compounding

effect,

moving

us

from

linear

growth

to

exponen tial

platform

value.
So, as we move into the financial year 2027, we remain confiden t in the compan y’s long-t erm

positioning ,

business

quality ,

and

strategic

direction.

With

that,

can

we

now

open

the

floor

for

ques tions?
Arun Jain: Yes. Thank you. Thank you, Vasudha.

Q4 & FY 2025-26

Praveen Malik: Thank you, Vasudha. Now, the forum is open for Q&A . In case you want to ask a ques tion, please

click

the

‘raise

your

hand’

button.

So

that

we

can

unmut e

you.

First,

we

have

Mr.

Rahul

Jain

from

Dola t

Capit al.

Rahul,

unmut e

yourself.

Rahul Jain: Yeah, hi, hope I am audible. Thank s for the opportunity , and congr atulations on very strong number s

and

excellen t

presen tation

as

well.

Just

two

to

three

aspects

I

wanted

to

touch

upon.

We have talked about the next 18 mon ths of mone tisation that we see on the eMA CH.ai size.

And

on

this

particular

offering ,

do

we

see

the

mix

of

product

being

on

the

license

side

of

it,

or

will

it

be

more

on

the

subscrip tion

side

of

it?

Any

trend

if

we

could

iden tify

for

this

product?

That

is

ques tion

number

one.

Arun Jain: Okay. If you look at it, our implemen tation revenues are fairly decr easing in percentage terms

as

the

growth

is

increasing.

License-link ed

revenues

are

growing

faster

than

other s.

You

are

asking

about

the

subdivision

of

license

versus

subscrip tion.

Our

focus

is

to

get

to

more

subscrip tion

revenue,

which

is

long-t erm

in

nature.

But

we

are

not

letting

go

of

the

license

revenue

wher e

the

large

customer s

are.

So,

forecasting

that

will

be

difficult,

which

number

will

grow

faster.

Our

intent

is

to

increase

subscrip tion

revenue,

but

the

outcome

will

be

determined

by

mark et

conditions.
Rahul Jain: That's clear . Second, from a growth poin t of view, these five key reasons that we have highligh ted

this

yearly

sets

up

a

growth

acceler ation

though t

process.

So,

do

you

think

that

next

year

onwards,

right

from

FY27

onwards,

we

could

see

growth

acceler ating

or

are

we

more

thinking

about

this

from

a

medium-t erm

perspectiv e

and

not

necessarily

from

an

FY27

perspectiv e?
Arun Jain:
We

are

getting

good traction with a ■ 12,000 Crore pipeline, and it is qualified. We always men tion to you that predicting anything of this nature, the revenue modelling on a quart er-to-quart er basis, is more difficult

for

us

than

projecting

the

traject ory

of

the

compan y.

Traject ory

of

the

compan y

moving

from

■
500

Crore

a

quart er

to

■
600

Crore

a

quart er,

then

to

■
700

Crore

a

quart er,

and

finally

to ■ 800 Crore a quart er. We are able to forecast that, okay, we will move from ■ 700 Crore to ■ 800 Crore in two to three quart ers or three to four quart ers,

and

that

we

can

sustain.
But which revenue, which particular piece will come from which geogr aphy, so we have a
comple x

business

of

at

least

six

mark ets,

three

LoBs

and

ten

product

lines.

From

an

investor's

perspectiv e,

it's

a

very

well-balanced

portf olio.

From

the

product

side,

there's

a

sufficien t capacity to grow, so saturation is avoided at the product level. Saturation is avoided

at

a

mark et

opportunity .

Mark et

risk

is

avoided

at

a

mark et

level.
So, we are looking at the whole business into two pieces. One is a product on the product side;

the

other

is

a

mark et

on

the

mark et

side.

We

are

mitig ating

mark et

risk

on

one

dimension,

and

we

are

ensuring

that

we

have

sufficien t

product

in

the

mark et

so

that

we

don't

hit

the

saturation

button.

Man y

single-pr oduct

companies

hit

a

saturation

poin t

wher e

they

become

cash

companies

but

not

growing

companies.
So, ensuring the cash and growth both come together is a strategy when we look at the
Arena

Model

of

Business.

We

have

now

demons trated

over

the

last

10

years

that

this

model

works.

It

takes

five

years

to

get

into

the

sustainable

model

when

we

start

investing

GTM
mone y.
So,
the
R&D
space
of
Purple
Fabric
we
invested
in
between
2016
to
2021,
but
the
go-to-mark et
took
2022
onwards.
So
you
take
almos t
a
five-year
cycle
time,
and
things
are

belo w

the

surface.

It's

not

driving

any

number s,

and

those

investmen ts,

like

the

■
92

Crore

investmen t

in

the

AI

business

last

year,

we

said

■
130

Crore,

we

ended

up

with

■
92

Crore investmen t, and we have an order book of over 50 million dollar s on the AI business we book ed last year, and a revenue of ■ 160 Crore this year.

So, I think that's wha t we are able to project, Rahul: that we are growth by design and margin by design.

Rahul Jain: Yeah, just one last aspect from my side and then I will go back into the queue. One thing we

have

been

articula ting

well

is

how

well

we

are

positioned

in

terms

of

the

kind

of

offering

that

we

have,

which

is

best

suited

for

the

customer .

But

purely

from

a

demand

side

of

it,

you

think

is

there

an

incremen tal

traction

even

from

a

demand

side

of

it?

Or

mos t

of

our

success

or

pipeline

is

getting

encouraged

because

of

our

better

qualific ations

and

our

better

offering ,

and

winning

mark et

shar e.
Arun Jain: Manish, you want to add some thing? Manish Maak an: Rahul, you answered it yourself: a combina tion of all the elemen ts over there. Better quality ,
better

mark et

rate,

better

mark et

accep tance.

We

continue

to

win

big

with

our

own

existing

customer s.

Our

portf olio

is

designed

with

that

perspectiv e

in

mind.

So,

there's

less
anxiety
in
the
portf olio.
Year
on
year,
we
said
we
have
a
certain
band
we
want
to
oper ate
in.
And
I
think
this
year
we
manag ed
to
demons trate
that
and
keep
up

that

consis tency

is

wher e

I'm

looking

to

help

contribut e

to

us.

Q4 & FY 2025-26

Rahul Jain: Righ t. And just to the engine that you talked about, so we should refer to it as 15% to 20% from

the

growth

poin t

of

view

and

20%

to

25%

from

a

margin

poin t

of

view.

Is

that

the

right

band

to

think

about?
Arun Jain: That is the same story which I told in 2016-17. I have not chang ed that traject ory. I say we are

designing

the

always

growth

at

20%

because

when

we

are

running

a

compan y,

we

design

the

business

for

20%.

Ther e

are

some

external

factors

with

the

win

rate

we

achie ved.

If

we

achie ve

15%,

we

achie ve

14%,

we

achie ve

17%.

But

I

will

keep

that:

we

are

running

Arena

because

we

want

to

avoid

saturation

and

not

end

up

with

a

single-digit

growth

engine.
And that's the design part of it. How much we succeed is a not a factor of the mark et, factor of

some

situa tion

to

happen,

some

elemen ts

happen,

but

it

covers

up

later

on.

So

on

a

growth

traject ory

perspectiv e,

from

a

■
600

Crore

traject ory

to

a

■
3,000

Crore

traject ory

in

the

last

10

years,

five

times

the

traject ory,

I

think

we

have

not

disappoin ted

any

investor

over

the

last

10

years,

from

a

■
600

Crore

traject ory

to

a

■
3,000

Crore

traject ory.

But

again,

forecasting

FY27-FY28,

we

are

definitely

designing

for

20%

again.

Design-wise,

we

are

still

looking

at

20%;

whe ther

we

achie ve

15%,

14%,

or

12%.

I

think

time

will

tell.
Manish Maak an:
I

mean,

taking

it

in

bite-siz ed

chunk s

grows

by

■
100

Crore

over

2-3

quart ers;

keep

driving ,

keep

succeeding

on

that,

and

that

is

now

predict ability

showing

up.
Arun Jain:
That's

a

very

simple

matrix,

■
800

Crore

to Rs.900 Crore, so now the next miles tone will be crossing ■ 800 Crore; this quart er, we are ■ 880 Crore. If we retain ■ 800 Crore plus for the next two to three quart ers,

that

will

be

our

challeng e

right

now.
Rahul Jain: Sure, sure. Just a last bit, sorry. On the investmen t side, last year we acceler ated because of the

AI

offering

that

we

wanted

to

take

to

the

customer .

Any

upda te

on

that

in

terms

of

whe ther

we

need

to

continue

the

run

rate,

need

to

acceler ate

on

that

and

on

the

mone tisation

side,

how

you

are

seeing

it?

Thank

you.
Arun Jain: Investmen t will be continuous, Rahul. Again, I'm saying that over the last 10 years, we want to

keep

EBITD A

margins

between

20%

and

25%.

That's

a

traject ory

we

are

considering ,

and

we

would

like

to

reinvest

in

building

deliv ery,

sales,

or

R&D

capacity .

So,

those

investmen ts

are

taken

on

a

conscious

call

two

quart ers

in

advance.

When

we

take

a

call

to

increase

capacity ,

the

margins

suddenly

drop,

which

are

recovered

after

two

quart ers.

Q4 & FY 2025-26

So, there a lag between when we invest upfront like in quart er one we invested then there's a

sudden

drop

in

the

margins

in

quart er

three

we

experienced

and

this

has

happened

not

one

time

this

happened

multiple

cycles

if

you

look

at

the

book s

we

have

invested

and

after

three

quart ers

if

you

look

at

the

same

number ,

you

will

find

suddenly

margin

goes

up

to

27%

to

28%.

And

there

you belie ve this is margin sustainable. And then we reinvest that mone y. That's how the traject ory moves from ■ 600 to ■ 700 to ■ 800 Crore. If we focus on margin, then I will

be

able

to

manag e

the

margin,

but

may

not

be

able

to

manag e

the

growth.

Rahul Jain: Thank you and best wishes. Praveen Malik: Thank s, Rahul. Next, we have Mr NGN Puranik from Enam Securities. Mr Puranik, please
unmut e

yourself.

NGN Puranik: Hi, Arun. Brillian t quart er, brillian t year. I think looking strong in terms of momen tum. You
are

men tioning

one

import ant

thing.

Accur acy

as

a

compe titive

advantage

in

a

model

when

it

comes

to

selling

solutions

to

the

banking

indus try.

Perhap s

I

would

add

ener gy,

aerospace.

These

are

all

accur acy-sensitiv e.

So,

how

did

you

achie ve

this?

And

how

do

you

sell

this

accur acy

to

the

top

60

customer s

you

talked

about?
Arun Jain: Yeah, so very good ques tion, Puranik. My favourit e ques tion that last 12 mon ths amoun t of hour s

I

spen t

resear ching

AI,

I

would

not

have

spen t

this

much

amoun t

of

time

personally

in

the

last

10

years.

It's

coming

from

merging

the

Indic

Knowledg e

Systems

to

Western

Knowledg e

Systems.

So,

I

have

to

use

the

Tattvartha

Sutra,

Vaisheshik a,

and

the

Nyaya

Shas tra,

and

I

have

to

use

some

of

the

global

systems

of

knowledg e

from

Harvard

and

MIT,

along

with

published

paper s

on

mathema tics

and

physics,

to

see

wha t

the

knowledg e

system

means

and

wha t

the

core

of

knowledg e

is.
How knowledg e gets designed, how the knowledg e gets construct ed. A shlok a is determinis tic

knowledg e.

Shlok a

knowledg e:

you

can't

chang e

the

knowledg e

in

the

shlok a

because

it's

embedded

with

encr ypted

knowledg e.

Shlok a

is

the

encr ypted

knowledg e

which

is

there.

Now,

that

is

the

determinis tic

knowledg e

requir ed

for

any

institution

to

function.

And

that

I

call

determinis tic

knowledg e.

In

physics,

there

are

two

words:

probabilis tic

and

determinis tic.

So,

now

we

need

to

look

at

providing

the

right

solution

for

indus tries

focused

on

determinis tic

paradigms.

Indus tries

that

are

not

determinis tic,

like

healthc are,

are

not

determinis tic.

But

banking ,

financial,

aerospace,

and

defence

will

be

determinis tic

in

nature.

And

for

that

determinis tic

nature,

I

have

to

apply

the

classific ation

of

knowledg e,

which

is

even

in

the

Vaisheshik a

and

Nyaya

Shas tra.

Q4 & FY 2025-26

So, Vaisheshik a talks about the classific ation of knowledg e. Nyaya Shas tra talks about the judgmen t

of

knowledg e.

How

do

you

mak e

a

judgmen t

that

this

is

right

knowledg e,

this

is

not

right

knowledg e,

and

once

the

judgmen t

is

right,

only

then

can

you

convert

it

into

intelligence?

My

advantage

is

using

Western

tools

and

Eastern

philosoph y

together

to

impr ove

knowledg e

accur acy.

And this is wha t we are now finding: the institutions which we went to in July, Augus t, and September .

They

said

they

have

100

people

on

the

MIT

team

doing
the
AI
work.
Now
they
are
calling
us
back.
Tell
us
how
we're
doing
it.
That
time
they
said,
no
we
don't
need
you.
We
don't
need
your
platform.
We
already
have

our

own

teams

working ,

except

the

two

financial

institutions,

which

are

doing

an

experimen t

maybe

earlier

and

they

realise

that

they're

not

able

to

get

it.

So,

these

IIT

engineer s

or

MIT

may

not

be

able

to

get

it

because

they're

not

in

this

indus try.
NGN Puranik: So, my ques tion is, how will you sell to these 60 customer s? Arun Jain: They are coming one by one. We have already commit ted five RFPs out of 60. So, we are
working

with

them.
NGN Puranik: Over time, you can see at least 10 to 20 of them buying for accur acy. Arun Jain: Mor e than that, I think this is a we should be getting almos t 30 customer s buying our
platform

in

the

next

two

years
NGN Puranik: And then average deal sizes of wha t range? Arun Jain: We need to do the mone tisation. As of now, the pricing we are seeing is at the lower end of
quart er

million

to

half

million

dollar s.

But

the

idea

is

to

move

to

three

to

five

million

dollar s.

Idea

is

a

platform.

Like

Sales force,

when

they

entered

India,

they

sold

Sales force

for

100,000

dollar s.

But

today,

Bajaj

pays

■
100

Crore

for

a

single

instance.

So,

that's

how

the

platform

sales

happen.
NGN Puranik: And you also men tioned that you are in the final stages of large wins in M2C , in the eMA CH space.

Wha t

exactly

is

that?

Arun Jain: This is the core modernisa tion space, the mother of all the deals. Wha t we are bringing is the

lowest

TCO

and

fastest

deliv ery.

The

cost

of

moving

from

main frame

to

cloud

is

still

the

highes t

cost

in

Americ a

than

Europe,

and

they

have

to

move

to

the

cloud.

So,

this

M2C

deliv ery

model

in

which

Manish

covered,

is

a

very

big

opportunity

for

us

to

demons trate

our

capability .

We

are

working

with

Kyndr yl,

we

are

working

with

IBM,

we

are

working

with

other

AWS

as

a

partner

that

how

the

eMA CH

stack

is

mos t

conduciv e

to

sell

to

these

large

deals.
But the cycle time for this deal could range from 12 to 18 mon ths. We have made OTP, which
we

went

live,

and

we

won

the

deal

two

years

back.

Today,

eMA CH.ai

is

live

in

both

Hung ary

and

Bulg aria.

These

two

countries

are

live

with

eMA CH.

So,

we

demons trated

that

within

18

mon ths,

we

can

put

the

system

live

with

eMA CH,

which

is

a

good

reference

poin t

and

will

acceler ate

our

journe y

going

forward.

NGN Puranik: And the eMA CH space you are talking about is also in the 60-cus tomer category for targeting?
Arun Jain: This 60-plus, for that, the new customer s are also coming , not 60. They are all new customer s.

Because

we

don't

have

too

man y

large

customer s

in

Americ a.

Americ a

is

a

big

mark et

with

at

least

70

to

80

bank s,

with

$100

billion-plus

asse ts

in

Americ a

alone.

So,

that

mark et

size

will

open

up

because

we

are

now

close

to

■
1,000

Crore

in

Americ a

and

■
800

Crore.

So,

we

are

touching

a

100-million-dollar

business

in

Americ a.
So, that a good traction. And you always used to ask, when are you going to Americ a. So, we always

said,

we

would

go

to

Americ a

last.

And

then

once

we

go

last,

we

are

ready

to

hit

the

mark et.

If

we

had

gone

earlier ,

which

a

lot

of

investors

were

anxious

about,

why

we

didn’t

go

to

Americ a

in

2020

or

2021.

And

we

kept

on

deflecting

that

poin t

and

said

we

would

proceed

according

to

the

strategy.

We

will

not

push

just

because

Americ a

brings

in

more

revenue,

because

they

also

penalise

the

vendor

if

you

are

not

working

out

well.
NGN Puranik: And you also talked about keeping hordes of cash versus growth. So, that means there is an acceler ation

in

R&D

dollar s?
Arun Jain: Yeah, that's definitely the R&D dollar will go up because now we have a designed R&D . 100 patents

we

filed

last

year.

This

momen tum

will

go

up

to

150

to

200

patents

in

the

coming

years.

So,

R&D

spend

will

go

up,

and

today

we have a net capitalisa tion of less than ■ 450 Crore for the compan y, which is getting a license revenue of ■ 1,000 Crore plus. My net block is ■ 450 Crore.

Q4 & FY 2025-26

NGN Puranik: So, wha t multiplier do you have in mind for R&D dollar s to potential sales? Arun Jain: Multiple

is

too

much,

so

if

I

can

start

calcula ting,

for

each

■
100

Crore

we

invest

in

R&D ,

we

gener ate

■
1000

Crore

over

the

next

10

years.

As

simple

as

that.
NGN Puranik: Arun, I want you to some time articula te on this power of this 127 patents some poin t in
time

maybe

it

may

be

difficult

for

you

to

do

it

now

some

poin t

in

time

because

a

lot

of

value

sits

in

the

patent

and

if

you

can

articula te

in

your

annual

report

and

wha t

that

means

wha t

are

the

production

patents

wha t

are

the

productivity

patents

wha t

are

the

revenue

patents

wha t

are

the

defensiv e

patents

so

if

you

can

just

articula te

that

that

will

be

wonderful.
Arun Jain: Beautiful! I think that's that the journe y will happen after 2028. But we are looking for a patent

mone tisation

journe y

some time

in

2028-29.

So,

that

is

the

next

phase

of

our

journe y.

This

2025

to

26

is

going

on

for

three

years.

We

are

now

we

are

filing

the

patents.

We

will

create

a

closes t

500

to

1000

patents

in

the

next

three

years,

and

then,

after

licensing

the

patents

will

be

another

revenue

stream.

But

that

will

be

after

2029.
NGN Puranik: Thank s a lot, Arun. Thank you so much. Praveen Malik: Thank s, Mr Puranik. Next, we have Mr Krish Jain from NAFA Asse t Manag ers. Krish Jain.
Krish,

please

unmut e

yourself.
Krish Jain: I hope I am audible. So, looking at the revenue ex other income, we have seen 21.5% growth
this

year.

Could

you

please

highligh t

wha t

the

constant

currency

growth

was

this

year?
Arun Jain: It would be 16%; you can say 4 or 5% reduced, so it would be 16-17%. Krish Jain: Sure, 16% growth. And looking at the revenue by geo, so we saw Canada, USA, you know,
there's

a

huge

jump

there,

■
442

Crore

to

be

exact,

that's

115%

growth.

We

want

to

under stand

how

much

of

it

is

attribut able

to

the

Central

1

acquisition

last

year

and

how

much

is

organic

growth.
Arun Jain: Central 1 growth could be 50% of it. The remaining 50% comes from organic.

Q4 & FY 2025-26

Krish Jain: Okay. Final ques tion. Can we expect any M&A deals to happen? You know, you have got good

reser ves,

maybe

not

spending

it

on

R&D ,

maybe

like

some thing

similar

to

Central

1

or

even,

you

know,

cash

deals

that

can

happen

in

the

futur e.
Manish Maak an: No, that's not our core design for growth. If we see the right appr oach that adds value to our customer

strategy,

a

product

strategy,

or

a

mark et

strategy,

we

look

at

those

things.

But

that's

not

our

core

growth

engine,

which

we

are

designing

for.

Arun Jain: But since you are an investor in the mark et, we are looking for those companies wher e IP has

been

dead.

So,

we

want

to

look

for

acquisitions

for

those

companies

which

give

us

mark et

access

in

Europe,

mark et

access

in

the

US,

and

mark et

access

in

Australia,

wher e

their

product

set

is

30

years

old,

which

we

can

replace

like

Central

1.

So,

I

need

a

Central

1-equiv alen t,

low-cost

acquisition

so

I

can

replace

them

with

the

eMA CH

stack

and

other s

we

are

open

to.
Since you are in the mark et, all of you are. If you come across companies that I don't want to compe te

with,

I

don't

want

to

compe te

with

the

latest

in

nature,

but

those

acquisitions

will

give

me

access

to

customer s

on

eMA CH.ai.
Manish Maak an: And I think an import ant poin t to shar e from a Central 1 perspectiv e is that, while we have initial

customer

contracts,

we

are

cross-selling

them

DEP

right

now

and

bringing

them

onto

our

new

platform.

So,

within

18

mon ths,

I

would

have

resold

and

re-signed

all

of

those

contracts,

and

I'm

cross-selling

multiple

other

products

to

them.

That

was

like

Arun

said,

access

to

the

mark et

and

all

the

technology ,

which

we

could

cross-sell.

So,

it

worked

for

us.

Krish Jain: Yeah, sure. Yeah, that's all from my side. Congr ats on a good year and all the best for the futur e.
Praveen Malik: Thank s, Krish. Next, we have Maitri Shah from Sapphir e Capit al. Maitri Shah. Maitri, you may unmut e

yourself and start speaking. Maitri is not there. Then we have Mr Mayank Babla from Carnelian AMC.

Mayank Babla: Thank you for taking my ques tion. The first one is on the oper ating expenses. I see that softw are developmen t expenses, SG&A and R&D expenses have increased by 28%, 28% and 17% respectiv ely on a YoY basis. Can you give some clarity on that, please?

Arun Jain: So, some of the expenses have grown because of the Central 1 acquisition, as that cost has gone

up.

So,

the

margins

are

almos t

break-even

poin ts

on

Central

1.

We

men tioned

at

the

beginning

that

it's

a

very

low

margin,

almos t

zero.

So

that

all

went

into

the

oper ating

margin

expenses.

So,

if

you

take

it

out,

the

difference

will

be

much

lower,

and

SG&A

will

definitely

increase

expenses

to

impr ove

mark et

accessibility

on

Purple

Fabric.

Investmen t

in

AI,

we

increased

the

expenses.

So,

these

are

the

two

major

areas

wher e

we

are

looking

to

increase

expenses.

R&D expenses obviously will go up. It's in proportion to the revenue. It's not necessar y that
revenue

has

gone

up.
Mayank Babla: Sure, sir, and an interesting poin t you made on you know, R&D expenses going up because
that

just

essen tially

provides

fuel

for

the

next

few

years

or

decade.

I

want

to under stand the accounting for this R&D . How much will be capitalised? And how much will it increase?

Vasudha Subr amanian: Last year, in the year 2025-2026, we capitalised close to ■ 160 Crore. And wha t

has

been

char ged

after

P&L

was

■
235

Crore.

Mayank Babla: And you men tioned that this would increase. So, wha t should we take as the estima te going ahead?
Arun Jain: I think you look at the fact that we are main taining the investmen t-to-dollar ratio; we keep investing

$20

million

dollar s.

If

you

look

at

the

last

20

years,

the

last

10

years,

our

investmen t

was

■
120

Crore,

■
140

Crore, and ■ 160 Crore. Now it will be between ■ 190 Crore and ■ 200 crore now. So, this is giving us a buck et for investmen t. In dollar terms, it still remains $20 million,

but

in

rupee

terms,

it

goes

up

by

■
30

to

■
40

crore.
Mayank Babla: Thank you so much, and best of luck. Praveen Malik: Thank s, Mayank. Last, we have Mr Vivek Tharug a from Best Pal. Vivek Tharug a: Sir, my ques tion is regarding one reques t: please do that AI session for investors, because there

is

a

lot

of

confusion

going

on,

like

how

Intellect

per

se

and

how

you

see

the

stock

prices,

even

irrespectiv e

of

whe ther

it's

a

service

or

a

product

compan y,

they

have

taken

a

huge

beating.

So, with respect to that how is the buy versus build dynamic changing do you think will chang e

because

today

may

not

be

everything

may

not

be

reflect ed

in

the

mark et

as

of

today

as

of

now

but

how

do

you

think

it

will

chang e

given

bank s

can

put

up

their

own

small

IT

teams

and

do

their

own

coding

at

vibe

coding

and

that

by

versus

build

dynamic

will

it

chang e

or

because

of

the

domain

expertise

and

that

you

that

vendor s

have

accumula ted

like

Oracle,

Temenos

and

Intellect.

This

is

difficult;

only

very

large

bank s

can

do

some

plugins,

but

not

the

core

softw are,

so

if

you

have

any

views

on

that,

Arun

Jain

sir.
Arun Jain: Yeah, I think this is a good topic for all investors to look at: wha t IT is going to mak e a difference

to

the

IT

indus try,

the

Indian

indus try,

and

the

global

bene ficial

bank.

We

can

invest

in

IT.

It's

not

about

AI,

which

is

a

problem

of

the

bank s

today.

The

financial

situa tion

is

why

a

large

Americ an

bank

has

50,000

people

in

IT.

It

is

not

because

of

the

banking

issue

or

IT

issue

or

the

AI

issue.

It's

because

of

their

multi-dimensional,

multi-la yer

problem

which

they

have

created

over

the

last

40

years

of

their

growth.
They created a multidimensional comple xity that is multi-la yered. So, typic al comple xity,
when

we

define

it,

could

have

15

dimensions

and

almos t

8

to

10

layers.

So,

15

into

8

layers

of

comple xity

is

a

120-dimensional

comple xity.

To

me,

AI

can

solve

some

pieces

of

it

in

a

block

way.

But

if

they

really

want

to

look

at

the

solution,

they

need

to

start

with

zero-waste

architectur e.
Yesterday, there were some customer s who came visiting us. I said you can't solve with RFP model.

You

can't

say

product

by

product.

I'm

simplif ying

with

AI.

AI

will

not

simplif y

your

product.

If

you

are

an

AI

digit al

bank,

you

may

be

able

to

do

it

because

you

are

starting

from

a

fresh

slate,

but

an

existing

bank

may

be

facing

the

problem.
A lot of IT companies, we have internally started doing AI developmen t lifecycle projects. We are

finding ,

because

of

determinis tic

knowledg e,

which

I

was

speaking

to

Puranik,

we

are

able

to

achie ve

a

signific ant

amoun t

of

success

in

accur acy.

When

I

was

working

on

the

LLM model, I was only getting 80% accur acy on support calls and other tasks. Now I started getting 90-plus. And then the impact starts coming in. At 80%, I not getting the impact

of

the

AI

So,

that's

why

a

bank

is

frustrated

by

co-pilots.
It's a big failur e of co-pilots, and bank s are realising that it will give me some individual productivity

and

performance

gains,

but

it

will

deliv er

no

outcome

in

terms

of

making

the

banking

system

or

the

oper ational

system

more

efficien t.

So,

I

see

two

patterns

I'm

observing.

One

pattern,

there

will

be

a

feeling

that

manag emen t

will

ask

wha t

the

co-pilot

outcome

is.

If

you

spen t

20

million

dollar s

on

co-pilots

last

year,

wha t

outcome

is

there?

And

there's

a

disillusionmen t

that

will

come

in.

So,

on

the

same

hype

cycle

curve,

it

will

come

down,

and

people

will

start

ques tioning

whe ther

AI

is

working

or

not.

Q4 & FY 2025-26

And that is a that's the place wher e some of the players will move out of that windo w wher e they

are

supplemen ting

their

Java

resour ce

to

and

bundling

as

a

pack aging

as

an

AI

resour ce,

so

man y

IT

services

compan y

are

pack aging

their

existing

engineer s

as

AI

engineer s

and

that

is

not

the

way

AI

will

be

working.
To me, it's a transition phase wher e companies are repositioning repack aging on the cover of the

person

that

you

are

an

AI

native

engineer .

An

AI

native

engineer

has

to

think

very,

very

differently.

I'm

personally

going

through
the
training
program
to
become
an
AI
engineer
at
Intellect.
We
have
close
to
500
AI
native
engineer s
out
of
6,500.
So,
we
have
a
long
way
to
go
within
Intellect.
After

three

years

of

struggling ,

we

have

been

able

to

convert

only

500

AI-na tive

engineer s.

But the throughput of this AI-na tive engineer is three times that of the other engineer s there.

So,

that's

the

kind

of

chang e

indus try

will

see

and

if

this

is

truly

happen

that

2028-29

Indian

IT

indus try

will

face

severe

issues.

Indian

services,

IT

services

and

number

of

jobs

will

reduce

substantially

in

2028-29.

Nobody

speak s

about

it

because

it's

a

fearful

agenda

because

if

IT

services

job

goes

down

then

the

entire

financial

sector

and

the

automobile

sector

also

get

impact ed.

But

that's

wha t

we

need

to

prepar e

for,

unless

we

quickly

chang e

the

way

we

work.
So, this is not a Gyan I'm giving. I'm just saying this is my observation. Maybe I will be wrong.
So,

nobody

can

forecast
the
futur e,
wha t
will
happen
tomorr ow.
And
the
chang e
in
AI
is
happening
very
fast,
and
man y
companies
will
be
able
to
keep
up.
But
routine
jobs,
redundan t
jobs,
which
is
a

worker's

job,

the

blue-c ollar

worker,

the

whit e-collar

workers,

I

think

those

definitions

will

chang e

in

the

next

few

years.

Vivek Tharug a: Sir, I was more coming from a buy-versus-build perspectiv e with bank s. Can they, because of using

these

AI

tools,

can

they

shift,

or

will

it

be

a

short -term

solution?

So,

that

was

my,

you

don't

see

that.

Arun Jain: Can I answer in Hindi? Vivek Tharug a: Yes, I'm not from the Hindi belt, but I can under stand. I can under stand that. Arun Jain: They will not be able to do it. The bank s aren’t capable of doing it.

Q4 & FY 2025-26

Vivek Tharug a: Okay. Sir, my second ques tion is, last con call, Mr Manish has referred to, we are in advanced stages

with

I

think

IBM

or

global

main frame

infrastructur e

leader ,

and

you

said

you

will

upda te

on

that.

Any

upda tes

on

that?
Manish Maak an: Yeah, we are working on this M2C deal with them. And even the OTP was along with Micr osoft,

which

we

did,

and

we

are

now

going

live

with

Micr osoft,

and

Arun

announced

that.
Vivek Tharug a: So, we are not ready to men tion the name. Is it IBM, sir? Arun Jain: All three are. AWS, Azure, IBM and Kyndr yl. Vivek Tharug a: Sir, one small reques t, apart from your AI session, is that we are diluting by around 1% of our stock

every

year.

And

if

you

can

use

the

cash

to

buy

back,

it

would

be

much

better

for

investors

in

terms

of

wealth

creation.

Then

I

not

saying

I

don’t

want

dividend

but

because

free

float

enters

the

mark et

and

every

because

this

sector

as

you

said

is

having

so

man y

other

issues

going

on

it

will

be

better

for

investors,

both

from

value

accretion

and

also

stock

mark et

for

free

float

that

if

you

can

do

a

buyback,

it

would

be

more,

it's

your

wish,

but

if

you

can

consider

that

as

an

investor's

reques t

because

a

lot

of

free

float

is

getting

created

and

dilution

is

happening

year

on

year.
Arun Jain: Sure. We will look at it. Vivek Tharug a: Sir, I have one more ques tion before we leave. Can we assume that given the five tailwinds
that

you

men tioned,

if

I'm

assuming

those

are

the

tailwinds

in

the

presen tation

that

you

have

given,

so

can

we

assume

that

a

20%

growth

is

of

a

higher

probability

than

the

last

five

years

because

we

had

more

headwinds

in

the

last

five

years

in

terms

of

Russia

war

and

Covid

and

then

you

had

tariff

issues

and

all

these

things

and

now

that

we

have

US

as

a

mark et

opened

up

a

high

probability

of

20%

growth

should

be

higher?

I'm

not

saying

give

certainty

but

we

are

entering

a

phase

that

is

clear er

than

the

last

five

years.
Arun Jain: Let's hope with people like Trump sitting there. Manish Maak an: Vivek, we have just deliv ered a year with 20% plus. Let's celebr ate it. We shall have to do it.

Q4 & FY 2025-26

Vivek Tharug a: Please conduct a session, sir. Because we are not tech people. Praveen Malik: Thank s, Vivek. Arun, we have two more people. Can we take at least one? Arun Jain: Take one more ques tion. Praveen Malik: Okay. Next, we have Mr Sriniv asu K from TIA. Mr Sriniv asu from TIA. Sriniv asu K: Thank you, Arun, for explaining the accur acy gap between 76.7% and 95% in enterprise AI
expect ations.

Actually ,

that

really

answered

mos t

of

our

investor

concerns.

Thank s

for

answering

that

in

detail.

My

ques tion

is

about

the

AI

revenues

that

we

have

at

Crore

this

year.

Wha t

is

the

exit

ARR,

and

can

we

expect

it

to

be

double

next

year?

Arun Jain: We would love to have it. That's wha t we are struggling for. Let's see wha t comes out. But that's

wha t

we

are.

Because

our

revenue

will

come

twofold,

Sriniv as.

One

is

in

the

area

of

direct

Purple

Fabric

and

all

the

Intellect

products,

which

now

have

an

AI-first

product.

So,

for

any

product

you

are

selling

now

in

the

core

banking

space,

we

are

creating

a knowledg e layer and an intelligence layer on the core banking product. Ther e is no single product from Intellect that is not AI-first now.
So, if we alloc ate 12% of those revenues to AI effectiv eness, those revenues will also add to the overall investmen t buck et. That's wha t we do internally .

But

that

will

not

be

visible

to

you

other wise.

But

that's

wher e

the

value

of

AI

will

be.

Okay.
Sriniv asu K: And my next ques tion is: given that Anthropic and OpenAI are launching agents here and there

every

mon th,

is

Purple

Fabric

LLM-agnos tic?

Will

it

allow

other

OpenAI

models,

also,

right?
Arun Jain: We are open, and all are LLM agnos tics. That's how we designed it. We knew that models would come, and multiple models would come. Ther e are more than two million models in the world.

Sriniv asu K: Thank you. Praveen Malik: Thank you, Mr Sriniv asan. So, there are a couple of people who migh t be interested, in case they have any ques tions. Please do write to us. The time is over,

so

we

are

closing

the

call.

Thank

you

for

participa ting,

everybody

and

thank s

to

the

manag emen t

team.
Note: This transcrip t has been edited for readability and does not purport to be a verbatim record

of

the

proc eedings